MGT101- Financial Accounting
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FINALTERM EXAMINATION

Fall 2009

MGT101- Financial Accounting (Session - 4)

Time: 120 min

Marks: 87

Question No: 1 (Marks: 1) - Please choose one

Shares for which amount is paid by public are called _____ shares.

► **Paid up**

► Authorized

► Bonus shares

► All are correct options

Question No: 2 (Marks: 1) - Please choose one

Which of the following is non- profit organiza

► Limited company

► **Trust**

Question No: 3 (Marks: 1) - Please choose one

Commercial Accounting is based on:

► Single entry book keeping

► **Double entry book keeping**

► Both single and double entry book keeping

► Cash basis of book keeping

Question No: 4 (Marks: 1) - Please choose one

An Asset that is **NOT** physical in nature is called _____.

► **Intangible Asset**

► Liquid Asset

► Current Asset

► Fixed Asset

Question No: 5 (Marks: 1) - Please choose one

Which of the following is **CORRECT** about the flow of recording a transaction?

► **Occurrence of event – voucher—Journal—Ledger—Trial Balance—profit and loss account—Balance Sheet**

► Occurrence of event—Journal – voucher —Ledger—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Ledger – voucher—Journal—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Trial Balance – voucher—Journal—Ledger—profit and loss account—Balance Sheet

Question No: 6 (Marks: 1) - Please choose one

Accounts Receivable & Inventory are the examples of:

► Liquid assets

► Current assets

► Fixed assets

► Capital assets

Question No: 7 (Marks: 1) - Please choose one

Which of the following account will be credited in the books of XYZ Co. Ltd, if the business purchased a vehicle though cheque?

► Vehicle account

► Cash account

► Business account

► **Bank account**

Question No: 8 (Marks: 1) - Please choose one

Which of the following account will be credited, if business bought goods on credit from Mr. Ali?

► **Purchases account**

► **Mr. Ali account**

► Cash account

► Sales account

Question No: 9 (Marks: 1) - Please choose one

In which of the following condition a company will have positive working capital?

► **If current assets > current liabilities**

► If current Assets < current Liabilities

► If current assets = current liabilities

► If current assets ≤ current liabilities

Question No: 10 (Marks: 1) - Please choose one

Which of the following is an example of direct materials cost?

► Polish and finishing material for chair

► **A piece of wood for the production of chair**

► Production worker's wages

► Depreciation expenses

Question No: 11 (Marks: 1) - Please choose one

In cost of goods sold statement, the 'cost of material consumed' is equal to:

► **Opening raw material inventory + Purchases – Ending raw material inventory**

► Opening raw material inventory - Purchases + Ending raw material inventory

► Ending raw material inventory + Opening raw material inventory - Purchases

► Ending raw material inventory + Opening raw material inventory + Purchases

Question No: 12 (Marks: 1) - Please choose one

What would be the value of total factory cost, if the cost of material consumed during the month is Rs. 6,000, labor cost incurred is Rs. 2,000 and the factory over head cost is Rs. 2,500?

► Rs. 6,000

► Rs. 8,000

► Rs. 4,500

► **Rs. 10,500**

Question No: 13 (Marks: 1) - Please choose one

In cost of goods sold statement the 'cost of goods manufactured' is equal to:

► Total factory cost + Opening work in process + Ending work in process

► **Total factory cost + Opening work in process – Ending work in process**

► Total factory cost - Opening work in process + Ending work in process

► Ending work in process +Total factory cost – Opening work in process

Question No: 14 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 5,000
Sale price after 5 years	Rs.50,000
Book value of Asset after 5 years	?

► **Rs.25, 000**

► **Rs. 75,000**

► Rs. 15,000

► Rs. 1, 00,000

Question No: 15 (Marks: 1) - Please choose one

Particulars	Rs.
Opening stock of raw material	100,000
Closing stock of raw material	85,000
Purchases of raw material during the period	200, 000
Cost of Material Consumed	?

► Rs. 205,000

► **Rs. 215,000**

► Rs. 220,000

► Rs. 225,000

Question No: 16 (Marks: 1) - Please choose one

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

► Rs.260

► Rs.232

► Rs.284

► **Rs.320**

[100+385+480+260=1225-905= (10*10=100, 35*11=385, 35*12=420)]

Question No: 17 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Cash	Rs.1, 00, 000
Debtors	Rs.10, 000
Other Assets	Rs. 1,000
Owner's equity	Rs. 1, 000

► Rs. 12,000 liabilities

► Rs. 11,000 liabilities

► **Rs. 1, 10,000 liabilities**

► Rs. 1, 11,000 liabilities

Question No: 18 (Marks: 1) - Please choose one

Bank Statement is a record of transactions between the bank and the holder of:

► A foreign currency account

► A current account

► A saving account

► **All of the given options**

Question No: 19 (Marks: 1) - Please choose one

Which of the following option is **TRUE** about the characteristic(s) of Bad Debt?

► **It is a definite loss to the business**

► It is not shown in Balance Sheet

► No provision is necessary for it

► All of the given options

Question No: 20 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

► Rs. 400

► **Rs. 800**

► Rs. 2,000

► Rs. 2,400

Question No: 21 (Marks: 1) - Please choose one

Which of the following entry is passed to record discount allowed in control account?

► **Discount Allowed (Dr) and Debtors Control A/c (Cr)**

► Discount Allowed (Dr) and Debtors A/c (Cr)

► **Debtors Control A/c (Dr) and Discount Allowed (Cr)**

► Debtors A/c (Dr) and Discount Allowed (Cr)

Question No: 22 (Marks: 1) - Please choose one

Which of the following entry will be recorded, if a cheque deposited is dishonored by bank?

► Bank Account (Dr.) and Debtor's Account (Cr.)

► **Debtor's Account (Dr.) and Bank Account (Cr.)**

► Dishonored Cheque Account (Dr.) and Bank Account (Cr.)

► Creditor's Account (Dr.) and Bank Account (Cr.)

Question No: 23 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be deducted from Sundry debtors?

► Rs. 3,600

► **Rs. 4,000**

► Rs. 1,600

► **Rs. 2, 400**

Question No: 24 (Marks: 1) - Please choose one

Which of the following is **CORRECT** if depreciation is given in trial balance?

► **All of the given options are correct**

► **It means depreciation has already been deducted from concerned asset account**

► It will be shown as an expense in income statement only

► It will not be deducted from concerned asset in Balance Sheet

Question No: 25 (Marks: 1) - Please choose one

The persons who sign articles and memorandum of the company and contribute in the initial share capital of the company are called:

► **Subscribers**

► **Shareholders**

► Managers

► Directors

Question No: 26 (Marks: 1) - Please choose one

Merchandise on hand at either the beginning or end of the reporting period is called_____.

► Raw material

► Cost of good sold

► Work in process

► **Inventory**

Question No: 27 (Marks: 1) - Please choose one

In which of the following auditor's remuneration payable is shown?

► **In balance sheet under the head of current liabilities only**

► In balance sheet under the head of current assets only

► In income statement under the administrative expense only

► In both balance sheet under the head of current liabilities and income statement under the administrative expense

Question No: 28 (Marks: 1) - Please choose one

In which of the following interim dividend is treated?

► In profit and Loss account

► **In profit and Loss appropriation account**

► On the asset side of the Balance Sheet

► In trading account

Question No: 29 (Marks: 1) - Please choose one

Which of the following documents contains rules and regulations for internal management of the company?

► Memorandum of Association

► **Articles of Association**

► Prospectus

► Statutory Declaration

Question No: 30 (Marks: 1) - Please choose one

Which of the following is **NOT** a cash inflow?

► Sale of fixed asset

► Issue of debentures

► Cash from business operation

► **Purchase of fixed asset**

Question No: 31 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as a cash outflow?

► **The payments for purchases made during the year**

► A decrease in trade debtors over the course of an accounting period

► Money received as a result of issuing new shares

► Money received as result of selling fixed assets

Question No: 32 (Marks: 1) - Please choose one

Which of the following statement in **NOT TRUE** about the limited company form of business?

► The limited company form of business allows ownership of the business to be spread amongst many people

► Shareholders can appoint professionals

► **Shareholders are personally liable for all the liabilities incurred by the business**

► Regular filing of information about the affairs of the company is a legal requirement

Question No: 33 (Marks: 1) - Please choose one

What does a credit balance in a partner's current account represent to a business?

► **Current Assets**

► Current Liability

► Long-term liability

► Share of profit

Question No: 34 (Marks: 1) - Please choose one

A company declares a cash dividend to be paid to its stockholders next month. The effect of the transaction is to:

► Decrease assets and liabilities.

► Increase assets and stockholders' equity.

► **Decrease assets and stockholders' equity.**

► Increase liabilities and decrease stockholders' equity.

Question No: 35 (Marks: 1) - Please choose one

An uncollectible account receivable is also termed as:

► Asset

► Uncollectible asset

► **Uncollectible accounts expense**

► None of the given options

Question No: 36 (Marks: 1) - Please choose one

Suppose a firm has 100 debtors, and each of them owes exactly Rs.150 at the start of June. During June each debtor has paid-off exactly Rs.100 on their account, either by cash or by cheque. What should be the revised total debtors figure?

► **Rs. 5,000**

► Rs. 9,850

► Rs. 25,000

► Rs. 14,900

Question No: 37 (Marks: 1) - Please choose one

Credit sales appear on the __ _____ side of the Debtors control account.

► Left side or credit

► **Left side or debit**

► Right side or debit

► Right side or credit

Question No: 38 (Marks: 1) - Please choose one

The financial year of Atif Brothers & Co. is closed on June 30, 2009. Total cash sales are Rs. 150,000, credit sales are Rs. 180,000 and total receipts are Rs. 250,000. Credit receipts will be:

► Rs. 150,000

► **Rs. 100,000**

► Rs. 220,000

► Rs. 280,000

Question No: 39 (Marks: 1) - Please choose one

Which of the following is usually not an accrued expense?

► Interest payable

► Wages payable

► Taxes payable

► **Notes payable (its liability not an expense)**

Question No: 40 (Marks: 1) - Please choose one

Which of the following is **NOT** a financial statement?

► Balance sheet

► **Audit report**

► Income statement

► Cash flow statement

Question No: 41 (Marks: 1) - Please choose one

Sunset tours has Rs.3,500 account receivable from the Del Mar Rotary. On January 20, the Rotary makes a partial payment of Rs.2,100 to Sunset Tours. The journal entry made on January 20 by Sunset Tours to record this transaction includes:

► A debit to the Cash Received account of Rs. 3,500

► **A credit to the Accounts Receivable account of Rs.2,100**

► A debit to the Cash account of Rs.1,400

► A debit to the Accounts Receivables account of Rs.1,400

Question No: 42 (Marks: 1) - Please choose one

A and B entered in partnership in capital ratio of 2:3. They earned a profit of Rs.6,600 during the year. What will be the share of profit of Mr. A? ► **Rs.2,640**

► Rs.1,320

► **Rs.2,640**

► Rs.3,960

► Rs.6,600

Question No: 43 (Marks: 1) - Please choose one

Income tax expense of Eden Corporation shows a debit balance of Rs.7,000 in its unadjusted trial balance and Rs.7,600 in adjusted trial balance. Which of the following account will be debited in adjusting entry? ► **Income tax expense**

► Income tax payable

► Prepaid income tax

► **Income tax expense**

► Income tax paid

Question No: 44 (Marks: 1) - Please choose one

Sanders Construction sold a plant asset that originally cost Rs.80,000 for Rs.52,000 cash. If Sanders correctly reports a Rs.5,000 gain on this sale, the accumulated depreciation on the asset at the date of sale must have been:

► Rs.23,000

► Rs.28,000

► **Rs.33,000**

► Some other amount

Question No: 45 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership invested Rs.65,000 and Rs.50,000 with an equal share in profit or loss. Markup on drawings of Mr. A is Rs.1,000 and of Mr. B is Rs.1,500. The net income for the year is Rs.55,000. What will be the amount of distributable profit? ► **Rs.57,500**

► Rs.52,500

► Rs.56,000

► Rs.56,500

► **Rs.57,500**

Question No: 46 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,000 and markup on drawings of Mr. B is Rs.3,000. The net income for the year is Rs.50,000. What will be the profit share of Mr. A? ► **Rs.22,500**

► **Rs.22,500**

► Rs.25,500

► Rs.27,500

► Rs.55,000

Question No: 47 (Marks: 1) - Please choose one

Which of the following is quoted company?

► Private Limited Company

► Public Limited Company

► **Listed company**

► Non Listed Company

Question No: 48 (Marks: 1) - Please choose one

Which of the following can be utilized to issue bonus shares?

► Reserves

► Debentures

► **Share premium**

► Term finance certificate

Question No: 49 (Marks: 1) - Please choose one

Which of the following can be utilized to set off any loss on revaluation?

► Capital reserve

► General reserve

► Revaluation reserve

► None of the given options

Question No: 50 (Marks: 1) - Please choose one

Which of the following capital is required for the registration of the company?

► Issued capital

► Subscribed capital

► Authorized capital

► Reserve capital

Question No: 51 (Marks: 1) - Please choose one

Which of the following capital is taken up by the general public?

► Issued capital

► Subscribed capital

► Authorized capital

► Reserve capital

Question No: 52 (Marks: 1) - Please choose one

According to the statement of cash flows following are the examples of investing activities except:

► Sales of machinery

► **Capital invested by the owners**

► Purchase of building for the business use

► Cash received from the disposal of equipment

Question No: 53 (Marks: 1) - Please choose one

The financial statement that captures both the current operating result and the associated changes in the balance sheet is:

► Statement of retained earnings

► **Statement of financial position**

► Statement of cash flows

► Statement of changes in equity

Question No: 54 (Marks: 1) - Please choose one

In statement of cash flows, all of the following items are considered as financing activity, except:

► Cash received from issuance of shares

► Cash received from issuance of bonds

► **Payment made for short term debts**

► Collections on loans

Question No: 55 (Marks: 3)

Mr. Hassan is a partner in a partnership firm. His capital on July 1, 2001 was Rs. 400,000. He invested further capital of Rs. 150,000 on March 01, 2002. Markup rate is @6%p.a. The financial year of such a business is from 1st July to 30th June.

Required: You are required to calculate his markup on Capital at the end of 30th June 2002.

400000x6/100=2400

400000

Question No: 56 (Marks: 5)

What do you mean by "Bad Debts" and "Doubtful Debts"? Distinguish between these.

Ans: **Bad Debts**

when we are going to sell the products on credit so our business take risk that there are some customer in market that they will never pay for stock sold to them.So,such situation in which the amount which is due to the debetor are call bad debts

This is a loss sustained loss for business due to risk. It is recorded in Profit and Loss Account in the period in which it is happen.

Doubtful Debts

A doubtful debt is a debt, which the business considers may not be paid

Question No: 57 (Marks: 5)

a. In trial balance at June 30, 2007 10% debentures are shown at Rs.75,000 and mark up on debentures are shown at Rs.3,750. Six months debenture mark up is to be accrued. What will be the amount of total mark up on debentures show in profit and loss account?

b. From the following information calculate cost of goods sold.

Stock opening balance	Rs.56,950
Purchases	175,750
Stock closing balance	65,020
Carriage inward	5,200
Sales	245,500

Opening stock : Rs.56,950

Add bpurchase: 175,750

Add Carriage inward : 5,200

Less Stock closing balance: (65020)

Cost of goods sold = Rs 172,880

Question No: 58 (Marks: 10)

Prepare Bank Reconciliation Statement as on 31st March 2009 with the help of given data.

	Particulars	Rs.
1	Balance as per Cash Book (Dr.)	180,000
2	Cheques paid into Bank in March 2009 but credited by the bank in April 2009	7,900 4,500 1,300
3	Cheques issued in March 2009 but cashed in April 2009	11,000 5,800
4	Cheques entered in the Cash Book in March 2009 but paid into bank in April 2009	1,000
5	Interest allowed by the bank	2,500
6	Interest charged by the bank	500

S.No	Narration / Particulars	Withdrawals Amountnt	Deposits Amount			Balance Dr/(Cr)
	Balance as per Cash Book (Dr.)					180,000
						7900
						4500

						1300

Question No: 59 (Marks: 10)

Listed below are selected items from the financial statements of ABC Mfg. Co. for the year ended December 31, 2007.

Note payable to Bank Al-Falah	Rs.500,000
Income taxes payable	40,000
Mortgage note payable	750,000
Accrued interest on mortgage note payable	5,000
Trade accounts payable	250,000
Unearned revenue	15,000
Accrued expenses and payroll taxes	60,000
Debenture	500,000

Other information:

1. The note payable owed to Bank Al-Falah is due in 60 days. ABC Mfg. Co. has arranged with this bank to renew the note for an additional 24 months.

2. The mortgage requires payment of Rs.6,000 per month. An amortization table shows that its balance will be paid down to Rs.739,000 by December 31, 2008.

3. Debenture of Rs.150,000 is due in 180 days.

Instructions:

Using the information, prepare the current liabilities and long-term liabilities sections of a classified balance sheet at December 31, 2007.

Solved by Chanda Rehman, Nomi chakwal and ABr

Paper N0:16

FINALTERM EXAMINATION

Fall 2009

MGT101- Financial Accounting (Session - 2)

Time: 120 min

Marks: 87

Question No: 1 (Marks: 1) - Please choose one

Double entry accounting system includes:

- ► Accrual accounting only
- ► Cash accounting only
- ► **Both cash and accrual accounting**
- ► None of the given options

Question No: 2 (Marks: 1) - Please choose one

If a business purchases machinery for Rs. 30,000 on 31st January 2008 having life of 10 years, this expense will be realized _____ under the concept of accrual accounting.

- ► For the year 2008 only
- ► For the last day of 10th year only
- ► **Over 10 years**
- ► Nothing can be said about it

Question No: 3 (Marks: 1) - Please choose one

According to the double entry system of accounting, an account that obtains benefit is:

► **Debit** (Handouts Page 11, 12)

► Credit

► Income

► No need to show as accounting record

Question No: 4 (Marks: 1) - Please choose one

What will be the effect on accounting equation, when payment is made to the creditor of the business?

► Increase in an asset, increase in owner's equity

► Increase in an asset, increase in a liability

► Decrease in an asset, decrease in owner's equity

► **Decrease in an asset, decrease in a liability**

Question No: 5 (Marks: 1) - Please choose one

Which of the following is **CORRECT** for Trading account?

► **It inculdes cost of goods sold and all the direct expenses related to sales**

► It inculdes cost of goods sold and all the indirect expenses related to sales

► It inculdes cost of goods sold and all the direct and indirect expenses

► It inculdes cost of goods sold and all the direct and selling, administrative expenses

Question No: 6 (Marks: 1) - Please choose one

Which of the following organizations do **NOT** prepare Income & Expenditure account?

► Public limited companies

► Private limited companies

► Partnership firms

► **All of the given options**

Question No: 7 (Marks: 1) - Please choose one

An asset on the balance sheet which is expected to be sold or used within one year is known as:

► Tangible asset

► **Current asset**

► Fixed asset

► Long term asset

Question No: 8 (Marks: 1) - Please choose one

In which of the following condition a company will have positive working capital?

► **If current assets > current liabilities**

► If current Assets < current Liabilities

► If current assets = current liabilities

► If current assets < current liabilities

Question No: 9 (Marks: 1) - Please choose one

If the Company ABC has current assets Rs. 100,000, current liabilities Rs. 75,000 and fixed assets Rs. 200,000, what would be the value of working capital?

► **Rs. 25,000**

► Rs. 1, 00,000

► Rs. 1, 75,000

► Rs. 3, 00,000

Question No: 10 (Marks: 1) - Please choose one

The total of all costs incurred to convert raw material into finished goods is known as:

► **Prime cost** (Handouts Page 121)

► Conversion cost

► Sunk cost

► Opportunity cost

Question No: 11 (Marks: 1) - Please choose one

Particulars	Rs.
Opening stock of raw material	100,000
Closing stock of raw material	80,000
Purchases of raw material during the period	200, 000
Cost of Material Consumed	?

► Rs. 205,000

► Rs. 215,000

► **Rs. 220,000**

► Rs. 225,000

Question No: 12 (Marks: 1) - Please choose one

Accounting is the language of:

► **Business**

► School

► Proprietor

► Management

Question No: 13 (Marks: 1) - Please choose one

Bank Statement is a record of transactions between the bank and the holder of:

► A foreign currency account

► A current account

► A saving account

► **All of the given options**

Question No: 14 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

► **Rs. 400**

► Rs. 800

► Rs. 2,000

► Rs. 2,400

Question No: 15 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	800
Sundry Debtors (Given in trial balance)	44,500
Provision for doubtful debts @ 5%	
Which amount of new provision will be deducted from Sundry Debtors	?

► Rs. 2,225

► Rs. 2,525

► Rs. 1,925

► Rs. 3,025

Question No: 16 (Marks: 1) - Please choose one

It is supposed that on 31-12-2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. What entry will pass to transfer the bad debts to provision for doubtful debts?

► Profit & Loss a/c Rs. 1,600 (Dr) & Provision for doubtful debts a/c Rs. 1,600 (Cr)

► Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)

► Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)

► Provision for doubtful debts a/c Rs. 1,600 (Dr) & Bad Debts a/c Rs. 1,600 (Cr)

Question No: 17 (Marks: 1) - Please choose one

Which of the following is/are the item/s of a Control Account?

► Credit sale only

► Cash sale only

► Credit purchase only

► **Both Credit sales and Credit purchase**

Question No: 18 (Marks: 1) - Please choose one

Which of the following is a detailed record of an individual account in case of large business?

► Control Account

► **Subsidiary Ledger**

► Balance Sheet

► Trial Balance

Question No: 19 (Marks: 1) - Please choose one

If the provision for doubtful debts is not created, which of the following entry is passed to record the bad debts in control account?

► Debtors Control A/c (Dr) and Allowance for doubtful debts (Cr)

► **Bade debts (Dr) and Debtors Control A/c (Cr)**

► Allowance for doubtful debts (Dr) and Debtors Control A/c (Cr)

► Allowance for doubtful debts (Dr) and Debtors A/c (Cr)

Question No: 20 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of carriage charges, paid for a new plant purchased mistakenly debited to carriage account?

► Plant account

► Carriage account

► **Both plant account and carriage account**

► Trading account

Question No: 21 (Marks: 1) - Please choose one

Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

► **Bank charges**

► An error on the Bank Statement

► An uncredited deposit

► An unpresented cheque

Question No: 22 (Marks: 1) - Please choose one

Which of the following is normally treated as the last expense listed in the income statement of a company?

► Interest expense

► General and administrative expenses

► Salaries and wages expense

► **Income tax expense**

Question No: 23 (Marks: 1) - Please choose one

The Balance Sheet item that represents the resources invested by the owner is known as:

► Accounts Receivable

► Cash

► Note Payable

► **Owner's Equity** (Handouts Lesson 12, Page 83)

Question No: 24 (Marks: 1) - Please choose one

Which financial statement show what a business owes at a particular point in time?

► A cash flow statement

► The bank statement for the business

► **A balance sheet**

► A statement of retained earnings

Question No: 25 (Marks: 1) - Please choose one

Which of the following account is affected from the Drawings of cash in sole-proprietorship business?

► **Capital account**

► Shareholder account

► Liability account

► Expense account

Question No: 26 (Marks: 1) - Please choose one

In which type of a business, the owner and his business are considered same in the eyes of law?

► **Sole proprietorship**

► Public companies

► Limited companies

► Listed companies

Question No: 27 (Marks: 1) - Please choose one

Fixed Assets (WDV) + Working Capital =?

► **Total assets employed**

► Total liabilities

► Total assets

► Current assets

Question No: 28 (Marks: 1) - Please choose one

When the capitals are fixed, which of the following account will be debited for drawings made by a partner?

► **Individual Partner's Current Account**

► Partner's Cash Account

► Partner's Bank Account

► Partners Capital Account

Question No: 29 (Marks: 1) - Please choose one

Which of the following documents contains rules and regulations for internal management of the company?

► Memorandum of Association

► **Articles of Association**

► Prospectus

► Statutory Declaration

Question No: 30 (Marks: 1) - Please choose one

When preparing a cash flow statement, which of the following would be classified as a financing activity?

► **A new long-term loan taken out to finance the purchase of fixed assets**

► Salaries paid

► Interest paid on a long-term bank loan

► The cost of purchasing a patent

CASH FLOW FROM FINANCING ACTIVITIES (Handouts Page 266)

Cash flow from financing activities includes cash receipts and payments that arise from Owners of the business and other long term liabilities of the organization.

• Cash receipts and payments for **other long term** loans and borrowings.

Question No: 31 (Marks: 1) - Please choose one

Current ratio may be increased by:

► **Overstating current Assets** (Handouts Page 311)

► Overstating current Liabilities

► Understating current Assets

► Understating current assets and overstating current liabilities

Question No: 32 (Marks: 1) - Please choose one

Mark up cover ratio = operating profit before financial charges ÷ **?**

► Selling expenses

► Administrative expenses

► **Financial charges** (Handouts Page 311)

► Direct expenses

Question No: 33 (Marks: 1) - Please choose one

In which situation(s) Partnership is dissolved?

► In case of death of partner

► At the admission of new partner

► If any partner resigned from partnership

► **All of the given options**

Question No: 34 (Marks: 1) - Please choose one

If company has distributable profit of Rs. 490,000, Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively. What will be the share of profit for Mr. A in distributable profit?

► **Rs. 98,000**

► Rs. 147,000

► Rs. 245,000

► Rs. 343,000

Question No: 35 (Marks: 1) - Please choose one

The beginning balance of retained earnings was Rs. 7,500. The dividends paid to stockholders' were Rs.1, 500. The ending balance of retained earnings is Rs. 5,000. What was the net income or net loss for the accounting period?

► Net loss of Rs.1, 000

► **Net income of Rs. 1,000**

► Net loss of Rs. 2,000

► Net income of Rs. 2,500

Question No: 36 (Marks: 1) - Please choose one

A company declares a cash dividend to be paid to its stockholders next month. The effect of the transaction is to:

► Decrease assets and liabilities.

► Increase assets and stockholders' equity.

► Decrease assets and stockholders' equity.

► Increase liabilities and decrease stockholders' equity.

Question No: 37 (Marks: 1) - Please choose one

Which of the following statement is the detail of transaction in one's account provided by the bank?

► Bank statement

► Bank reconciliation statement

► Income statement

► Financial statement

Question No: 38 (Marks: 1) - Please choose one

An asset cost Rs. 50,000, has an estimated residual value of Rs.1, 500, and an estimated useful life of 8 years. What is the depreciation rate under reducing balance method?

► 11.5%

► 20.0%

► 25.0%

► **35.5%**

(Handouts Page 135)

In **reducing balance method**, a formula is used for calculation of depreciation rate. i e.

Rate $= 1 - \sqrt[n]{RV / C} = 1 - \sqrt[8]{1500 / 50000} = 1 - \sqrt[8]{0.03} = 1 - 0.645 = 0.355 \times 100 = 35.5\%$

Or $= 1 - (RV / C)^{1/n} = 1 - (1500/50000)^{1/8} = 1 - (0.03)^{1/8} = 1 - 0.645 = 0.355 \times 100 = 35.5\%$

Question No: 39 (Marks: 1) - Please choose one

According to the double entry system of book keeping, the investment of Rs.10, 000 in the business made by the owner will effect:

► **Cash Account & Capital Account**

► Cash Account & Expense Account

► Capital Account & Revenue Account

► Capital Account & Expense Account

Question No: 40 (Marks: 1) - Please choose one

Which of the following transaction have **NO** affect on stockholders' equity?

► **Purchase of building on credit**

► Dividends to stockholders

► Net loss

► Investment in cash by stockholders

Question No: 41 (Marks: 1) - Please choose one

Receipts from debtors appear on the _____ side of the individual debtors account.

► Left side or credit

► Left side or debit

► Right side or debit

► **Right side or credit**

Question No: 42 (Marks: 1) - Please choose one

We usually allow the customer to deduct a certain amount from the invoice value for prompt payment. In doing so we are granting a:

► Commission

► Allowance

► **Discount**

► Rebate

Question No: 43 (Marks: 1) - Please choose one

The financial year of Atif Brothers & Co. is closed on June 30, 2009. Total cash sales are Rs. 150,000, credit sales are Rs. 180,000 and total receipts are Rs. 250,000. Credit receipts will be:

► Rs. 150,000

► **Rs. 100,000**

► Rs. 220,000

► Rs. 280,000

Question No: 44 (Marks: 1) - Please choose one

Capital and drawings are reported in which of the following section of balance sheet?

► Assets

► Other assets

► Non current liabilities

► **Owner's equity**

Question No: 45 (Marks: 1) - Please choose one

Insurance premiums paid in advance but not yet expired are reported in which of the following account?

► Insurance payable

► **Prepaid insurance**

► Advance payment account

► Insurance expense

Question No: 46 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,500 and markup on drawings of Mr. B is Rs.2,800. The net income for the year is Rs.95,000. What will be the amount of distributable profit?

► Rs.89, 700

► Rs.94, 700

► Rs.95, 300

► **Rs.100, 300** (Not 100 % sure)

Question No: 47 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,000 and markup on drawings of Mr. B is Rs.3,000. The net income for the year is Rs.50,000. What will be the profit share of Mr. A?

► Rs.22, 500

► Rs.25, 500

► Rs.27, 500

► Rs.55, 000

Question No: 48 (Marks: 1) - Please choose one

How many members can subscribe their names in memorandum of association for registration of public limited company?

► 2

► 3

► 5

► 7

Question No: 49 (Marks: 1) - Please choose one

Which of the following can be utilized to set off any loss on revaluation?

► Capital reserve

► General reserve

► **Revaluation reserve**

► None of the given options

Question No: 50 (Marks: 1) - Please choose one

According to the statement of cash flows following are the examples of investing activities except:

► Sales of machinery

► **Capital invested by the owners**

► Purchase of building for the business use

► Cash received from the disposal of equipment

No: 51 (Marks: 1) - Please choose one

Which of the following ratio is widely used to measure the short-term debt-paying ability of a company? (Correct Answer is Creditors Turnover Ratio)

► Acid-test ratio

► Debt ratio

► Current ratio

► **None of the given options**

Creditors Turnover Ratio (Handouts Page 309)

Creditors turnover means how many times or in how many days a company pay to its creditors. The formulae for this ratio are as follows:

Creditor Turnover (Number of days) = (Average Creditors / Credit Purchases) x 365

Creditor Turnover (Number of times) = Credit Purchases / Average Creditors

Acid Test Ratio (Handouts Page 311)

Acid test ratio is the proportion of current assets which are convertible into cash and current liabilities. The formula for calculating this ratio is as follows:

Acid Test Ratio = (Current Assets – Stock) / Current Liabilities

Debt Equity Ratio (Handouts Page 310)

This ratio shows the composition of finance that have funded the asset of the company. This ratio varies for different projects. In Pakistan, maximum advised ratio is 60: 40. i-e. 40% of the assets should be bought with company, s investment and 60% should be bought with the loan taken by the company. The formula for calculating this ratio is as follows:

Debt Equity Ratio = Long term Liabilities / Equity

Current Ratio (Handouts Page 310,311)

Current ratio shows the proportion of current assets and current liabilities. This ratio should be 1:1. i-e. For every liability of one rupee, there should be an asset of one rupee to pay it. The formula for calculating this ratio is as follows:

Current Ratio = Current Assets / Current Liabilities

Question No: 52 (Marks: 1) - Please choose one

Which of the following usually is least important as a measure of short-term liquidity?

► Quick ratio

► Debt ratio

► Current ratio

► **Cash flows from operating activities**

Question No: 53 (Marks: 1) - Please choose one

In statement of cash flows, a payment of cash dividends is related to:

► **Investing activity**

► Financing activity

► Operating activity

► Cash flows from operations

CASH FLOW FROM INVESTING ACTIVITIES (Handouts Page 265)

Cash flow from investing activities includes cash receipts and payments that arise from Fixed and Long Term assets of the organization.

• Cash payments and receipts from **acquisition** and **disposal** of **other than long term** assets e.g. Shares, debentures, TFC, long term loans given etc.

CASH FLOW FROM FINANCING ACTIVITIES (Handouts Page 266)

Cash flow from financing activities includes cash receipts and payments that arise from Owners of the business and other long term liabilities of the organization.

• Cash receipts and payments for **other long term** loans and borrowings.

Question No: 54 (Marks: 1) - Please choose one

In statement of cash flows, all of the following items are considered as financing activity, except:

- ► Cash received from issuance of shares
- ► Cash received from issuance of bonds
- ► **Payment made for short term debts**
- ► Collections on loans

Question No: 55 (Marks: 3)

Show how the following items will appear in profit and loss account.

Particulars	Rs.
Bad debts	3,600
Provision for doubtful debts (old)	2,500
Provision for doubtful debts (new)	800

Question No: 56 (Marks: 5)

Pass the Journal Entries in proper format of JOURNAL for the following:

- v To create provision for doubtful debts
- v To reduce the provision
- v To increase the provision

Solution:

To create provision for doubtful debts

Debit: Provision for Bad Debts (P&L)

Credit: Provision for Bad Debts

The debit account is charged against current years profit and the credit head is shown as a deduction from debtors in the balance sheet.

When the bad debt for which provision is already made is confirmed, following entry is passed:

Debit: Provision for Bad Debts

Credit: Debtors

As expense has already been charged, therefore, no affect is given to P&L at this point.

To reduce the provision

Debit: Provision for Bad Debts (Balance Sheet)

Credit: Provision for Bad Debts (P&L)

To increase the provision

Debit: Provision for Bad Debts (P&L)

Credit: Provision for bad debts

Question No: 57 (Marks: 5)

Briefly discuss the followings:

1. Issuance of shares at premium

When a company has a good reputation and earns huge profits, the demand of its shares increases in the market. In that case, the company is allowed by the Companies Ordinance 1984, to issue shares at a higher price than their face value. Such an issue is called Shares Issued at Premium. The amount received; in excess of the face value of the shares is transferred to an account called "Share Premium Account". This account is used to:

- Write off Preliminary Expenses of the company.
- Write off the balance amount, in issuing shares on discount.
- Issue fully paid Bonus Shares.

2. Cash flow statement

Cash Flow Statement shows the movement of cash resources during the year. It gives information about sources of income and account heads on which this amount is spent. It is an integral part of financial statements.

3. Debentures

Debentures are issued under the common seal (Stamp) of the company, as acknowledgement of debt, owed by the company to the public at large for a defined period of time for obtaining loan from general public and has a mark up (profit) rate attached to it, generally equal to the market rate.

4. Notes to the accounts

Notes to the accounts are explanatory notes on financial statements of the company. These include all the information, from formation of company to the calculation of figures, arrived at, during the preparation of financial statements.

Question No: 58 (Marks: 10)

On 31st December, 2006, a merchant has to receive Rs. 50,000 from sundry debtors and creates provision of 5 percent on this amount for doubtful debts. Actual bad debts during the year 2007 were Rs.1, 400. The debtors on 31st December, 2007, are Rs. 40,000 on which he again creates provision of 5 % for doubtful debts. During 2008 actual bad debts are Rs. 600 and the debtors at the end of 2008 totalled Rs. 25,000, on which a reserve a reserve of 5 % for doubtful debts is required to be maintained.

Required: Prepare provision for doubtful debts account with the help of given data.

Question No: 59 (Marks: 10)

The following Trial Balance was extracted from the books of Naeem & Sons on 31st December, 2007. From this you are required to prepare an Income Statement for the year ended 31st December, 2007.

Particulars	Debit	Credit
	Rs.	Rs.
Cash	5,000	
Accounts Receivable	9,000	
Merchandise Inventory on 1.1.2007	6,000	
Plant and Machinery	24,000	
Land and Building	82,000	
Furniture and Fixtures	2,600	
Capital		136,000
Accounts Payable		3800
Purchases	60,000	
Purchases returns and allowances		2,800
Sales		70,000
Sales returns and allowances	4,600	
Insurance	3,400	
Advertisement expenses	4,000	
Salaries expenses	12,000	
Total	212,600	212,600

ADDITIONAL INFORMATION:

5. Prepaid insurance on 31st December, 2007 is Rs. 1,400
6. Outstanding salaries Rs. 1,000
7. Depreciation on Plant and Machinery @ 10% p.a.
8. Merchandise inventory on 31st December, 2007 was valued at Rs. 6,000

Paper No:17

Solved by Chanda Rehman, Nomi chakwal ABr

FINALTERM EXAMINATION

Fall 2009

MGT101- Financial Accounting (Session - 4)

Ref No: 1195706

Time: 120 min

Marks: 87

Question No: 1 (Marks: 1) - Please choose one

Word “Credit” is derived from _____ language.

► **Latin**

► English

► French

► Chinese

Question No: 2 (Marks: 1) - Please choose one

What is the nature of an expense account?

► **Debit**

► Credit

► Revenue

► None of the given options

Question No: 3 (Marks: 1) - Please choose one

_____ A summarized record of transactions related to individuals or things is called a/an _____.

► **Account**

► Voucher

► Journal

► Trial balance

Question No: 4 (Marks: 1) - Please choose one

_____ In an account, if credit side < debit side then the balance is known as:

► Negative Balance

► **Debit Balance**

► Positive Balance

► Credit Balance

Question No: 5 (Marks: 1) - Please choose one

_____

Which of the following organizations do **NOT** prepare Income & Expenditure account?

► Public limited companies

► Private limited companies

► Partnership firms

► **All of the given options**

Question No: 6 (Marks: 1) - Please choose one

Which of the following account will be credited in the books of XYZ Co. Ltd, if the business purchased a vehicle though cheque?

► Vehicle account

► Cash account

► Business account

► **Bank account**

Question No: 7 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 90,000 and operating expenses are Rs. 25,000 during the year. What would be the Net Profit?

► **Rs. 5,000**

► Rs. 25,000

► Rs. 55,000

► Rs. 60,000

Question No: 8 (Marks: 1) - Please choose one

Which of the following financial statement **DO NOT** show the financial health of a business

► Profit and loss account

► Balance sheet

► Statement of financial position

► **All of the given options**

at a specific date?

Question No: 9 (Marks: 1) - Please choose one

_____ The total of all costs incurred to convert raw material into finished goods is known as:

► Prime cost

► **Conversion cost**

► Sunk cost

► Opportunity cost

Question No: 10 (Marks: 1) - Please choose one

_____

Which of the following particular is **NOT** included in the specimen of a Journal Voucher?

► Name of organization

► **Bank receipt**

► Debit amount

► Credit amount

Question No: 11 (Marks: 1) - Please choose one

Accountancy covers which of the following area(s):

► Book-keeping

► Accounting

► Auditing

► **All of the given options**

Question No: 12 (Marks: 1) - Please choose one

Depreciation arises because of:

► Fall in the market value of an asset

► Fall in the value of money

► Physical wear and tear

► **All of the given options**

Question No: 13 (Marks: 1) - Please choose one

Which of the following account will be debited, when the bad debts are recovered?

► Bad debt recovered a/c

► Cash a/c

► Doubtful debts a/c

► Bad debts a/c

Question No: 14 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

► **Rs. 400**

► Rs. 800

► Rs. 2,000

► Rs. 2,400

Question No: 15 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	3,600
Provision for doubtful debts (old)	6,000
Current year's provision (new)	1,500

► Rs. (5,100)

► Rs. 5,100

► Rs. (900) (Minus main answer hai tabi Credit side par show hoga)

► Rs. 900

Question No: 16 (Marks: 1) - Please choose one

_____ On which of the following system control accounts are based?

► **Double entry book keeping system**

► Single entry book keeping system

► Cash accounting system

► All of the given options

Question No: 17 (Marks: 1) - Please choose one

_____
Which of the following entry will be passed to record discount received in control account?

► Discount Received (Dr) and Creditors Control A/c (Cr)

► Discount Received (Dr) and Creditors A/c (Cr)

► Creditors Control A/c (Dr) and Discount Received (Cr)

► Creditors A/c (Dr) and Discount Received (Cr)

Question No: 18 (Marks: 1) - Please choose one

_____ A receipt of cash Rs. 10,000 from Mr. Bilal is recorded as Rs. 1,000. What amount will be adjusted in rectifying entry?

► Rs. 1,000

► **Rs. 9,000**

► Rs. 10,000

► Rs. 11,000

Question No: 19 (Marks: 1) - Please choose one

Which of the following rectifying entry will be recorded, if sales to Mr. “A” of Rs.336 have been debited to Mr. “B” account?

► **A’s account (Dr.) and B’s account (Cr.)**

► B’s account (Dr.) and A’s account (Cr.)

► Sales account (Dr.) and B’s account (cr.)

► B’s account (Dr.) and Sales account (Cr.)

Question No: 20 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of Sale to Mr.”A” Rs. 336 was not recorded at all?

► Only sales account

► Only A’s account

► Only cash account

► **Both sales account and A’s account**

Question No: 21 (Marks: 1) - Please choose one

Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

► Bank charges

► An error on the Bank Statement

► An uncredited deposit

► An unpresented cheque

Question No: 22 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

► **Rs. 600**

► Rs. 1,000

► Rs. 2,000

► Rs. 2,600

Question No: 23 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	700
Sundry Debtors (Given in trial balance)	44,800

If the Provision for doubtful debts has been increased by 5%, which amount of new provision will be shown in Profit & Loss Account?

► **Rs. 2,240**

► Rs. 2,425

► Rs. 1,925

► Rs. 3,025

Question No: 24 (Marks: 1) - Please choose one

The main objective of financial reporting is to provide:

► Essential information to internal users of financial reports.

► **Useful economic information about the business to the external parties for sound financial decisions.**

► Information to internal users about the cash position of the business.

► Information to the Securities Exchange Commission (SEC).

Question No: 25 (Marks: 1) - Please choose one

A financial statement that indicates the success or failure of a business, over a period of time is called:

► A cash flow statement

► A retained earnings statement

► An income statement

► **A balance sheet**

Question No: 26 (Marks: 1) - Please choose one

Which of the following is/are **NOT** shown in balance sheet of sole proprietor?

► Fixed assets

► Current liabilities

► **Profit sharing ratio**

► Long term assets

Question No: 27 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about the Accounts receivable?

► Accounts receivable arises when a company buys goods or services from another party on credit

► Accounts receivable is a miscellaneous category that may include loans to employees

► Accounts receivable are more formal than notes receivable

► **Accounts receivable are often called trade receivables**

Question No: 28 (Marks: 1) - Please choose one

Which of the following account will be debited when the interest on drawings is charged?

► Partner's capital account

► **Interest account**

► Partner's current account

► Profit & Loss account

Question No: 29 (Marks: 1) - Please choose one

In case of fixed capital accounts, other transactions such as Drawings and Profit etc. are recorded in a separate account that is called _____.

► Fixed Capital Account

► Current Account

► Fluctuating Capital Account

► Floating Capital Account

Question No: 30 (Marks: 1) - Please choose one

Which of the following clause/s are discussed in Memorandum of Association of Companies?

► Name of company

► Place of registered office of company

► Objective of the company

► **All of the given options**

Question No: 31 (Marks: 1) - Please choose one

Preliminary Expenses of the company may write off against:

► **Share premium account**

► Share holder account

► Debtors control account

► Creditor control account

Question No: 32 (Marks: 1) - Please choose one

What are the effects on financial statements, if provision for Income Tax to be made Rs. 12,000 is given in adjustment?

► It will be deducted in Income Statement only

► It will be treated as current liability in balance sheet only

► It will be treated as current asset in balance sheet only

► **Both it will be deducted in income statement and it will be treated as current liability in balance sheet**

Question No: 33 (Marks: 1) - Please choose one

Which of the following is **NOT** a cash inflow?

► Sale of fixed asset

► Issue of debentures

► Cash from business operation

► Purchase of fixed asset

Question No: 34 (Marks: 1) - Please choose one

Which of the following statement in **NOT TRUE** about the limited company form of business?

► The limited company form of business allows ownership of the business to be spread amongst many people

► Shareholders can appoint professionals

► **Shareholders are personally liable for all the liabilities incurred by the business**

► Regular filing of information about the affairs of the company is a legal requirement

Question No: 35 (Marks: 1) - Please choose one

If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. C in distributable profit.

► Rs. 98,000

► Rs. 1, 47,000

► Rs. 2, 45,000

► Rs. 3, 43,000

Question No: 36 (Marks: 1) - Please choose one

What is the treatment of Accumulated Depreciation in Balance Sheet?

► **It may treated as a deficit not sure**

► It may treated as a surplus

► It may treated as a revenue

► None of the given options I think this one

Question No: 37 (Marks: 1) - Please choose one

According to the double entry system of book keeping, the investment of Rs.10, 000 in the business made by the owner will effect:

► **Cash Account & Capital Account**

► Cash Account & Expense Account

► Capital Account & Revenue Account

► Capital Account & Expense Account

Question No: 38 (Marks: 1) - Please choose one

_____ The return of goods by a customer should be debited to:

► Customer's account

► **Sales return account**

► Goods account

► Accounts receivable account

Question No: 39 (Marks: 1) - Please choose one

_____

Expenditures incurred annually on renewal of patent are known as:

► Revenue Expenditures

► **Capital Expenditures**

► Deferred Expenditures

► None of the given options

Question No: 40 (Marks: 1) - Please choose one

_____

Debts that are not collectible and worthless to the creditor are known as:

► Doubtful debts

► **Bad debts**

► Provision for doubtful debts

► Loss

Question No: 41 (Marks: 1) - Please choose one

_____ ABC Company received discount on its credit purchases, which of the following will be debited while entering in journal?

► Cash

► Discount received

► Creditors

► Bank

Question No: 42 (Marks: 1) - Please choose one

_____ The amount owed by debtors at the start of a month appears on the _____ side of the individual debtors account.

► Left side or credit

► Left side or debit

► Right side or debit

► Right side or credit

Question No: 43 (Marks: 1) - Please choose one

_____ Ahmad Industries want to make payment to its supplier in the form of a pay order. The bank deducted Rs.160 as service charges without its knowledge. The error is known as:

► **Error of commission**

► Error of omission

► Error of original entry

► Error of principle

Question No: 44 (Marks: 1) - Please choose one

Which of the following accounts would never be reported in the income statement as an expense?

► **Depreciation expense**

► Income tax expense

► Interest expense

► Dividends expense

Question No: 45 (Marks: 1) - Please choose one

In the heading of financial statement, _____ is not required?

► Title of financial statement

► **Name of the person who prepares financial statement**

► Period for which financial statement is prepared

► Name of business entity

Question No: 46 (Marks: 1) - Please choose one

In a partnership of Mr. A and Mr. B, the share of profit of Mr. A is Rs.75,375 and the share of profit of Mr. B is Rs. 25,125. What will be the ratio of their share?

► 1:2

► 2:3

► **3:2**

► 3:1

Question No: 47 (Marks: 1) - Please choose one

Which of the following is decreased when an asset is converted into expense in adjustment?

► **Revenue**

► Net income

► Expense

► Liability

Question No: 48 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,500 and markup on drawings of Mr. B is Rs.2,800. The net income for the year is Rs.95,000. What will be the amount of distributable profit?

► **Rs.89,700**

► Rs.94,700

► Rs.95,300

► Rs.100,300

Question No: 49 (Marks: 1) - Please choose one

How many members can subscribe their names in memorandum of association for registration of public limited company?

► 2

► 3

► 5

► **7**

Question No: 50 (Marks: 1) - Please choose one

Which of the following is responsible to register the companies?

► State Bank of Pakistan

► **Security and Exchange Commission of Pakistan**

► Supreme Court

► Stock Exchange

Question No: 51 (Marks: 1) - Please choose one

The amount of share premium can be utilized except:

► **To write off preliminary expenses**

► To meet the expenses of issue of shares

► To distribute among the share holders

► To issue bonus shares

Question No: 52 (Marks: 1) - Please choose one

Which of the following capital is required for the registration of the company?

► Issued capital

► Subscribed capital

► **Authorized capital**

► Reserve capital

Question No: 53 (Marks: 1) - Please choose one

Which of the following items of balance sheet are useful in evaluating a company's liquidity?

► Current assets and other assets

► **Current liabilities and current assets**

► Current liabilities and plant and equipment

► Non current liabilities and other assets

Question No: 54 (Marks: 1) - Please choose one

_____ The company ABC purchased an asset for Rs. 40,000, paying 30,000 in cash and issuing a long term note payable for remaining balance. The amount will be recorded in statement of cash flows as:

► Rs. 40,000 cash outflow as investing activity

► Rs. 30,000 cash outflow as investing activity

► **Rs. 10,000 cash inflow as investing activity**

► Rs. 70,000 cash inflow as investing activity

Question No: 55 (Marks: 3)

_____ **Why an organization is needed to prepare a cash flow statement.**

Question No: 56 (Marks: 5)

_____

Show the following assets at Written Down Value in Balance Sheet with complete working.

Particulars	Rs.
Plant & Machinery	53,000
Buildings	35,000
Tools & Equipment	8,650

Depreciation Rate:

- Plant & Machinery @ 10%
- Buildings @ 5%
- Tools& Equipment @ 15%

Question No: 57 (Marks: 5)

Financial year decided by partnership agreement is 1st July to 30th June. Mr. Ali is partner and having a capital of Rs. 1,500,000 on July 1st 2007 and he introduced more capital on August 1st 2007 Rs. 10,000 on April 1st2008, Rs.500,000 and on June 1st 2008 , Rs. 5,000. Mark up rate is 10% p.a.

Calculate mark up on Mr. Ali's capital for the year ending on 30th June 2008.

Question No: 58 (Marks: 10)

The following errors have been discovered in the book of a Business Concern:

1. Wage of Rs. 500 paid for the installation of plant debited to Wages Account.
2. Purchases of Office Equipment Rs. 2,000 were recorded as regular purchases of business.
3. Credit sale of Rs. 600 to Kareem was wrongly debited to Kamran.
4. Rs. 200 drawn by the proprietor was treated as Trade Expenses.
5. Rs. 300 received as a Commission was wrongly credited to Sales Account.

Required:

Pass the rectifying entries only.

Question No: 59 (Marks: 10)

Prepare Balance Sheet for the manufacturing concern as on 31st December, 2007 with the help of given data.

Particulars	Rs.
Capital	120,000
Trade Creditors	17,500
Bills payable	1,000
Sales	626,100
Raw material Stocks on 1-1-2007	30,000
Work in process on 1-1-2007	35,600
Finished Goods on 1-1-2007	35,400
Purchases	518,000
Carriage inwards	8,900
Discount Allowed	750
Debtors	16,000
Sales man commission	2,000
Office expenses	2,000
Carriage outwards	1,700
Bad debts	1,400
Salaries	13,000
Direct labor	1,800
FOH	1,100
Plant & Machinery	53,000
Buildings	35,000
Tools	8,650
Long term liability	4,902
Drawings	5,000

Stock as on 31st December, 2007

- Ø Raw material Stocks Rs. 31,000
- Ø Work in process Rs. 25,000
- Ø Finished Goods Rs. 53,900

Depreciation Rate:

- v Plant & Machinery is depreciated @ 10%
- v Buildings is depreciated @ 5%
- v Tools is depreciated @ 15%

Additional data

- v Reserve and bad debts is to be created at 5% on debtors.
- v Net Income for the year Rs. 75,000

Paper no 18

Solved by Chanda Rehman & ABr

FINALTERM EXAMINATION,

Fall 2008

MGT101- Financial Accounting (Session - 1)

Time: 120 min

Marks: 85

Question No: 1 (Marks: 1) - Please choose one

Which of the following item will be credited in capital account of sole proprietor?

► Cash

► Drawings

► Debtors

► **Profit**

Question No: 2 (Marks: 1) - Please choose one

Debenture is also named as:

► Share

► Bond

► Equity

► Reserve

Question No: 3 (Marks: 1) - Please choose one

A firm may earn profit during an accounting period but have less money in the bank at the end of the period then it had at the beginning. Which of the followings, on its own, could explain this?

► Not paying invoices received from creditors

► The sale of fixed assets during the period

► An increase in trade debtors over the course of the period

► **An increase in the depreciation charge relative to the previous accounting period doubted**

Question No: 4 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as a cash outflow?

► The payments for purchases made during the year

► A decrease in trade debtors over the course of an accounting period

► Money received as a result of issuing new shares

► Money received as result of selling fixed assets

Question No: 5 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as an inflow of cash?

► The repayments of a bank loan

► Dividend issue in the current year

► **Money received as result of selling fixed assets**

► The difference between the valuations of old and new fixed assets

Question No: 6 (Marks: 1) - Please choose one

_____ A company is said to have been registered when:

► It filed with the Registrar of Companies articles certain documents, like memorandum and articles of association

► **It gets certificate of incorporation from registrar of Companies doubted**

► It gets certificate of commencement of business from registrar of Companies

► It actually starts its business

Question No: 7 (Marks: 1) - Please choose one

_____

Which of the following option(s) is **TRUE** about the Sales returns?

► Sales returns reduce the Gross sales of the firm

► Sales returns affect the Net income of the firm

► Sales returns affect the flow of cash

► **All of the given options**

Question No: 8 (Marks: 1) - Please choose one

Share premium account is used for what?

- ► Write off Preliminary Expenses of the company.
- ► Write off the balance amount, in issuing shares on discount.
- ► Issue fully paid Bonus Shares.
- **► All of the given options**

Question No: 9 (Marks: 1) - Please choose one

The maximum amount with which the company is registered is called:

- **► Authorized Share Capital**
- ► Issued Share Capital
- ► Paid up capital
- ► Called up capital

Question No: 10 (Marks: 1) - Please choose one

The Joint Stock Company is formed under the Companies Ordinance:

- **► 1984**
- ► I884
- ► 1948
- ► 1965

Question No: 11 (Marks: 1) - Please choose one

In case of fixed capital accounts, other transactions such as Drawings and Profit etc. are recorded in a separate account that is called _____.

► Fixed Capital Account

► **Current Account**

► Fluctuating Capital Account

► Floating Capital Account

Question No: 12 (Marks: 1) - Please choose one

Which of the following represents the relationship between persons who have agreed to share the profit of business carried on by all or any of them acting for all?

► Sole-ownership

► Private limited company

► Public limited company

► **Partnership**

Question No: 13 (Marks: 1) - Please choose one

Current accounts of the partners should be opened when the capitals are:

► Normal

► Floating

► **Fixed**

► Fluctuating

Question No: 14 (Marks: 1) - Please choose one

Fixed Assets (WDV) + Working Capital =?

► Total assets employed

► Total liabilities

► Total assets

► Current assets

Question No: 15 (Marks: 1) - Please choose one

Which of the following journal entry will be recorded, if cash is drawn by a Proprietor?

► Proprietor's drawings a/c (Dr.) and Cash a/c (Cr.)

► Cash a/c (Dr.) and Proprietor's drawings a/c (Cr.)

► Proprietor's Capital (Dr.) and Proprietor's drawings a/c (Cr.)

► Proprietor's drawings (Dr.) and Proprietor's Capital a/c (Cr.)

Question No: 16 (Marks: 1) - Please choose one

Which of the following will be debited, if cash is drawn by Proprietor?

► Proprietor's drawings

► Proprietor's cash

► Proprietor's capital

► Proprietor's income

Question No: 17 (Marks: 1) - Please choose one

An asset is considered to be a current asset if:

► It has been bought recently and was bought new and not used

► It can be realized in cash or sold or consumed in the business within one year

► It is a piece of new machinery that is expected to last for at least ten years

► All of the given options

Question No: 18 (Marks: 1) - Please choose one

Which financial statement show what a business owes at a particular point in time?

► A cash flow statement

► The bank statement for the business

► A balance sheet

► A statement of retained earnings

Question No: 19 (Marks: 1) - Please choose one

The Balance Sheet item that represents the resources invested by the owner is known as:

► Accounts Receivable

► Cash

► Note Payable

► Owner's Equity

Question No: 20 (Marks: 1) - Please choose one

Which of the following is **NOT** an operating expense?

► Salaries and wages expense

► Rent expense

► Interest expense

► Depreciation expense

Question No: 21 (Marks: 1) - Please choose one

Which of the following accounts would be increased with a debit?

- ► Contributed Capital
- ► Retained Earnings
- ► Revenues
- ► Expenses

Question No: 22 (Marks: 1) - Please choose one

Which of the following subsidiary book(s) is (are) maintained for creditors control account?

- ► Purchase Day Book
- ► Purchase Return
- ► Creditors Ledger
- ► All of the given options

Question No: 23 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account

- ► Rs. 3,600
- ► Rs. 4,000
- ► Rs. 1,600
- ► Rs. 2, 400

Question No: 24 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

► Rs. 600

► Rs. 1,600

► Rs. 2,000

► Rs. 2,600

Question No: 25 (Marks: 1) - Please choose one

Sale of goods to Mr. Amir is wrongly debited to Umair A/c(debtor) instead of Amir A/c(debtor), this is an example of:

► **Error of principle**

► Error of omission

► Error of commission

► Error of original entry

Question No: 26 (Marks: 1) - Please choose one

"Goods sold to Mr. Salman for Rs. 6,000 have been forgotten to enter in books of accounts", is an example of:

► Error of principle

► **Error of omission**

► Error of commission

► Error of original entry

Question No: 27 (Marks: 1) - Please choose one

Transaction that has been completely forgotten to enter is called:

► Error of principle

► **Error of omission**

► Error of commission

► Error of original entry

Question No: 28 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of sales to Rahim Rs. 336 posted to his account as Rs. 363?

► Sales account

► Rahim’s account

► Cash account

► Both sales and Rahim’s Account

Question No: 29 (Marks: 1) - Please choose one

Which of the following is a detailed record of an individual account in case of large business?

► Control Account

► **Subsidiary Ledger**

► Balance Sheet

► Trial Balance

Question No: 30 (Marks: 1) - Please choose one

Which of the following is **NOT** included in Debtors Control Account?

► **Cash sales**

► Credit sales

► Bills receivable

► Discount allowed

Question No: 31 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 5%	

Requirement: Identify the Total amount which will deduct from Sundry debtors.

► Rs. 460

► Rs. 2,400

► Rs. 1,540

► Rs. 3,940

Question No: 32 (Marks: 1) - Please choose one

_____ Bad debts written off (given in adjustment) always affect the:

► Debtors account

► Creditors account

► Cash account

► Capital account

Question No: 33 (Marks: 1) - Please choose one

_____ debts that are not collectible and worthless to the creditor are known as:

► Bad debts

► Good debts

► Doubtful debts

► Provision for doubtful debts

Question No: 34 (Marks: 1) - Please choose one

_____
Which of the following is **NOT** a function of bank reconciliation statement?

► To reconcile the difference between the cash book and the bank statement

► To check for errors in balance sheet

► To update omitted entries into the cash book

► To update omitted entries into the bank statement

Question No: 35 (Marks: 1) - Please choose one

_____ The following balance and discrepancies were found on 31 March 2008:

Particulars	Rs.
Cash book balance (Dr)	5 000
Unpresented cheques	1 000
Uncredited cheques	500

The Bank Statement balance on 31 March 2008 should be:

- ► Rs. 5 500 (Dr)
- ► Rs. 5 500 (Cr)
- ► Rs. 4 500 (Dr)
- ► Rs. 4 500 (Cr)

Question No: 36 (Marks: 1) - Please choose one

_____ In accounting accumulated depreciation is:

- ► Treated as a reserve
- ► Treated as a contra asset
- ► Treated as a surplus
- ► Treated as an expense

Question No: 37 (Marks: 1) - Please choose one

_____ Find out the missing value of an Accounting Equation with the help of given data:

Cash at bank	Rs. 22,500
Other assets	Rs. 1,000
Creditors	Rs. 8,385
Other liabilities	Rs. 9,000

► **Rs. 6,115 owner's equity**

► Rs. 31,885 owner's equity

► Rs. 17,385 owner's equity

► Rs. 18,385 owner's equity

Question No: 38 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Total Assets	Rs. 34,500
Accounts payable	Rs. 1, 000
Other liabilities	Rs. 11,500

► **Rs. 22,000 owner's equity**

► Rs. 23, 000 owner's equity

► Rs. 24,000 owner's equity

► Rs. 46,000 owner's equity

Question No: 39 (Marks: 1) - Please choose one

Which of the following particular is **NOT** included in the specimen of a Journal Voucher?

► Name of organization

► **Bank receipt**

► Debit amount

► Credit amount

Question No: 40 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 15,000
Sale price after 5 years	Rs.50,000
Book value of Asset after 5 years	**?**

► Rs.25, 000

► Rs. 75,000

► Rs. 15,000

► Rs. 1, 00,000

Question No: 41 (Marks: 1) - Please choose one

Which of the following account will be debited, when the labor cost is charged to production?

► Finished goods account

► Labor cost account

► Work in process account doubted

► COGFactor over head account

Question No: 42 (Marks: 1) - Please choose one

Which of the following organization converts raw material into finished goods?

- ► Trading concern
- ► **Manufacturing concern**
- ► Merchandising concern
- ► Service concern

Question No: 43 (Marks: 1) - Please choose one

Which of the following particular is **NOT** included in the specimen of a payment voucher?

- ► Name of organization
- ► Cash payment amount
- ► Date of transaction
- ► **Bank receipt**

Question No: 44 (Marks: 1) - Please choose one

Which of the following particulars are included in the specimen of a bank receipt voucher?

1) Name of the organization
2) Bank code
3) Date of transaction

- ► (1) & (2) only
- ► (1) & (3) only

► (2) & (3) only

► **(1), (2) & (3)**

Question No: 45 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs. 20,000 during the year, what would be the value of Gross Profit?

► **Rs. 15,000**

► Rs. 35,000

► Rs. 55,000

► Rs. 60,000

Question No: 46 (Marks: 1) - Please choose one

Which of the following statement is **NOT TRUE** about Current liabilities?

► These are due within one year

► These are short-term loans

► **These are consist of all debts, payable after 12 months**

► In working capital, these are deducted from current assets

Question No: 47 (Marks: 1) - Please choose one

Accrued expenses are the example of:

► **Current liabilities**

► Long term liabilities

► Deferred costs

► Capital expenses

Question No: 48 (Marks: 1) - Please choose one

Which of the following item will appear on the Balance Sheet as current assets?

► Prepaid expenses

► Accrued expenses

► Furniture and Equipment

► Unearned revenue

Question No: 49 (Marks: 1) - Please choose one

When a Liability is reduced or decreased, it is recorded on the:

► Right or debit side of the account

► Left or debit side of the account

► Left or credit side of the account

► Right or credit side of the account

Question No: 50 (Marks: 1) - Please choose one

Which of the following is non- profit organization?

► Sole proprietorship

► Partnership

► Limited company

► **Trust**

Question No: 51 (Marks: 5)

The following errors have been discovered in the book of a Business Concern:

1. A credit purchase of Rs. 10,000 from Rizwan was wrongly passed through the sales book.
2. The casting of the sales book Rs. 1, 15,594 was carried to the sales account as Rs. 1, 51,954.

Required:

Pass the rectifying entries only.

1.Debit Creditor's account

Credit Sales book account

2.Debit Cash account Rs 36360

Credit Sales account Rs (36360)

Question No: 52 (Marks: 10)

Following information is extracted from the books of Arfan Ltd as on December 31st, 2007.

Particulars	Cost	Depreciation rate	Accumulated Depreciation On 01-01-2007
Vehicles 01-01-2007	1,90,000	10%	10,000
Building 01-01-2007	4,00,000	20%	12,500
Furniture & Fixture 01-01-2007	4,15,000	15%	34,500
Land 01-01-2007	1,58,000	--	---

You are required to calculate Written down value of each asset and show working of complete depreciation for the year ending on December 2007.

Question No: 53 (Marks: 10)

Write a note on legal documents required for the formation of company.

Question No: 54 (Marks: 10)

The following discrepancies were noted on comparing Cash Book with Pass Book.

3. Balance as per Cash Book (Cr) is Rs. 19,000.
4. Cheque for Rs. 5,000 paid into the bank for collection on 20th March, 2008 has not yet been collected.
5. Cheques for Rs. 15,000 Issued on 24th March, 2008, out of which Cheques for Rs. 10,000 presented during March, 2008
6. An amount of Rs. 1,000 for interest on overdraft was debited in the Pass Book but was intimated to Mr. David on 4th April, 2008.
7. Mr. David paid into his bank account an amount of Rs. 3,000 but it was wrongly credited to Mr. Denial's Account.
8. On 20th March, 2008 the bank received dividend of Rs. 10,000 from a company where Mr. David's has invested his money, the same had been recorded in Cash Book on 31st March, 2008.
9. Cheque of Rs. 2,500 was shown in Pass Book as dishonored.

Required: Prepare a Bank Reconciliation Statement as on 31st March, 2008

Paper No:19

Solved By Chanda Rehman n ABr

FINALTERM EXAMINATION

Fall 2008

MGT101- Financial Accounting (Session - 3)

Time: 120 min

Marks: 85

Question No: 1 (Marks: 1) - Please choose one

Debenture is also named as:

► Share

► **Bond**

► Equity

► Reserve

Question No: 2 (Marks: 1) - Please choose one

What types of changes (is) are made at the admission of partner in partnership?

► Assets of old business will be revalued

► Liabilities of old business will be revalued

► Good will of business will be revalued

► All of the given options

Question No: 3 (Marks: 1) - Please choose one

The balance sheet reported a beginning balance of Rs. 20,000 in Accounts Receivable and an ending balance of Rs. 15,000. Credit Sales of Rs. 200,000 were made during the year. Using this information, compute cash collected from customers.

► Rs. 215,000

► Rs. 195,000

► Rs. 200,000

► **Rs. 205,000**

Beginning – ending + credit sales

20,000 – 15,000 + 200,000

Question No: 4 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as an inflow of cash?

► The repayments of a bank loan

► Dividend issue in the current year

► **Money received as result of selling fixed assets**

► The difference between the valuations of old and new fixed assets

Question No: 5 (Marks: 1) - Please choose one

Which of the following is **NOT** a cash inflow?

► **Purchase of fixed asset**

► Sale of fixed asset

► Issue of debentures

► Cash from business operation

Question No: 6 (Marks: 1) - Please choose one

What are the effects on financial statements, if Rs. 6,000 transfer to general reserve is given in adjustment?

► It will be treated in Income Statement only

► It will be treated as current liability in balance sheet only

► It will be treated in profit and loss appropriation account only

► **it will be treated in both profit and loss appropriation account and in the balance sheet**

Question No: 7 (Marks: 1) - Please choose one

Which of the following is the most important document of the company?

► Memorandum of Association

► Articles of Association

► Prospectus

► Annual Report

Question No: 8 (Marks: 1) - Please choose one

Which of the following document(s) define the relation of company with outside world?

► Memorandum of Association

► Articles of Association

► Prospectus

► **Statutory Declaration doubted**

Question No: 9 (Marks: 1) - Please choose one

The income statement of the Limited company is also known as:

► Manufacturing account

► **Profit and Loss account**

► Profit and Loss Appropriation account

► Current Account

Question No: 10 (Marks: 1) - Please choose one

_____ In which of the following auditor's remuneration payable is shown?

► In balance sheet under the head of current liabilities only

► In balance sheet under the head of current assets only

► In income statement under the administrative expense only

► **In both balance sheet under the head of current liabilities and income statement under the administrative expense**

Question No: 11 (Marks: 1) - Please choose one

_____ The charter of a company which defines the limitations and powers of the company is called:

► The memorandum of association

► Articles of association

► Statutory report

► Certificate of commencement

Question No: 12 (Marks: 1) - Please choose one

_____
Which of the following represents the partnership agreement in writing?

► Partnership registration

► Partnership-at-will

► **Partnership deed**

► Partnership certification

Question No: 13 (Marks: 1) - Please choose one

_____
Which of the following represents the relationship between persons who have agreed to share the profit of business carried on by all or any of them acting for all?

► Sole-ownership

► Private limited company

► Public limited company

► **Partnership**

Question No: 14 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about the Accounts receivable?

► Accounts receivable arises when a company buys goods or services from another party on credit

► Accounts receivable is a miscellaneous category that may include loans to employees

► Accounts receivable are more formal than notes receivable

► **Accounts receivable are often called trade receivables**

Question No: 15 (Marks: 1) - Please choose one

Which one of the following is **TRUE** about provisions?

► It is necessary to prepare for showing true picture of balance sheet

► It is a reduction from assets

► It is prepared for specific purposes

► **All of the given options**

Question No: 16 (Marks: 1) - Please choose one

Which financial statement show what a business owes at a particular point in time?

► A cash flow statement

► The bank statement for the business

► **A balance sheet**

► A statement of retained earnings

Question No: 17 (Marks: 1) - Please choose one

Which of the following is an example of operating expense?

► Purchasing operating equipment

► **Purchasing cleaning services doubted**

► Purchasing an investment in another company

► Purchasing a computer for the accounting office

Question No: 18 (Marks: 1) - Please choose one

Short-term investments include all of the following **EXCEPT**:

► A bond receivable intended to be sold within one year

► Frequently traded securities

► A stock investment in the General Electric Company intended to be sold within one year

► **A shares investment in the Coca-Cola Company intended to be held for several years**

Question No: 19 (Marks: 1) - Please choose one

The figure of cash received from debtors can be located either from cash book or:

► **Debtor's Control Account**

► Balance Sheet

► Profit & Loss Account

► Bills Payable Account

Question No: 20 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 10%	

Identify the Total amount deducted from Sundry debtors.

► Rs. 460

► Rs. 2,400

► Rs. 3,080

► **Rs. 5,480**

Question No: 21 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

► Rs. 600

► **Rs. 1,000**

► Rs. 2,000

► Rs. 2,600

Question No: 22 (Marks: 1) - Please choose one

Which of the following entry will be recorded, if a cheque deposited is dishonored by bank?

► Bank Account (Dr.) and Debtor's Account (Cr.)

► **Debtor's Account (Dr.) and Bank Account (Cr.)**

► Dishonored Cheque Account (Dr.) and Bank Account (Cr.)

► Creditor's Account (Dr.) and Bank Account (Cr.)

Question No: 23 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of an amount Rs.200 received from Mr."P" wrongly credited to Mr."Q's" account?

► **Both of Mr. P's & Mr.Q's Account**

► Only Cash Account

► Only P's account

► Only Q's account

Question No: 24 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of sales Rs.100 to Mr. "A" recorded in the purchases book?

► Sales account

► Purchase account

► A’s account and Sales account

► **Sales account, purchase account and A’s account**

Question No: 25 (Marks: 1) - Please choose one

"Goods sold to Mr. Salman for Rs. 6,000 have been forgotten to enter in books of accounts", is an example of:

► Error of principle

► **Error of omission**

► Error of commission

► Error of original entry

Question No: 26 (Marks: 1) - Please choose one

Transaction that has been completely forgotten to enter is called:

► Error of principle

► **Error of omission**

► Error of commission

► Error of original entry

Question No: 27 (Marks: 1) - Please choose one

Which of the following is (are) included in Creditors Control Account?

► Discount received from supplier

► Credit purchases

► Bills payable

► **All of the given options**

Question No: 28 (Marks: 1) - Please choose one

Which of the following is **NOT** included in Debtors Control Account?

► **Cash sales**

► Credit sales

► Bills receivable

► Discount allowed

Question No: 29 (Marks: 1) - Please choose one

Which of the following subsidiary book(s) is (are) maintained for debtors control account?

► Sales Day Book

► Sales Return

► Debtors Ledger

► **All of the given options**

Question No: 30 (Marks: 1) - Please choose one

Which of the following is **NOT** based on the concept of double entry book keeping system?

► Subsidiary Ledgers

► Creditors Control Accounts

► Debtors Control Accounts

► **All of the given options doubted**

Question No: 31 (Marks: 1) - Please choose one

Which of the following entry will be recorded when the Bad Debts are recovered?

► **Cash account (Dr.) & Bad Debts recovered account (Cr.)**

► Accounts Receivable account (Dr.) & Bad Debts recovered account (Cr.)

► Bad debts recovered account (Dr.) and Profit & Loss account (Cr.)

► Provision for doubtful debts account (Dr.) & Cash account (Cr.)

Question No: 32 (Marks: 1) - Please choose one

In which of the following condition(s) **DEBT** is regarded as **BAD**.

► Bankruptcy of the debtor

► Disappearance of debtor's business

► Failure of repeated attempt to collect the debt

► **All of the given options**

Question No: 33 (Marks: 1) - Please choose one

Which of the following is **CORRECT** for Doubtful Debt?

► **It is shown in balance sheet**

► It is a definite loss to the business

► It is not shown in balance sheet

► No provision is necessary for it

Question No: 34 (Marks: 1) - Please choose one

_____ The following balance and discrepancies were found on 31 March 2008:

Particulars	Rs.
Cash book balance (Dr)	5 000
Unpresented cheques	1 000
Uncredited cheques	500

The Bank Statement balance on 31 March 2008 should be:

► Rs. 5 500 (Dr)

► Rs. 5 500 (Cr)

► Rs. 4 500 (Dr)

► Rs. 4 500 (Cr)

Question No: 35 (Marks: 1) - Please choose one

_____ A Bank Reconciliation Statement is prepared to:

► **Ascertain that the difference between the Cash Book balance and the Bank Statement balance has been accounted for**

► Correct errors in the Cash Book or errors in the Bank Statement

► Amend the balance of the Bank Statement of the firm

► Amend the balance in the Cash Book of the firm

Question No: 36 (Marks: 1) - Please choose one

Which of the following is **CORRECT** regarding depreciation?

► **It is a systematic allocation of depreciable amount of an asset over its estimated useful life**

► It refers to the end life of an asset

► It refers to the increase in value of asset

► It is another name of Impairment

Question No: 37 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Cash	Rs.1, 00, 000
Debtors	Rs.10, 000
Other Assets	Rs. 1,000
Owner's equity	Rs. 1, 000

► Rs. 12,000 liabilities

► Rs. 11,000 liabilities

► **Rs. 1, 10,000 liabilities**

► Rs. 1, 11,000 liabilities

Question No: 38 (Marks: 1) - Please choose one

Which of the following essentials will be shown in the format of Cash Book?

(1) Ledger code

(2) Amount of Receipt

(3) Amount of payment

► (1) only

► (1) & (2) only

► (1) & (3) only

► **(1), (2) & (3)**

Question No: 39 (Marks: 1) - Please choose one

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

► Rs.260

► Rs.232

► Rs.284

► **Rs.320**

Question No: 40 (Marks: 1) - Please choose one

In cost of goods sold statement, the ‘cost of material consumed’ is equal to:

► **Opening raw material inventory + Purchases – Ending raw material inventory**

► Opening raw material inventory - Purchases + Ending raw material inventory

► Ending raw material inventory + Opening raw material inventory - Purchases

► Ending raw material inventory + Opening raw material inventory + Purchases

Question No: 41 (Marks: 1) - Please choose one

Following are the inventories of Manufacturing Concern **EXCEPT**:

► Raw material

► Work in process

► Finished goods

► **Merchandise inventory**

Question No: 42 (Marks: 1) - Please choose one

Which of the following is an alternate term which can be used for “Capital”?

► Liability

► **Owner’s net worth**

► Working capital

► Asset

Question No: 43 (Marks: 1) - Please choose one

In which of the following condition a company will have positive working capital?

► **If current assets > current liabilities**

► If current Assets < current Liabilities

► If current assets = current liabilities

► If current assets < current liabilities

Question No: 44 (Marks: 1) - Please choose one

If salaries expense is Rs. 2,500, purchases are Rs. 16,000 and rent (office building) is Rs. 300 during the year, what would be the total of "general & administrative expenses"?

► Rs. 300

► Rs. 2,500

► **Rs. 2,800**

► Rs.18, 800

Question No: 45 (Marks: 1) - Please choose one

The amount brought by the proprietor in the business should be credited to:

► Cash account

► Capital account

► Drawings account

► Proprietor account

Question No: 46 (Marks: 1) - Please choose one

An asset on the balance sheet which is expected to be sold or used within one year is known as:

► Tangible asset

► Current asset

► Fixed asset

► Long term asset

Question No: 47 (Marks: 1) - Please choose one

Which one of the following is a type of General Ledger?

► Book of original entry

► 'T' Account

► Source document

► Day book

Question No: 48 (Marks: 1) - Please choose one

According to the double entry system of book keeping, the investment of Rs.10, 000 in the business made by the owner will effect:

► **Cash & Capital Account**

► Cash & Expense Account

► Capital & Revenue Account

► Capital & Expense Account

Question No: 49 (Marks: 1) - Please choose one

_____ Mr."
A" sold goods for Rs. 3, 00,000 to Mr. "B", Rs. 3, 00,000 will be treated as _____ for business.

► **Revenue**

► Net profit

► Gross profit

► Operating profit

Question No: 50 (Marks: 1) - Please choose one

_____
when income exceeds expenses in a specific time period is known as:

► Savings

► **Net profit**

► Gross profit

► Operating profit

Question No: 51 (Marks: 5)

_____
Financial year decided by partnership agreement is 1st July to 30th June. Mr. Ali is partner and having a capital of Rs. 1,500,000 on July 1st 2007 and he introduced more capital on August 1st 2007 Rs. 10,000 on April 1st2008, Rs.500,000 and on June 1st 2008 , Rs. 5,000. Mark up rate is 10% p.a.

Capital = 1500000 mark up= 1500000

2nd capital= 10000 markup= 1000

3rd capital= 500000 markup= 50000

4th capital= 5000 markup= 500

Total markup= Rs. 201500

Calculate mark up on Mr. Ali's capital for the year ending on 31th June 2008.

Question No: 52 (Marks: 10)

Write a note on legal documents required for the formation of company.

In Pakistan when someone wants to form a company. He will contact with SECP, its abbreviation for Securities and Exchange Commission of Pakistan. it came in 1984 in law of Pakistan which is called companies ordinance. It controls all affairs of limited companies. For making of private limited company 2 members can submit their names in memorandum and articles of association along with other requirements of company ordinance 1984. while for public limited company seven members will sent their names. By this way they can apply and make registration of the company.

Question No: 53 (Marks: 10)

What is the difference between public and private company?

The main difference between public and private company is that in public limited companies there is no restriction on number of persons to be its members. There is one restriction. That there should be a minimum of three members to form a public limited company. Public limited company can offer its shares to general public.

While in private company two to fifty persons can form a company. Minimum two members are elected to form a board of directors. This board is given the responsibility to run day to day business of the company. Private limited company cannot offer its share to general public.

Question No: 54 (Marks: 10)

The following discrepancies were noted on comparing Cash Book with Pass Book.

1. **Balance as per Cash Book (Cr) is Rs. 19,000.**
2. **Cheque for Rs. 5,000 paid into the bank for collection on 20th March, 2008 has not yet been collected.**
3. **Cheques for Rs. 15,000 Issued on 24th March, 2008, out of which Cheques for Rs. 10,000 presented during March, 2008**
4. **An amount of Rs. 1,000 for interest on overdraft was debited in the Pass Book but was intimated to Mr. David on 4th April, 2008.**
5. **Mr. David paid into his bank account an amount of Rs. 3,000 but it was wrongly credited to Mr. Denial's Account.**
6. **On 20th March, 2008 the bank received dividend of Rs. 10,000 from a company where Mr. David's has invested his money, the same had been recorded in Cash Book on 31st March, 2008.**
7. **Cheque of Rs. 2,500 was shown in Pass Book as dishonored.**

Required: Prepare a Bank Reconciliation Statement as on 31st March, 2008

Balance as per Cash Book Cr 19000

Unpresented cheques Dr 5000

Uncredited cheque Dr 10000

Interest by bank Dr. 1000

Paper No:20

Solved byABr & Chanda Rehman

FINALTERM EXAMINATION
Fall 2008

MGT101- Financial Accounting (Session - 3)

Question No: 1 (Marks: 1) - Please choose one

Debenture is also named as:

- **Share**
- **Bond**
- **Equity**
- **Reserve**

Question No: 2 (Marks: 1) - Please choose one

In which situation(s) Partnership is dissolved?

- **In case of death of partner**
- **At the admission of new partner**
- **If any partner resigned from partnership**
- **All of the given options**

Question No: 3 (Marks: 1) - Please choose one

Particulars	Rs.
Debentures	1, 50, 000
Equity Capital	2, 00,000
General Reserve	90, 000
Accumulated profit	60,000
What is debt equity ratio	?

- **15:24 (or 5: 8)**
- **15:29**
- **15:35 (or 3: 7)**

  15 : 20

Question No: 4 (Marks: 1) - Please choose one

Particulars	Rs.
Share capital of Rs. 10 each	1,000,000
Profit before tax	150,000
Taxes	10,000
Earning per share	= ?

- **Rs. 1.50 per share**
- **Rs. 1.40 per share**
- **Rs. 1.15 per share**
- **Rs. 1.25 per share**

Question No: 5 (Marks: 1) - Please choose one

In calculating earning per share (EPS), the net profit is divided by which of the following?

- **Number of ordinary shares**

► **Number of preference shares**
► **Paid up capital**
► **Authorized capital**

Question No: 6 (Marks: 1) - Please choose one
Which of the following statement in NOT TRUE **about the limited company form of business?**

► **The limited company form of business allows ownership of the business to be spread amongst many people**
► **Shareholders can appoint professionals**
► **Shareholders are personally liable for all the liabilities incurred by the business correct**
► **Regular filing of information about the affairs of the company is a legal requirement**

Question No: 7 (Marks: 1) - Please choose one
Which of the following is the most important document of the company?

► **Memorandum of Association**
► **Articles of Association**
► **Prospectus**
► **Annual Report**

Question No: 8 (Marks: 1) - Please choose one
In which of the following interim dividend is treated?

► **In profit and Loss account**
► **In profit and Loss appropriation account**
► **On the asset side of the Balance Sheet**
► **In trading account**

Question No: 9 (Marks: 1) - Please choose one
The income statement of the Limited company is also known as:

► **Manufacturing account**
► **Profit and Loss account**
► **Profit and Loss Appropriation account**
► **Current Account**

Question No: 10 (Marks: 1) - Please choose one
In which of the following auditor's remuneration payable is shown?

► **In balance sheet under the head of current liabilities only**
► **In balance sheet under the head of current assets only**
► **In income statement under the administrative expense only**
► **In both balance sheet under the head of current liabilities and income statement under the administrative expense**

Question No: 11 (Marks: 1) - Please choose one
Preliminary Expenses of the company may write off against:

► **Share premium account**
► **Share holder account**
► **Debtors control account**
► **Creditor control account**

Question No: 12 (Marks: 1) - Please choose one
The amount received; in excess of the face value of the shares is transferred to which of the following?

► **Share premium account**
► **Share holder account**
► **Share capital account**
► **Right share**

Question No: 13 (Marks: 1) - Please choose one
The maximum amount with which the company is registered is called:
► **Authorized Share Capital**
► **Issued Share Capital**
► **Paid up capital**
► **Called up capital**

Question No: 14 (Marks: 1) - Please choose one
When the capitals are fixed, which of the following account will be debited for drawings made by a partner?

► **Individual Partner's Current Account**
► **Partner's Cash Account**
► **Partner's Bank Account**
► **Partners Capital Account**

Question No: 15 (Marks: 1) - Please choose one
Which of the following is(are) type(s) of capital account in partnership?

► **Fixed Capital**
► **Current Capital**
► **Fluctuating Capital**
► **Both Fixed Capital and Fluctuating Capital**

Question No: 16 (Marks: 1) - Please choose one
Current accounts of the partners should be opened when the capitals are:
► **Normal**
► **Floating**
► **Fixed**
► **Fluctuating**

Question No: 17 (Marks: 1) - Please choose one
Identify the selling expenses of manufacturing concern with the help of given data.

Particulars	Rs.
Salesman's salary	70,000

Commission on sales	**28,000**
Carriage outward	**10,000**
Carriage inward	**5,000**

- **Rs. 80,000**
- **Rs. 60,000**
- **Rs. 38,000**
- **Rs. 1, 08,000**

Question No: 18 (Marks: 1) - Please choose one
Fixed Assets (WDV) + Working Capital =?

- **Total assets employed**
- **Total liabilities**
- **Total assets**
- **Current assets**

Question No: 19 (Marks: 1) - Please choose one
Which of the following is CORRECT **if depreciation is given in trial balance?**

- **It means depreciation has already been deducted from concerned asset account**
- **It will be shown as an expense in income statement only**
- **It will not be deducted from concerned asset in Balance Sheet**
- **All of the given options are correct**

Question No: 20 (Marks: 1) - Please choose one
Which of the following journal entry will be recorded, if cash is drawn by a Proprietor?

- **Proprietor's drawings a/c (Dr.) and Cash a/c (Cr.)**
- **Cash a/c (Dr.) and Proprietor's drawings a/c (Cr.)**
- **Proprietor's Capital (Dr.) and Proprietor's drawings a/c (Cr.)**
- **Proprietor's drawings (Dr.) and Proprietor's Capital a/c (Cr.)**

Question No: 21 (Marks: 1) - Please choose one
Which financial statement show what a business owes at a particular point in time?

- **A cash flow statement**
- **The bank statement for the business**
- **A balance sheet**
- **A statement of retained earnings**

Question No: 22 (Marks: 1) - Please choose one
Which of the following is a selling expense?

- **Any tax/freight is paid on purchases**
- **General salaries paid to laborers**
- **Tax & freight paid on sale**
- **Interest on deposits**

Question No: 23 (Marks: 1) - Please choose one
Which of the following would NOT **be considered as a component of 'cost' of stock?**

► **Salaries of selling staff**
► **Transportation inward costs**
► **Import duties**
► **Purchase price**

Question No: 24 (Marks: 1) - Please choose one
Which of the following accounts would be increased with a debit?

► **Contributed Capital**
► **Retained Earnings**
► **Revenues**
► **Expenses**

Question No: 25 (Marks: 1) - Please choose one
Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

► **Rs. 600**
► **Rs. 1,600**
► **Rs. 2,000**
► **Rs. 2,600**

Question No: 26 (Marks: 1) - Please choose one
Which of the following account will be credited when a typewriter is sold that has been used in the office?

► **Cash Account**
► **Sales Account**
► **Purchase Account**
► **Office Equipment Account**

Question No: 27 (Marks: 1) - Please choose one
A sum of Rs. 200 written off as bad debt now received credited to the account of debtor would:

► **Increase the net profit by Rs.200**
► **Decrease the profit by Rs.200**
► **Remains constant and no effect on net profit**
► **There is no relation between debtor and profit**

Question No: 28 (Marks: 1) - Please choose one
Which of the following account(s) will be affected, while rectifying the error of sales to Rahim of Rs. 500 were omitted to record in books of accounts?

- ► **Sales account**
- ► **Rahim's account**
- ► **Cash account**
- ► **Both sales and Rahim's Account correct**

Question No: 29 (Marks: 1) - Please choose one

If the provision for doubtful debts is not created, which of the following entry is passed to record the bad debts in control account?

- ► **Bade debts (Dr) and Debtors Control A/c (Cr)**
- ► **Allowance for doubtful debts (Dr) and Debtors Control A/c (Cr)**
- ► **Allowance for doubtful debts (Dr) and Debtors A/c (Cr)**
- ► **Debtors Control A/c (Dr) and Allowance for doubtful debts (Cr)**

Question No: 30 (Marks: 1) - Please choose one

If Bad Debts written off are given in adjustment, then which of the following entry for bad debts written off is CORRECT**?**

- ► **Bad debts a/c (Dr) and Trading a/c (Cr)**
- ► **Provision for Bad and Doubtful debts a/c (Dr) and Bad debts a/c(Cr)**
- ► **Bad debts a/c (Dr) and debtors a/c (Cr)**
- ► **Trading a/c (Dr) and Bad debts a/c (Cr)**

Question No: 31 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	800
Sundry Debtors (Given in trial balance)	44,500
Provision for doubtful debts @ 5%	
What will be the amount of new provision	?

- ► **Rs. 2,225**
- ► **Rs. 2,525**
- ► **Rs. 1,925**
- ► **Rs. 3,025**

Question No: 32 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	**Rs.**
Closing value of stock	**40,000**
Write off Bad debts (given in adjustments)	**2,400**

Sundry Debtors (given in trial balance)	**33,200**
Provision is created on Debtors at 5%	

Requirement: **Identify the Total amount which will deduct from Sundry debtors.**

- **Rs. 460**
- **Rs. 2,400**
- **Rs. 1,540**
- **Rs. 3,940** **correct**

Question No: 33 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account.

- **Rs. 3,600**
- **Rs. 2,000** **correct**
- **Rs. 1,600**
- **Rs. 400**

Question No: 34 (Marks: 1) - Please choose one

Which of the following option is TRUE **about the characteristic(s) of Bad Debt?**

- **It is a definite loss to the business**
- **It is not shown in Balance Sheet**
- **No provision is necessary for it**
- **All of the given options**

Question No: 35 (Marks: 1) - Please choose one

A debit balance in the Bank Statement indicates:

- **Cash at bank**
- **Bank overdraft**
- **Overpayment to creditors**
- **Cash in hand**

Question No: 36 (Marks: 1) - Please choose one

Particulars	Rs.
Opening written down value of machine	**1,00,000**
Cost of new machine purchased during the year	**50,000**
Depreciation during the year	**21,000**
Closing written down value (WDV)	**?**

- **Rs. 1, 29,000**
- **Rs. 1, 50,000**
- **Rs. 1, 21,000**
- **Rs. 71,000**

Question No: 37 (Marks: 1) - Please choose one
Depreciable value of an asset is equal to:

- **Cost + scrap value**
- **Cost + market price**
- **Cost – scrap value**
- **None of the given options**

Question No: 38 (Marks: 1) - Please choose one
If a business pays rent in advance for 12 months, it will be treated as:

- **Prepaid expenses of business**
- **Long term liability of business**
- **Fixed assets of business**
- **Current liability of business**

Question No: 39 (Marks: 1) - Please choose one
Which of the following asset is NOT **depreciated?**

- **Factory Buildings**
- **Office Equipment**
- **Plant & Machinery**
- **Land**

Question No: 40 (Marks: 1) - Please choose one
Which one of the following is NOT **true about revenue expenditure?**

- **These are the running expenses of the business**
- **They improve the financial position of the business**
- **They reduce the profit of the concern**
- **They do not appear in the balance sheet**

Question No: 41 (Marks: 1) - Please choose one
Which one of the following is NOT **true about Capital Expenditure?**

- **Creates future benefits**
- **Incurred to acquire fixed assets**
- **Incurred to increase the economic life of existing fixed assets**
- **Reduce the profit of the concern**

Question No: 42 (Marks: 1) - Please choose one
Expenditures incurred anually on renewal of patent are known as:

- **Revenue Expenditures**
- **Capital Expenditures**
- **Financial Expenditures**
- **Operating Expenditures**

Question No: 43 (Marks: 1) - Please choose one
Which of the following is NOT **a type of voucher?**

► **Journal Voucher**
► **Receipt Voucher**
► **Payment Voucher**
► **Drawings Voucher**

Question No: 44 (Marks: 1) - Please choose one
If cost of sales is Rs. 95,000, sales are Rs. 200,000 and operating expenses are Rs. 100,000. What will be the net result?

► **Rs. 5,000 Loss**
► **Rs. 5, 000 Profit**
► **Rs.1, 95,000 Profit**
► **Rs.1, 95,000 Loss**

Question No: 45 (Marks: 1) - Please choose one
If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs.20,000 during the year. What would be the Net Profit?

► **Rs.15,000**
► **Rs. 35,000**
► **Rs. 55,000**
► **Rs. 60,000**

Question No: 46 (Marks: 1) - Please choose one
Which of the following account balance will be shown on debit side of Trial Balance? (It is assumed that all account balances are shown on normal balance).

► **Capital account**
► **Sundry creditors account**
► **Accounts payable account**
► **Cash account**

Question No: 47 (Marks: 1) - Please choose one
Accounts Receivable & Inventory are the examples of:

► **Liquid assets**
► **Current assets**
► **Fixed assets**
► **Capital assets**

Question No: 48 (Marks: 1) - Please choose one
A summarized record of transactions related to individuals or things is called a/an _____.

► **Account**
► **Voucher**
► **Journal**
► **Trial balance**

Question No: 49 (Marks: 1) - Please choose one

When Capital is increased by an amount, it is recorded on the:

- **Left or credit side of the account**
- **Right or debit side of the account**
- **Left or debit side of the account**
- **Right or credit side of the account**

Question No: 50 (Marks: 1) - Please choose one

What would be the affect on the components of the accounting equation, if goods are purchased on cash?

- **Increase in cash and decrease in equity**
- **Increase in cash and increase in goods**
- **Increase in goods and decrease in cash**
- **Increase in equipment and increase in equity**

Question No: 51 (Marks: 5)

Calculate net income with the help of given date for the year end of 2007 and show complete working of Cost of Goods sold.

Raw material Stocks on 1-1-2007	**Rs. 30,000**
Work in process on 1-1-2007	**35,600**
Finished Goods on 1-1-2007	**35,400**

Raw material Stocks 31-12-2007	**Rs. 31,000**
Work in process 31-12-2007	**25,000**
Finished Goods 31-12-2007	**53,900**
Total factory Cost	**543,339**

Additional data

- **Other expenses for the year is Rs. 5,000.**
- **Operating expenses for the year Rs. 15,000**
- **Sale for the year Rs. 1,500,000**

Solution:

Name of the Company
Income Statement
For the period of 2007

Particulars	Amount Rs	Amount Rs
Sales		**1500000**
Less Cost of Good Sold		**(534439)**
Gross Profit		**965561**
Less: Expenses:		
Other Expenses	**5000**	
Operating expenses	**15000**	

Net Income		**(20000)** **945561**

Working:
Calculate Cost of Good Sold:
Raw Material:
Opening Raw Material: 30000
- Closing Raw Material: 31000
Cost of Material Consumed: -1000
Conversion Cost:
Direct Labor: 0
FOH: 0
Total Factory Cost: 542339
Work in Process:
+Opening WIP: 35600
-Closing WIP: 25000
Cost of Goods Manufactured: 552939
Finish Goods:
+Opening FG: 35400
-Closing FG: 53900
Cost of Good Sold: 534439

Question No: 52 (Marks: 10)
Write down the at least ten distinguishing features of a limited company which differentiate it from sole proprietor business

Question No: 53 (Marks: 10)
On 01-01-2007, the provision for doubtful debts a/c stood at Rs. 12,000 (credit balance). In 2007, the bad debts amounted to Rs. 10,000. The debtors on 31-12-2007 are amounted to Rs. 3, 20,000 and a provision for doubtful debt to be maintained @ 10%.

Required:
Show Journal entries and necessary accounts. Also show how the items will appear in Profit and Loss account and Balance sheet

Solution:
Entry#1
Provision for Doubtful Debts 32000
Debtors Control Account 32000

Make Ledgers of each account

Debtors Account							
Debit Side				**Credit Side**			
Date	**No.**	**Particulars**	**Dr. Rs.**	**Date**	**No.**	**Particulars**	**Cr. Rs.**
		Balance	**32000**			**Provision for**	**32000**

						doubtful debts	
			32000				32000

Provision of Doubtful debts							
Debit Side				Credit Side			
Date	No.	Particulars	Dr. Rs.	Date	No.	Particulars	Cr. Rs.
		Debtors Account	32000			Balance	32000
			32000				32000

And you people already know to show these accounts in P n L and Balance Sheet.

IN PL Account = 32000+10000-12000=30000 on Debit Side
In Balance Sheet
Debtors = 320000-32000-12000-276000

Question No: 54 (Marks: 10)
Following information is extracted from the books of Arfan Ltd as on December 31st, 2007.

Particulars	Cost	Depreciation rate	Accumulated Depreciation On 01-01-2007
Vehicles 01-01-2007	1,90,000	10%	10,000
Building 01-01-2007	4,00,000	20%	12,500
Furniture & Fixture 01-01-2007	4,15,000	15%	34,500
Land 01-01-2007	1,58,000	--	---

You are required to calculate Written down value of each asset and show working of complete depreciation for the year ending on December 2007.

Particulars	Cost			Rate	Accumulated Depreciation			WDV
	As At 1-1-2007	Addition/ deletion	As At 31st-12-2007		As At 1-1-2007	For The Year	As At 31st-12-2007	
Vehicles	190000	0	190000	10%	10000	19000	29000	161000
Building	400000	0	400000	20%	12500	80000	92500	307500
Furniture	415000	0	415000	15%	34500	62250	96750	318250
Land	158000	0	158000	0	0	0	0	158000
Total	1163000	0	1163000		57000	161250	218250	944750

Paper No:21

Solved by Chanda Rehman & ABr

FINALTERM EXAMINATION
Fall 2008
MGT101- Financial Accounting (Session - 1)

Question No: 1 (Marks: 1) - Please choose one
Debenture is also named as:

- ► **Share**
- ► **Bond**
- ► **Equity**
- ► **Reserve**

Question No: 2 (Marks: 1) - Please choose one
A company declares a cash dividend to be paid to its stockholders next month. The effect of the transaction is to:

- ► **Decrease assets and liabilities.**
- ► **Increase assets and stockholders' equity.**
- ► Decrease assets and stockholders' equity. correct
- ► **Increase liabilities and decrease stockholders' equity.**

Question No: 3 (Marks: 1) - Please choose one
The beginning balance of retained earnings was Rs. 7,500. The dividends paid to stockholders' were Rs.1, 500. The ending balance of retained earnings is Rs. 5,000. What was the net income or net loss for the accounting period?

- ► **Net loss of Rs.1, 000**
- ► **Net income of Rs. 1,000**
- ► **Net loss of Rs. 2,000**
- ► **Net income of Rs. 2,500**

Question No: 4 (Marks: 1) - Please choose one
The net income calculated in the income statement for the accounting period is reported on:

- ► **Bank Statement**
- ► **Statement of retained earnings**
- ► **Statement of cash flows**
- ► **None of the given options**

Question No: 5 (Marks: 1) - Please choose one
If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. B in distributable profit.

- ► Rs. 98,000
- ► Rs. 1, 47,000
- ► Rs. 2, 45,000
- ► Rs. 3, 43,000

Question No: 6 (Marks: 1) - Please choose one
In which situation(s) Partnership is dissolved?

- ► In case of death of partner
- ► At the admission of new partner
- ► If any partner resigned from partnership
- ► All of the given options

Question No: 7 (Marks: 1) - Please choose one
A private limited company can commence its business:

- ► Immediately on receiving a certificate of incorporation
- ► Without receiving a certificate of incorporation
- ► Only when it receives certificate of commencement of business
- ► Only when it receives both, the certificate of incorporation as well as certificate of commencement of business

Question No: 8 (Marks: 1) - Please choose one
The balance sheet reported a beginning balance of Rs. 20,000 in Accounts Receivable and an ending balance of Rs. 15,000. Credit Sales of Rs. 200,000 were made during the year. Using this information, compute cash collected from customers.

- ► Rs. 215,000
- ► Rs. 195,000
- ► Rs. 200,000
- ► Rs. 205,000

Question No: 9 (Marks: 1) - Please choose one
Which of the following is the most important document of the company?

- ► Memorandum of Association
- ► Articles of Association
- ► Prospectus
- ► Annual Report

Question No: 10 (Marks: 1) - Please choose one
If dividend is proposed by directors of the company @ 30% for the year, it will be calculated on:

- ► Capital Reserve
- ► Authorized share capital

► **Paid up share capital**
► **Share premium**

Question No: 11 (Marks: 1) - Please choose one
Share premium account is used for what?
► **Write off Preliminary Expenses of the company.**
► **Write off the balance amount, in issuing shares on discount.**
► **Issue fully paid Bonus Shares.**
► **All of the given options**

Question No: 12 (Marks: 1) - Please choose one
Authorized share capital is also known as:
► **Registered capital**
► **Issued capital**
► **Paid up capital**
► **Called up capital**

Question No: 13 (Marks: 1) - Please choose one
In case of fixed capital accounts, other transactions such as Drawings and Profit etc. are recorded in a separate account that is called _____.

► **Fixed Capital Account**
► **Current Account**
► **Fluctuating Capital Account**
► **Floating Capital Account**

Question No: 14 (Marks: 1) - Please choose one
A, B, C are partners. Their profit sharing ratio is equal. Capital balance on July 1st of Partner A --- Rs. 40,000 Partner B --- Rs. 30,000 and Partner C--- Rs. 20,000.Their private property of Partner A is Rs.15,000, Partner B is Rs. 7,000 and Partner C is Rs. 1,500. What is the level of their liabilities under the partnership firm?
► **Partner A—Rs. 40,000, Partner B---- Rs. 30,000, Partner C – 20,000**
► **Partner A—Rs. 40,000, Partner B---- Rs. 30,000, Partner C – 21,500**
► **Partner A—Rs. 40,000, Partner B---- Rs. 37,000, Partner C – 20,000**
► **Partner A—Rs. 55,000, Partner B---- Rs. 37,000, Partner C – 21,500**

Question No: 15 (Marks: 1) - Please choose one
Which of the following item will be shown on debit side of capital account of sole proprietor?

► **Cash**
► **Drawings**
► **Debtors**
► **Profit**

Question No: 16 (Marks: 1) - Please choose one
Which of the following journal entry will be recorded, if cash is drawn by a Proprietor?

► **Proprietor's drawings a/c (Dr.) and Cash a/c (Cr.)**
► **Cash a/c (Dr.) and Proprietor's drawings a/c (Cr.)**
► **Proprietor's Capital (Dr.) and Proprietor's drawings a/c (Cr.)**

► Proprietor's drawings (Dr.) and Proprietor's Capital a/c (Cr.)

Question No: 17 (Marks: 1) - Please choose one
An asset is considered to be a current asset if:

► It has been bought recently and was bought new and not used
► It can be realized in cash or sold or consumed in the business within one year
► It is a piece of new machinery that is expected to last for at least ten years
► All of the given options

Question No: 18 (Marks: 1) - Please choose one
Which of the following appears in both the Income Statement debit column and the Balance Sheet credit?

► Net income
► Net loss
► Dividends
► Retained earnings

Question No: 19 (Marks: 1) - Please choose one
General office expenses are charged to which of the following head:

► Administrative expenses
► Marketing expenses
► Selling expenses
► Financial expenses

Question No: 20 (Marks: 1) - Please choose one
Consider the following table:

	Financial statement item	Classification
A.	Inventory	Current asset
B.	Tangible assets	Non-current asset
C.	Accrued expenses	Current asset
D.	Bonds payable	Long-term liabilities

Identify the row above, showing an INCORRECT financial-statement classification?
► Row A
► Row B
► Row C
► Row D

Question No: 21 (Marks: 1) - Please choose one
Short-term investments include all of the following EXCEPT:

► A bond receivable intended to be sold within one year
► Frequently traded securities
► A stock investment in the General Electric Company intended to be sold within one year

► **A shares investment in the Coca-Cola Company intended to be held for several years**

Question No: 22 (Marks: 1) - Please choose one
The figure of cash received from debtors can be located either from cash book or:

► **Debtor's Control Account**
► **Balance Sheet**
► **Profit & Loss Account**
► **Bills Payable Account**

Question No: 23 (Marks: 1) - Please choose one
It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account

► **Rs. 3,600**
► **Rs. 4,000 doubted**
► **Rs. 1,600**
► **Rs. 2, 400**

Question No: 24 (Marks: 1) - Please choose one
When one or both aspects of a transaction are recorded in the wrong class or category of account, this is called:

► **Error of principle**
► **Error of omission**
► **Error of commission**
► **Error of original entry**

Question No: 25 (Marks: 1) - Please choose one
Which of the following account will be credited when a typewriter is sold that has been used in the office?

► **Cash Account**
► **Sales Account**
► **Purchase Account**
► **Office Equipment Account**

Question No: 26 (Marks: 1) - Please choose one
Which of the following rectifying entry will be recorded, if sales to Mr. "A" of Rs.336 have been debited to Mr. "B" account?

► **A's account (Dr.) and B's account (Cr.)**
► **B's account (Dr.) and A's account (Cr.)**
► **Sales account (Dr.) and B's account (cr.)**
► **B's account (Dr.) and Sales account (Cr.)**

Question No: 27 (Marks: 1) - Please choose one
Goods purchased from "Mr. A" for Rs. 2,000 passed through the sales book. The rectification of error will result in:

► **Increase of gross profit**
► **Decrease of gross profit** correct
► **Remains constant and no effect on net profit**
► **There is no relation between goods purchased and gross profit**

Question No: 28 (Marks: 1) - Please choose one
Which of the following account(s) will be affected, while rectifying the error of sales to Rahim Rs. 336 posted to his account as Rs. 363?

► **Sales account**
► **Rahim's account**
► **Cash account**
► **Both sales and Rahim's Account**

Question No: 29 (Marks: 1) - Please choose one
Control account tells about:

► **Picture collectively instead of individually**
► **Details of loyal clients**
► **Customer attitude of payments**
► **Complete history of transactions of business clients**

Question No: 30 (Marks: 1) - Please choose one
Which of the following subsidiary book(s) is (are) maintained for debtors control account?

► **Sales Day Book**
► **Sales Return**
► **Debtors Ledger**
► **All of the given options**

Question No: 31 (Marks: 1) - Please choose one
Which of the following entry will be recorded when the Bad Debts are recovered?

► **Cash account (Dr.) & Bad Debts recovered account (Cr.)**
► **Accounts Receivable account (Dr.) & Bad Debts recovered account (Cr.)**
► **Bad debts recovered account (Dr.) and Profit & Loss account (Cr.)**
► **Provision for doubtful debts account (Dr.) & Cash account (Cr.)**

Question No: 32 (Marks: 1) - Please choose one
If the (New provision + Bad debts) > Amount of old provision then resulting figure will be shown at:

► **Debit side of Profit & Loss Account**
► **Credit side of Profit & Loss Account**
► **Asset side of Balance Sheet**
► **Liability side of Balance Sheet**

Question No: 33 (Marks: 1) - Please choose one
Which of the following would be deducted from Sundry Debtors in Balance Sheet?

- ► Bad debts (Trial balance item)
- ► Old provision for doubtful debts
- ► New provision for doubtful debts
- ► Both Bad debts (given in adjustment) and new provision for doubtful debts

Question No: 34 (Marks: 1) - Please choose one
Which of the following option is TRUE about the characteristic(s) of Bad Debt?

- ► It is a definite loss to the business
- ► It is not shown in Balance Sheet
- ► No provision is necessary for it
- ► All of the given options

Question No: 35 (Marks: 1) - Please choose one
Which one of the following transactions will cause the balance in Mr. Terry's Cash Book to be greater than his Bank Statement balance?

- ► A cheque is drawn but not yet presented at the bank for payment
- ► The bank has not yet notified to Mr. Terry about a dishonored cheque
- ► A credit transfer into Terry's Bank Account
- ► A cheque payment of Rs.101 is recorded in the Cash Book as Rs.110 correct

Question No: 36 (Marks: 1) - Please choose one
Consider the following data:

Particulars	Rs.
Assets	?
Owner's equity	1,50,000
Liabilities	1,00,000

- ► Rs. 49,000
- ► Rs. 55,000
- ► Rs. 50,000
- ► Rs. 2, 50,000

Question No: 37 (Marks: 1) - Please choose one
Accounting is the language of:

- ► Business
- ► School
- ► Proprietor
- ► Management

Question No: 38 (Marks: 1) - Please choose one

Which of the following account balance is shown on credit side of Trial Balance? (It is assumed that all account balances are shown on normal balance)

- ► **Cash account**
- ► **Furniture account**
- ► **Vehicle account**
- ► **Capital account**

Question No: 39 (Marks: 1) - Please choose one
Under the reducing balance method of depreciation:

- ► **Amount of depreciation increases every year**
- ► **Amount of depreciation remains constant for every year**
- ► **Amount of depreciation decreases every year**
- ► **None of the given options**

Question No: 40 (Marks: 1) - Please choose one
Consider the following inventory record:

Date	Item	Quantity	Cost/Unit Rs.	Total Rs.
Jan. 2	Beginning inventory	10	10	100
Mar. 4	Purchase	35	11	385
May 8	Purchase	40	12	480
Nov. 3	Purchase	20	13	260
De31	Merchandise available	105		1,225

85 units were sold, Use the FIFO method of inventory costing and determine the cost of goods sold.

- ► **Rs. 1,225**
- ► **Rs. 1,015**
- ► **Rs. 965**
- ► **Rs. 992**

Question No: 41 (Marks: 1) - Please choose one
WhicWhich of the following is an example of direct materials cost?

- ► **Polish and finishing material for chair**
- ► **A piece of wood for the production of chair**
- ► **Production worker's wages**
- ► **Depreciation expenses**

Question No: 42 (Marks: 1) - Please choose one
Which of the following account will be credited, if the goods are sold on credit to Mr. Mahmood?

► Cash account
► Mr. Mahood account
► Sales account
► Purchases account

Question No: 43 (Marks: 1) - Please choose one
Which of the following account will be credited, if business sold goods for Rs.10,000 on credit?

► Cash account
► Sales account
► Accounts receivable account
► Purchases account

Question No: 44 (Marks: 1) - Please choose one
Which of the following is an example of a Current liability?

► Closing inventory
► Opening inventory
► Petty cash
► Bank overdraft

Question No: 45 (Marks: 1) - Please choose one
Which of the following is CORRECT for trading account?

► It inculdes cost of goods sold and all the direct expenses related to sales
► It inculdes cost of goods sold and all the indirect expenses related to sales
► It inculdes cost of goods sold and all the direct and indirect expenses
► It inculdes cost of goods sold and all the direct and selling, administrative expenses

Question No: 46 (Marks: 1) - Please choose one
Which of the following are the components of General Ledger?

1) Title of account
2) Amount of transaction
3) Date of transaction

► (1) & (2) only
► (2) & (3) only
► (1) & (3) only
► (1), (2) & (3)

Question No: 47 (Marks: 1) - Please choose one
The original book of entry, in which all vouchers are first recorded, is called:

► General Journal
► General Ledger
► Trial Balance
► Balance Sheet

Question No: 48 (Marks: 1) - Please choose one
When a Liability is reduced or decreased, it is recorded on the:

- **Right or debit side of the account**
- **Left or debit side of the account**
- **Left or credit side of the account**
- **Right or credit side of the account**

Question No: 49 (Marks: 1) - Please choose one
According to the double entry system of book keeping, the investment of Rs.10, 000 in the business made by the owner will effect:

- **Cash & Capital Account**
- **Cash & Expense Account**
- **Capital & Revenue Account**
- **Capital & Expense Account**

Question No: 50 (Marks: 1) - Please choose one
Which of the following is non- profit organization?

- **Sole proprietorship**
- **Partnership**
- **Limited company**
- **Trust**

Question No: 51 (Marks: 5)
What is bank overdraft? Mention an example for this. Why companies have to pay mark up on it. Under which head mark up paid on overdraft is shown in financial statement.

Answer:
An overdraft **occurs when withdrawals from a bank account exceed the available balance. In this situation a person is said to be** "overdrawn".

Question No: 52 (Marks: 10)
Income Statement of XYZ Ltd for the year ended on 30th June, 2007:

Particulars	Rs.	Rs.
Sales		500,000
Less: Cost of Goods Sold		250,000
Gross Profit		250,000
Less: Operating expenses		
Administrative expenses	110,000	
Interest expenses	20,000	130,000
Net profit before Tax		120,000
Less: Taxes		36,000
Net profit after tax		84,000

Opening Stock for the year was Rs. 60,000.

Balance Sheet of XYZ Ltd on 30th June, 2007:

Assets	Rs.
Fixed Assets	400,000
Stock	60,000
Debtors	230,000
Bills Receivable	40,000
Cash at bank	150,000
Prepaid expenses	20,000
Total	900,000
Liabilities	
Share capital	200,000
Reserves and surplus	250,000
10% Debentures	200,000
Creditors	180,000
Bills payable	70,000
Total	900,000

Calculate following ratios from the financial statement of XYZ Ltd.

1. **Current Ratio**
2. **Acid Test Ratio**
3. **Stock turn over Ratio**
4. **Debt equity Ratio**
5. **Gross profit Ratio**

Solution:

1: Current Ratio:

Total Assets/Total Liabilities

= 900000/900000

= 1

2: Acid Test Ratio

Total Assets-Stock/Total Liabilities

= 900000-60000/900000

= 840000/900000

= 0.933333

3: Stock turn over Ratio

(Average Stock / Cost of goods sold) x 365

Average Stock = opening stock + Closing Stock/2

= 60000+60000/2

= 60000

= (Average Stock / Cost of goods sold) x 365

= (60000/250000) x 365

= 0.24 x 365

= 87.4

4: Debt equity Ratio

Long term Liabilities / Equity

= 200000/200000
= 1

5: Gross profit Ratio
(Gross Profit / Sales) x 100
= 250000/500000 x 100
= 0.5 x 100
= 50

Question No: 53 (Marks: 10)
Pass the rectifying entries to correct the following errors:

Question No: 54 (Marks: 10)
The following discrepancies were noted on comparing Cash Book with Pass Book.

(1) The following cheques were deposited into bank on 28th March but were not collected by the bank by 31stMarch, (i) Rs. 500, (ii) Rs. 300, (iii) Rs. 200.
(2) The following cheques were issued but were not presented for the payment by 31st March. (i) Rs. 200, (ii) Rs. 450 (iii) Rs. 525 (iv) Rs. 375.
(3) The bank credited a dividend of Rs. 2,000 on 31st march but intimation was received by the trader on 5th April, 2008.
(4) The bank credited interest of Rs. 50 on 31st March but not debited in Cash Book.
(5) The Bank charged (debited) a commission of Rs. 100 on 31st March.
(6) A cheque of Rs. 500 was received from customer and was entered in the bank column of Cash Book on 25thMarch, but was paid into the bank on 1st April.

Required: Prepare a Bank Reconciliation Statement, if the Bank balance as per Cash Book (Dr.) was Rs. 15,000 on 31stMarch, 2008.

Answer:

Balance as per Cash book.	**Dr**	**15000**		
Less not collected Cheques. (500+300+200)	**Cr**	**1000**		
	Dr	**14000**		
Add UN Presented Cheques (200+450+525+375)	**Dr**	**1550**		
	Dr	**15550**		
Add dividend Credit by bank		**Dr**		**2000**
	Dr	**17550**		
Add interest credit by bank	**Dr**	**50**		
	Dr	**17600**		
Less bank charges	**Cr**	**100**		
	Dr	**17500**		
Less Cheque received	**Cr**	**500**		
Balance as per Bank Book	**Cr**	**17000**		

Paper No: 22

Solved by Chanda Rehman & ABr

FINALTERM EXAMINATION

Fall 2008

MGT101- Financial Accounting (Session - 4)

Question No: 1 (Marks: 1) - Please choose one

Wages outstanding given in the trial balance will be treated as a (an):

► Asset

► Liability

► Revenue

► Deferred expense

Question No: 2 (Marks: 1) - Please choose one

What does a credit balance in a partner's current account represent to a business?

► Current Assets

► Current Liability

► Long-term liability

► Share of profit

Question No: 3 (Marks: 1) - Please choose one

Particulars	Rs.
Debentures	1, 50, 000
Equity Capital	2, 00,000
General Reserve	90, 000
Accumulated profit	60,000
What is debt equity ratio	?

► 15: 20 (or 3:4)

► 15:24 (or 5: 8)

► 15:29

► 15:35 (or 3: 7) correct

Question No: 4 (Marks: 1) - Please choose one

Particulars	Rs.
Share capital of Rs. 10 each	1,000,000
Profit before tax	150,000
Taxes	10,000
Earning per share	= ?

► Rs. 1.50 per share

► Rs. 1.40 per share

► Rs. 1.15 per share

► Rs. 1.25 per share

Question No: 5 (Marks: 1) - Please choose one

Mark up cover ratio = operating profit before financial charges ÷ **?**

► Selling expenses

► Administrative expenses

► Financial charges

► Direct expenses

Question No: 6 (Marks: 1) - Please choose one

In calculating earning per share (EPS), the net profit is divided by which of the following?

► Number of ordinary shares

► Number of preference shares

► Paid up capital

► Authorized capital

Question No: 7 (Marks: 1) - Please choose one

Which of the following business publishes the Financial Statements?

► Sole-Proprietorship

► Partnership

► Trust

► Public Limited Company

Question No: 8 (Marks: 1) - Please choose one

The primary purpose of preparing a cash flow statement for an entity is to provide information about:

► Its financial position at the end of an accounting period

► Its cash receipts and cash payments during an accounting period

► Its financial position at the start of an accounting period

► None of the given options

Question No: 9 (Marks: 1) - Please choose one

How dividend declared is treated in the Balance Sheet of the company?

► Provision

► Current liability

► Reserves and surplus

► Current assets

Question No: 10 (Marks: 1) - Please choose one

Which of the following option(s) is **TRUE** about the Sales returns?

► Sales returns reduce the Gross sales of the firm

► Sales returns affect the Net income of the firm

► Sales returns affect the flow of cash

► All of the given options

Question No: 11 (Marks: 1) - Please choose one

Fixed Assets (WDV) + Working Capital =?

► Total assets employed

► Total liabilities

► Total assets

► Current assets

Question No: 12 (Marks: 1) - Please choose one

Which of the following is **TRUE** about a merchandising company?

► A merchandising company's business is to buy and sell products

► A merchandising company must use the perpetual system to account for merchandising inventory

► A merchandising company's business is to provide services

► A Sugar Mill is an example of a merchandising company

Question No: 13 (Marks: 1) - Please choose one

Capital account of sole proprietors is affected by which of the following items?

a. Profit & Loss account

b. Drawings account

c. Balances of capital account

► a,b

► b,c

► a,c

► a,b,c

Question No: 14 (Marks: 1) - Please choose one

Which of the following is/are **TRUE** about the sole trader form of business?

► A sole trader is liable to pay income tax on his/her earnings

► Sole traders do not need to consult accountants

► Sole traders must register the name of their business with the Registrar of Companies

► All of the given options

Question No: 15 (Marks: 1) - Please choose one

Which of the following is (are) characteristic(s) of Reserve?

► Its amount is generally determined by the management on the basis of the amount of profit earned.

► It is shown on liabilities side of balance sheet

► It does not affect profit or loss, since it is created after ascertaining net profit

► All of the given options

Question No: 16 (Marks: 1) - Please choose one

Which account is increased with a debit and decreased with a credit?

► Cash

► Accounts Payable

► Contributed Capital

► Retained Earnings

Question No: 17 (Marks: 1) - Please choose one

Which financial statement show what a business owes at a particular point in time?

► A cash flow statement

► The bank statement for the business

► A balance sheet

► A statement of retained earnings

Question No: 18 (Marks: 1) - Please choose one

Which of the following appears in both the Income Statement debit column and the Balance Sheet credit?

► Net income

► Net loss

► Dividends

► Retained earnings

Question No: 19 (Marks: 1) - Please choose one

The Balance Sheet item that represents the resources invested by the owner is known as:

► Accounts Receivable

► Cash

► Note Payable

► Owner's Equity

Question No: 20 (Marks: 1) - Please choose one

Which of the following is an example of operating expense?

► Purchasing operating equipment

► Purchasing cleaning services doubted

► Purchasing an investment in another company

► Purchasing a computer for the accounting office

Question No: 21 (Marks: 1) - Please choose one

The main objective of financial reporting is to provide:

► Essential information to internal users of financial reports.

► Useful economic information about the business to the external parties for sound financial decisions.

► Information to internal users about the cash position of the business.

► Information to the Securities Exchange Commission (SEC).

Question No: 22 (Marks: 1) - Please choose one

The figure of cash received from debtors can be located either from cash book or:

► Debtor’s Control Account

► Balance Sheet

► Profit & Loss Account

► Bills Payable Account

Question No: 23 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	3,500
Provision for doubtful debts (old)	6,000
Current year's provision (new)	1,500

► Rs. (1,000)

► Rs. 1,000

► Rs. (5,000)

► Rs. 5,000

Question No: 24 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

► Rs. 600

► Rs. 1,600

► Rs. 2,000

► Rs. 2,600

Question No: 25 (Marks: 1) - Please choose one

Which of the following rectifying entry will be recorded, if sales to Mr. “A” of Rs.336 have been debited to Mr. “B” account?

► A’s account (Dr.) and B’s account (Cr.)

► B’s account (Dr.) and A’s account (Cr.)

► Sales account (Dr.) and B’s account (cr.)

► B’s account (Dr.) and Sales account (Cr.)

Question No: 26 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of a purchase return of Rs.200 to Mr. “A” entered in sales book instead of purchase return book?

► A’s account only

► Sales account only

► Purchase returns account and sales account

► Purchases account only

Question No: 27 (Marks: 1) - Please choose one

A receipt of cash Rs. 10,000 from Mr. Bilal is recorded as Rs. 1,000. What amount will be adjusted in rectifying entry?

► Rs. 1,000

► Rs. 9,000

► Rs. 10,000

► Rs. 11,000

Question No: 28 (Marks: 1) - Please choose one

If provision is created for doubtful debts, which of the following entry will be passed to record bad debts in control account?

- ► Bade debts (Dr) and Debtors Control A/c (Cr)
- ► Provision for doubtful debts (Dr) and Debtors Control A/c (Cr) correct
- ► Provision for doubtful debts (Dr) and Debtors A/c (Cr)
- ► Debtors Control A/c (Dr) and Provision for doubtful debts (Cr)

Question No: 29 (Marks: 1) - Please choose one

Which of the following is a detailed record of an individual account in case of large business?

- ► Control Account
- ► Subsidiary Ledger
- ► Balance Sheet
- ► Trial Balance

Question No: 30 (Marks: 1) - Please choose one

Which of the following is shown on credit side of creditors control account?

- ► Bills Receivable
- ► Return inwards
- ► Credit purchases
- ► Discount allowed

Question No: 31 (Marks: 1) - Please choose one

Which of the following is an item of a creditors control account?

► Cash sales

► Credit sales

► Credit purchase

► Cash purchases

Question No: 32 (Marks: 1) - Please choose one

In which of the following condition(s) **DEBT** is regarded as **BAD**.

► Bankruptcy of the debtor

► Disappearance of debtor's business

► Failure of repeated attempt to collect the debt

► All of the given options

Question No: 33 (Marks: 1) - Please choose one

Which of the following best describes unpresented cheques?

► Cheques received on behalf of the business by the bank

► Cheques drawn but yet to be recorded in the bank records

► Cheques issued by the bank not recorded in business records

► Cheques received but yet to be recorded in the bank records

Question No: 34 (Marks: 1) - Please choose one

The following balance and discrepancies were found on 31 March 2008:

Particulars	Rs.
Cash book balance (Dr)	5 000
Unpresented cheques	1 000
Uncredited cheques	500

The Bank Statement balance on 31 March 2008 should be:

► Rs. 5 500 (Dr)

► Rs. 5 500 (Cr)

► Rs. 4 500 (Dr)

► Rs. 4 500 (Cr) correct

Question No: 35 (Marks: 1) - Please choose one

Consider the following data:

Particulars	Rs.
Assets	?
Owner's equity	1,50,000
Liabilities	1,00,000

► Rs. 49,000

► Rs. 55,000

► Rs. 50,000

► Rs. 2, 50,000

Question No: 36 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Furniture	Rs. 90,000
Cash	Rs.1, 00, 000
Debtors	Rs.10, 000
Other Assets	Rs. 1,000
Owner's equity	Rs. 90, 000

► Rs. 2, 01,000 liabilities

► Rs. 1, 11, 000 liabilities

► Rs. 2, 90, 000 liabilities

► Rs. 2, 91, 000 liabilities

Question No: 37 (Marks: 1) - Please choose one

Accountancy covers which of the following area(s):

► Book-keeping

► Accounting

► Auditing

► All of the given options

Question No: 38 (Marks: 1) - Please choose one

_____ is the detail of transaction in one's account provided by the bank.

► Bank statement

► Bank reconciliation statement

► Income statement

► Financial statement

Question No: 39 (Marks: 1) - Please choose one

Consider the following inventory record:

Date	Item	Quantity	Cost/Unit	Total
2007Jan. 2	Opening inventory	100	Rs.18.00	Rs.1,800
Mar. 4	Purchase	400	19.00	7,600
May 8	Purchase	800	20.00	16,000
Nov. 3	Purchase	500	21.00	10,500

Four hundred units are unsold, Use the FIFO method of inventory costing and determine the value assigned to the 400 units on hand at the end of the period.

► Rs.7, 500

► Rs.7, 978

► Rs.8, 000

► Rs.8, 400

Question No: 40 (Marks: 1) - Please choose one

Consider the following inventory record:

Date	Item	Quantity	Cost/Unit Rs.	Total Rs.
Jan. 2	Beginning inventory	10	10	100

Mar. 4	Purchase	35	11	385
May 8	Purchase	40	12	480
Nov. 3	Purchase	20	13	260
De31	Merchandise available	105		1,225

85 units were sold, Use the FIFO method of inventory costing and determine the cost of goods sold.

- ► Rs. 1,225
- ► Rs. 1,015
- ► Rs. 965
- ► Rs. 992

Question No: 41 (Marks: 1) - Please choose one

All the costs incurred on the incomplete assets up to the balance sheet date must be transferred to:

- ► Capital account
- ► Capital work in progress account
- ► Relevant asset account
- ► Owner's equity account

Question No: 42 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 15,000
Sale price after 5 years	Rs.50,000
Book value of Asset after 5 years	?

► Rs.25, 000

► Rs. 75,000

► Rs. 15,000

► Rs. 1, 00,000

Question No: 43 (Marks: 1) - Please choose one

Direct materials costs	Rs.70,000
Direct labor costs	30,000
Manufacturing overhead costs	60,000
conversion cost	?

► Rs. 20,000

► Rs.40, 000

► Rs.90, 000

► Rs.160, 000

Question No: 44 (Marks: 1) - Please choose one

Which of the following shows summary of a company's financial position at a specific date?

► Profit & Loss Account

► Cash Flow Statement

► Balance Sheet

► Income & Expenditure Account

Question No: 45 (Marks: 1) - Please choose one

Bank book is part of:

► Voucher

► General Journal

► General Ledger

► Trial Balance

Question No: 46 (Marks: 1) - Please choose one

Which of the following are the components of General Ledger?

1) Title of account

2) Amount of transaction

3) Date of transaction

► (1) & (2) only

► (2) & (3) only

► (1) & (3) only

► (1), (2) & (3)

Question No: 47 (Marks: 1) - Please choose one

Which of the following is **CORRECT** about the flow of recording a transaction?

► Occurrence of event – voucher—Journal—Ledger—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Journal – voucher —Ledger—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Ledger – voucher—Journal—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Trial Balance – voucher—Journal—Ledger—profit and loss account—Balance Sheet

Question No: 48 (Marks: 1) - Please choose one

Vehicles which are used to supply finished products are called business _____.

► Tangible assets

► Intangible assets

► Capital

► Liabilities

Question No: 49 (Marks: 1) - Please choose one

The basic accounting principle/concept according to which Business is independent from its owner(s) is known as:

► Separate Entity Concept

► Matching Concept

► Going Concern Concept

► Materiality Concept

Question No: 50 (Marks: 1) - Please choose one

Shares for which amount is paid by public are called _____ shares.

► Paid up

► Authorized

► Bonus shares

► All are correct options

Question No: 51 (Marks: 5)

10 % Debentures of Rs. 80,000 are shown in trial balance. How it will be shown in financial statements? Also mention why a company issues debentures.

Answer:

10% Debentures of Rs. 80000 is shown the Owners Equity pr liability Side of Balance sheet.

Debentures are issued under the common seal of the company and debentures are an instrument for obtaining the loan from the general public. Company also paid mark up on debentures which generally equal to the market rate.

Question No: 52 (Marks: 10)

Following information is extracted from the books of Arfan Ltd as on December 31st, 2007.

Particulars	Cost	Depreciation rate	Accumulated Depreciation On 01-01-2007

Vehicles 01-01-2007	1,90,000	10%	10,000
Building 01-01-2007	4,00,000	20%	12,500
Furniture & Fixture 01-01-2007	4,15,000	15%	34,500
Land 01-01-2007	1,58,000	--	---

You are required to calculate Written down value of each asset and show working of complete depreciation for the year ending on December 2007.

Particulars	Cost			Rate	Accumulated Depreciation			WDV
	As At 1-1-2007	Addition/ deletion	As At 31st-12-2007		As At 1-1-2007	For The Year	As At 31st-12-2007	
Vehicles	190000	0	190000	10%	10000	19000	29000	161000
Building	400000	0	400000	20%	12500	80000	92500	307500
Furniture	415000	0	415000	15%	34500	62250	96750	318250
Land	158000	0	158000	0	0	0	0	158000
Total	1163000	0	1163000		57000	161250	218250	944750

Question No: 53 (Marks: 10)

Prepare Profit and Loss Account for the year ending 31st December 2007 from the Trial Balance and adjustments of MS Company given below:

Particulars	Debit	Credit
	Rs.	Rs.
Drawings	14,000	
Capital Account		80,000
Opening Stock	55,000	
Purchases	485,000	
Sales		610,000
Sundry Debtors	80,000	
Sundry Creditors		60,500
Sales Returns	5,000	
Carriage Inwards	6,000	
Salaries	28,000	
Rent, Rates, Taxes	15,000	

Insurance	4,000	
Machinery	50,000	
Furniture	5,000	
Cash in hand	3,500	
Total	750,500	750,500

Adjustments:

4) Depreciate machinery and furniture @20%p.a.

5) Outstanding Salaries Rs. 2,000

6) Insurance paid in advance Rs. 500

7) Maintain @5% reserve for doubtful debts on debtors.

8) Closing Stock was valued at Rs. 60,000

Trading & Profit & Loss Account

For the year ending 31st December 2007

Particulars	Debit Balance/Rs	Particulars	Credit Balance/Rs
Opening Stock	55000	Sales 610000	605000
Purchases	485000	Less returns: 5000	
Carriage in	6000	Closing Stock	60000
Gross Profit	119000		
	665000		665000
Salaries 28000		Gross Profit	119000
+outstanding: 2000	30000		
Rent, Rate, Taxes	15000		
Insurance 4000			
Less advance: 500	3500		
Depreciation:			
Machinery: 10000			

Furniture: 1000 Provision of bed debts Net Profit: 55500	11000 4000		
	119000		119000

Question No: 54 (Marks: 10)

What is the effect of given adjustments on Trading & Profit & Loss account and Balance Sheet?

a. Accrued Expenses or Outstanding Expenses

b. Prepaid Expenses or Unexpired Expenses

c. Accrued Revenue or Revenue Receivable

d. Unearned Revenue or Revenue Received in Advance

e. Depreciation of Asset

1. Accrued Expenses or Outstanding Expenses

Trading and profit and loss account effect

These expenses will be shown in profit and loss account under administrative expenses and will and be deducted from gross profit. They will be used to calculate net profit

Balance sheet effect

These expenses will be shown as expense payable or accrued expenses in balance sheet as current liabilities and will be shown under current liabilities section of liabilities as they have to be paid by business..

2. Prepaid Expenses or Unexpired Expenses

Trading and profit and loss account effect

These will be deducted from relevant expense account to get the actual expenses for the period and that actual amount of expense will be deducted from gross profit to arrive at net profit. This amount of prepaid expenses will not be included in profit and loss account as an expense itself but its effect will be on current expenses for the period for which profit and loss is being calculated.

Balance sheet effect

These prepaid expenses will be show and current assets in balance sheet and will be shown under the section of current assets in balance sheet.

3. Accrued Revenue or Revenue Receivable

Trading and profit and loss account effect

These will be added to sales in trading account in profit and loss statement and will be treated as a revenue in the calculation of gross profit by subtracting cost of goods sold from net sales. This will affect gross profit in trading account.

Balance sheet effect

In balance sheet this revenue will be shown under current assets as receivables from debtors and will be shown under the section of current assets of the business.

4. Unearned Revenue or Revenue Received in Advance

Trading and profit and loss account effect

This will not be added to the sales as sales is recognized when the actual services have been provided or when goods have been shipped irrespective of whether payment has been received or not. So this will not affect profit and loss account as it is still not recognized as sales/revenue.

Balance sheet effect

This is a liability for the company because the company has to give goods or services to the buyer for the advance payment done by the buyer and will be shown as a liability in the balance sheet under the current liability section of balance sheet. Also the same amount will be shown in the bank or cash as current asset to offset the liability because the cash or cheque has been received for goods not given or services not rendered yet.

5. Depreciation of Asset

Trading and profit and loss account effect

The depreciation of asset is an operating expense for the business and will affect profit and loss account. It will be added to the administrative expense and will be appear in the administrative expense section of profit and loss account and will be deducted from gross profits to arrive at net profits along with other expenses.

Balance sheet effect

In balance sheet it will appear as deduction from the fixed asset as the fixed assets in balance sheet will be shown at written down value. So this will be added to previous balance of accumulated depreciation and will be deducted from the total cost of the fixed assets and will appear in the assets section under the heading of fixed asset. It might appear in notes as sometimes in balance sheet summarized figure of fixed asset at WDV will be shown. In any case it is deducted from fixed asset in balance sheet and affects the total assets side

Paper No:23

Solved by Chanda Rehman & ABr

FINALTERM EXAMINATION

Fall 2008

MGT101- Financial Accounting (Session - 1)

Time: 120 min

Marks: 85

Question No: 1 (Marks: 1) - Please choose one

_____ If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. B in distributable profit.

► Rs. 98,000

► Rs. 1, 47,000

► Rs. 2, 45,000

► Rs. 3, 43,000

Question No: 2 (Marks: 1) - Please choose one

What types of changes (is) are made at the admission of partner in partnership?

► Assets of old business will be revalued

► Liabilities of old business will be revalued

► Good will of business will be revalued

► All of the given options

Question No: 3 (Marks: 1) - Please choose one

A firm may earn profit during an accounting period but have less money in the bank at the end of the period then it had at the beginning. Which of the followings, on its own, could explain this?

► Not paying invoices received from creditors

► The sale of fixed assets during the period

► An increase in trade debtors over the course of the period

► An increase in the depreciation charge relative to the previous accounting period doubted

Question No: 4 (Marks: 1) - Please choose one

In which of the following auditor's remuneration payable is shown?

► In balance sheet under the head of current liabilities only

► In balance sheet under the head of current assets only

► In income statement under the administrative expense only

► In both balance sheet under the head of current liabilities and income statement under the administrative expense

Question No: 5 (Marks: 1) - Please choose one

_____ The charter of a company which defines the limitations and powers of the company is called:

► **The memorandum of association**

► Articles of association

► Statutory report

► Certificate of commencement

Question No: 6 (Marks: 1) - Please choose one

_____ By which if the following Act/ Ordinance, a company is allowed to issue shares at a higher price than their face value.

► **Companies ordinance 1984**

► Contract act 1872

► Sales of Goods act 1930

► None of the given options

Question No: 7 (Marks: 1) - Please choose one

_____
Which of the following clause/s are discussed in Memorandum of Association of Companies?

► Name of company

► Place of registered office of company

► Objective of the company

► **All of the given options**

Question No: 8 (Marks: 1) - Please choose one

Identify the selling expenses of manufacturing concern with the help of given data.

Particulars	Rs.
Salesman's salary	70,000
Commission on sales	28,000
Carriage outward	10,000
Carriage inward	5,000

► Rs. 80,000

► Rs. 60,000

► Rs. 38,000

► Rs. 1, 08,000

Question No: 9 (Marks: 1) - Please choose one

Which of the following account is affected from the Drawings of cash in sole-proprietorship business?

► **Capital account**

► Shareholder account

► Liability account

► Expense account

Question No: 10 (Marks: 1) - Please choose one

Regardless of how long it takes to produce and sell , inventory is always considered to be a:

► current liability

► long-term asset

► stockholders' equity

► **current asset**

Question No: 11 (Marks: 1) - Please choose one

An asset is considered to be a current asset if:

► It has been bought recently and was bought new and not used

► **It can be realized in cash or sold or consumed in the business within one year**

► It is a piece of new machinery that is expected to last for at least ten years

► All of the given options

Question No: 12 (Marks: 1) - Please choose one

General office expenses are charged to which of the following head:

► **Administrative expenses**

► Marketing expenses

► Selling expenses

► Financial expenses

Question No: 13 (Marks: 1) - Please choose one

Wages paid to laborers working in the manufacturing department is treated as an expense of:

► **Cost of goods sold**

► Administrative expenses

► Selling expenses

► Marketing expenses

Question No: 14 (Marks: 1) - Please choose one

_____ It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be deducted from Sundry debtors?

► Rs. 3,600

► Rs. 4,000

► Rs. 1,600

► Rs. 2, 400

Question No: 15 (Marks: 1) - Please choose one

_____

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

► Rs. 600

► Rs. 1,600

► Rs. 2,000

► **Rs. 2,600**

Question No: 16 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of sales Rs.100 to Mr. “A” recorded in the purchases book?

► Sales account

► Purchase account

► A’s account and Sales account

► **Sales account, purchase account and A’s account**

Question No: 17 (Marks: 1) - Please choose one

"Goods sold to Mr. Salman for Rs. 6,000 have been forgotten to enter in books of accounts", is an example of:

► Error of principle

► **Error of omission**

► Error of commission

► Error of original entry

Question No: 18 (Marks: 1) - Please choose one

Transaction that has been completely forgotten to enter is called:

► Error of principle

► **Error of omission**

► Error of commission

► Error of original entry

Question No: 19 (Marks: 1) - Please choose one

Goods purchased from “Mr. A” for Rs. 2,000 passed through the sales book. The rectification of error will result in:

► Increase of gross profit

► **Decrease of gross profit**

► Remains constant and no effect on net profit

► There is no relation between goods purchased and gross profit

Question No: 20 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of purchases return of Rs. 200 to “Mr.P” mistakenly entered in sales book?

► P’s account

► Purchases return account

► Sales account

► **Purchases returns account and sales account**

Question No: 21 (Marks: 1) - Please choose one

If provision is created for doubtful debts, which of the following entry will be passed to record bad debts in control account?

► Bade debts (Dr) and Debtors Control A/c (Cr)

► Provision for doubtful debts (Dr) and Debtors Control A/c (Cr)

► Provision for doubtful debts (Dr) and Debtors A/c (Cr)

► Debtors Control A/c (Dr) and Provision for doubtful debts (Cr)

Question No: 22 (Marks: 1) - Please choose one

Control account tells about:

► **Picture collectively instead of individually**

► Details of loyal clients

► Customer attitude of payments

► Complete history of transactions of business clients

Question No: 23 (Marks: 1) - Please choose one

Which of the following is an item of a creditors control account?

► Cash sales

► Credit sales

► **Credit purchase**

► Cash purchases

Question No: 24 (Marks: 1) - Please choose one

Which of the following is an item of a debtors control account?

► Cash sale

► **Credit sales**

► Credit purchase

► Cash purchases

Question No: 25 (Marks: 1) - Please choose one

Consider the following data:

Provision created in 2006	Rs. 2,500
Bad debts in 2007	Rs. 1,500
Sundry debtors on 31-12- 2007 were Rs. 40,000 and provision is created @ 5%.	
Which journal entry is Correct for the provision for doubtful debts for the year 2007.	

► Provision for doubtful debts a/c Rs. 1,000 (Dr) & Profit & Loss a/c Rs. 1,000 (Cr)

► Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)

► Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)

► Profit & Loss a/c Rs. 1,000 (Dr) & Provision for doubtful debts a/c Rs. 1,000 (Cr)

Question No: 26 (Marks: 1) - Please choose one

It is supposed that on 31-12-2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. What entry will pass to transfer the bad debts to provision for doubtful debts?

► Profit & Loss a/c Rs. 1,600 (Dr) & Provision for doubtful debts a/c Rs. 1,600 (Cr)

► Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)

► Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)

► Provision for doubtful debts a/c Rs. 1,600 (Dr) & Bad Debts a/c Rs. 1,600 (Cr)

Question No: 27 (Marks: 1) - Please choose one

Which of the following entry will be recorded when the Bad Debts are recovered?

► Cash account (Dr.) & Bad Debts recovered account (Cr.)

► Accounts Receivable account (Dr.) & Bad Debts recovered account (Cr.)

► Bad debts recovered account (Dr.) and Profit & Loss account (Cr.)

► Provision for doubtful debts account (Dr.) & Cash account (Cr.)

Question No: 28 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

► Rs. 400

► Rs. 800

► Rs. 2,000

► **Rs. 2,400**

Question No: 29 (Marks: 1) - Please choose one

In which of the following condition(s) **DEBT** is regarded as **BAD**.

► Bankruptcy of the debtor

► Disappearance of debtor's business

► Failure of repeated attempt to collect the debt

► **All of the given options**

Question No: 30 (Marks: 1) - Please choose one

Which of the following is **CORRECT** for Doubtful Debt?

► **It is shown in balance sheet**

► It is a definite loss to the business

► It is not shown in balance sheet

► No provision is necessary for it

Question No: 31 (Marks: 1) - Please choose one

Which of the following option is **TRUE** about the characteristic(s) of Bad Debt?

► It is a definite loss to the business

► It is not shown in Balance Sheet

► No provision is necessary for it

► All of the given options

Question No: 32 (Marks: 1) - Please choose one

Which one of the following transactions will cause the balance in Mr. Terry's Cash Book to be greater than his Bank Statement balance?

► A cheque is drawn but not yet presented at the bank for payment

► The bank has not yet notified to Mr. Terry about a dishonoured cheque

► A credit transfer into Terry's Bank Account

► A cheque payment of Rs.101 is recorded in the Cash Book as Rs.110

Question No: 33 (Marks: 1) - Please choose one

Upon checking the Bank Statement against the Cash Book by Mr. A, It was discovered that an amount of Rs.120 for dividend from XYZ Co. had not been entered in the Cash Book. Which of the following entry should be recorded to rectify the mistake?

► **Bank Account(Dr.) and Dividend Account (Cr.)**

► XYZ Co. Account (Dr.) and Bank Account (Cr.)

► Dividend Account (Dr.) and Bank Account (Cr.)

► Bank Account (Dr.) and XYZ Co. Account (Cr.) doubted

Question No: 34 (Marks: 1) - Please choose one

A Bank Reconciliation Statement is prepared to:

► **Ascertain that the difference between the Cash Book balance and the Bank Statement balance has been accounted for**

► Correct errors in the Cash Book or errors in the Bank Statement

► Amend the balance of the Bank Statement of the firm

► Amend the balance in the Cash Book of the firm

Question No: 35 (Marks: 1) - Please choose one

Firms charge depreciation each year:

► To ensure there is enough money in the firm to replace the asset

► To spread the cost of the asset over its working life

► To reduce the profit and thus reduce the dividends they can pay to share holders

► Because the law states they must be reduced

Question No: 36 (Marks: 1) - Please choose one

Which one of the following is **NOT** true about revenue expenditure?

► These are the running expenses of the business

► They improve the financial position of the business

► They reduce the profit of the concern

► They do not appear in the balance sheet

Question No: 37 (Marks: 1) - Please choose one

The amount of depreciation charged on machinery will be debited to:

► Machinery account

► **Depreciation account**

► Cash account

► Capital account

Question No: 38 (Marks: 1) - Please choose one

_____ In cost of goods sold statement, the 'cost of material consumed' is equal to:

► Opening raw material inventory + Purchases – Ending raw material inventory

► Opening raw material inventory - Purchases + Ending raw material inventory

► Ending raw material inventory + Opening raw material inventory - Purchases

► Ending raw material inventory + Opening raw material inventory + Purchases

Question No: 39 (Marks: 1) - Please choose one

_____
Which of the following particulars are included in the specimen of a bank receipt voucher?

4) Name of the organization
5) Bank code
6) Date of transaction

► (1) & (2) only

► (1) & (3) only

► (2) & (3) only

► **(1), (2) & (3)**

Question No: 40 (Marks: 1) - Please choose one

_____ If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs.20,000 during the year. What would be the Net Profit?

► **Rs.15,000**

► Rs. 35,000

► Rs. 55,000

► Rs. 60,000

Question No: 41 (Marks: 1) - Please choose one

_____ The return of goods by a customer should be debited to:

► Customer’s account

► **Sales return account**

► Goods account

► Accounts receivable

Question No: 42 (Marks: 1) - Please choose one

_____ Mr. A provided the following information from his books of accounts at the end of the month.

Particulars	Rs.
Cash	100
Accounts Receivable	500
Accounts Payable	200
Bank Loans	1,000

Based on the information provided, what are Mr. A's total liabilities?

► Rs.200

► Rs. 900

► **Rs. 1200**

► Rs. 1700

Question No: 43 (Marks: 1) - Please choose one

Which of the following shows the categories of assets in a Balance Sheet?

► Current assets, Long term assets and Accounts payable

► Current assets, Long term assets and Fixed assets

► Current assets, Quick assets and Business debts

► Current assets, Fixed assets and Deferred cost

Question No: 44 (Marks: 1) - Please choose one

An informal accounting statement that lists the ledger account balances at a point in time and compares the total of debit balances with the total of credit balances is known as:

► Income Statement

► Balance Sheet

► **Trial Balance**

► Cash Book

Question No: 45 (Marks: 1) - Please choose one

_____ The original book of entry, in which all vouchers are first recorded, is called:

► **General Journal**

► General Ledger

► Trial Balance

► Balance Sheet

Question No: 46 (Marks: 1) - Please choose one

_____

Commercial Accounting is based on:

► Single entry book keeping

► **Double entry book keeping**

► Both single and double entry book keeping

► Cash basis of book keeping

Question No: 47 (Marks: 1) - Please choose one

_____

Double entry accounting system includes:

► Accrual accounting only

► Cash accounting only

► Both cash and accrual accounting

► None of the given options

Question No: 48 (Marks: 1) - Please choose one

_____ An accounting system is used by a business to:

► Analyze transactions

► Handle routine book-keeping tasks

► Structure information

► **All of the given options**

Question No: 49 (Marks: 1) - Please choose one

_____ The estimation of expenses and revenues for future is called:

► **Budgeting**

► Costing

► Management

► Auditing

Question No: 50 (Marks: 1) - Please choose one

_____

Shares for which amount is paid by public are called _____ shares.

► Paid up doubted

► Authorized

► Bonus shares

► **All are correct options**

Question No: 51 (Marks: 5)

What is the difference between accounts payable and accounts receivable? Discuss it with the help of example.

Accounts Payable:

Liabilities are debts. The person or organization to which the debt is owed is called creditors. All businesses have liabilities; even the most successful companies purchase stocks, supplies, and services on credit. The liabilities arising from such purchases are called accounts payable. For example, if a person A is our creditor and we have to return his money so he it is recorded in our books as accounts payable.

Accounts Receivable:

Debtors are the person from whom our money is receivable. He has to return our money which he had borrowed from us at sometime. Such money or accounts are called Accounts receivable. For example A person named A is our debtor so he is recorded in our book as the account receivable.

Question No: 52 (Marks: 10)

The following Trial Balance was extracted from the books of Naeem & Sons on 31st December, 2007. From this you are required to prepare Balance Sheet as on.

Particulars	**Debit**	**Credit**
	Rs.	**Rs.**
Cash	5,200	
Accounts Receivable	9,000	
Merchandise Inventory on 1.1.2007	6,000	
Plant and Machinery	24,000	

Land and Building	82,000	
Furniture and Fixtures	2,600	
Capital		136,000
Accounts Payable		3800
Purchases	60,000	
Purchases returns and allowances		2,800
Sales		70,000
Sales returns and allowances	4,600	
Insurance Prepaid	3,400	
Advertisement expenses	4,000	
Salaries expenses	12,000	
Total	**212,600**	**212,600**

Liabilities: **Capital 136000** **Purchase return and allowances (2800)**	**Assets** **Accounts receivable 9000** **Merc. Inventory 6000** **Plant n machinery 2400** **Land n building 82000** **Furniture n fixtures 2600**
133220	**102000**
Current liabilities: **Accounts payable (3800)** **Salaries expenses 12000**	**Current Assets** **Sales 70000** **Sales return (4600)**

Advertisement expenses 4000	**Cash 5200**
12200	**70600**

ADDITIONAL INFORMATION:

- Prepaid insurance on 31st December, 2007 is Rs. 1,400
- Outstanding salaries Rs. 1,000
- Depreciation on Plant and Machinery @ 10% p.a.
- Merchandise inventory on 31st December, 2007 was valued at Rs. 6,000
- Net Loss for the period Rs. 13,000

Question No: 53 (Marks: 10)

Prepare Profit & Loss Account for the year ended 31st December, 2007.

Particulars	Rs.
Capital	1,20,000
Trade Creditors	17,500
Bills payable	1,000
Sales	6,26,100
Raw material Stocks on 1-1-2007	30,000
Work in process on 1-1-2007	35,600
Finished Goods on 1-1-2007	35,400
Purchases	5,18,000
Carriage inwards	8,900

Discount Allowed	750
debtors	16,000
Sales man commission	2,000
Office expenses	2,000
Carriage outwards	1,700
Bad debts	1,400
Salaries	13,000
Direct labor	1,800
FOH	1,100
Plant & Machinery	53,000
Buildings	35,000
Tools	8,650

Stock as on 31st December, 2007

- Raw material Stocks Rs. 31,000
- Work in process Rs. 25,000
- Finished Goods Rs. 53,900

Depreciation Rate:

- Plant & Machinery @ 10% and charged to FOH
- Buildings @ 5% and 40% charged to Administrative expenses and balance will be charged to FOH
- Tools @ 15% and 30 % charged to FOH and balancing will be charged to administrative expenses

Additional data

- Reserve and bad debts is to be created at 5% on debtors.
- 40% of salaries will charge to office and balance to FOH.

Question No: 54 (Marks: 10)

You are required to prepare Debtors control account and Creditor control account from the given data from the books of ABC Co. Ltd for the year 2007.

Opening balance

Debtors	Rs.1,55,000
Creditors	2,55,000

Sales

Cash	Rs.1,85,000
Credit	2,65,000

Purchases

Cash	Rs.120,000
Credit	200,000

Other information

Total receipts	Rs.3,50,000
Total payments	2,50,000

Additional Information

Discount allowed	Rs.20,000
Discount received	15,000
Bad debts written off	20,000

Creditors control account			
Discount received	15000	Opening balance	255000
Total payments	250000	Total purchases	200000
balance	190000		
	455000		455000

Debtors Control Account

Opening balance	155000		
Total sales	185000	Receipts	350000
		discount	20000
	340000		

Paper No:24

Solved by Chanda Rehman & ABr

FINALTERM EXAMINATION

Fall 2008

MGT101- Financial Accounting (Session - 3)

Ref

Time: 120 min

Marks: 85

Question No: 1 (Marks: 1) - Please choose one

_____ If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. B in distributable profit.

► Rs. 98,000

► **Rs. 1, 47,000 (Correct)**

► Rs. 2, 45,000

► Rs. 3, 43,000

Question No: 2 (Marks: 1) - Please choose one

_____
What does a credit balance in a partner's current account represent to a business?

► Current Assets

► Current Liability

► Long-term liability

► **Share of profit (doubted)**

Question No: 3 (Marks: 1) - Please choose one

_____
Which of the following ratio tells about "How a company would repays its loans"

► **Mark up cover ratio doubted**

► Acid test ratio

► Current ratio

► Debt Equity ratio

Question No: 4 (Marks: 1) - Please choose one

Which of the following is **CORRECT** about Gross Profit Ratio?

► (Gross profit / Net Sales) x 100

► (Gross profit / Operating Income) x 100

► **(Gross profit / Sales Return) x 100 (Correct)**

► (Gross profit / Net Income) x 100

Question No: 5 (Marks: 1) - Please choose one

Current ratio may be increased by:

► Overstating current Assets

► Overstating current Liabilities

► Understating current Assets

► Understating current assets and overstating current liabilities

Question No: 6 (Marks: 1) - Please choose one

Which of the following is a type of business formed under the Companies Ordinance 1984?

► Sole-Proprietorship

► Partnership

► **Joint Stock Company (Correct)**

► All of the given options

Question No: 7 (Marks: 1) - Please choose one

When preparing cash flow statements, the repayments of a loan during the year should be included under which of the following heading?

► Operating activities

► Financing activities

► Investing activities

► None of the given options

Question No: 8 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as an inflow of cash?

► The repayments of a bank loan

► Dividend issue in the current year

► **Money received as result of selling fixed assets (Correct)**

► The difference between the valuations of old and new fixed assets

Question No: 9 (Marks: 1) - Please choose one

What are the effects on financial statements, if Rs. 6,000 transfer to general reserve is given in adjustment?

► It will be treated in Income Statement only

► It will be treated as current liability in balance sheet only

► It will be treated in profit and loss appropriation account only

► **it will be treated in both profit and loss appropriation account and in the balance sheet (Correct)**

Question No: 10 (Marks: 1) - Please choose one

Which of the following is the most important document of the company?

► **Memorandum of Association (Correct)**

► Articles of Association

► Prospectus

► Annual Report

Question No: 11 (Marks: 1) - Please choose one

Preliminary Expenses of the company may write off against:

► **Share premium account (Correct)**

► Share holder account

► Debtors control account

► Creditor control account

Question No: 12 (Marks: 1) - Please choose one

Which of the following clause/s are discussed in Memorandum of Association of Companies?

► Name of company

► Place of registered office of company

► Objective of the company

► **All of the given options (Correct)**

Question No: 13 (Marks: 1) - Please choose one

_____ The Joint Stock Company is formed under the Companies Ordinance:

► **1984 (Correct)**

► I884

► 1948

► 1965

Question No: 14 (Marks: 1) - Please choose one

_____

When the capitals are fixed, which of the following account will be debited for drawings made by a partner?

► Individual Partner's Current Account

► Partner's Cash Account

► Partner's Bank Account

► Partners Capital Account

Question No: 15 (Marks: 1) - Please choose one

_____

Which of the following account will be debited when the interest on drawings is charged?

► Partner's capital account

► Interest account

► Partner's current account

► **Profit & Loss account doubted**

Question No: 16 (Marks: 1) - Please choose one

Which of the following is **CORRECT** if depreciation is given in trial balance?

► It means depreciation has already been deducted from concerned asset account

► **It will be shown as an expense in income statement only (Correct)**

► It will not be deducted from concerned asset in Balance Sheet

► All of the given options are correct

Question No: 17 (Marks: 1) - Please choose one

An asset which is **NOT** easily convertible to cash or not expected to become cash within a period of twelve months is called:

► Liquid asset

► Current asset

► Fixed asset

► Floating asset

Question No: 18 (Marks: 1) - Please choose one

Which one of the following is **TRUE** about provisions?

► It is necessary to prepare for showing true picture of balance sheet

► It is a reduction from assets

► It is prepared for specific purposes

► All of the given options

Question No: 19 (Marks: 1) - Please choose one

_____ The Balance Sheet item that represents the resources invested by the owner is known as:

► Accounts Receivable

► Cash

► Note Payable

► **Owner's Equity (Correct)**

Question No: 20 (Marks: 1) - Please choose one

_____
Which of the following is **NOT** an operating expense?

► Salaries and wages expense

► Rent expense

► Interest expense

► **Depreciation expense (Correct)**

Question No: 21 (Marks: 1) - Please choose one

_____ A financial statement that indicates the success or failure of a business, over a period of time is called:

► A cash flow statement

► A retained earnings statement

► An income statement

► **A balance sheet (Correct)**

Question No: 22 (Marks: 1) - Please choose one

Which of the following is the first phase of the typical operating cycle?

- ► Receive cash from customers
- ► Pay cash to suppliers
- ► Sell goods and services to customers
- ► **Purchase goods and services (Correct)**

Question No: 23 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 10%	

Identify the Total amount deducted from Sundry debtors.

- ► Rs. 460
- ► Rs. 2,400
- ► Rs. 3,080
- ► **Rs. 5,480 (Correct)**

Question No: 24 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be deducted from Sundry debtors?

- ► Rs. 3,600
- ► Rs. 4,000
- ► Rs. 1,600
- ► **Rs. 2, 400 (doubted)**

Question No: 25 (Marks: 1) - Please choose one

When one or both aspects of a transaction are recorded in the wrong class or category of account, this is called:

- ► **Error of principle (Correct)**
- ► Error of omission
- ► Error of commission
- ► Error of original entry

Question No: 26 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of sales Rs.100 to Mr. "A" recorded in the purchases book?

- ► Sales account
- ► Purchase account

► A’s account and Sales account

► **Sales account, purchase account and A’s account (Correct)**

Question No: 27 (Marks: 1) - Please choose one

_____ A receipt of cash Rs. 10,000 from Mr. Bilal is recorded as Rs. 1,000. What amount will be adjusted in rectifying entry?

► Rs. 1,000

► **Rs. 9,000 (Correct)**

► Rs. 10,000

► Rs. 11,000

Question No: 28 (Marks: 1) - Please choose one

_____ are committed in those cases where proper distinction between revenue and capital items is not made.

► Error of principle

► Error of omission

► **Error of commission (Correct)**

► Error of original entry

Question No: 29 (Marks: 1) - Please choose one

Which of the following is (are) benefit/s of subsidiary ledger accounts to business?

► It tells about customer attitude of payments

► It can be checked against the control account to pick up recording errors

► It tells about the complete history of transactions of business client

► **All of the given options (Correct)**

Question No: 30 (Marks: 1) - Please choose one

Which of the following is **NOT** included in Debtors Control Account?

► **Cash sales (Correct)**

► Credit sales

► Bills receivable

► Discount allowed

Question No: 31 (Marks: 1) - Please choose one

Which of the following is/are the item/s of a Control Account?

► Credit sale only

► Cash sale only

► Credit purchase only

► Both Credit sales and Credit purchase

Question No: 32 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account.

► Rs. 3,600

► Rs. 2,000

► Rs. 1,600

► **Rs. 400 (doubted)**

Question No: 33 (Marks: 1) - Please choose one

Which of the following is **NOT** a function of bank reconciliation statement?

► To reconcile the difference between the cash book and the bank statement

► **To check for errors in balance sheet (Correct)**

► To update omitted entries into the cash book

► To update omitted entries into the bank statement

Question No: 34 (Marks: 1) - Please choose one

Which one of the following transactions will cause the balance in Mr. Terry's Cash Book to be greater than his Bank Statement balance?

► A cheque is drawn but not yet presented at the bank for payment

► The bank has not yet notified to Mr. Terry about a dishonoured cheque

► A credit transfer into Terry's Bank Account

► A cheque payment of Rs.101 is recorded in the Cash Book as Rs.110

Question No: 35 (Marks: 1) - Please choose one

The following balance and discrepancies were found on 31 March 2008:

Particulars	Rs.
Cash book balance (Dr)	5 000

Unpresented cheques	1 000
Uncredited cheques	500

The Bank Statement balance on 31 March 2008 should be:

- ► Rs. 5 500 (Dr)
- ► Rs. 5 500 (Cr)
- ► Rs. 4 500 (Dr)
- ► **Rs. 4 500 (Cr) (Correct)**

Question No: 36 (Marks: 1) - Please choose one

Which of the following is **NOT** a characteristic of Joint Stock Company?

- ► Separate Legal Entity
- ► Limited Liability
- ► **Easy Formation (Correct)**
- ► Common Seal

Question No: 37 (Marks: 1) - Please choose one

Consider the following data:

Particulars	Rs.
Assets	1,98,000
Owner's equity	95,000
Liabilities	?

► Rs. 49,000

► Rs. 55,000

► Rs. 1, 25,000

► **Rs. 1, 03,000 (Correct)**

Question No: 38 (Marks: 1) - Please choose one

_____ The basic purpose of depreciation is to achieve the:

► **Matching principle (Correct)**

► Dual aspect principle

► Separate entity concept

► Money measurement concept

Question No: 39 (Marks: 1) - Please choose one

_____
Accountancy covers which of the following area(s):

► Book-keeping

► Accounting

► Auditing

► **All of the given options (Correct)**

Question No: 40 (Marks: 1) - Please choose one

_____ Bank Reconciliation Statement is prepared by:

► Bankers

► **Accountant of the business (Correct)**

► Statutory auditor

► Manger

Question No: 41 (Marks: 1) - Please choose one

Under the reducing balance method, deprecation is calculated on:

► Scrap value of an asset

► Original cost of an asset

► **Book value of an asset (Correct)**

► Fair value of an asset

Question No: 42 (Marks: 1) - Please choose one

The products that are ready for sale are known as:

► Raw material

► Work in process

► **Finished goods (Correct)**

► Closing stock

Question No: 43 (Marks: 1) - Please choose one

Which of the following item appears in Trading Account of a business?

► Interest expenses

► **Wages and salaries (Correct)**

► Depreciation expenses

► Discount Allowed

Question No: 44 (Marks: 1) - Please choose one

Which of the following financial statement **DO NOT** show the financial health of a business at a specific date?

► **Profit and loss account (Correct)**

► Balance sheet

► Statement of financial position

► All of the given options

Question No: 45 (Marks: 1) - Please choose one

Which of the following account will be credited in the books of XYZ Co. Ltd, if the business purchased a vehicle though cheque?

► Vehicle account

► Cash account

► Business account

► **Bank account (Correct)**

Question No: 46 (Marks: 1) - Please choose one

_____

Gross Profit > Operating Expenses=?

► **Net Profit (Correct)**

► Cost of Goods Sold

► Net Loss

► Gross Loss

Question No: 47 (Marks: 1) - Please choose one

_____ Bank book is part of:

► Voucher

► General Journal

► **General Ledger (Correct)**

► Trial Balance

Question No: 48 (Marks: 1) - Please choose one

_____

What would be the affect on the components of the accounting equation, if goods are purchased on cash?

► Increase in cash and decrease in equity

► Increase in cash and increase in goods

► **Increase in goods and decrease in cash (Correct)**

► Increase in equipment and increase in equity

Question No: 49 (Marks: 1) - Please choose one

_____ We can say that the business is in profit, when:

► Assets exceed Liabilities

► **Income exceeds Expenditure (Correct)**

► Income exceeds Liabilities

► Assets exceed Expenditure

Question No: 50 (Marks: 1) - Please choose one

_____ A business event which can be measured in terms of money and must be recorded in books of accounts is called:

► Information

► Condition

► **Transaction (Correct)**

► Record

Question No: 51 (Marks: 5)

_____

Calculate Net income with the help of given date for the year 2007 and also show complete working to support your answer.

Raw material Stocks on 1-1-2007	Rs. 30,000

Work in process on 1-1-2007	35,600
Finished Goods on 1-1-2007	35,400

Raw material Stocks 31-12-2007	Rs. 31,000
Work in process 31-12-2007	25,000
Finished Goods 31-12-2007	53,900
Total factory Cost	543,339

Additional data

- Other income for the year is Rs. 5,000.
- Operating expenses for the year Rs. 15,000.
- Sale for the year Rs. 1,000,000.

Question No: 52 (Marks: 10)

The following Trial Balance was extracted from the books of Naeem & Sons on 31st December, 2007. From this you are required to prepare an Income Statement for the year ended on 31st December, 2007,

Particulars	**Debit**	**Credit**
	Rs.	**Rs.**
Cash	5,000	
Accounts Receivable	9,000	
Merchandise Inventory on 1.1.2007	6,000	
Plant and Machinery	24,000	
Land and Building	82,000	
Furniture and Fixtures	2,600	

Capital		136,000
Accounts Payable		3800
Purchases	60,000	
Purchases returns and allowances		2,800
Sales		70,000
Sales returns and allowances	4,600	
Insurance Prepaid	3,400	
Advertisement expenses	4,000	
Salaries expenses	12,000	
Total	**212,600**	**212,600**

ADDITIONAL INFORMATION:

- Prepaid insurance on 31st December, 2007 is Rs. 1,400
- Outstanding salaries Rs. 1,000
- Depreciation on Plant and Machinery @ 10% p.a.
- Merchandise inventory on 31st December, 2007 was valued at Rs. 6,000

Answer:

Trading Account for the year ending 31.12.2007						
Opening stock		**6000**		**Sales**	**70000**	
				Less : Sales Return	**4600**	
Purchase	**60000**					**65400**
Less Return	**2800**					
		57200				

				Closing Stock		6000
Gross Profit			8200			
			71400			71400
Profit & Loss Account for the year ending 31.12.2007						
Advertisement Exp		4000		Gross Profit		8200
	-					
Salaries	12000					
Add: Outstanding	1000					
		13000				
Depreciation						
Plant & Mach		2400				
Insurance	3400					
	1400					
		2000				
				Net Loss		13200
		19400				21400

Balance Sheet as on 31.12.2007

Accouts Receivable		9000	Capital	136000	
			Less :Net Loss	13200	
Cash		5000			122800
Plant & Mach	24000		Accounts Payable		3800
Less: Depr	2400				
		21600	Outstanding salaries		1000
Land & Building		82000			
Furniture		2600			
Prepaid Insurance		1400			
Closing Stock		6000			
		127600			127600

Question No: 53 (Marks: 10)

Prepare Profit and Loss Account for the year ending 31st December 2007 from the Trial Balance and adjustments of MS Company given below:

Particulars	Debit	Credit
	Rs.	Rs.
Drawings	14,000	
Capital Account		80,000
Opening Stock	55,000	
Purchases	485,000	
Sales		610,000
Sundry Debtors	80,000	
Sundry Creditors		60,500
Sales Returns	5,000	
Carriage Inwards	6,000	
Salaries	28,000	
Rent, Rates, Taxes	15,000	
Insurance	4,000	
Machinery	50,000	
Furniture	5,000	
Cash in hand	3,500	
Total	**750,500**	**750,500**

Adjustments:

- Depreciate machinery and furniture @20%p.a.
- Outstanding Salaries Rs. 2,000
- Insurance paid in advance Rs. 500

- Maintain @5% reserve for doubtful debts on debtors.
- Closing Stock was valued at Rs. 60,000

Answer:

Trading Account for the year ending 31.12.2007						
Opening stock		**55000**		**Sales**	**610000**	
				Less : Sales Return	**5000**	
Purchase		**485000**				**605000**
Caririage Inward		**6000**		**Closing Stock**		**60000**
Gross Profit		**119000**				
		665000				**665000**
Profit & Loss Account for the year ending 31.12.2007						
Salaries	**28000**			**Gross Profit**		**119000**
Add: Outstanding	**2000**					
		30000				
Rent, Rates, Taxes		**15000**				
Insurance	**4000**					
Less :Advance	**500**					

		3500				
Depreciation						
Machinery	10000					
Furniture	1000					
		11000				
Provision on Doubtful Debts		4000				
Net Profit		55500				
		119000				119000

NOTE: PLEASE CONSIDER ALL ENTRIES ON LEFT SIDE AS ON RIGHT HAND SIDE AND VICE VERSA. JUST SHOWN BY MISTAKE. I HOPE YOU CONSIDER MY REQUEST DUE TO SHORATGE OF TIME.

Question No: 54 (Marks: 10)

What is the difference between public and private company?

Answer:

Private Limited Company

- Ø Number of members in a private limited company varies from 2 to 50.
- Ø Any 2 members can subscribe their names in memorandum and articles of association along with other requirements of the companies' ordinance 1984. They can also apply to security exchange commission for company's registration.
- Ø The shareholders of the private limited company elect two members of the company as Directors. These directors form a board of directors to run the affairs of the company.
- Ø The head of board of directors is called chief executive.
- Ø Private limited company can not offer its shares to general public.

- In case a investor decides to sell his/her/her shares, his/her shares are first offered to existing shareholders. If all existing shareholders decide not to buy these shares, then an outsider investor can buy.
- Words and digression "(Private) Limited" are added at the end of the name of a private limited company.

Public Limited Company

- Least number of members in a public limited company is **7** with no upper limit in number of members.
- Any 7members can subscribe their names in memorandum and articles of association along with other requirements of the companies' ordinance 1984. They can also apply to security exchange commission for company's registration.
- The shareholders of the public limited company elect seven members of the company as Directors and these directors form a board of directors to run the daily affairs.
- The head of board of directors is called Chief Executive.
- Public limited company can offer its shares to general public at large.
- Word "Limited" is added at the end of the name of a public limited company.
- Each subscriber of the memorandum shall write opposite to his name, the number of shares held by him/her.

On top of that there are two types of public limited company:

---

1. Listed Company
2. Non Listed Company

LISTED COMPANY

Listed company is the one whose shares are quoted and traded on stock exchange. It is also called quoted company.

NON LISTED COMPANY

Non listed company is the one whose shares are not quoted or traded.

Paper No:1

Solved by Chanda Rehman& Kamran Haider

2010 Final Paper

Question No: 7 (Marks: 1) - Please choose one

Which of the following business publishes the Financial Statements?

► Sole-Proprietorship
► Partnership

► Trust
► **Public Limited Company** **correct**

Question No: 16 (Marks: 1) - Please choose one

Which of the following can offer its share to general public at large?

► A private limited company
► **A listed company** correct
► A partnership firm
► A trust

Question No: 17 (Marks: 1) - Please choose one

Which financial statement show what a business owes at a particular point in time?

► A cash flow statement
► The bank statement for the business
► **A balance sheet** **correct**
► A statement of retained earnings

Question No: 19 (Marks: 1) - Please choose one

The Balance Sheet item that represents the resources invested by the owner is known as:

► Accounts Receivable
► Cash
► Note Payable
► **Owner's Equity** **correct**

Question No: 25 (Marks: 1) - Please choose one

Which of the following rectifying entry will be recorded, if sales to Mr. “A” of Rs.336 have been debited to Mr. “B” account?

► **A’s account (Dr.) and B’s account (Cr.)** **correct**
► B’s account (Dr.) and A’s account (Cr.)

► Sales account (Dr.) and B's account (cr.)
► B's account (Dr.) and Sales account (Cr.)

Question No: 28 (Marks: 1) - Please choose one

If provision is created for doubtful debts, which of the following entry will be passed to record bad debts in control account?

► Bade debts (Dr) and Debtors Control A/c (Cr)
► Provision for doubtful debts (Dr) and Debtors Control A/c (Cr)
► **Provision for doubtful debts (Dr) and Debtors A/c (Cr)** **correct**
► Debtors Control A/c (Dr) and Provision for doubtful debts (Cr)

Question No: 34 (Marks: 1) - Please choose one

The following balance and discrepancies were found on 31 March 2008:

Particulars	Rs.
Cash book balance (Dr)	5 000
Unpresented cheques	1 000
Uncredited cheques	500

The Bank Statement balance on 31 March 2008 should be:

► Rs. 5 500 (Dr)
► **Rs. 5 500 (Cr)** **correct**
► Rs. 4 500 (Dr)
► Rs. 4 500 (Cr)

Question No: 42 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 15,000
Sale price after 5 years	Rs.50,000
Book value of Asset after 5 years	**?**

► **Rs.25, 000** **correct**
► Rs. 75,000
► Rs. 15,000
► Rs. 1, 00,000

Question No: 44 (Marks: 1) - Please choose one

Which of the following shows summary of a company's financial position at a specific date?

- ► Profit & Loss Account
- ► Cash Flow Statement
- ► **Balance Sheet correct**
- ► Income & Expenditure Account

Question No: 1 (Marks: 1) - Please choose one

Debenture is also named as:

- ► Share
- ► **Bond correct**
- ► Equity
- ► Reserve

Question No: 2 (Marks: 1) - Please choose one

A company declares a cash dividend to be paid to its stockholders next month. The effect of the transaction is to:

- ► **Decrease assets and liabilities.correct**
- ► Increase assets and stockholders' equity.
- ► Decrease assets and stockholders' equity.
- ► Increase liabilities and decrease stockholders' equity.

Question No: 4 (Marks: 1) - Please choose one

The net income calculated in the income statement for the accounting period is reported on:

- ► Bank Statement
- ► Statement of retained earnings
- ► Statement of cash flows
- ► **None of the given options correct**

Question No: 9 (Marks: 1) - Please choose one

Which of the following is the most important document of the company?

- ► **Memorandum of Association correct**
- ► Articles of Association
- ► Prospectus
- ► Annual Report

Question No: 12 (Marks: 1) - Please choose one

Authorized share capital is also known as:

► **Registered capital** correct
► Issued capital
► Paid up capital
► Called up capital

Question No: 20 (Marks: 1) - Please choose one

Consider the following table:

	Financial statement item	Classification
A.	Inventory	Current asset
B.	Tangible assets	Non-current asset
C.	Accrued expenses	Current asset
D.	Bonds payable	Long-term liabilities

Identify the row above, showing an INCORRECT financial-statement classification?

► Row A
► Row B
► **Row C** correct
► Row D

Question No: 27 (Marks: 1) - Please choose one

Goods purchased from "Mr. A" for Rs. 2,000 passed through the sales book. The rectification of error will result in:

► **Increase of gross profit** correct
► Decrease of gross profit
► Remains constant and no effect on net profit
► There is no relation between goods purchased and gross profit

Question No: 31 (Marks: 1) - Please choose one

Which of the following entry will be recorded when the Bad Debts are recovered?

► **Cash account (Dr.) & Bad Debts recovered account (Cr.)** correct
► Accounts Receivable account (Dr.) & Bad Debts recovered account (Cr.)
► Bad debts recovered account (Dr.) and Profit & Loss account (Cr.)
► Provision for doubtful debts account (Dr.) & Cash account (Cr.)

Question No: 33 (Marks: 1) - Please choose one

Which of the following would be deducted from Sundry Debtors in Balance Sheet?

► Bad debts (Trial balance item)
► Old provision for doubtful debts
► New provision for doubtful debts
► Both Bad debts (given in adjustment) and new provision for doubtful debts correct

Question No: 12 (Marks: 1) - Please choose one

The amount received; in excess of the face value of the shares is transferred to which of the following?

► **Share premium account correct**
► Share holder account
► Share capital account
► Right share

Question No: 13 (Marks: 1) - Please choose one

The maximum amount with which the company is registered is called:

► **Authorized Share Capital correct**
► Issued Share Capital
► Paid up capital
► Called up capital

Question No: 31 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	800
Sundry Debtors (Given in trial balance)	44,500
Provision for doubtful debts @ 5%	
What will be the amount of new provision	**?**

► **Rs. 2,225 correct**
► Rs. 2,525
► Rs. 1,925
► Rs. 3,025

Question No: 32 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 5%	

Requirement: Identify the Total amount which will deduct from Sundry debtors.

- ► Rs. 460
- ► Rs. 2,400
- ► Rs. 1,540
- ► **Rs. 3,940** **correct**

Question No: 37 (Marks: 1) - Please choose one

Depreciable value of an asset is equal to:

- ► Cost + scrap value
- ► Cost + market price
- ► **Cost – scrap value** **correct**
- ► None of the given options

Question No: 39 (Marks: 1) - Please choose one

Which of the following asset is **NOT** depreciated?

- ► Factory Buildings
- ► Office Equipment
- ► Plant & Machinery
- ► **Land** **correct**

Question No: 40 (Marks: 1) - Please choose one

Which one of the following is **NOT** true about revenue expenditure?

- ► These are the running expenses of the business
- ► **They improve the financial position of the business** **correct**
- ► They reduce the profit of the concern
- ► They do not appear in the balance sheet

Question No: 47 (Marks: 1) - Please choose one

Accounts Receivable & Inventory are the examples of:

► Liquid assets
► **Current assets correct**
► Fixed assets
► Capital assets

Question No: 11 (Marks: 1) - Please choose one

The Joint Stock Company is formed under the Companies Ordinance:

► **1984 correct**
► I884
► 1948
► 1965

Question No: 42 (Marks: 1) - Please choose one

Which one of the following statement is **CORRECT** about Long term liabilities?

► These are due within one year
► **These are consist of all debts, payable after 12 months correct**
► In working capital, these are deducted from current assets
► All of the given options

Question No: 16 (Marks: 1) - Please choose one

Which of the following can offer its share to general public at large?

► A private limited company
► **A listed company** correct
► A partnership firm
► A trust

Question No: 43 (Marks: 1) - Please choose one

What would be the value of total factory cost, if the cost of material consumed during the month is Rs. 6,000, labor cost incurred is Rs. 2,000 and the factory over head cost is Rs. 2,500?

► Rs. 6,000
► Rs. 8,000
► Rs. 4,500
► **Rs. 10,500 correct**

Question No: 44 (Marks: 1) - Please choose one

Which of the following is **CORRECT**?

► A cash inflow means increase total cash only

► A cash inflow means increase in cash equivalent only
► A cash inflow means increase in cash and decrease in cash equivalent
► A cash inflow means increase in both cash and cash equivalent
correct

Question: Marks=3
What the difference between Debtors turnover Ratio and Creditor turnover ratio?

Question: Marks = 5
If A and B are two partners and their profit ratio is 3:1 and their capitals are 30000 and 100 respectively. The net profit is 160000 and B get salary Rs. 200 p.m. Prepare Profit distribution account of A and B Partnership.

Question: marks = 5
Pass the Rectify entries.
1: Purchases on credit rs. 10000 to Rizwan have passed through the Sales book.
2: The casting of sales book 151594 but wrongly pass in sales Rs. 115594.

Question No: 54 (Marks: 10)
Write a note on legal documents required for the formation of company.

ANSWER:
LEGAL DOCUMENTS REQUIRED FOR FORMATION OF COMPANY:

MEMORENDUM OF ASSOCIATION: It contains the following information

1. Name of company.
2. Place of registered office
3. Objective
4. Amount of share capital with which company registers.

ARTICLES OF ASSOCIATION: It contains the following information

A document that contains all the policies and other matters necessary to run the business of the company. It is signed by all the members of the company.

Question No: 52 (Marks: 10)

Briefly explain the financial statements prepared by the organization. Why these are important for manufacturing concern?

ANSWER: The financial statements prepared by any organization are as follows:

1. **Profit and loss account:** It shows the performance of the business in a given period. It shows the profitability of business which shows the success or failure of the business.
2. **Balance sheet:** Balance sheet shows the position of business at a given point. It shows the resources available by the business and the resources invested by the owner and other loans.
3. **Cash flow statements:** Cash flow statements show the generation of cash and its usage over a given period.

IMPORTANCE OF FINANCIAL STATEMENTS FOR MANUFACTURING CONCERN: These financial statements are important for manufacturing concern organization as they provide information related to financial affairs of the organization. The profitability and liquidity, the resources available to the company and the generation of cash and its usage over a given period which provides reasonable information to the management to take decisions.

Question No: 54 (Marks: 10)

Pass the rectifying entries to correct the following errors:

- Mr. “Ali” purchased goods of Rs. 1,500 on cash, but omitted to enter in the books of accounts.
- An amount of Rs. 5,000 received from Mr. Amir, was credited to the account of Mr. Ameer.
- Goods returned worth Rs. 500 to Mr. “B” wrongly debited to sales Account.
- A purchase of goods from Mr. “B” of Rs. 400 has been wrongly debited to Furniture Account.

- Furniture purchased on cash Rs. 8,000 posted as purchases.

Rectification of Errors

Error 1.
A purchase of goods of Rs. 1,500 on cash was omitted by mistake

Rectification Entry on the date of discovery:		**1,500**
Debit:	**Purchase Account**	
Credit:	**Cash Account**	**1,500**

Error 2

Debit:	**Mr. Ameer**	**5,000**
Credit:	**Mr. Amir**	**5,000**

- **Error 3** Goods returned worth Rs. 500 to Mr. "B" wrongly debited to sales Account.

Debit:	**Goods Return**	**Rs. 500**
Credit:	**Sales Account**	**Rs. 500**

Error 4 A purchase of goods from Mr. "B" of Rs. 400 has been wrongly debited to Furniture Account.

Debit:	Purchases	Rs. 400
Credit	Furniture Account	Rs. 400

Error 5 Furniture purchased on cash Rs. 8,000 posted as purchases.

Debit	**Furniture Account**	**Rs. 8,000**
Credit	**Purchase Post Account**	**Rs. 8,000**

Question No: 52 (Marks: 10)
Write down the at least ten distinguishing features of a limited company which differentiate it from Partnership business

The basic difference between a partnership and a limited company is the concept of limited liability.

1. If a partnership business runs into losses and is unable to pay it's liabilities, its partners will have to pay the liabilities from their own wealth.
2. In case of limited company the shareholders don't lose anything more than the amount of capital they have contributed in the company. It points that personal wealth is not at stake and their liability is limited to the amount of share capital they have contributed.
3. The concept of limited company is to mobilize the resources of a large number of people for a project, which they would not be able to afford independently and then get it managed by experts.
4. Listed Company have more than twenty partners, so problem of extra capital is reduced to minimum.
5. The liabilities of the members of a company is limited to the extent of capital invested by them in the company
6. There are certain tax benefits to the company, which a partnership firm can not enjoy
7. In Pakistan, affairs of limited companies are controlled by "Companies Ordinance" issued in 1984
8. The formation of a company and other matters related to companies are governed by "Securities and Exchange Commission of Pakistan (SECP)

Question No: 54 (Marks: 10)

The following discrepancies were noted on comparing Cash Book with Pass Book.

(1) The following cheques were deposited into bank on 28th March but were not collected by the bank by 31st March, (i) Rs. 500, (ii) Rs. 300, (iii) Rs. 200.

(2) The following cheques were issued but were not presented for the payment by 31st March. (i) Rs. 200, (ii) Rs. 450 (iii) Rs. 525 (iv) Rs. 375.

(3) The bank credited a dividend of Rs. 2,000 on 31st march but intimation was received by the trader on 5th April, 2008.

(4) The bank credited interest of Rs. 50 on 31st March but not debited in Cash Book.

(5) The Bank charged (debited) a commission of Rs. 100 on 31st March.

(6) A cheque of Rs. 500 was received from customer and was entered in the bank column of Cash Book on 25th March, but was paid into the bank on 1st April.

Required: Prepare a Bank Reconciliation Statement, if the Bank balance as per Cash Book (Dr.) was Rs. 15,000 on 31st March, 2008.

Answer:

Balance as per Cash book.		Dr	15000
Less not collected Cheques. (500+300+200)		Cr	1000
	Dr		14000
Add UN Presented Cheques (200+450+525+375)		Dr	1550
	Dr		15550
Add dividend Credit by bank		Dr	2000
	Dr		17550
Add interest credit by bank		Dr	50
	Dr		17600
Less bank charges	Cr		100
	Dr		17500
Less Cheque received		Cr	500
Balance as per Bank Book		Cr	17000

Question No: 52 (Marks: 10)

Income Statement of XYZ Ltd for the year ended on 30th June, 2007:

Particulars	Rs.	Rs.
Sales		500,000
Less: Cost of Goods Sold		250,000
Gross Profit		250,000
Less: Operating expenses		
Administrative expenses	110,000	
Interest expenses	20,000	130,000

Net profit before Tax		120,000
Less: Taxes		36,000
Net profit after tax		84,000

Opening Stock for the year was Rs. 60,000.

Balance Sheet of XYZ Ltd on 30th June, 2007:

Assets	Rs.
Fixed Assets	400,000
Stock	60,000
Debtors	230,000
Bills Receivable	40,000
Cash at bank	150,000
Prepaid expenses	20,000
Total	900,000
Liabilities	
Share capital	200,000
Reserves and surplus	250,000
10% Debentures	200,000
Creditors	180,000
Bills payable	70,000
Total	900,000

Calculate following ratios from the financial statement of XYZ Ltd.

1. Current Ratio
2. Acid Test Ratio
3. Stock turn over Ratio
4. Debt equity Ratio
5. Gross profit Ratio

Solution:
1: Current Ratio:
Total Assets/Total Liabilities
= 900000/900000
= 1

2: Acid Test Ratio
Total Assets-Stock/Total Liabilities
= 900000-60000/900000
= 840000/900000
= 0.933333

3: Stock turn over Ratio
(Average Stock / Cost of goods sold) x 365

Average Stock = opening stock + Closing Stock/2
= 60000+60000/2
= 60000
= (Average Stock / Cost of goods sold) x 365
= (60000/250000) x 365
= 0.24 x 365
= 87.4

4: Debt equity Ratio
Long term Liabilities / Equity
= 200000/200000
= 1

5: Gross profit Ratio
(Gross Profit / Sales) x 100
= 250000/500000 x 100
= 0.5 x 100
= 50

Question No: 51 (Marks: 5)

10 % Debentures of Rs. 80,000 are shown in trial balance. How it will be shown in financial statements? Also mention why a company issues debentures.

Answer:
10% Debentures of Rs. 80000 is shown the Owners Equity pr liability Side of Balance sheet.
Debentures are issued under the common seal of the company and debentures are an instrument for obtaining the loan from the general public. Company also paid mark up on debentures which generally equal to the market rate.

Paper No:2

Solved by Chanda Rehman,& ABr

FINALTERM EXAMINATION
Spring 2010
MGT101- Financial Accounting (Session - 4)

Ref No:
Time: 90 min
Marks: 69

Question No: 1 (Marks: 1) - Please choose one

While making Income & Expenditure account, Excess of income over expenses in a specified accounting period is called:

► Profit
► Loss
► **Surplus**
► Deficit

Question No: 2 (Marks: 1) - Please choose one

Which of the following organizations do **NOT** prepare Income & Expenditure account?

► Public limited companies
► Private limited companies
► Partnership firms
► **All of the given options**

Question No: 3 (Marks: 1) - Please choose one

Stock of Trading concern consists of:

► Raw material
► Work in process
► **Merchandise inventory**
► All of the given options

Question No: 4 (Marks: 1) - Please choose one

Which of the following best describes unpresented cheques?

► Cheques received on behalf of the business by the bank

► **Cheques drawn but yet to be recorded in the bank records**
► Cheques issued by the bank not recorded in business records
► Cheques received but yet to be recorded in the bank records

Question No: 5 (Marks: 1) - Please choose one

If provision is created for doubtful debts, which of the following entry will be passed to record bad debts in control account?

► Bade debts (Dr) and Debtors Control A/c (Cr)
► Provision for doubtful debts (Dr) and Debtors Control A/c (Cr)
► **Provision for doubtful debts (Dr) and Debtors A/c (Cr)**
► Debtors Control A/c (Dr) and Provision for doubtful debts (Cr)

Question No: 6 (Marks: 1) - Please choose one

Which of the following entry will be passed to record discount received in control account?

► Discount Received (Dr) and Creditors Control A/c (Cr)
► Discount Received (Dr) and Creditors A/c (Cr)
► **Creditors Control A/c (Dr) and Discount Received (Cr)**
► Creditors A/c (Dr) and Discount Received (Cr)

Question No: 7 (Marks: 1) - Please choose one

Goods purchased from “Mr. A” for Rs. 2,000 passed through the sales book. The rectification of error will result in:

► Increase of gross profit
► **Decrease of gross profit**
► Remains constant and no effect on net profit
► There is no relation between goods purchased and gross profit

Question No: 8 (Marks: 1) - Please choose one

Which of the following entry will be recorded, if a cheque deposited is dishonored by bank?

► Bank Account (Dr.) and Debtor's Account (Cr.)
► **Debtor's Account (Dr.) and Bank Account (Cr.)**
► Dishonored Cheque Account (Dr.) and Bank Account (Cr.)
► Creditor's Account (Dr.) and Bank Account (Cr.)

Question No: 9 (Marks: 1) - Please choose one

Which financial statement show what a business owes at a particular point in time?

► A cash flow statement
► The bank statement for the business

► **A balance sheet**
► A statement of retained earnings

Question No: 10 (Marks: 1) - Please choose one

When the capitals are fixed, which of the following account will be debited for drawings made by a partner?

► **Individual Partner's Current Account**
► Partner's Cash Account
► Partner's Bank Account
► Partners Capital Account but not sure

Question No: 11 (Marks: 1) - Please choose one

A _____ business is one in which income is generated by the resale of bought Products.

► Manufacturing
► **Merchandising**
► Sole Proprietorship
► Partnership

Question No: 12 (Marks: 1) - Please choose one

Which of the following is **NOT** a cash inflow?

► Sale of fixed asset
► Issue of debentures
► Cash from business operation
► **Purchase of fixed asset**

Question No: 13 (Marks: 1) - Please choose one

Which of the following is a type of business formed under the Companies Ordinance 1984?

► Sole-Proprietorship
► Partnership
► **Joint Stock Company**
► All of the given options

Question No: 14 (Marks: 1) - Please choose one

If company has distributable profit of Rs. 490,000, Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively. What will be the share of profit for Mr. A in distributable profit?

► **Rs. 98,000**
► Rs. 147,000
► Rs. 245,000

► Rs. 343,000

Question No: 15 (Marks: 1) - Please choose one

Wages outstanding given in the trial balance will be treated as a (an):

► Asset
► **Liability**
► Revenue
► Deferred expense

Question No: 16 (Marks: 1) - Please choose one

An overdraft will appear as:

► A debit balance in both the bank statement and the cash book
► A credit balance in the bank statement but as a debit balance in the cash book
► **A credit balance in the cash book but as a debit balance in the bank statement**
► A credit balance in both the bank statement and the cash book

Question No: 17 (Marks: 1) - Please choose one

In which of the following case the bank cannot refuse the payment?

► Stale cheque
► **Bearer cheque**
► Insolvency of the customer
► Post dated cheque

Question No: 18 (Marks: 1) - Please choose one

Which of the following is **NOT** a financial statement?

► Balance sheet
► **Audit report**
► Income statement
► Cash flow statement

Question No: 19 (Marks: 1) - Please choose one

In a partnership of Mr. A and Mr. B, the share of profit of Mr. A is Rs.75,375 and the share of profit of Mr. B is Rs. 25,125. What will be the ratio of their share?

► 1:2
► 2:3
► 3:2
► **3:1**

Question No: 20 (Marks: 1) - Please choose one

Failure to record _____ will result in understates net income.

► Accrued expenses
► Expenses incurred
► **Accrued revenues**

► Accounts payable

Question No: 21 (Marks: 1) - Please choose one

The value of a share as quoted on the stock exchange is known as:

► Book value
► Par value
► **Market value**
► Face value

Question No: 22 (Marks: 1) - Please choose one

Statement of cash flows helps the stakeholders to assess:

► Ability to pay cash dividends in the future
► **All of the given options**
► The ability to generate future cash flows
► The liquidity of the business

Question No: 23 (Marks: 1) - Please choose one

The financial statement that captures both the current operating result and the associated changes in the balance sheet is:

► Statement of retained earnings
► Statement of financial position
► **Statement of cash flows**
► Statement of changes in equity

Question No: 24 (Marks: 1) - Please choose one

Which of the following ratio cannot be computed for a period in which the company incurs a net loss?

► Acid-test ratio
► **Return on investment**
► Price-earning ratio
► None of the given options

Question No: 25 (Marks: 1) - Please choose one

In statement of cash flows, interest payment made on loan from bank is related to:

► Investing activity
► Financing activity
► Operating activity
► Net changes in working capital

Question No: 26 (Marks: 1) - Please choose one

Which of the following is the type of business owned by one person?

► **Sole-Proprietorship**
► Partnership
► Public Limited Company
► Unlimited Company

Question No: 27 (Marks: 1) - Please choose one

Which of the following shows a debit balance under normal circumstances?

► **Asset**
► Capital
► Liability
► Profit

Question No: 28 (Marks: 1) - Please choose one

Which of the following account would be credited when goods are given as charity?

► Charity a/c
► Free sample a/c
► **Purchases a/c**
► Sales a/c

Question No: 29 (Marks: 1) - Please choose one

Which of the following account would be credited when the owner of business sold machinery of Rs. 10,000 for cash?

► Sales a/c
► **Machinery a/c**
► Owner a/c
► Cash a/c

Question No: 30 (Marks: 1) - Please choose one

What is the best condition to finance a business?

► Fully financed from your own resource
► Fully relied on financial institutions
► **Investment through own resources as well as rely on financial instructions**
► None of the given options

Question No: 31 (Marks: 1) - Please choose one

Which of the following particulars are included in the specimen of a bank receipt voucher?

1) Name of the organization
2) Bank code
3) Date of transaction

► (1) & (2) only
► (1) & (3) only
► (2) & (3) only
► **(1), (2) & (3)**

Question No: 32 (Marks: 1) - Please choose one

Which of the following account would be debited, when goods are sold on credit?

► Stock account
► **Accounts receivable account**
► Accounts payable account
► Sales account

Question No: 33 (Marks: 1) - Please choose one

If:

- Manufacturing Cost is Rs. 30,000
- Opening Work in Process Inventory is Rs. 5,000
- Closing Work in Process Inventory is Rs. 10,000

Then:

What is the amount of Cost of Goods Manufactured?

► Rs. 35,000
► **Rs. 25,000**
► Rs. 15,000
► Rs. 20,000

Question No: 34 (Marks: 1) - Please choose one

Under which of the following methods for inventory valuation, cost of goods sold is based on older costs?

► **FIFO Method**
► LIFO Method
► Weighted Average Method
► Specific Identification Method

Question No: 35 (Marks: 1) - Please choose one

Bank reconciliation is **NOT** a:

► **Ledger account**
► Reconcile records
► Memorandum statement
► Procedure to prove cash book balance

Question No: 36 (Marks: 1) - Please choose one

When Pass Book shoes a debit balance it means:

► Favourable balance as per cash book
► **Unfavorable balance as per bank statement**
► Debit balance as per cash book
► Favourable balance as per bank statement

Question No: 37 (Marks: 1) - Please choose one

Which of the following is **NOT** a cause of disagreement between the balance of cash book and bank statement?

► Cheques issued to creditors but not paid by bank

► Cheques deposited for collection but not yet collected and credited by the bank

► **Amount deposited directly into the bank by the debtors but not recorded in the cash book**

► Amount deposited directly into the bank by the debtors and the same has also been recorded in the cash book

Question No: 38 (Marks: 1) - Please choose one

Which of the following is **INCORRECT** about subsidiary account?

► **It is not a summary account**
► It reduces the burden of control account
► It provides detailed information about individual accounts
► It summarizes the total of related items from other accounts

Question No: 39 (Marks: 1) - Please choose one

Prepaid insurance will become an expense when the balance of prepaid amount is _____.

► Expired
► Collected
► **Paid**
► Earned

Question No: 40 (Marks: 1) - Please choose one

Which of the following Legal Documents of a company contain(s) the information about the capital and liability clause of a company?

► **Memorandum of Association**
► Articles of Association
► Both Memorandum of Association and Articles of Association
► Both Memorandum of Association and Articles of Association Prospectus

Question No: 41 (Marks: 1) - Please choose one

Which of the following types of Companies is (are) registered in Securities and Exchange Commission of Pakistan?

► Public Limited Companies
► Private Limited Companies
► **Both Public Limited Companies & Private Limited Companies**
► Neither Public Limited Companies nor Private Limited Companies

Question No: 42 (Marks: 1) - Please choose one

Which of the following is **TRUE** about the Companies Limited by Shares?

► Company has limited shares to offer
► Shareholders of the Company are limited
► **Liability of the shareholders is limited**
► Liability of the shareholders is unlimited

Question No: 43 (Marks: 1) - Please choose one

When a share having a face value of Rs.100 issued at Rs.90 then which one of the following options is correct under this situation?

- ► Share issued at premium
- ► **Share issued at discount**
- ► Share issued at nominal value
- ► Share issued at market value

Question No: 44 (Marks: 1) - Please choose one

Which of the following is shown on the liability side of Balance Sheet?

- ► Discount on issue of shares a/c only
- ► Share capital a/c only
- ► Premium on issue of shares a/c only
- ► **Both share capital and share premium a/c**

Question No: 45 (Marks: 1) - Please choose one

Which of the following can be utilized to issue bonus shares?

- ► **Share premium PG220**
- ► Term finance certificates
- ► Bonds
- ► Debentures

Question No: 46 (Marks: 1) - Please choose one

Which of the following would be considered as non cash item in cash flow statement?

- ► **Depreciation**
- ► Accounts receivable
- ► Accounts payable
- ► Inventory

Question No: 47 (Marks: 1) - Please choose one

If there is a portion of long term loan of Rs. 30,000 payable in the current accounting period. Where it will be shown in financial statement?

- ► Current liability
- ► **Long term liability**
- ► Current asset
- ► Owner's equity

Question No: 48 (Marks: 1) - Please choose one

Current ratio may be increased by:

- ► **Overstating current Assets**
- ► Overstating current Liabilities
- ► Understating current Assets
- ► Understating current assets and overstating current liabilities

Question No: 49 (Marks: 3)

Mr. A, B & C entered into a partnership. At the beginning of the year their capital

balances were Rs. 180,000, Rs. 140,000 and Rs. 80,000 respectively. Profit or loss is to be divided as:

- Mr. A: one-half
- Mr. B: one-third
- Mr. C: one-sixth

Required:

If profit is Rs. 390,000, calculate the share of profit for all the partners.

Question No: 50 (Marks: 3)

Particulars	Rs.
Markup on Loans	1,000
Finance Lease Charges	2,000
Profit on Bank Deposits	3,000
Dividend Income	4,000

Based on the above information, you are required to calculate the amount of following:

- **Financial charges**
- **Other income**

Question No: 51 (Marks: 5)

Umer and Usman, both of whom are CPAs, form a partnership, with Umer investing Rs.100,000 and Usman, Rs.80,000. They agree to share net income as follows:

- Salary allowances of Rs.80,000 to Umer and Rs.50,000 to Usman.
- Interest allowances at 15 percent of beginning capital account balances.
- Any partnership earnings in excess of the amount required to cover the interest and salary allowances to be divided 60 percent to Umer and 40 percent to Usman.

The partnership net income for the first year of operations amounted to Rs.247,000 before interest and salary allowances. Show how this amount should be divided between the two partners.

Question No: 52 (Marks: 5)

- In trial balance at June 30, 2007 10% debentures are shown at Rs.75,000 and mark up on debentures are shown at Rs.3,750. Six months debenture mark up is to be accrued. What will be the amount of total mark up on debentures show in profit and loss account?

- From the following information calculate cost of goods sold.

Stock opening balance	Rs.56,950
Purchases	175,750
Stock closing balance	65,020
Carriage inward	5,200
Sales	245,500

Question No: 53 (Marks: 5)

Information given in Trial balance:

- Plant and machinery Rs. 200,000
- Furniture and fixtures Rs. 100,000

Information given in adjustment:

- Charge 20% depreciation on Plant and machinery and 10 % on Furniture and fixture

Required:

1. **Calculate the amount of depreciation expense shown in profit and loss account.**
2. **Calculate the amount of fixed assets shown in balance sheet.**

Paper Mo:3

Solved by Chanda Rehman,Kamran Haider & ABr

FINALTERM EXAMINATION
Spring 2010
MGT101- Financial Accounting (Session - 3)

Ref No: 1418636
Time: 90 min
Marks: 69

Question No: 1 (Marks: 1) - Please choose one

Liabilities of the members of the _____ is only limited to the capital introduce by member/s.

► Partnership
► **Company**
► Sole proprietorship
► None of the given options

Question No: 2 (Marks: 1) - Please choose one

If a business purchases machinery for Rs. 30,000 on 31st January 2008 having life of 10 years, this expense will be realized _____ under the concept of accrual accounting.

► For the year 2008 only
► For the last day of 10th year only
► **Over 10 years**
► Nothing can be said about it

Question No: 3 (Marks: 1) - Please choose one

While making Income & Expenditure account, Excess of income over expenses in a specified accounting period is called:

► Profit

► Loss
► **Surplus**
► Deficit

Question No: 4 (Marks: 1) - Please choose one

In cost of goods sold statement the 'total factory cost' is equal to:

► Cost of material consumed + Labor cost
► **Cost of material consumed + Conversion cost**
► Cost of material consumed + Total factory cost
► Cost of material consumed + Factory overhead

Question No: 5 (Marks: 1) - Please choose one

It is supposed that on 31-12-2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. It is also suppose that during the year 2008 actual bad debts were Rs. 1,600. What entry will pass to create provision for doubtful debts?

► **Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)**
► Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)
► Provision for doubtful debts a/c Rs. 1,600 (Dr) & Profit & Loss a/c Rs. 1,600 (Cr)
► Profit & Loss a/c Rs. 1,600 (Dr) & Provision for doubtful debts a/c Rs. 1,600 (Cr)

Question No: 6 (Marks: 1) - Please choose one

Consider the following data:

Provision created in 2006	Rs. 2,500
Bad debts in 2007	Rs. 1,500
Sundry debtors on 31-12- 2007 were Rs. 40,000 and provision is created @ 5%.	
Which journal entry is Correct for the provision for doubtful debts for the year 2007.	

► Profit & Loss a/c Rs. 1,000 (Dr) & Provision for doubtful debts a/c Rs. 1,000 (Cr)
► Provision for doubtful debts a/c Rs. 1,000 (Dr) & Profit & Loss a/c Rs. 1,000 (Cr)
► **Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)**
► Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)

Question No: 7 (Marks: 1) - Please choose one

Control account tells about:

► Details of loyal clients
► Customer attitude of payments
► Complete history of transactions of business clients
► **Picture collectively instead of individually**

Question No: 8 (Marks: 1) - Please choose one

Which of the following item will be shown on debit side of debtors account?

- ► Discount received
- ► Return inwards
- ► Discount allowed
- ► **Credit sales**

Question No: 9 (Marks: 1) - Please choose one

Goods purchased from "Mr. A" for Rs. 2,000 passed through the sales book. The rectification of error will result in:

- ► Increase of gross profit
- ► **Decrease of gross profit**
- ► Remains constant and no effect on net profit
- ► There is no relation between goods purchased and gross profit

Question No: 10 (Marks: 1) - Please choose one

Transaction that has been completely forgotten to enter is called:

- ► Error of principle
- ► **Error of omission**
- ► Error of commission
- ► Error of original entry

Question No: 11 (Marks: 1) - Please choose one

Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

- ► **Bank charges**
- ► An error on the Bank Statement
- ► An uncredited deposit
- ► An unpresented cheque

Question No: 12 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be deducted from Sundry debtors?

- ► Rs. 3,600
- ► Rs. 4,000
- ► Rs. 1,600
- ► **Rs. 2, 400**

Question No: 13 (Marks: 1) - Please choose one

Which of the following journal entry will be recorded, if cash is drawn by a Proprietor?

► **Proprietor's drawings a/c (Dr.) and Cash a/c (Cr.)**
► Cash a/c (Dr.) and Proprietor's drawings a/c (Cr.)
► Proprietor's Capital (Dr.) and Proprietor's drawings a/c (Cr.)
► Proprietor's drawings (Dr.) and Proprietor's Capital a/c (Cr.)

Question No: 14 (Marks: 1) - Please choose one

Which of the following item will be shown on debit side of capital account of sole proprietor?

► Cash
► **Drawings** **182**
► Debtors
► Profit

Question No: 15 (Marks: 1) - Please choose one

Which of the following represents the partnership agreement in writing?

► Partnership registration
► Partnership-at-will
► **Partnership deed**
► Partnership certification

Question No: 16 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as a cash outflow?

► **The payments for purchases made during the year**
► A decrease in trade debtors over the course of an accounting period
► Money received as a result of issuing new shares
► Money received as result of selling fixed assets

Question No: 17 (Marks: 1) - Please choose one

If the Capitals of partners are fixed then, at the end of financial year a partner's drawings are transferred to the:

► Credit side of the partner's capital account
► Credit side of the partner's current account
► Debit side of partnership bank account
► **Debit side of the partner's current account**

Question No: 18 (Marks: 1) - Please choose one

According to the double entry system of book keeping, the investment of Rs.10, 000 in the business made by the owner will effect:

► **Cash Account & Capital Account**
► Cash Account & Expense Account

► Capital Account & Revenue Account
► Capital Account & Expense Account

Question No: 19 (Marks: 1) - Please choose one

Mr. B provided the following information at the end of the month:

Particulars	Rs.
Cash	100
Accounts Receivable	500
Accounts Payable	200
Bank Loans	1,000

Based on the information provided, what are the total assets of Mr. B?

► Rs.200
► **Rs. 600**
► Rs. 800
► Rs. 1,700

Question No: 20 (Marks: 1) - Please choose one

We usually allow the customer to deduct a certain amount from the invoice value for prompt payment. In doing so we are granting a:

► Commission
► Allowance
► **Discount**
► Rebate

Question No: 21 (Marks: 1) - Please choose one

Which of the following financial statements is generally prepared first?

► **Income statement**
► Balance sheet
► Statement of retained earnings
► Statement of cash flow

Question No: 22 (Marks: 1) - Please choose one

Which of the following is quoted company?

► Private Limited Company
► Public Limited Company
► **Listed company 215**
► Non Listed Company

Question No: 23 (Marks: 1) - Please choose one

Statement of cash flows helps the stakeholders to assess:

► Ability to pay cash dividends in the future
► **All of the given options**
► The ability to generate future cash flows

► The liquidity of the business

Question No: 24 (Marks: 1) - Please choose one

According to the statement of cash flows following are the examples of investing activities except:

► Sales of machinery
► Capital invested by the owners
► Purchase of building for the business use
► **Cash received from the disposal of equipment**

Question No: 25 (Marks: 1) - Please choose one

Which of the following entities is not profit oriented entity?

► Sole - proprietorship
► Partnership
► Companies
► **Foundations**

Question No: 26 (Marks: 1) - Please choose one

Rs. 5,000 spent on the replacement of worn-out parts of the machinery is charged to:

► Capital expenditure
► **Revenue expenditure**
► Deferred expenditure
► Revenue

Question No: 27 (Marks: 1) - Please choose one

Which of the following is not incurred repeatedly and regularly?

► **Capital expenditure**
► Revenue expenditure
► Short term expenditure
► Current expenditure

Question No: 28 (Marks: 1) - Please choose one

Which of the following account would be credited, when the goods are purchased on credit?

► Stock account
► Accounts receivable account
► **Accounts payable account**
► Work in process account

Question No: 29 (Marks: 1) - Please choose one

What is the value of closing raw material inventory based on the following information?

¬ Opening stock Rs. 1,000
¬ Cost of material used Rs. Rs. 9,500
¬ Cost of material available for use Rs. 10,000

► Rs. 9,000
► **Rs. 500**

► Rs.11,500
► Rs. 8,500

Question No: 30 (Marks: 1) - Please choose one

If:

- Manufacturing Cost is Rs. 30,000
- Closing Work in Process Inventory is Rs. 10,000
- Cost of Goods Manufactured is Rs. 35,000

Then:

What is the amount of opening Work in Process inventory?

► Rs. 40,000
► **Rs. 15,000**
► Rs. 25,000
► Rs. 20,000

Question No: 31 (Marks: 1) - Please choose one

Which of the following is/are **TRUE** about fixed assets?

► Fixed assets have a long life
► Fixed assets are used in the business for future generation of income
► Fixed assets are not bought with the main purpose of resale
► **All of the given options**

Question No: 32 (Marks: 1) - Please choose one

Which of the following is **TRUE**?

► **Gain on revaluation is credited to Revaluation Reserve Account.**
► Gain on revaluation is debited to Revaluation Reserve Account.
► Gain on revaluation is credited to Profit & Loss Account.
► Gain on revaluation is debited to Profit & Loss Account.

Question No: 33 (Marks: 1) - Please choose one

Cash received form the sale of stock in trade is a:

► Capital receipt
► **Revenue receipt**
► Final receipt
► Credit receipt

Question No: 34 (Marks: 1) - Please choose one

A Bank Reconciliation Statement is prepared to:

► **Ascertain the difference between the Cash Book balance and the Bank Statement balance.**
► Correct errors in the Cash Book or errors in the Bank Statement.
► Amend the balance of the Bank Statement of the firm.
► Amend the balance in the Cash Book of the firm.

Question No: 35 (Marks: 1) - Please choose one

Which of the following is **TRUE**, if sales book is overstated?

► **Net profit would be increased**
► Net profit would be decreased
► Fixed assets would be increased
► Fixed assets would be decreased

Question No: 36 (Marks: 1) - Please choose one

Inventory is always considered as:
► **Current asset**
► Current liability
► Long-term asset
► Stockholders' equity

Question No: 37 (Marks: 1) - Please choose one

Prepaid interest given in the Trial Balance will be treated as a (an):
► **Asset**
► Liability
► Revenue
► Deferred expense

Question No: 38 (Marks: 1) - Please choose one

Which of the following is **TRUE** about the Companies Limited by Shares?
► Company has limited shares to offer
► **Shareholders of the Company are limited**
► Liability of the shareholders is limited
► Liability of the shareholders is unlimited

Question No: 39 (Marks: 1) - Please choose one

Which of the following represents the total par value of shares offered to the general public for contribution?
► Registered Capital
► **Issued Capital**
► Subscribed Capital
► Paid up Capital

Question No: 40 (Marks: 1) - Please choose one

When a share having a face value of Rs.100 issued at Rs.90 then which one of the following options is correct under this situation?
► Share issued at premium
► **Share issued at discount**
► Share issued at nominal value
► Share issued at market value

Question No: 41 (Marks: 1) - Please choose one

Which of the following is shown on the liability side of Balance Sheet?
► Discount on issue of shares a/c only

► Share capital a/c only
► Premium on issue of shares a/c only
► **Both share capital and share premium a/c**

Question No: 42 (Marks: 1) - Please choose one

Under which of the following Act/ Ordinance, a company is allowed to issue shares at a higher price than their face value.

► **Companies ordinance 1984 pg 217**
► Contract act 1872
► Sales of goods act 1930
► None of the given options

Question No: 43 (Marks: 1) - Please choose one

Which of the following is the new name of Sources and Application of Funds?

► Income Statement
► **Cash Flow Statement**
► Statement of Changes in Owners Equity
► Balance Sheet

Question No: 44 (Marks: 1) - Please choose one

A company pays cash to purchase the stock of another company in an unrelated industry. The cash outflow can be considered as an:

► Operating activity that will appear on the statement of cash flows
► Operating activity that will not appear on the statement of cash flows due to the fact of stock from a company in an unrelated industry
► Investing activity that will appear on the statement of cash flows
► Investing activity that will not appear on the statement of cash flows due to the fact of stock from a company in an unrelated industry

Question No: 45 (Marks: 1) - Please choose one

If, Retain earning at the beginning Rs. 897, Net income Rs. 140, and Retain earning at the end Rs. 1,009. Then, which of the following figure represents the amount of dividend paid?

► **Rs. 28**
► Rs. 252
► Rs. 739
► Rs. 2,046

Question No: 46 (Marks: 1) - Please choose one

Which of the following would be a suitable head for short term advances from customers in Balance Sheet?

► Current asset
► Intangible asset
► Tangible asset
► **Current liability**

Question No: 47 (Marks: 1) - Please choose one

Current ratio may be increased by:

- ► **Overstating current Assets**
- ► Overstating current Liabilities
- ► Understating current Assets
- ► Understating current assets and overstating current liabilities

Question No: 48 (Marks: 1) - Please choose one

Which of the following is **CORRECT** about Gross Profit Ratio?

- ► **(Gross profit / Net Sales) x 100**
- ► (Gross profit / Operating Income) x 100
- ► (Gross profit / Sales Return) x 100
- ► (Gross profit / Net Income) x 100

Question No: 49 (Marks: 3)

Mr. A, B & C entered into a partnership. At the beginning of the year their capital balances were Rs. 180,000, Rs. 140,000 and Rs. 80,000 respectively. Profit or loss is to be divided as:

- Mr. A: one-half
- Mr. B: one-third
- Mr. C: one-sixth

Required:

If profit is Rs. 390,000, calculate the share of profit for all the partners.

Solution:

A = Rs. 390,000 / Rs 400,000 * Rs. 180,000 = Rs 175,500

B = 390,000 / Rs 400,000 * 140,000 = 136,500

C = 390,000 / 400,000 * 80,000 = 78000

Check = 175,500+136500+78000 = 390.000

Question No: 50 (Marks: 3)

Particulars	Rs.
Interest on loans	2,000
Interest on overdraft	4,000
Foreign exchange gain	6,000
Gain on disposal of fixed assts.	8,000
Sale of Scrap	1,000

Based on the above information, you are required to calculate the amount of following:

- **Financial charges**
- **Other income**

Solution:
Financial Charges = Interest on loan + interest on OD + Foreign exchange
= 2000+4000+6000 = 12,000
Financial charges = 12,000
Other income = Disposal of fixed assets + Sale of scrap
= 8000+1000 = 9000
Other income= 9,000

Question No: 51 (Marks: 5)

What is the difference between accounts payable and accounts receivable? Discuss it with the help of example.

Account payable:

Account payable is the amount which a company owes to creditors/ suppliers on account of purchases of goods or services
E.g. Purchase of Raw material on credit, Payment of service agreed after a week etc
Account payable is a liability

Account receivable:

Account receivable is the amount which a company has to receive from its customers on account of sales of goods or services made to them
Sales of items to Mr. A,
Account receivable is current asset.

Question No: 52 (Marks: 5)

- In trial balance at June 30, 2007 10% debentures are shown at Rs.75,000 and mark up on debentures are shown at Rs.3,750. Six months debenture mark up is to be accrued. What will be the amount of total mark up on debentures show in profit and loss account?

- From the following information calculate cost of goods sold.

Stock opening balance	Rs.56,950
Purchases	175,750
Stock closing balance	65,020
Carriage inward	5,200
Sales	245,500

Solution:

Part A
Total mark-up in P/L = 75000 * 10% = 7500

Part B:

Cost of goods sold = Opening stock + Purchases - Closing stock + Carriage inwards
= 56,950+175,750 - 65020 + 5200
= 172,880

OR

Cost of goods sold:
Opening stock= 56,950
Add: Purchases = 175,750
Less: Closing stock= 65020
Add: Carriage inwards=5200

Cost of goods sold=172,880

Gross profit = Sales – cost of goods sold
= 245,500-172,880
=72620

Question No: 53 (Marks: 5)

Financial year decided by partnership agreement is 1st July to 30th June. Mr. Ali is partner and having a capital of Rs. 1,500,000 on July 1st 2007 and he introduced more capital on August 1st 2007 Rs. 10,000, on April 1st2008, Rs. 500,000 and on June 1st 2008 , Rs. 5,000. Mark up rate is 10% p.a.

Calculate mark up on Mr. Ali's capital for the year ending on 30th June 2008.

Solution # 53

Calculation of mark-up:

From 1st July to 30 June = 1,500,000 * 10% = 150,000
From 1st august to 30 June = 10,000 * 10% * 11/12 = 917
From 1st April to 30 June = 500,000 * 10% * 3/12 = 12,500
From 1st June to 30 June = 5000 * 10% * 1/12 = 42
Total markup on capital = 150,000+917+12500+42 = 163,459

Total markup on capital = 163,459

Note: financial year 1st July to 30th June.

Paper No:4

Solved by Chanda Rehman& Kamran Haider

FINALTERM EXAMINATION
Spring 2010
MGT101- Financial Accounting (Session - 4)

Time: 90 min
Marks: 69

Question No: 1 (Marks: 1) - Please choose one

Liabilities of the members of the _____ is only limited to the capital introduce by member/s.

- ► Partnership
- ► **Company**
- ► Sole proprietorship
- ► None of the given options

Question No: 2 (Marks: 1) - Please choose one

Fixed assets are also called:

- ► **Depreciable assets**
- ► Current assets
- ► Liquid assets
- ► Floating assets

Question No: 3 (Marks: 1) - Please choose one

Stock of Trading concern consists of:

- ► Raw material
- ► Work in process
- ► **Merchandise inventory**
- ► All of the given options

Question No: 4 (Marks: 1) - Please choose one

Which of the following would be deducted from Sundry Debtors in Balance Sheet?

- ► Bad debts (Trial balance item)
- ► Old provision for doubtful debts
- ► New provision for doubtful debts
- ► **Both Bad debts (given in adjustment) and new provision for doubtful debts**

Question No: 5 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

- ► Rs. 400

► **Rs. 800**
► Rs. 2,000
► Rs. 2,400

For income statement:
bad debts (T.B) + new provision - old provision= 1600 + 800 - 2000 = 400

Question No: 6 (Marks: 1) - Please choose one

Which of the following is/are the item/s of a Control Account?

► Credit sale only
► Cash sale only
► Credit purchase only
► **Both Credit sales and Credit purchase**

Question No: 7 (Marks: 1) - Please choose one

Transaction that has been completely forgotten to enter is called:

► Error of principle
► **Error of omission**
► Error of commission
► Error of original entry

Question No: 8 (Marks: 1) - Please choose one

A receipt of cash Rs. 10,000 from Mr. Bilal is recorded as Rs. 1,000. What amount will be adjusted in rectifying entry?

► Rs. 1,000
► **Rs. 9,000**
► Rs. 10,000
► Rs. 11,000

Question No: 9 (Marks: 1) - Please choose one

Which of the following account will be credited when interest on capital is charged against the distribution of profit?

► Interest account
► **Partner's capital account**
► Profit and Loss account
► Profit and loss appropriation account

Question No: 10 (Marks: 1) - Please choose one

When the capitals are fixed, which of the following account will be debited for drawings made by a partner?

►**Individual Partner's Current Account**
►Partner's Cash Account

►Partner’s Bank Account
►Partners Capital Account

Question No: 11 (Marks: 1) - Please choose one

The Joint Stock Company is formed under the Companies Ordinance:

► **1984**
► I884
► 1948
► 1965

Question No: 12 (Marks: 1) - Please choose one

Which of the following is **NOT** a cash inflow?

► Sale of fixed asset
► Issue of debentures
► Cash from business operation
► **Purchase of fixed asset**

Question No: 13 (Marks: 1) - Please choose one

Which of the following business publishes the Financial Statements?

► Sole-Proprietorship
► Partnership
► Trust
► **Public Limited Company**

Question No: 14 (Marks: 1) - Please choose one

When we close bad debt account, which of the following account is debited?

► **Profit and loss account**
► Bad debt account
► Debtor account
► Creditor account

Question No: 15 (Marks: 1) - Please choose one

ABC Company received discount on its credit purchases, which of the following will be credited while entering in journal?

► Cash
► **Discount received**
► Creditors
► Bank

Question No: 16 (Marks: 1) - Please choose one

Which of the following indicates cash discount received?

► **Discount in paying debt earlier**
► Discount in receiving debt earlier

► Discount in purchasing huge goods
► Discount in selling huge goods

Question No: 17 (Marks: 1) - Please choose one

In the heading of financial statement, _____ is not required?

► Title of financial statement
► **Name of the person who prepares financial statement**
► Period for which financial statement is prepared
► Name of business entity

Question No: 18 (Marks: 1) - Please choose one

A and B entered in partnership in capital ratio of 2:3. They earned a profit of Rs.6,600 during the year. What will be the share of profit of Mr. A?

► Rs.1,320
► **Rs.2,640**
► Rs.3,960
► Rs.6,600

Question No: 19 (Marks: 1) - Please choose one

Which of the following is the major benefit of a partnership over a sole proprietorship?

► Unlimited liability
► Single tax filing
► Difficult ownership resale
► **Raising capital**

Question No: 20 (Marks: 1) - Please choose one

Interest expenses of Epler Corporation shows a debit balance of Rs.200 in its unadjusted trial balance and Rs.250 in adjusted trial balance. Which of the following account will be credited in adjusting entry?

► Interest expense
► **Interest payable**
► Prepaid interest
► Interest paid

Question No: 21 (Marks: 1) - Please choose one

For which of the following share premium can be utilized?

► To write off preliminary expenses
► To meet the expenses of issue of shares
► To issue bonus shares
► **All of the given options**

Question No: 22 (Marks: 1) - Please choose one

Which of the following statement is not true regarding the objective of statement of cash flows?

► It is helpful for decision making by management
► **It is used for reporting the net profit of the period**

► It can be used for estimations for cash flows in future
► It is used to determine the liquidity of the business

Question No: 23 (Marks: 1) - Please choose one

Which of the following can maintain the secrecy in all business matters?

► **Sole-proprietorship**
► Partnership
► Public Limited Company
► Private Limited Company

Question No: 24 (Marks: 1) - Please choose one

Expenditure is revenue in nature when it:

► **Benefits the current period**
► Benefits the future period
► Belong to the previous period
► None of the given options

Question No: 25 (Marks: 1) - Please choose one

Which of the following is a process of transferring journal entry information to ledger account?

► Journalizing
► **Posting**
► Balancing
► Analyzing

Question No: 26 (Marks: 1) - Please choose one

Which of the following account would be debited when the owner of business sold machinery of Rs. 10,000 on cash?

► Sales a/c
► Machinery a/c
► Owner a/c
► **Cash a/c**

Question No: 27 (Marks: 1) - Please choose one

Which of the following account would be credited, when goods are sold on credit?

► Stock account
► Accounts receivable account
► Accounts payable account
► **Sales account**

Question No: 28 (Marks: 1) - Please choose one

Which of the following account would be debited when Rs.5, 000 were paid to vendor?

► Cash
► **Voucher payable-vendor payable**
► Sundry debtors
► Personal account of customer

Question No: 29 (Marks: 1) - Please choose one

Which of the following is **TRUE** during the periods of deflation?

► The use of FIFO will result in greater net income than LIFO

► The use of FIFO will result in a smaller cost of goods sold than LIFO

► **The use of FIFO will result in a lower net income and higher ending inventory than LIFO**

► The use of FIFO will result in a lower net income and lower ending inventory than LIFO

Question No: 30 (Marks: 1) - Please choose one

Which one of the following is **TRUE** with respect to "LIFO" in inventory valuation?

► **Last-In-First-Out**

► Last-In-Freight-Out

► Last-In Frequent-Out

► Large inventory - First-Out

Question No: 31 (Marks: 1) - Please choose one

Which one of the following is a fixed asset?

► Cash in hand

► Advanced payment

► Closing stock

► **Leasehold vehicle**

Question No: 32 (Marks: 1) - Please choose one

Purpose of charging depreciation expense is the application of:

► **Matching principle**

► Dual aspect concept

► Separate entity concept

► Money measurement concept

http://en.wikipedia.org/wiki/Matching_principle

The matching principle is a culmination of accrual accounting and the revenue recognitionprinciple. They both determine the accounting period, in which revenues and expenses are recognized. According to the principle, expenses are recognized when obligations are (1) incurred (usually when goods are transferred or services rendered, e.g. sold), and (2) offset against recognized revenues, which were generated from those expenses (related on the cause-and-effect basis), no matter when cash is paid out

Examples

§ Accrued expense allows one to match future costs of products with the proceeds from their sales prior to paying out such costs.

§ Deferred expense (prepaid expense) allows one to match costs of products paid out and not received yet.

§ Depreciation matches the cost of purchasing fixed assets with revenues generated by them by spreading such costs over their expected life.

Question No: 33 (Marks: 1) - Please choose one

Which of the following is/are **TRUE** about fixed assets?

► Fixed assets have a long life
► Fixed assets are used in the business for future generation of income
► Fixed assets are not bought with the main purpose of resale
► **All of the given options**

Question No: 34 (Marks: 1) - Please choose one

If:

Ø Cost of machine= Rs. 425,000
Ø Useful life= 5 years
Ø Residual value = Rs. 25,000
Ø Sale price= Rs. 40,000

What will be book value of machine after four years using straight line method?

► Rs. 65,000
► Rs. 400,000
► Rs. 85,000
► **Rs. 105,000**

425000-25000 / 5

Question No: 35 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. Actual bad debts are Rs. 1,600 appeared in trial balance. What is amount of new provision for doubtful debts?

► Rs. 3,600
► **Rs. 2,000**
► Rs. 1,600
► Rs. 400

Question No: 36 (Marks: 1) - Please choose one

Which of the following statement is correct, if a company fails to record estimated bad debts expense?

► Net realizable value is understated
► **Expenses are understated**
► Revenues are understated
► Receivables are understated

Question No: 37 (Marks: 1) - Please choose one

Insurance paid in advance would be treated as:

► Non current asset
► **Current asset**
► Intangible asset
► Deferred expense

Question No: 38 (Marks: 1) - Please choose one

Which of the following is/are **NOT** included in the cost of goods sold?

► Distribution expenses
► Selling expenses
► Administrative expenses
► **All of the given options**

Question No: 39 (Marks: 1) - Please choose one

Which of the following would be added in purchases in order to get the value of Net purchases?

► Purchases returns
► **Carriage inwards**
► Trade discount and rebates
► All of the given options

Question No: 40 (Marks: 1) - Please choose one

The amount received in excess of the face value of the shares is transferred to:

► Share capital account
► Right shares
► **Share premium account**
► Shareholders account

Question No: 41 (Marks: 1) - Please choose one

Preliminary Expenses of the company may write off against:

► **Share premium account**
► Shareholders account
► Debtors control account
► Creditors control account

Question No: 42 (Marks: 1) - Please choose one

Which of the following can be utilized to issue bonus shares?

► **Share premium**
► Term finance certificates
► Bonds
► Debentures

Question No: 43 (Marks: 1) - Please choose one

Which of the following is the new name of Sources and Application of Funds?

► Income Statement
► **Cash Flow Statement**

► Statement of Changes in Owners Equity
► Balance Sheet
http://www.fao.org/docrep/w4343e/w4343e04.htm

Question No: 44 (Marks: 1) - Please choose one

A corporation has retained earning of Rs. 100,000 and Rs. 150,000 for the year ended 2006 and 2007 respectively. The corporations had net profits after taxes of Rs. 80,000 in 2007. What will be the amount of dividend paid in the year 2007?

► Rs. 30,000
► **Rs. 70,000**
► Rs. 50,000
► Rs. 20,000

Question No: 45 (Marks: 1) - Please choose one

Which of the following is the **CORRECT** statement with respect to the liquidity and profitability?

► Liquidity and Profitability is the same thing
► The importance of Liquidity > The importance of Profitability
► The importance of Liquidity < The importance of Profitability
► **The liquidity and profitability is not the same thing but both have equal importance**

Question No: 46 (Marks: 1) - Please choose one

Which of the following is adjusted as working capital change in operating activities section of a cash flow statement?

► **Decrease in trade receivable**
► Repayment of dividend
► Payment of goodwill
► Investment in associated companies

Question No: 47 (Marks: 1) - Please choose one

In statement of cash flows, which of the following would not be considered as an investing activity?

► Sales of fixed assets
► Purchase of long term securities
► Purchase of fixed assets
► **Payments of dividends**

Question No: 48 (Marks: 1) - Please choose one

A company ABC purchased an asset for Rs. 40,000, paying Rs. 30,000 in cash and issuing a long term note payable for remaining balance. The amount will be recorded in statement of cash flows as:

► Rs. 40,000 cash outflow as an investing activity
► **Rs. 30,000 cash outflow as an investing activity**
► Rs. 10,000 cash inflow as an investing activity
► Rs. 70,000 cash inflow as an investing activity

Question No: 49 (Marks: 3)

What do you know about the Profit and loss appropriation account in case of partnership?

Answer:
The profit account does not included the salary of partner nor the markup on capital or interest on drawing, this all we do after calculating the net income in profit and loss appropriation account to get to the distributable income/profit among the partners as per the profit/loss sharing ratio.

Question No: 50 (Marks: 3)

Assume that a company repays Rs. 300,000 loan taken from its bank and then later, in the same year company borrows Rs. 500,000. How will these items be treated on the current year's Statement of Cash Flows?

Answer : In the section of Financing Activities
300,000 will appear as (300,000) showing outflow/repayment of loan
500,000 will appear as 500,000 showing inflow of cash borrowed.

Question No: 51 (Marks: 5)

What types of changes are made when a new partner joins partnership? Mention those situations in which partnership comes to an end.

Answer:
In case of admission of any new partner all the assets and liabilities is revalued as well as the good will of the partnership company. The new ratio get sets for profit/loss sharing among the partner.

Usually In Case of death or retirement of partner from partnership, partnership comes to an end or in a state of dissolution.

Question No: 52 (Marks: 5)

Define cash flow from operating activities with some examples.

Answer:
Extract from Cash Flow Statement.

Net profit		100,000
Add Back : Non Cash Transaction		
Depreciation Exp		5000
Gain on Currency Exchange	10,000	
Gain on Sale of Disposal of Asset		2,000
Cash from Opening Activities before working Capital Change		117,000

Less: Increase in Assets		**-10,000**
Add: Decrease in Assets		**5,000**
Add: Increase in Liabilities	**6000**	
Less: Decrease in Liabilities	**-3000**	
Cash Generated from Operating Activities	**115,000**	

Question No: 53 (Marks: 5)

Given the following data:
Purchases Rs.26,000, Returns outwards Rs.1,470, Returns inwards Rs.2,100, Carriage outwards Rs.1,230, Carriage inwards Rs.890, Opening stock Rs.4,500, and closing stock Rs.6,130.

What would be the value of the cost of goods sold?

Solution:

Cost of Good Sold	**Amount**
Opening Stock	**4,500**
Add: Purchases	**26,000**
Less: Return Outward	**-1,470**
Add: Carriage Inward	**890**
Goods available for Sale	**29,920**
Less: Closing Stock	**-6,130**
Cost of Good Sold	**23,790**

Paper No:5

Solved by Chanda Rehman,Anjam Riaz

FINALTERM EXAMINATION
Spring 2010
MGT101- Financial Accounting (Session - 3)

Time: 90 min
Marks: 69

Question No: 1 (Marks: 1) - Please choose one

Vehicles which are used to supply finished products are called business _____.

► **Tangible assets**
► Intangible assets
► Capital
► Liabilities

Question No: 2 (Marks: 1) - Please choose one

What would be the affect on the components of the accounting equation, if goods are purchased on cash?

- ► Increase in cash and decrease in equity
- ► Increase in cash and increase in goods
- ► **Increase in goods and decrease in cash**
- ► Increase in equipment and increase in equity

Question No: 3 (Marks: 1) - Please choose one

In an account, if credit side < debit side then the balance is known as:

- ► Negative Balance
- ► **Debit Balance**
- ► Positive Balance
- ► Credit Balance

Question No: 4 (Marks: 1) - Please choose one

Which of the following book(s) is(are) a part of General Ledger?

- ► Cash Book
- ► Purchase Return Book
- ► Purchase Book
- ► **All of the given options**

Question No: 5 (Marks: 1) - Please choose one

Identify the business transaction for given entry below.

Vehicle Account	XXX	(Dr.)
Bank Account	XXX	(Cr.)

- ► **Paid for vehicle through cheque**
- ► Paid for vehicle through cash
- ► Purchased vehicle on credit
- ► None of the given options

Question No: 6 (Marks: 1) - Please choose one

Which one of the following is **NOT** true about revenue expenditure?

- ► These are the running expenses of the business
- ► They improve the financial position of the business
- ► **They reduce the profit of the concern**
- ► They do not appear in the balance sheet

Question No: 7 (Marks: 1) - Please choose one

Which of the following is **NOT** a characteristic of Joint Stock Company?

- ► Separate Legal Entity
- ► Limited Liability

► **Easy Formation**
► Common Seal

Question No: 8 (Marks: 1) - Please choose one

Upon checking the Bank Statement against the Cash Book by Mr. A, It was discovered that an amount of Rs.120 for dividend from XYZ Co. had not been entered in the Cash Book. Which of the following entry should be recorded to rectify the mistake?

► Bank Account(Dr.) and Dividend Account (Cr.)
► XYZ Co. Account (Dr.) and Bank Account (Cr.)
► Dividend Account (Dr.) and Bank Account (Cr.)
► **Bank Account (Dr.) and XYZ Co. Account (Cr.)**

Question No: 9 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	800
Sundry Debtors (Given in trial balance)	44,500
Provision for doubtful debts @ 5%	
Which amount of new provision will be deducted from Sundry Debtors	?

► **Rs. 2,225**
► Rs. 2,525
► Rs. 1,925
► Rs. 3,025

Question No: 10 (Marks: 1) - Please choose one

Which of the following is (are) benefit/s of subsidiary ledger accounts to business?

► It tells about customer attitude of payments
► It can be checked against the control account to pick up recording errors
► It tells about the complete history of transactions of business client
► **All of the given options**

Question No: 11 (Marks: 1) - Please choose one

Short-term investments include all of the following **EXCEPT**:

► A stock investment in the General Electric Company intended to be sold within one year
► **A shares investment in the Coca-Cola Company intended to be held for several years**
► A bond receivable intended to be sold within one year
► Frequently traded securities

Question No: 12 (Marks: 1) - Please choose one

Wages paid to laborers working in the manufacturing department is treated as an expense of:

- ► Administrative expenses
- ► Selling expenses
- ► Marketing expenses
- ► **Cost of goods sold**

Question No: 13 (Marks: 1) - Please choose one

Which account is increased with a debit and decreased with a credit?

- ► **Cash**
- ► Accounts Payable
- ► Contributed Capital
- ► Retained Earnings

Question No: 14 (Marks: 1) - Please choose one

Which of the following statements is **NOT TRUE** about the partnership form of business?

- ► A partnership is a business run by two or more persons
- ► A partnership business is easy to set up
- ► Each partner is liable under the law for the actions of other partners
- ► **In the absence of agreement, partners will be paid salaries**

Question No: 15 (Marks: 1) - Please choose one

Authorized share capital is also known as:

- ► **Registered capital**
- ► Issued capital
- ► Paid up capital
- ► Called up capital

Question No: 16 (Marks: 1) - Please choose one

Which of the following is the most important document of the company?

- ► **Memorandum of Association**
- ► Articles of Association
- ► Prospectus
- ► Annual Report

Question No: 17 (Marks: 1) - Please choose one

Particulars	Rs.
Share capital of Rs. 10 each	1,000,000
Profit before tax	150,000
Taxes	10,000

Earning per share	= ?

► Rs. 1.50 per share
► **Rs. 1.40 per share**
► Rs. 1.15 per share
► Rs. 1.25 per share

Question No: 18 (Marks: 1) - Please choose one

Mr.” A” sold goods for Rs. 300,000 to Mr. “B”, Rs. 300,000 will be treated as _____ for business of Mr. "A".

► **Revenue**
► Net profit
► Gross profit
► Operating profit

Question No: 19 (Marks: 1) - Please choose one

Mr. B provided the following information at the end of the month:

Particulars	Rs.
Cash	100
Accounts Receivable	500
Accounts Payable	200
Bank Loans	1,000

Based on the information provided, what are the total assets of Mr. B?

► Rs.200
► **Rs. 600**
► Rs. 800
► Rs. 1,700

Question No: 20 (Marks: 1) - Please choose one

In balance sheet fixed assets are shown at:

► Residual value
► Market value
► Fair value
► **Written down value (WDV)**

Question No: 21 (Marks: 1) - Please choose one

To settle the balances of cash book and pass book _____ is prepared.

► Balance sheet
► Profit and loss account
► **Bank reconciliation statement**
► Cash flow statement

Question No: 22 (Marks: 1) - Please choose one

Stock account is credited and creditors account is debited, which of the following is reflecting the statement?

- ► Discount received
- ► **Goods returned**
- ► Purchase of goods on credit
- ► Payment of goods

Question No: 23 (Marks: 1) - Please choose one

Suppose a firm has 200 debtors, and each of them owes exactly Rs. 150 at the start of June. What is the total amount owed by all debtors?

- ► Rs. 2,000
- ► Rs. 3,000
- ► **Rs. 30,000**
- ► Rs. 150,000

Question No: 24 (Marks: 1) - Please choose one

Which of the following justifies when profit is earned?

- ► Assets exceed Expenditure
- ► **Income exceeds Expenditure**
- ► Cash Inflow exceeds Cash Outflow
- ► Income exceeds Liabilities

Question No: 25 (Marks: 1) - Please choose one

In a partnership of Mr. X and Mr. Y, the share of profit of Mr. X is Rs.3,840 and the share of profit of Mr. Y is Rs. 5,760. What will be the ratio of their share?

- ► 1:2
- ► **2:3**
- ► 3:2
- ► 2:1

Question No: 26 (Marks: 1) - Please choose one

Puget Sound Co. sold marketable securities Costing Rs.80,000 for Rs.92,000 cash. In the company's income statement and statement of cash flows, respectively, this will appear as:

- ► **A Rs.12,000 gain and a Rs.92,000 cash receipt**
- ► A Rs.92,000 gain and a Rs.8,000 cash receipt
- ► A Rs.12,000 gain and a Rs.80,000 cash receipt
- ► A Rs.92,000 sale and a Rs.92,000 cash receipt

Question No: 27 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on drawings of Mr. A is Rs.1,500 and of Mr. B is Rs.1,800. The net income for the year is Rs.85,000. What will be the profit share of Mr. B?

► Rs.42,350
► **Rs.44,150**
► Rs.41,600
► Rs.40,850

Question No: 28 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on capital of Mr. A is Rs.2,000 and markup on drawings of Mr. B is Rs.3,000. The net income for the year is Rs.85,000. What will be the profit share of Mr. B?

► Rs.40,000
► Rs.43,000
► Rs.130,000
► Rs.133,000

Question No: 29 (Marks: 1) - Please choose one

Which of the following capital is offered to the general public?

► **Issued capital**
► Subscribed capital
► Authorized capital
► Reserve capital

Question No: 30 (Marks: 1) - Please choose one

Which of the following financial statement is helpful for the investors and creditors to assess the cash and non cash aspects of operating, investing and financing transactions on an entity's financial position?

► **Balance Sheet**
► Income Statement
► Statement of cash flows
► Statement of changes in equity

Question No: 31 (Marks: 1) - Please choose one

Which of the following is not a measure of short-term liquidity?

► Current ratio
► Quick ratio
► Acid-test ratio
► **Debt ratio**

Question No: 32 (Marks: 1) - Please choose one

Which of the following refers to the relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all?

► Sole - proprietorship
► **Partnership**
► Company
► Trust

Question No: 33 (Marks: 1) - Please choose one

Which of the following is a direct source of revenue?

- ► **Sales proceeds**
- ► Interest received
- ► Dividend received
- ► Discount received

Question No: 34 (Marks: 1) - Please choose one

Which of the following is **NOT** an item of a Balance Sheet?

- ► Accounts Receivable
- ► Accounts Payable
- ► **Sales Revenue**
- ► Marketable Securities

Question No: 35 (Marks: 1) - Please choose one

A fixed asset cost Rs. 8,000; it is sold for Rs. 4,800. At the date of its disposal, its net book value is Rs. 3,000. What is the profit or loss on disposal?

- ► Profit Rs. 3,200
- ► Loss Rs. 3,200
- ► Loss Rs. 1,800
- ► **Profit Rs. 1,800**

Question No: 36 (Marks: 1) - Please choose one

Mr. B's cash book shows a credit balance of Rs.68,000. He issued a cheque of Rs.7,000 but not yet presented by the bank. What will be the balance of bank statement?

- ► Rs. 61,000
- ► **Rs. 75,000**
- ► Rs. 68,000
- ► Rs. 7,000

Question No: 37 (Marks: 1) - Please choose one

If (Amount of new provision + Amount of bad debts) < Amount of old provision then amount will be shown on:

- ► **Debit side of Profit & Loss account**
- ► Credit side of Profit & Loss account
- ► Asset side of Balance Sheet
- ► Liability side of Balance Sheet

Question No: 38 (Marks: 1) - Please choose one

Which of the following would **NOT** be included in the heads of Current Assets?

- ► Stock
- ► General Stores
- ► Spare parts
- ► **Bank over draft**

Question No: 39 (Marks: 1) - Please choose one

Depreciation expense is charged to which of the following head?

► **Administrative expenses**
► Selling expenses
► Cost of sales
► It depends on the nature of expense

Question No: 40 (Marks: 1) - Please choose one

Prepaid insurance will become an expense when the balance of prepaid amount is _____.

► Expired
► Collected
► **Paid**
► Earned

Question No: 41 (Marks: 1) - Please choose one

XYZ Company has paid up capital of 20,000 shares of Rs. 100 each. The company offers to existing shareholders the right to buy 3 shares of Rs. 100 each at Rs. 125 for every 5 shares held. What would be the number of right shares?

► 120 right shares
► 12,000 right shares
► 15,000 right shares
► 25,000 right shares

Question No: 42 (Marks: 1) - Please choose one

Which of the following is (are) type(s) of Public Limited Companies?

► Listed company
► Non listed company
► Private limited company
► **Both listed company and non listed company**

Question No: 43 (Marks: 1) - Please choose one

Which of the following is old name of Cash Flow Statement?

► **Sources and Application of Funds**
► Sources and Application of Liabilities
► Sources and Application of Activities
► Sources and Application of Income

Question No: 44 (Marks: 1) - Please choose one

Which of the following is the new name of Sources and Application of Funds?

► Income Statement
► **Cash Flow Statement**
► Statement of Changes in Owners Equity
► Balance Sheet

Question No: 45 (Marks: 1) - Please choose one

Which of the following is an example of cash outflow for a company?

► Cash collected from customers
► Cash paid for merchandise inventory
► Writing off an uncollectible accounts receivable
► **Reclassifying accounts payable to notes payable**

Question No: 46 (Marks: 1) - Please choose one

Which of the following is an example of Cash flow from operating activities?

► Cash payment to acquired fixed assets
► Issuing stock
► Cash collection as a result of machinery sold
► **Cash payment to suppliers for goods and services Doubted**

Question No: 47 (Marks: 1) - Please choose one

If issuance of shares against cash is Rs. 2,000 and payment of dividend is Rs. 9,000 then which of the following is correct?

► Inflow of cash Rs. 11,000
► Outflow of cash Rs. 11,000
► Inflow of cash Rs. 7,000
► **Outflow of cash Rs. 7,000**

Question No: 48 (Marks: 1) - Please choose one

In statement of cash flows, which of the following would not be considered as an investing activity?

► Sales of fixed assets
► Purchase of long term securities
► Purchase of fixed assets
► **Payments of dividends**

Question No: 49 (Marks: 3)

Mr. A, B & C entered into a partnership. At the beginning of the year their capital balances were Rs. 180,000, Rs. 140,000 and Rs. 80,000 respectively. Profit or loss is to be divided as:

Ø Mr. A: one-half
Ø Mr. B: one-third
Ø Mr. C: one-sixth

Required:

If profit is Rs. 390,000, calculate the share of profit for all the partners.

Question No: 50 (Marks: 3)

If:

· Retain earning at the beginning	Rs. 1,000
· Dividend paid	500
· Retain earning at the end	2,500

Then:

You are required to prepare statement of Retain earnings to find the amount of Net income

Question No: 51 (Marks: 5)

The face value of the share of ABC public limited company is Rs.10. the share is sold at Rs.15. total shares traded in the market are 50,000. What will be the amount of share premium received and discuss for what it will be utilized?

Question No: 52 (Marks: 5)

Given the following data:
Purchases Rs.54,533, Returns outwards Rs.2,341, Returns inwards Rs.1,766, Carriage outwards Rs.543, Carriage inwards Rs.4,324, Opening stock Rs.17,600, and closing stock Rs.14,342.

Determine the value of the cost of goods sold.

Question No: 53 (Marks: 5)

Particulars	Rs.
Raw Material - Opening Stock	10,000
Raw Material – Purchases	2,000
Raw Material - Closing Stock	3,000
Packing Material - Opening Stock	4,000
Packing Material – Purchases	5,000
Packing Material - Closing Stock	6,000

Based on the above information you are required to calculate the following:

- **Cost of Raw Material Consumed**
- **Cost of Packing Material Consumed**

Paper No:6

Solved by Chanda Rehman& ABr

FINALTERM EXAMINATION
Spring 2010
MGT101- Financial Accounting (Session - 2)

Ref No: 1418712
Time: 90 min
Marks: 69

Question No: 1 (Marks: 1) - Please choose one

Double entry accounting system includes:

► Accrual accounting only
► Cash accounting only
► **Both cash and accrual accounting**
► None of the given options

Question No: 2 (Marks: 1) - Please choose one

Which of the following is correct according to the double entry system of book-keeping?

► **Debit = Credit**
► Debit > Credit
► Debit < Credit
► All of the given options

Question No: 3 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 90,000 and operating expenses are Rs. 25,000 during the year. What would be the Net Profit?

► **Rs. 5,000**
► Rs. 25,000
► Rs. 55,000
► Rs. 60,000

Question No: 4 (Marks: 1) - Please choose one

If the cost of sales is Rs. 95,000, sales are Rs. 100,000 and operating expenses are Rs. 200,000 during the year, what would be the net result?

► **Loss of Rs. 1, 95,000**
► Profit of Rs. 1, 95,000
► Profit of Rs 5,000
► Loss of Rs 5,000

Question No: 5 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

► Rs. 400
► **Rs. 800**
► Rs. 2,000
► Rs. 2,400

Question No: 6 (Marks: 1) - Please choose one

Consider the following data:

Provision created in 2006	Rs. 2,500
Bad debts in 2007	Rs. 1,500
Sundry debtors on 31-12- 2007 were Rs. 40,000 and provision is created @ 5%.	
Which journal entry is Correct for the provision for doubtful debts for the year 2007.	

► Profit & Loss a/c Rs. 1,000 (Dr) & Provision for doubtful debts a/c Rs. 1,000 (Cr)

► Provision for doubtful debts a/c Rs. 1,000 (Dr) & Profit & Loss a/c Rs. 1,000 (Cr)

► Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)

► Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)

Question No: 7 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of sales Rs.100 to Mr. "A" recorded in the purchases book?

► Sales account

► Purchase account

► A's account and Sales account

► Sales account, purchase account and A's account

Question No: 8 (Marks: 1) - Please choose one

Which one of the following is **TRUE** about provisions?

► It is necessary to prepare for showing true picture of balance sheet

► It is a reduction from assets

► It is prepared for specific purposes

► All of the given options

Question No: 9 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about the Accounts receivable?

► Accounts receivable arises when a company buys goods or services from another party on credit

► Accounts receivable is a miscellaneous category that may include loans to employees

► Accounts receivable are more formal than notes receivable

► Accounts receivable are often called trade receivables

Question No: 10 (Marks: 1) - Please choose one

A, B, C are partners. Their profit sharing ratio is equal. Capital balance on July 1st of Partner A --- Rs. 40,000 Partner B --- Rs. 30,000 and Partner C--- Rs. 20,000.Their private property of Partner A is Rs.15,000, Partner B is Rs. 7,000 and Partner C is Rs. 1,500. What is the level of their liabilities under the partnership firm?

► Partner A—Rs. 40,000, Partner B---- Rs. 30,000, Partner C – 20,000

► Partner A—Rs. 40,000, Partner B---- Rs. 30,000, Partner C – 21,500

► Partner A—Rs. 40,000, Partner B---- Rs. 37,000, Partner C – 20,000

► Partner A—Rs. 55,000, Partner B---- Rs. 37,000, Partner C – 21,500

Question No: 11 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as a cash outflow?

► The payments for purchases made during the year
► A decrease in trade debtors over the course of an accounting period
► Money received as a result of issuing new shares
► Money received as result of selling fixed assets

Question No: 12 (Marks: 1) - Please choose one

An example of financing activities in the context of cash flow statement is:

► Capital expenditures on purchase of fixed assets
► Long-term deposit
► Financial charges paid
► **Dividend paid**

Question No: 13 (Marks: 1) - Please choose one

The beginning balance of retained earnings was Rs. 7,500. The dividends paid to stockholders' were Rs.1, 500. The ending balance of retained earnings is Rs. 5,000. What was the net income or net loss for the accounting period?

► Net loss of Rs.1, 000
► Net income of Rs. 1,000
► Net loss of Rs. 2,000
► Net income of Rs. 2,500

Question No: 14 (Marks: 1) - Please choose one

Normally the practice of Book Keeping under Single Entry System is followed by:

► Small businesses only
► Governments only
► Large scale businesses only
► **Both small businesses and governments, …**

Question No: 15 (Marks: 1) - Please choose one

Which of the following is(are) **CORRECT** for Doubtful Debt?

► **It is shown in balance sheet**
► It is a definite loss to the business
► No provision is necessary for it
► All of the given option

Question No: 16 (Marks: 1) - Please choose one

An uncollectible account receivable is also termed as:

► Asset
► **Uncollectible asset**
► Uncollectible accounts expense

► None of the given options

Question No: 17 (Marks: 1) - Please choose one

Payment is made of a company's purchases on credit, which of the following is correct:

► Debit stock account and credit creditors account
► **Debit creditors account and credit cash account**
► Debit cash account and credit creditors account
► Debit stock account and credit cash account

Question No: 18 (Marks: 1) - Please choose one

The amount owed by debtors at the end of a month appears on the_____ side of the control account.

► Left side or debit
► Left side or credit
► Right side or debit
► **Right side or credit**

Question No: 19 (Marks: 1) - Please choose one

Receipts from debtors appear on the _____ side of the individual debtors account.

► Left side or credit
► Left side or debit
► Right side or debit
► **Right side or credit**

Question No: 20 (Marks: 1) - Please choose one

Which of the following is usually not an accrued expense?

► Interest payable
► Wages payable
► Taxes payable
► **Notes payable**

Question No: 21 (Marks: 1) - Please choose one

According to the rule of debit and credit for balance sheet accounts:

► Increase in asset, liability, and owners' equity accounts are recorded by debits.
► Decrease in asset and liability accounts are recorded by credits
► Increase in asset and owners' equity accounts are recorded by debits
► **Decrease in liability and owners' equity accounts are recorded by debits**

Question No: 22 (Marks: 1) - Please choose one

Which of the following justifies when profit is earned?

► Assets exceed Expenditure
► **Income exceeds Expenditure**
► Cash Inflow exceeds Cash Outflow
► Income exceeds Liabilities

Question No: 23 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on capital of Mr. A is Rs.2,000 and markup on drawings of Mr. B is Rs.3,000. The net income for the year is Rs.85,000. What will be the profit share of Mr. A?

- **► Rs.43,000**
- ► Rs.45,000
- ► Rs.71,000
- ► Rs.133,000

Question No: 24 (Marks: 1) - Please choose one

The value of a share as quoted on the stock exchange is known as:

- ► Book value
- ► Par value
- **► Market value**
- ► Face value

Question No: 25 (Marks: 1) - Please choose one

Which of the following value of the share is authorized by the memorandum of association?

- ► Par value
- ► Face value
- **► Nominal value**
- ► All of the given options

Nominal, authorised or registered capital means the sum mentioned in the capital clause of Memorandum of Association. It is the maximum amount which the company raise by issuing the shares and on which the registration fee is paid. This limit is cannot be exceeded unless the Memorandum of Association is altered.

Question No: 26 (Marks: 1) - Please choose one

Which of the following financial statement is helpful for the investors and creditors to assess the cash and non cash aspects of operating, investing and financing transactions on an entity's financial position?

- **► Balance Sheet**
- ► Income Statement
- ► Statement of cash flows
- ► Statement of changes in equity

Question No: 27 (Marks: 1) - Please choose one

Which of the following items of balance sheet are useful in evaluating a company's liquidity?

- **► Current assets and other assets**
- ► Current liabilities and current assets
- ► Current liabilities and plant and equipment
- ► Non current liabilities and other assets

Question No: 28 (Marks: 1) - Please choose one

Which of the following is a process of transferring journal entry information to ledger account?

- ► Journalizing
- ► **Posting**
- ► Balancing
- ► Analyzing

Question No: 29 (Marks: 1) - Please choose one

Which of the following is used to record the payments of cash or cheque?

- ► Journal Voucher
- ► Receipt Voucher
- ► **Payment Voucher**
- ► Cash voucher

Question No: 30 (Marks: 1) - Please choose one

If:

- · Direct Material Cost is Rs. 20,000
- · Direct labour cost is Rs. 10,000
- · Manufacturing Cost is Rs. 45,000

Then:

What is the amount of Factory Overhead?

- ► **Rs. 15,000**
- ► Rs. 30,000
- ► Rs. 35,000
- ► Rs. 25,000

Question No: 31 (Marks: 1) - Please choose one

Which one of the following is **TRUE** with respect to "LIFO" in inventory valuation?

- ► **Last-In-First-Out**
- ► Last-In-Freight-Out
- ► Last-In Frequent-Out
- ► Large inventory - First-Out

Question No: 32 (Marks: 1) - Please choose one

Which one of the following methods for inventory valuation is based on the assumption that the first merchandise purchased is the first merchandise sold?

- ► LIFO Method
- ► Weighted Average Method
- ► Specific Identification Method
- ► **FIFO Method**

Question No: 33 (Marks: 1) - Please choose one

Which of the following is/are **TRUE** about fixed assets?

- ► Fixed assets have a long life
- ► Fixed assets are used in the business for future generation of income
- ► Fixed assets are not bought with the main purpose of resale

► **All of the given options**

Question No: 34 (Marks: 1) - Please choose one

Cost of asset	Rs. 100,000
Life of asset	5 years
Depreciation for each year	Rs. 5,000
Sale price after 5 years	Rs.15,000
Written Down Value of Asset on 5th year	Rs. 75,000
Profit or loss on disposal of fixed asset	**?**

► **Rs. 60,000 loss**
► Rs. 75,000 profit
► Rs. 25,000 loss
► Rs. 100,000 profit

Question No: 35 (Marks: 1) - Please choose one

An asset costs Rs. 120,000 and has accumulated depreciation of Rs. 72,400. The asset is sold for Rs. 46,500. What is the Profit or Loss on disposal?

► **Loss of Rs. 1,100**
► Loss of Rs. 73,500
► Profit of Rs. 1,100
► Profit of Rs. 73,500

Question No: 36 (Marks: 1) - Please choose one

Which of the following is **TRUE**?

► The entries in cash book are made by the bank
► **The entries in cash book are made by the depositor himself**
► The entries in cash book are made by the audit officer
► The entries in pass book are made by the manager

Question No: 37 (Marks: 1) - Please choose one

If (Amount of new provision + Amount of bad debts) < Amount of old provision then amount will be shown on:

► **Debit side of Profit & Loss account**
► Credit side of Profit & Loss account
► Asset side of Balance Sheet
► Liability side of Balance Sheet

Question No: 38 (Marks: 1) - Please choose one

General reserves are shown in:

► **Balance sheet**
► Income & expenditure account
► Cash flow statement
► Profit & loss account

Question No: 39 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about the partnership form of business?

► Partners must have to share their profits in equal proportion

► Liabilities of the partners are limited up to the amount of their investment

► **Partners are personally liable for the liabilities of the business**

► Partnerships must make their accounts available to the general public

Question No: 40 (Marks: 1) - Please choose one

Which of the following account will be debited when the interest on drawings is charged in case of fluctuating capital?

► Partner's capital account

► Interest expense account

► Partner's current account

► **Fluctuating capital account**

Fluctuating capital

In fluctuating capital account, all transactions relating to partners, such as drawings, salaries etc. are recorded in capital account, in addition to entries relating to capital account.

Question No: 41 (Marks: 1) - Please choose one

Which of the following would be included in the cost of goods sold?

► **Direct labour cost**

► Distribution expenses

► Selling expenses

► Administrative expenses

Question No: 42 (Marks: 1) - Please choose one

Authorized share capital is also known as:

► **Nominal capital Pg 216**

► Issued capital

► Paid up capital

► Called up capital

Question No: 43 (Marks: 1) - Please choose one

In which of the following type of company, shareholders have the right to transfer their shares of ownership without the consent of other members?

► **Public Limited Company**

► Private Limited Company

► Single Member Company
► Joint Stock Company ok

Question No: 44 (Marks: 1) - Please choose one

Which of the following is old name of Cash Flow Statement?

► **Sources and Application of Funds**
► Sources and Application of Liabilities
► Sources and Application of Activities
► Sources and Application of Income

Question No: 45 (Marks: 1) - Please choose one

Which of the following is an example of cash flow from financing activity?

► Selling a product to the public
► Collecting cash from a customer
► Buying the stock of another company
► **Issuing stock**

Question No: 46 (Marks: 1) - Please choose one

While preparing a statement of cash flows _____ must be added back to the net profit after taxes to get cash flows from operations.

► Accounts receivables
► Fixed assets
► **Depreciation and Amortization**
► Net loss

Question No: 47 (Marks: 1) - Please choose one

In statement of cash flows, which of the following would not be considered as an investing activity?

► Sales of fixed assets
► Purchase of long term securities
► Purchase of fixed assets
► **Payments of dividends**

Question No: 48 (Marks: 1) - Please choose one

Nominal value of each share	Rs.10
No. of shares outstanding	10,000 shares
Net profit	Rs. 20,000
What is the EPS	**?**

► Rs. 1.00
► **Rs. 2.00**
► Rs. 0.20
► Rs. 20.00

Question No: 49 (Marks: 3)

What do you know about the Nominal Capital of company?

Question No: 50 (Marks: 3)

Write down the components of Cash Flow Statement.

Question No: 51 (Marks: 5)

You are required to pass rectifying entries of the following errors:

1. Received cash Rs. 500 from Mr. "B" entered as Rs. 300 in the cash book.
2. A cash sale of Rs. 600 has completely omitted to be recorded in the books.
3. Goods worth Rs. 200 were returned to Mr. Kamran but no entry was passed in the books.

Question No: 52 (Marks: 5)

Write down the common contents of Memorandum of Association.?

Question No: 53 (Marks: 5)

Following information is extracted from the books of Abrar Ltd as on December 31st, 2007.

Particulars	Rs
Carriage inwards	8,000
Legal charges	6,500
Financial charges	223,500
Tax payable	30,000
Advances from customer	10,000
General reserve	40,000
Accumulated profit brought forward(credit balance)	95,000
Long term loans	100,000

Additional information

The authorized capital is Rs. 5,000,000 divided into 500,000 shares of Rs. 10 each. Issued and paid up capital is Rs. 2,500,000.

You are required to calculate Shareholder's equity

Paper No:7

Solved by Chanda Rehman & ABr

FINALTERM EXAMINATION

Spring 2010

MGT101- Financial Accounting (Session - 4)

Time: 90 min

Marks: 69

Question No: 1 (Marks: 1) - Please choose one

An organization operating with the objective of making profit from the sale of goods or services is called:

► Transaction
► **Business correct**
► Society
► Trust

Question No: 2 (Marks: 1) - Please choose one

We can say that the business is in profit, when:

► Assets exceed Expenditure
► Assets exceed Liabilities
► **Income exceeds Expenditure**
► Income exceeds Liabilities

Question No: 3 (Marks: 1) - Please choose one

Which of the following account balance will be shown on debit side of Trial Balance? (It is assumed that all account balances are shown on normal balance).

► Capital account
► Sundry creditors account
► Accounts payable account
► **Cash account**

Question No: 4 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs.20,000 during the year. What would be the Net Profit?

► **Rs.15,000**
► Rs. 35,000
► Rs. 55,000
► Rs. 60,000

Question No: 5 (Marks: 1) - Please choose one

In cost of goods sold statement the 'cost of goods manufactured' is equal to:

► Total factory cost + Opening work in process + Ending work in process
► **Total factory cost + Opening work in process – Ending work in process**
► Total factory cost - Opening work in process + Ending work in process
► Ending work in process +Total factory cost – Opening work in process

Question No: 6 (Marks: 1) - Please choose one

If, Cost of machine = Rs.400, 000
Useful life = 5 years
Residual value = Rs.25, 000
The depreciation of machine per year using straight line method is?

- ► Rs. 160,000
- ► Rs. 96,000
- ► **Rs. 75,000**
- ► Rs. 57,600

(40000-25000/5=75000)

Question No: 7 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Cash	Rs.1, 00, 000
Debtors	Rs.10, 000
Other Assets	Rs. 1,000
Owner's equity	Rs. 1, 000

- ► Rs. 12,000 liabilities
- ► Rs. 11,000 liabilities
- ► **Rs. 1, 10,000 liabilities**
- ► Rs. 1, 11,000 liabilities

Question No: 8 (Marks: 1) - Please choose one

Upon checking the Bank Statement against the Cash Book by Mr. A, It was discovered that an amount of Rs.120 for dividend from XYZ Co. had not been entered in the Cash Book. Which of the following entry should be recorded to rectify the mistake?

- ► Bank Account(Dr.) and Dividend Account (Cr.)
- ► XYZ Co. Account (Dr.) and Bank Account (Cr.)
- ► Dividend Account (Dr.) and Bank Account (Cr.)
- ► **Bank Account (Dr.) and XYZ Co. Account (Cr.)**

Question No: 9 (Marks: 1) - Please choose one

Which one of the following transactions will cause the balance in Mr. Terry's Cash Book to be greater than his Bank Statement balance?

- ► A cheque is drawn but not yet presented at the bank for payment
- ► The bank has not yet notified to Mr. Terry about a dishonoured cheque
- ► A credit transfer into Terry's Bank Account
- ► **A cheque payment of Rs.101 is recorded in the Cash Book as Rs.110**

Question No: 10 (Marks: 1) - Please choose one

If Bad Debts written off are given in adjustment, then which of the following entry for bad debts written off is **CORRECT**?

► Bad debts a/c (Dr) and Trading a/c (Cr)
► Provision for Bad and Doubtful debts a/c (Dr) and Bad debts a/c(Cr)
► **Bad debts a/c (Dr) and debtors a/c (Cr)**
► Trading a/c (Dr) and Bad debts a/c (Cr)

Question No: 11 (Marks: 1) - Please choose one

Which of the following is (are) benefit/s of subsidiary ledger accounts to business?

► It tells about customer attitude of payments
► It can be checked against the control account to pick up recording errors
► It tells about the complete history of transactions of business client
► **All of the given options**

Question No: 12 (Marks: 1) - Please choose one

When one or both aspects of a transaction are recorded in the wrong class or category of account, this is called:

► **Error of principle**
► Error of omission
► Error of commission
► Error of original entry

Question No: 13 (Marks: 1) - Please choose one

Which of the following is the first phase of the typical operating cycle?

► Sell goods and services to customers
► **Purchase goods and services**
► Receive cash from customers
► Pay cash to suppliers

Question No: 14 (Marks: 1) - Please choose one

In which type of a business, the owner and his business are considered same in the eyes of law?

► **Sole proprietorship**
► Public companies
► Limited companies
► Listed companies

Question No: 15 (Marks: 1) - Please choose one

Which of the following clause/s are discussed in Memorandum of Association of Companies?

► Name of company
► Place of registered office of company
► Objective of the company

► **All of the given options PG 215**

Question No: 16 (Marks: 1) - Please choose one

6% Debentures Account Rs. 3, 00,000. What amount of interest on debentures should be shown in profit and loss account?

► Rs. 6,000
► Rs. 3, 00,000
► **Rs. 18,000**
► Rs. 3, 18,000

Question No: 17 (Marks: 1) - Please choose one

Which of the following is a type of business formed under the Companies Ordinance 1984?

► Sole-Proprietorship
► Partnership
► **Joint Stock Company**
► All of the given options

Question No: 18 (Marks: 1) - Please choose one

If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. C in distributable profit.

► Rs. 98,000
► Rs. 1, 47,000
► **Rs. 2, 45,000**
► Rs. 3, 43,000

2+3+5 = 10
Mr. A
490000*2/10

Mr. A = 98000

Mr. B
490000*3/10
Mr. B = 147000

Question No: 19 (Marks: 1) - Please choose one

When we close bad debts account, which of the following account is credited?

► Profit and loss account
► **Bad debt account**
► Debtor account
► Provision for bad debt account

Question No: 20 (Marks: 1) - Please choose one

Stock account is credited and creditors account is debited, which of the following is reflecting the statement?

- ► Discount received
- ► **Goods returned**
- ► Purchase of goods on credit
- ► Payment of goods

Question No: 21 (Marks: 1) - Please choose one

Which of the following justifies when profit is earned?

- ► Assets exceed Expenditure
- ► **Income exceeds Expenditure**
- ► Cash Inflow exceeds Cash Outflow
- ► Income exceeds Liabilities

Question No: 22 (Marks: 1) - Please choose one

In a partnership of Mr. X and Mr. Y, the share of profit of Mr. X is Rs.3,840 and the share of profit of Mr. Y is Rs. 5,760. What will be the ratio of their share?

- ► 1:2
- ► **2:3**
- ► 3:2
- ► 2:1

Question No: 23 (Marks: 1) - Please choose one

Which of the following is the major benefit of a partnership over a sole proprietorship?

- ► Unlimited liability
- ► **Single tax filing**
- ► Difficult ownership resale
- ► Raising capital

Question No: 24 (Marks: 1) - Please choose one

Profits earned by partnerships compensate the owners for which of the following?

- ► Personal services rendered to the business
- ► Capital invested in the business
- ► **Assuming the risks of ownership**
- ► All of the given options

Question No: 25 (Marks: 1) - Please choose one

For which of the following share premium can not be utilized?

- ► To meet the expenses of issue of shares
- ► To issue bonus shares
- ► None of the given options
- ► **To write off preliminary expenses**

Question No: 26 (Marks: 1) - Please choose one

According to the statement of cash flows following are the examples of investing activities except:

- ► Sales of machinery
- ► Capital invested by the owners
- ► **Purchase of building for the business use**
- ► Cash received from the disposal of equipment

Question No: 27 (Marks: 1) - Please choose one

Which of the following is one of the major factors affecting the market value of a company's shares?

- ► Current ratio
- ► **Earning per share**
- ► Return on investment
- ► Return on asset

Question No: 28 (Marks: 1) - Please choose one

In statement of cash flows, a payment of cash dividends is related to:

- ► Investing activity
- ► Financing activity
- ► Operating activity
- ► **Cash flows from operations**

Question No: 29 (Marks: 1) - Please choose one

Which of the following is the investment in business by the owners?

- ► **Capital**
- ► Liability
- ► Asset
- ► Profit

Question No: 30 (Marks: 1) - Please choose one

Which of the following is an example of revenue in business enterprises?

- ► Accounts payable
- ► Accounts receivable
- ► **Commission received**
- ► Commission paid

Question No: 31 (Marks: 1) - Please choose one

Which of the following system of recording transactions is based on dual aspect concept of accounting?

- ► **Double entry system**
- ► Cash accounting system
- ► Single entry system
- ► Management system

Question No: 32 (Marks: 1) - Please choose one

Which of the following is a book of original entry in which all the vouchers are recorded at first?

► **General Journal**
► General Ledger
► Trial Balance
► Balance Sheet

Question No: 33 (Marks: 1) - Please choose one

What is the treatment of Accumulated depreciation in Balance Sheet?

► **Treated as an expense**
► Treated as an asset
► Treated as a contra asset
► Treated as an income

Question No: 34 (Marks: 1) - Please choose one

Which of the following is/are **TRUE** about fixed assets?

► Fixed assets have a long life
► Fixed assets are used in the business for future generation of income
► Fixed assets are not bought with the main purpose of resale
► **All of the given options**

Question No: 35 (Marks: 1) - Please choose one

Which one of the following cost is **NOT** attributable to the fixed assets?

► Costs of site preparation
► Administration and other general overhead cost
► **Initial delivery and handling charges not sure**
► Installation and assembly costs

Question No: 36 (Marks: 1) - Please choose one

Mr. B's cash book shows a credit balance of Rs.68,000. He issued a cheque of Rs.7,000 but not yet presented by the bank. What will be the balance of bank statement?

► Rs. 61,000
► **Rs. 75,000**
► Rs. 68,000
► Rs. 7,000

Question No: 37 (Marks: 1) - Please choose one

If cash purchase is the missing figure, it can be ascertained by the construction of:

► **Cash Account**
► None of the given options
► Creditors Control Accounts
► Debtors Control Accounts

Question No: 38 (Marks: 1) - Please choose one

Depreciation expense is charged to which of the following head?

► Administrative expenses

► Selling expenses
► Cost of sales
► **It depends on the nature of expense**

Question No: 39 (Marks: 1) - Please choose one

Which of the following is/are included in the cost of goods sold?

► Cost of materials used
► Direct labour cost
► Factory costs
► **All of the given options**

Question No: 40 (Marks: 1) - Please choose one

A firm had sales of Rs. 200,000, cost of goods available for sale Rs. 120,000, and an ending finished goods inventory of Rs. 20,000. Selling and Administrative expenses are Rs. 55,000. Which of the following would be **TRUE?**

► Net income was 22.5% of sales
► The cost of goods sold was Rs. 100,000
► **The gross profit was Rs. 100,000**
► All of the given options

Question No: 41 (Marks: 1) - Please choose one

Which of the following is **TRUE** about the Companies Limited by Shares?

► Company has limited shares to offer
► Shareholders of the Company are limited
► **Liability of the shareholders is limited**
► Liability of the shareholders is unlimited

Question No: 42 (Marks: 1) - Please choose one

Which of the following is shown on the liability side of Balance Sheet?

► Discount on issue of shares a/c only
► Share capital a/c only
► Premium on issue of shares a/c only
► **Both share capital and share premium a/c**

Question No: 43 (Marks: 1) - Please choose one

XYZ Company has paid up capital of 20,000 shares of Rs. 100 each. The company offers to existing shareholders the right to buy 3 shares of Rs. 100 each at Rs. 125 for every 5 shares held. What would be the number of right shares?

► 120 right shares
► **12,000 right shares**
► 15,000 right shares
► 25,000 right shares

Question No: 44 (Marks: 1) - Please choose one

A company is said to have been registered when:

► It gets certificate of incorporation from registrar of Companies
► It gets certificate of commencement of business from registrar of Companies
► It actually starts its business
► **It filed with the Registrar of Companies certain documents, like memorandum and articles of association not sure**

Question No: 45 (Marks: 1) - Please choose one

Which of the following is considered as Non-cash item in cash flow statement?

► **Depletion**
► Accrued income
► Prepaid expenses
► Cash at bank

Question No: 46 (Marks: 1) - Please choose one

Which of the following is the **CORRECT** statement with respect to the liquidity and profitability?

► Liquidity and Profitability is the same thing
► The importance of Liquidity > The importance of Profitability
► The importance of Liquidity < The importance of Profitability
► **The liquidity and profitability is not the same thing but both have equal importance**

Question No: 47 (Marks: 1) - Please choose one

If issuance of shares against cash is Rs. 2,000 and payment of dividend is Rs. 9,000 then which of the following is correct?

► Inflow of cash Rs. 11,000
► Outflow of cash Rs. 11,000
► **Inflow of cash Rs. 7,000**
► Outflow of cash Rs. 7,000

Question No: 48 (Marks: 1) - Please choose one

Which of the following is **CORRECT** about Gross Profit Ratio?

► **(Gross profit / Net Sales) x 100**
► (Gross profit / Operating Income) x 100
► (Gross profit / Sales Return) x 100
► (Gross profit / Net Income) x 100

Question No: 49 (Marks: 3)

ط
Cash at bank Rs. 20,000
ط Closing stock Rs. 25,000
ط Sundry debtors Rs. 35,000

If provision for doubtful debts is Rs. 5,000, calculate the amount of current assets to be shown in balance sheet.

Question No: 50 (Marks: 3)

Particulars	Rs.
Interest on loans	2,000
Interest on overdraft	4,000
Foreign exchange gain	6,000
Gain on disposal of fixed assts.	8,000
Sale of Scrap	1,000

Based on the above information, you are required to calculate the amount of following:

- **Financial charges**
- **Other income**

Question No: 51 (Marks: 5)

Briefly discuss the followings:

- Issuance of shares at premium
- Cash flow statement
- Debentures
- Notes to the accounts

Question No: 52 (Marks: 5)

Find the cost of goods sold by preparing a cost of goods sold statement with the help of given date for the year 2007.

Raw material Stocks on 1-1-2007	Rs. 30,000
Work in process on 1-1-2007	35,600
Finished Goods on 1-1-2007	35,400

Raw material Stocks 31-12-2007	Rs. 31,000
Work in process 31-12-2007	25,000
Finished Goods 31-12-2007	53,900
Total factory Cost	543,339

Question No: 53 (Marks: 5)

Classify the followings whether these Entries are Operating, Investing or Financing activity by filling the appropriate boxes given below.

S. No.	ENTRIES	CLASSIFICATION
0	**Change in Accounts receivable and Inventory**	**Operating activity**
1	Change in Property, Buildings, and Equipment	?
2	Change in Accumulated depreciation and Amortization	?
3	Change in Accounts payable, Accrued wages and Salaries payable	?
4	Change in Note payable	?
5	Net income	?

Paper N0:8

Solved by Chanda Rehman & ABr

FINALTERM EXAMINATION

Spring 2010

MGT101- Financial Accounting (Session - 3)

Ref No: ***

Time: 90 min

Marks: 69

Question No: 1 (Marks: 1) - Please choose one

Vehicles which are used to supply finished products are called business _____.

► **Tangible assets**
► Intangible assets
► Capital
► Liabilities

Question No: 2 (Marks: 1) - Please choose one

Which of the following account will be credited, if business purchased a vehicle on cash?

- ► Vehicle account
- ► **Cash account**
- ► Business account
- ► Bank account

Question No: 3 (Marks: 1) - Please choose one

If, Cost of machine = Rs.400, 000
Useful life = 5 years
Residual value = Rs.25, 000
The depreciation of machine per year using straight line method is?

- ► Rs. 160,000
- ► Rs. 96,000
- ► **Rs. 75,000**
- ► Rs. 57,600

Question No: 4 (Marks: 1) - Please choose one

Consider the following inventory record:

Date	Item	Quantity	Cost/Unit Rs.	Total Rs.
Jan. 2	Beginning inventory	10	10	100
Mar. 4	Purchase	35	11	385
May 8	Purchase	40	12	480
Nov. 3	Purchase	20	13	260
De31	Merchandise available	105		1,225

85 units were sold, Use the FIFO method of inventory costing and determine the cost of goods sold.

- ► Rs. 1,225
- ► Rs. 1,015
- ► **Rs. 965**
- ► Rs. 992

Question No: 5 (Marks: 1) - Please choose one

While adjusting the cash balance of cash book, which of the following is **NOT** taken into account.

- ► Mistakes in the cash book
- ► **Mistakes in the pass book**

► Interest credited in the pass book but not entered in cash book
► Interest debited in the pass book but not entered in cash book

Question No: 6 (Marks: 1) - Please choose one

If a business pays rent in advance for 12 months, it will be treated as:

► **Prepaid expenses of business**
► Long term liability of business
► Fixed assets of business
► Current liability of business

Question No: 7 (Marks: 1) - Please choose one

The allocation of the cost of a tangible plant asset to expense in the periods, in which services are received from the asset, is termed as:

► Appreciation
► **Depreciation**
► Fluctuation
► None of the given options

Question No: 8 (Marks: 1) - Please choose one

A debit balance in the Bank Statement indicates:

► Cash at bank
► **Bank overdraft**
► Overpayment to creditors
► Cash in hand

Question No: 9 (Marks: 1) - Please choose one

Control account tells about:

► Details of loyal clients
► Customer attitude of payments
► Complete history of transactions of business clients
► **Picture collectively instead of individually**

Question No: 10 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of purchases return of Rs. 200 to “Mr.P” mistakenly entered in sales book?

► P’s account
► Purchases return account
► Sales account
► **Purchases returns account and sales account**

Question No: 11 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of a purchase return of Rs.200 to Mr. "A" entered in sales book instead of purchase return book?

- ► A's account only
- ► Sales account only
- ► **Purchase returns account and sales account**
- ► Purchases account only

Question No: 12 (Marks: 1) - Please choose one

Which of the following item will be shown on debit side of capital account of sole proprietor?

- ► Cash
- ► **Drawings**
- ► Debtors
- ► Profit

Question No: 13 (Marks: 1) - Please choose one

In which type of a business, the owner and his business are considered same in the eyes of law?

- ► **Sole proprietorship**
- ► Public companies
- ► Limited companies
- ► Listed companies

Question No: 14 (Marks: 1) - Please choose one

When the capitals are fixed, which of the following account will be debited for drawings made by a partner?

- ► **Individual Partner's Current Account**
- ► Partner's Cash Account
- ► Partner's Bank Account
- ► Partners Capital Account

Question No: 15 (Marks: 1) - Please choose one

Share premium account is used for what?

- ► Write off Preliminary Expenses of the company.
- ► Write off the balance amount, in issuing shares on discount.
- ► Issue fully paid Bonus Shares.
- ► **All of the given options**

Question No: 16 (Marks: 1) - Please choose one

The persons who sign articles and memorandum of the company and contribute in the initial share capital of the company are called:

► **Subscribers**
► Shareholders
► Managers
► Directors

Question No: 17 (Marks: 1) - Please choose one

When preparing a cash flow statement, which of the following would be classified as a financing activity?

► **A new long-term loan taken out to finance the purchase of fixed assets**
► Salaries paid
► Interest paid on a long-term bank loan
► The cost of purchasing a patent

Question No: 18 (Marks: 1) - Please choose one

Which of the following will be credited, if cash is drawn by Proprietor?

► **Proprietor's drawing**
► Proprietor's cash
► Proprietor's capital
► Proprietor's income

Question No: 19 (Marks: 1) - Please choose one

Which one of the following vouchers is used to record the non-cash transactions?

► **Journal Vouchers**
► Receipt Vouchers
► Payment Vouchers
► Nominal Vouchers

Question No: 20 (Marks: 1) - Please choose one

When there is no chance of payment being received from a debt, it must be:

► **Accrued**
► Accepted
► Written off
► Received

Question No: 21 (Marks: 1) - Please choose one

Bad debts belong to which one of the following class:

► Asset
► Revenue
► **Expense**
► Owner's Equity

Question No: 22 (Marks: 1) - Please choose one

Which of the following account is the summary of all accounts of suppliers of goods?

- ► Creditor account
- ► Purchase day book
- ► Purchase return day book
- ► **Purchase ledger control account**

Question No: 23 (Marks: 1) - Please choose one

Accumulated depreciation is a _____ account?

- ► Fixed asset
- ► Current asset
- ► **Contra asset**
- ► Liability

http://wiki.answers.com/Q/Is_Accumulated_depreciation_account_is_an_expense_account

Question No: 24 (Marks: 1) - Please choose one

The weekly or biweekly compensation received by hourly-paid employees is called:

- ► Salary
- ► **Wages**
- ► Income
- ► Profit

Question No: 25 (Marks: 1) - Please choose one

Dillon Company sold marketable securities Costing Rs.60,000 for Rs.72,000 cash. In the company's income statement and statement of cash flows, respectively, this will appear as:

- ► A Rs.72,000 gain and a Rs.6,000 cash receipt
- ► **A Rs.12,000 gain and a Rs.72,000 cash receipt**
- ► A Rs.12,000 gain and a Rs.60,000 cash receipt
- ► A Rs.72,000 sale and a Rs.72,000 cash receipt

Question No: 26 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on drawings of Mr. A is Rs.1,500 and of Mr. B is Rs.1,800. The net income for the year is Rs.85,000. What will be the profit share of Mr. B?

- ► Rs.42,350
- ► Rs.44,150
- ► Rs.41,600
- ► Rs.40,850

Question No: 27 (Marks: 1) - Please choose one

How many members can subscribe their names in memorandum of association for registration of public limited company?

► 2
► 3
► 5
► 7

Question No: 28 (Marks: 1) - Please choose one

Which of the following statement is not true regarding the objective of statement of cash flows?

► It is helpful for decision making by management
► It is used for reporting the net profit of the period
► It can be used for estimations for cash flows in future
► It is used to determine the liquidity of the business

Question No: 29 (Marks: 1) - Please choose one

Which of the following items of balance sheet are useful in evaluating a company's liquidity?

► Current assets and other assets
► **Current liabilities and current assets**
► Current liabilities and plant and equipment
► Non current liabilities and other assets

Question No: 30 (Marks: 1) - Please choose one

Short term investments in marketable securities and treasury bills that will mature within ninety days from the date of acquisition, must be classified as:

► Receivables
► Receipts from Capital
► Current and intangible assets
► Cash equivalents

Question No: 31 (Marks: 1) - Please choose one

Which of the following is **TRUE** according to the dual aspect of accounting?

► **Capital = Assets – Liabilities**
► Capital = Assets + Liabilities
► Capital = Assets x Liabilities
► None of the given options

Question No: 32 (Marks: 1) - Please choose one

Which of the following book is prepared for recording cash transactions?

► **Cash book**
► Creditors' book
► Debtors' book
► None of the given options

Question No: 33 (Marks: 1) - Please choose one

Which of the following result would be shown if Gross Profit is greater than the Operating Expenses in profit and loss account?

► Net Profit
► **Operating profit**
► Net Loss
► Gross Loss

Question No: 34 (Marks: 1) - Please choose one

What is the treatment of Accumulated depreciation in Balance Sheet?

► Treated as an expense
► Treated as an asset
► **Treated as a contra asset I think**
► Treated as an income

Question No: 35 (Marks: 1) - Please choose one

Which of the following account will be debited, when the goods are purchased on credit?

► Stock account
► Accounts receivable account
► **Accounts payable account**
► Work in process account

Question No: 36 (Marks: 1) - Please choose one

Under which of the following methods for inventory valuation, inventory is valued at most recent costs?

► LIFO Method
► Weighted Average Method
► Specific Identification Method
► **FIFO Method**

Question No: 37 (Marks: 1) - Please choose one

Which of the following is an item of a debtors control account?

► Cash sale
► **Credit sale**
► Credit purchase
► Cash purchase

Question No: 38 (Marks: 1) - Please choose one

Sales are calculated by adding:

► Cash sales and cash received from debtors
► Credit sales and cash received from debtors
► **Cash sales and credit sales**
► Cash sales and credit purchases

Question No: 39 (Marks: 1) - Please choose one

Which of the following statement is correct, if a company fails to record estimated bad debts expense?

► Net realizable value is understated

► **Expenses are understated**
► Revenues are understated
► Receivables are understated

Question No: 40 (Marks: 1) - Please choose one

Which of the following would be occurred in a transaction, but will not be expensed until a future accounting period?

► Deferred cost
► **Provision**
► Unearned revenue
► Capital work in progress

Question No: 41 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about the partnership form of business?

► Partners must have to share their profits in equal proportion

► Liabilities of the partners are limited up to the amount of their investment
► **Partners are personally liable for the liabilities of the business**
► Partnerships must make their accounts available to the general public

Question No: 42 (Marks: 1) - Please choose one

In which of the following situation/s a partnership would be dissolved?

► In case of death of partner
► At the admission of new partner
► If any partner resigned from partnership
► **All of the given options**

Question No: 43 (Marks: 1) - Please choose one

Which of the following is **TRUE** about the Unlimited Companies?

► Company has unlimited shares to offer
► Shareholders of the company are unlimited
► **Liability of the shareholders is unlimited**
► Liability of the shareholders is limited

Question No: 44 (Marks: 1) - Please choose one

Which of the following is old name of Cash Flow Statement?

► **Sources and Application of Funds**
► Sources and Application of Liabilities
► Sources and Application of Activities
► Sources and Application of Income

Question No: 45 (Marks: 1) - Please choose one

Which of the following is the new name of Sources and Application of Funds?

► Income Statement
► **Cash Flow Statement**

► Statement of Changes in Owners Equity
► Balance Sheet

Question No: 46 (Marks: 1) - Please choose one

Which of the following is an example of cash outflow for a company?

► Cash collected from customers
► Cash paid for merchandise inventory
► Writing off an uncollectible accounts receivable
► Reclassifying accounts payable to notes payable

Question No: 47 (Marks: 1) - Please choose one

Which of the following is an example of Cash flow from operating activities?

► Cash payment to acquired fixed assets
► Issuing stock
► Cash collection as a result of machinery sold
► **Cash payment to suppliers for goods and services**

Question No: 48 (Marks: 1) - Please choose one

While preparing a statement of cash flows _____ must be added back to the net profit after taxes to get cash flows from operations.

► Accounts receivables
► Fixed assets
► **Depreciation and Amortization not sure**
► Net loss

Question No: 49 (Marks: 3)

Why an organization is needed to prepare a cash flow statement.

Question No: 50 (Marks: 3)

What do you know about "Share" and "Authorized Capital".

Question No: 51 (Marks: 5)

ABC company had current and total assets of Rs.450,000 and Rs.1,000,000, respectively. The company's current and total liabilities were Rs.267,000 and Rs.600,000, respectively. Calculate the amount of working capital and the current ratio using this information.

Question No: 52 (Marks: 5)

Calculate the amount of Current Assets and Current Liabilities to be shown in Balance Sheet from the information given below:

Ø Cash at bank Rs. 10,000
Ø Sundry debtors Rs. 15,000
Ø Bank overdraft Rs. 5,000
Ø Building Rs. 200,000

- Ø Accounts payable Rs. 3,000
- Ø Plant and Machinery Rs. 100,000
- Ø Capital stock Rs. 1,000,000
- Ø Debentures Rs. 150,000
- Ø Long term borrowings 250,000

Question No: 53 (Marks: 5)

Cost of goods sold is 25% of sales.
Salary is paid to Mr. "A" & Mr. "B" Rs. 10,000 and Rs. 8,000 respectively.
Cost of goods sold is Rs. 100,000.
Profit sharing ratio for Mr. "A" and Mr. "B" is 60:40
It is to be assumed that there is no other cost.

Required:

Prepare profit & Loss appropriation account for "A" & "B" for the distribution of profit. Also show necessary calculations in solution.

Paper No: 9

Solved by Chanda Rehman & ABr

FINALTERM EXAMINATION
Spring 2010
MGT101- Financial Accounting (Session - 2)

Ref No:
Time: 90 min
Marks: 69

Question No: 1 (Marks: 1) - Please choose one

Direct materials costs	Rs.70,000
Direct labor costs	30,000
Manufacturing overhead costs	60,000
conversion cost	**?**

- ► Rs. 20,000
- ► Rs.40, 000
- ► **Rs.90, 000**
- ► Rs.160, 000

Question No: 2 (Marks: 1) - Please choose one

Sale proceeds of goods are an example of:

- ► **Revenue expense**
- ► Capital expense
- ► Capital receipt
- ► Revenue receipt

Question No: 3 (Marks: 1) - Please choose one

Consider the following data:

Provision created in 2006	Rs. 2,500
Bad debts in 2007	Rs. 1,500
Sundry debtors on 31-12- 2007 were Rs. 40,000 and provision is created @ 5%.	
Which journal entry is Correct for the provision for doubtful debts for the year 2007.	

► Profit & Loss a/c Rs. 1,000 (Dr) & Provision for doubtful debts a/c Rs. 1,000 (Cr)
► Provision for doubtful debts a/c Rs. 1,000 (Dr) & Profit & Loss a/c Rs. 1,000 (Cr)
► **Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)**
► Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)

Question No: 4 (Marks: 1) - Please choose one

Which of the following subsidiary book(s) is (are) maintained for debtors control account?

► Sales Day Book
► Sales Return
► Debtors Ledger
► **All of the given options**

Question No: 5 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of Carriage paid Rs.50 for the newly purchased machinery mistakenly debited to carriage account?

► Only machinery account
► Only carriage account
► **Both carriage and machinery account**
► Only cash account

Question No: 6 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of an amount Rs.200 received from Mr."P" wrongly credited to Mr."Q's" account?

► Only Cash Account
► Only P's account
► Only Q's account
► **Both of Mr. P's & Mr.Q's Account**

Question No: 7 (Marks: 1) - Please choose one

Which of the following accounts would be increased with a debit?

► Contributed Capital
► Retained Earnings
► Revenues
► **Expenses**

Question No: 8 (Marks: 1) - Please choose one

Which of the following would **NOT** be considered as a component of 'cost' of stock?

► **Salaries of selling staff**
► Transportation inward costs
► Import duties
► Purchase price

Question No: 9 (Marks: 1) - Please choose one

Which of the following are the owners of a company?

► Proprietors
► Partners
► **Shareholders**
► Managers

Question No: 10 (Marks: 1) - Please choose one

If dividend is proposed by directors of the company @ 30% for the year, it will be calculated on:

► Capital Reserve
► Authorized share capital
► **Paid up share capital**
► Share premium

Question No: 11 (Marks: 1) - Please choose one

In which of the following interim dividend is treated?

► In profit and Loss account
► **In profit and Loss appropriation account**
► On the asset side of the Balance Sheet
► In trading account

Question No: 12 (Marks: 1) - Please choose one

Which of the following documents contains rules and regulations for internal management of the company?

► Memorandum of Association
► **Articles of Association**
► Prospectus
► Statutory Declaration

Question No: 13 (Marks: 1) - Please choose one

When preparing a cash flow statement, which of the following would be classified as a financing activity?

► **A new long-term loan taken out to finance the purchase of fixed assets**
► Salaries paid

► Interest paid on a long-term bank loan
► The cost of purchasing a patent

Question No: 14 (Marks: 1) - Please choose one

When opening stock is Rs. 50,000, closing stock Rs. 60,000 and cost of goods sold Rs. 220,000. What will be stock turnover ratio?

► 2 times
► 3 times
► **4 times**
► 5 times

Question No: 15 (Marks: 1) - Please choose one

What does a credit balance in a partner's current account represent to a business?

► Current Assets
► Current Liability
► Long-term liability
► **Share of profit**

Question No: 16 (Marks: 1) - Please choose one

Net Profit + Expenses= _____

► Liabilities
► Assets
► Capital
► **Income**

Question No: 17 (Marks: 1) - Please choose one

What would be the value of 'cost of goods manufactured' if the total factory cost of the month is Rs. 6,000, opening work in process is Rs. 2,000 and the closing work in process is Rs. 2,500?

► **Rs. 5,500**
► Rs. 8,000
► Rs. 4,500
► Rs. 8,500

Question No: 18 (Marks: 1) - Please choose one

Particulars	Rs.
Direct materials costs	80,000
Direct labor costs	50,000
Manufacturing overhead costs	60,000
Prime cost	?

► **Rs.130, 000**

► Rs.110, 000
► Rs.140, 000
► Rs.190, 000

Question No: 19 (Marks: 1) - Please choose one

"The owner of the business should be remunerated for his time spent in the business". This concept is known as:

► Inflation
► **Money value of time**
► Money measurement concept
► Realization concept

Question No: 20 (Marks: 1) - Please choose one

Which of the following account will be debited, when the labor cost is charged to production?

► Finished goods account
► Labor cost account
► Work in process account
► **Factory over head account**

Question No: 21 (Marks: 1) - Please choose one

Stock account is debited and creditors account is credited, which of the following is reflecting the statement?

► Discount received
► Goods returned
► **Purchase of goods on credit**
► Payment of goods

Question No: 22 (Marks: 1) - Please choose one

The financial year of Atif Brothers & Co. is closed on June 30, 2009. Total cash sales are Rs. 150,000, credit sales are Rs. 180,000 and total receipts are Rs. 250,000. Credit receipts will be:

► Rs. 150,000
► Rs. 100,000
► Rs. 220,000
► **Rs. 280,000**

Question No: 23 (Marks: 1) - Please choose one

Which of the following is usually not an accrued expense?

► Interest payable
► Wages payable
► Taxes payable
► **Notes payable**

Question No: 24 (Marks: 1) - Please choose one

Which of the following financial statements is generally prepared first?

► Income statement
► **Balance sheet**
► Statement of retained earnings
► Statement of cash flow

Question No: 25 (Marks: 1) - Please choose one

Which of the following is known as an asset account?

► Gains
► **Prepaid insurance**
► Unearned revenue
► Accounts payable

Question No: 26 (Marks: 1) - Please choose one

Puget Sound Co. sold marketable securities Costing Rs.80,000 for Rs.92,000 cash. In the company's income statement and statement of cash flows, respectively, this will appear as:

► **A Rs.12,000 gain and a Rs.92,000 cash receipt**
► A Rs.92,000 gain and a Rs.8,000 cash receipt
► A Rs.12,000 gain and a Rs.80,000 cash receipt
► A Rs.92,000 sale and a Rs.92,000 cash receipt

Question No: 27 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on drawings of Mr. A is Rs.1,500 and of Mr. B is Rs.1,800. The net income for the year is Rs.85,000. What will be the profit share of Mr. B?

► Rs.42,350
► Rs.44,150
► Rs.41,600
► Rs.40,850

Question No: 28 (Marks: 1) - Please choose one

Which of the following statement is not true regarding the objective of statement of cash flows?

► It is helpful for decision making by management
► It is used for reporting the net profit of the period
► It can be used for estimations for cash flows in future
► **It is used to determine the liquidity of the business**

Question No: 29 (Marks: 1) - Please choose one

According to the statement of cash flows following are the examples of investing activities except:

► Sales of machinery

► Capital invested by the owners
► **Purchase of building for the business use**
► Cash received from the disposal of equipment

Question No: 30 (Marks: 1) - Please choose one

Which of the following account would be credited in case of loss of goods by fire?

► **Purchase account**
► Sales account
► Loss by fire account
► Capital account

Question No: 31 (Marks: 1) - Please choose one

Which of the following result would be shown if Gross Profit is greater than the Operating Expenses in profit and loss account?

► Net Profit
► **Operating profit**
► Net Loss
► Gross Loss

Question No: 32 (Marks: 1) - Please choose one

Which of the following is/are **NOT** the example of intangible assets?

► Copyright
► Goodwill
► Patent
► **Land**

Question No: 33 (Marks: 1) - Please choose one

If salaries expense is Rs. 2,500, purchases are Rs. 16,000 and rent (office building) is Rs. 300 during the year, what would be the total "General & administrative expenses"?

► Rs. 300
► Rs. 2,500
► **Rs. 2,800**
► Rs.18,800

Question No: 34 (Marks: 1) - Please choose one

Which one of the following methods for inventory valuation is based on the assumption that the first merchandise purchased is the first merchandise sold?

► LIFO Method
► Weighted Average Method
► Specific Identification Method
► **FIFO Method**

Question No: 35 (Marks: 1) - Please choose one

A machine, which was bought at a cost of Rs. 4,000, is not expected to have any residual value. If it is depreciated at a rate of 10% per annum using Straight line method, its net book value after two years will be:

► **Rs. 3,200**
► Rs. 800
► Rs. 3,600
► Rs. 3,240

Question No: 36 (Marks: 1) - Please choose one

Particulars	Rs.
Written down value of asset at the time of sale	10,000
Original cost of asset	20,000
Depreciation expense during the year	700
Disposal value of asset	**?**
Loss on disposal of asset	1,000

► Rs. 9,000
► Rs. 19,000
► **Rs. 8,300**
► Rs.10,000

Question No: 37 (Marks: 1) - Please choose one

Accounts receivables are shown in balance sheet at:

► **Net realizable value**
► Total amount
► Market value
► Residual value

Question No: 38 (Marks: 1) - Please choose one

Which of the following is **NOT** included in Debtors Control Account?

► **Cash sale**
► Credit sale
► Bills receivable
► Discount allowed

Question No: 39 (Marks: 1) - Please choose one

Which of the following would be shown on the credit side of creditors control account?

► Bills Receivable
► Return outwards
► **Credit purchases**
► Discount allowed

Question No: 40 (Marks: 1) - Please choose one

Which of the following is **INCORRECT** about subsidiary account?

► It is not a summary account
► It reduces the burden of control account
► **It provides detailed information about individual accounts**
► It summarizes the total of related items from other accounts

Question No: 41 (Marks: 1) - Please choose one

Which of the following would be occurred in a transaction, but will not be expensed until a future accounting period?

► **Deferred cost**
► Provision
► Unearned revenue
► Capital work in progress

Question No: 42 (Marks: 1) - Please choose one

Deferred revenues will become revenue when they are:

► Unearned
► **Earned**
► Incurred
► Paid

Question No: 43 (Marks: 1) - Please choose one

Which of the following can be utilized to issue bonus shares?

► **Share premium**
► Term finance certificates
► Bonds
► Debentures

Question No: 44 (Marks: 1) - Please choose one

Which of the following is old name of Cash Flow Statement?

► **Sources and Application of Funds**
► Sources and Application of Liabilities
► Sources and Application of Activities
► Sources and Application of Income

Question No: 45 (Marks: 1) - Please choose one

Which of the following is **TRUE**?

► **Sale of equipment for cash is considered as inflow of cash**
► Sale of equipment on account is considered as inflow of cash
► Purchases of equipment for cash is considered as inflow of cash
► Sale of equipment for cash is considered as outflow of cash

Question No: 46 (Marks: 1) - Please choose one

Which of the following is the **CORRECT** statement with respect to the liquidity and profitability?

► Liquidity and Profitability is the same thing
► The importance of Liquidity > The importance of Profitability
► The importance of Liquidity < The importance of Profitability
► **The liquidity and profitability is not the same thing but both have equal importance**

Question No: 47 (Marks: 1) - Please choose one

A company ABC purchased an asset for Rs. 40,000, paying Rs. 30,000 in cash and issuing a long term note payable for remaining balance. The amount will be recorded in statement of cash flows as:

- ► Rs. 40,000 cash outflow as an investing activity
- ► **Rs. 30,000 cash outflow as an investing activity**
- ► Rs. 10,000 cash inflow as an investing activity
- ► Rs. 70,000 cash inflow as an investing activity

Question No: 48 (Marks: 1) - Please choose one

Which of the given Asset is **Not** included in the calculation acid test ratio?

- ► **Stock**
- ► Cash
- ► Debtors
- ► Bills Receivable

Question No: 49 (Marks: 3)

Briefly write down the steps for the formation of a Private Ltd Company.

1. Selection of the type of company.

2. Selection of name for the proposed company.
3. Apply for the Directors Identification Number (DIN) and Digital Signatures.
4. Drafting of Memorandum and Articles of Association.
5. Stamping, digitally signing and e-filing of various documents with the Registrar.
6. Payment of Fees.
7. Obtaining Certificate of Incorporation.
8. Preparation and filing of Prospectus/Statement in lieu of Prospectus and e-Form 19/20 (in case of public companies) for obtaining the certificate of commencement of business.
9. Obtaining Certificate of Commencement of business (in case of public limited companies).

Question No: 50 (Marks: 3)

If:

· Retain earning at the beginning	Rs. 1,000
· Dividend paid	500
· Retain earning at the end	2,500

Then:

You are required to prepare statement of Retain earnings to find the amount of Net income

Question No: 51 (Marks: 5)

a. In trial balance at June 30, 2007 10% debentures are shown at Rs.75,000 and mark up on debentures are shown at Rs.3,750. Six months debenture mark up is to be accrued. What will be the amount of total mark up on debentures show in profit and loss account?

b. From the following information calculate cost of goods sold.

Stock opening balance	Rs.56,950
Purchases	175,750
Stock closing balance	65,020
Carriage inward	5,200
Sales	245,500

Question No: 52 (Marks: 5)

Information given in Trial balance:

c. Plant and machinery Rs. 200,000
d. Furniture and fixtures Rs. 100,000

Information given in adjustment:

Ø Charge 20% depreciation on Plant and machinery and 10 % on Furniture and fixture

Required:

- **Calculate the amount of depreciation expense shown in profit and loss account.**
- **Calculate the amount of fixed assets shown in balance sheet.**

Question No: 53 (Marks: 5)

XYZ Co. Ltd. had a paid up capital of Rs. 600,000 divided in 6,000 shares of Rs. 100 each. The company resolves to capitalize a part of reserve fund of Rs. 800,000 by issuing bonus shares. One bonus share is issued for every three shares held in the company. Bonus shares are to be issued at 25% premium.

Required:

Calculate the No. of Bonus shares and the amount of Bonus.

Paper No 10

Solved by Chanda Rehman & ABr

FINALTERM EXAMINATION

Spring 2009

MGT101- Financial Accounting (Session - 4)

Question No: 1 (Marks: 1) - Please choose one

The expenses that give benefit for a period of more than twelve months are called _____.

► **Capital expenses**

► Revenue expenses

► Preliminary expenses

► None of the given options

Question No: 2 (Marks: 1) - Please choose one

A summarized record of transactions related to individuals or things is called a/an _____.

► **Account Correct**

► Voucher

► Journal

► **Trial balance**

Question No: 3 (Marks: 1) - Please choose one

Documentary evidence, in a specific format used to record the details of a transaction is known as:

► Account

► **Voucher**

► Journal

► Ledger

Question No: 4 (Marks: 1) - Please choose one

Which of the following organizations prepare Income & Expenditure account?

► Public libraries

► NGOs

► Labor unions

► **All of the given options**

Question No: 5 (Marks: 1) - Please choose one

Which of the following is an example of business liability?

► Land

► Building

► Cash

► **Capital**

Question No: 6 (Marks: 1) - Please choose one

Mr. B provided the following information at the end of the month:

Particulars	Rs.
Cash	100
Accounts Receivable	500
Accounts Payable	200
Bank Loans	1,000

Based on the information provided, what are the total assets of Mr. B?

► Rs.200

► **Rs. 600**

► Rs. 800

► Rs. 1700

Question No: 7 (Marks: 1) - Please choose one

Which of the following account balance will be shown on debit side of Trial Balance? (It is assumed that all account balances are shown on normal balance)

- ► Cash account
- ► Furniture account
- ► Vehicle account
- ► **All of the given options**

Question No: 8 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs. 20,000 during the year, what would be the value of Gross Profit?

- ► Rs. 15,000
- ► **Rs. 35,000**
- ► Rs. 55,000
- ► Rs. 60,000

Question No: 9 (Marks: 1) - Please choose one

Which of the following account will be credited, when the goods are purchased on cash?

- ► Stock account
- ► **Cash account Correct**
- ► **Supplier account**
- ► Work in process account

Question No: 10 (Marks: 1) - Please choose one

Fixed assets are also called:

- **Depreciable assets**
- Current assets
- Liquid assets
- Floating assets

Question No: 11 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 5,000
Sale price after 5 years	Rs.50,000
Written down value of asset on 5th year	Rs.75,000
profit or loss on disposal of fixed assets	**?**

- **Rs.25, 000 loss**
- Rs. 75,000 loss
- Rs. 15,000 profit
- Rs. 1, 00,000 profit

Question No: 12 (Marks: 1) - Please choose one

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

► Rs.260

► Rs.232

► Rs.284

► Rs.320

Question No: 13 (Marks: 1) - Please choose one

Which of the following asset is **NOT** depreciated?

► Factory Buildings

► Office Equipment

► Plant & Machinery

► Land

Question No: 14 (Marks: 1) - Please choose one

Consider the following data:

Particulars	Rs.
Assets	8,20,000
Owner's equity	3,80,000
Liabilities	?

► Rs. 1, 98,000

► Rs. 49,000

► Rs. 55,000

► Rs. 4, 40,000

Question No: 15 (Marks: 1) - Please choose one

Which one of the following is **NOT** true for Profit & Loss Account?

► It shows whether a business has made a profit or loss over a financial year

► It shows the financial performance of a business for the period

► It shows revenues and expenses for the period

► It is used to calculate surplus/deficit for a particular period

Question No: 16 (Marks: 1) - Please choose one

A Bank Reconciliation Statement is prepared to:

► Ascertain that the difference between the Cash Book balance and the Bank Statement balance has been accounted for

► Correct errors in the Cash Book or errors in the Bank Statement

► Amend the balance of the Bank Statement of the firm

► Amend the balance in the Cash Book of the firm

Question No: 17 (Marks: 1) - Please choose one

Which one of the following transactions will cause the balance in Mr. Terry's Cash Book to be greater than his Bank Statement balance?

► A cheque is drawn but not yet presented at the bank for payment

► The bank has not yet notified to Mr. Terry about a dishonoured cheque

► A credit transfer into Terry's Bank Account

► A cheque payment of Rs.101 is recorded in the Cash Book as Rs.110

Question No: 18 (Marks: 1) - Please choose one

In which of the following condition(s) **DEBT** is regarded as **BAD**.

► Bankruptcy of the debtor

► Disappearance of debtor’s business

► Failure of repeated attempt to collect the debt

► **All of the given options**

Question No: 19 (Marks: 1) - Please choose one

Which of the following account will be debited, when the bad debts are recovered?

► Bad debt recovered a/c

► Cash a/c

► Doubtful debts a/c

► Bad debts a/c

Question No: 20 (Marks: 1) - Please choose one

Which of the following would be deducted from Sundry Debtors in Balance Sheet?

► Bad debts (Trial balance item)

► Old provision for doubtful debts

► **New provision for doubtful debts**

► **Both Bad debts (given in adjustment) and new provision for doubtful debts**

Correct

Question No: 21 (Marks: 1) - Please choose one

Which of the following entry will be recorded when the Bad Debts are recovered?

► Cash account (Dr.) & Bad Debts recovered account (Cr.)

► Accounts Receivable account (Dr.) & Bad Debts recovered account (Cr.)

► **Bad debts recovered account (Dr.) and Profit & Loss account (Cr.)**

► Provision for doubtful debts account (Dr.) & Cash account (Cr.)

Question No: 22 (Marks: 1) - Please choose one

It is supposed that on 31-12-2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. What entry will pass to transfer the bad debts to provision for doubtful debts?

► Profit & Loss a/c Rs. 1,600 (Dr) & Provision for doubtful debts a/c Rs. 1,600 (Cr)

► **Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)**

► Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)

► Provision for doubtful debts a/c Rs. 1,600 (Dr) & Bad Debts a/c Rs. 1,600 (Cr)

Question No: 23 (Marks: 1) - Please choose one

Which of the following is/are the item/s of a Control Account?

► Credit sale only

► Cash sale only

► Credit purchase only

► **Both Credit sales and Credit purchase**

Question No: 24 (Marks: 1) - Please choose one

Which of the following is an item of a debtors control account?

► Cash sale

► **Credit sales**

► Credit purchase

► Cash purchases

Question No: 25 (Marks: 1) - Please choose one

Which of the following is (are) benefit/s of subsidiary ledger accounts to business?

► It tells about customer attitude of payments

► It can be checked against the control account to pick up recording errors

► It tells about the complete history of transactions of business client

► **All of the given options**

Question No: 26 (Marks: 1) - Please choose one

Which of the following is a detailed record of an individual account in case of large business?

► **Control Account Correct**

► **Subsidiary Ledger**

► Balance Sheet

► Trial Balance

Question No: 27 (Marks: 1) - Please choose one

Transaction that has been completely forgotten to enter is called:

► Error of principle

► **Error of omission**

► Error of commission

► Error of original entry

Question No: 28 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of Sale to Mr."A" Rs. 336 was not recorded at all?

- ► Only sales account
- ► Only A's account
- ► Only cash account
- ► **Both sales account and A's account**

Question No: 29 (Marks: 1) - Please choose one

If (Amount of new provision + Amount of bad debts) < Amount of old provision then amount will be shown on:

- ► Debit side of P & L account
- ► **Credit side of P & L account** **Correct**
- ► **Asset side of Balance Sheet**
- ► Liability side of Balance Sheet

Question No: 30 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	700
Sundry Debtors (Given in trial balance)	44,800

If the Provision for doubtful debts has been increased by 5%, which amount of new provision will be shown in Profit & Loss Account?

- ► **Rs. 2,240**

► Rs. 2,425

► Rs. 1,925

► Rs. 3,025

Question No: 31 (Marks: 1) - Please choose one

The main objective of financial reporting is to provide:

► **Essential information to internal users of financial reports.**

► **Useful economic information about the business to the external parties for sound financial decisions.Correct**

► Information to internal users about the cash position of the business.

► Information to the Securities Exchange Commission (SEC).

Question No: 32 (Marks: 1) - Please choose one

Which of the following would **NOT** be considered as a component of 'cost' of stock?

► **Salaries of selling staff**

► Transportation inward costs

► Import duties

► Purchase price

Question No: 33 (Marks: 1) - Please choose one

Inventory is considered a current asset because it:

► Often reflects the most current trends and styles

► Was purchased during the current year, usually

► **Will be converted into cash in the course of the company's operating cycle**

► Can be returned to the supplier for a cash refund

Question No: 34 (Marks: 1) - Please choose one

Which one of the following is **TRUE** about provisions?

► It is necessary to prepare for showing true picture of balance sheet

► It is a reduction from assets

► It is prepared for specific purposes

► **All of the given options**

Question No: 35 (Marks: 1) - Please choose one

Which of the following item will be shown on debit side of capital account of sole proprietor?

► Cash

► **Drawings**

► Debtors

► Profit

Question No: 36 (Marks: 1) - Please choose one

Which of the following is **TRUE** about a merchandising company?

► **A merchandising company's business is to buy and sell products**

► A merchandising company must use the perpetual system to account for merchandising inventory

► A merchandising company's business is to provide services

► A Sugar Mill is an example of a merchandising company

Question No: 37 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about the partnership form of business?

► Partners must have to share their profits in equal proportion

► Partners are personally liable for the liabilities of the business

► Partnerships must make their accounts available to the general public

► **Partnership agreement in writing is called Partnership deed**

Question No: 38 (Marks: 1) - Please choose one

Which of the following are the owners of a company?

► **Proprietors**

► Partners

► **Shareholders Correct**

► Managers

Question No: 39 (Marks: 1) - Please choose one

Authorized share capital is also known as:

► **Registered capital**

► Issued capital

► Paid up capital

► Called up capital

Question No: 40 (Marks: 1) - Please choose one

The persons who sign articles and memorandum of the company and contribute in the initial share capital of the company are called:

► Subscribers

► **Shareholders**

► Managers

► Directors

Question No: 41 (Marks: 1) - Please choose one

Which of the following option(s) is **TRUE** about the Sales returns?

► Sales returns reduce the Gross sales of the firm

► Sales returns affect the Net income of the firm

► Sales returns affect the flow of cash

► **All of the given options**

Question No: 42 (Marks: 1) - Please choose one

In Income Statement, both beginning inventory and ending inventory appear in the section of:

► **Cost of good sold**

► Indirect cost

► Selling cost

► Factory over head cost

Question No: 43 (Marks: 1) - Please choose one

The income statement of the Limited company is also known as:

► Manufacturing account

► **Profit and Loss account**

► Profit and Loss Appropriation account

► Current Account

Question No: 44 (Marks: 1) - Please choose one

A company is said to have been registered when:

► It gets certificate of incorporation from registrar of Companies

► **It gets certificate of commencement of business from registrar of Companies**

► It actually starts its business

► It filed with the Registrar of Companies articles certain documents, like memorandum and articles of association

Question No: 45 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as an inflow of cash?

► The repayments of a bank loan

► Dividend issue in the current year

► **Money received as result of selling fixed assets**

► The difference between the valuations of old and new fixed assets

Question No: 46 (Marks: 1) - Please choose one

Which of the following is **CORRECT**?

► **A cash inflow means increase total cash only**

► A cash inflow means increase in cash equivalent only

► A cash inflow means increase in cash and decrease in cash equivalent

► **A cash inflow means increase in both cash and cash equivalent Correct**

Question No: 47 (Marks: 1) - Please choose one

Which of the following business publishes the Financial Statements?

► Sole-Proprietorship

► Partnership

► Trust

► **Public Limited Company**

Question No: 48 (Marks: 1) - Please choose one

Which of the following ratio tells about “How a company would repays its loans”

► Mark up cover ratio

► Acid test ratio

► Current ratio

► **Debt Equity ratio**

Question No: 49 (Marks: 1) - Please choose one

Particulars	Rs.
Share capital of Rs. 10 each	1,000,000
Profit before tax	150,000
Taxes	10,000
Earning per share	**= ?**

- ► Rs. 1.50 per share
- ► **Rs. 1.40 per share**
- ► Rs. 1.15 per share
- ► Rs. 1.25 per share

Question No: 50 (Marks: 1) - Please choose one

The beginning balance of retained earnings was Rs. 7,500. The dividends paid to stockholders' were Rs.1, 500. The ending balance of retained earnings is Rs. 5,000. What was the net income or net loss for the accounting period?

- ► **Net loss of Rs.1, 000**
- ► Net income of Rs. 1,000
- ► Net loss of Rs. 2,000
- ► Net income of Rs. 2,500

1. Issuance of shares at premium

When a company earned profits and its reputation increased in the market then demand of its shares increases. In that case that company is allowed to issue the shares at higher than the face value. These kind of issuance of share is called shares at premium. In the return money which is received as excess to face value is deposited in the "shares Premium Account." This account is used to write off preliminary expenses of the company and used to write off the amount of issuing shares on discount (if any)

2. Cash Flow Statement

It is fundamental part of the financial statements.

Cash flow statement shows cash resource movement during the financial year. It shows us that how the cash is produced and how its spent during the year. It is very important for any business to make sure that business have enough funds in hand to meet the obligations.

3. Debentures

It is an acknowledgment of loan that company took from the public for a specific period of time and has markup rate attached to it. Mark up rate or interest rate which is paid on debentures is normally equal to market rate.

4. Notes to the accounts

Notes to the accounts are details of the financial statements of the organization. It includes details calculation of figures during the preparation of financial Statements.

Question No: 52 (Marks: 10)

Income Statement of XYZ Ltd for the year ended on 30th June, 2007:

Particulars	Rs.	Rs.
Sales		500,000
Less: Cost of Goods Sold		250,000
Gross Profit		250,000
Less: **Operating expenses**		
Administrative expenses	110,000	
Interest expenses	20,000	130,000
Net profit before Tax		**120,000**
Less: Taxes		36,000
Net profit after tax		84,000

Opening Stock for the year was Rs. 60,000.

Balance Sheet of XYZ Ltd on 30th June, 2007:

Assets	Rs.
Fixed Assets	400,000
Stock	60,000

Debtors	230,000
Bills Receivable	40,000
Cash at bank	150,000
Prepaid expenses	20,000
Total	**900,000**
Liabilities	
Share capital	200,000
Reserves and surplus	250,000
10% Debentures	200,000
Creditors	180,000
Bills payable	70,000
Total	**900,000**

Calculate following ratios from the financial statement of XYZ Ltd.

1. Current Ratio
2. Acid Test Ratio
3. Stock turn over Ratio
4. Debt equity Ratio
5. Gross profit Ratio

1. Current ratio

Current ration = current assets / current liabilities

= 500,000 / 250,000 = 2

2. Acid test ratio

Acid Test = (current Assets – stock) / current liabilities

= (500,000- 60,000) / 250,000 = 1.76

3. Stock turn over Ratio

a.

Stock turn over Ratio = (cost of good sold / Average stock)

= (250,000 / 60,000)

Stock turnover (number of times) = 4.1 times

b.

Stock turnover in days = (Average stock / cost of good sold)*365

= (60,000 / 250,000) * 365

= 87 days

4. Debt equity ratio

Debit equity ratio = long term liabilities / equity

= 650,000 / 200,000

= 3.25

5 Gross profit ratio

Gross profit ratio = (gross profit / sales)* 100

= (250,000 / 500,000) *100

G.P RATE = 50 %

Question No: 53 (Marks: 10)

The following Trial balance is taken out from the books of Rahman & Sons as on 31st December, 2008.

	Dr.	**Cr.**
	Rs.	**Rs.**
Sales		204,000
Capital		120,000
Bank overdraft		103,560
Sundry Creditors		120,000

Opening Stock	60,400	
Purchases	231,600	
Sundry Debtors	109,660	
Returns Inwards	3,640	
General Expenses	6,980	
Plant	22,620	
Wages & Salaries	16,740	
Building	50,000	
Cash in Hand	680	
Cash at bank	8,720	
Drawings	16,960	
Motive Power	2,300	
Dock &clearing Charges	1,300	
Coal, Gas, Water	1,700	
Salaries	9,820	
Interest on O/D	4,440	
Rent rates Taxes	1,400	
Discount Allowed	2,000	
Interest received		3,400
	550,960	**550,960**

Requirement:

Prepare The Trading and Profit & Loss account of the business for the year ended. Closing Stock is valued at Rs.40, 000.

Question No: 54 (Marks: 10)

Following information is extracted from the books of Mr. Ali and Mr. Babar for the year 2007.

Particulars	Rs.
Closing Stock	564,000
Carriage inwards	1,780
Wages & Salaries	1,950
Debtors	160,000
Bank	7,000
Creditors	100,000

Expenses payable	18,000
Wages payable	12,750
Accounts payable	4,250
Profit for the year	Ali:80,000 Babar:70,000
Drawings for the year	Ali:10,000 Babar:15,000
Capital	Ali:400,000 Babar: 350,000
Opening balance: Current Account	Ali: 13,000 Babar:10,000
Long term loans	2,27,500
Material 01-01-2007	100,000
Work in process 01-01-2007	78,000
Finished Goods 01-01-2007	108,000
Fixed Asset at WDV on 31-12-2007	529,500

You are required to prepare Balance Sheet as on 31st December 2007. Show complete working.

Paper No 11
Solved by Chanda Rehman & ABr

FINALTERM EXAMINATION
SPRING 2006
MGT101 - FINANCIAL ACCOUNTING (Session - 1)
Marks: 60
Time: 120min

Question No: 1 (Marks: 1) - Please choose one
_____ is used to record transactions that do not affect cash or bank.
Payment voucher
Receipt voucher
Journal voucher PG83
All of the given options

Question No: 2 (Marks: 1) - Please choose one
Which one of the following item will appear on the balance sheet of a company as current assets?
Prepaid expenses

.
Outstanding expenses
.
Furniture and equipment
.
Provision for depreciation

Question No: 3 (Marks: 1) - Please choose one
If bank statement shows a credit balance, it means _____balance for bank book.
.
Favorable
.
Unfavorable
.
Overdraft
.
None of the given options

Question No: 4 (Marks: 1) - Please choose one
Formula for Earning per Share is_____
.
Market value per share / Earning per share
Net profit after tax before appropriation / Number of shares **273**
.
Operating Profit before financial charges / Financial charges
.
None of the given options
Question No: 5 (Marks: 1) - Please choose one
Liquidity is defined as:
.
The amount of cash to liquidate
.
The funds available for use
.
The ability of business to receive its cash
.
The ability of a business to pay its debts in time **235**

Question No: 6 (Marks: 1) - Please choose one
Cash flow from operating activities is generated from:
.
The cash receipts and payments that arise from Fixed and Long Term assets of the organization.
.

Cash generated from daily operations of organization
The cash receipts and payments that arise from Owners of the business and other long term liabilities of the organization
None of the given options

Question No: 7 (Marks: 1) - Please choose one
Accumulated Profit & Loss is an example of:

.
Distributable reserves
.
Non distributable reserves
.
Both Distributive and non distributive reserve
.
None of the given options

Question No: 8 (Marks: 1) - Please choose one
According to_____, Fixed assets revaluation reserve is included in the statement of changes in equity.

.
International Accounting Standards
.
Companies Ordinance
.
International Standards of Auditing
.
None of the given options
According to International Accounting Standards, fixed assets revaluation reserve is included in the statement of changes in equity.

Question No: 9 (Marks: 1) - Please choose one
Share premium can be utilized:

.
To create non distributive reserves
.
To issue bonus shares
To increase the Owners Capital
.
To meet unexpected losses

Question No: 10 (Marks: 1) - Please choose one
Notes to the accounts explain which of the followings:

.
Nature of business of the company

.
Accounting Policies of the company
.
Details and explanation of items given in the Profit and Loss Account and Balance Sheet
.
All of the given options

Question No: 11 (Marks: 1) - Please choose one
Mark up ratio is better for:
.
Bankers
.
Debtors
.
Creditors
.
Owners

Question No: 12 (Marks: 1) - Please choose one
Debentures are a company's**:**
Assets
.
Liability
.
Expenses
.
Investments

Question No: 13 (Marks: 1) - Please choose one
Subscribers / Sponsors are the persons who sign:
. Articles of Association
.
Memorandum of the company
.
Contribute in the initial share capital of the company.
.
All of the given options

Question No: 14 (Marks: 1) - Please choose one
All expenses incurred up to the stage of incorporation of the company are called:
.
Preliminary Expenses
.
Installation expenses

.
Accrued expenses
.
Deferred expenses

Question No: 15 (Marks: 1) - Please choose one
The head of board of directors is called:
.
Chief executive
.
Manager
.
Subscriber
.
Shareholder

Paper No:12
Solved by Anjam n Chanda Rehman n ABr

FINALTERM EXAMINATION
FALL 2007
MGT101 - FINANCIAL ACCOUNTING (Session - 3)
Marks: 60
Time: 150min
Question No: 1 (Marks: 1) - Please choose one
Which one of the following assets could be described as a current asset?
.
Stock of goods for resale
.
Machinery to manufacture goods for resale
.
Buildings to house the machinery
.
Land on which the buildings stand

Question No: 2 (Marks: 1) - Please choose one
Operating Profit is equal to:
.
Sales - Gross Profit – Cost of goods sold – Operating expenses
.
Sales – Cost of goods sold – Operating expenses
.
Sales - Gross Profit
.
None of the given options

Question No: 3 (Marks: 1) - Please choose one

The accounting equation represents:

.

Resources in the business are equal to resources supplied by the owner and outsiders

.

Resources are allocated in the business on cost price

.

Owners give money for the business

.

Resources in the business are not equal to resources supplied by the owner and outsiders

Question No: 4 (Marks: 1) - Please choose one

Credit signifies:

.

Increase in asset account

.

Increase in liability account

.

Decrease in capital account

.

None of the given options

Question No: 5 (Marks: 1) - Please choose one

A business owned and run by **one** person is called:

.

Sole Proprietorship

.

Partnership

.

Limited Company

.

None of the given options

Question No: 6 (Marks: 1) - Please choose one

Any expenditure that benefits the business for several accounting years is regarded as:

.

Capital expenditure

.

Revenue expenditure

.

Revenue receipt

.

None of the given options

Question No: 7 (Marks: 1) - Please choose one

Which of the following option is true?

.

Increase in expense is Debit

.

Increase in asset is Debit

.

Increase in income is credit

.

All of the given options

Question No: 8 (Marks: 1) - Please choose one
The accounting equation is based on:

.

Dual aspect concept

.

Going concern concept

.

Business entity concept

.

None of the given options

Question No: 9 (Marks: 1) - Please choose one
The discount allowed by manufacturer or wholesaler at the time of selling goods to retailer as a deduction from the listed-price or catalogue price, is called as:

.

Trade discount

.

Cash discount

.

Commission

.

None of the given options

Question No: 10 (Marks: 1) - Please choose one
If the original cost of an asset is Rs. 2,000 then the written down value of asset after two years by using the diminishing balance method at the rate of 10% p.a. will be:

.

Rs. 1,600

.

Rs. 1,620

.

Rs. 380

.

None of the given options
Question No: 11 (Marks: 1) - Please choose one
Sales = Cost of goods sold + Gross profit.

.

True

.
False
Question No: 12 (Marks: 1) - Please choose one
Balance Sheet discloses the financial position of the business.
.
True
.
False
Question No: 13 (Marks: 1) - Please choose one
Budget is an Organization’s plan of future period expressed in money terms.
.
True
.
False
Question No: 14 (Marks: 1) - Please choose one
Cash Accounting is the accounting system in which events are recorded as and when they occur.
.
True
.
False
Question No: 15 (Marks: 1) - Please choose one
In double entry system of book keeping, every business transaction affects the same side of the same account.
.
True
.
False

Paper No 13
Solved by Chanda Rehman & ABr

FINALTERM EXAMINATION
fall 2008
MGT101- Financial Accounting (Session - 2)
Marks: 85
Question No: 1 (Marks: 1) - Please choose one
Liabilities of the members of the _____ is only limited to the capital introduce by member/s.
Partnership
Company
Sole proprietorship
None of the given options
Question No: 2 (Marks: 1) - Please choose one
A summarized record of transactions related to individuals or things is called a/an _____.

Account
Voucher
Journal
Trial balance
Question No: 3 (Marks: 1) - Please choose one

A book, in which receipts and payments are recorded, is known as:
Pass Book
Cash Book
Purchase Book
Sales Book
Question No: 4 (Marks: 1) - Please choose one
Which of the following period is known as a fiscal Year of the Government of Pakistan?
1 January to 31December
1June to 31May
1stJuly to 30thJune
1October to 30September
Question No: 5 (Marks: 1) - Please choose one
If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs.20,000 during the year. What would be the Net Profit?
Rs.15,000
Rs. 35,000
Rs. 55,000
Rs. 60,000
Question No: 6 (Marks: 1) - Please choose one
In which of the following condition a company will have positive working capital?
If current assets > current liabilities
If current Assets < current Liabilities
If current assets = current liabilities
If current assets <
current liabilities
Question No: 7 (Marks: 1) - Please choose one
Which of the following is
NOT
a type of voucher?
Journal Voucher
Receipt Voucher
Payment Voucher
Drawings Voucher
Question No: 8 (Marks: 1) - Please choose one
Partially completed products that are not yet ready for sale are known as:
Raw material
Work in process
Finished goods
Closing stock

Question No: 9 (Marks: 1) - Please choose one
Following are the inventories of Manufacturing Concern
EXCEPT
:
Raw material
Work in process
Finished goods
Merchandise inventory
Question No: 10 (Marks: 1) - Please choose one
If Cost of asset=Rs. 100,000, Residual Value (RV) = Rs. 20,000 and Life = 3 years, what will be the rate of depreciation?
10%
22%
42%
52%
Question No: 11 (Marks: 1) - Please choose one
The amount of depreciation charged on machinery will be debited to:
Machinery account
Depreciation account
Cash account
Capital account
Question No: 12 (Marks: 1) - Please choose one
Consider the following:
Beginning inventory 10 units @ Rs. 10 per unit
First purchase 35 units @ Rs. 11 per unit
Second purchase 40 units @ Rs. 12 per unit
Third purchase 20 units @ Rs. 13 per unit
Eighty-five units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?
Rs.260
Rs.232
Rs.284
Rs.268
Question No: 13 (Marks: 1) - Please choose one
Cash book is a part of:
Voucher
General Journal
General Ledger
Trial Balance
Question No: 14 (Marks: 1) - Please choose one
Consider the following data:
Particulars Rs.
Assets ?
Owner's equity 1,50,000
Liabilities 1,00,000
Rs. 49,000

Rs. 55,000
Rs. 50,000
Rs. 2, 50,000
Question No: 15 (Marks: 1) - Please choose one
Particulars Rs.
Opening written down value of machine 3,50,000
Cost of machine purchased during the year 50,000
Depreciation during the year 13,000
Closing written down value (WDV) of the
?
Machines
Rs. 3, 87,000
Rs. 4, 00,000
Rs. 4, 13,000
Rs. 63,000
Question No: 16 (Marks: 1) - Please choose one
Particulars Rs.
Opening written down value of machine 3,75,000
Cost of machine
50,000
Depreciation during the year 11,000
Closing written down value (WDV) of the Machines ?
Rs. 4, 14,000
Rs. 4, 25,000
Rs. 3, 86,000
Rs. 61,000
Question No: 17 (Marks: 1) - Please choose one
A Bank Reconciliation Statement is prepared to:
Ascertain that the difference between the Cash Book balance and the Bank Statement balance has been accounted for
Correct errors in the Cash Book or errors in the Bank Statement
Amend the balance of the Bank Statement of the firm
Amend the balance in the Cash Book of the firm
Question No: 18 (Marks: 1) - Please choose one
Bank Statement is a record of transactions between the bank and the holder of:
A foreign currency account
A current account
A saving account
All of the given options
Question No: 19 (Marks: 1) - Please choose one
Which one of the following transactions will cause the balance in Mr. Terry's Cash Book to be greater than his Bank Statement balance?
A cheque is drawn but not yet presented at the bank for payment
The bank has not yet notified to Mr. Terry about a dishonoured cheque
A credit transfer into Terry's Bank Account
A cheque payment of Rs.101 is recorded in the Cash Book as Rs.110

Question No: 20 (Marks: 1) - Please choose one
Which of the following account would be credited, when the bad debts are recovered?
Allowance for bad debts a/c
Bad debts recovered a/c
Doubtful debts a/c
Cash a/c
Question No: 21 (Marks: 1) - Please choose one
Consider the following data and identify the amount which will be shown in profit & loss account.
Particulars Rs.
Bad debts 1,600
Provision for doubtful debts (old) 2,000
Current year s provision (new) 800
Rs. 400
Rs. 800
Rs. 2,000
Rs. 2,400
Question No: 22 (Marks: 1) - Please choose one
Bad debts written off (given in adjustment) always affect the:
Debtors account
Creditors account
Cash account
Capital account
Question No: 23 (Marks: 1) - Please choose one

It is supposed that on 31
st
December, 2007, the sundry debtors are amounted to
Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account.
Rs. 3,600
Rs. 2,000
Rs. 1,600
Rs. 400
Question No: 24 (Marks: 1) - Please choose one
Which of the following is
(are)
included in Creditors Control Account?
Discount received from supplier
Credit purchases
Bills payable
All of the given options
Question No: 25 (Marks: 1) - Please choose one
Which of the following is (are) benefit/s of subsidiary ledger accounts to

business?
It tells about customer attitude of payments
It can be checked against the control account to pick up recording errors
It tells about the complete history of transactions of business client
All of the given options
Question No: 26 (Marks: 1) - Please choose one
Amount by which the purchaser (buyer) receives a reduction in price from the seller is known as:
Expense
Discount Allowed
Discount Received
Liability
Question No: 27 (Marks: 1) - Please choose one
Which of the following account(s) will be affected, while rectifying the error of carriage charges, paid for a new plant purchased mistakenly debited to carriage account?
Plant account
Carriage account
Both plant account and carriage account
Trading account
Question No: 28 (Marks: 1) - Please choose one
Which of the following account(s) will be affected, while rectifying the error of purchases return of Rs. 200 to Mr.P mistakenly entered in sales book?
P s account
Purchases return account
Sales account
Purchases returns account and sales account
Question No: 29 (Marks: 1) - Please choose one
Which of the following account(s) will be affected, while rectifying the error of sales Rs.100 to Mr. A recorded in the purchases book?
Sales account
Purchase account
A s account and Sales account
Sales account, purchase account and A s account
Question No: 30 (Marks: 1) - Please choose one
Which of the following account(s) will be affected, while rectifying the error of an amount Rs.200 received from Mr. P wrongly credited to Mr. Q s account?
Only Cash Account
Only P s account
Only Q s account
Both of Mr. P's & Mr.Q's Account
Question No: 31 (Marks: 1) - Please choose one
When one or both aspects of a transaction are recorded in the wrong class or category of account, this is called:
Error of principle
Error of omission

Error of commission
Error of original entry

Question No: 32 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.
Particulars Rs.
Bad debts 1,600
Provision for doubtful debts (old) 2,000
Current year s provision (new) 1,000
Rs. 600
Rs. 1,600
Rs. 2,000
Rs. 2,600
Question No: 33 (Marks: 1) - Please choose one
Following information are extracted from books of Mr. XYZ
Particulars Rs.
Closing value of stock 40,000
Bad Debts (Given in trial balance) 500
Old provisions (Given in trial balance) 700
Sundry Debtors (Given in trial balance) 44,500
Provision for doubtful debts be increases by 5%
What will be the amount of new provision
?
Rs. 2,225
Rs. 2,425
Rs. 1,925
Rs. 3,025
Question No: 34 (Marks: 1) - Please choose one
Following information are extracted from books of Mr. XYZ
Particulars Rs.
Bad Debts (Given in trial balance)
500
Old provisions (Given in trial balance)
700
Sundry Debtors (Given in trial balance) 44,800
If the Provision for doubtful debts has been increased by 5%, which amount of new provision will be shown in Profit & Loss Account?
Rs. 2,240
Rs. 2,425
Rs. 1,925
Rs. 3,025
Question No: 35 (Marks: 1) - Please choose one
The main objective of financial reporting is to provide:
Essential information to internal users of financial reports.

Useful economic information about the business to the external parties for sound financial decisions.
Information to internal users about the cash position of the business.
Information to the Securities Exchange Commission (SEC).
Question No: 36 (Marks: 1) - Please choose one
Which of the following accounts would be increased with a debit?
Contributed Capital
Retained Purchases returns account and sales account
Sales account, purchase account and A s account
Both of Mr. P's & Mr.Q's Account
Error of principle
Rs. 600
Rs. 2,225
Useful economic information about the business to the external parties for sound financial decisions.
Expenses
Earnings
Revenues
Expenses
Question No: 37 (Marks: 1) - Please choose one
Which of the following is
NOT
correct about income tax?
Different companies pay tax on different rates
It is treated as an expense and debited in Profit & Loss account
When financial statements are prepared, an estimate of expected tax liability is made
It is treated as an expense and credited in Profit & Loss account
Question No: 38 (Marks: 1) - Please choose one
Which of the following is
TRUE
about a merchandising company?
A merchandising company's business is to buy and sell products
A merchandising company must use the perpetual system to account for merchandising inventory
A merchandising company's business is to provide services
A Sugar Mill is an example of a merchandising company
Question No: 39 (Marks: 1) - Please choose one
Which of the following statement is
TRUE
about the partnership form of
business?
Partners must have to share their profits in equal proportion
Partners are personally liable for the liabilities of the business
Partnerships must make their accounts available to the general public
Partnership agreement in writing is called Partnership deed

Question No: 40 (Marks: 1) - Please choose one
In case of fixed capital accounts, other transactions such as Drawings and Profit etc. are recorded in a separate account that is called _____.
Fixed Capital Account
Current Account
Fluctuating Capital Account
Floating Capital Account
Question No: 41 (Marks: 1) - Please choose one
The charter of a company which defines the limitations and powers of the company is called:
The memorandum of association
Articles of association
Statutory report
Certificate of commencement
Question No: 42 (Marks: 1) - Please choose one
What are the effects on financial statements, if Rs. 6,000 transfer to general reserve is given in adjustment?
It will be treated in Income Statement only
It will be treated as current liability in balance sheet only
It will be treated in profit and loss appropriation account only
it will be treated in both profit and loss appropriation account and in the balance sheet
Question No: 43 (Marks: 1) - Please choose one
A firm may earn profit during an accounting period but have less money in the bank at the end of the period then it had at the beginning. Which of the followings, on its own, could explain this?
Not paying invoices received from creditors
The sale of fixed assets during the period
An increase in trade debtors over the course of the period
An increase in the depreciation charge relative to the previous accounting period
Question No: 44 (Marks: 1) - Please choose one
When preparing a cash flow statement, which of the following would be classified as a financing activity?
Salaries paid
Interest paid on a long-term bank loan
The cost of purchasing a patent
A new long-term loan taken out to finance the purchase of fixed assets
Question No: 45 (Marks: 1) - Please choose one
The balance sheet reported a beginning balance of Rs. 20,000 in Accounts Receivable and an ending balance of Rs. 15,000. Credit Sales of Rs. 200,000 were made during the year. Using this information, compute cash collected from customers.
Rs. 215,000
Rs. 195,000
Rs. 200,000

Rs. 205,000

Question No: 46 (Marks: 1) - Please choose one

Which of the following is a type of business formed under the Companies Ordinance 1984?

Sole-Proprietorship

Partnership

Joint Stock Company

All of the given options

Question No: 47 (Marks: 1) - Please choose one

Particulars Rs.

Debentures 1, 50, 000

Equity Capital 2, 00,000

General Reserve 90, 000

Accumulated profit 60,000

What is debt equity ratio ?

15: 20 (or 3:4)

15:24 (or 5: 8)

15:29

15:35 (or 3: 7)

Question No: 48 (Marks: 1) - Please choose one

If one partner receives a salary which is credited to him at the end of the year, the share of profit available for distribution will be:

Increased

Decreased

Unchanged

Changed and become negative

Question No: 49 (Marks: 1) - Please choose one

If company has distributable profit of Rs. 490,000, Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively. What will be the share of profit for Mr. A in distributable profit?

Rs. 98,000

Rs. 147,000

Rs. 245,000

Rs. 343,000

Question No: 50 (Marks: 1) - Please choose one

Wages outstanding given in the trial balance will be treated as a (an):

Asset

Liability

Revenue

Deferred expense

Question No: 51 (Marks: 5)

Calculate cost of goods sold with he help of given data.

Particulars Rs.

Purchases 418,000

Carriage inwards 7,900

Discount Allowed 750

debtors 16,000
Sales man commission 2,000
Office expenses 2,000
Carriage outwards 1,700
Salaries 13,000
Direct labor 3,825
FOH 2,100
Plant & Machinery 53,000
Buildings 35,000
Tools 8,650
Helping data:
Plant & Machinery depreciate @ 10% and charged to FOH
Buildings depreciate @ 5% and 40% charged to Administrative expenses and balancing to FOH
40% of salaries will be charge to office and balance to Selling
Question No: 52 (Marks: 10)
Write down the at least ten distinguishing features of a limited company which differentiate it from sole proprietor business

Paper No: 14

SOLVED BY CHANDA REHMAN & ABr

FINALTERM EXAMINATION
Fall 2008
MGT101- Financial Accounting (Session - 1)
Marks: 85

Question No: 1 (Marks: 1) - Please choose one
An organization operating with the objective of making profit from the sale of goods or services is called:
Transaction
Business
Society
Trust

Question No: 2 (Marks: 1) - Please choose one
Net Profit =? - Expenses
Liabilities
Assets
Capital
Income

Question No: 3 (Marks: 1) - Please choose one
The basic accounting principle/concept according to which Business is independent from its owner(s) is known as:
Separate Entity Concept
Matching Concept
Going Concern Concept
Materiality Concept

Question No: 4 (Marks: 1) - Please choose one
Which of the following account/s will be affected under the rule of accrual

accounting, when furniture is purchased on cash?
Only Cash Account
Only Furniture Account
Cash & Furniture Account
Only Purchases Account
Question No: 5 (Marks: 1) - Please choose one
Documentary evidence, in a specific format used to record the details of a transaction is known as:
Account
Voucher
Journal
Ledger
Question No: 6 (Marks: 1) - Please choose one
Accounts Receivable & Inventory are the examples of:
Liquid assets
Current assets
Fixed assets
Capital assets
Question No: 7 (Marks: 1) - Please choose one
Which one of the following statement is CORRECT about Long term liabilities?
These are due within one year
These are consist of all debts, payable after 12 months
In working capital, these are deducted from current assets
All of the given options
Question No: 8 (Marks: 1) - Please choose one
Which of the following is an example of a Current liability?
Closing inventory
Opening inventory
Petty cash
Bank overdraft
Question No: 9 (Marks: 1) - Please choose one
If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs. 20,000 during the year, what would be the value of Gross Profit?
Rs. 15,000
Rs. 35,000
Rs. 55,000
Rs. 60,000
Question No: 10 (Marks: 1) - Please choose one
The stock of manufacturing concern consists of:
Work in Process Inventory
Raw Materials Inventory
Finished Goods Inventory
All of the given options
Question No: 11 (Marks: 1) - Please choose one
Which of the following account will be debited, when the labor cost is charged to production?

Finished goods account
Labor cost account
Work in process account
COGFactor over head account
Question No: 12 (Marks: 1) - Please choose one
Find out the missing value of an Accounting Equation with the help of given data:
Cash Rs. 22,500
Debtors Rs. 500
Total Assets Rs. 80, 385
Accounts payable Rs. 1,000
Total liabilities Rs. 20,000:

Rs. 60,385 owner s equity
Rs. 61,385 owner s equity
Rs. 99,885 owner s equity
Rs. 99,385 owner s equity
Question No: 13 (Marks: 1) - Please choose one
Consider the following data:
Particulars Rs.
Assets 8,20,000
Owner's equity 3,80,000
Liabilities ?
Rs. 1, 98,000
Rs. 49,000
Rs. 55,000
Rs. 4, 40,000
Question No: 14 (Marks: 1) - Please choose one
Particulars Rs.
Opening written down value of machine 3,75,000
Cost of machine
50,000
Depreciation during the year 11,000
Closing written down value (WDV) of the Machines ?
Rs. 4, 14,000
Rs. 4, 25,000
Rs. 3, 86,000
Rs. 61,000
Question No: 15 (Marks: 1) - Please choose one
Which of the following is NOT a characteristic of Joint Stock Company?
Separate Legal Entity
Limited Liability
Easy Formation
Common Seal
Question No: 16 (Marks: 1) - Please choose one
Which of the following account would be credited, when the bad debts are recovered?

Allowance for bad debts a/c
Bad debts recovered a/c
Doubtful debts a/c
Cash a/c
Question No: 17 (Marks: 1) - Please choose one
Which of the following account will be debited, when the bad debts are recovered?
Bad debt recovered a/c
Cash a/c
Doubtful debts a/c
Bad debts a/c
Question No: 18 (Marks: 1) - Please choose one
Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	800
Sundry Debtors (Given in trial balance)	44,500

Provision for doubtful debts @ 5%
Which amount of new provision will be deducted from Sundry Debtors ?
Rs. 2,225
Rs. 2,525
Rs. 1,925
Rs. 3,025
Question No: 19 (Marks: 1) - Please choose one
It is supposed that on 31-12-2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. It is also suppose that during the year 2008 actual bad debts were Rs. 1,600. What entry will pass to create provision for doubtful debts?
Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)
Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)
Provision for doubtful debts a/c Rs. 1,600 (Dr) & Profit & Loss a/c Rs. 1,600 (Cr)
Profit & Loss a/c Rs. 1,600 (Dr) & Provision for doubtful debts a/c Rs. 1,600 (Cr)
Question No: 20 (Marks: 1) - Please choose one
Consider the following data:

Provision created in 2006
Rs. 2,500
Bad debts in 2007
Rs. 1,500

Sundry debtors on 31-12- 2007 were Rs. 40,000 and provision is created @ 5%.

Which journal entry is Correct for the provision for doubtful debts for the year 2007.
Provision for doubtful debts a/c Rs. 1,000 (Dr) & Profit & Loss a/c Rs. 1,000 (Cr)
Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)
Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)
Profit & Loss a/c Rs. 1,000 (Dr) & Provision for doubtful debts a/c Rs. 1,000 (Cr)
Question No: 21 (Marks: 1) - Please choose one
Which of the following is/are the item/s of a Control Account?
Credit sale only
Cash sale only
Credit purchase only
Both Credit sales and Credit purchase
Question No: 22 (Marks: 1) - Please choose one
Which of the following is a detailed record of an individual account in case of large business?
Control Account
Subsidiary Ledger
Balance Sheet
Trial Balance
Question No: 23 (Marks: 1) - Please choose one
Which of the following entry is passed to record discount allowed in control account?
Discount Allowed (Dr) and Debtors Control A/c (Cr)
Discount Allowed (Dr) and
Debtors A/c (Cr)
Debtors Control A/c (Dr) and
Discount Allowed (Cr)
Debtors A/c (Dr) and
Discount Allowed (Cr)
Question No: 24 (Marks: 1) - Please choose one
Which of the following entry will be passed to record discount received in control account?
Discount Received (Dr) and Creditors Control A/c (Cr)
Discount Received
(Dr) and Creditors A/c (Cr)
Creditors Control A/c (Dr) and Discount Received (Cr)
Creditors A/c (Dr) and Discount Received
(Cr)
Question No: 25 (Marks: 1) - Please choose one
A receipt of cash Rs. 10,000 from Mr. Bilal is recorded as Rs. 1,000. What amount will be adjusted in rectifying entry?
Rs. 1,000

Rs. 9,000
Rs. 10,000
Rs. 11,000
Question No: 26 (Marks: 1) - Please choose one
Which of the following account(s) will be affected, while rectifying the error of Sale to Mr. A Rs. 336 was not recorded at all?
Only sales account
Only A s account
Only cash account
Both sales account and A s account
Question No: 27 (Marks: 1) - Please choose one
Which of the following entry will be recorded, if a cheque deposited is dishonored by bank?
Bank Account (Dr.) and Debtor's Account (Cr.)
Debtor's Account (Dr.) and Bank Account (Cr.)
Dishonored Cheque Account (Dr.) and Bank Account (Cr.)
Creditor's Account (Dr.) and Bank Account (Cr.)
Question No: 28 (Marks: 1) - Please choose one
Consider the following data and identify the amount which will be shown in profit & loss account.
Particulars Rs.
Bad debts 1,600
Provision for doubtful debts (old) 2,000
Current year s provision (new) 1,000
Rs. 600
Rs. 1,600
Rs. 2,000
Rs. 2,600
Question No: 29 (Marks: 1) - Please choose one
Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.
Particulars Rs.
Bad debts (from trial balance) 1,600
Provision for doubtful debts (old) 2,000
Current year s provision (new) 1,000
Rs. 600
Rs. 1,000
Rs. 2,000
Rs. 2,600
Question No: 30 (Marks: 1) - Please choose one
If (Amount of new provision + Amount of bad debts) < Amount of old provision then amount will be shown on:
Debit side of P & L account
Credit side of P & L account
Asset side of Balance Sheet
Liability side of Balance Sheet

Question No: 31 (Marks: 1) - Please choose one
The main objective of financial reporting is to provide:
Essential information to internal users of financial reports.
Useful economic information about the business to the external parties for sound financial decisions.
Information to internal users about the cash position of the business.
Information to the Securities Exchange Commission (SEC).
Question No: 32 (Marks: 1) - Please choose one
Which of the following is NOT an item of cost of goods sold statement?
Purchase of raw material
Any tax/freight paid on purchases
Salaries paid to accountant
Any expense incurred on carriage/transportation of raw material purchased items
Question No: 33 (Marks: 1) - Please choose one
Which of the following would
NOT
be considered as a component of 'cost' of
stock?
Salaries of selling staff
Transportation inward costs
Import duties
Purchase price
Question No: 34 (Marks: 1) - Please choose one
Which of the following account is affected from the Drawings of cash in sole-proprietorship business?
Capital account
Shareholder account
Liability account
Expense account
Question No: 35 (Marks: 1) - Please choose one
Which of the following journal entry will be recorded, if cash is drawn by a Proprietor?
Proprietor s drawings a/c (Dr.) and Cash a/c (Cr.)
Cash a/c (Dr.) and Proprietor s drawings a/c (Cr.)
Proprietor s Capital (Dr.) and Proprietor s drawings a/c (Cr.)
Proprietor s drawings (Dr.) and Proprietor s Capital a/c (Cr.)
Question No: 36 (Marks: 1) - Please choose one
Which of the following is/areNOT shown in balance sheet of sole proprietor?
Fixed assets
Current liabilities
Profit sharing ratio
Long term assets
Question No: 37 (Marks: 1) - Please choose one
Which of the following statements isNOT TRUEabout the partnership form of business?

A partnership is a business run by two or more persons
A partnership business is easy to set up
Each partner is liable under the law for the actions of other partners
In the absence of agreement, partners will be paid salaries
Question No: 38 (Marks: 1) - Please choose one
Which of the following account will be credited when interest on capital is charged against the distribution of profit?
Interest account
Partner s capital account
Profit and Loss account
Profit and loss appropriation account
Question No: 39 (Marks: 1) - Please choose one
Which of the following account will be debited when the interest on drawings is charged?
Partner s capital account
Interest account
Partner s current account
Profit & Loss account
Question No: 40 (Marks: 1) - Please choose one
When the capitals are fixed, which of the following account will be debited for drawings made by a partner?
Individual Partner s Current Account
Partner s Cash Account
Partner s Bank Account
Partners Capital Account
Question No: 41 (Marks: 1) - Please choose one
Which of the following is (are) type(s) of Public Limited Companies?
Listed company
Non listed company
Private limited company
Both Listed Company and non listed company
Question No: 42 (Marks: 1) - Please choose one
The maximum amount with which the company is registered is called:
Authorized Share Capital
Issued Share Capital
Paid up capital
Called up capital
Question No: 43 (Marks: 1) - Please choose one
In which of the following, the Interest paid on debenture will be shown?
Profit and loss account
Profit and loss appropriation account
Balance sheet asset side under the heading of current assets
Trading Account
Question No: 44 (Marks: 1) - Please choose one
In which of the following interim dividend is treated?
In profit and Loss account

In profit and Loss appropriation account
On the asset side of the Balance Sheet
In trading account
Question No: 45 (Marks: 1) - Please choose one
Which of the following is (are) NOT example(s) of distributable profit?
General reserve
Accumulated profit and loss (credit balance)
Revaluation reserves not sure
None of the given options
Question No: 46 (Marks: 1) - Please choose one
The primary purpose of preparing a cash flow statement for an entity is to provide information about:
Its financial position at the end of an accounting period
Its cash receipts and cash payments during an accounting period
Its financial position at the start of an accounting period
None of the given options
Question No: 47 (Marks: 1) - Please choose one
When preparing a cash flow statement, which of the following would be classified as a financing activity?
Salaries paid
Interest paid on a long-term bank loan
The cost of purchasing a patent
A new long-term loan taken out to finance the purchase of fixed assets
Question No: 48 (Marks: 1) - Please choose one
Which of the following isCORRECT?
A cash inflow means increase total cash only
A cash inflow means increase in cash equivalent only
A cash inflow means increase in cash and decrease in cash equivalent
A cash inflow means increase in both cash and cash equivalent
Question No: 49 (Marks: 1) - Please choose one
What types of changes (is) are made at the admission of partner in partnership?
Assets of old business will be revalued
Liabilities of old business will be revalued
Good will of business will be revalued
All of the given options
Question No: 50 (Marks: 1) - Please choose one
If company has distributable profit of Rs. 490,000, Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively. What will be the share of profit for Mr. A in distributable profit?
Rs. 98,000
Rs. 147,000
Rs. 245,000
Rs. 343,000
Question No: 51 (Marks: 5)
1,00,000
Additional information

The authorized capital is Rs. 50, 00,000 divided into 500,000 shares of Rs. 10 each. Issued and paid up capital 2, 500,000.
You are required to prepare calculate Share holders equity
Question No: 52 (Marks: 10)
Pass the rectifying entries to correct the following errors:
(1) Mr. Ali purchased goods of Rs. 1,500 on cash, but omitted to enter in the books of accounts.
(2) An amount of Rs. 5,000 received from Mr. Amir, was credited to the account of Mr. Ameer.
(3) Goods returned worth Rs. 500 to Mr. B wrongly debited to sales Account.
(4) A purchase of goods from Mr. B of Rs. 400 has been wrongly debited to Furniture Account.
(5) Furniture purchased on cash Rs. 8,000 posted as purchases.

Paper No:25
Solved by Chanda Rehman & ABr

FINALTERM EXAMINATION
Fall 2008
MGT101- Financial Accounting (Session - 1)
Marks: 85

Question No: 1 (Marks: 1) - Please choose one
The area of accounting concerned with reporting financial information to the interested parties is called:
Cost Accounting
Financial Accounting
Management Accounting
Tax Accounting

Question No: 2 (Marks: 1) - Please choose one
when income exceeds expenses in a specific time period is known as:
Savings
Net profit
Gross profit
Operating profit

Question No: 3 (Marks: 1) - Please choose one
Net Profit =? - Expenses
Liabilities
Assets
Capital
Income

Question No: 4 (Marks: 1) - Please choose one
Economic resources owned by a business and expected to benefit for the future operations are called:
Expenses
Assets
Capital
Liabilities

Question No: 5 (Marks: 1) - Please choose one
Mr. A provided the following information from his books of accounts at the end of the month.
Particulars Rs.Cash 100
Accounts Receivable 500
Accounts Payable 200
Bank Loans 1,000
Based on the information provided, what are Mr. A s total liabilities?
Rs.200
Rs. 900
Rs. 1200
Rs. 1700

Question No: 6 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 90,000 and operating expenses are Rs. 25,000 during the year. What would be the Net Profit?
Rs. 5,000
Rs. 25,000
Rs. 55,000
Rs. 60,000

Question No: 7 (Marks: 1) - Please choose one
If cost of sales is Rs. 95,000, sales are Rs. 200,000 and operating expenses are Rs. 100,000. What will be the net result?
Rs. 5,000 Loss
Rs. 5, 000 Profit
Rs.1, 95,000 Profit

Rs.1, 95,000 Loss

Question No: 8 (Marks: 1) - Please choose one
If the Company ABC has current assets Rs. 100,000, current liabilities Rs. 75,000 and fixed assets Rs. 200,000, what would be the value of working capital?
Rs. 25,000
Rs. 1, 00,000
Rs. 1, 75,000
Rs. 3, 00,000
Question No: 9 (Marks: 1) - Please choose one
Which of the following is
NOT
a type of voucher?
Journal Voucher
Receipt Voucher
Payment Voucher
Drawings Voucher

Question No: 10 (Marks: 1) - Please choose one
What would be the value of 'cost of goods manufactured' if the total factory cost of the month is Rs. 6,000, opening work in process is Rs. 2,000 and the closing work in process is Rs. 2,500?
Rs. 5,500
Rs. 8,000
Rs. 4,500
Rs. 8,500

Question No: 11 (Marks: 1) - Please choose one
Which of the following asset is NOT depreciated?
Factory Buildings
Office Equipment
Plant & Machinery
Land

Question No: 12 (Marks: 1) - Please choose one
Accounting is the language of:
Business
School
Proprietor
Management

Question No: 13 (Marks: 1) - Please choose one
Increase in an asset is recorded on the:
Left or credit side of the account
Right or debit side of the account
Left or debit side of the account
Right or credit side of the account

Question No: 14 (Marks: 1) - Please choose one
Particulars Rs.
Opening written down value of machine Rs. 2,00,000
Cost of new machine purchased during the year Rs. 50,000
Depreciation during the year Rs. 25,000
Closing written down value (WDV) of machines ?
Rs. 2, 25,000
Rs. 2, 50,000
Rs. 2, 75,000
Rs. 75,000
Question No: 15 (Marks: 1) - Please choose one
Particulars Rs.
Opening written down value of machine 4,00,000

Cost of machine purchased during the year 50,000
Depreciation during the year 20,000
closing written down value (WDV) of the Machines
?
Rs. 4, 30,000
Rs. 4, 50,000
Rs. 4, 70,000
Rs. 70,000

Question No: 16 (Marks: 1) - Please choose one

Which of the following is NOT a function of bank reconciliation statement?

To reconcile the difference between the cash book and the bank statement
To check for errors in balance sheet
To update omitted entries into the cash book
To update omitted entries into the bank statement

Question No: 17 (Marks: 1) - Please choose one

Which of the following account would be credited, when the bad debts are recovered?

Allowance for bad debts a/c
Bad debts recovered a/c
Doubtful debts a/c
Cash a/c

Question No: 18 (Marks: 1) - Please choose one

In which of the following condition(s) DEBT is regarded as BAD

.Bankruptcy of the debtor
Disappearance of debtor s business
Failure of repeated attempt to collect the debt
All of the given options

Question No: 19 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars Rs.
Bad debts 3,600
Provision for doubtful debts (old) 6,000
Current year s provision (new) 1,500

Rs. (5,100)
Rs. 5,100
Rs. 900
Rs. (900)

Question No: 20 (Marks: 1) - Please choose one
Bad debts written off (given in adjustment) always affect the:
Debtors account
Creditors account
Cash account
Capital account

Question No: 21 (Marks: 1) - Please choose one
It is supposed that on 31December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the

sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account.
Rs. 3,600
Rs. 2,000
Rs. 1,600
Rs. 400

Question No: 22 (Marks: 1) - Please choose one
Consider the following data:
Provision created in 2006
Rs. 2,500
Bad debts in 2007
Rs. 1,500
Sundry debtors on 31-12- 2007 were Rs. 40,000 and provision is created @ 5%.
Which journal entry is Correct for the provision for doubtful debts for the year 2007.
Provision for doubtful debts a/c Rs. 1,000 (Dr) & Profit & Loss a/c Rs. 1,000 (Cr)
Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)
Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)
Profit & Loss a/c Rs. 1,000 (Dr) & Provision for doubtful debts a/c Rs. 1,000 (Cr)

Question No: 23 (Marks: 1) - Please choose one
Which of the following is an item of a debtors control account?
Cash sale
Credit sales
Credit purchase
Cash purchases

Question No: 24 (Marks: 1) - Please choose one
Which of the following is NOT included in Debtors Control Account?
Cash sales
Credit sales
Bills receivable
Discount allowed

Question No: 25 (Marks: 1) - Please choose one
If provision is created for doubtful debts, which of the following entry will be passed to record bad debts in control account?
Bade debts (Dr) and Debtors Control A/c (Cr)
Provision for doubtful debts (Dr) and Debtors Control A/c (Cr)
Provision for doubtful debts (Dr) and Debtors A/c (Cr)
Debtors Control A/c (Dr) and Provision for doubtful debts (Cr)

Question No: 26 (Marks: 1) - Please choose one
Which of the following account(s) will be affected, while rectifying the error of sales to Rahim Rs. 336 posted to his account as Rs. 363?
Sales account
Rahim s account
Cash account
Both sales and Rahim s Account

Question No: 27 (Marks: 1) - Please choose one
When one or both aspects of a transaction are recorded in the wrong class or category of account, this is called:
Error of principle

Error of omission
Error of commission
Error of original entry

Question No: 28 (Marks: 1) - Please choose one
Which of the following is the first phase of the typical operating cycle?
Receive cash from customers
Pay cash to suppliers
Sell goods and services to customers
Purchase goods and services

(In the first phase of the operating cycle a business, unless it is a service business, buys inventory and materials which they will resel to customers.)

Question No: 29 (Marks: 1) - Please choose one
Which of the following is normally treated as the last expense listed in the income statement of a company?

General and administrative expenses
Salaries and wages expense
Income tax expense
Interest expense

Question No: 30 (Marks: 1) - Please choose one
Which of the following would NOT be considered as a component of 'cost' of stock?
Salaries of selling staff
Transportation inward costs
Import duties
Purchase price

Question No: 31 (Marks: 1) - Please choose one
Regardless of how long it takes to produce and sell , inventory is always considered to be a:
current liability
long-term asset
stockholders' equity
current asset

Question No: 32 (Marks: 1) - Please choose one
Which of the following is/are NOT shown in balance sheet of sole proprietor?
Fixed assets
Current liabilities
Profit sharing ratio
Long term assets

Question No: 33 (Marks: 1) - Please choose one
What will the effects on financial statements, if machinery is depreciated @ 10%?
It will be treated as an expense in income statement only
It will be subtracted from concerned asset only
It will be treated as a current asset only
It will be treated as an expense in income statement and subtracted from concerned assets in Balance Sheet

Question No: 34 (Marks: 1) - Please choose one
Which of the following statement is TRUE about the Accounts receivable?
Accounts receivable arises when a company buys goods or services from another party on credit
Accounts receivable is a miscellaneous category that may include loans to employees
Accounts receivable are more formal than notes receivable
Accounts receivable are often called trade receivables

Question No: 35 (Marks: 1) - Please choose one
Which of the following statement is TRUE about the partnership form of business?
Partners must have to share their profits in equal proportion
Partners are personally liable for the liabilities of the business
Partnerships must make their accounts available to the general public
Partnership agreement in writing is called Partnership deed

Question No: 36 (Marks: 1) - Please choose one
Which of the following represents the relationship between persons who have agreed to share the profit of business carried on by all or any of them acting for all?
Sole-ownership
Private limited company
Public limited company
Partnership

Question No: 37 (Marks: 1) - Please choose one
When the capitals are fixed, which of the following account will be debited for drawings made by a partner?
Individual Partner s Current Account
Partner s Cash Account
Partner s Bank Account
Partners Capital Account

Question No: 38 (Marks: 1) - Please choose one
Which of the following clause/s are discussed in Memorandum of Association of Companies?
Name of company
Place of registered office of company
Objective of the company
All of the given options

Question No: 39 (Marks: 1) - Please choose one
Preliminary Expenses of the company may write off against:
Share premium account
Share holder account
Debtors control account
Creditor control account

Question No: 40 (Marks: 1) - Please choose one
A _____ business is one in which income is generated by the resale of bought Products.
Manufacturing
Merchandising
Sole Proprietorship
Partnership
Question No: 41 (Marks: 1) - Please choose one

Which of the following documents contains rules and regulations for internal management of the company?
Memorandum of Association
Articles of Association
Prospectus
Statutory Declaration

Question No: 42 (Marks: 1) - Please choose one

What are the effects on financial statements, if provision for Income Tax to be made Rs. 12,000 is given in adjustment?
It will be deducted in Income Statement only

It will be treated as current liability in balance sheet only
It will be treated as current asset in balance sheet only
Both it will be deducted in income statement and it will be treated as current liability in balance sheet

Question No: 43 (Marks: 1) - Please choose one
A firm may earn profit during an accounting period but have less money in the bank at the end of the period then it had at the beginning. Which of the followings, on its own, could explain this?
Not paying invoices received from creditors
The sale of fixed assets during the period
An increase in trade debtors over the course of the period
An increase in the depreciation charge relative to the previous accounting Period doubted

Question No: 44 (Marks: 1) - Please choose one
Which of the given Asset is Not included in the calculation acid test ratio?
Stock
Cash
Debtors
Bills Receivable

Question No: 45 (Marks: 1) - Please choose one
When the current Ratio is 2: 5 and the amount of Current Liabilities is Rs. 25,000. What will be the amount of Current Assets?
Rs. 62,500
Rs. 12,500
Rs. 10,000 (2 * 25000/5 = 10000)
Cannot be calculated with the help of given data

Question No: 46 (Marks: 1) - Please choose one
If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. B in distributable profit.
Rs. 98,000
Rs. 1, 47,000
Rs. 2, 45,000
Rs. 3, 43,000

Question No: 47 (Marks: 1) - Please choose one
If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. C in distributable profit.
Rs. 98,000
Rs. 1, 47,000
Rs. 2, 45,000
Rs. 3, 43,000

Question No: 48 (Marks: 1) - Please choose one
The net income calculated in the income statement for the accounting period is reported on:
Bank Statement
Statement of retained earnings
Statement of cash flows
None of the given options

Question No: 49 (Marks: 1) - Please choose one
A company declares a cash dividend to be paid to its stockholders next month. The effect of the transaction is to:
Decrease assets and liabilities.
Increase assets and stockholders' equity.

Decrease assets and stockholders' equity.
Increase liabilities and decrease stockholders' equity.

Question No: 50 (Marks: 1) - Please choose one
Which of the following item will be credited in capital account of sole proprietor?
Cash
Drawings
Debtors
Profit

Question No: 51 (Marks: 5)
Describe the following terms.
Error of principle
Error of omission
Error of commission
Error of original entry

Question No: 52 (Marks: 10)
The following discrepancies were noted on comparing Cash Book with Pass Book.
1. Balance as per Cash Book (Cr) is Rs. 19,000.
2. Cheque for Rs. 5,000 paid into the bank for collection on 20
th
March, 2008
has not yet been collected.
3. Cheques for Rs. 15,000 Issued on 24
March, 2008, out of which
th
Cheques for Rs. 10,000 presented during March, 2008
4. An amount of Rs. 1,000 for interest on overdraft was debited in the Pass Book but was intimated to Mr. David on 4
th
April, 2008.
5. Mr. David paid into his bank account an amount of Rs. 3,000 but it was wrongly credited to Mr. Denial s Account.
6. On 20th March, 2008 the bank received dividend of Rs. 10,000 from a company where Mr. David's has invested his money, the same had been recorded in Cash Book on 31st March, 2008.
7. Cheque of Rs. 2,500 was shown in Pass Book as dishonored.
Required:
Prepare a Bank Reconciliation Statement as on 31
March, 2008
st
Question No: 53 (Marks: 10)
On 01-01-2007, the provision for doubtful debts a/c stood at Rs. 12,000 (credit balance). In 2007, the bad debts during the year are amounted to Rs. 10,000. The debtors on 31-12-2007 are amounted to Rs. 3, 20,000 and a provision for doubtful debt to be maintained @ 5%.
Required:
Show Journal entries and necessary accounts. Also show how the items will appear in Profit and Loss account and Balance sheet

Paper No:26

Solved by Chanda Rehman & ABr

FINALTERM EXAMINATION
Fall 2008
MGT101- Financial Accounting (Session - 1)
Marks: 85

Question No: 1 (Marks: 1) - Please choose one
An accounting system is used by a business to:
Analyze transactions
Handle routine book-keeping tasks
Structure information
All of the given options

Question No: 2 (Marks: 1) - Please choose one
We can say that the business is in profit, when:
Assets exceed Expenditure
Assets exceed Liabilities
Income exceeds Expenditure
Income exceeds Liabilities
Question No: 3 (Marks: 1) - Please choose one
Accounts Receivable & Inventory are the examples of:
Liquid assets
Current assets
Fixed assets
Capital assets
Question No: 4 (Marks: 1) - Please choose one
Which of the following account will be credited in the books of ABC Co. Ltd., if furniture is purchased on cash?
Furniture account
Cash account
Business account
Bank account
Question No: 5 (Marks: 1) - Please choose one
Which of the following account will be credited, if business sold goods for Rs.10,000 on credit?
Cash account
Sales account
Accounts receivable account
Purchases account
Question No: 6 (Marks: 1) - Please choose one
If Cost of asset=Rs. 100,000, Residual Value (RV) = Rs. 20,000 and Life = 3 years, what will be the rate of depreciation?
10%
22%
42%
52% (Rate = 1 – n√ RV / C

Where:

“RV” = Residual Value

“C” = Cost

“n” = Life of Asset

Calculate the rate if:
Cost = 100,000

Residual Value (RV) = 20,000

Life = 3 years

Rate = 1 – 3 √20000/100000

= 42%)
Question No: 7 (Marks: 1) - Please choose one
Consider the following inventory record:
Date Item
Quantity
Cost/Unit
Total
2007Jan. 2
Opening

100 Rs.18.00
Rs.1,800
inventory
Mar. 4
Purchase 400 19.00
7,600
May 8
Purchase 800 20.00
16,000
Nov. 3
Purchase 500 21.00
10,500
Four hundred units are unsold, Use the FIFO method of inventory costing and determine the value assigned to the 400 units on hand at the end of the period.
Rs.7, 500
Rs.7, 978
Rs.8, 000
Rs.8, 400

Question No: 8 (Marks: 1) - Please choose one
If you start with cash book favorable balance in Bank Reconciliation Statement, which item will be added?

Cheque deposited but not credited by the bank
Cheques omitted to be deposited into bank
Any amount directly collected by bank on behalf of customer but not recorded in cash book
Debit side of cash book was overcast

Question No: 9 (Marks: 1) - Please choose one
Bank Reconciliation Statement is:
A memorandum statement
A ledger account
A part of cash book
A part of journal
Question No: 10 (Marks: 1) - Please choose one
Accountancy covers which of the following area(s):
Book-keeping
Accounting
Auditing
All of the given options
Question No: 11 (Marks: 1) - Please choose one
Find out the missing value of an Accounting Equation with the help of given data:
Cash at bank Rs. 22,500
Other assets Rs. 1,000
Creditors Rs. 8,385
Other liabilities Rs. 9,000
Rs. 6,115 owner s equity
Rs. 31,885
owner s equity
Rs. 17,385
owner s equity
Rs. 18,385
owner s equity

Question No: 12 (Marks: 1) - Please choose one
Consider the following data:

Particulars Rs.
Assets 8,20,000
Owner's equity 3,80,000
Liabilities ?

Rs. 1, 98,000
Rs. 49,000
Rs. 55,000
Rs. 4, 40,000
Question No: 13 (Marks: 1) - Please choose one
Which of the following is
CORRECT
regarding depreciation?
It is a systematic allocation of depreciable amount of an asset over its estimated useful life
It refers to the end life of an asset
It refers to the increase in value of asset
It is another name of Impairment
Question No: 14 (Marks: 1) - Please choose one
Particulars Rs.
Opening written down value of machine 3,00,000
Cost of machine purchased during the year 50,000
Depreciation during the year 9,000
closing written down value (WDV) of the Machine ?
Rs. 3, 41,000
Rs. 3, 50,000
Rs. 3, 59,000
Rs. 59,000
Question No: 15 (Marks: 1) - Please choose one
Which one of the following is
NOT
true for Profit & Loss Account?
It shows whether a business has made a profit or loss over a financial year
It shows the financial performance of a business for the period
It shows revenues and expenses for the period
It is used to calculate surplus/deficit for a particular period
Question No: 16 (Marks: 1) - Please choose one
Which one of the following transactions will cause the balance in Mr. Terry's Cash Book to be greater than his Bank Statement balance?
A cheque is drawn but not yet presented at the bank for payment
The bank has not yet notified to Mr. Terry about a dishonoured cheque
A credit transfer into Terry's Bank Account
A cheque payment of Rs.101 is recorded in the Cash Book as Rs.110
Question No: 17 (Marks: 1) - Please choose one
An overdraft will appear as:
a debit balance in the both the bank statement and the cash book.
a credit balance in the bank statement but as a debit balance in the cash book.
a credit balance in the cash book but as a debit balance in the bank statement.
a credit balance in both the bank statement and the cash book.
Question No: 18 (Marks: 1) - Please choose one
Which of the following account would be credited, when the bad debts are recovered?
Allowance for bad debts a/c
Bad debts recovered a/c
Doubtful debts a/c
Cash a/c
Question No: 19 (Marks: 1) - Please choose one
Which of the following option is
TRUE
about the characteristic(s) of Bad Debt?
It is a definite loss to the business
It is not shown in Balance Sheet
No provision is necessary for it
All of the given options
Question No: 20 (Marks: 1) - Please choose one

If the
(New provision + Bad debts) > Amount of old provision
then resulting
figure will be shown at:
Debit side of Profit & Loss Account
Credit side of Profit & Loss Account
Asset side of Balance Sheet
Liability side of Balance Sheet
Question No: 21 (Marks: 1) - Please choose one
Which of the following entry will be recorded when the Bad Debts are recovered?
Cash account (Dr.) & Bad Debts recovered account (Cr.)
Accounts Receivable account (Dr.) & Bad Debts recovered account (Cr.)
Bad debts recovered account (Dr.) and Profit & Loss account (Cr.)
Provision for doubtful debts account (Dr.) & Cash account (Cr.)
Question No: 22 (Marks: 1) - Please choose one
Which of the following subsidiary book(s) is (are) maintained for debtors control account?
Sales Day Book
Sales Return
Debtors Ledger
All of the given options
Question No: 23 (Marks: 1) - Please choose one
Which of the following is an item of a debtors control account?
Cash sale
Credit sales
Credit purchase
Cash purchases
Question No: 24 (Marks: 1) - Please choose one
Which of the following is a detailed record of an individual account in case of large business?
Control Account
Subsidiary Ledger doubted
Balance Sheet
Trial Balance
Question No: 25 (Marks: 1) - Please choose one
Which of the following entry will be passed to record discount received in control account?
Discount Received (Dr) and Creditors Control A/c (Cr)
Discount Received
(Dr) and Creditors A/c (Cr)
Creditors Control A/c (Dr) and Discount Received (Cr)
Creditors A/c (Dr) and Discount Received
(Cr)
Question No: 26 (Marks: 1) - Please choose one
Which of the following account(s) will be affected, while rectifying the error of carriage charges, paid for a new plant purchased mistakenly debited to carriage account?
Plant account
Carriage account
Both plant account and carriage account
Trading account
Question No: 27 (Marks: 1) - Please choose one
Which of the following account(s) will be affected, while rectifying the error of sales Rs.100 to Mr. A recorded in the purchases book?
Sales account
Purchase account
A s account and Sales account
Sales account, purchase account and A s account
Question No: 28 (Marks: 1) - Please choose one
Which of the following account(s) will be affected, while rectifying the error of an amount Rs.200 received from Mr. P wrongly credited to Mr. Q s account?
Only Cash Account

Only P s account
Only Q s account
Both of Mr. P's & Mr.Q's Account
Question No: 29 (Marks: 1) - Please choose one
Which of the following entry will be recorded, if a cheque deposited is dishonored by bank?
Bank Account (Dr.) and Debtor's Account (Cr.)
Debtor's Account (Dr.) and Bank Account (Cr.)
Dishonored Cheque Account (Dr.) and Bank Account (Cr.)
Creditor's Account (Dr.) and Bank Account (Cr.)
Question No: 30 (Marks: 1) - Please choose one
It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be deducted from Sundry debtors?
Rs. 3,600
Rs. 4,000
Rs. 1,600
Rs. 2, 400
Question No: 31 (Marks: 1) - Please choose one
Following information are extracted from books of Mr. XYZ
Particulars Rs.
Closing value of stock 40,000
Bad Debts (Given in trial balance) 500
Old provisions (Given in trial balance) 700
Sundry Debtors (Given in trial balance) 44,500
Provision for doubtful debts be increases by 5%
What will be the amount of new provision
?
Rs. 2,225
Rs. 2,425
Rs. 1,925
Rs. 3,025
Question No: 32 (Marks: 1) - Please choose one
The main objective of financial reporting is to provide:
Essential information to internal users of financial reports.
Useful economic information about the business to the external parties for sound financial decisions.
Information to internal users about the cash position of the business.
Information to the Securities Exchange Commission (SEC).
Question No: 33 (Marks: 1) - Please choose one
Which of the following is
NOT correct about income tax?

Different companies pay tax on different rates
It is treated as an expense and debited in Profit & Loss account
When financial statements are prepared, an estimate of expected tax liability is made
It is treated as an expense and credited in Profit & Loss account
Question No: 34 (Marks: 1) - Please choose one
An asset is considered to be a current asset if:
It has been bought recently and was bought new and not used
It can be realized in cash or sold or consumed in the business within one year
It is a piece of new machinery that is expected to last for at least ten years
All of the given options
Question No: 35 (Marks: 1) - Please choose one
Which of the following item will be shown on debit side of capital account of sole proprietor?
Cash
Drawings
Debtors

Profit
Question No: 36 (Marks: 1) - Please choose one
In which type of a business, the owner and his business are considered same in the eyes of law?
Sole proprietorship
Public companies
Limited companies
Listed companies

Question No: 37 (Marks: 1) - Please choose one
When closing stock is given in trial balance, then it will effect:
Trading account only
Balance sheet only
Owner's equity only
Both Trading account and Balance sheet

Question No: 38 (Marks: 1) - Please choose one
Fixed Assets (WDV) + Working Capital =?
Total assets employed
Total liabilities
Total assets
Current assets

Question No: 39 (Marks: 1) - Please choose one
Which of the following statements is
NOT TRUE about the partnership form of business?

A partnership is a business run by two or more persons
A partnership business is easy to set up
Each partner is liable under the law for the actions of other partners
In the absence of agreement, partners will be paid salaries

Question No: 40 (Marks: 1) - Please choose one
Which of the following statement is
TRUE
about the partnership form of
business?
Partners must have to share their profits in equal proportion
Partners are personally liable for the liabilities of the business
Partnerships must make their accounts available to the general public
Partnership agreement in writing is called Partnership deed
Question No: 41 (Marks: 1) - Please choose one
Which of the following are the owners of a company?
Proprietors
Partners
Shareholders
Managers
Question No: 42 (Marks: 1) - Please choose one
The persons who sign articles and memorandum of the company and contribute in the initial share capital of the company are called:
Subscribers
Shareholders
Managers
Directors
Question No: 43 (Marks: 1) - Please choose one
A _____ business is one in which income is generated by the resale of bought Products.
Manufacturing
Merchandising
Sole Proprietorship
Partnership
Question No: 44 (Marks: 1) - Please choose one

In which of the following auditor s remuneration payable is shown?

In balance sheet under the head of current liabilities only
In balance sheet under the head of current assets only
In income statement under the administrative expense only
In both balance sheet under the head of current liabilities and income statement under the administrative expense

Question No: 45 (Marks: 1) - Please choose one
Which of the following document(s) define the relation of company with outside world?
Prospectus
Statutory Declaration
Memorandum of Association
Articles of Association
Question No: 46 (Marks: 1) - Please choose one
Which of the following is the most important document of the company?
Memorandum of Association
Articles of Association
Prospectus
Annual Report
Question No: 47 (Marks: 1) - Please choose one
What are the effects on financial statements, if Rs. 6,000 transfer to general reserve is given in adjustment?
It will be treated in Income Statement only
It will be treated as current liability in balance sheet only
It will be treated in profit and loss appropriation account only
it will be treated in both profit and loss appropriation account and in the balance sheet

Question No: 48 (Marks: 1) - Please choose one
Which of the following ratio tells about How a company would repays its loans
Mark up cover ratio
Acid test ratio
Current ratio
Debt Equity ratio
Question No: 49 (Marks: 1) - Please choose one
If company has distributable profit of Rs. 490,000, Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively. What will be the share of profit for Mr. A in distributable profit?
Rs. 98,000
Rs. 147,000
Rs. 245,000
Rs. 343,000
Question No: 50 (Marks: 1) - Please choose one
A company declares a cash dividend to be paid to its stockholders next month. The effect of the transaction is to:
Decrease assets and liabilities.
Increase assets and stockholders' equity.
Decrease assets and stockholders' equity.
Increase liabilities and decrease stockholders' equity.

Question No: 51 (Marks: 5)
You are required to pass rectifying entries of the following errors:
1. Received cash Rs. 500 from Mr. "B" entered as Rs. 300 in the cash book.
2. A cash sale of Rs. 600 has completely omitted to be recorded in the books.
3. Goods worth Rs. 200 were returned to Mr. Kamran but no entry was passed in the books.

Question No: 52 (Marks: 10)
Prepare profit & loss Appropriation account with the help of given data and show

capital accounts and current account in balance sheet for XY Z & Sons
Particulars Rs.
Net profit for the year 600,000
Opening balance of Capital X:400,000
Y: 250,000
Z: 300,000
Drawings during the year X: 100,000
Y: 150,000
Z: 125,000
Salaries are to be paid X: 12,000
Y:20,000
Z:15,000
Opening Balance of current
X: 50,000
account
Y: 60,000
Z: 45,000
Mark up rate on capital 5%
Mark up rate on drawings 5%
Profit sharing ratio for X:Y:Z 30: 25:45
It is assumed that no capital introduced during the year

Question No: 53 (Marks: 10)
Following information is extracted from the books of Mr. Ali and Mr. Babar for the year 2007.
Particulars Rs.
Fixed Asset at WDV 529,500
Material 31-12-2007 188,000
Work in process 31-12-2007 178,000
Finished Goods 31-12-2007 198,000
Debtors 160,000
Bank 7,000
Creditors 100,000
Expenses payable 15,000
Profit for the year A:80,000
B:70,000
Drawings for the year A:10,000
B:15,000
Capital A:400,000
B: 350,000
Current Account A: 13,000
B:10,000
Long term loans 2,27,500
You are required to prepare Balance Sheet as on 31
December 2007. Show
st
complete working.
Question No: 54 (Marks: 10)
The following errors have been discovered in the book of a Business Concern:
1. Wage of Rs. 500 paid for the installation of plant debited to Wages Account.
2. Purchases of Office Equipment Rs. 2,000 were recorded as regular purchases of business.
3. Credit sale of Rs. 600 to Kareem was wrongly debited to Kamran.
4. Rs. 200 drawn by the proprietor was treated as Trade Expenses.
5. Rs. 300 received as a Commission was wrongly credited to Sales Account.
Required:
Pass the rectifying entries only.

Paper no 27
Solved by Chanda Rehman & ABr

FINALTERM EXAMINATION
fall 2008
MGT101- Financial Accounting (Session - 2)
Marks: 85

Question No: 1 (Marks: 1) - Please choose one
The basic accounting principle/concept according to which Business is independent from its owner(s) is known as:
Separate Entity Concept
Matching Concept
Going Concern Concept
Materiality Concept

Question No: 2 (Marks: 1) - Please choose one
What would be the affect on the components of the accounting equation, if goods are purchased on cash?
Increase in cash and decrease in equity
Increase in cash and increase in goods
Increase in goods and decrease in cash
Increase in equipment and increase in equity

Question No: 3 (Marks: 1) - Please choose one
Which of the following is an example of business liability?
Land
Building
Cash
Capital

Question No: 4 (Marks: 1) - Please choose one
Which of the following journal entry will be recorded, if the goods are sold on credit to Mr. 'B'?
Mr. B / Accounts Receivable account (Dr) and Sales account (Cr)
Cash account (Dr) and sales account (Cr)
Sales account (Dr) and Mr. B / Accounts Receivable account (Cr)
Goods Sold account (Dr) and Mr. B / Accounts Receivable account (Cr)

Question No: 5 (Marks: 1) - Please choose one
Which of the following account will be credited, if the goods are sold on credit to Mr. Mahmood?
Cash account
Mr. Mahood account
Sales account
Purchases account

Question No: 6 (Marks: 1) - Please choose one
If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs. 20,000 during the year, what would be the value of Gross Profit?
Rs. 15,000
Rs. 35,000
Rs. 55,000
Rs. 60,000

Question No: 7 (Marks: 1) - Please choose one
Which one of the following is CORRECT about the closing stock?
It appears in the assets side of a balance sheet
It decreases the value of cost of goods sold
It becomes opening stock of next year
All of the given option

Question No: 8 (Marks: 1) - Please choose one
A decrease in value of a fixed asset due to age, wear and tear is known as:
Depreciation
Accumulated Depreciation
Appreciation
Written Down Value

Question No: 9 (Marks: 1) - Please choose one
Cost of asset Rs. 1,00,000
Life of asset 5 years
Depreciation for the each year Rs. 5,000
Sale price after 5 years Rs.15,000
Written Down Value of Asset on 5th year Rs. 75,000
Profit or loss on disposal of fixed asset?
Rs. 60,000 loss
Rs. 75,000 profit
Rs. 25,000 loss
Rs. 1, 00,000 profit

Question No: 10 (Marks: 1) - Please choose one
Particulars Rs.
Opening stock of raw material 100,000
Closing stock of raw material 80,000
Purchases of raw material during the 200, 000 period
Cost of Material Consumed
?
Rs. 205,000
Rs. 215,000
Rs. 220,000
Rs. 225,000

Question No: 11 (Marks: 1) - Please choose one
If you start with cash book balance (Dr.), which of the following item will be deducted in Bank Reconciliation Statement?
Any cheque drawn to creditor but not paid by bank
Interest credited by the bank in pass book
Cheque deposited but not credited by the bank
Dividend collected by bank on behalf of the customer

Question No: 12 (Marks: 1) - Please choose one
Unfavorable Bank Balance means:
Credit balance in cash book
Credit balance in pass book
Debit balance in cash book
All of the given options

Question No: 13 (Marks: 1) - Please choose one
Stock of Trading concern consists of:
Raw material
Work in process
Merchandise inventory
All of the given options

Question No: 14 (Marks: 1) - Please choose one
The allocation of the cost of a tangible plant asset to expense in the periods, in which services are received from the asset, is termed as:
Appreciation
Depreciation
Fluctuation
None of the given options

Question No: 15 (Marks: 1) - Please choose one
Depreciable value of an asset is equal to:
Cost + scrap value
Cost + market price
Cost scrap value
None of the given options

Question No: 16 (Marks: 1) - Please choose one
Which of the following is NOT a function of bank reconciliation statement?
To reconcile the difference between the cash book and the bank statement
To check for errors in balance sheet
To update omitted entries into the cash book
To update omitted entries into the bank statement

Question No: 17 (Marks: 1) - Please choose one
Which of the following would be deducted from Sundry Debtors in Balance Sheet?
Bad debts (Trial balance item)
Old provision for doubtful debts
New provision for doubtful debts
Both Bad debts (given in adjustment) and new provision for doubtful debts

Question No: 18 (Marks: 1) - Please choose one
Which of the following subsidiary book(s) is (are) maintained for debtors control account?
Sales Day Book
Sales Return
Debtors Ledger
All of the given options

Question No: 19 (Marks: 1) - Please choose one
A sum of Rs. 200 written off as bad debt now received credited to the account of debtor would:
Increase the net profit by Rs.200
Decrease the profit by Rs.200
Remains constant and no effect on net profit
There is no relation between debtor and profit

Question No: 20 (Marks: 1) - Please choose one
Goods purchased from Mr. A for Rs. 2,000 passed through the sales book. The rectification of error will result in:
Increase of gross profit
Decrease of gross profit
Remains constant and no effect on net profit
There is no relation between goods purchased and gross profit

Question No: 21 (Marks: 1) - Please choose one
Which of the following account(s) will be affected, while rectifying the error of Carriage paid Rs.50 for the newly purchased machinery mistakenly debited to carriage account?
Only machinery account
Only carriage account
Both carriage and machinery account
Only cash account

Question No: 22 (Marks: 1) - Please choose one
Which of the following rectifying entry will be recorded, if sales to Mr. A of Rs.336 have been debited to Mr. B account?
A s account (Dr.) and B s account (Cr.)
B s account (Dr.) and A s account (Cr.)
Sales account (Dr.) and B s account (cr.)
B s account (Dr.) and Sales account (Cr.)

Question No: 23 (Marks: 1) - Please choose one
Which of the following account will be credited when a typewriter is sold that has been used in the office?
Cash Account
Sales Account
Purchase Account
Office Equipment Account

Question No: 24 (Marks: 1) - Please choose one
Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.
Particulars Rs.
Bad debts (from trial balance) 1,600
Provision for doubtful debts (old) 2,000
Current year s provision (new) 1,000
Rs. 600
Rs. 1,000
Rs. 2,000
Rs. 2,600

Question No: 25 (Marks: 1) - Please choose one
Consider the following data and identify the amount which will be shown in profit & loss account.
Particulars Rs.
Bad debts 3,500
Provision for doubtful debts (old) 6,000
Current year s provision (new) 1,500
Rs. (1,000)
Rs. 1,000
Rs. (5,000)
Rs. 5,000

Question No: 26 (Marks: 1) - Please choose one
Which of the following is the first phase of the typical operating cycle?
Sell goods and services to customers
Purchase goods and services
Receive cash from customers
Pay cash to suppliers

Question No: 27 (Marks: 1) - Please choose one
Which of the following is normally treated as the last expense listed in the income statement of a company?
General and administrative expenses
Salaries and wages expense
Income tax expense
Interest expense

Question No: 28 (Marks: 1) - Please choose one
Wages paid to laborers working in the manufacturing department is treated as an expense of:
Cost of goods sold
Administrative expenses
Selling expenses
Marketing expenses

Question No: 29 (Marks: 1) - Please choose one
The Balance Sheet item that represents the resources invested by the owner is known as:
Accounts Receivable
Cash
Note Payable
Owner's Equity

Question No: 30 (Marks: 1) - Please choose one
Which of the following will be debited, if cash is drawn by Proprietor?
Proprietor s drawings
Proprietor s cash
Proprietor s capital
Proprietor s income

Question No: 31 (Marks: 1) - Please choose one
When closing stock is given in trial balance, then it will effect:
Trading account only
Balance sheet only
Owner's equity only
Both Trading account and Balance sheet

Question No: 32 (Marks: 1) - Please choose one
Which of the following account will be credited when interest on capital is charged against the distribution of profit?
Interest account
Partner s capital account
Profit and Loss account
Profit and loss appropriation account

Question No: 33 (Marks: 1) - Please choose one
Which of the following is(are) type(s) of capital account in partnership?
Fixed Capital
Current Capital
Fluctuating Capital
Both Fixed Capital and Fluctuating Capital

Question No: 34 (Marks: 1) - Please choose one
Which of the following represents the relationship between persons who have agreed to share the profit of business carried on by all or any of them acting for all?
Sole-ownership
Private limited company
Public limited company
Partnership

Question No: 35 (Marks: 1) - Please choose one
In case of fixed capital accounts, other transactions such as Drawings and Profit etc. are recorded in a separate account that is called _____.
Fixed Capital Account
Current Account
Fluctuating Capital Account
Floating Capital Account

Question No: 36 (Marks: 1) - Please choose one
The Joint Stock Company is formed under the Companies Ordinance:
1984
I884
1948
1965

Question No: 37 (Marks: 1) - Please choose one
The maximum amount with which the company is registered is called:
Authorized Share Capital
Issued Share Capital
Paid up capital
Called up capital

Question No: 38 (Marks: 1) - Please choose one

By which if the following Act/ Ordinance, a company is allowed to issue shares at a higher price than their face value.
Companies ordinance 1984
Contract act 1872
Sales of Goods act 1930
None of the given options

Question No: 39 (Marks: 1) - Please choose one
Which of the following account will be debited if shares issued against cash?
Share premium account
Cash account
Share capital account
Profit and loss account

(entry is :

Cash account Dr
Share premium (if any) Cr
Share capital account Cr)

Question No: 40 (Marks: 1) - Please choose one
Which of the following option(s) is TRUE about the Sales returns?
Sales returns reduce the Gross sales of the firm
Sales returns affect the Net income of the firm
Sales returns affect the flow of cash
All of the given options

Question No: 41 (Marks: 1) - Please choose one
Merchandise on hand at either the beginning or end of the reporting period is called_____.
Raw material
Cost of good sold
Work in process
Inventory

Question No: 42 (Marks: 1) - Please choose one
Which of the following is (are) shown as notes to the accounts.
Nature of the business of the company
Accounting polices of the business
Details and explanations of items given in Balance Sheet
All of the given options

Question No: 43 (Marks: 1) - Please choose one
If dividend is proposed by directors of the company @ 30% for the year, it will be calculated on:
Capital Reserve
Authorized share capital
Paid up share capital
Share premium

Question No: 44 (Marks: 1) - Please choose one
Which of the following documents contains rules and regulations for internal management of the company?
Memorandum of Association
Articles of Association
Prospectus
Statutory Declaration

Question No: 45 (Marks: 1) - Please choose one
Mark up cover ratio = operating profit before financial charges ÷?
Selling expenses
Administrative expenses

Financial charges
Direct expenses

Question No: 46 (Marks: 1) - Please choose one
Which of the following ratio tells about How a company would repays its loans
Mark up cover ratio
Acid test ratio
Current ratio
Debt Equity ratio

Question No: 47 (Marks: 1) - Please choose one
Particulars Rs.
Debentures 1, 50, 000
Equity Capital 2, 00,000
General Reserve 90, 000
Accumulated profit 60,000
What is debt equity ratio ?
15: 20 (or 3:4)
15:24 (or 5: 8)
15:29
15:35 (or 3: 7)

Question No: 48 (Marks: 1) - Please choose one
In which situation(s) Partnership is dissolved?
In case of death of partner
At the admission of new partner
If any partner resigned from partnership
All of the given options

Question No: 49 (Marks: 1) - Please choose one
If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. B in distributable profit.
Rs. 98,000
Rs. 1, 47,000
Rs. 2, 45,000
Rs. 3, 43,000

Question No: 50 (Marks: 1) - Please choose one
Which of the following item will be credited in capital account of sole proprietor?
Cash
Drawings
Debtors
Profit

Paper no 28
Solved by Chanda Rehman, Nomi chakwal ABr

FINALTERM EXAMINATION
Fall 2009
MGT101- Financial Accounting (Session - 1)

Ref No: 1195859
Time: 120 min
Marks: 87

Question No: 1 (Marks: 1) - Please choose one

Liabilities of the members of the _____ is only limited to the capital introduce by member/s.

► Partnership

► Company

► Sole proprietorship

► None of the given options

Question No: 2 (Marks: 1) - Please choose one

Term "Credit" means_____ by the business.

► Receiving of benefits
► It has no effect on business
► **Providing of benefits**
► It depends upon items

Question No: 3 (Marks: 1) - Please choose one

What would be the affect on the components of the accounting equation, if goods are purchased on cash?

► Increase in cash and decrease in equity
► Increase in cash and increase in goods
► **Increase in goods and decrease in cash**
► Increase in equipment and increase in equity

Question No: 4 (Marks: 1) - Please choose one

When a Liability is reduced or decreased, it is recorded on the:

► Right or debit side of the account
► **Left or debit side of the account**
► Left or credit side of the account
► Right or credit side of the account

Question No: 5 (Marks: 1) - Please choose one

Accounts Receivable & Inventory are the examples of:

► Liquid assets
► **Current assets**
► Fixed assets
► Capital assets

Question No: 6 (Marks: 1) - Please choose one

Which of the following is **NOT** an example of Current Asset?

► **Bank Overdraft**
► Accounts Receivable
► Notes Receivable
► Prepaid Expenses

Question No: 7 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 90,000 and operating expenses are Rs. 25,000 during the year. What would be the Net Profit?

► **Rs. 5,000**
► Rs. 25,000
► Rs. 55,000
► Rs. 60,000

Question No: 8 (Marks: 1) - Please choose one

Which of the following statement is **NOT** true about the Journal voucher?

► **Financial data is picked only from Journal vouchers to Journal**
► These are used to record all transaction other than cash & bank
► These are used to make corrections or adjustments to previous Receipts
► Format of Journal voucher is different from other vouchers

Question No: 9 (Marks: 1) - Please choose one

Which one of the following is **CORRECT** about the closing stock?

► It appears in the assets side of a balance sheet
► It decreases the value of cost of goods sold
► It becomes opening stock of next year
► **All of the given option**

Question No: 10 (Marks: 1) - Please choose one

In the cost of goods sold statement, Cost of direct material consumed + Direct labor=?

► Conversion cost
► **Prime cost**
► Total factory cost
► Cost of goods manufactured

Question No: 11 (Marks: 1) - Please choose one

Consider the following inventory record:

Date	Item	Quantity	Cost/Unit Rs.	Total Rs.
Jan. 2	Beginning inventory	10	10	100
Mar. 4	Purchase	35	11	385
May 8	Purchase	40	12	480
Nov. 3	Purchase	20	13	260
De31	Merchandise available	105		1,225

85 units were sold, Use the FIFO method of inventory costing and determine the cost of goods sold.

► Rs. 1,225
► Rs. 1,015
► **Rs. 965**
► Rs. 992

Question No: 12 (Marks: 1) - Please choose one

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty-five units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

► **Rs.260**
► Rs.232
► Rs.284
► Rs.268

Question No: 13 (Marks: 1) - Please choose one

Which one of the following is **NOT** true about revenue expenditure?

► These are the running expenses of the business
► **They improve the financial position of the business**
► They reduce the profit of the concern

► They do not appear in the balance sheet

Question No: 14 (Marks: 1) - Please choose one

Bank Reconciliation Statement is:

► **A memorandum statement**
► A ledger account
► A part of cash book
► A part of journal

Question No: 15 (Marks: 1) - Please choose one

Which of the following assets are shown at written down value in balance sheet?

► Current assets
► Liquid assets
► Floating assets
► **Fixed assets**

Question No: 16 (Marks: 1) - Please choose one

Which of the following account balance is shown on credit side of Trial Balance? (It is assumed that all account balances are shown on normal balance)

► Cash account
► Furniture account
► Vehicle account
► **Capital account**

Question No: 17 (Marks: 1) - Please choose one

In which of the following condition(s) **DEBT** is regarded as **BAD**.

► Bankruptcy of the debtor
► Disappearance of debtor's business
► Failure of repeated attempt to collect the debt
► **All of the given options**

Question No: 18 (Marks: 1) - Please choose one

If Bad Debts written off are given in adjustment, then which of the following entry for bad debts written off is **CORRECT**?

► Bad debts a/c (Dr) and Trading a/c (Cr)
► Provision for Bad and Doubtful debts a/c (Dr) and Bad debts a/c(Cr)
► **Bad debts a/c (Dr) and debtors a/c (Cr)**
► Trading a/c (Dr) and Bad debts a/c (Cr)

Question No: 19 (Marks: 1) - Please choose one

Which of the following is **NOT** based on the concept of double entry book keeping system?

► **Subsidiary Ledgers** **doubted**
► Creditors Control Accounts
► Debtors Control Accounts
► All of the given options

Question No: 20 (Marks: 1) - Please choose one

Which of the following is (are) benefit/s of subsidiary ledger accounts to business?

► It tells about customer attitude of payments
► It can be checked against the control account to pick up recording errors
► It tells about the complete history of transactions of business client
► **All of the given options**

Question No: 21 (Marks: 1) - Please choose one

When one or both aspects of a transaction are recorded in the wrong class or category of account, this is called:

- ► Error of principle
- ► Error of omission
- ► Error of commission
- ► Error of original entry

Question No: 22 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account

- ► Rs. 3,600
- ► Rs. 4,000
- ► Rs. 1,600
- ► Rs. 2, 400

Question No: 23 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 10%	

Identify the Total amount deducted from Sundry debtors.

- ► Rs. 460
- ► Rs. 2,400
- ► Rs. 3,080
- ► **Rs. 5,480**

Question No: 24 (Marks: 1) - Please choose one

The figure of cash received from debtors can be located either from cash book or:

- ► **Debtor's Control Account**
- ► Balance Sheet
- ► Profit & Loss Account
- ► Bills Payable Account

Question No: 25 (Marks: 1) - Please choose one

Which of the following is a selling expense?

- ► Interest on deposits
- ► Any tax/freight is paid on purchases
- ► General salaries paid to laborers
- ► **Tax & freight paid on sale**

Question No: 26 (Marks: 1) - Please choose one

Which of the following item will be shown on debit side of capital account of sole proprietor?

- ► Cash
- ► **Drawings**
- ► Debtors
- ► Profit

Question No: 27 (Marks: 1) - Please choose one

Identify the selling expenses of manufacturing concern with the help of given data.

Particulars	Rs.

Salesman’s salary	70,000
Commission on sales	28,000
Carriage outward	10,000
Carriage inward	5,000

► Rs. 80,000
► Rs. 60,000
► Rs. 38,000
► **Rs. 1, 08,000**

Question No: 28 (Marks: 1) - Please choose one

The income statement of the Limited company is also known as:

► Manufacturing account
► **Profit and Loss account**
► Profit and Loss Appropriation account
► Current Account

Question No: 29 (Marks: 1) - Please choose one

Which of the following is the most important document of the company?

► **Memorandum of Association**
► Articles of Association
► Prospectus
► Annual Report

Question No: 30 (Marks: 1) - Please choose one

Which of the following is (are) **NOT** example(s) of distributable profit?

► None of the given options
► General reserve
► **Accumulated profit and loss (credit balance)**
► Revaluation reserves

Question No: 31 (Marks: 1) - Please choose one

Which of the following is a common way to evaluate a company's performance?

► Compare this year's performance of the company to a prior year's performance of the company.
► Compare the company's performance to the industry's performance.
► Compare the company's performance to the performance of a competing company.
► **All of the given options**

Question No: 32 (Marks: 1) - Please choose one

Current ratio may be increased by:

► **Overstating current Assets**
► Overstating current Liabilities
► Understating current Assets
► Understating current assets and overstating current liabilities

Question No: 33 (Marks: 1) - Please choose one

If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. B in distributable profit.

► Rs. 98,000
► **Rs. 1, 47,000**
► Rs. 2, 45,000
► Rs. 3, 43,000

Question No: 34 (Marks: 1) - Please choose one

Mr. B provided the following information at the end of the month:

Particulars	Rs.
Cash	100
Accounts Receivable	500
Accounts Payable	200
Bank Loans	1,000

Based on the information provided, what are the total assets of Mr. B?

- ► Rs.200
- ► **Rs. 600**
- ► Rs. 800
- ► Rs. 1,700

Question No: 35 (Marks: 1) - Please choose one

An overdraft will appear as:

- ► A debit balance in both the bank statement and the cash book
- ► A credit balance in the bank statement but as a debit balance in the cash book
- ► **A credit balance in the cash book but as a debit balance in the bank statement**
- ► A credit balance in both the bank statement and the cash book

Question No: 36 (Marks: 1) - Please choose one

When we close bad debt account, which of the following account is debited?

- ► Profit and loss account
- ► Bad debt account
- ► Debtor account
- ► Creditor account

Question No: 37 (Marks: 1) - Please choose one

Payment is made of a company's purchases on credit, which of the following is correct:

- ► Debit stock account and credit creditors account
- ► **Debit creditors account and credit cash account**
- ► Debit cash account and credit creditors account
- ► Debit stock account and credit cash account

Question No: 38 (Marks: 1) - Please choose one

Suppose a firm has 200 debtors, and each of them owes exactly Rs. 150 at the start of June. What is the total amount owed by all debtors?

- ► Rs. 2,000
- ► Rs. 3,000
- ► **Rs. 30,000**
- ► Rs. 150,000

Question No: 39 (Marks: 1) - Please choose one

The amount owed by debtors at the end of a month appears on the_____ side of the control account.

- ► Left side or debit
- ► Left side or credit
- ► Right side or debit
- ► **Right side or credit**

Question No: 40 (Marks: 1) - Please choose one

We usually allow the customer to deduct a certain amount from the invoice value for prompt payment. In doing so we are granting a:

- ► Commission
- ► Allowance
- ► **Discount**
- ► Rebate

Question No: 41 (Marks: 1) - Please choose one

Which of the following is decreased when an asset is converted into expense in adjustment?

- ► Revenue
- ► **Net income**
- ► Expense
- ► Liability

Question No: 42 (Marks: 1) - Please choose one

Which of the following is increased when an asset is converted into expense in adjustment?

- ► Revenue
- ► Net income
- ► **Expense**
- ► Liability

Question No: 43 (Marks: 1) - Please choose one

Accumulated depreciation is a _____ account?

- ► Fixed asset
- ► Current asset
- ► **Contra asset**
- ► Liability

Question No: 44 (Marks: 1) - Please choose one

Prepaid insurance will become an expense as the prepaid amount _____.

- ► Expires
- ► **Adjust**
- ► Paid
- ► Regulate

Question No: 45 (Marks: 1) - Please choose one

Adjusting costs are reported as:

- ► Revenues
- ► **Expenses**
- ► Assets
- ► Net Income

Question No: 46 (Marks: 1) - Please choose one

Insurance premiums paid in advance but not yet expired are reported in which of the following account?

- ► Insurance payable
- ► **Prepaid insurance**
- ► Advance payment account
- ► Insurance expense

Question No: 47 (Marks: 1) - Please choose one

Profit and loss sharing in partnership must be based on which of the following:

- ► Service to the partnership
- ► Capital contribution
- ► **Any profit-and-loss-sharing method partners desire**
- ► A stated fraction

Question No: 48 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on drawings of Mr. A is Rs.1,500 and of Mr. B is Rs.1,800. The net income for the year is Rs.85,000. What will be the profit share of Mr. B?

- ► Rs.42,350
- ► **Rs.44,150**
- ► Rs.41,600
- ► Rs.40,850

Net Profit = 85 000
Intrest on Drawings = 1500 + 1800 = 3300
Total Profit of the firm = 85 000 + 3300 = 88 300
Profit of B = 88 300 / 2 = 44150

Question No: 49 (Marks: 1) - Please choose one

Which of the following is quoted company?

- ► Private Limited Company
- ► Public Limited Company
- ► **Listed company**
- ► Non Listed Company

Question No: 50 (Marks: 1) - Please choose one

For which of the following share premium can be utilized?

- ► To write off preliminary expenses
- ► To meet the expenses of issue of shares
- ► To issue bonus shares
- ► **All of the given options**

Question No: 51 (Marks: 1) - Please choose one

Which of the following can be utilized to meet the expenses of issue of shares?

- ► Reserves
- ► Debentures
- ► **Share premium**
- ► Term finance certificate

Question No: 52 (Marks: 1) - Please choose one

Which of the following capital is required for the registration of the company?

- ► Issued capital
- ► Subscribed capital
- ► **Authorized capital**
- ► Reserve capital

Question No: 53 (Marks: 1) - Please choose one

The financial statement that captures both the current operating result and the associated changes in the balance sheet is:

- ► Statement of retained earnings
- ► Statement of financial position
- ► **Statement of cash flows**
- ► Statement of changes in equity

Question No: 54 (Marks: 1) - Please choose one

Which of the following is measured by debt ratio?

- ► Short-term liquidity
- ► **Creditors' long term risk**
- ► Short-term risk of the company
- ► All of the given options

Question No: 55 (Marks: 3)

What do you know about the Profit and loss appropriation account in case of partnership?

Profit and loss appropriation account contains the information regarding the amount of profit distributed to the partner's current account.

Question No: 56 (Marks: 5)

Show the following assets at Written Down Value in Balance Sheet with complete working.

Particulars	Rs.
Plant & Machinery	53,000
Buildings	35,000

Tools & Equipment	8,650

Depreciation Rate:

- Plant & Machinery @ 10%
- Buildings @ 5%
- Tools& Equipment @ 15%

	Plant & Machinery	Buildings	Tools & Equipment	Total in Rs.
Cost	53,000	35,000	8,650	96,650
Depreciation	(5,300)	(1,750)	(1,297.5)	8,347.5
W.D.V	47,700	33,250	7,352.5	88,302.5

Question No: 57 (Marks: 5)

Briefly discuss the followings:

1. Issuance of shares at premium

Issuance of shares for an amount more than its face value is known issuance of shares at premium.

2. Cash flow statement

Cash flow statement is a part of financial statements; it contains the information regarding the cash generated by (used in) operating, investing and financing activities.

3. Debentures

Debentures are issued by the companies to raise finance. Normally, the carry a fixed rate of return.

4. Notes to the accounts

Notes to the accounts are a part of financial statements, which contains the detail about the Company, accounting policies used, critical judgment areas and detail of certain account heads of balance sheet and profit and loss account along with the detail of contingencies and commitments, if any.

Question No: 58 (Marks: 10)

What is the effect of given adjustments on Trading & Profit & Loss account and Balance Sheet?

a. Accrued Expenses or Outstanding Expenses

Accrued expenses or outstanding expenses are shown as a current liability in the Balance Sheet second effect goes to the expenses in the Trading & Profit and Loss account .

Double entry:

Expenses a/c

Accrued Expenses a/c

b. Prepaid Expenses or Unexpired Expenses

Prepaid expenses are shown as a current asset in the balance sheet and second effect goes to cash and bank account in the Balance Sheet.

Double entry:

Prepaid expenses a/c
Cash and Bank a/c

c. Accrued Revenue or Revenue Receivable

Accrued revenue is shown as a current asset in the balance sheet and second effect goes to revenue account in the Trading & Profit and Loss account.

Double entry:

Accrued revenue a/c
Revenue a/c

d. Unearned Revenue or Revenue Received in Advance

Unearned revenue is shown as a current liability in the Balance Sheet corresponding effect goes to cash and bank account in the balance Sheet.

Double entry:

Cash and Bank a/c
Unearned revenue a/c

e. Depreciation of Asset

Depreciation is shown as an expense in the Trading & Profit and Loss account and the corresponding effect goes to provision of depreciation in the balance sheet.

Double entry:

Depreciation expense a/c
Provision for depreciation a/c

Question No: 59 (Marks: 10)

Mr. A, Mr. B and Mr. C entered into partnership on 1st January 2007 contributing Rs.15, 000, Rs.10, 000 and Rs.18, 000. Mr. A invested Rs.6, 000 as additional capital on 1st May, Mr. B brought additional capital of Rs.4, 000 on 1st October and Mr. C brought additional capital of Rs.8, 000 on 1st October. They earned a profit of Rs.10, 500 during the year. Profits are to be shared in their capital ratio. Calculate partners share of profit and pass the necessary journal entry. Financial year ends on 31st December.

Contributed on	Mr. A	Mr. B	Mr. C	Total in Rs.
January 01, 07	15,000	10,000	18,000	43,000
May 01, 07	6,000	--	--	6,000
October 01, 07	--	4,000	--	4,000
October 01, 07	--	--	8,000	8,000
	21,000	**14,000**	**26,000**	**61,000**

Sharing percentage	**34.43%**	**22.95%**	**42.62%**	**100%**
Share of profit	**3,615**	**2,410**	**4,475**	**10,500**

	Dr (Rs.)	Cr. (Rs.)

Profit for the year	10,500	
Partner's account Mr. A Mr. B Mr. C		 3,615 2,410 4,475
	10,500	**10,500**

Paper no 29

Solved by Chanda Rehman, Nomi chakwal ABr

FINALTERM EXAMINATION

Fall 2009

MGT101- Financial Accounting (Session - 3)

Time: 120 min

Marks: 87

Question No: 1 (Marks: 1) - Please choose one

Double entry accounting system includes:

► Accrual accounting only
► Cash accounting only
► Both cash and accrual accounting
► None of the given options

Question No: 2 (Marks: 1) - Please choose one

What will be the effect on accounting equation, when payment is made to the creditor of the business?

► Increase in an asset, increase in owner's equity
► Increase in an asset, increase in a liability
► Decrease in an asset, decrease in owner's equity
► Decrease in an asset, decrease in a liability

Question No: 3 (Marks: 1) - Please choose one

Which of the following is **CORRECT** about the flow of recording a transaction?

► Occurrence of event – voucher—Journal—Ledger—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Journal – voucher —Ledger—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Ledger – voucher—Journal—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Trial Balance – voucher—Journal—Ledger—profit and loss account—Balance Sheet

Question No: 4 (Marks: 1) - Please choose one

An informal accounting statement that lists the ledger account balances at a point in time and compares the total of debit balances with the total of credit balances is known as:

► Income Statement
► Balance Sheet
► Trial Balance
► Cash Book

Question No: 5 (Marks: 1) - Please choose one

The unfavorable balance of Profit and Loss account should be:

- ► Added in liabilities
- ► Subtracted from current assets
- ► Subtracted from liabilities
- ► Subtracted from capital

Question No: 6 (Marks: 1) - Please choose one

Which of the following account will be credited, if business purchased a vehicle on cash?

- ► Vehicle account
- ► Cash account
- ► Business account
- ► Bank account

Question No: 7 (Marks: 1) - Please choose one

The total of all costs incurred to convert raw material into finished goods is known as:

- ► Prime cost
- ► Conversion cost
- ► Sunk cost
- ► Opportunity cost

Question No: 8 (Marks: 1) - Please choose one

A decrease in value of a fixed asset due to age, wear and tear is known as:

- ► Depreciation
- ► Accumulated Depreciation
- ► Appreciation
- ► Written Down Value

Question No: 9 (Marks: 1) - Please choose one

The cost of moving plant and machinery to a new site will be treated as:

- ► Revenue expense
- ► Capital expense
- ► Administrative expense
- ► Operating expense

Question No: 10 (Marks: 1) - Please choose one

Depreciation arises because of:

- ► Fall in the market value of an asset
- ► Fall in the value of money
- ► Physical wear and tear
- ► All of the given options

Question No: 11 (Marks: 1) - Please choose one

Which one of the following is **NOT** true about revaluation of fixed assets?

- ► Revaluation should be made after regular intervals
- ► Change in value should be permanent
- ► Only relevant asset should be revalued in the whole class of asset
- ► The profit or loss will be transferred to revaluation account

Question No: 12 (Marks: 1) - Please choose one

A Bank Reconciliation Statement is prepared to:

- ► Ascertain that the difference between the Cash Book balance and the Bank Statement balance has been accounted for
- ► Correct errors in the Cash Book or errors in the Bank Statement

► Amend the balance of the Bank Statement of the firm
► Amend the balance in the Cash Book of the firm

Question No: 13 (Marks: 1) - Please choose one

Bank Statement is a record of transactions between the bank and the holder of:

► A foreign currency account
► A current account
► A saving account
► All of the given options

Question No: 14 (Marks: 1) - Please choose one

Which one of the following transactions will cause the balance in Mr. Terry's Cash Book to be greater than his Bank Statement balance?

► A cheque is drawn but not yet presented at the bank for payment
► The bank has not yet notified to Mr. Terry about a dishonoured cheque
► A credit transfer into Terry's Bank Account
► A cheque payment of Rs.101 is recorded in the Cash Book as Rs.110

Question No: 15 (Marks: 1) - Please choose one

Which of the following option is **TRUE** about the characteristic(s) of Bad Debt?

► It is a definite loss to the business
► It is not shown in Balance Sheet
► No provision is necessary for it
► All of the given options

Question No: 16 (Marks: 1) - Please choose one

Which of the following account will be debited, when the bad debts are recovered?

► Bad debt recovered a/c
► Cash a/c
► Doubtful debts a/c
► Bad debts a/c

Question No: 17 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	3,600
Provision for doubtful debts (old)	6,000
Current year's provision (new)	1,500

► Rs. (5,100)
► Rs. 5,100
► Rs. (900)
► Rs. 900

Question No: 18 (Marks: 1) - Please choose one

Which of the following rectifying entry will be recorded, if sales to Mr. "A" of Rs.336 have been debited to Mr. "B" account?

► A's account (Dr.) and B's account (Cr.)
► B's account (Dr.) and A's account (Cr.)
► Sales account (Dr.) and B's account (cr.)
► B's account (Dr.) and Sales account (Cr.)

Question No: 19 (Marks: 1) - Please choose one

Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

► Bank charges
► An error on the Bank Statement
► An uncredited deposit
► An unpresented cheque

Question No: 20 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

► Rs. 600
► Rs. 1,600
► Rs. 2,000
► Rs. 2,600

Question No: 21 (Marks: 1) - Please choose one

Which one of the following is **TRUE** about provisions?

► It is necessary to prepare for showing true picture of balance sheet
► It is a reduction from assets
► It is prepared for specific purposes
► All of the given options

Question No: 22 (Marks: 1) - Please choose one

Which of the following is/are **TRUE** about the sole trader form of business?

► Sole traders do not need to consult accountants
► Sole traders must register the name of their business with the Registrar of Companies
► All of the given options
► A sole trader is liable to pay income tax on his/her earnings

Question No: 23 (Marks: 1) - Please choose one

Which of the following is **TRUE** about the treatment of insurance paid in advance Rs. 13,000?

► It will be treated as an other income in Profit & Loss Account
► It will be treated as a current asset in Balance Sheet
► It will be treated as a current liability in Balance Sheet
► It will be treated as an accrued expense in Balance Sheet

Question No: 24 (Marks: 1) - Please choose one

Rent receivable (given in trial balance) is an item of_____.

► Balance Sheet
► Profit & Loss Account
► Trading Account
► Both Balance Sheet and Profit & Loss Account

Question No: 25 (Marks: 1) - Please choose one

What will the effects on financial statements, if machinery is depreciated @ 10%?

► It will be treated as an expense in income statement only
► It will be subtracted from concerned asset only
► It will be treated as a current asset only
► It will be treated as an expense in income statement and subtracted from concerned assets in Balance Sheet

Question No: 26 (Marks: 1) - Please choose one

Which of the following is **TRUE** about a merchandising company?

► A merchandising company's business is to buy and sell products

► A merchandising company must use the perpetual system to account for merchandising inventory

► A merchandising company's business is to provide services

► A Sugar Mill is an example of a merchandising company

Question No: 27 (Marks: 1) - Please choose one

Identify the selling expenses of manufacturing concern with the help of given data.

Particulars	Rs.
Salesman's salary	70,000
Commission on sales	28,000
Carriage outward	10,000
Carriage inward	5,000

► Rs. 80,000

► Rs. 60,000

► Rs. 38,000

► Rs. 1, 08,000

Question No: 28 (Marks: 1) - Please choose one

Which of the following statements is **NOT TRUE** about the partnership form of business?

► A partnership is a business run by two or more persons

► A partnership business is easy to set up

► Each partner is liable under the law for the actions of other partners

► In the absence of agreement, partners will be paid salaries

Question No: 29 (Marks: 1) - Please choose one

Which of the following account will be credited when interest on capital is charged against the distribution of profit?

► Interest account

► Partner's capital account

► Profit and Loss account

► Profit and loss appropriation account

Question No: 30 (Marks: 1) - Please choose one

When preparing a cash flow statement, which of the following would be classified as a financing activity?

º A new long-term loan taken out to finance the purchase of fixed assets

º Salaries paid

º Interest paid on a long-term bank loan

º The cost of purchasing a patent

Question No: 31 (Marks: 1) - Please choose one

When preparing cash flow statements, the repayments of a loan during the year should be included under which of the following heading?

► Operating activities doubted

► Financing activities

► Investing activities

► None of the given options

Question No: 32 (Marks: 1) - Please choose one

An example of financing activities in the context of cash flow statement is:

► Capital expenditures on purchase of fixed assets

► Long-term deposit

► Financial charges paid

► Dividend paid no idea

Question No: 33 (Marks: 1) - Please choose one

Which of the following business publishes the Financial Statements?

- ► Sole-Proprietorship
- ► Partnership
- ► Trust
- ► Public Limited Company

Question No: 34 (Marks: 1) - Please choose one

Which of the given Asset is **Not** included in the calculation acid test ratio?

- ► Stock
- ► Cash
- ► Debtors
- ► Bills Receivable

Question No: 35 (Marks: 1) - Please choose one

Which of the following ratio tells about "How a company would repays its loans"

- ► Mark up cover ratio not sure
- ► Acid test ratio
- ► Current ratio
- ► Debt Equity ratio

Question No: 36 (Marks: 1) - Please choose one

	Rs.
Gross profit	50,000
Operating profit	42,000
Sales	250, 000
What is the amount of operating expenses	**?**

- ► Rs. 8,000
- ► Rs. 92,000
- ► Rs. 62,500
- ► Rs. 300,000

Question No: 37 (Marks: 1) - Please choose one

Debenture is also named as:

- ► Share
- ► Bond
- ► Equity
- ► Reserve

Question No: 38 (Marks: 1) - Please choose one

What is the treatment of Accumulated Depreciation in Balance Sheet?

- ► It may treated as a deficit
- ► It may treated as a surplus
- ► It may treated as a revenue
- ► None of the given options not sure

Question No: 39 (Marks: 1) - Please choose one

An accounting system is used by a business to:

- ► Analyze transactions
- ► Handle routine book-keeping tasks
- ► Classify and summarize financial information
- ► All of the given options

Question No: 40 (Marks: 1) - Please choose one

Which one of the following vouchers is used to record the non-cash transactions?

- ► Journal Vouchers
- ► Receipt Vouchers
- ► Payment Vouchers
- ► Nominal Vouchers

Question No: 41 (Marks: 1) - Please choose one

What would be the value of 'cost of goods manufactured' if the total factory cost of the month is Rs. 6,000, opening work in process is Rs. 2,000 and the closing work in process is Rs. 2,500?

- ► Rs. 5,500
- ► Rs. 8,000
- ► Rs. 4,500
- ► Rs. 8,500

Question No: 42 (Marks: 1) - Please choose one

Particulars	Rs.
Direct materials costs	80,000
Direct labor costs	50,000
Manufacturing overhead costs	60,000
Prime cost	**?**

- ► Rs.130, 000
- ► Rs.110, 000
- ► Rs.140, 000
- ► Rs.190, 000

Question No: 43 (Marks: 1) - Please choose one

When we close bad debts account, which of the following account is credited?

- ► Profit and loss account
- ► Bad debt account
- ► Debtor account
- ► Provision for bad debt account

Question No: 44 (Marks: 1) - Please choose one

Which of the following statement is correct? If a company fails to record estimated bad debts expense,

- ► Net realizable value is understated
- ► Expenses are understated
- ► Revenues are understated
- ► Receivables are understated

Question No: 45 (Marks: 1) - Please choose one

In a partnership of Mr. A and Mr. B, the share of profit of Mr. A is Rs.75,375 and the share of profit of Mr. B is Rs. 25,125. What will be the ratio of their share?

- ► 1:2
- ► 2:3
- ► 3:2
- ► 3:1

Question No: 46 (Marks: 1) - Please choose one

Which of the following is the major benefit of a partnership over a sole proprietorship?

- ► Unlimited liability
- ► Single tax filing
- ► Difficult ownership resale
- ► Raising capital

Question No: 47 (Marks: 1) - Please choose one

Which of the following is used to convert accounting information from the cash basis of accounting to the accrual basis of accounting?

- ► Ledger

- ► Journal entries
- ► Adjusted entries
- ► Trial balance

Question No: 48 (Marks: 1) - Please choose one

Unexpired costs are reported as:

- ► Revenues
- ► Expenses
- ► Assets
- ► Income

Question No: 49 (Marks: 1) - Please choose one

The weekly or biweekly compensation received by hourly-paid employees is called:

- ► Salary
- ► Wages
- ► Income
- ► Profit

Question No: 50 (Marks: 1) - Please choose one

Income tax expense of Eden Corporation shows a debit balance of Rs.7,000 in its unadjusted trial balance and Rs.7,600 in adjusted trial balance. Which of the following account will be debited in adjusting entry?

- ► Income tax payable
- ► Prepaid income tax
- ► Income tax expense
- ► Income tax paid

Question No: 51 (Marks: 1) - Please choose one

Which of the following capital is offered to the general public?

- ► Issued capital
- ► Subscribed capital
- ► Authorized capital
- ► Reserve capital

Question No: 52 (Marks: 1) - Please choose one

Which of the following capital is taken up by the general public?

- ► Issued capital
- ► Subscribed capital
- ► Authorized capital
- ► Reserve capital

Question No: 53 (Marks: 1) - Please choose one

With reference to the statement of cash flows the transactions involving production and delivering goods or providing services must be classified as:

- ► Business activities
- ► Operating activities
- ► Financing activities
- ► Investing activities

Question No: 54 (Marks: 1) - Please choose one

According to the statement of cash flows following are the examples of investing activities except:

- ► Sales of machinery
- ► Capital invested by the owners
- ► Purchase of building for the business use
- ► Cash received from the disposal of equipment

Question No: 55 (Marks: 3)

How bad debts & provision for doubtful debts (new and old) are treated in profit and loss account.

Question No: 56 (Marks: 5)

Differentiate the following terms and also mention how these are treated in financial Statements.

- Carriage inwards and carriage outwards
- Returns inwards and returns outwards

Question No: 57 (Marks: 5)

Following information is extracted from the books of Abrar Ltd as on December 31st, 2007.

Particulars	Rs
Carriage inwards	8,000
Legal charges	6,500
Financial charges	223,500
Tax payable	30,000
Advances from customer	10,000
General reserve	40,000
Accumulated profit brought forward(credit balance)	95,000
Long term loans	100,000

Additional information

The authorized capital is Rs. 5,000,000 divided into 500,000 shares of Rs. 10 each. Issued and paid up capital 2500,000.

You are required to calculate Share holders equity

Question No: 58 (Marks: 10)

Write down the at least ten distinguishing features of a limited company which differentiate it from sole proprietor business

Question No: 59 (Marks: 10)

The following is the trial balance of Sikander's Photo Studio, Inc., dated December 31, 2007. The net income for the period is **Rs.36,000**. You are required to prepare Balance Sheet as on December 31, 2007.

Sikander's Photo Studio, Inc.
Trial balance
December 31, 2007

Cash	Rs.171,100	
Accounts receivable	9,400	
Prepaid studio rent	3,000	
Unexpired insurance	7,200	
Supplies	500	
Equipment	18,000	
Accumulated depreciation: equipment		Rs.7,200
Notes payable		10,000
Accounts payable		3,200
Salaries payable		4,000
Income tax payable		6,000
Unearned revenue		8,800
Capital stock		100,000
Retained earnings		34,000
Revenue earned		165,000
Salary expense	85,000	
Supply expense	3,900	
Rent expense	12,000	
Insurance expense	1,900	
Advertising expense	500	

Depreciation expense: equipment	1,800	
Interest expense	900	
Income taxes expense	23,000	
	338,200	**338,200**

Paper no 30
Solved by Chanda Rehman, Nomi chakwal, ABr

FINALTERM EXAMINATION
Fall 2009
MGT101- Financial Accounting (Session - 4)

Ref No: 1195706
Time: 120 min
Marks: 87

Question No: 1 (Marks: 1) - Please choose one

Word “Credit” is derived from _____ language.

► Latin
► English
► French
► Chinese

Question No: 2 (Marks: 1) - Please choose one

What is the nature of an expense account?

► Debit
► Credit
► Revenue
► None of the given options

Question No: 3 (Marks: 1) - Please choose one

A summarized record of transactions related to individuals or things is called a/an _____.

► Account
► Voucher
► Journal
► Trial balance

Question No: 4 (Marks: 1) - Please choose one

In an account, if credit side < debit side then the balance is known as:

► Negative Balance
► Debit Balance
► Positive Balance
► Credit Balance

Question No: 5 (Marks: 1) - Please choose one

Which of the following organizations do **NOT** prepare Income & Expenditure account?

► Public limited companies
► Private limited companies
► Partnership firms
► All of the given options

Question No: 6 (Marks: 1) - Please choose one

Which of the following account will be credited in the books of XYZ Co. Ltd, if the business purchased a vehicle though cheque?

► Vehicle account

- ► Cash account
- ► Business account
- ► Bank account

Question No: 7 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 90,000 and operating expenses are Rs. 25,000 during the year. What would be the Net Profit?

- ► Rs. 5,000
- ► Rs. 25,000
- ► Rs. 55,000
- ► Rs. 60,000

Question No: 8 (Marks: 1) - Please choose one

Which of the following financial statement **DO NOT** show the financial health of a business at a specific date?

- ► Profit and loss account
- ► Balance sheet
- ► Statement of financial position
- ► All of the given options

Question No: 9 (Marks: 1) - Please choose one

The total of all costs incurred to convert raw material into finished goods is known as:

- ► Prime cost
- ► Conversion cost
- ► Sunk cost
- ► Opportunity cost

Question No: 10 (Marks: 1) - Please choose one

Which of the following particular is **NOT** included in the specimen of a Journal Voucher?

- ► Name of organization
- ► Bank receipt
- ► Debit amount
- ► Credit amount

Question No: 11 (Marks: 1) - Please choose one

Accountancy covers which of the following area(s):

- ► Book-keeping
- ► Accounting
- ► Auditing
- ► All of the given options

Question No: 12 (Marks: 1) - Please choose one

Depreciation arises because of:

- ► Fall in the market value of an asset
- ► Fall in the value of money
- ► Physical wear and tear
- ► All of the given options

Question No: 13 (Marks: 1) - Please choose one

Which of the following account will be debited, when the bad debts are recovered?

► Bad debt recovered a/c
► Cash a/c
► Doubtful debts a/c
► Bad debts a/c

Question No: 14 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

► Rs. 400
► Rs. 800
► Rs. 2,000
► Rs. 2,400

Question No: 15 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	3,600
Provision for doubtful debts (old)	6,000
Current year's provision (new)	1,500

► Rs. (5,100)
► Rs. 5,100
► Rs. (900)
► Rs. 900

Question No: 16 (Marks: 1) - Please choose one

On which of the following system control accounts are based?

► Double entry book keeping system
► Single entry book keeping system
► Cash accounting system
► All of the given options

Question No: 17 (Marks: 1) - Please choose one

Which of the following entry will be passed to record discount received in control account?

► Discount Received (Dr) and Creditors Control A/c (Cr)
► Discount Received (Dr) and Creditors A/c (Cr)
► Creditors Control A/c (Dr) and Discount Received (Cr)
► Creditors A/c (Dr) and Discount Received (Cr)

Question No: 18 (Marks: 1) - Please choose one

A receipt of cash Rs. 10,000 from Mr. Bilal is recorded as Rs. 1,000. What amount will be adjusted in rectifying entry?

► Rs. 1,000
► Rs. 9,000
► Rs. 10,000
► Rs. 11,000

Question No: 19 (Marks: 1) - Please choose one

Which of the following rectifying entry will be recorded, if sales to Mr. "A" of Rs.336 have been debited to Mr. "B" account?

► A's account (Dr.) and B's account (Cr.)
► B's account (Dr.) and A's account (Cr.)
► Sales account (Dr.) and B's account (cr.)
► B's account (Dr.) and Sales account (Cr.)

Question No: 20 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of Sale to Mr."A" Rs. 336 was not recorded at all?

► Only sales account
► Only A's account
► Only cash account
► Both sales account and A's account

Question No: 21 (Marks: 1) - Please choose one

Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

► Bank charges
► An error on the Bank Statement
► An uncredited deposit
► An unpresented cheque

Question No: 22 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

► Rs. 600
► Rs. 1,000
► Rs. 2,000
► Rs. 2,600

Question No: 23 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	700
Sundry Debtors (Given in trial balance)	44,800

If the Provision for doubtful debts has been increased by 5%, which amount of new provision will be shown in Profit & Loss Account?

► Rs. 2,240
► Rs. 2,425
► Rs. 1,925
► Rs. 3,025

Question No: 24 (Marks: 1) - Please choose one

The main objective of financial reporting is to provide:

► Essential information to internal users of financial reports.
► Useful economic information about the business to the external parties for sound financial decisions.
► Information to internal users about the cash position of the business.
► Information to the Securities Exchange Commission (SEC).

Question No: 25 (Marks: 1) - Please choose one

A financial statement that indicates the success or failure of a business, over a period of time is called:

- ► A cash flow statement
- ► A retained earnings statement
- ► An income statement
- ► A balance sheet

Question No: 26 (Marks: 1) - Please choose one

Which of the following is/are **NOT** shown in balance sheet of sole proprietor?

- ► Fixed assets
- ► Current liabilities
- ► Profit sharing ratio
- ► Long term assets

Question No: 27 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about the Accounts receivable?

- ► Accounts receivable arises when a company buys goods or services from another party on credit
- ► Accounts receivable is a miscellaneous category that may include loans to employees
- ► Accounts receivable are more formal than notes receivable
- ► Accounts receivable are often called trade receivables

Question No: 28 (Marks: 1) - Please choose one

Which of the following account will be debited when the interest on drawings is charged?

- ► Partner’s capital account
- ► Interest account
- ► Partner’s current account
- ► Profit & Loss account

Question No: 29 (Marks: 1) - Please choose one

In case of fixed capital accounts, other transactions such as Drawings and Profit etc. are recorded in a separate account that is called _____.

- ► Fixed Capital Account
- ► Current Account
- ► Fluctuating Capital Account
- ► Floating Capital Account

Question No: 30 (Marks: 1) - Please choose one

Which of the following clause/s are discussed in Memorandum of Association of Companies?

- ► Name of company
- ► Place of registered office of company
- ► Objective of the company
- ► All of the given options

Question No: 31 (Marks: 1) - Please choose one

Preliminary Expenses of the company may write off against:

- ► Share premium account
- ► Share holder account
- ► Debtors control account
- ► Creditor control account

Question No: 32 (Marks: 1) - Please choose one

What are the effects on financial statements, if provision for Income Tax to be made Rs. 12,000 is given in adjustment?

► It will be deducted in Income Statement only
► It will be treated as current liability in balance sheet only
► It will be treated as current asset in balance sheet only
► Both it will be deducted in income statement and it will be treated as current liability in balance sheet

Question No: 33 (Marks: 1) - Please choose one

Which of the following is **NOT** a cash inflow?

► Sale of fixed asset
► Issue of debentures
► Cash from business operation
► Purchase of fixed asset

Question No: 34 (Marks: 1) - Please choose one

Which of the following statement in **NOT TRUE** about the limited company form of business?

► The limited company form of business allows ownership of the business to be spread amongst many people
► Shareholders can appoint professionals
► Shareholders are personally liable for all the liabilities incurred by the business
► Regular filing of information about the affairs of the company is a legal requirement

Question No: 35 (Marks: 1) - Please choose one

If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. C in distributable profit.

► Rs. 98,000
► Rs. 1, 47,000
► Rs. 2, 45,000
► Rs. 3, 43,000

Question No: 36 (Marks: 1) - Please choose one

What is the treatment of Accumulated Depreciation in Balance Sheet?

► It may treated as a deficit
► It may treated as a surplus
► It may treated as a revenue
► None of the given options doubted

Question No: 37 (Marks: 1) - Please choose one

According to the double entry system of book keeping, the investment of Rs.10, 000 in the business made by the owner will effect:

► Cash Account & Capital Account
► Cash Account & Expense Account
► Capital Account & Revenue Account
► Capital Account & Expense Account

Question No: 38 (Marks: 1) - Please choose one

The return of goods by a customer should be debited to:

► Customer’s account
► Sales return account
► Goods account
► Accounts receivable account

Question No: 39 (Marks: 1) - Please choose one

Expenditures incurred annually on renewal of patent are known as:

- ► Revenue Expenditures
- ► Capital Expenditures
- ► Deferred Expenditures doubted
- ► None of the given options

Question No: 40 (Marks: 1) - Please choose one

Debts that are not collectible and worthless to the creditor are known as:

- ► Doubtful debts
- ► Bad debts
- ► Provision for doubtful debts
- ► Loss

Question No: 41 (Marks: 1) - Please choose one

ABC Company received discount on its credit purchases, which of the following will be debited while entering in journal?

- ► Cash
- ► Discount received
- ► Creditors
- ► Bank

Question No: 42 (Marks: 1) - Please choose one

The amount owed by debtors at the start of a month appears on the _____ side of the individual debtors account.

- ► Left side or credit
- ► Left side or debit
- ► Right side or debit
- ► Right side or credit

Question No: 43 (Marks: 1) - Please choose one

Ahmad Industries want to make payment to its supplier in the form of a pay order. The bank deducted Rs.160 as service charges without its knowledge. The error is known as:

- ► Error of commission
- ► Error of omission
- ► Error of original entry
- ► Error of principle

Question No: 44 (Marks: 1) - Please choose one

Which of the following accounts would never be reported in the income statement as an expense?

- ► Depreciation expense
- ► Income tax expense
- ► Interest expense
- ► Dividends expense

Question No: 45 (Marks: 1) - Please choose one

In the heading of financial statement, _____ is not required?

- ► Title of financial statement
- ► Name of the person who prepares financial statement
- ► Period for which financial statement is prepared
- ► Name of business entity

Question No: 46 (Marks: 1) - Please choose one

In a partnership of Mr. A and Mr. B, the share of profit of Mr. A is Rs.75,375 and the share of profit of Mr. B is Rs. 25,125. What will be the ratio of their share?

- ► 1:2
- ► 2:3
- ► 3:2

► 3:1

Question No: 47 (Marks: 1) - Please choose one

Which of the following is decreased when an asset is converted into expense in adjustment?

► Revenue
► Net income
► Expense
► Liability

Question No: 48 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,500 and markup on drawings of Mr. B is Rs.2,800. The net income for the year is Rs.95,000. What will be the amount of distributable profit?

► Rs.89,700
► Rs.94,700
► Rs.95,300
► Rs.100,300

Question No: 49 (Marks: 1) - Please choose one

How many members can subscribe their names in memorandum of association for registration of public limited company?

► 2
► 3
► 5
► 7

Question No: 50 (Marks: 1) - Please choose one

Which of the following is responsible to register the companies?

► State Bank of Pakistan
► Security and Exchange Commission of Pakistan
► Supreme Court
► Stock Exchange

Question No: 51 (Marks: 1) - Please choose one

The amount of share premium can be utilized except:

► To write off preliminary expenses
► To meet the expenses of issue of shares
► To distribute among the share holders
► To issue bonus shares

Question No: 52 (Marks: 1) - Please choose one

Which of the following capital is required for the registration of the company?

► Issued capital
► Subscribed capital
► Authorized capital
► Reserve capital

Question No: 53 (Marks: 1) - Please choose one

Which of the following items of balance sheet are useful in evaluating a company's liquidity?

► Current assets and other assets
► Current liabilities and current assets
► Current liabilities and plant and equipment
► Non current liabilities and other assets

Question No: 54 (Marks: 1) - Please choose one

The company ABC purchased an asset for Rs. 40,000, paying 30,000 in cash and issuing a long term note payable for remaining balance. The amount will be recorded in statement of cash flows as:

► Rs. 40,000 cash outflow as investing activity

► Rs. 30,000 cash outflow as investing activity doubted
► Rs. 10,000 cash inflow as investing activity
► Rs. 70,000 cash inflow as investing activity

Question No: 55 (Marks: 3)

Why an organization is needed to prepare a cash flow statement.

Question No: 56 (Marks: 5)

Show the following assets at Written Down Value in Balance Sheet with complete working.

Particulars	Rs.
Plant & Machinery	53,000
Buildings	35,000
Tools & Equipment	8,650

Depreciation Rate:

- Plant & Machinery @ 10%
- Buildings @ 5%
- Tools& Equipment @ 15%

Question No: 57 (Marks: 5)

Financial year decided by partnership agreement is 1st July to 30th June. Mr. Ali is partner and having a capital of Rs. 1,500,000 on July 1st 2007 and he introduced more capital on August 1st 2007 Rs. 10,000 on April 1st2008, Rs.500,000 and on June 1st 2008 , Rs. 5,000. Mark up rate is 10% p.a.

Calculate mark up on Mr. Ali's capital for the year ending on 30th June 2008.

Question No: 58 (Marks: 10)

The following errors have been discovered in the book of a Business Concern:

1. Wage of Rs. 500 paid for the installation of plant debited to Wages Account.
2. Purchases of Office Equipment Rs. 2,000 were recorded as regular purchases of business.
3. Credit sale of Rs. 600 to Kareem was wrongly debited to Kamran.
4. Rs. 200 drawn by the proprietor was treated as Trade Expenses.
5. Rs. 300 received as a Commission was wrongly credited to Sales Account.

Required:

Pass the rectifying entries only.

Question No: 59 (Marks: 10)

Prepare Balance Sheet for the manufacturing concern as on 31st December, 2007 with the help of given data.

Particulars	Rs.
Capital	120,000
Trade Creditors	17,500
Bills payable	1,000
Sales	626,100
Raw material Stocks on 1-1-2007	30,000
Work in process on 1-1-2007	35,600
Finished Goods on 1-1-2007	35,400
Purchases	518,000
Carriage inwards	8,900
Discount Allowed	750
Debtors	16,000
Sales man commission	2,000
Office expenses	2,000
Carriage outwards	1,700

Bad debts	1,400
Salaries	13,000
Direct labor	1,800
FOH	1,100
Plant & Machinery	53,000
Buildings	35,000
Tools	8,650
Long term liability	4,902
Drawings	5,000

Stock as on 31st December, 2007

Ø Raw material Stocks Rs. 31,000
Ø Work in process Rs. 25,000
Ø Finished Goods Rs. 53,900

Depreciation Rate:

v Plant & Machinery is depreciated @ 10%
v Buildings is depreciated @ 5%
v Tools is depreciated @ 15%

Additional data

v Reserve and bad debts is to be created at 5% on debtors.
v Net Income for the year Rs. 75,000

Paper no 31

Solved by Chanda Rehman, Nomi chakwal ABr

FINALTERM EXAMINATION

Fall 2009

MGT101- Financial Accounting (Session - 3)

Ref No: 1195700
Time: 120 min
Marks: 87

Question No: 1 (Marks: 1) - Please choose one

Shares for which amount is paid by public are called _____ shares.

► **Paid up**
► Authorized
► Bonus shares
► All are correct options

Question No: 2 (Marks: 1) - Please choose one

Income of the business includes:

► Cash sales only
► Credit sales only
► Credit purchases only
► **Both cash sales and credit sales**

Question No: 3 (Marks: 1) - Please choose one

Which of the following is used to record financial transactions in chronological (day-to-day) order?

► Voucher
► **General Journal**
► General Ledger
► Trial balance

Question No: 4 (Marks: 1) - Please choose one

The original book of entry, in which all vouchers are first recorded, is called:

► **General Journal**
- ► General Ledger
- ► Trial Balance
- ► Balance Sheet

Question No: 5 (Marks: 1) - Please choose one

A book, in which receipts and payments are recorded, is known as:

- ► Pass Book
- ► **Cash Book**
- ► Purchase Book
- ► Sales Book

Question No: 6 (Marks: 1) - Please choose one

Which of the following period is known as a fiscal Year of the Government of Pakistan?

- ► 1st January to 31st December
- ► 1st June to 31st May
- ► **1st July to 30th June**
- ► 1st October to 30th September

Question No: 7 (Marks: 1) - Please choose one

Which of the following is/are the **END** product of accounting cycle?

- ► **Financial Statements**
- ► General Journal
- ► General Ledger
- ► Voucher

Question No: 8 (Marks: 1) - Please choose one

Which of the following is **NOT** considered a part of financial statements?

- ► **General Ledger**
- ► Balance Sheet
- ► Profit and Loss Account
- ► Cash Flow Statement

Question No: 9 (Marks: 1) - Please choose one

The amount of salary paid to Mr. Sohail should be debited to:

- ► Mr. Sohail account
- ► **Salaries account**
- ► Cash account
- ► Drawings account

Question No: 10 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 90,000 and operating expenses are Rs. 25,000 during the year. What would be the Net Profit?

- ► **Rs. 5,000**
- ► Rs. 25,000
- ► Rs. 55,000
- ► Rs. 60,000

Question No: 11 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs. 20,000 during the year, what would be the value of Gross Profit?

► Rs. 15,000
► Rs. 35,000
► Rs. 55,000
► Rs. 60,000

Question No: 12 (Marks: 1) - Please choose one

If salaries expense is Rs. 2,500, purchases are Rs. 16,000 and rent (office building) is Rs. 300 during the year, what would be the total of "general & administrative expenses"?

► Rs. 300
► Rs. 2,500
► Rs. 2,800
► Rs.18, 800

Question No: 13 (Marks: 1) - Please choose one

The Primary objective of providing depreciation is:

► To calculate true profit
► To show the asset on market value
► To reduce tax Burdon
► To provide funds for replacement

Question No: 14 (Marks: 1) - Please choose one

Accounting is the language of:

► Business
► School
► Proprietor
► Management

Question No: 15 (Marks: 1) - Please choose one

Depreciation arises because of:

► Fall in the market value of an asset
► Fall in the value of money
► **Physical wear and tear**
► All of the given options

Question No: 16 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Owner's equity	Rs. 22,500
Total Liabilities	Rs. 80, 385
Cash in hand	Rs. 1,000
Cash at bank	Rs. 2,000
Debtors	Rs. 500

► Rs. 1, 02,885 other assets
► Rs. 1, 02,885 other liabilities
► Rs. 99,885 current liabilities
► Rs. 99,385 other assets

Question No: 17 (Marks: 1) - Please choose one

When the Bank Statement balance is more than the Cash Book balance, it is because of:

► Unpresented cheques
► Unrecorded bank charges
► Uncredited cheques
► None of the given options

Question No: 18 (Marks: 1) - Please choose one

Upon checking the Bank Statement against the Cash Book by Mr. A, It was discovered that an amount of Rs.120 for dividend from XYZ Co. had not been entered in the Cash Book. Which of the following entry should be recorded to rectify the mistake?

► Bank Account(Dr.) and Dividend Account (Cr.)
► XYZ Co. Account (Dr.) and Bank Account (Cr.)
► Dividend Account (Dr.) and Bank Account (Cr.)
► Bank Account (Dr.) and XYZ Co. Account (Cr.)

Question No: 19 (Marks: 1) - Please choose one

Which of the following subsidiary book(s) is (are) maintained for debtors control account?

► Sales Day Book
► Sales Return
► Debtors Ledger
► All of the given options

Question No: 20 (Marks: 1) - Please choose one

Which of the following is shown on credit side of creditors control account?

► Bills Receivable
► Return inwards
► Credit purchases
► Discount allowed

Question No: 21 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of carriage charges, paid for a new plant purchased mistakenly debited to carriage account?

► Plant account
► Carriage account
► Both plant account and carriage account
► Trading account

Question No: 22 (Marks: 1) - Please choose one

Which of the following rectifying entry will be recorded, if sales to Mr. “A” of Rs.336 have been debited to Mr. “B” account?

► A’s account (Dr.) and B’s account (Cr.)
► B’s account (Dr.) and A’s account (Cr.)
► Sales account (Dr.) and B’s account (cr.)
► B’s account (Dr.) and Sales account (Cr.)

Question No: 23 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	700
Sundry Debtors (Given in trial balance)	44,800

If the Provision for doubtful debts has been increased by 5%, which amount of new provision will be shown in Profit & Loss Account?

► Rs. 2,240
► Rs. 2,425
► Rs. 1,925

► Rs. 3,025

Question No: 24 (Marks: 1) - Please choose one

An asset which is **NOT** easily convertible to cash or not expected to become cash within a period of twelve months is called:

► Liquid asset
► Current asset
► Fixed asset
► Floating asset

Question No: 25 (Marks: 1) - Please choose one

When closing stock is given in trial balance, then it will effect:

► Trading account only
► Balance sheet only
► Owner's equity only
► Both Trading account and Balance sheet

Question No: 26 (Marks: 1) - Please choose one

Which of the following is **CORRECT** if depreciation is given in trial balance?

► All of the given options are correct
► It means depreciation has already been deducted from concerned asset account
► It will be shown as an expense in income statement only
► It will not be deducted from concerned asset in Balance Sheet

Question No: 27 (Marks: 1) - Please choose one

Identify the selling expenses of manufacturing concern with the help of given data.

Particulars	Rs.
Salesman's salary	70,000
Commission on sales	28,000
Carriage outward	10,000
Carriage inward	5,000

► Rs. 80,000
► Rs. 60,000
► Rs. 38,000
► Rs. 1, 08,000

Question No: 28 (Marks: 1) - Please choose one

In case of fixed capital accounts, other transactions such as Drawings and Profit etc. are recorded in a separate account that is called _____.

► Fixed Capital Account
► Current Account
► Fluctuating Capital Account
► Floating Capital Account

Question No: 29 (Marks: 1) - Please choose one

Which of the following clause/s are discussed in Memorandum of Association of Companies?

► Name of company
► Place of registered office of company
► Objective of the company
► All of the given options

Question No: 30 (Marks: 1) - Please choose one

In Income Statement, both beginning inventory and ending inventory appear in the section of:

► Cost of good sold
► Indirect cost
► Selling cost

► Factory over head cost

Question No: 31 (Marks: 1) - Please choose one

In which of the following auditor's remuneration payable is shown?

► In balance sheet under the head of current liabilities only
► In balance sheet under the head of current assets only
► In income statement under the administrative expense only
► In both balance sheet under the head of current liabilities and income statement under the administrative expense

Question No: 32 (Marks: 1) - Please choose one

How dividend declared is treated in the Balance Sheet of the company?

► Provision
► Current liability
► Reserves and surplus
► Current assets

Question No: 33 (Marks: 1) - Please choose one

The balance sheet reported a beginning balance of Rs. 20,000 in Accounts Receivable and an ending balance of Rs. 15,000. Credit Sales of Rs. 200,000 were made during the year. Using this information, compute cash collected from customers.

► Rs. 205,000
► Rs. 215,000
► Rs. 195,000
► Rs. 200,000

Question No: 34 (Marks: 1) - Please choose one

Which of the following statement in **NOT TRUE** about the limited company form of business?

► The limited company form of business allows ownership of the business to be spread amongst many people
► Shareholders can appoint professionals
► Shareholders are personally liable for all the liabilities incurred by the business
► Regular filing of information about the affairs of the company is a legal requirement

Question No: 35 (Marks: 1) - Please choose one

In calculating earning per share (EPS), the net profit is divided by which of the following?

► Number of ordinary shares
► Number of preference shares
► Paid up capital
► Authorized capital

Question No: 36 (Marks: 1) - Please choose one

Which of the given Asset is **Not** included in the calculation acid test ratio?

► Stock
► Cash
► Debtors
► Bills Receivable

Question No: 37 (Marks: 1) - Please choose one

Particulars	Rs.
Debentures	1, 50, 000
Equity Capital	2, 00,000
General Reserve	90, 000

Accumulated profit	60,000
What is debt equity ratio	**?**

- ► 15: 20 (or 3:4)
- ► 15:24 (or 5: 8)
- ► 15:29
- ► 15:35 (or 3: 7)

Question No: 38 (Marks: 1) - Please choose one

Normally the practice of Book Keeping under Single Entry System is followed by:

- ► Small businesses only
- ► Governments only
- ► Large scale businesses only
- ► Both small businesses and governments

Question No: 39 (Marks: 1) - Please choose one

In which of the following case the bank cannot refuse the payment?

- ► Stale cheque
- ► Bearer cheque
- ► Insolvency of the customer
- ► Post dated cheque

Question No: 40 (Marks: 1) - Please choose one

Stock account is debited and creditors account is credited, which of the following is reflecting the statement?

- ► Discount received
- ► Goods returned
- ► Purchase of goods on credit
- ► Payment of goods

Question No: 41 (Marks: 1) - Please choose one

Payment is made of a company's purchases on credit, which of the following is correct:

- ► Debit stock account and credit creditors account
- ► Debit creditors account and credit cash account
- ► Debit cash account and credit creditors account
- ► Debit stock account and credit cash account

Question No: 42 (Marks: 1) - Please choose one

We usually allow the customer to deduct a certain amount from the invoice value for prompt payment. In doing so we are granting a:

- ► Commission
- ► Allowance
- ► Discount
- ► Rebate

Question No: 43 (Marks: 1) - Please choose one

What will be obtained from the Purchases Returns Book?

- ► Discount received
- ► Returns outward
- ► Credit purchases
- ► Discount allowed

Question No: 44 (Marks: 1) - Please choose one

Deferred cost is classified as:

- ► Current liability
- ► Current asset
- ► Non-current asset
- ► Non-current liability

Question No: 45 (Marks: 1) - Please choose one

Which of the following is increased when an asset is converted into expense in adjustment?

- ► Revenue
- ► Net income
- ► Expense
- ► Liability

Question No: 46 (Marks: 1) - Please choose one

Accumulated depreciation is a _____ account?

- ► Fixed asset
- ► Current asset
- ► Contra asset
- ► Liability

Question No: 47 (Marks: 1) - Please choose one

Failure to record _____ will result in understates net income.

- ► Accrued expenses
- ► Expenses incurred
- ► Accrued revenues
- ► Accounts payable

Question No: 48 (Marks: 1) - Please choose one

Puget Sound Co. sold marketable securities Costing Rs.80,000 for Rs.92,000 cash. In the company's income statement and statement of cash flows, respectively, this will appear as:

- ► A Rs.12,000 gain and a Rs.92,000 cash receipt
- ► A Rs.92,000 gain and a Rs.8,000 cash receipt
- ► A Rs.12,000 gain and a Rs.80,000 cash receipt
- ► A Rs.92,000 sale and a Rs.92,000 cash receipt

Question No: 49 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on drawings of Mr. A is Rs.1,500 and of Mr. B is Rs.1,800. The net income for the year is Rs.85,000. What will be the amount of distributable profit?

- ► Rs.81,700
- ► Rs.88,300
- ► Rs.131,700
- ► Rs.146,700

Question No: 50 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,000 and markup on drawings of Mr. B is Rs.3,000. The net income for the year is Rs.50,000. What will be the profit share of Mr. A?

- ► Rs.22,500
- ► Rs.25,500
- ► Rs.27,500
- ► Rs.55,000

Question No: 51 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on capital of Mr. A is Rs.2,000 and markup on drawings of Mr. B is Rs.3,000. The net income for the year is Rs.85,000. What will be the profit share of Mr. B?

- ► Rs.40,000
- ► **Rs.43,000**
- ► Rs.130,000
- ► Rs.133,000

Net Profit = 85 000
Add Intrest on Drawings = 3000
Less intrest on capital = 2000

Total Profit of the firm = 85 000 + 3000 - 2000 = 86 000
Profit of B = 86000 / 2 = 43000

Question No: 52 (Marks: 1) - Please choose one

The value of a share as quoted on the stock exchange is known as:

- ► Book value
- ► Par value
- ► Market value
- ► Face value

Question No: 53 (Marks: 1) - Please choose one

Which of the following is not a measure of short-term liquidity?

- ► Current ratio
- ► Quick ratio
- ► Acid-test ratio
- ► Debt ratio

Question No: 54 (Marks: 1) - Please choose one

Short term investments in marketable securities and treasury bills that will mature within ninety days from the date of acquisition, must be classified as:

- ► Receivables
- ► Receipts from Capital
- ► Current and intangible assets
- ► Cash equivalents

Question No: 55 (Marks: 3)

Show how the following items will appear in profit and loss account.

Particulars	**Rs.**
Bad debts	3,600
Provision for doubtful debts (old)	8,500
Provision for doubtful debts (new)	1,500

Question No: 56 (Marks: 5)

What is the Purpose of Control Accounts?

Question No: 57 (Marks: 5)

Umer and Usman, both of whom are CPAs, form a partnership, with Umer investing Rs.100,000 and Usman, Rs.80,000. They agree to share net income as follows:

1. Salary allowances of Rs.80,000 to Umer and Rs.50,000 to Usman.
2. Interest allowances at 15 percent of beginning capital account balances.
3. Any partnership earnings in excess of the amount required to cover the interest and salary allowances to be divided 60 percent to Umer and 40 percent to Usman.

The partnership net income for the first year of operations amounted to Rs.247,000 before interest and salary allowances. Show how this amount should be divided between the two partners.

Question No: 58 (Marks: 10)

Following information are extracted from the books of XY and Sons for the year 2007.

Particulars	**Rs.**
Fixed Asset at WDV	529,500
Material 31-12-2007	188,000
Work in process on 31-12-2007	178,000
Finished Goods on 31-12-2007	198,000
Debtors	160,000

Bank	7,000
Creditors	100,000
Expenses payable	15,000
Profit for the year	X:90,000 Y:80,000
Drawings for the year	X:10,000 Y:15,000
Capital	X:400,000 Y: 350,000
Current Account	X: 13,000 Y:10,000
Long term loans	2,27,500

You are required to prepare Balance Sheet as on 31st December 2007. Show complete working.

Question No: 59 (Marks: 10)

Prepare Bank Reconciliation Statement as on 31st March 2009 with the help of given data.

	Particulars	Rs.
1	Balance as per Cash Book (Dr.)	180,000
2	Cheques paid into Bank in March 2009 but credited by the bank in April 2009	7,900 4,500 1,300
3	Cheques issued in March 2009 but cashed in April 2009	11,000 5,800
4	Cheques entered in the Cash Book in March 2009 but paid into bank in April 2009	1,000
5	Interest allowed by the bank	2,500
6	Interest charged by the bank	500

Paper no 32

Solved by Chanda Rehman, Nomi chakwal ABr FINALTERM EXAMINATION

Fall 2009

MGT101- Financial Accounting (Session - 4)

Ref No: 1195876

Time: 120 min

Marks: 87

Question No: 1 (Marks: 1) - Please choose one

Shares for which amount is paid by public are called _____ shares.

► Paid up

► Authorized

► Bonus shares

► All are correct options

Question No: 2 (Marks: 1) - Please choose one

If a business purchases machinery for Rs. 30,000 on 31st January 2008 having life of 10 years, this expense will be realized _____ under the concept of accrual accounting.

► For the year 2008 only

► For the last day of 10th year only

► Over 10 years
► Nothing can be said about it

Question No: 3 (Marks: 1) - Please choose one

What is the nature of an expense account?

► Debit
► Credit
► Revenue
► None of the given options

Question No: 4 (Marks: 1) - Please choose one

A summarized record of transactions related to individuals or things is called a/an _____.

► Account
► Voucher
► Journal
► Trial balance

Question No: 5 (Marks: 1) - Please choose one

Which one of the following is **NOT** prepared by Non profit organizations?

► Profit & Loss account
► Income & Expenditure account
► Receipts & Payments account
► Balance Sheet

Question No: 6 (Marks: 1) - Please choose one

Which of the following organizations prepare Income & Expenditure account?

► Public libraries
► NGOs
► Labor unions
► All of the given options

Question No: 7 (Marks: 1) - Please choose one

The favorable balance of Profit and Loss account should be:

► Added in liabilities
► Subtracted from current assets
► Subtracted from liabilities
► Added in capital

Question No: 8 (Marks: 1) - Please choose one

Which of the following entry will be recorded in the books of accounts for the goods returned to Mr. 'A'?

► Purchases return account (Dr) and Trading account (Cr)
► Mr.” A”/ creditor account (Dr) and purchases return account (Cr)
► Purchases return account (Dr) and Mr.” A” / creditor account (Cr)
► Mr.” A”/ creditor account (Dr) and Profit & Loss account (Cr)

Question No: 9 (Marks: 1) - Please choose one

Which of the following account will be credited, if business bought goods on credit from Mr. Ali?

► Purchases account
► Mr. Ali account

- Cash account
- Sales account

Question No: 10 (Marks: 1) - Please choose one

If the cost of sales is Rs.1,00,000, sales are Rs. 300,000 and operating expenses Rs. 200,000 during the year. What would be the Gross Profit?

- Rs. 5,000
- Rs. 1, 00,000
- Rs.1, 05,000
- Rs. 2, 00,000

Question No: 11 (Marks: 1) - Please choose one

Partially completed products that are not yet ready for sale are known as:

- Raw material
- Work in process
- Finished goods
- Closing stock

Question No: 12 (Marks: 1) - Please choose one

In the cost of goods sold statement, Cost of direct material consumed + Direct labor=?

- Conversion cost
- Prime cost
- Total factory cost
- Cost of goods manufactured

Question No: 13 (Marks: 1) - Please choose one

The Primary objective of providing depreciation is:

- To calculate true profit
- To show the asset on market value
- To reduce tax Burdon
- To provide funds for replacement

Question No: 14 (Marks: 1) - Please choose one

Under the reducing balance method of depreciation:

- Amount of depreciation increases every year
- Amount of depreciation remains constant for every year
- Amount of depreciation decreases every year
- None of the given options

Question No: 15 (Marks: 1) - Please choose one

Particulars	Rs.
Opening written down value of machine	1,00,000
Cost of new machine purchased during the year	50,000
Depreciation during the year	21,000
Closing written down value (WDV)	?

- Rs. 1, 29,000
- Rs. 1, 50,000
- Rs. 1, 21,000
- Rs. 71,000

Question No: 16 (Marks: 1) - Please choose one

In which of the following condition(s) **DEBT** is regarded as **BAD**.

- Bankruptcy of the debtor
- Disappearance of debtor’s business
- Failure of repeated attempt to collect the debt

► All of the given options

Question No: 17 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	3,600
Provision for doubtful debts (old)	6,000
Current year's provision (new)	1,500

► Rs. (5,100)
► Rs. 5,100
► Rs. (900)
► Rs. 900

Question No: 18 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 5%	

Requirement: Identify the Total amount which will deduct from Sundry debtors.

► Rs. 460
► Rs. 2,400
► Rs. 1,540
► Rs. 3,940

Question No: 19 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of carriage charges, paid for a new plant purchased mistakenly debited to carriage account?

► Plant account
► Carriage account
► Both plant account and carriage account
► Trading account

Question No: 20 (Marks: 1) - Please choose one

_____ are committed in those cases where proper distinction between revenue and capital items is not made.

► Error of principle
► Error of omission
► Error of commission
► Error of original entry

Question No: 21 (Marks: 1) - Please choose one

A receipt of cash Rs. 10,000 from Mr. Bilal is recorded as Rs. 1,000. What amount will be adjusted in rectifying entry?

► Rs. 1,000
► Rs. 9,000
► Rs. 10,000
► Rs. 11,000

Question No: 22 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600

Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

► Rs. 600
► Rs. 1,600
► Rs. 2,000
► Rs. 2,600

Question No: 23 (Marks: 1) - Please choose one

The main objective of financial reporting is to provide:

► Essential information to internal users of financial reports.
► Useful economic information about the business to the external parties for sound financial decisions.
► Information to internal users about the cash position of the business.
► Information to the Securities Exchange Commission (SEC).

Question No: 24 (Marks: 1) - Please choose one

Which of the following journal entry will be recorded, if cash is drawn by a Proprietor?

► Proprietor's drawings a/c (Dr.) and Cash a/c (Cr.)
► Cash a/c (Dr.) and Proprietor's drawings a/c (Cr.)
► Proprietor's Capital (Dr.) and Proprietor's drawings a/c (Cr.)
► Proprietor's drawings (Dr.) and Proprietor's Capital a/c (Cr.)

Question No: 25 (Marks: 1) - Please choose one

Which of the following item will be shown on debit side of capital account of sole proprietor?

► Cash
► Drawings
► Debtors
► Profit

Question No: 26 (Marks: 1) - Please choose one

When closing stock is given in trial balance, then it will effect:

► Trading account only
► Balance sheet only
► Owner's equity only
► Both Trading account and Balance sheet

Question No: 27 (Marks: 1) - Please choose one

Fixed Assets (WDV) + Working Capital =?

► Total assets employed
► Total liabilities
► Total assets
► Current assets

Question No: 28 (Marks: 1) - Please choose one

Which of the following account will be credited when interest on capital is charged against the distribution of profit?

► Interest account
► Partner's capital account
► Profit and Loss account
► Profit and loss appropriation account

Question No: 29 (Marks: 1) - Please choose one

Which of the following is(are) type(s) of capital account in partnership?

º Fixed Capital

º Current Capital
º Fluctuating Capital
º Both Fixed Capital and Fluctuating Capital

Question No: 30 (Marks: 1) - Please choose one

In case of fixed capital accounts, other transactions such as Drawings and Profit etc. are recorded in a separate account that is called _____.

► Fixed Capital Account
► Current Account
► Fluctuating Capital Account
► Floating Capital Account

Question No: 31 (Marks: 1) - Please choose one

Which of the following is (are) type(s) of Public Limited Companies?

► Listed company
► Non listed company
► Private limited company
► Both Listed Company and non listed company

Question No: 32 (Marks: 1) - Please choose one

Which of the following clause/s are discussed in Memorandum of Association of Companies?

► Name of company
► Place of registered office of company
► Objective of the company
► All of the given options

Question No: 33 (Marks: 1) - Please choose one

The amount received; in excess of the face value of the shares is transferred to which of the following?

► Share capital account
► Right share
► Share premium account
► Share holder account

Question No: 34 (Marks: 1) - Please choose one

Preliminary Expenses of the company may write off against:

► Share premium account
► Share holder account
► Debtors control account
► Creditor control account

Question No: 35 (Marks: 1) - Please choose one

Which of the following account will be debited if shares issued against cash?

► Share premium account
► Cash account
► Share capital account
► Profit and loss account

Question No: 36 (Marks: 1) - Please choose one

Which of the following is the most important document of the company?

► Memorandum of Association
► Articles of Association
► Prospectus
► Annual Report

Question No: 37 (Marks: 1) - Please choose one

Which of the following documents contains rules and regulations for internal management of the company?

- ► Memorandum of Association
- ► Articles of Association
- ► Prospectus
- ► Statutory Declaration

Question No: 38 (Marks: 1) - Please choose one

How dividend declared is treated in the Balance Sheet of the company?

- ► Provision
- ► Current liability think this one
- ► Reserves and surplus
- ► Current assets

Question No: 39 (Marks: 1) - Please choose one

The primary purpose of preparing a cash flow statement for an entity is to provide information about:

- ► Its financial position at the end of an accounting period
- ► Its cash receipts and cash payments during an accounting period
- ► Its financial position at the start of an accounting period
- ► None of the given options

Question No: 40 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as an inflow of cash?

- ► The repayments of a bank loan
- ► Dividend issue in the current year
- ► Money received as result of selling fixed assets
- ► The difference between the valuations of old and new fixed assets doubted

Question No: 41 (Marks: 1) - Please choose one

Debenture is also named as:

- ► Share
- ► Bond
- ► Equity
- ► Reserve

Question No: 42 (Marks: 1) - Please choose one

Prepaid interest given in the Trial Balance will be treated as a (an):

- ► Asset
- ► Liability
- ► Revenue
- ► Deferred expense

Question No: 43 (Marks: 1) - Please choose one

Wages outstanding given in the trial balance will be treated as a (an):

- ► Asset
- ► Liability
- ► Revenue
- ► Deferred expense

Question No: 44 (Marks: 1) - Please choose one

Which of the following fixed asset is normally appreciated with the passage of time?

- ► Land
- ► Vehicles
- ► Furniture
- ► Machinery

Question No: 45 (Marks: 1) - Please choose one

Expenditures incurred annually on renewal of patent are known as:

- ► Revenue Expenditures
- ► Capital Expenditures doubted
- ► Deferred Expenditures
- ► None of the given options

Question No: 46 (Marks: 1) - Please choose one

Accounts receivables are shown in balance sheet at:

- ► Net realizable value
- ► Total collectible amount
- ► Current value
- ► Collected amount

Question No: 47 (Marks: 1) - Please choose one

Stock account is credited and creditors account is debited, which of the following is reflecting the statement?

- ► Discount received
- ► Goods returned
- ► Purchase of goods on credit
- ► Payment of goods

Question No: 48 (Marks: 1) - Please choose one

Mr. Ali's bank book shows a debit balance of Rs. 36,000. He deposited a cheque of Rs.15,000 but not yet collected by the bank. What will be the balance of bank statement?

- ► Rs. 21,000
- ► Rs. 51,000
- ► Rs. 36,000
- ► Rs. 15,000

Question No: 49 (Marks: 1) - Please choose one

We usually allow the customer to deduct a certain amount from the invoice value for prompt payment. In doing so we are granting a:

- ► Commission
- ► Allowance
- ► Discount
- ► Rebate

Question No: 50 (Marks: 1) - Please choose one

Which of the following is **NOT** a financial statement?

- ► Balance sheet
- ► Audit report
- ► Income statement
- ► Cash flow statement

Question No: 51 (Marks: 1) - Please choose one

In a partnership of Mr. X and Mr. Y, the share of profit of Mr. X is Rs.3,840 and the share of profit of Mr. Y is Rs. 5,760. What will be the ratio of their share?

- ► 1:2
- ► 2:3
- ► 3:2
- ► 2:1

Question No: 52 (Marks: 1) - Please choose one

Interest expenses of Epler Corporation shows a debit balance of Rs.200 in its unadjusted trial balance and Rs.250 in adjusted trial balance. Which of the following account will be debited in adjusting entry?

► Interest expense
► Interest payable
► Prepaid interest
► Interest paid

Question No: 53 (Marks: 1) - Please choose one

The amount of share premium can be utilized except:

► To write off preliminary expenses
► To meet the expenses of issue of shares
► To distribute among the share holders
► To issue bonus shares

Question No: 54 (Marks: 1) - Please choose one

Which of the following ratio cannot be computed for a period in which the company incurs a net loss?

► Acid-test ratio doubted
► Return on investment
► Price-earning ratio
► None of the given options

Question No: 55 (Marks: 3)

What are the benefits of subsidiary ledgers?

Answer:

When business expands the number of accounts and entries are also increased so to control the accounts in a better way subsidiary ledgers are used which give a good picture and vision of the account study and accountablility.

Following are the subsidiary ledgers used:

1. Sales Journals
2. Sales Returns
3. Debtors Ledgers

Question No: 56 (Marks: 5)

What is bank overdraft? Mention an example for this. Why companies have to pay mark up on it. Under which head mark up paid on overdraft is shown in financial statement.

Answer:

Bank Overdraft is the form of loan taken from the bank when the amount is exceeding from specific limit, and bank deduct this overdraft amount when company's account debited, As this is the type of Loan and so company have to pay mark up as interest on the overdraft amount and depend upon the terms of agreement. In the financial statement the mark up is shown in Financial Expenses.

Question No: 57 (Marks: 5)

What will be the effects of given adjustments on the income statement and balance sheet?

	Income statement			**Balance sheet**		
Adjustment	Revenue	Expense	Net income	Assets	Liabilities	Owner's equity
Converting assets to expenses	**No effect**	**Increase**	**Decrease**	**Decrease**	**No effect**	**Decrease**
Converting liabilities to revenue	Increase	No Effect	NO Effect	No effect	Decrease	No effect
Accruing unpaid expenses	No effect	Decrease	No effect	No effect	Decrease	
Accruing uncollected revenue	Increase	No effect	increase	No effect	No effect	

Note: For better understanding an example is given above. Follow the format given in example.

Question No: 58 (Marks: 10)

Prepare Debtors and Creditors control account from the following data. Also work out their closing balances on June 30, 2009

June 1:	**Rs.**
Opening balance of Debtors	58,500
Opening balance of Creditors	70,000
Details of June:	
Total credit sales	44,700
Cheques and cash received	55,000
Purchase return	6,600
Total credit purchases	48,000
Discount received	2,200
Discount allowed	2,800
Cheques and cash paid	36,330

Creditors Control Account

Debit Side				**Credit Side**			
Date	No.	Narration	Dr. Rs	Date	No.	Narration	Cr. Rs
		Purchase Return	6,600			B/F	70,000
		Discount Received	2,200			Purchase	48,000
		Cash/cheques Paid	36,330				
		C/f	72,870				
		Total	**1,18000**			**Total**	**118000**

Debtors Control Account

Debit Side				**Credit Side**			
Date	No.	Narration	Dr. Rs	Date	No.	Narration	Cr. Rs
		B/f	58,500			Cash/Checque Rec	55,000
		Total Sale	44,700			Discount	28,00
						C/f	45,400
		Total	**10,3200**			**Total**	**10,3200**

Question No: 59 (Marks: 10)

From the given information as at June 30, 2007, calculate fixed assets at WDV and cost of goods sold as on June 30,2008.

Building at Cost	239,500
Equipment at Cost	22,000
Vehicles at Cost	45,000
Accumulated Dep. – Building	12,250
Equipment	7,000
Vehicles	13,900
Stock Opening Balance	58,725
Sales	247,500
Purchases	136,775
Carriage Inward	6,050
Vehicle Running Expenses	22,300

Additional Information:

- Closing stock Rs. 70,050.
- Depreciation during the year
  - Building 6,000
  - Vehicles Rs 8,500
  - Equipment 4,000

Solution:

Cost of Goods Sold:

Opening Stock Balance		58,725
Add: Purchase	136,775	
Add: Carriage Inward	6,050	
Less: Closing Stock		(70,050)
Cost of Goods sold	**131,500 Rs.**	

Fixed Assets:

Building (12,250)	227,250
Vehicle (13,900)	31,100
Equipment (7,000)	15,000
Total	**273,350 Rs.**

Paper no 33

Solved by Chanda Rehman, & ABr

Question No: 1 (Marks: 1) - Please choose one

Prepaid interest given in the Trial Balance will be treated as a (an):

- ► **Asset**
- ► **Liability**
- ► **Revenue**
- ► **Deferred expense**

Question No: 2 (Marks: 1) - Please choose one

The net income calculated in the income statement for the accounting period is reported on:

- ► **Bank Statement**
- ► **Statement of retained earnings**
- ► **Statement of cash flows**
- ► **None of the given options**

Question No: 3 (Marks: 1) - Please choose one

If the Capitals of partners are fixed then, at the end of financial year a partner's drawings are transferred to the:

- ► **Credit side of the partner's capital account**
- ► **Credit side of the partner's current account**
- ► **Debit side of partnership bank account**
- ► **Debit side of the partner's current account**

Question No: 4 (Marks: 1) - Please choose one

If one partner receives a salary which is credited to him at the end of the year, the share of profit available for distribution will be:

- ► **Increased**
- ► **Decreased**
- ► **Unchanged**
- ► **Changed and become negative**

Question No: 5 (Marks: 1) - Please choose one

In which situation(s) Partnership is dissolved?

- **In case of death of partner**
- **At the admission of new partner**
- **If any partner resigned from partnership**
- **All of the given options**

Question No: 6 (Marks: 1) - Please choose one

	Rs.
Gross profit	**50,000**
Operating profit	**42,000**
Sales	**250, 000**
What is the amount of operating expenses	**?**

- Rs. 8,000
- **Rs. 92,000**
- **Rs. 62,500**
- **Rs. 300,000**

Question No: 7 (Marks: 1) - Please choose one

Current ratio may be increased by:

- Overstating current Assets
- **Overstating current Liabilities**
- **Understating current Assets**
- **Understating current assets and overstating current liabilities**

Question No: 8 (Marks: 1) - Please choose one

In which of the following interim dividend is treated?

- **In profit and Loss account**
- In profit and Loss appropriation account
- **On the asset side of the Balance Sheet**
- **In trading account**

Question No: 9 (Marks: 1) - Please choose one

The statement of changes in equity basically shows the movement of:

- **share capital during the year**
- **Capital reserves during the year**
- **Revenue Reserves during the year**
- **All of the given options not sure**

Question No: 10 (Marks: 1) - Please choose one

Which of the following can offer its share to general public at large?

- **A private limited company**
- A listed company
- **A partnership firm**
- **A trust**

Question No: 11 (Marks: 1) - Please choose one

The Joint Stock Company is formed under the Companies Ordinance:

- 1984
- **I884**
- **1948**
- **1965**

Question No: 12 (Marks: 1) - Please choose one

In case of fixed capital accounts, other transactions such as Drawings and Profit etc. are recorded in a separate account that is called _____.

- ► **Fixed Capital Account**
- ► Current Account
- ► **Fluctuating Capital Account**
- ► **Floating Capital Account**

Question No: 13 (Marks: 1) - Please choose one

Which of the following account will be debited when the interest on drawings is charged?

- ► **Partner's capital account** correct
- ► **Interest account**
- ► **Partner's current account**
- ► **Profit & Loss account**

Question No: 14 (Marks: 1) - Please choose one

Which of the following account will be credited when interest on capital is charged against the distribution of profit?

- ► **Interest account**
- ► Partner's capital account
- ► **Profit and Loss account**
- ► **Profit and loss appropriation account**

Question No: 15 (Marks: 1) - Please choose one

Which of the following statement is TRUE **about the partnership form of business?**

- ► **Partners must have to share their profits in equal proportion**
- ► **Partners are personally liable for the liabilities of the business**
- ► **Partnerships must make their accounts available to the general public**
- ► Partnership agreement in writing is called Partnership deed

Question No: 16 (Marks: 1) - Please choose one

Which of the following statements is NOT TRUE **about the partnership form of business?**

- ► **A partnership is a business run by two or more persons**
- ► **A partnership business is easy to set up**
- ► **Each partner is liable under the law for the actions of other partners**
- ► **In the absence of agreement, partners will be paid salaries**

Question No: 17 (Marks: 1) - Please choose one

Which of the following is TRUE **about the treatment of insurance paid in advance Rs. 13,000?**

- ► **It will be treated as an other income in Profit & Loss Account**
- ► It wil be treated as a current asset in Balance Sheet
- ► **It will be treated as a current liability in Balance Sheet**
- ► **It will be treated as an accrued expense in Balance Sheet**

Question No: 18 (Marks: 1) - Please choose one

Which of the following is/are NOT **shown in balance sheet of sole proprietor?**

- ► **Fixed assets**
- ► **Current liabilities**
- ► Profit sharing ratio
- ► **Long term assets**

Question No: 19 (Marks: 1) - Please choose one

Which of the following appears in both the Income Statement debit column and the Balance Sheet credit?

► **Net income**
► **Net loss**
► **Dividends**
► **Retained earnings**

Question No: 20 (Marks: 1) - Please choose one
Which of the following is a selling expense?

► **Any tax/freight is paid on purchases**
► **General salaries paid to laborers**
► Tax & freight paid on sale
► **Interest on deposits**

Question No: 21 (Marks: 1) - Please choose one
Which of the following is NOT **an operating expense?**

► **Salaries and wages expense**
► **Rent expense correct**
► Interest expense
► **Depreciation expense**

Question No: 22 (Marks: 1) - Please choose one
Consider the following table:

	Financial statement item	Classification
A.	Inventory	Current asset
B.	Tangible assets	Non-current asset
C.	Accrued expenses	Current asset
D.	Bonds payable	Long-term liabilities

Identify the row above, showing an INCORRECT **financial-statement classification?**

► **Row A**
► **Row B**
► Row C
► **Row D**

Question No: 23 (Marks: 1) - Please choose one
Which of the following is the first phase of the typical operating cycle?

► **Receive cash from customers**
► **Pay cash to suppliers**
► **Sell goods and services to customers**
► Purchase goods and services

Question No: 24 (Marks: 1) - Please choose one
Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 10%	

Identify the Total amount deducted from Sundry debtors.

► **Rs. 460**
► **Rs. 2,400**
► **Rs. 3,080 (wrong)**
► **Rs. 5,480 (correct)**

Question No: 25 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account

- **Rs. 3,600**
- **Rs. 4,000**
- **Rs. 1,600**
- **Rs. 2, 400**

Question No: 26 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

- **Rs. 600**
- **Rs. 1,000**
- **Rs. 2,000**
- **Rs. 2,600**

Question No: 27 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of a purchase return of Rs.200 to Mr. "A" entered in sales book instead of purchase return book?

- **A's account only**
- **Sales account only**
- Purchase returns account and sales account
- **Purchases account only**

Question No: 28 (Marks: 1) - Please choose one

"Goods sold to Mr. Salman for Rs. 6,000 have been forgotten to enter in books of accounts", is an example of:

- **Error of principle**
- Error of omission
- **Error of commission**
- **Error of original entry**

Question No: 29 (Marks: 1) - Please choose one

_____ are committed in those cases where proper distinction between revenue and capital items is not made.

- Error of principle
- **Error of omission**
- **Error of commission**
- **Error of original entry**

Question No: 30 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of carriage charges, paid for a new plant purchased mistakenly debited to carriage account?

- **Plant account**
- **Carriage account**
- Both plant account and carriage account
- **Trading account**

Question No: 31 (Marks: 1) - Please choose one

Which of the following entry will be passed to record discount received in control account?

- ► **Discount Received (Dr) and Creditors Control A/c (Cr)**
- ► **Discount Received (Dr) and Creditors A/c (Cr)**
- ► Creditors Control A/c (Dr) and Discount Received (Cr)
- ► **Creditors A/c (Dr) and Discount Received (Cr)**

Question No: 32 (Marks: 1) - Please choose one

Which of the following is shown on credit side of creditors control account?

- ► **Bills Receivable**
- ► **Return inwards**
- ► Credit purchases
- ► **Discount allowed**

Question No: 33 (Marks: 1) - Please choose one

It is supposed that on 31-12-2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. What entry will pass to transfer the bad debts to provision for doubtful debts?

- ► **Profit & Loss a/c Rs. 1,600 (Dr) & Provision for doubtful debts a/c Rs. 1,600 (Cr)**
- ► Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)
- ► **Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)**
- ► **Provision for doubtful debts a/c Rs. 1,600 (Dr) & Bad Debts a/c Rs. 1,600 (Cr)**

Question No: 34 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	800
Sundry Debtors (Given in trial balance)	44,500
Provision for doubtful debts @ 5%	
What will be the amount of new provision	?

- ► Rs. 2,225
- ► **Rs. 2,525**
- ► **Rs. 1,925**
- ► **Rs. 3,025**

Question No: 35 (Marks: 1) - Please choose one

An overdraft will appear as:

- ► **a debit balance in the both the bank statement and the cash book.**
- ► **a credit balance in the bank statement but as a debit balance in the cash book.**
- ► a credit balance in the cash book but as a debit balance in the bank statement.
- ► **a credit balance in both the bank statement and the cash book.**

Question No: 36 (Marks: 1) - Please choose one

Which one of the following is NOT true for Profit & Loss Account?

► **It shows whether a business has made a profit or loss over a financial year**

► **It shows the financial performance of a business for the period**

► **It shows revenues and expenses for the period**

► It is used to calculate surplus/deficit for a particular period

Question No: 37 (Marks: 1) - Please choose one

Which of the following is CORRECT regarding depreciation?

► It is a systematic al ocation of depreciable amount of an asset over its estimated useful life

► **It refers to the end life of an asset**

► **It refers to the increase in value of asset**

► **It is another name of Impairment**

Question No: 38 (Marks: 1) - Please choose one

The total of all costs incurred to convert raw material into finished goods is known as:

► **Prime cost**

► Conversion cost

► **Sunk cost**

► **Opportunity cost**

Question No: 39 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 90,000 and operating expenses are Rs. 25,000 during the year. What would be the Net Profit?

► Rs. 5,000

► **Rs. 25,000**

► **Rs. 55,000**

► **Rs. 60,000**

Question No: 40 (Marks: 1) - Please choose one

"Electricity bill for the month is paid by Mr. Imran Rs. 325". What is the journal entry to record this transaction?

► **Cash a/c Rs. 325 (Dr.) , Utilities Expense a/c Rs. 325 (Cr.)**

► Utilities Expense a/c Rs. 325 (Dr.), Cash a/c Rs. 325 (Cr.)

► **Accounts Receivable a/c Rs. 325 (Dr.), Utilities Expense a/c Rs. 325 (Cr.)**

► **Utilities Expense a/c Rs. 325 (Dr.), Accounts Receivable a/c Rs. 325 (Cr.)**

Question No: 41 (Marks: 1) - Please choose one

Which of the following journal entry will be recorded, if the cash is deposited in the bank?

► Bank account (Dr) and Cash account (Cr)

► **Cash account (Dr) and Bank account (Cr)**

► **Bank account (Dr) and Profit & Loss account (Cr)**

► **Cost of goods Sold account (Dr) and Bank account (Cr)**

Question No: 42 (Marks: 1) - Please choose one

Which one of the following statement is CORRECT **about Long term liabilities?**

- ► **These are due within one year**
- ► These are consist of al debts, payable after 12 months
- ► **In working capital, these are deducted from current assets**
- ► **All of the given options**

Question No: 43 (Marks: 1) - Please choose one

A summarized record of transactions related to individuals or things is called a/an _____.

- ► Account
- ► **Voucher**
- ► **Journal**
- ► **Trial balance**

Question No: 44 (Marks: 1) - Please choose one

When a Liability is reduced or decreased, it is recorded on the:

- ► **Right or debit side of the account**
- ► **Left or debit side of the account**
- ► **Left or credit side of the account**
- ► **Right or credit side of the account**

Question No: 45 (Marks: 1) - Please choose one

Obligations to pay cash or un-earned incomes by the business are the:

- ► **Assets**
- ► Liabilities
- ► **Equities**
- ► **Expenses**

Question No: 46 (Marks: 1) - Please choose one

Economic resources owned by a business and expected to benefit for the future operations are called:

- ► **Expenses**
- ► **Assets**
- ► **Capital**
- ► **Liabilities**

Question No: 47 (Marks: 1) - Please choose one

According to the double entry system of book keeping, the investment of Rs.10, 000 in the business made by the owner will effect:

- ► Cash & Capital Account
- ► **Cash & Expense Account**
- ► **Capital & Revenue Account**
- ► **Capital & Expense Account**

Question No: 48 (Marks: 1) - Please choose one

Income of the business includes:

- ► **Cash sales only**
- ► **Credit sales only**
- ► **Credit purchases only**
- ► **Both cash sales and credit sales**

Question No: 49 (Marks: 1) - Please choose one

If a business purchases machinery for Rs. 30,000 on 31st January 2008 having life of 10 years, this expense will be realized _____ under the concept of accrual accounting.

- ► **For the year 2008 only**
- ► **For the last day of 10th year only**
- ► Over 10 years
- ► **Nothing can be said about it**

Question No: 50 (Marks: 1) - Please choose one

Double entry accounting system includes:

- ► **Accrual accounting only**
- ► **Cash accounting only**
- ► Both cash and accrual accounting
- ► **None of the given options**

Question No: 51 (Marks: 5)

Following information is extracted from the books of Abrar Ltd as on December 31st, 2007.

Particulars	Rs
Carriage inwards	8,000
Legal charges	6,500
Financial charges	223,500
Tax payable	30,000
Advances from customer	10,000
General reserve	40,000
Accumulated profit brought forward(credit balance)	95,000
Long term loans	1,00,000

Additional information

The authorized capital is Rs. 50, 00,000 divided into 500,000 shares of Rs. 10 each. Issued and paid up capital 2, 500,000.

You are required to prepare calculate Share holders equity

Share holder equity will have Authorized capital, Paid up capital, General Reserves & Accumulated profit brought forward

Authorized capital = Rs. 50,00,000 divided into 500,000 shares of Rs. 10 each
Issued and paid up capital 2,500,000
General Reserve 40,000
Accumulated profit brought forward (Credit balance) 95,000

2500000 + 40000 + 95000 = 2635000

Question No: 52 (Marks: 10)

Write down the at least ten distinguishing features of a limited company which differentiate it from sole proprietor business

The basic difference between a partnership and a limited company is the concept of limited liability.

1. **If a partnership business runs into losses and is unable to pay it's liabilities, its partners will have to pay the liabilities from their own wealth.**
2. **In case of limited company the shareholders don't lose anything more than the amount of capital they have contributed in the company. It points that personal wealth**

is not at stake and their liability is limited to the amount of share capital they have contributed.

3. **The concept of limited company is to mobilize the resources of a large number of people for a project, which they would not be able to afford independently and then get it managed by experts.**
4. **Listed Company have more than twenty partners, so problem of extra capital is reduced to minimum.**
5. **The liabilities of the members of a company is limited to the extent of capital invested by them in the company**
6. **There are certain tax benefits to the company, which a partnership firm can not enjoy**
7. **In Pakistan, affairs of limited companies are controlled by "Companies Ordinance" issued in 1984**
8. **The formation of a company and other matters related to companies are governed by "Securities and Exchange Commission of Pakistan (SECP)**

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Question No: 53 (Marks: 10)

The following Trail balance is taken out from the books of Rahman & Sons as on 31st December, 2008.

	Dr.	Cr.
	Rs.	Rs.
Sales		204,000
Capital		120,000
Bank overdraft		103,560
Sundry Creditors		120,000
Opening Stock	60,400	
Purchases	231,600	
Sundry Debtors	109,660	
Returns Inwards	3,640	
General Expenses	6,980	
Plant	22,620	
Wages & Salaries	16,740	
Building	50,000	
Cash in Hand	680	
Cash at bank	8,720	
Drawings	16,960	
Motive Power	2,300	
Dock &clearing Charges	1,300	
Coal, Gas, Water	1,700	
Salaries	9,820	
Interest on O/D	4,440	
Rent rates Taxes	1,400	
Discount Allowed	2,000	
Interest received		3,400
	550,960	550,960

Requirement:

Prepare The Trading and Profit & Loss account of the business for the year ended. Closing Stock is valued at Rs.40, 000.

Trading & Profit & Loss Account
For the year ending 31st December 2008

Particulars	Debit Balance/Rs	Particulars	Credit Balance/Rs
Opening Stock	60400	Sales 204000	200360
Purchases	231600	Less returns: 3640	
Dock &clearing Charges	1300	Closing Stock	40000
Wages	16740		
Motive Power	2300		
Coal gas Water	1700	Gross Loss	73680
	314040		314040
Gross Loss	73680	Interest received	3400
Salaries	9820		
Rent, Rate, Taxes	1400		
General Expenses	6980		
Interest on O/D	4440		
Discount Allowed	2000		
		Net Loss	94920
	98320		98320

Question No: 54 (Marks: 10)
Pass the rectifying entries to correct the fol owing errors:

- **Mr. "Ali" purchased goods of Rs. 1,500 on cash, but omitted to enter in the books of accounts.**
- **An amount of Rs. 5,000 received from Mr. Amir, was credited to the account of Mr. Ameer.**
- **Goods returned worth Rs. 500 to Mr. "B" wrongly debited to sales Account.**
- **A purchase of goods from Mr. "B" of Rs. 400 has been wrongly debited to Furniture Account.**
- **Furniture purchased on cash Rs. 8,000 posted as purchases.**

Rectification of Errors

Error 1.
A purchase of goods of Rs. 1,500 on cash was omitted by mistake

Rectification Entry on the date of discovery:

Debit:	Purchase Account	1,500	
Credit:	Cash Account		1,500

Error 2

Debit:	Mr. Ameer	5,000	
Credit:	Mr. Amir		5,000

- Error 3 **Goods returned worth Rs. 500 to Mr. "B" wrongly debited to sales Account.**

Debit: Goods Return Rs. 500
Credit: Sales Account Rs. 500

Error 4 **A purchase of goods from Mr. "B" of Rs. 400 has been wrongly debited to Furniture Account.**

Debit: Purchases Rs. 400
Credit Furniture Account Rs. 400

Error 5 Furniture purchased on cash Rs. 8,000 posted as purchases.

Debit Furniture Account Rs. 8,000

Credit Purchase Post Account Rs. 8,000

Paper No:34
Solved by Chanda Rehman & ABr

FINALTERM EXAMINATION
Fall 2009
MGT101- Financial Accounting (Session - 2)
Time: 120 min
Marks: 87

Question No: 1 (Marks: 1) - Please choose one
We can say that the business is in profit, when:

- Assets exceed Expenditure
- Assets exceed Liabilities
- Income exceeds Expenditure
- Income exceeds Liabilities

Question No: 2 (Marks: 1) - Please choose one
Term "Credit" means_____ by the business.

- Receiving of benefits
- It has no effect on business
- Providing of benefits **correct**
- It depends upon items

Question No: 3 (Marks: 1) - Please choose one
According to the double entry system of accounting, an account that obtains benefit is:

- Debit
- Credit
- Income
- No need to show as accounting record

Question No: 4 (Marks: 1) - Please choose one
When a Liability is reduced or decreased, it is recorded on the:

- Right or debit side of the account
- Left or debit side of the account

► Left or credit side of the account
► Right or credit side of the account

Question No: 5 (Marks: 1) - Please choose one
When Capital is increased by an amount, it is recorded on the:

► Left or credit side of the account
► Right or debit side of the account
► Left or debit side of the account
► Right or credit side of the account

Question No: 6 (Marks: 1) - Please choose one
Bank book is part of:

► Voucher
► General Journal
► General Ledger
► Trial Balance

Question No: 7 (Marks: 1) - Please choose one
What type of expenses are paid out of Gross Profit?

► Selling Expenses
► General Expenses
► Financial Expenses
► All of the given options

Question No: 8 (Marks: 1) - Please choose one
Which of the following shows summary of a company's financial position at a specific date?

► Profit & Loss Account
► Cash Flow Statement
► Balance Sheet
► Income & Expenditure Account

Question No: 9 (Marks: 1) - Please choose one
Which of the following is NOT an example of intangible assets?

► Franchise rights
► Goodwill
► Patents
► Land

Question No: 10 (Marks: 1) - Please choose one
Which of the following is an example of business liability?

► Land
► Building
► Cash
► Capital

Question No: 11 (Marks: 1) - Please choose one
The unfavorable balance of Profit and Loss account should be:
► Added in liabilities
► Subtracted from current assets
► Subtracted from liabilities
► Subtracted from capital

Question No: 12 (Marks: 1) - Please choose one
Which of the following account will be credited, if business bought goods on credit from Mr. Ali?

► Purchases account
► Mr. Ali account
► Cash account
► Sales account

Question No: 13 (Marks: 1) - Please choose one
Interest on loan paid by business is an example of :
► Deferred expense
► Revenue expense
► Capital expense
► None of the given options

Question No: 14 (Marks: 1) - Please choose one
The allocation of the cost of a tangible plant asset to expense in the periods, in which services are received from the asset, is termed as:

► Appreciation
► Depreciation
► Fluctuation
► None of the given options

Question No: 15 (Marks: 1) - Please choose one
Which of the following is NOT a function of bank reconciliation statement?
► To reconcile the difference between the cash book and the bank statement
► To check for errors in balance sheet
► To update omitted entries into the cash book
► To update omitted entries into the bank statement

Question No: 16 (Marks: 1) - Please choose one
Which of the following entry will be recorded when the Bad Debts are recovered?

► Cash account (Dr.) & Bad Debts recovered account (Cr.)
► Accounts Receivable account (Dr.) & Bad Debts recovered account (Cr.)
► Bad debts recovered account (Dr.) and Profit & Loss account (Cr.)
► Provision for doubtful debts account (Dr.) & Cash account (Cr.)

Question No: 17 (Marks: 1) - Please choose one
Which of the following subsidiary book(s) is (are) maintained for debtors control account?

► Sales Day Book
► Sales Return
► Debtors Ledger
► All of the given options

Question No: 18 (Marks: 1) - Please choose one
Sales are calculated by adding:

- ► Cash sales and cash received from debtors
- ► Credit sales and cash received from debtors
- ► Cash sales and credit sales
- ► Cash ales and credit purchases

Question No: 19 (Marks: 1) - Please choose one
Which of the following item will be shown on debit side of debtors account?

- ► Discount received
- ► Return inwards
- ► Discount allowed
- ► Credit sales

Question No: 20 (Marks: 1) - Please choose one
Goods purchased from “Mr. A” for Rs. 2,000 passed through the sales book. The rectification of error will result in:

- ► Increase of gross profit
- ► Decrease of gross profit
- ► Remains constant and no effect on net profit
- ► There is no relation between goods purchased and gross profit

Question No: 21 (Marks: 1) - Please choose one
Goods of Rs.1,000 purchased from Mr. “A” were recorded in sales book, the rectification of this error will:

- ► Increase the gross profit
- ► Reduce the gross profit
- ► Have no effect on gross Profit
- ► None of the given options

Question No: 22 (Marks: 1) - Please choose one
Which of the following account will be credited when a typewriter is sold that has been used in the office?

- ► Cash Account
- ► Sales Account
- ► Purchase Account
- ► Office Equipment Account

Question No: 23 (Marks: 1) - Please choose one
When one or both aspects of a transaction are recorded in the wrong class or category of account, this is called:

- ► Error of principle
- ► Error of omission
- ► Error of commission

► Error of original entry

Question No: 24 (Marks: 1) - Please choose one
Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

► Bank charges
► An error on the Bank Statement
► An uncredited deposit
► An unpresented cheque

Question No: 25 (Marks: 1) - Please choose one
It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account

► Rs. 3,600
► **Rs. 4,000** correct
► Rs. 1,600
► Rs. 2, 400

Question No: 26 (Marks: 1) - Please choose one
Which of the following is an example of operating expense?

► Purchasing operating equipment
► **Purchasing cleaning services**
► Purchasing an investment in another company
► Purchasing a computer for the accounting office

Question No: 27 (Marks: 1) - Please choose one
Which of the following would NOT be considered as a component of 'cost' of stock?

► Salaries of selling staff
► Transportation inward costs
► Import duties
► Purchase price

Question No: 28 (Marks: 1) - Please choose one
Which of the following will be debited, if cash is drawn by Proprietor?

► Proprietor's drawings
► Proprietor's cash
► Proprietor's capital
► Proprietor's income

Question No: 29 (Marks: 1) - Please choose one
Which of the following is TRUE about the treatment of insurance paid in advance Rs. 13,000?

► It will be treated as an other income in Profit & Loss Account
► It will be treated as a current asset in Balance Sheet
► It will be treated as a current liability in Balance Sheet
► It will be treated as an accrued expense in Balance Sheet

Question No: 30 (Marks: 1) - Please choose one
When closing stock is given in trial balance, then it will effect:
► Trading account only
► **Balance sheet only correct**
► Owner's equity only
► Both Trading account and Balance sheet

Question No: 31 (Marks: 1) - Please choose one
Fixed Assets (WDV) + Working Capital =?

► Total assets employed
► Total liabilities
► Total assets
► Current assets

Question No: 32 (Marks: 1) - Please choose one
Current accounts of the partners should be opened when the capitals are:
► Fixed
► Fluctuating
► Floating
► Normal

Question No: 33 (Marks: 1) - Please choose one
Which of the following is (are) type(s) of Public Limited Companies?
► Listed company
► Non listed company
► Private limited company
► Both Listed Company and non listed company

Question No: 34 (Marks: 1) - Please choose one
The charter of a company which defines the limitations and powers of the company is called:
► **The memorandum of association correct**
► Articles of association
► Statutory report
► Certificate of commencement

Question No: 35 (Marks: 1) - Please choose one
Merchandise on hand at either the beginning or end of the reporting period is called_____.
► Raw material
► Cost of good sold
► Work in process
► Inventory

Question No: 36 (Marks: 1) - Please choose one

The balance sheet reported a beginning balance of Rs. 20,000 in Accounts Receivable and an ending balance of Rs. 15,000. Credit Sales of Rs. 200,000 were made during the year. Using this information, compute cash collected from customers.

- ► Rs. 205,000
- ► Rs. 215,000
- ► Rs. 195,000
- ► Rs. 200,000

Question No: 37 (Marks: 1) - Please choose one

	Rs.
Gross profit	50,000
Operating profit	42,000
Sales	250, 000
What is the amount of operating expenses	?

- ► Rs. 8,000
- ► Rs. 92,000
- ► Rs. 62,500
- ► Rs. 300,000

Question No: 38 (Marks: 1) - Please choose one

Particulars	Rs.
Debentures	1, 50, 000
Equity Capital	2, 00,000
General Reserve	90, 000
Accumulated profit	60,000
What is debt equity ratio	?

- ► 15: 20 (or 3:4)
- ► 15:24 (or 5: 8)
- ► 15:29
- ► 15:35 (or 3: 7)

Question No: 39 (Marks: 1) - Please choose one

A company declares a cash dividend to be paid to its stockholders next month. The effect of the transaction is to:

- ► Decrease assets and liabilities.
- ► Increase assets and stockholders' equity.
- ► Decrease assets and stockholders' equity.
- ► Increase liabilities and decrease stockholders' equity.

Question No: 40 (Marks: 1) - Please choose one

Particulars	Rs.
Direct materials costs	80,000
Direct labor costs	50,000
Manufacturing overhead costs	60,000
Prime cost	?

► Rs.130, 000
► Rs.110, 000
► Rs.140, 000
► Rs.190, 000

Question No: 41 (Marks: 1) - Please choose one
What would be the value of conversion cost, if the cost of material consumed during the month is Rs. 5,000, labor cost incurred is Rs. 2,000 and the factory over head cost is Rs. 1,000?

► Rs. 3,000
► Rs. 5,000
► Rs. 7,000
► Rs. 8,000

Question No: 42 (Marks: 1) - Please choose one
The amount owed by debtors at the end of a month appears on the_____ side of the control account.

► Left side or debit
► Left side or credit
► Right side or debit
► **Right side or credit correct**

Question No: 43 (Marks: 1) - Please choose one
Which of the following is correct for an account has debit balance?

► The amount of the debits exceeds the amount of the credits
► There are more entries on the debit side than on the credit side
► Its normal balance is debit without regard to the amounts on the debit side
► The last entry of the accounting period was posted on the debit side

Question No: 44 (Marks: 1) - Please choose one
Mr. A & B entered into a partnership with an equal share in profit or loss. The agreement provides that Mr. A will receive Rs.10,000 and Mr. B will receive Rs.8,000 as salary allowance. The net income for the year is Rs.85,000. What will be the total share of Mr. A?

► Rs.52,500
► Rs.42,500
► **Rs.43,500**
► Rs.50,500

Question No: 45 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on drawings of Mr. A is Rs.1,500 and of Mr. B is Rs.1,800. The net income for the year is Rs.85,000. What will be the profit share of Mr. B?

- ► Rs.42,350
- ► **Rs.44,150**
- ► Rs.41,600
- ► Rs.40,850

Profit = 85000
Add markup on drawings = 1500 + 1800 = 3300
Total net profit = 88300
Profit share of B = 88300/2 = 44150

Question No: 46 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,500 and markup on drawings of Mr. B is Rs.2,800. The net income for the year is Rs.95,000. What will be the amount of distributable profit?

- ► Rs.89,700
- ► Rs.94,700
- ► Rs.95,300
- ► Rs.100,300

Question No: 47 (Marks: 1) - Please choose one

Which of the following can be distributed among the share holders?

- ► Capital reserve
- ► General reserve
- ► Revaluation reserve
- ► All of the given options

Question No: 48 (Marks: 1) - Please choose one

Which of the following capital is taken up by the general public?

- ► Issued capital
- ► Subscribed capital
- ► Authorized capital
- ► Reserve capital

Question No: 49 (Marks: 1) - Please choose one

All of the following have an effect on 'operating activities' while preparing the statement of cash flows except:

- ► Provision for doubtful debts
- ► Gain or loss on currency exchange rate
- ► Depreciation charged on fixed asset
- ► Amount received for disposal of a fixed asset

Question No: 50 (Marks: 1) - Please choose one

Primary purpose of the cash flows statement is to provide the information about:

- ► Errors or discrepancies between cash book and income statement

- ► Receipt and payment of cash in the period
- ► Non cash adjustment that effect the income statement
- ► Cash paid to the customers and creditors of the business

Question No: 51 (Marks: 1) - Please choose one
Which of the following financial statement is helpful for the investors and creditors to assess the cash and non cash aspects of operating, investing and financing transactions on an entity's financial position?

- ► Balance Sheet
- ► Income Statement
- ► Statement of cash flows
- ► Statement of changes in equity

Question No: 52 (Marks: 1) - Please choose one
According to the statement of cash flows following are the examples of investing activities except:

- ► Sales of machinery
- ► **Capital invested by the owners**
- ► Purchase of building for the business use
- ► Cash received from the disposal of equipment

Question No: 53 (Marks: 1) - Please choose one
Which of the following items of balance sheet are useful in evaluating a company's liquidity?

- ► Current assets and other assets
- ► **Current liabilities and current assets correct**
- ► Current liabilities and plant and equipment
- ► Non current liabilities and other assets

Question No: 54 (Marks: 1) - Please choose one
Which of the following is measured by debt ratio?

- ► Short-term liquidity
- ► **Creditors' long term risk correct**
- ► Short-term risk of the company
- ► All of the given options

Question No: 55 (Marks: 3)
If the capitals of the partners are fixed, Pass Journal Entries for the following:

- v Drawings made by partner
- v Excess drawn amount is returned by partner
- v Profit distribution among partner

Partner's Current A/c Dr.
Cash/Bank A/c Cr.

Cash/Bank Dr.
Partner's Current A/c Cr.

Profit & Loss A/c Dr.
Partner's Current A/c Cr.

Question No: 56 (Marks: 5)
ABC Company purchased goods of Rs.150,000 on credit from which goods of Rs.20,000 were defected and returned. Company received 2% discount at the time of payment from the supplier.

Required:

- What will be the amount of discount received by the company?
- Also show the journal entries

Purchases A/c 150,000
Creditor A/c 150,000
Goods are being purchased

Creditor A/c 20,000
Purchases A/c 20,000
Goods returned to supplier
Creditor A/c 130,000
Discount Received A/c 2600
Cash/Bank A/c 127400
Payment is being made to creditor and 2% discount is received.

Question No: 57 (Marks: 5)
Why are receipts and payment of interest classified as operating activities?

Question No: 58 (Marks: 10)
On 01-01-2007, the provision for doubtful debts a/c stood at Rs. 12,000 (credit balance). In 2007, the bad debts are amounted to Rs. 10,000. The debtors on 31-12-2007 are amounted to Rs. 3, 20,000 and a provision for doubtful debt to be maintained @ 5%.

Required:
Show Journal entries and also show how the items will appear in Profit and Loss account and Balance sheet. (Show complete working where it is necessary)

Question No: 59 (Marks: 10)
The accounting staff of ABC, Inc., has assembled the following information for the year ended December 31, 2007:

Cash and cash equivalents, Jan. 1	Rs.35,800
Cash and cash equivalents, Dec. 31	74,800
Cash paid to acquire plant assets	21,000
Proceeds from short-term borrowings	10,000
Loan made to borrowers	5,000
Collection on loans (excluding interest)	4,000
Interest and dividends received	27,000
Cash received from customers	795,000
Proceeds from sale of plant assets	9,000
Dividends paid	55,000

Cash paid to suppliers and employees	635,000
Interest paid	19,000
Income taxes paid	71,000

Using this information, prepare a statement of cash flows. Include a proper heading for the financial statement, and classify the given information into the categories of operating, investing and financing activities.

Paper No:35

Solved by Chanda Rehman & Abr

FINALTERM EXAMINATION
Fall 2009
MGT101- Financial Accounting (Session - 3)

Question No: 1 (Marks: 1) - Please choose one
Which of the following is correct according to the double entry system of book-keeping?

- ► Debit = Credit
- ► Debit > Credit
- ► Debit < Credit
- ► All of the given options

Question No: 2 (Marks: 1) - Please choose one
What is the nature of an expense account?

- ► Debit
- ► Credit
- ► Revenue
- ► None of the given options

Question No: 3 (Marks: 1) - Please choose one
Which of the following are the components of General Ledger?

1) Title of account
2) Amount of transaction
3) Date of transaction

- ► (1) & (2) only
- ► (2) & (3) only
- ► (1) & (3) only
- ► (1), (2) & (3)

Question No: 4 (Marks: 1) - Please choose one
Which of the following organizations prepare Income & Expenditure account?

- ► Public libraries
- ► NGOs
- ► Labor unions
- ► All of the given options

Question No: 5 (Marks: 1) - Please choose one
Which of the following item will appear on the Balance Sheet as current assets?

- ► Prepaid expenses
- ► Accrued expenses
- ► Furniture and Equipment
- ►Unearned revenue

Question No: 6 (Marks: 1) - Please choose one
Accounts Receivable & Inventory are the examples of:

- ► Liquid assets
- ► Current assets
- ► Fixed assets
- ► Capital assets

Question No: 7 (Marks: 1) - Please choose one
Which of the following statement is NOT TRUE about Current liabilities?

- ► These are due within one year
- ► These are short-term loans
- ► These are consist of all debts, payable after 12 months
- ► In working capital, these are deducted from current assets

Question No: 8 (Marks: 1) - Please choose one
If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs. 20,000 during the year, what would be the value of Gross Profit?

- ► Rs. 15,000
- ► Rs. 35,000
- ► Rs. 55,000
- ► Rs. 60,000

Question No: 9 (Marks: 1) - Please choose one
Which of the following is an alternate term which can be used for “Capital”?

- ► Liability
- ►Owner’s net worth
- ► Working capital
- ► Asset

Question No: 10 (Marks: 1) - Please choose one
In the cost of goods sold statement, Cost of direct material consumed + Direct labor=?

- ► Conversion cost

► Prime cost
► Total factory cost
► Cost of goods manufactured

Question No: 11 (Marks: 1) - Please choose one
The total of all costs incurred to convert raw material into finished goods is known as:

► Prime cost
► Conversion cost
► Sunk cost
► Opportunity cost

Question No: 12 (Marks: 1) - Please choose one
In cost of goods sold statement the 'total factory cost' is equal to:

► Cost of material consumed + Labor cost
► Cost of material consumed + Conversion cost
► Cost of material consumed + Total factory cost
► Cost of material consumed + Factory overhead

Question No: 13 (Marks: 1) - Please choose one
All the costs incurred on the incomplete assets up to the balance sheet date must be transferred to:

► Capital account
► Capital work in progress account
► Relevant asset account
► Owner's equity account

Question No: 14 (Marks: 1) - Please choose one
Which one of the following is NOT true about revenue expenditure?

► These are the running expenses of the business
► They improve the financial position of the business
► They reduce the profit of the concern
► They do not appear in the balance sheet

Question No: 15 (Marks: 1) - Please choose one
Which one of the following is NOT true for Profit & Loss Account?
► It shows whether a business has made a profit or loss over a financial year
► It shows the financial performance of a business for the period
► It shows revenues and expenses for the period
► It is used to calculate surplus/deficit for a particular period

Question No: 16 (Marks: 1) - Please choose one
Which of the following best describes unpresented cheques?

► Cheques received on behalf of the business by the bank
► Cheques drawn but yet to be recorded in the bank records
► Cheques issued by the bank not recorded in business records
► Cheques received but yet to be recorded in the bank records

Question No: 17 (Marks: 1) - Please choose one
Which of the following option is TRUE about the characteristic(s) of Bad Debt?

► It is a definite loss to the business
► It is not shown in Balance Sheet
► No provision is necessary for it
► All of the given options

Question No: 18 (Marks: 1) - Please choose one
Which of the following is (are) included in Creditors Control Account?

► Discount received from supplier
► Credit purchases
► Bills payable
► All of the given options

Question No: 19 (Marks: 1) - Please choose one
Which of the following is shown on credit side of creditors control account?

► Bills Receivable
► Return inwards
► Credit purchases
► Discount allowed

Question No: 20 (Marks: 1) - Please choose one
Which one of the following is CORRECT about subsidiary ledger?

► It is a special Ledger
► It is a supporting ledger
► It provides detailed information about individual accounts
► All of the given options

Question No: 21 (Marks: 1) - Please choose one
Amount by which the purchaser (buyer) receives a reduction in price from the seller is known as:

► Expense
► Discount Allowed
► Discount Received
► Liability

Question No: 22 (Marks: 1) - Please choose one

Which of the following entry will be passed to record discount received in control account?

- ► Discount Received (Dr) and Creditors Control A/c (Cr)
- ► Discount Received (Dr) and Creditors A/c (Cr)
- ► Creditors Control A/c (Dr) and Discount Received (Cr)
- ► Creditors A/c (Dr) and Discount Received (Cr)

Question No: 23 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of sales to Rahim of Rs. 500 were omitted to record in books of accounts?

Sales account

- ► Rahim's account
- ► Cash account
- ► Both sales and Rahim's Account

Question No: 24 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account

- ► Rs. 3,600
- ► Rs. 4,000
- ► Rs. 1,600
- ► Rs. 2, 400

Question No: 25 (Marks: 1) - Please choose one

The figure of cash received from debtors can be located either from cash book or:

- ► Debtor's Control Account
- ► Balance Sheet
- ► Profit & Loss Account
- ► Bills Payable Account

Question No: 26 (Marks: 1) - Please choose one

Which of the following would NOT be considered as a component of 'cost' of stock?

- ► Salaries of selling staff
- ► Transportation inward costs
- ► Import duties
- ► Purchase price

Question No: 27 (Marks: 1) - Please choose one

Capital account of sole proprietors is affected by which of the following items?

a. Profit & Loss account
b. Drawings account

c. Balances of capital account

► a,b
► b,c
► a,c
► a,b,c

Question No: 28 (Marks: 1) - Please choose one
Which of the following statement is TRUE about the partnership form of business?

► Partners must have to share their profits in equal proportion
► Partners are personally liable for the liabilities of the business
► Partnerships must make their accounts available to the general public
► Partnership agreement in writing is called Partnership deed

Question No: 29 (Marks: 1) - Please choose one
Which of the following represents the relationship between persons who have agreed to share the profit of business carried on by all or any of them acting for all?

► Sole-ownership
► Private limited company
► Public limited company
► Partnership

Question No: 30 (Marks: 1) - Please choose one
The Joint Stock Company is formed under the Companies Ordinance:

► 1984
► I884
► 1948
► 1965

Question No: 31 (Marks: 1) - Please choose one
In which of the following, the Interest paid on debenture will be shown?

► Profit and loss account
► Profit and loss appropriation account
► Balance sheet asset side under the heading of “current assets”
► Trading Account

Question No: 32 (Marks: 1) - Please choose one
The primary purpose of preparing a cash flow statement for an entity is to provide information about:

► Its financial position at the end of an accounting period
► Its cash receipts and cash payments during an accounting period
► Its financial position at the start of an accounting period
► None of the given options

Question No: 33 (Marks: 1) - Please choose one
Which of the following business publishes the Financial Statements?

- ► Sole-Proprietorship
- ► Partnership
- ► Trust
- ► Public Limited Company

Question No: 34 (Marks: 1) - Please choose one
If the Capitals of partners are fixed then, at the end of financial year a partner's drawings are transferred to the:

- ► Credit side of the partner's capital account
- ► Credit side of the partner's current account
- ► Debit side of partnership bank account
- ► Debit side of the partner's current account

Question No: 35 (Marks: 1) - Please choose one
Wages outstanding given in the trial balance will be treated as a (an):

- ► Asset
- ► Liability
- ► Revenue
- ► Deferred expense

Question No: 36 (Marks: 1) - Please choose one
In balance sheet fixed assets are shown at:

- ► Residual value
- ► Market value
- ► Fair value
- ► Written down value (WDV)

Question No: 37 (Marks: 1) - Please choose one
Suppose a firm has 200 debtors, and each of them owes exactly Rs. 150 at the start of June. What is the total amount owed by all debtors?

- ► Rs. 2,000
- ► Rs. 3,000
- ► Rs. 30,000
- ► Rs. 150,000

Question No: 38 (Marks: 1) - Please choose one
What will be obtained from the Purchases Returns Book?

- ► Discount received
- ► Returns outward
- ► Credit purchases
- ► Discount allowed

Question No: 39 (Marks: 1) - Please choose one
In the heading of financial statement, _____ is not required?

- ► Title of financial statement
- ► Name of the person who prepares financial statement

► Period for which financial statement is prepared
► Name of business entity

Question No: 40 (Marks: 1) - Please choose one
Which of the following justifies when profit is earned?
► Assets exceed Expenditure
► Income exceeds Expenditure
► Cash Inflow exceeds Cash Outflow
► Income exceeds Liabilities

Question No: 41 (Marks: 1) - Please choose one
A and B entered in partnership in capital ratio of 2:3. They earned a profit of Rs.6,600 during the year. What will be the share of profit of Mr. A?
► Rs.1,320
► Rs.2,640
► Rs.3,960
► Rs.6,600

Question No: 42 (Marks: 1) - Please choose one
In a partnership of Mr. X and Mr. Y, the share of profit of Mr. X is Rs.3,840 and the share of profit of Mr. Y is Rs. 5,760. What will be the ratio of their share?
► 1:2
► 2:3
► 3:2
► 2:1

Question No: 43 (Marks: 1) - Please choose one
Which of the following is decreased when an asset is converted into expense in adjustment?
► Revenue
► Net income
► Expense
► Liability

Question No: 44 (Marks: 1) - Please choose one
Accumulated depreciation is a _____ account?
► Fixed asset
► Current asset
► Contra asset
► Liability

Question No: 45 (Marks: 1) - Please choose one
Adjusting entries are recorded in which of the following?
► Voucher
► General journal
► **Ledger**
► Trial balance

Question No: 46 (Marks: 1) - Please choose one

Expired costs in an accounting period should be reported on _____ statement for that time period.

- ► Cash in flow
- ► Cash out flow
- ► Income
- ► Expense

Question No: 47 (Marks: 1) - Please choose one

Interest expenses of Epler Corporation shows a debit balance of Rs.200 in its unadjusted trial balance and Rs.250 in adjusted trial balance. Which of the following account will be debited in adjusting entry?

- ► Interest expense
- ► Interest payable
- ► Prepaid interest
- ► Interest paid

Question No: 48 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,500 and markup on drawings of Mr. B is Rs.2,800. The net income for the year is Rs.95,000. What will be the amount of distributable profit?

- ► Rs.89,700
- ► Rs.94,700
- ► Rs.95,300
- ► Rs.100,300

Question No: 49 (Marks: 1) - Please choose one

Which of the following can be distributed among the share holders?

- ► Capital reserve
- ► General reserve
- ► Revaluation reserve
- ► All of the given options

Question No: 50 (Marks: 1) - Please choose one

Which of the following capital is offered to the general public?

- ► Issued capital
- ► Subscribed capital
- ► Authorized capital
- ► Reserve capital

Question No: 51 (Marks: 1) - Please choose one

Which of the following value of the share is authorized by the memorandum of association?

- ► Par value
- ► Face value
- ► Nominal value
- ► All of the given options

Question No: 52 (Marks: 1) - Please choose one

Which of the following financial statement is helpful for the investors and creditors to assess the cash and non cash aspects of operating, investing and financing transactions on an entity's financial position?

- ► Balance Sheet
- ► Income Statement
- ► **Statement of cash flows**
- ► Statement of changes in equity

Question No: 53 (Marks: 1) - Please choose one

The financial statement that captures both the current operating result and the associated changes in the balance sheet is:

- ► Statement of retained earnings
- ► Statement of financial position
- ► Statement of cash flows
- ► Statement of changes in equity

Question No: 54 (Marks: 1) - Please choose one

In statement of cash flows, interest payment made on loan from bank is related to:

- ► Investing activity
- ► **Financing activity**
- ► Operating activity
- ► Net changes in working capital

Question No: 55 (Marks: 3)

Mr. Hassan is a partner in a partnership firm. His capital on July 1, 2001 was Rs. 400,000. He invested further capital of Rs. 150,000 on March 01, 2002. Markup rate is @6%p.a. The financial year of such a business is from 1st July to 30th June.

Required: You are required to calculate his markup on Capital at the end of 30th June 2002.

a) Capital invested on july 1 2001 = 400,000
Markup rate on 400,000 = 6% of 40,000 = 24,000

b) Further capital introduced / invested = 150000 on March 1, 2002
Markup rate = 6% of 150000 = 9000 x 4/12 = 3000

Total mark up rate = a + b = 24000 + 3000 = 27000

Question No: 56 (Marks: 5)

Calculate cost of goods sold with he help of given data.

Particulars	Rs.
Purchases	418,000
Carriage inwards	7,900
Discount Allowed	750
debtors	16,000
Sales man commission	2,000

Office expenses	2,000
Carriage outwards	1,700
Salaries	13,000
Direct labor	3,825
FOH	2,100
Plant & Machinery	53,000
Buildings	35,000
Tools	8,650

Helping data:

d. Plant & Machinery depreciate @ 10% and charged to FOH
e. Buildings depreciate @ 5% and 40% charged to Administrative expenses and balance to FOH
f. 40% of salaries will be charge to office and balance to Selling expenses

Question No: 57 (Marks: 5)

X and Y were partners in a business sharing profits in the ratio of 3:1. Their capital were Rs.30,000 and Rs.10,000 respectively. They earned a net profit of Rs. 160,000. Mr. Y was entitled to a salary of Rs.200 p.m. Prepare Profit Distribution Account of X & Y Partnership.

X AND Y ARE SHARED WITH the ratio 3:1
X capital = 30000
Y capital = 10000
Net profit = 160,000
Mr. Y salary is = 200 p.m entitled
Total investment = X + Y capital = 30000 +10000 = 40000

X profit distribution = 30,000/40000 x 160000 = 120,000
Y profit distrubtion = 10,000/40000 x 160000 x 40000 = 40000

Question No: 58 (Marks: 10)

Mention the effects of following on financial statements.

g. Markup on debentures

Markupdebture – Dr. while Debenture Cr

h. Creation of reserves
i. Payments of dividend
j. Carriage inwards

k. Current Assets are less than Current Liabilities

Question No: 59 (Marks: 10)

The following is the trial balance of Sikander's Photo Studio, Inc., dated December 31, 2007. The net income for the period isRs.36,000. You are required to prepare Balance Sheet as on December 31, 2007.
Sikander's Photo Studio, Inc.
Trial balance
December 31, 2007

Cash	Rs.171,100	
Accounts receivable	9,400	
Prepaid studio rent	3,000	
Unexpired insurance	7,200	
Supplies	500	
Equipment	18,000	
Accumulated depreciation: equipment		Rs.7,200
Notes payable		10,000
Accounts payable		3,200
Salaries payable		4,000
Income tax payable		6,000
Unearned revenue		8,800
Capital stock		100,000
Retained earnings		34,000
Revenue earned		165,000
Salary expense	85,000	
Supply expense	3,900	
Rent expense	12,000	
Insurance expense	1,900	
Advertising expense	500	
Depreciation expense: equipment	1,800	
Interest expense	900	
Income taxes expense	23,000	
	338,200	338,200

Paper No:36
Solved by Chanda Rehman & Abr
Fall 2009
MGT101- Financial Accounting (Session - 2)
Time: 120 min Marks: 87

Question No: 1 (Marks: 1) - Please choose one

Which of the following is/are the **END** product of accounting cycle?

- ► Financial Statements
- ► General Journal
- ► General Ledger
- ► Voucher

Question No: 2 (Marks: 1) - Please choose one

An asset on the balance sheet which is expected to be sold or used within one year is known as:

- ► Tangible asset

► Current asset
► Fixed asset
► Long term asset

Question No: 3 (Marks: 1) - Please choose one

Accounts Receivable & Inventory are the examples of:

► Liquid assets
► Current assets
► Fixed assets
► Capital assets

Question No: 4 (Marks: 1) - Please choose one

Identify the business transaction for given entry below.

Vehicle Account	XXX	(Dr.)
Bank Account	XXX	(Cr.)

► Paid for vehicle through cheque
► Paid for vehicle through cash
► Purchased vehicle on credit
► None of the given options

Question No: 5 (Marks: 1) - Please choose one

Which of the following account will be credited, if the goods are sold on credit to Mr. Mahmood?

► Cash account
► Mr. Mahood account
► Sales account
► Purchases account

Question No: 6 (Marks: 1) - Please choose one

If salaries expense is Rs. 2,500, purchases are Rs. 16,000 and rent (office building) is Rs. 300 during the year, what would be the total of "general & administrative expenses"?

► Rs. 300
► Rs. 2,500
► Rs. 2,800
► Rs.18, 800

Question No: 7 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about the positive working capital of a company?

► It shows sound position of a company
► It shows that company has sufficient current assets to meet current liabilities
► It shows that current assets are greater than current liabilities
► **All of the given options**

Question No: 8 (Marks: 1) - Please choose one

Cost of Goods Sold = ?

► Beginning inventory + Purchases – Work in Process
► Beginning inventory + Purchases - Sales
► **Beginning inventory + Purchases - Ending inventory**
► Ending inventory + Purchases - Beginning Inventory

Question No: 9 (Marks: 1) - Please choose one

Under the straight line method of depreciation:

► Amount of depreciation increases every year
► Amount of depreciation remains constant for every year
► Amount of depreciation decreases every year
► None of the given options

Question No: 10 (Marks: 1) - Please choose one

Consider the following inventory record:

Date	Item	Quantity	Cost/Unit	Total
2007Jan. 2	Opening inventory	100	Rs.18.00	Rs.1,800
Mar. 4	Purchase	400	19.00	7,600
May 8	Purchase	800	20.00	16,000
Nov. 3	Purchase	500	21.00	10,500

Four hundred units are unsold, Use the FIFO method of inventory costing and determine the value assigned to the 400 units on hand at the end of the period.

► Rs.7, 500
► Rs.7, 978
► Rs.8, 000
► Rs.8, 400

Question No: 11 (Marks: 1) - Please choose one

While adjusting the cash balance of cash book, which of the following is **NOT** taken into account.

► Mistakes in the cash book
► Mistakes in the pass book
► Interest credited in the pass book but not entered in cash book
► Interest debited in the pass book but not entered in cash book

Question No: 12 (Marks: 1) - Please choose one

Consider the following data:

Particulars	Rs.
Assets	?
Owner's equity	1,50,000
Liabilities	1,00,000

► Rs. 49,000
► Rs. 55,000

► Rs. 50,000

► **Rs. 2, 50,000 Assets = Liabilities + Owner's Equity**

Question No: 13 (Marks: 1) - Please choose one

In accounting accumulated depreciation is:

► Treated as a reserve

► Treated as a contra asset

► Treated as a surplus

► Treated as an expense

Question No: 14 (Marks: 1) - Please choose one

When the Bank Statement balance is more than the Cash Book balance, it is because of:

► Unpresented cheques

► Unrecorded bank charges

► Uncredited cheques

► None of the given options

Question No: 15 (Marks: 1) - Please choose one

Which of the following is an item of a debtors control account?

► Cash sale

► **Credit sales**

► Credit purchase

► Cash purchases

Question No: 16 (Marks: 1) - Please choose one

Which of the following is shown on credit side of creditors control account?

► Bills Receivable

► Return inwards

► Credit purchases

► Discount allowed

Question No: 17 (Marks: 1) - Please choose one

A sum of Rs. 200 written off as bad debt now received credited to the account of debtor would:

► Increase the net profit by Rs.200

► Decrease the profit by Rs.200

► Remains constant and no effect on net profit

► There is no relation between debtor and profit

Question No: 18 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of an amount Rs.200 received from Mr."P" wrongly credited to Mr."Q's" account?

► Only Cash Account

► Only P's account

► Only Q's account

► Both of Mr. P's & Mr.Q's Account

Question No: 19 (Marks: 1) - Please choose one

When one or both aspects of a transaction are recorded in the wrong class or category of account, this is called:

► Error of principle
► Error of omission
► Error of commission
► Error of original entry

(Then there are errors in which an entry is recorded in the wrong class of account. For example a purchase of fixed asset, say, a vehicle is recorded in an expense account. These errors are called ERRORS OF PRINCIPLE.)

Question No: 20 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

► Rs. 600
► Rs. 1,600
► Rs. 2,000
► Rs. 2,600

Question No: 21 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

► Rs. 600
► Rs. 1,000
► Rs. 2,000
► Rs. 2,600

Question No: 22 (Marks: 1) - Please choose one

Which of the following is **NOT** an item of cost of goods sold statement?

► Purchase of raw material
► Any tax/freight paid on purchases

► **Salaries paid to accountant**

► Any expense incurred on carriage/transportation of raw material purchased items

Question No: 23 (Marks: 1) - Please choose one

Wages paid to laborers working in the manufacturing department is treated as an expense of:

► Administrative expenses

► Selling expenses

► Marketing expenses

► **Cost of goods sold**

Question No: 24 (Marks: 1) - Please choose one

Which of the following would **NOT** be considered as a component of 'cost' of stock?

► Salaries of selling staff

► Transportation inward costs

► Import duties

► Purchase price

Question No: 25 (Marks: 1) - Please choose one

Consider the following table:

	Financial statement item	Classification
A.	Inventory	Current asset
B.	Tangible assets	Non-current asset
C.	Accrued expenses	Current asset
D.	Bonds payable	Long-term liabilities

Identify the row above, showing an **INCORRECT** financial-statement classification?

► Row A

► Row B

► Row C

► Row D

Question No: 26 (Marks: 1) - Please choose one

Which of the following is **NOT** an operating expense?

► Salaries and wages expense

► Rent expense

► Interest expense

► Depreciation expense

Question No: 27 (Marks: 1) - Please choose one

The Balance Sheet item that represents the resources invested by the owner is known as:

► Accounts Receivable

► Cash

► Note Payable

► **Owner's Equity**

Question No: 28 (Marks: 1) - Please choose one

Which account is increased with a debit and decreased with a credit?

► **Cash**

► Accounts Payable

► Contributed Capital

► Retained Earnings

Question No: 29 (Marks: 1) - Please choose one

Which of the following is/are **TRUE** about the sole trader form of business?

► Sole traders do not need to consult accountants

► Sole traders must register the name of their business with the Registrar of Companies

► All of the given options

► A sole trader is liable to pay income tax on his/her earnings

Question No: 30 (Marks: 1) - Please choose one

Which of the following account is affected from the Drawings of cash in sole-proprietorship business?

► Capital account

► Shareholder account

► Liability account

► Expense account

Question No: 31 (Marks: 1) - Please choose one

Which of the following is **CORRECT** if depreciation is given in trial balance?

► **All of the given options are correct**

► It means depreciation has already been deducted from concerned asset account

► It will be shown as an expense in income statement only

► It will not be deducted from concerned asset in Balance Sheet

Question No: 32 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about the Accounts receivable?

► Accounts receivable arises when a company buys goods or services from another party on credit

► Accounts receivable is a miscellaneous category that may include loans to employees

► Accounts receivable are more formal than notes receivable

► Accounts receivable are often called trade receivables

Question No: 33 (Marks: 1) - Please choose one

The Joint Stock Company is formed under the Companies Ordinance:

- ► **1984**
- ► I884
- ► 1948
- ► 1965

Question No: 34 (Marks: 1) - Please choose one

The amount received; in excess of the face value of the shares is transferred to which of the following?

- ► Share capital account
- ► Right share
- ► Share premium account
- ► Share holder account

Question No: 35 (Marks: 1) - Please choose one

Preliminary Expenses of the company may write off against:

- ► Share premium account
- ► Share holder account
- ► Debtors control account
- ► Creditor control account

Question No: 36 (Marks: 1) - Please choose one

The statement of changes in equity basically shows the movement of:

- ► share capital during the year
- ► Capital reserves during the year
- ► Revenue Reserves during the year
- ► **All of the given options**

Question No: 37 (Marks: 1) - Please choose one

	Rs.
Gross profit	50,000
Operating profit	42,000
Sales	250, 000
What is the amount of operating expenses	?

- ► Rs. 8,000
- ► Rs. 92,000
- ► Rs. 62,500
- ► Rs. 300,000

Question No: 38 (Marks: 1) - Please choose one

If company has distributable profit is Rs. 4, 90,000. Profit sharing share

ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. C in distributable profit.

- ► Rs. 98,000
- ► Rs. 1, 47,000
- ► **Rs. 2, 45,000**
- ► Rs. 3, 43,000

Question No: 39 (Marks: 1) - Please choose one

Mr.” A” sold goods for Rs. 300,000 to Mr. “B”, Rs. 300,000 will be treated as _____ for business of Mr. "A".

- ► Revenue
- ► Net profit
- ► Gross profit
- ► Operating profit

Question No: 40 (Marks: 1) - Please choose one

What would be the value of conversion cost, if the cost of material consumed during the month is Rs. 5,000, labor cost incurred is Rs. 2,000 and the factory over head cost is Rs. 1,000?

- ► Rs. 3,000
- ► Rs. 8,000
- ► Rs. 7,000
- ► Rs. 5,000

Question No: 41 (Marks: 1) - Please choose one

Mr. A provided the following information from his books of accounts at the end of the month.

Particulars	Rs.
Cash	100
Accounts Receivable	500
Accounts Payable	200
Bank Loans	1,000

Based on the information provided, what are Mr. A’s total liabilities?

- ► Rs.200
- ► Rs. 900
- ► **Rs. 1,200**
- ► Rs. 1,700

Question No: 42 (Marks: 1) - Please choose one

When we close bad debt account, which of the following account is debited?

- ► **Profit and loss account**
- ► Bad debt account
- ► Debtor account
- ► Creditor account

Question No: 43 (Marks: 1) - Please choose one

Mr. Ali's bank book shows a debit balance of Rs. 36,000. He deposited a cheque of Rs.15,000 but not yet collected by the bank. What will be the balance of bank statement?

- ► Rs. 21,000
- ► Rs. 51,000
- ► **Rs. 36,000**
- ► Rs. 15,000

Question No: 44 (Marks: 1) - Please choose one

Suppose a firm has 100 debtors, and each of them owes exactly Rs.150 at the start of June. During June each debtor has paid-off exactly Rs.100 on their account, either by cash or by cheque. What should be the revised total debtors figure?

- ► Rs. 5,000
- ► Rs. 9,850
- ► Rs. 25,000
- ► Rs. 14,900

Question No: 45 (Marks: 1) - Please choose one

We usually allow the customer to deduct a certain amount from the invoice value for prompt payment. In doing so we are granting a:

- ► Commission
- ► Allowance
- ► Discount
- ► Rebate

Question No: 46 (Marks: 1) - Please choose one

The valuation of closing stock is at:

- ► Cost price
- ► Market price
- ► Cost or market price, whichever is lower
- ► Cost or market price, whichever is higher

Question No: 47 (Marks: 1) - Please choose one

Adjusting costs are reported as:

- ► Revenues
- ► **Expenses**
- ► Assets
- ► Net Income

Question No: 48 (Marks: 1) - Please choose one

Which of the following is also affected when an adjusting entry is passed to accrue an incurred expense?

- ► Total assets
- ► **Total liabilities**
- ► Current assets
- ► Total income

Question No: 49 (Marks: 1) - Please choose one

Which of the following is known as an asset account?

- ► Gains
- ► Prepaid insurance
- ► Unearned revenue
- ► Accounts payable

Question No: 50 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal share in profit or loss. The agreement provides that Mr. A will receive Rs.10,000 and Mr. B will receive Rs.8,000 as salary allowance. The net income for the year is Rs.85,000. What will be the total share of Mr. B?

- ► Rs.52,500
- ► Rs.42,500
- ► **Rs.41,500**
- ► Rs.50,500

Question No: 51 (Marks: 1) - Please choose one

For which of the following share premium can not be utilized?

- ► To write off preliminary expenses
- ► To meet the expenses of issue of shares
- ► To issue bonus shares
- ► None of the given options

Question No: 52 (Marks: 1) - Please choose one

Which of the following capital is offered to the general public?

- ► Issued capital
- ► Subscribed capital
- ► Authorized capital
- ► Reserve capital

Question No: 53 (Marks: 1) - Please choose one

Which of the following is known as the charter of the company?

- ► Prospectus
- ► Articles of association
- ► Memorandum of association
- ► None of the given options

Question No: 54 (Marks: 1) - Please choose one

Statement of cash flows helps the stakeholders to assess:

- ► Ability to pay cash dividends in the future
- ► All of the given options
- ► The ability to generate future cash flows
- ► The liquidity of the business

Question No: 55 (Marks: 3)

How bad debts & provision for doubtful debts (new and old) are treated in profit and loss account.

Question No: 56 (Marks: 5)

You are required to pass rectifying entries of the following errors:

1. Received cash Rs. 500 from Mr. "B" entered as Rs. 300 in the cash book.
2. A cash sale of Rs. 600 has completely omitted to be recorded in the books.
3. Goods worth Rs. 200 were returned to Mr. Kamran but no entry was passed in the books.

Question No: 57 (Marks: 5)

The face value of the share of ABC public limited company is Rs.10. the share is sold at Rs.15. total shares traded in the market are 50,000. What will be the amount of share premium received and discuss for what it will be utilized?

Question No: 58 (Marks: 10)

On 31st December, 2006, a merchant has to receive Rs. 50,000 from sundry debtors and creates provision of 5 percent on this amount for doubtful debts. Actual bad debts during the year 2007 were Rs.1, 400. The debtors on 31st December, 2007, are Rs. 40,000 on which he again creates provision of 5 % for doubtful debts. During 2008 actual bad debts are Rs. 600 and the debtors at the end of 2008 totalled Rs. 25,000, on which a reserve a reserve of 5 % for doubtful debts is required to be maintained.

Required: Prepare provision for doubtful debts account with the help of

given data.

Question No: 59 (Marks: 10)

The following Trial balance is taken out from the books of Rahman & Sons as on 31st December, 2008.

	Dr.	Cr.
	Rs.	Rs.
Sales		204,000
Capital		120,000
Bank overdraft		103,560
Sundry Creditors		120,000
Opening Stock	60,400	
Purchases	231,600	
Sundry Debtors	109,660	
Returns Inwards	3,640	
General Expenses	6,980	
Plant	22,620	
Wages & Salaries	16,740	
Building	50,000	
Cash in Hand	680	
Cash at bank	8,720	
Drawings	16,960	
Motive Power	2,300	
Dock &clearing Charges	1,300	
Coal, Gas, Water	1,700	
Salaries	9,820	
Interest on O/D	4,440	
Rent rates Taxes	1,400	
Discount Allowed	2,000	
Interest received		3,400
	550,960	550,960

Requirement:

Prepare The Trading and Profit & Loss account of the business for the year ended. Closing Stock is valued at Rs.40, 000.

Paper No:37

Solved by Chanda Rehman & Abr & nomi chawal

FINALTERM EXAMINATION

Fall 2009

MGT101- Financial Accounting (Session - 1)

Ref No: 1195799
Time: 120 min
Marks: 87

Question No: 1 (Marks: 1) - Please choose one

Shares for which amount is paid by public are called _____ shares.

► Paid up
► Authorized
► Bonus shares
► All are correct options

Question No: 2 (Marks: 1) - Please choose one

Term "Credit" means_____ by the business.

► Receiving of benefits
► It has no effect on business
► Providing of benefits
► It depends upon items

Question No: 3 (Marks: 1) - Please choose one

Which of the following is used to record financial transactions in chronological (day-to-day) order?

► Voucher
► **General Journal**
► General Ledger
► Trial balance

Question No: 4 (Marks: 1) - Please choose one

Which of the following is **CORRECT** about the flow of recording a transaction?

► Occurrence of event – voucher—Journal—Ledger—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Journal – voucher —Ledger—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Ledger – voucher—Journal—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Trial Balance – voucher—Journal—Ledger—profit and loss account—Balance Sheet

Question No: 5 (Marks: 1) - Please choose one

In an account, if credit side < debit side then the balance is known as:

► Negative Balance
► Debit Balance

► Positive Balance
► Credit Balance

Question No: 6 (Marks: 1) - Please choose one

Which one of the following is a type of General Ledger?

► Book of original entry
► 'T' Account
► Source document
► Day book

Question No: 7 (Marks: 1) - Please choose one

Which of the following is **NOT** considered a part of financial statements?

► General Ledger
► Balance Sheet
► Profit and Loss Account
► Cash Flow Statement

Question No: 8 (Marks: 1) - Please choose one

The difference between current Assets and current liabilities is known as:

► Working capital
► Opening stock
► Closing stock
► Owner's equity

Question No: 9 (Marks: 1) - Please choose one

If the Company ABC has current assets Rs. 100,000, current liabilities Rs. 75,000 and fixed assets Rs. 200,000, what would be the value of working capital?

► Rs. 25,000
► Rs. 1, 00,000
► Rs. 1, 75,000
► Rs. 3, 00,000

Question No: 10 (Marks: 1) - Please choose one

If, Cost of machine = Rs.400, 000
Useful life = 5 years
Residual value = Rs.25, 000
The depreciation of machine per year using straight line method is?

► Rs. 160,000
► Rs. 96,000
► Rs. 75,000
► Rs. 57,600

Question No: 11 (Marks: 1) - Please choose one

The cost of moving plant and machinery to a new site will be treated as:

- ► Revenue expense
- ► Capital expense
- ► Administrative expense
- ► Operating expense

Question No: 12 (Marks: 1) - Please choose one

Which of the following account balance is shown on credit side of Trial Balance? (It is assumed that all account balances are shown on normal balance)

- ► Cash account
- ► Furniture account
- ► Vehicle account
- ► Capital account

Question No: 13 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Total Assets	Rs. 34,500
Accounts payable	Rs. 1, 000
Other liabilities	Rs. 11,500

- ► Rs. 22,000 owner's equity
- ► Rs. 23, 000 owner's equity
- ► Rs. 24,000 owner's equity
- ► Rs. 46,000 owner's equity

Question No: 14 (Marks: 1) - Please choose one

Consider the following data:

Particulars	Rs.
Assets	?
Owner's equity	1,50,000
Liabilities	1,00,000

- ► Rs. 49,000
- ► Rs. 55,000
- ► Rs. 50,000
- ► Rs. 2, 50,000

Question No: 15 (Marks: 1) - Please choose one

Particulars	Rs.
Opening written down value of machine	Rs. 2,00,000
Cost of new machine purchased during the year	Rs. 50,000
Depreciation during the year	Rs. 25,000
Closing written down value (WDV) of machines	?

► Rs. 2, 25,000
► Rs. 2, 50,000
► Rs. 2, 75,000
► Rs. 75,000

Question No: 16 (Marks: 1) - Please choose one

A debit balance in the Bank Statement indicates:

► Cash at bank
► Bank overdraft
► Overpayment to creditors
► Cash in hand

Question No: 17 (Marks: 1) - Please choose one

Which of the following best describes unpresented cheques?

► Cheques received on behalf of the business by the bank
► Cheques drawn but yet to be recorded in the bank records
► Cheques issued by the bank not recorded in business records
► Cheques received but yet to be recorded in the bank records

Question No: 18 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	3,600
Provision for doubtful debts (old)	6,000
Current year's provision (new)	1,500

► Rs. (5,100)
► Rs. 5,100
► Rs. (900)
► Rs. 900

Question No: 19 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account.

► Rs. 3,600
► Rs. 2,000
► Rs. 1,600
► Rs. 400

Question No: 20 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.

Closing value of stock	40,000
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	800
Sundry Debtors (Given in trial balance)	44,500
Provision for doubtful debts @ 5%	
Which amount of new provision will be deducted from Sundry Debtors	?

► Rs. 2,225
► Rs. 2,525
► Rs. 1,925
► Rs. 3,025

Question No: 21 (Marks: 1) - Please choose one

It is supposed that on 31-12-2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. It is also suppose that during the year 2008 actual bad debts were Rs. 1,600.
What entry will pass to create provision for doubtful debts?

► Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)
► Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)
► Provision for doubtful debts a/c Rs. 1,600 (Dr) & Profit & Loss a/c Rs. 1,600 (Cr)
► Profit & Loss a/c Rs. 1,600 (Dr) & Provision for doubtful debts a/c Rs. 1,600 (Cr)

Question No: 23 (Marks: 1) - Please choose one

Which of the following is an item of a debtors control account?

► Cash sale
► Credit sales
► Credit purchase
► Cash purchases

Question No: 24 (Marks: 1) - Please choose one

Which of the following entry is passed to record discount allowed in control account?

► Discount Allowed (Dr) and Debtors Control A/c (Cr)
► Discount Allowed (Dr) and Debtors A/c (Cr)
► Debtors Control A/c (Dr) and Discount Allowed (Cr)
► Debtors A/c (Dr) and Discount Allowed (Cr)

Question No: 25 (Marks: 1) - Please choose one

Transaction that has been completely forgotten to enter is called:

► Error of principle
► Error of omission
► Error of commission
► Error of original entry

Question No: 26 (Marks: 1) - Please choose one

Which of the following account will be credited when a typewriter is sold that has been used in the office?

- ► Cash Account
- ► Sales Account
- ► Purchase Account
- ► Office Equipment Account

Question No: 27 (Marks: 1) - Please choose one

Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

- ► Bank charges
- ► An error on the Bank Statement
- ► An uncredited deposit
- ► An unpresented cheque

Question No: 28 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be deducted from Sundry debtors?

- ► Rs. 3,600
- ► Rs. 4,000
- ► Rs. 1,600
- ► Rs. 2, 400

Question No: 29 (Marks: 1) - Please choose one

Consider the following table:

	Financial statement item	**Classification**
A.	Inventory	Current asset
B.	Tangible assets	Non-current asset
C.	Accrued expenses	Current asset
D.	Bonds payable	Long-term liabilities

Identify the row above, showing an **INCORRECT** financial-statement classification?

- ► Row A
- ► Row B
- ► Row C
- ► Row D

Question No: 30 (Marks: 1) - Please choose one

Which financial statement show what a business owes at a particular point in time?

- ► A cash flow statement
- ► The bank statement for the business

► A balance sheet
► A statement of retained earnings

Question No: 31 (Marks: 1) - Please choose one

Which of the following account is affected from the Drawings of cash in sole-proprietorship business?

► Capital account
► Shareholder account
► Liability account
► Expense account

Question No: 32 (Marks: 1) - Please choose one

Capital account of sole proprietors is affected by which of the following items?

a. Profit & Loss account
b. Drawings account
c. Balances of capital account

► **a,b**
► b,c
► a,c
► a,b,c

Question No: 33 (Marks: 1) - Please choose one

When closing stock is given in trial balance, then it will effect:

► Trading account only
► Balance sheet only
► Owner's equity only
► Both Trading account and Balance sheet

Question No: 34 (Marks: 1) - Please choose one

Fixed Asset (WDV) + _____ = Total assets Employed

► Working capital
► Total liabilities
► Total assets
► Current assets

Question No: 35 (Marks: 1) - Please choose one

A, B, C are partners. Their profit sharing ratio is equal. Capital balance on July 1st of Partner A --- Rs. 40,000 Partner B --- Rs. 30,000 and Partner C--- Rs. 20,000.Their private property of Partner A is Rs.15,000, Partner B is Rs. 7,000 and Partner C is Rs. 1,500. What is the level of their liabilities under the partnership firm?

► Partner A—Rs. 40,000, Partner B---- Rs. 30,000, Partner C – 20,000
► Partner A—Rs. 40,000, Partner B---- Rs. 30,000, Partner C – 21,500
► Partner A—Rs. 40,000, Partner B---- Rs. 37,000, Partner C – 20,000
► Partner A—Rs. 55,000, Partner B---- Rs. 37,000, Partner C – 21,500

Question No: 36 (Marks: 1) - Please choose one

Share premium account is used for what?

► Write off Preliminary Expenses of the company.

► Write off the balance amount, in issuing shares on discount.
► Issue fully paid Bonus Shares.
► All of the given options

Question No: 37 (Marks: 1) - Please choose one

Which of the following is the most important document of the company?

► Memorandum of Association
► Articles of Association
► Prospectus
► Annual Report

Question No: 38 (Marks: 1) - Please choose one

Which of the following documents contains rules and regulations for internal management of the company?

► Memorandum of Association
► Articles of Association
► Prospectus
► Statutory Declaration

Question No: 39 (Marks: 1) - Please choose one

A firm may earn profit during an accounting period but have less money in the bank at the end of the period then it had at the beginning. Which of the followings, on its own, could explain this?

► Not paying invoices received from creditors
► The sale of fixed assets during the period
► An increase in trade debtors over the course of the period
► An increase in the depreciation charge relative to the previous accounting period

Question No: 40 (Marks: 1) - Please choose one

Which of the following statement in **NOT TRUE** about the limited company form of business?

► The limited company form of business allows ownership of the business to be spread amongst many people
► Shareholders can appoint professionals
► Shareholders are personally liable for all the liabilities incurred by the business
► Regular filing of information about the affairs of the company is a legal requirement

Question No: 41 (Marks: 1) - Please choose one

Which of the following ratio tells about “How a company would repays its loans”

► Mark up cover ratio
► Acid test ratio
► Current ratio

► Debt Equity ratio

Question No: 42 (Marks: 1) - Please choose one

If Cost of asset=Rs. 100,000, Residual Value (RV) = Rs. 20,000 and Life = 3 years, what is the depreciation rate under reducing balance method?

► 10%
► 22%
► 42%
► 52%

Question No: 43 (Marks: 1) - Please choose one

Mr.” A” sold goods for Rs. 300,000 to Mr. “B”, Rs. 300,000 will be treated as _____ for business of Mr. "A".

► Revenue
► Net profit
► Gross profit
► Operating profit

Question No: 44 (Marks: 1) - Please choose one

An uncollectible account receivable is also termed as:

► Asset
► Uncollectible asset
► Uncollectible accounts expense
► None of the given options

Question No: 45 (Marks: 1) - Please choose one

Payment is made of a company’s purchases on credit, which of the following is correct:

► Debit stock account and credit creditors account
► Debit creditors account and credit cash account
► Debit cash account and credit creditors account
► Debit stock account and credit cash account

Question No: 46 (Marks: 1) - Please choose one

ABC company makes payment of Rs.50,000 to Mr. Ali Zafar, who is a debtor, is wrongly recorded in the account of Zafar Ali. The error is classified as:

► Error of commission
► Error of omission
► Error of original entry
► Error of principle

Question No: 47 (Marks: 1) - Please choose one

Deferred revenues will become revenue when they are:

► Realized
► Earned
► Incurred
► Paid

Question No: 48 (Marks: 1) - Please choose one

The weekly or biweekly compensation received by hourly-paid employees is called:

► Salary
► Wages
► Income
► Profit

Question No: 49 (Marks: 1) - Please choose one

Interest expenses of Epler Corporation shows a debit balance of Rs.200 in its unadjusted trial balance and Rs.250 in adjusted trial balance. Which of the following account will be credited in adjusting entry?

► Interest expense
► Interest payable
► Prepaid interest
► Interest paid

Question No: 50 (Marks: 1) - Please choose one

Insurance premiums paid in advance but not yet expired are reported in which of the following account?

► Insurance payable
► Prepaid insurance
► Advance payment account
► Insurance expense

Question No: 51 (Marks: 1) - Please choose one

Dillon Company sold marketable securities Costing Rs.60,000 for Rs.72,000 cash. In the company's income statement and statement of cash flows, respectively, this will appear as:

► A Rs.72,000 gain and a Rs.6,000 cash receipt
► A Rs.12,000 gain and a Rs.72,000 cash receipt
► A Rs.12,000 gain and a Rs.60,000 cash receipt
► A Rs.72,000 sale and a Rs.72,000 cash receipt

Question No: 52 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal share in profit or loss. The agreement provides that Mr. A will receive Rs.10,000 and Mr. B will receive Rs.8,000 as salary allowance. The net income for the year is Rs.85,000. What will be the total share of Mr. B?

► Rs.52,500
► Rs.42,500
► **Rs.41,500**
► Rs.50,500

Question No: 53 (Marks: 1) - Please choose one

Which of the following is quoted company?

► Private Limited Company
► Public Limited Company
► Listed company
► Non Listed Company

Question No: 54 (Marks: 1) - Please choose one

Which of the following is one of the major factors affecting the market value of a company's shares?

- ► Current ratio
- ► Earning per share
- ► Return on investment
- ► Return on asset

Question No: 55 (Marks: 3)

You are required to pass rectifying entries of the following errors:

1. Sales of old furniture has been credited to sales account for Rs. 200.
2. Salaries paid Rs. 20,000 were wrongly debited to rent a/c.

Question No: 56 (Marks: 5)

3. **Discuss share premium with an example.**
4. **If dividend is announced in percentage by the directors of the company how it will be calculated.**

Question No: 57 (Marks: 5)

ABC Company purchased goods of Rs.150,000 on credit from which goods of Rs.20,000 were defected and returned. Company received 2% discount at the time of payment from the supplier.

Required:

5. What will be the amount of discount received by the company?
6. Also show the journal entries

Question No: 58 (Marks: 10)

The following Trial balance is taken out from the books of Rahman & Sons as on 31st December, 2008.

	Dr.	**Cr.**
	Rs.	**Rs.**
Sales		204,000
Capital		120,000
Bank overdraft		103,560
Sundry Creditors		120,000
Opening Stock	60,400	
Purchases	231,600	
Sundry Debtors	109,660	
Returns Inwards	3,640	
General Expenses	6,980	
Plant	22,620	
Wages & Salaries	16,740	
Building	50,000	

Cash in Hand	680	
Cash at bank	8,720	
Drawings	16,960	
Motive Power	2,300	
Dock &clearing Charges	1,300	
Coal, Gas, Water	1,700	
Salaries	9,820	
Interest on O/D	4,440	
Rent rates Taxes	1,400	
Discount Allowed	2,000	
Interest received		3,400
	550,960	**550,960**

Requirement:
Prepare The Trading and Profit & Loss account of the business for the year ended. Closing Stock is valued at Rs.40, 000.

Question No: 59 (Marks: 10)

Adil and Bilal make up their accounts annually to 31st December and have been in partnership for some years. Interest is charged on drawings at the rate of 10% per annum and is allowed on capitals also at 10% per annum. Bilal receives salary Rs. 4,000 per annum. The balance of profits or losses is to be shared: Adil 2/3, Bilal 1/3.
At 1st January, 2007, the following balances appeared in the firm's books:

Capital account: Adil	Rs. 10,000
Bilal	Rs. 6,000
Current Account: Adil	Rs. 5,000 (Cr)
Bilal	Rs. 3,000 (Cr)

The net profit for that year was amounted to Rs. 15,000. At that date the balances on partners' drawings accounts were: Adil Rs. 6,000 and Bilal Rs. 5,000. It is assumed that no capital introduced during the year

Required:
(1) The profit & Loss Appropriation account of the partnership for the year ended 31st December, 2007.
(2) Show Partners' current accounts and capital accounts in Balance sheet of Adil and Bilal as on 31st December 2007

Paper No:38

Solved by Chanda Rehman & ABr & Anjum

FINALTERM EXAMINATION
Fall 2009
MGT101- Financial Accounting (Session - 2)

Question No: 1 (Marks: 1) - Please choose one

Shares for which amount is paid by public are called _____ shares.

► **Paid up**
► Authorized

► Bonus shares

► All are correct options

Question No: 2 (Marks: 1) - Please choose one

Which of the following account/s will be affected under the rule of accrual accounting, when furniture is purchased on cash?

► Only Cash Account
► Only Furniture Account
► **Cash & Furniture Account**
► Only Purchases Account

Question No: 3 (Marks: 1) - Please choose one

A book, in which receipts and payments are recorded, is known as:

► Pass Book
► **Cash Book**
► Purchase Book
► Sales Book

Question No: 4 (Marks: 1) - Please choose one

Which of the following shows summary of a company's financial position at a specific date?

► Profit & Loss Account
► Cash Flow Statement
► **Balance Sheet**
► Income & Expenditure Account

Question No: 5 (Marks: 1) - Please choose one

Which of the following is **NOT** an example of intangible assets?

► Franchise rights
► Goodwill
► Patents
► **Land**

Question No: 6 (Marks: 1) - Please choose one

Which of the following account will be credited in the books of ABC Co. Ltd., if furniture is purchased on cash?

► Furniture account
► **Cash account**
► Business account
► Bank account

Question No: 7 (Marks: 1) - Please choose one

If the working capital and the current assets of company XYZ are Rs. 5,000 and Rs.15,000 respectively, calculate the current liabilities.

- ► Rs. 5,000
- ► **Rs. 10,000**
- ► Rs. 15,000
- ► Rs. 20,000

Question No: 8 (Marks: 1) - Please choose one

Cost of Goods Sold = ?

- ► Beginning inventory + Purchases – Work in Process
- ► Beginning inventory + Purchases - Sales
- ► Beginning inventory + Purchases - Ending inventory
- ► Ending inventory + Purchases - Beginning Inventory

Question No: 9 (Marks: 1) - Please choose one

The total of all costs incurred to convert raw material into finished goods is known as:

- ► Prime cost
- ► **Conversion cost**
- ► Sunk cost
- ► Opportunity cost

Question No: 10 (Marks: 1) - Please choose one

In cost of goods sold statement the 'cost of goods manufactured' is equal to:

- ► Total factory cost + Opening work in process + Ending work in process
- ► **Total factory cost + Opening work in process – Ending work in process**
- ► Total factory cost - Opening work in process + Ending work in process
- ► Ending work in process +Total factory cost – Opening work in process

Question No: 11 (Marks: 1) - Please choose one

Fixed assets are also called:

- ► **Depreciable assets**
- ► Current assets
- ► Liquid assets
- ► Floating assets

Question No: 12 (Marks: 1) - Please choose one

Consider the following inventory record:

Date	Item	Quantity	Cost/Unit	Total
2007Jan. 2	Opening inventory	100	Rs.18.00	Rs.1,800

Mar. 4	Purchase	400	19.00	7,600
May 8	Purchase	800	20.00	16,000
Nov. 3	Purchase	500	21.00	10,500

Four hundred units are unsold, Use the FIFO method of inventory costing and determine the value assigned to the 400 units on hand at the end of the period.

- ► Rs.7, 500
- ► Rs.7, 978
- ► Rs.8, 000
- ► **Rs.8, 400**

Question No: 13 (Marks: 1) - Please choose one

Increase in an asset is recorded on the:

- ► Left or credit side of the account
- ► Right or debit side of the account
- ► **Left or debit side of the account**
- ► Right or credit side of the account

Question No: 14 (Marks: 1) - Please choose one

The allocation of the cost of a tangible plant asset to expense in the periods, in which services are received from the asset, is termed as:

- ► Appreciation
- ► **Depreciation**
- ► Fluctuation
- ► None of the given options

Question No: 15 (Marks: 1) - Please choose one

Consider the following data:

Particulars	Rs.
Assets	?
Owner's equity	1,50,000
Liabilities	1,00,000

- ► Rs. 49,000
- ► Rs. 55,000
- ► Rs. 50,000
- ► **Rs. 2, 50,000**

Question No: 16 (Marks: 1) - Please choose one

Consider the following data:

Particulars	Rs.
Assets	8,20,000
Owner's equity	3,80,000
Liabilities	?

► Rs. 1, 98,000
► Rs. 49,000
► Rs. 55,000
► **Rs. 4, 40,000**

Question No: 17 (Marks: 1) - Please choose one

A debit balance in the Bank Statement indicates:

► Cash at bank
► Bank overdraft
► Overpayment to creditors
► Cash in hand

Question No: 18 (Marks: 1) - Please choose one

Bank Statement is a record of transactions between the bank and the holder of:

► A foreign currency account
► A current account
► A saving account
► **All of the given options**

Question No: 19 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

► Rs. 400
► Rs. 800
► Rs. 2,000
► Rs. 2,400

Question No: 20 (Marks: 1) - Please choose one

It is supposed that on 31-12-2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. It is also suppose that during the year 2008 actual bad debts were Rs. 1,600.
What entry will pass to create provision for doubtful debts?

► **Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)**
► Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)

► Provision for doubtful debts a/c Rs. 1,600 (Dr) & Profit & Loss a/c Rs. 1,600 (Cr)

► Profit & Loss a/c Rs. 1,600 (Dr) & Provision for doubtful debts a/c Rs. 1,600 (Cr)

Question No: 21 (Marks: 1) - Please choose one

Which of the following is/are the item/s of a Control Account?

► Credit sale only
► Cash sale only
► Credit purchase only
► **Both Credit sales and Credit purchase**

Question No: 22 (Marks: 1) - Please choose one

Control account tells about:

► Details of loyal clients
► Customer attitude of payments
► Complete history of transactions of business clients
► Picture collectively instead of individually

Question No: 23 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of purchases return of Rs. 200 to "Mr.P" mistakenly entered in sales book?

► P's account
► Purchases return account
► Sales account
► Purchases returns account and sales account

Question No: 24 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of a purchase return of Rs.200 to Mr. "A" entered in sales book instead of purchase return book?

► A's account only
► Sales account only
► **Purchase returns account and sales account**
► Purchases account only

Question No: 25 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of an amount Rs.200 received from Mr."P" wrongly credited to Mr."Q's" account?

► Only Cash Account
► Only P's account
► Only Q's account
► **Both of Mr. P's & Mr.Q's Account**

Question No: 26 (Marks: 1) - Please choose one

Which of the following entry will be recorded, if a cheque deposited is dishonored by bank?

- ► Bank Account (Dr.) and Debtor's Account (Cr.)
- ► **Debtor's Account (Dr.) and Bank Account (Cr.)**
- ► Dishonored Cheque Account (Dr.) and Bank Account (Cr.)
- ► Creditor's Account (Dr.) and Bank Account (Cr.)

Question No: 27 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 10%	

Identify the Total amount deducted from Sundry debtors.

- ► Rs. 460
- ► Rs. 2,400
- ► Rs. 3,080
- ► Rs. 5,480

Question No: 28 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	700
Sundry Debtors (Given in trial balance)	44,500
Provision for doubtful debts be increases by 5%	
What will be the amount of new provision	**?**

- ► **Rs. 2,225**
- ► Rs. 2,425
- ► Rs. 1,925
- ► Rs. 3,025

Question No: 29 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	700
Sundry Debtors (Given in trial balance)	44,800

If the Provision for doubtful debts has been increased by 5%, which amount of new provision will be shown in Profit & Loss Account?

► **Rs. 2,240**
► Rs. 2,425
► Rs. 1,925
► Rs. 3,025

Question No: 30 (Marks: 1) - Please choose one

Wages paid to laborers working in the manufacturing department is treated as an expense of:

► Administrative expenses
► Selling expenses
► Marketing expenses
► **Cost of goods sold**

Question No: 31 (Marks: 1) - Please choose one

Which of the following represents the relationship between persons who have agreed to share the profit of business carried on by all or any of them acting for all?

► Sole-ownership
► Private limited company
► Public limited company
► **Partnership**

Question No: 32 (Marks: 1) - Please choose one

In Income Statement, both beginning inventory and ending inventory appear in the section of:

► **Cost of good sold**
► Indirect cost
► Selling cost
► Factory over head cost

Question No: 33 (Marks: 1) - Please choose one

If dividend is proposed by directors of the company @ 30% for the year, it will be calculated on:

► Capital Reserve
► Authorized share capital
► Paid up share capital
► Share premium

Question No: 34 (Marks: 1) - Please choose one

A company is said to have been registered when:

► **It gets certificate of incorporation from registrar of Companies**
► It gets certificate of commencement of business from registrar of Companies
► It actually starts its business
► It filed with the Registrar of Companies articles certain documents, like memorandum and articles of association

Question No: 35 (Marks: 1) - Please choose one

6% Debentures Account Rs. 3, 00,000. What amount of interest on debentures should be shown in profit and loss account?

- Rs. 6,000
- Rs. 3, 00,000
- **Rs. 18,000**
- Rs. 3, 18,000

Question No: 36 (Marks: 1) - Please choose one

What are the effects on financial statements, if provision for Income Tax to be made Rs. 12,000 is given in adjustment?

- It will be deducted in Income Statement only
- It will be treated as current liability in balance sheet only
- It will be treated as current asset in balance sheet only
- **Both it will be deducted in income statement and it will be treated as current liability in balance sheet**

Question No: 37 (Marks: 1) - Please choose one

When the current Ratio is 2: 5 and the amount of Current Liabilities is Rs. 25,000. What will be the amount of Current Assets?

- Rs. 62,500
- Rs. 12,500
- Rs. 10,000 (25000*2/5 = 10000)
- Cannot be calculated with the help of given data

Question No: 38 (Marks: 1) - Please choose one

Prepaid interest given in the Trial Balance will be treated as a (an):

- **Asset**
- Liability
- Revenue
- Deferred expense

Question No: 39 (Marks: 1) - Please choose one

Which one of the following is another name of carrying cost of an asset?

- **Book Value**
- Residual Value
- Fair Value
- Break up Value

Question No: 40 (Marks: 1) - Please choose one

An overdraft will appear as:

- A debit balance in both the bank statement and the cash book
- A credit balance in the bank statement but as a debit balance in the cash book
- **A credit balance in the cash book but as a debit balance in the bank statement**
- A credit balance in both the bank statement and the cash book

Question No: 41 (Marks: 1) - Please choose one

Recovery of bad debts is treated as:

► Profit
► Revenue
► Expense
► Asset

Question No: 42 (Marks: 1) - Please choose one

The amount owed by debtors at the end of a month appears on the_____ side of the control account.

► Left side or debit
► Left side or credit
► Right side or debit
► Right side or credit

Question No: 43 (Marks: 1) - Please choose one

The amount owed by debtors at the start of a month appears on the _____ side of the individual debtors account.

► Left side or credit
► **Left side or debit**
► Right side or debit
► Right side or credit

Question No: 44 (Marks: 1) - Please choose one

Ahmad Industries want to make payment to its supplier in the form of a pay order. The bank deducted Rs.160 as service charges without its knowledge. The error is known as:

► Error of commission
► **Error of omission**
► Error of original entry
► Error of principle

Question No: 45 (Marks: 1) - Please choose one

Which of the given statement is **CORRECT** if both sides of trial balance are equal?

► It is proof that no transaction was completely omitted from the ledger during the posting process
► **It is proof that the correct debit or credit balance has been computed for each account**
► It is proof that the ledger is in balance
► It is proof that transactions have been correctly analyzed and recorded in the proper accounts

Question No: 46 (Marks: 1) - Please choose one

Which of the following justifies when profit is earned?

► Assets exceed Expenditure
► **Income exceeds Expenditure**
► Cash Inflow exceeds Cash Outflow

► Income exceeds Liabilities

Question No: 47 (Marks: 1) - Please choose one

In a partnership of Mr. A and Mr. B, the share of profit of Mr. A is Rs.75,375 and the share of profit of Mr. B is Rs. 25,125. What will be the ratio of their share?

► 1:2
► 2:3
► 3:2
► 3:1

Question No: 48 (Marks: 1) - Please choose one

Income tax expense of Eden Corporation shows a debit balance of Rs.7,000 in its unadjusted trial balance and Rs.7,600 in adjusted trial balance. Which of the following account will be credited in adjusting entry?

► Income tax payable
► Prepaid income tax
► Income tax expense
► Income tax paid

Question No: 49 (Marks: 1) - Please choose one

Sanders Construction sold a plant asset that originally cost Rs.80,000 for Rs.52,000 cash. If Sanders correctly reports a Rs.5,000 gain on this sale, the accumulated depreciation on the asset at the date of sale must have been:

► Rs.23,000
► Rs.28,000
► **Rs.33,000**
► Some other amount

Question No: 50 (Marks: 1) - Please choose one

Which of the following is responsible to register the companies?

► State Bank of Pakistan
► **Security and Exchange Commission of Pakistan**
► Supreme Court
► Stock Exchange

Question No: 51 (Marks: 1) - Please choose one

Which of the following can be utilized to set off any loss on revaluation?

► Capital reserve
► General reserve
► **Revaluation reserve**
► None of the given options

Question No: 52 (Marks: 1) - Please choose one

Which of the following is known as the charter of the company?

► Prospectus
► Articles of association
► Memorandum of association
► None of the given options

Question No: 53 (Marks: 1) - Please choose one

Statement of cash flows helps the stakeholders to assess:

- ► Ability to pay cash dividends in the future
- ► **All of the given options**
- ► The ability to generate future cash flows
- ► The liquidity of the business

Question No: 54 (Marks: 1) - Please choose one

Short term investments in marketable securities and treasury bills that will mature within ninety days from the date of acquisition, must be classified as:

- ► Receivables
- ► Receipts from Capital
- ► Current and intangible assets
- ► Cash equivalents

Question No: 55 (Marks: 3)

Give four reasons, why capital might change.

1. The entrance or exit of some (new) partner
2. Withdraw by partner(s)
3. Additional Investment by the partner(s)
4. Profit/Loss

Question No: 56 (Marks: 5)

Write down the five advantages of Limited Company.

1. It is a legal entity created by law and hence has its own recognition, good will and brand equity etc.
2. It is a wide form of business and hence a formal approach for various partners/investors to come and work for the same objectives in an organized form.
3. Liability limited to company assets only. Investors/partners do not personally liable for any loss or in state of bankrupty.
4. Being a legal entity, easy to get loans or gather funds from public (for public limited companies only) or financial institutes.
5. Being a legal entity, it can enjoy more opportunities for mega projects and trade/operations opportunities in international markets on its on behalf.

Question No: 57 (Marks: 5)

ABC Company purchased goods of Rs.150,000 on credit from which goods of Rs.20,000 were defected and returned. Company received 2% discount at the time of payment from the supplier.

Required:

What will be the amount of discount received by the company?

Also show the journal entries

Solution:

(A)

Discount Received= (150,000-20,000) x (2/100) = 2600

(B)

Particulars	Dr.	Cr.
Entry for Purchase		
Goods	150,000	
A/P		150,000
Entry for Return		
A/P	20,000	
Goods		20,000
While making Payment (@ 2% discount = 2600)		
A/P	130,000	
Discount income		2,600
Cash		127,400

Question No: 58 (Marks: 10)

State clearly how you will deal with Bad Debts Account, Provision for Bad Debts Account, Profit & Loss account and Balance Sheet in the following case:

The items appearing in the trial balance are bad debts Rs. 300, provision for bad debts Rs. 350 and sundry debtors Rs. 12,000. It is required to increase the provision for bad debts to 5% on sundry debtors.

Question No: 59 (Marks: 10)

The unadjusted and adjusted trial balances for Tinker Corporation on December 31, 2007, are shown below:

Tinker Corporation
Trial Balances
December 31, 2007

	Unadjusted		Adjusted	
	Debit Rs.	Credit Rs.	Debit Rs.	Credit Rs.
Cash	35,200		35,200	
Accounts receivable	29,120		29,120	
Unexpired insurance	1,200		600	
Prepaid rent	5,400		5,400	
Office supplies	680		380	
Equipment	60,000		60,000	
Accumulated depreciation: equipment		49,000		50,000
Accounts payable		900		900
Notes payable		5,000		5,000
Interest payable		200		200
Salaries payable		-		2,100
Income taxes payable		1,570		1,570

Unearned revenue		6,800		3,800
Capital stock		25,000		25,000
Retained earnings		30,000		30,000
Fees earned		91,530		94,530
Advertising expense	1,500		1,500	
Insurance expense	6,600		7,200	
Rent expense	19,800		19,800	
Office supplies expense	1,200		1,500	
Repairs expense	4,800		4,800	
Depreciation expense: equipment	11,000		12,000	
Salaries expense	26,300		28,400	
Interest expense	200		200	
Income taxes expense	7,000		7,000	
	210,000	**210,000**	**213,100**	**213,100**

Journalize the five adjusting entries that the company made on December 31, 2007.

Solution:

Date	**Particular**	**Dr.**	**Cr.**
Dec 31	Insurance expense	600	
	to Unexpired insurance		600
Dec 31	Office Supplies Expense	300	
	to Office Supplies		300
Dec 31	Depreciation Expense-Equip.	1000	
	to Accumulated depreciation-Equip.		1000
Dec 31	Salaries Expense	2100	
	to Salaries Payable		2100
Dec 31	Unearned revenue	3000	
	to Fee Earned		3000

Paper no 39
Solved by Abr,Nomi & Chanda Rehman

FINALTERM EXAMINATION
Fall 2009
MGT101- Financial Accounting (Session - 4)

Ref No: 1195888
Time: 120 min
Marks: 8

Question No: 1 (Marks: 1) - Please choose one

Shares for which amount is paid by public are called _____ shares.

► Paid up
► Authorized

► Bonus shares

► All are correct options

Question No: 2 (Marks: 1) - Please choose one

The area of accounting concerned with reporting financial information to the interested parties is called:

► Cost Accounting
► Financial Accounting
► Management Accounting
► Tax Accounting

Question No: 3 (Marks: 1) - Please choose one

An organization operating with the objective of making profit from the sale of goods or services is called:

► Transaction
► Business
► Society
► Trust

Question No: 4 (Marks: 1) - Please choose one

Which of the following essentials are shown in Bank Book?
(1) Date of transaction
(2) Narration of transaction
(3) Cheque number

► (1) & (2) only
► (2) & (3) only
► (1) & (3) only
► (1), (2) & (3)

Question No: 5 (Marks: 1) - Please choose one

Which of the following summarizes the cash movements during a specified period?

► Trading account
► Profit & Loss account
► Receipts & Payments account
► Balance Sheet

Question No: 6 (Marks: 1) - Please choose one

What type of expenses are paid out of Gross Profit?

► Selling Expenses
► General Expenses
► Financial Expenses
► All of the given options

Question No: 7 (Marks: 1) - Please choose one

Following are the inventories of Manufacturing Concern **EXCEPT**:

- ► Raw material
- ► Work in process
- ► Finished goods
- ► Merchandise inventory

Question No: 8 (Marks: 1) - Please choose one

In cost of goods sold statement, the 'cost of material consumed' is equal to:

- ► Opening raw material inventory + Purchases – Ending raw material inventory
- ► Opening raw material inventory - Purchases + Ending raw material inventory
- ► Ending raw material inventory + Opening raw material inventory - Purchases
- ► Ending raw material inventory + Opening raw material inventory + Purchases

Question No: 9 (Marks: 1) - Please choose one

If, Cost of machine = Rs.400, 000
Useful life = 5 years
Residual value = Rs.25, 000
The depreciation of machine per year using straight line method is?

- ► Rs. 160,000
- ► Rs. 96,000
- ► Rs. 75,000
- ► Rs. 57,600

Question No: 10 (Marks: 1) - Please choose one

The Primary objective of providing depreciation is:

- ► **To calculate true profit**
- ► To show the asset on market value
- ► To reduce tax Burdon
- ► To provide funds for replacement

Question No: 11 (Marks: 1) - Please choose one

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty-five units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

- ► Rs.260
- ► Rs.232
- ► Rs.284
- ► Rs.268

Question No: 12 (Marks: 1) - Please choose one

Accounting is the language of:

► Business
► School
► Proprietor
► Management

Question No: 13 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Owner's equity	Rs. 22,500
Total Liabilities	Rs. 80, 385
Cash in hand	Rs. 1,000
Cash at bank	Rs. 2,000
Debtors	Rs. 500

► Rs. 1, 02,885 other assets
► Rs. 1, 02,885 other liabilities
► Rs. 99,885 current liabilities
► Rs. 99,385 other assets

Question No: 14 (Marks: 1) - Please choose one

A Bank Reconciliation Statement is prepared to:

► Ascertain that the difference between the Cash Book balance and the Bank Statement balance has been accounted for
► Correct errors in the Cash Book or errors in the Bank Statement
► Amend the balance of the Bank Statement of the firm
► Amend the balance in the Cash Book of the firm

Question No: 15 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

► Rs. 400
► Rs. 800
► Rs. 2,000
► Rs. 2,400

Question No: 16 (Marks: 1) - Please choose one

It is supposed that on 31-12-2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are

doubtful. It is also suppose that during the year 2008 actual bad debts were Rs. 1,600. What entry will pass to create provision for doubtful debts?

► Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)
► Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)
► Provision for doubtful debts a/c Rs. 1,600 (Dr) & Profit & Loss a/c Rs. 1,600 (Cr)
► Profit & Loss a/c Rs. 1,600 (Dr) & Provision for doubtful debts a/c Rs. 1,600 (Cr)

Question No: 18 (Marks: 1) - Please choose one

Which of the following is an item of a debtors control account?

► Cash sale
► Credit sales
► Credit purchase
► Cash purchases

Question No: 19 (Marks: 1) - Please choose one

Which of the following is an item of a creditors control account?

► Cash purchases
► Cash sales
► Credit sales
► Credit purchase

Question No: 20 (Marks: 1) - Please choose one

Which of the following is (are) benefit/s of subsidiary ledger accounts to business?

► It tells about customer attitude of payments
► It can be checked against the control account to pick up recording errors
► It tells about the complete history of transactions of business client
► All of the given options

Question No: 21 (Marks: 1) - Please choose one

Which of the following rectifying entry will be recorded, if sales to Mr. "A" of Rs.336 have been debited to Mr. "B" account?

► A's account (Dr.) and B's account (Cr.)
► B's account (Dr.) and A's account (Cr.)
► Sales account (Dr.) and B's account (cr.)
► B's account (Dr.) and Sales account (Cr.)

Question No: 22 (Marks: 1) - Please choose one

Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

► Bank charges

- ► An error on the Bank Statement
- ► An uncredited deposit
- ► An unpresented cheque

Question No: 23 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account

- ► Rs. 3,600
- ► Rs. 4,000
- ► Rs. 1,600
- ► Rs. 2, 400

Question No: 24 (Marks: 1) - Please choose one

Which of the following is the first phase of the typical operating cycle?

- ► Sell goods and services to customers
- ► Purchase goods and services
- ► Receive cash from customers
- ► Pay cash to suppliers

Question No: 25 (Marks: 1) - Please choose one

Which one of the following is **TRUE** about provisions?

- ► It is necessary to prepare for showing true picture of balance sheet
- ► It is a reduction from assets
- ► It is prepared for specific purposes
- ► All of the given options

Question No: 26 (Marks: 1) - Please choose one

Which of the following is/are **NOT** shown in balance sheet of sole proprietor?

- ► Fixed assets
- ► Current liabilities
- ► Profit sharing ratio
- ► Long term assets

Question No: 27 (Marks: 1) - Please choose one

When closing stock is given in trial balance, then it will effect:

- ► Trading account only
- ► Balance sheet only
- ► Owner's equity only
- ► Both Trading account and Balance sheet

Question No: 28 (Marks: 1) - Please choose one

Which of the following is (are) **NOT** example(s) of distributable profit?

- ► None of the given options
- ► General reserve
- ► Accumulated profit and loss (credit balance)
- ► **Revaluation reserves**

Question No: 29 (Marks: 1) - Please choose one

Which of the following is **NOT** a cash inflow?

- ► Sale of fixed asset
- ► Issue of debentures
- ► Cash from business operation
- ► Purchase of fixed asset

Question No: 30 (Marks: 1) - Please choose one

Which of the following business publishes the Financial Statements?

- ► Sole-Proprietorship
- ► Partnership
- ► Trust
- ► Public Limited Company

Question No: 31 (Marks: 1) - Please choose one

Particulars	
Nominal value of each share	Rs.10
No of shares issued	10,000 shares
Net profit	Rs. 20,000
Divined paid	10%
What is the EPS	**?**

- ► Rs. 1.00
- ► **Rs. 2.00**
- ► Rs. 3.00
- ► Rs. 4.00

Question No: 32 (Marks: 1) - Please choose one

When income exceeds expenses in a specific time period is known as:

- ► Savings
- ► Net profit
- ► Gross profit
- ► Operating profit

Question No: 33 (Marks: 1) - Please choose one

Which of the following transaction have **NO** affect on stockholders' equity?

- ► Purchase of building on credit
- ► Dividends to stockholders
- ► Net loss
- ► Investment in cash by stockholders

Question No: 34 (Marks: 1) - Please choose one

In balance sheet fixed assets are shown at:

- ► Residual value

► Market value
► Fair value
► Written down value (WDV)

Question No: 35 (Marks: 1) - Please choose one

Firms charge depreciation each year:

► To ensure that there is enough money in the firm to replace the asset
► To spread the cost of the asset over its working life
► To reduce the profit and thus reduce the dividends they can pay to share holders
► Because the law states they must be reduced

Question No: 36 (Marks: 1) - Please choose one

Which of the following is(are) **CORRECT** for Doubtful Debt?

► It is shown in balance sheet
► It is a definite loss to the business
► No provision is necessary for it
► All of the given option

Question No: 37 (Marks: 1) - Please choose one

Which of the following is not a cause of difference in balances as per pass book and cash book?

► Error in cash book
► Error in pass book
► Direct deposit
► Un credited cheques

Question No: 38 (Marks: 1) - Please choose one

Stock account is debited and creditors account is credited, which of the following is reflecting the statement?

► Discount received
► Goods returned
► Purchase of goods on credit
► Payment of goods

Question No: 39 (Marks: 1) - Please choose one

A bad debt affects the Balance Sheet because it is a (an):

► Liability
► Asset
► Expense
► Income

Question No: 40 (Marks: 1) - Please choose one

The financial year of Atif Brothers & Co. is closed on June 30, 2009. Total cash sales

are Rs. 150,000, credit sales are Rs. 180,000 and total receipts are Rs. 250,000. Credit receipts will be:

- ► Rs. 150,000
- ► Rs. 100,000
- ► Rs. 220,000
- ► Rs. 280,000

Question No: 41 (Marks: 1) - Please choose one

Which of the following statement is correct? If a company fails to record estimated bad debts expense,

- ► Net realizable value is understated
- ► **Expenses are understated**
- ► Revenues are understated
- ► Receivables are understated

Question No: 42 (Marks: 1) - Please choose one

In the heading of financial statement, _____ is not required?

- ► Title of financial statement
- ► Name of the person who prepares financial statement
- ► Period for which financial statement is prepared
- ► Name of business entity

Question No: 43 (Marks: 1) - Please choose one

Sunset tours has Rs.3,500 account receivable from the Del Mar Rotary. On January 20, the Rotary makes a partial payment of Rs.2,100 to Sunset Tours. The journal entry made on January 20 by Sunset Tours to record this transaction includes:

- ► A debit to the Cash Received account of Rs. 3,500
- ► A credit to the Accounts Receivable account of Rs.2,100
- ► A debit to the Cash account of Rs.1,400
- ► A debit to the Accounts Receivables account of Rs.1,400

Question No: 44 (Marks: 1) - Please choose one

A and B entered in partnership in capital ratio of 2:3. They earned a profit of Rs.6,600 during the year. What will be the share of profit of Mr. B?

- ► Rs.1,320
- ► Rs.2,640
- ► Rs.3,960
- ► Rs.6,600

Question No: 45 (Marks: 1) - Please choose one

The amount of prepaid insurance that expired in the current accounting period should be reported as _____.

- ► Prepaid insurance
- ► **Insurance expense**
- ► Insurance payable
- ► Insurance paid

Question No: 46 (Marks: 1) - Please choose one

Unexpired costs are reported as:

- ► Revenues

► Expenses
► Assets
► Income

Question No: 47 (Marks: 1) - Please choose one

Insurance premiums paid in advance but not yet expired are reported in which of the following account?

► Insurance payable
► Prepaid insurance
► Advance payment account
► Insurance expense

Question No: 48 (Marks: 1) - Please choose one

Profits earned by partnerships compensate the owners for which of the following?

► Personal services rendered to the business
► Capital invested in the business
► Assuming the risks of ownership
► All of the given options

Question No: 49 (Marks: 1) - Please choose one

Which of the following can be utilized to issue bonus shares?

► Reserves
► Debentures
► Share premium
► Term finance certificate

Question No: 50 (Marks: 1) - Please choose one

Which of the following value of the share is authorized by the memorandum of association?

► Par value
► Face value
► Nominal value
► All of the given options

Question No: 51 (Marks: 1) - Please choose one

All of the following have an effect on ‘operating activities’ while preparing the statement of cash flows except:

► Provision for doubtful debts
► Gain or loss on currency exchange rate
► Depreciation charged on fixed asset
► Amount received for disposal of a fixed asset

Question No: 52 (Marks: 1) - Please choose one

According to the statement of cash flows following are the examples of investing activities except:

► Sales of machinery
► Capital invested by the owners
► Purchase of building for the business use
► Cash received from the disposal of equipment

Question No: 53 (Marks: 1) - Please choose one

The financial statement that captures both the current operating result and the associated changes in the balance sheet is:

- ► Statement of retained earnings
- ► Statement of financial position
- ► Statement of cash flows
- ► Statement of changes in equity

Question No: 54 (Marks: 1) - Please choose one

What is the reason that some short term creditors prefer quick ratio over current ratio as a measure of short-term liquidity?

- ► **Short operating cycle of the company**
- ► Long operating cycle of the company
- ► Liquidity is not affected by operating cycle
- ► It is the creditor's choice

Question No: 55 (Marks: 3)

Differentiate between salaries & wages and wages & salaries? Also mention in which financial statements are treated

Question No: 56 (Marks: 5)

What is bank overdraft? Mention an example for this. Why companies have to pay mark up on it. Under which head mark up paid on overdraft is shown in financial statement.

Question No: 57 (Marks: 5)

Prepare Bank Reconciliation Statement with the help of given data

Particulars	Rs.
Balance as per Bank statement (Cr)	600
Unpresented cheques	1,440
Uncredited cheques	260

Question No: 58 (Marks: 10)

The following is the trial balance of Sikander's Photo Studio, Inc., dated December 31, 2007. You are required to prepare the Profit and Loss account.

Sikander's Photo Studio, Inc.
Trial balance
December 31, 2007

Cash	Rs.171,100	
Accounts receivable	9,400	
Prepaid studio rent	3,000	

Unexpired insurance	7,200	
Supplies	500	
Equipment	18,000	
Accumulated depreciation: equipment		Rs.7,200
Notes payable		10,000
Accounts payable		3,200
Salaries payable		4,000
Income tax payable		6,000
Unearned revenue		8,800
Capital stock		100,000
Retained earnings		34,000
Revenue earned		165,000
Salary expense	85,000	
Supply expense	3,900	
Rent expense	12,000	
Insurance expense	1,900	
Advertising expense	500	
Depreciation expense: equipment	1,800	
Interest expense	900	
Income taxes expense	23,000	
	338,200	**338,200**

Question No: 59 (Marks: 10)

Internet Consulting Service, Inc., adjusts its accounts every month. Following is the company's year end unadjusted trial balance dated December 31, 2007. (Bear in mind that adjusting entries already have been made for the first 11 months of 2007, but not for December.)

Internet Consulting Service, Inc.
Unadjusted Trial balance
December 31, 2007

Cash	Rs. 49,100	Rs.
Consulting fees receivable	23,400	
Prepaid office rent	6,300	
Prepaid dues and subscriptions	300	
Supplies	600	
Equipment	36,000	
Accumulated depreciation: equipment		10,200
Notes payable		5,000
Income tax payable		12,000
Unearned consulting fees		5,950
Capital stock		30,000
Retained earnings		32,700
Dividends	60,000	
Consulting fees earned		257,180
Salary expense	88,820	
Telephone expense	2,550	

Rent expense	22,000	
Income taxes expense	51,000	
Dues and subscriptions expense	560	
Supplies expense	1,600	
Depreciation expense: equipment	6,600	
Miscellaneous expenses	4,200	
	353,030	**353,030**

Other Data:

1. The useful life of the equipment has been estimated at five years (60 months) from date of acquisition.
2. Consulting services valued at Rs.2,850 were rendered during December to clients who had made payment in advance.
3. Salaries earned by employees but not paid as of December 31 amounted Rs.1,700.
4. An estimate of supplies on hand was made at December 31; the estimated cost of the unused supplies was Rs.450.

Instructions:

Determine the amounts to be reported in the company's year end adjusted trial balance for each of the following accounts:

Consulting fees earned
Salaries expense
Depreciation expense: equipment
Supplies expense
Income tax expense

Paper no 40

Solved by Chanda Rehman & ABr

FINALTERM EXAMINATION

Spring 2010

MGT101- Financial Accounting (Session - 2)

Time: 90 min

Marks: 69

Question No: 1 (Marks: 1) - Please choose one

Which of the following is correct according to the double entry system of book-keeping?

► Debit = Credit
► **Debit > Credit**
► **Debit < Credit**
► **All of the given options**

Question No: 2 (Marks: 1) - Please choose one

An Asset that is NOT **physical in nature is called _____.**

► Intangible Asset

- **Liquid Asset**
- **Current Asset**
- **Fixed Asset**

Question No: 3 (Marks: 1) - Please choose one

Which of the following account balance will be shown on debit side of Trial Balance? (It is assumed that all account balances are shown on normal balance)

- **Cash account**
- **Furniture account**
- **Vehicle account**
- All of the given options

Question No: 4 (Marks: 1) - Please choose one

Bank Reconciliation Statement is:

- A memorandum statement
- **A ledger account**
- **A part of cash book**
- **A part of journal**

Question No: 5 (Marks: 1) - Please choose one

Particulars	Rs.
Opening written down value of machine	**Rs. 2,00,000**
Cost of new machine purchased during the year	**Rs. 50,000**
Depreciation during the year	**Rs. 25,000**
Closing written down value (WDV) of machines	**?**

- Rs. 2, 25,000
- **Rs. 2, 50,000**
- **Rs. 2, 75,000**
- **Rs. 75,000**

Question No: 6 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	
	Rs.
Closing value of stock	**40,000**
Bad Debts (Given in trial balance)	**500**
Old provisions (Given in trial balance)	**700**
Sundry Debtors (Given in trial balance)	**44,500**
Provision for doubtful debts be increases by 5%	
What will be the amount of new provision	
	?

► Rs. 2,225
► Rs. 2,425
► Rs. 1,925
► Rs. 3,025

Question No: 7 (Marks: 1) - Please choose one

Which of the following is a selling expense?

► **Interest on deposits**
► **Any tax/freight is paid on purchases**
► **General salaries paid to laborers**
► **Tax & freight paid on sale PG26**

Question No: 8 (Marks: 1) - Please choose one

Which account is increased with a debit and decreased with a credit?

► Cash
► **Accounts Payable**
► **Contributed Capital**
► **Retained Earnings**

Question No: 9 (Marks: 1) - Please choose one

Which of the following journal entry will be recorded, if cash is drawn by a Proprietor?

► Proprietor's drawings a/c (Dr.) and Cash a/c (Cr.)
► **Cash a/c (Dr.) and Proprietor's drawings a/c (Cr.)**
► **Proprietor's Capital (Dr.) and Proprietor's drawings a/c (Cr.)**
► **Proprietor's drawings (Dr.) and Proprietor's Capital a/c (Cr.)**

Question No: 10 (Marks: 1) - Please choose one

When the capitals are fixed, which of the following account will be debited for drawings made by a partner?

► **Individual Partner's Current Account**
► **Partner's Cash Account**
► **Partner's Bank Account**
► **Partners Capital Account**

Question No: 11 (Marks: 1) - Please choose one

Authorized share capital is also known as:

► Registered capital
► **Issued capital**
► **Paid up capital**
► **Called up capital**

Question No: 12 (Marks: 1) - Please choose one

When goods are acquired from the supplier the gross cost of such goods is recorded in:

► **Debtor Account**
► Purchases Account
► **Factory overhead account**
► **Sales Account**

Question No: 13 (Marks: 1) - Please choose one

Which of the following is NOT **a cash inflow?**

- ► **Sale of fixed asset**
- ► **Issue of debentures**
- ► **Cash from business operation**
- ► Purchase of fixed asset

Question No: 14 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as an inflow of cash?

- ► **The repayments of a bank loan**
- ► **Dividend issue in the current year**
- ► Money received as result of selling fixed assets
- ► **The difference between the valuations of old and new fixed assets**

Question No: 15 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as a cash outflow?

- ► The payments for purchases made during the year
- ► **A decrease in trade debtors over the course of an accounting period**
- ► **Money received as a result of issuing new shares**
- ► **Money received as result of selling fixed assets**

Question No: 16 (Marks: 1) - Please choose one

When we close bad debt account, which of the following account is debited?

- ► Profit and loss account
- ► **Bad debt account**
- ► **Debtor account**
- ► **Creditor account**

Question No: 17 (Marks: 1) - Please choose one

Subsidiary ledgers are maintained for:

- ► **Debtors**
- ► **Creditors**
- ► **Stock**
- ► All of the given options

Question No: 18 (Marks: 1) - Please choose one

ABC Company received discount on its credit purchases, which of the following will be credited while entering in journal?

- ► **Cash**
- ► Discount received
- ► **Creditors**
- ► **Bank**

Question No: 19 (Marks: 1) - Please choose one

Mr. Ali's bank book shows a debit balance of Rs. 36,000. He deposited a cheque of Rs.15,000 but not yet collected by the bank. What will be the balance of bank statement?

► Rs. 21,000
► **Rs. 51,000**
► **Rs. 36,000**
► **Rs. 15,000**

Question No: 20 (Marks: 1) - Please choose one
Which of the following indicates cash discount received?
► Discount in paying debt earlier
► **Discount in receiving debt earlier**
► **Discount in purchasing huge goods**
► **Discount in selling huge goods**

Question No: 21 (Marks: 1) - Please choose one
Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on drawings of Mr. A is Rs.1,500 and of Mr. B is Rs.1,800. The net income for the year is Rs.85,000. What will be the profit share of Mr. B?
► **Rs.42,350**
► Rs.44,150
► **Rs.41,600**
► **Rs.40,850**

Question No: 22 (Marks: 1) - Please choose one
Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on drawings of Mr. A is Rs.1,500 and of Mr. B is Rs.1,800. The net income for the year is Rs.85,000. What will be the amount of distributable profit?
► **Rs.81,700**
► Rs.88,300
► **Rs.131,700**
► **Rs.146,700**

Question No: 23 (Marks: 1) - Please choose one
Which of the following value of the share is authorized by the memorandum of association?
► **Par value**
► **Face value**
► **Nominal value**
► All of the given options

Question No: 24 (Marks: 1) - Please choose one
Which of the following statement is not true regarding the objective of statement of cash flows?
► **It is helpful for decision making by management**
► **It is used for reporting the net profit of the period**
► **It can be used for estimations for cash flows in future**
► It is used to determine the liquidity of the business

Question No: 25 (Marks: 1) - Please choose one
Statement of cash flows helps the stakeholders to assess:

► **Ability to pay cash dividends in the future**
► All of the given options
► **The ability to generate future cash flows**
► **The liquidity of the business**

Question No: 26 (Marks: 1) - Please choose one
According to the statement of cash flows following are the examples of investing activities except:
► **Sales of machinery**
► Capital invested by the owners
► **Purchase of building for the business use**
► **Cash received from the disposal of equipment**

Question No: 27 (Marks: 1) - Please choose one
The cash book in book-keeping records:
► **All cash and credit purchase of goods**
► **Only cash payments**
► All receipts and payments in cash
► **All cash and credit sale of goods**

Question No: 28 (Marks: 1) - Please choose one
What will be the effect of decrease in closing stock on gross profit?
► **Gross profit increased**
► Gross profit decreased
► **No effect on Gross profit**
► **Gross profit will become positive**

Question No: 29 (Marks: 1) - Please choose one
If:
· **Direct Material Cost is Rs. 20,000**
· **Direct labour cost is Rs. 10,000**
· **Manufacturing Cost is Rs. 45,000**
Then:
What is the amount of Factory Overhead?
► **Rs. 15,000**
► **Rs. 30,000**
► **Rs. 35,000**
► **Rs. 25,000**

Question No: 30 (Marks: 1) - Please choose one
Which one of the following methods for inventory valuation may overstate the income during the periods of rising prices?
► **Specific Identification Method**
► FIFO Method
► **LIFO Method**
► **Weighted Average Method**

Question No: 31 (Marks: 1) - Please choose one

Which of the following is NOT **a method of calculating depreciation?**

- ► **Straight Line Method**
- ► **Written Down Value Method**
- ► **Diminishing Balance Method**
- ► Specific Identification Method

Question No: 32 (Marks: 1) - Please choose one

What is the treatment of Depreciation in accounting?

- ► **Written in balance sheet under the head of fixed assets**
- ► Charged to profit and loss account
- ► **Written in balance sheet under the head of current assets**
- ► **Written in balance sheet under the head of liabilities**

Question No: 33 (Marks: 1) - Please choose one

Which of the following is TRUE**?**

- ► Gain on revaluation is credited to Revaluation Reserve Account.
- ► **Gain on revaluation is debited to Revaluation Reserve Account.**
- ► **Gain on revaluation is credited to Profit & Loss Account.**
- ► **Gain on revaluation is debited to Profit & Loss Account.**

Question No: 34 (Marks: 1) - Please choose one

The loss on the sale of fixed assets is a:

- ► Normal loss
- ► **Ordinary loss**
- ► **Capital loss**
- ► **Revenue loss**

Question No: 36 (Marks: 1) - Please choose one

Which of the following is NOT **included in Debtors Control Account?**

- ► Cash sale
- ► **Credit sale**
- ► **Bills receivable**
- ► **Discount allowed**

Question No: 37 (Marks: 1) - Please choose one

If cash sale is the missing figure, it can be ascertained by the construction of:

- ► **Creditors Control Accounts**
- ► **Debtors Control Accounts**
- ► Cash Account
- ► **None of the given options**

Question No: 38 (Marks: 1) - Please choose one

Which of the following is/are the Classification of Current Assets?

- ► **Cash Balance**
- ► **Loans and Advances**
- ► **Bank Balance**
- ► All of the given options

Question No: 39 (Marks: 1) - Please choose one

Depreciation expense is charged to which of the following head?

► **Administrative expenses**
► **Selling expenses**
► **Cost of sales**
► It depends on the nature of expense

Question No: 40 (Marks: 1) - Please choose one
Inventory is always considered as:
► Current asset
► **Current liability**
► **Long-term asset**
► **Stockholders' equity**

Question No: 41 (Marks: 1) - Please choose one
If:
Ø Capital at the start Rs. 100,000
Ø Profit during the year Rs. 50,000
Ø Withdrawal during the year Rs. 25,000
What would be the closing balance of capital?
► **Rs. 175,000**
► **Rs. 150,000**
► Rs. 125,000
► **Rs. 75,000**

Question No: 42 (Marks: 1) - Please choose one
Which of the following Legal Documents of a company contain(s) the rules and regulations framed for the internal management of the company?
► **Memorandum of Association**
► **Articles of Association**
► **Both Memorandum of Association and Articles of Association**
► **Prospectus**

Question No: 43 (Marks: 1) - Please choose one
Which one of the following refers to the allotment of shares to the existing shareholders by capitalizing the reserves into additional capital?
► **Reserve funds**
► **Accumulated profit**
► **Right issue**
► **Bonus issue**

Question No: 44 (Marks: 1) - Please choose one
When a share having a face value of Rs.100 issued at Rs.90 then which one of the following options is correct under this situation?
► **Share issued at premium**
► Share issued at discount
► **Share issued at nominal value**
► **Share issued at market value**

Question No: 47 (Marks: 1) - Please choose one
Which of the following would be a suitable head for short term advances from customers in Balance Sheet?
► **Current asset**

► **Intangible asset**
► **Tangible asset**
► Current liability

Question No: 48 (Marks: 1) - Please vu zs choose one

If there is a portion of long term loan of Rs. 30,000 payable in the current accounting period. Where it will be shown in financial statement?

► **Current liability**
► Long term liability
► **Current asset**
► **Owner's equity**

Question No: 49 (Marks: 3)

- **Rent expenses Rs. 20,000**
- **Insurance expenses Rs. 30,000**
- **Bad debts Rs. 35,000**

In addition rent payable is Rs. 5,000; calculate the amount of operating expenses to be shown in profit and loss account.

Question No: 50 (Marks: 3)

If:

- **Retain earning at the beginning Rs. 1,000**
- **Dividend paid 500**
- **Retain earning at the end 2,500**

Then:

You are required to prepare statement of Retain earnings to find the amount of Net income

Question No: 51 (Marks: 5)

Given the following data:

Purchases Rs. 4,500, Returns outwards Rs.300, Returns inwards Rs.150, Carriage outwards Rs.830, Carriage inwards Rs.260, Opening stock Rs.935, and closing stock Rs. 1,100.

What would be the value of the cost of goods sold?

Question No: 52 (Marks: 5)

Mr. Bilal is a member of partnership firm. He drew some amounts from the business on following dates.

- **July Rs. 2,500**
- **November 1,500**
- **December 3,000**
- **March 5,000**

All drawings were made on the 1st day of the month @ rate of 10 %. It is assumed that financial year starts at July 1st and ends on 30th June.

Required:

Calculate mark up on drawing.

Question No: 53 (Marks: 5)

Particulars	Rs.
Raw Material - Opening Stock	**10,000**

Raw Material – Purchases	**2,000**
Raw Material - Closing Stock	**3,000**
Packing Material - Opening Stock	**4,000**
Packing Material – Purchases	**5,000**
Packing Material - Closing Stock	**6,000**

Based on the above information you are required to calculate the following:

Ø Cost of Raw Material Consumed

Ø Cost of Packing Material Consumed

Paper no 41

Solved by Chanda Rehman& ABr

FINALTERM EXAMINATION

Spring 2009

MGT101- Financial Accounting (Session - 4)

Time: 120 min

Marks: 85

Question No: 1 (Marks: 1) - Please choose one

What will be the effect on accounting equation, when payment is made to the creditor of the business?

► Increase in an asset, increase in owner's equity
► Increase in an asset, increase in a liability
► Decrease in an asset, decrease in owner's equity
► **Decrease in an asset, decrease in a liability Correct**

Question No: 2 (Marks: 1) - Please choose one

Which one of the following is a type of General Ledger?

► Book of original entry
► **'T' Account Correct**
► Source document
► Day book

Question No: 3 (Marks: 1) - Please choose one

Which of the following summarizes the cash movements during a specified period?

► Trading account
► Profit & Loss account
► **Receipts & Payments account**
► Balance Sheet

Question No: 4 (Marks: 1) - Please choose one

Which of the following is/are the **END** product of accounting cycle?

► **Financial Statements**
► General Journal
► General Ledger

► Voucher

Question No: 5 (Marks: 1) - Please choose one

Which of the following shows summary of a company's financial position at a specific date?

► Profit & Loss Account
► Cash Flow Statement
► **Balance Sheet**
► Income & Expenditure Account

Question No: 6 (Marks: 1) - Please choose one

Accounts Receivable & Inventory are the examples of:

► Liquid assets
► **Current assets**
► Fixed assets
► Capital assets

Question No: 7 (Marks: 1) - Please choose one

Which of the following is an alternate term which can be used for “Capital”?

► Liability
► **Owner’s net worth**
► Working capital
► Asset

Question No: 8 (Marks: 1) - Please choose one

Which of the following particular is **NOT** included in the specimen of a payment voucher?

► Name of organization
► Cash payment amount
► Date of transaction
► **Bank receipt**

Question No: 9 (Marks: 1) - Please choose one

The total of all costs incurred to convert raw material into finished goods is known as:

► Prime cost
► **Conversion cost**
► Sunk cost
► Opportunity cost

Question No: 10 (Marks: 1) - Please choose one

All the costs incurred on the incomplete assets up to the balance sheet date must be transferred to:

- ► Capital account
- ► **Capital work in progress account**
- ► Relevant asset account
- ► Owner's equity account

Question No: 11 (Marks: 1) - Please choose one

Particulars	Rs.
Opening stock of raw material	100,000
Closing stock of raw material	80,000
Purchases of raw material during the period	200, 000
Cost of Material Consumed	?

- ► Rs. 205,000
- ► Rs. 215,000
- ► **Rs. 220,000**
- ► Rs. 225,000

Question No: 12 (Marks: 1) - Please choose one

Which one of the following is **NOT** true about Capital Expenditure?

- ► Creates future benefits
- ► Incurred to acquire fixed assets
- ► Incurred to increase the economic life of existing fixed assets
- ► **Reduce the profit of the concern**

Question No: 13 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Total Assets	Rs. 34,500
Accounts payable	Rs. 1, 000
Other liabilities	Rs. 11,500

- ► **Rs. 22,000 owner's equity**
- ► Rs. 23, 000 owner's equity
- ► Rs. 24,000 owner's equity
- ► Rs. 46,000 owner's equity

Question No: 14 (Marks: 1) - Please choose one

Depreciation arises because of:

- ► Fall in the market value of an asset
- ► Fall in the value of money
- ► **Physical wear and tear**
- ► All of the given options

Question No: 15 (Marks: 1) - Please choose one

When the Bank Statement balance is more than the Cash Book balance, it is because of:

► **Unpresented cheques**
► Unrecorded bank charges
► Uncredited cheques
► None of the given options

Question No: 16 (Marks: 1) - Please choose one

Which of the following account would be credited, when the bad debts are recovered?

► Allowance for bad debts a/c
► **Bad debts recovered a/c**
► Doubtful debts a/c
► Cash a/c

Question No: 17 (Marks: 1) - Please choose one

Which of the following is/are the item/s of a Control Account?

► Credit sale only
► Cash sale only
► Credit purchase only
► **Both Credit sales and Credit purchase**

Question No: 18 (Marks: 1) - Please choose one

Which of the following is **NOT** included in Debtors Control Account?

► **Cash sales**
► Credit sales
► Bills receivable
► Discount allowed

Question No: 19 (Marks: 1) - Please choose one

Which of the following is (are) included in Creditors Control Account?

► Discount received from supplier
► Credit purchases
► Bills payable
► **All of the given options**

Question No: 20 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of Sale to Mr."A" Rs. 336 was not recorded at all?

► Only sales account
► Only A's account
► Only cash account
► **Both sales account and A's account**

Question No: 21 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of an amount Rs.200 received from Mr."P" wrongly credited to Mr."Q's" account?

- ► Only Cash Account
- ► Only P's account
- ► Only Q's account
- **► Both of Mr. P's & Mr.Q's Account**

Question No: 22 (Marks: 1) - Please choose one

Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

- **► Bank charges**
- ► An error on the Bank Statement
- ► An uncredited deposit
- ► An unpresented cheque

Question No: 23 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

- ► Rs. 600
- **► Rs. 1,000**
- ► Rs. 2,000
- ► Rs. 2,600

Question No: 24 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be deducted from Sundry debtors?

- ► Rs. 3,600
- **► Rs. 4,000**
- ► Rs. 1,600
- ► Rs. 2, 400

Question No: 26 (Marks: 1) - Please choose one

Which of the following is normally treated as the last expense listed in the income statement of a company?

- ► Interest expense
- ► General and administrative expenses
- ► Salaries and wages expense
- **► Income tax expense**

Question No: 27 (Marks: 1) - Please choose one

Which of the following accounts would be increased with a debit?

► Contributed Capital
► Retained Earnings
► Revenues
► **Expenses**

Question No: 28 (Marks: 1) - Please choose one

Which of the following is **NOT** an operating expense?

► Salaries and wages expense
► Rent expense
► Interest expense
► Depreciation expense

Question No: 29 (Marks: 1) - Please choose one

An asset is considered to be a current asset if:

► It has been bought recently and was bought new and not used
► **It can be realized in cash or sold or consumed in the business within one year**
► It is a piece of new machinery that is expected to last for at least ten years
► All of the given options

Question No: 30 (Marks: 1) - Please choose one

Which of the following item will be shown on debit side of capital account of sole proprietor?

► Cash
► **Drawings**
► Debtors
► Profit

Question No: 31 (Marks: 1) - Please choose one

Which of the following is/are **NOT** shown in balance sheet of sole proprietor?

► Fixed assets
► Current liabilities
► **Profit sharing ratio**
► Long term assets

Question No: 32 (Marks: 1) - Please choose one

When closing stock is given in trial balance, then it will effect:

► Trading account only
► **Balance sheet only**
► Owner's equity only
► Both Trading account and Balance sheet

Question No: 33 (Marks: 1) - Please choose one

What will the effects on financial statements, if machinery is depreciated @ 10%?

► It will be treated as an expense in income statement only
► It will be subtracted from concerned asset only
► It will be treated as a current asset only
► It will be treated as an expense in income statement and subtracted from concerned assets in Balance Sheet

Question No: 34 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about the Accounts receivable?

► Accounts receivable arises when a company buys goods or services from another party on credit
► Accounts receivable is a miscellaneous category that may include loans to employees
► Accounts receivable are more formal than notes receivable
► Accounts receivable are often called trade receivables

Question No: 35 (Marks: 1) - Please choose one

Fixed Asset (WDV) + _____ = Total assets Employed

► Working capital
► Total liabilities
► Total assets
► Current assets

Question No: 36 (Marks: 1) - Please choose one

Identify the selling expenses of manufacturing concern with the help of given data.

Particulars	Rs.
Salesman's salary	70,000
Commission on sales	28,000
Carriage outward	10,000
Carriage inward	5,000

► Rs. 80,000
► Rs. 60,000
► Rs. 38,000
► Rs. 1, 08,000

Question No: 37 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about the partnership form of business?

► Partners must have to share their profits in equal proportion
► Partners are personally liable for the liabilities of the business
► Partnerships must make their accounts available to the general public
► Partnership agreement in writing is called Partnership deed

Question No: 38 (Marks: 1) - Please choose one

By which if the following Act/ Ordinance, a company is allowed to issue shares at a higher price than their face value.

► Companies ordinance 1984
► Contract act 1872

► Sales of Goods act 1930
► None of the given options

Question No: 39 (Marks: 1) - Please choose one

Preliminary Expenses of the company may write off against:

► **Share premium account**
► Share holder account
► Debtors control account
► Creditor control account

Question No: 40 (Marks: 1) - Please choose one

Which of the following document(s) define the relation of company with outside world?

► Prospectus
► Statutory Declaration
► Memorandum of Association
► Articles of Association

Question No: 41 (Marks: 1) - Please choose one

What are the effects on financial statements, if provision for Income Tax to be made Rs. 12,000 is given in adjustment?

► It will be deducted in Income Statement only
► It will be treated as current liability in balance sheet only
► It will be treated as current asset in balance sheet only
► **Both it will be deducted in income statement and it will be treated as current liability in balance sheet**

Question No: 42 (Marks: 1) - Please choose one

What are the effects on financial statements, if Rs. 6,000 transfer to general reserve is given in adjustment?

► it will be treated in both profit and loss appropriation account and in the balance sheet
► It will be treated in Income Statement only
► It will be treated as current liability in balance sheet only
► It will be treated in profit and loss appropriation account only

Question No: 43 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as a cash outflow?

► **The payments for purchases made during the year**
► A decrease in trade debtors over the course of an accounting period
► Money received as a result of issuing new shares
► Money received as result of selling fixed assets

Question No: 44 (Marks: 1) - Please choose one

Which of the following is **CORRECT**?

► A cash inflow means increase total cash only
► A cash inflow means increase in cash equivalent only

► A cash inflow means increase in cash and decrease in cash equivalent

► A cash inflow means increase in both cash and cash equivalent

Question No: 45 (Marks: 1) - Please choose one

When opening stock is Rs. 50,000, closing stock Rs. 60,000 and cost of goods sold Rs. 220,000. What will be stock turnover ratio?

► 2 times
► 3 times
► 4 times
► 5 times

Question No: 46 (Marks: 1) - Please choose one

	Rs.
Gross profit	50,000
Operating profit	42,000
Sales	250, 000
What is the amount of operating expenses	**?**

► Rs. 8,000
► Rs. 92,000
► Rs. 62,500
► Rs. 300,000

Question No: 47 (Marks: 1) - Please choose one

What types of changes (is) are made at the admission of partner in partnership?

► Assets of old business will be revalued
► Liabilities of old business will be revalued
► Good will of business will be revalued
► All of the given options

Question No: 48 (Marks: 1) - Please choose one

In which situation(s) Partnership is dissolved?

► In case of death of partner
► At the admission of new partner
► If any partner resigned from partnership
► All of the given options

Question No: 49 (Marks: 1) - Please choose one

If one partner receives a salary which is credited to him at the end of the year, the share of profit available for distribution will be:

► Increased
► Decreased
► Unchanged
► Changed and become negative

Question No: 51 (Marks: 5)

What is the Purpose of Control Accounts?

A business needs to have accounts created for individual creditors and debtors in its general ledger. Creditors are people/entity to whom company owes money and debtors are entities/people who owe money to the business. But when a business grows then the number of creditors and debtors also grows. We know that trial balance can give us the mathematical accuracy of accounts and if there is any difference in trial balance we can know it from the general ledger by actually checking each and every transaction for the year. But it is a very time consuming job to check each and every transaction if the business of the company is huge because it will have many many transaction to check. So in this control accounts are maintained in general one for total creditors and one for total debtors. Debtor's account is called debtor's control account and creditor's account is called creditor's control account. These accounts will not get hit by individual purchase, purchase returns, payments to creditor in case of creditor's control account and by sales, sales return, receipts in case of debtor's control account. Periodically this summarized data will be posted from individual ledgers which will be created for each type of transaction e.g a sales subsidiary ledger, purchase subsidiary ledger etc which will contain actual details of transactions with invoice number and periodically the amounts will be summarized from these subsidiary ledgers and posted to the control accounts at a single time. This way the transactions in general ledger will decrease and will become easy to manage and can be easily checked against creditor's or debtor's details in total creditor's ledger and total debtor's ledger for accuracy.

Question No: 52 (Marks: 10)

What is the effect of given adjustments on Trading & Profit & Loss account and Balance Sheet?

1. Accrued Expenses or Outstanding Expenses
2. Prepaid Expenses or Unexpired Expenses
3. Accrued Revenue or Revenue Receivable
4. Unearned Revenue or Revenue Received in Advance
5. Depreciation of Asset

1. Accrued Expenses or Outstanding Expenses

Trading and profit and loss account effect

These expenses will be shown in profit and loss account under administrative expenses and will and be deducted from gross profit. They will be used to calculate net profit

Balance sheet effect

These expenses will be shown as expense payable or accrued expenses in balance sheet as current liabilities and will be shown under current liabilities section of liabilities as they have to be paid by business..

2. Prepaid Expenses or Unexpired Expenses

Trading and profit and loss account effect

These will be deducted from relevant expense account to get the actual expenses for the period and that actual amount of expense will be deducted from gross profit to arrive at net profit. This amount of prepaid expenses will not be included in profit and loss account as an expense itself but its effect will be on current expenses for the period for which profit and loss is being calculated.

Balance sheet effect

These prepaid expenses will be show and current assets in balance sheet and will be shown under the section of current assets in balance sheet.

3. Accrued Revenue or Revenue Receivable

Trading and profit and loss account effect

These will be added to sales in trading account in profit and loss statement and will be treated as a revenue in the calculation of gross profit by subtracting cost of goods sold from net sales. This will affect gross profit in trading account.

Balance sheet effect

In balance sheet this revenue will be shown under current assets as receivables from debtors and will be shown under the section of current assets of the business.

4. Unearned Revenue or Revenue Received in Advance

Trading and profit and loss account effect

This will not be added to the sales as sales is recognized when the actual services have been provided or when goods have been shipped irrespective of whether payment has been received or not. So this will not affect profit and loss account as it is still not recognized as sales/revenue.

Balance sheet effect

This is a liability for the company because the company has to give goods or services to the buyer for the advance payment done by the buyer and will be shown as a liability in the balance sheet under the current liability section of balance sheet. Also the same amount will be shown in the bank or cash as current

asset to offset the liability because the cash or cheque has been received for goods not given or services not rendered yet.

5. Depreciation of Asset

Trading and profit and loss account effect

The depreciation of asset is an operating expense for the business and will affect profit and loss account. It will be added to the administrative expense and will be appear in the administrative expense section of profit and loss account and will be deducted from gross profits to arrive at net profits along with other expenses.

Balance sheet effect

In balance sheet it will appear as deduction from the fixed asset as the fixed assets in balance sheet will be shown at written down value. So this will be added to previous balance of accumulated depreciation and will be deducted from the total cost of the fixed assets and will appear in the assets section under the heading of fixed asset. It might appear in notes as sometimes in balance sheet summarized figure of fixed asset at WDV will be shown. In any case it is deducted from fixed asset in balance sheet and affects the total assets side

Question No: 53 (Marks: 10)

Prepare profit & loss Appropriation account with the help of given data and show capital accounts and current account in balance sheet for XY Z & Sons

Particulars	Rs.
Net profit for the year	600,000
Opening balance of Capital	X:400,000 Y: 250,000 Z: 300,000
Drawings during the year	X: 100,000 Y: 150,000 Z: 125,000
Salaries are to be paid	X: 12,000 Y:20,000 Z:15,000
Opening Balance of current account	X: 50,000 Y: 60,000 Z: 45,000
Mark up rate on capital	5%
Mark up rate on drawings	5%
Profit sharing ratio for X:Y:Z	30: 25:45

It is assumed that no capital introduced during the year.

ANSWER

XYZ Sons
Profit and Loss Appropriation account for the period ending ----

Particulars		Amount Rs	Amount Rs
Net Rrofit for the year			600,000
Less Salaries for partners	Partner X	(12,000)	
	Partner Y	(20,000)	
	Partner Z	(15,000)	(47,000)
Less Interest on Capital(5%)	5 % on 400,000 for partner X	(20,000)	
	5 % on 250,000 for partner Y	(12,500)	
	5 % on 300,000 for partner Z	(15,000)	(47,500)
Add : Markup on drawings(5%)	Partner X's drawing 100,000	5,000	
	Partner Y's drawing 150,000	7,500	
	Partner Z's drawing 125,000	6,250	18,750
Net Profit avaialble for distribution			524,250
Profit distributed to partners	X's share 30%	(157,275)	
	Y's share 25%	(131,063)	
	Z's share 45%	(235,913)	(524,250)
Total			0

ANSWER PART 2
CURRENT ACCOUNTS OF PARTNERS

XYZ LTD		Partner's X Current Account		Account Code --			
DEBIT SIDE				CREDIT SIDE			
Date 2002	Vr.#	Narration / Particulars	Dr. Rs	Date 2002	Vr.#	Narration / Particulars	Cr. Rs
		Drawing	100,000			Opening balance	50,000

		Markup on drawing	5,000			Salary	12,000
						Interest on capital	20,000
						Profit paid	157,275
		Balance c/d	134,275				
		TOTAL	239,275			TOTAL	239,275

XYZ LTD		Partner's Y Current Account		Account Code --			
DEBIT SIDE				CREDIT SIDE			
Date 2002	Vr.#	Narration / Particulars	Dr. Rs	Date 2002	Vr.#	Narration / Particulars	Cr. Rs
		Drawing	150,000			Opening balance	60,000
		Markup on drawing	7,500			Salary	20,000
						Interest on capital	12,500
						Profit paid	131,063
		Balance c/d	66,063				
		TOTAL	223,563			TOTAL	223,563

XYZ LTD		Partner Z Current Account		Account Code --			
DEBIT SIDE				CREDIT SIDE			
Date 2002	Vr.#	Narration / Particulars	Dr. Rs	Date 2002	Vr.#	Narration / Particulars	Cr. Rs
		Drawing	125,000			Opening balance	45,000
		Markup on drawing	6,250			Salary	15,000
						Interest on capital	15,000
						Profit paid	235,913
		Balance c/d	179,663				
		TOTAL	310,913			TOTAL	310,913

Question No: 54 (Marks: 10)

Following is information of Shumile Ltd for the year ended December 31st, 2006

Particular	Rs.
Current Asset	160,850
Current Liability	72,500
Plant & Machinery	171,000
Furniture	30,000
Land	100,000
Accumulated profit & Loss c/f (credit balance) on 31st December,2006	7,250
Gross Profit on 31st December,2006	125,000
Issued capital	150,000
General Reserve	12,000
Authorized Capital Rs. 10/each	500,000
Long term investment	200,000

Other information:

Depreciation is charged on all Fixed Assets (except Land) @ 10%.

Prepare Balance Sheet as on 31st December, 2006.

Answer :

Shumile Lts			
Balance sheet as on date Dec 31st 2006			
Particulars		**Amount Rs**	**Amount Rs**
Assets			
Fixed Assets			
Fixed Assets at WDV	**Note 1**		280,900
Current Assets			
Cuurent Assets			160,850
Current Liability			
Current Liability			72,500
Working Captial			88,350
Net Assets employed	**Note 2**		**369,250**
Financed by			
-			

Authorized share capital (50,000 shares at Rs 10 each)		500,000
Share Holder's Equity		
Issued Capital		150,000
General Reserve		12,000
Accumulated profit ansd loss		7,250
Net Shareholder's Equity		**169,250**
Long Term Liability		
Long Term Investment		200,000
Total		**369,250**

NOTES TO BALANCE SHEET

Note 1 **Depreciaiton**

			Depreciation			
Pariculars	**Cost of Item**	**Rate**	**Opening Balance**	**Depreciation for the year**	**Total Accumulated Depreciation**	**Written Down Value**
Land	**100,000**	**0**	**0**	**0**	**0**	**100,000**
Plant and machinery	**171,000**	**0.10**	**0**	**17,100**	**17,100**	**153,900**
Furniture	**30,000**	**0.10**	**0**	**3,000**	**3,000**	**27,000**
TOTAL				**20,100**	**20,100**	**280,900**

Note 2 **Net assets employed**

Partiucular	**Amount**
Working Capital	883,850
Fixed assets	280,900
Net Assets employed = Working Capital + Fixed assets	1,164,750

Paper no 42

Solved by Chanda Rehman

FINALTERM EXAMINATION

Fall 2008
MGT101- Financial Accounting (Session - 1)

Question No: 1 (Marks: 1) - Please choose one

Wages outstanding given in the trial balance will be treated as a (an):

- ► Asset
- ► **Liability** Correct
- ► Revenue
- ► Deferred expense

Question No: 2 (Marks: 1) - Please choose one

Prepaid interest given in the Trial Balance will be treated as a (an):

- ► **Asset**
- ► Liability
- ► Revenue
- ► Deferred expense

Question No: 3 (Marks: 1) - Please choose one

If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. C in distributable profit.

- ► Rs. 98,000
- ► Rs. 1, 47,000
- ► **Rs. 2, 45,000**
- ► Rs. 3, 43,000

2+3+5 = 10
Mr. A
490000*2/10
Mr. A = 98000
Mr. B
490000*3/10
Mr. B = 147000

Question No: 4 (Marks: 1) - Please choose one

If the Capitals of partners are fixed then, at the end of financial year a partner's drawings are transferred to the:

- ► Credit side of the partner's capital account
- ► Credit side of the partner's current account
- ► Debit side of partnership bank account
- ► **Debit side of the partner's current account**

Question No: 5 (Marks: 1) - Please choose one

If company has distributable profit of Rs. 490,000, Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively. What will be the share of profit for Mr. A in distributable profit?

► **Rs. 98,000**
► Rs. 147,000
► Rs. 245,000
► Rs. 343,000

Question No: 6 (Marks: 1) - Please choose one

In which situation(s) Partnership is dissolved?

► In case of death of partner
► At the admission of new partner
► If any partner resigned from partnership
► **All of the given options**

Question No: 7 (Marks: 1) - Please choose one

In calculating earning per share (EPS), the net profit is divided by which of the following?

► **Number of ordinary shares**
► Number of preference shares
► Paid up capital
► Authorized capital

Question No: 8 (Marks: 1) - Please choose one

Which of the following statement in **NOT TRUE** about the limited company form of business?

► The limited company form of business allows ownership of the business to be spread amongst many people
► Shareholders can appoint professionals
► **Shareholders are personally liable for all the liabilities incurred by the business Correct**
► Regular filing of information about the affairs of the company is a legal requirement

Question No: 9 (Marks: 1) - Please choose one

A private limited company can commence its business:

► **Immediately on receiving a certificate of incorporation**
► Without receiving a certificate of incorporation
► Only when it receives certificate of commencement of business
► Only when it receives both, the certificate of incorporation as well as certificate of commencement of business

Question No: 10 (Marks: 1) - Please choose one

An example of financing activities in the context of cash flow statement is:

► Capital expenditures on purchase of fixed assets
► Long-term deposit
► Financial charges paid

► **Dividend paid**

Question No: 11 (Marks: 1) - Please choose one

A firm may earn profit during an accounting period but have less money in the bank at the end of the period then it had at the beginning. Which of the followings, on its own, could explain this?

► Not paying invoices received from creditors
► The sale of fixed assets during the period
► **An increase in trade debtors over the course of the period**
► An increase in the depreciation charge relative to the previous accounting period

Question No: 12 (Marks: 1) - Please choose one

The primary purpose of preparing a cash flow statement for an entity is to provide information about:

► Its financial position at the end of an accounting period
► **Its cash receipts and cash payments during an accounting period**
► Its financial position at the start of an accounting period
► None of the given options

Question No: 13 (Marks: 1) - Please choose one

Which of the following option(s) is **TRUE** about the Sales returns?

► Sales returns reduce the Gross sales of the firm
► Sales returns affect the Net income of the firm
► Sales returns affect the flow of cash
► **All of the given options**

Question No: 14 (Marks: 1) - Please choose one

The persons who sign articles and memorandum of the company and contribute in the initial share capital of the company are called:

► **Subscribers**
► Shareholders
► Managers
► Directors

Question No: 15 (Marks: 1) - Please choose one

The charter of a company which defines the limitations and powers of the company is called:

► **The memorandum of association**
► Articles of association
► Statutory report
► Certificate of commencement

Question No: 16 (Marks: 1) - Please choose one

Which of the following can offer its share to general public at large?

- ► A private limited company
- ► **A listed company**
- ► A partnership firm
- ► A trust

Question No: 17 (Marks: 1) - Please choose one

Which of the following are the owners of a company?

- ► Proprietors
- ► Partners
- ► **Shareholders**
- ► Managers

Question No: 18 (Marks: 1) - Please choose one

Current accounts of the partners should be opened when the capitals are:

- ► Normal
- ► Floating
- ► **Fixed**
- ► Fluctuating

Question No: 19 (Marks: 1) - Please choose one

Rent receivable (given in trial balance) is an item of_____.

- ► **Balance Sheet**
- ► Profit & Loss Account
- ► Trading Account
- ► Both Balance Sheet and Profit & Loss Account

Question No: 21 (Marks: 1) - Please choose one

Which of the following account is affected from the Drawings of cash in sole-proprietorship business?

- ► **Capital account**
- ► Shareholder account
- ► Liability account
- ► Expense account

Question No: 22 (Marks: 1) - Please choose one

An asset is considered to be a current asset if:

- ► It has been bought recently and was bought new and not used
- ► **It can be realized in cash or sold or consumed in the business within one year**
- ► It is a piece of new machinery that is expected to last for at least ten years
- ► All of the given options

Question No: 23 (Marks: 1) - Please choose one

General office expenses are charged to which of the following head:

► **Administrative expenses**
► Marketing expenses
► Selling expenses
► Financial expenses

Question No: 24 (Marks: 1) - Please choose one

Which of the following would **NOT** be considered as a component of 'cost' of stock?

► **Salaries of selling staff**
► Transportation inward costs
► Import duties
► Purchase price

Question No: 27 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 10%	

Identify the Total amount deducted from Sundry debtors.

► Rs. 460
► Rs. 2,400
► Rs. 3,080
► **Rs. 5,480**

Question No: 28 (Marks: 1) - Please choose one

If (Amount of new provision + Amount of bad debts) < Amount of old provision then amount will be shown on:

► Debit side of P & L account
► **Credit side of P & L account**
► Asset side of Balance Sheet
► Liability side of Balance Sheet

Question No: 29 (Marks: 1) - Please choose one

Which of the following rectifying entry will be recorded, if sales to Mr. "A" of Rs.336 have been debited to Mr. "B" account?

► **A's account (Dr.) and B's account (Cr.)**
► B's account (Dr.) and A's account (Cr.)
► Sales account (Dr.) and B's account (cr.)
► B's account (Dr.) and Sales account (Cr.)

Question No: 30 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of sales Rs.100 to Mr. "A" recorded in the purchases book?

► Sales account
► Purchase account
► A's account and Sales account
► **Sales account, purchase account and A's account**

Question No: 31 (Marks: 1) - Please choose one

Which of the following is shown on credit side of creditors control account?

► Bills Receivable
► **Return inwards**
► Credit purchases
► Discount allowed

Question No: 32 (Marks: 1) - Please choose one

Sales are calculated by adding:

► Cash sales and cash received from debtors
► Credit sales and cash received from debtors
► **Cash sales and credit sales**
► Cash ales and credit purchases

Question No: 33 (Marks: 1) - Please choose one

Which of the following is **NOT** based on the concept of double entry book keeping system?

► **Subsidiary Ledgers**
► Creditors Control Accounts
► Debtors Control Accounts
► All of the given options

Question No: 34 (Marks: 1) - Please choose one

If Bad Debts written off are given in adjustment, then which of the following entry for bad debts written off is **CORRECT**?

► Bad debts a/c (Dr) and Trading a/c (Cr)
► Provision for Bad and Doubtful debts a/c (Dr) and Bad debts a/c(Cr)
► **Bad debts a/c (Dr) and debtors a/c (Cr)**
► Trading a/c (Dr) and Bad debts a/c (Cr)

Question No: 35 (Marks: 1) - Please choose one

Consider the following data:

Provision created in 2006	Rs. 2,500
Bad debts in 2007	Rs. 1,500
Sundry debtors on 31-12- 2007 were Rs. 40,000 and provision is created @ 5%.	
Which journal entry is Correct for the provision for doubtful debts for the year 2007.	

► Provision for doubtful debts a/c Rs. 1,000 (Dr) & Profit & Loss a/c Rs. 1,000 (Cr)

► Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)

► Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)

► Profit & Loss a/c Rs. 1,000 (Dr) & Provision for doubtful debts a/c Rs. 1,000 (Cr)

Question No: 36 (Marks: 1) - Please choose one

Particulars	Rs.
Opening written down value of machine	4,00,000
Cost of machine purchased during the year	50,000
Depreciation during the year	20,000
closing written down value (WDV) of the Machines	?

► Rs. 4, 30,000
► Rs. 4, 50,000
► Rs. 4, 70,000
► Rs. 70,000

Question No: 37 (Marks: 1) - Please choose one

In accounting accumulated depreciation is:

► Treated as a reserve
► Treated as a contra asset
► Treated as a surplus
► Treated as an expense

Question No: 38 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Cash	Rs. 22,500
Debtors	Rs. 500
Total Assets	Rs. 80, 385
Accounts payable	Rs. 1,000
Total liabilities	Rs. 20,000

► Rs. 60,385 owner's equity
► Rs. 61,385 owner's equity
► Rs. 99,885 owner's equity
► Rs. 99,385 owner's equity

Question No: 39 (Marks: 1) - Please choose one

Stock of Trading concern consists of:

► Raw material
► Work in process
► Merchandise inventory

► All of the given options

Question No: 40 (Marks: 1) - Please choose one

Consider the following inventory record:

Date	Item	Quantity	Cost/Unit	Total
2007Jan. 2	Opening inventory	100	Rs.18.00	Rs.1,800
Mar. 4	Purchase	400	19.00	7,600
May 8	Purchase	800	20.00	16,000
Nov. 3	Purchase	500	21.00	10,500

Four hundred units are unsold, Use the FIFO method of inventory costing and determine the value assigned to the 400 units on hand at the end of the period.

► Rs.7, 500
► Rs.7, 978
► Rs.8, 000
► **Rs.8, 400**

Question No: 41 (Marks: 1) - Please choose one

Particulars	Rs.
Opening stock of raw material	100,000
Closing stock of raw material	85,000
Purchases of raw material during the period	200, 000
Cost of Material Consumed	?

► Rs. 205,000
► **Rs. 215,000**
► Rs. 220,000
► Rs. 225,000

Question No: 42 (Marks: 1) - Please choose one

In cost of goods sold statement the 'cost of goods manufactured' is equal to:

► Total factory cost + Opening work in process + Ending work in process
► **Total factory cost + Opening work in process – Ending work in process**
► Total factory cost - Opening work in process + Ending work in process
► Ending work in process +Total factory cost – Opening work in process

Question No: 43 (Marks: 1) - Please choose one

What would be the value of total factory cost, if the cost of material consumed during the month is Rs. 6,000, labor cost incurred is Rs. 2,000 and the factory over head cost is Rs. 2,500?

► Rs. 6,000
► Rs. 8,000

► Rs. 4,500
► **Rs. 10,500**

Question No: 44 (Marks: 1) - Please choose one

Which of the following item appears in Trading Account of a business?

► Interest expenses
► **Wages and salaries**
► Depreciation expenses
► Discount Allowed

Question No: 45 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs. 20,000 during the year, what would be the value of Gross Profit?

► Rs. 15,000
► **Rs. 35,000**
► Rs. 55,000
► Rs. 60,000

Question No: 46 (Marks: 1) - Please choose one

Identify that which of the following particular(s) would **NOT** be shown in the format of a Cash Book?
(1) Cheque number
(2) Date of transaction
(3) Amount of transaction

► **(1) only**
► (1) & (2) only
► (1) & (3) only
► (2) & (3) only

Question No: 47 (Marks: 1) - Please choose one

The process of transferring journal entry information to the ledger is called:

► Journalizing
► **Posting**
► Balancing
► Analyzing

Question No: 48 (Marks: 1) - Please choose one

Which one of the following is a type of General Ledger?

► Book of original entry
► **'T' Account**
► Source document
► Day book

Question No: 49 (Marks: 1) - Please choose one

Which of the following is **CORRECT** about the flow of recording a transaction?

► **Occurrence of event – voucher—Journal—Ledger—Trial Balance—profit and loss account—Balance Sheet**

► Occurrence of event—Journal – voucher —Ledger—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Ledger – voucher—Journal—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Trial Balance – voucher—Journal—Ledger—profit and loss account—Balance Sheet

Question No: 50 (Marks: 1) - Please choose one

Economic resources owned by a business and expected to benefit for the future operations are called:

► Expenses
► **Assets**
► **Capital**
► Liabilities

Question No: 51 (Marks: 5)

With the help of given data prepare Capital account of a sole trader and calculate closing balance of capital.

	Rs.
Balance b/f	550,000
Drawings	50,000
Profit & Loss (debit balance)	45,000

CAPITAL ACCOUNT			
DEBIT SIDE		CREDIT SIDE	
PARTICULARS	AMOUNT	PARTICULARS	AMOUNT
Profit and loss	45000	Balance b/f	550,000
Drawings	50,000		
Balance c/f	**455,000**		
TOTAL	550,000	TOTAL	550,000

Question No: 52 (Marks: 10)

Briefly explain the financial statements prepared by the organization. Why these are important for manufacturing concern?

ANSWER: The financial statements prepared by any organization are as follows:

1. **Profit and loss account:** It shows the performance of the business in a given period. It shows the profitability of business which shows the success or failure of the business.

2. **Balance sheet:** Balance sheet shows the position of business at a given point. It shows the resources available by the business and the resources invested by the owner and other loans.
3. **Cash flow statements:** Cash flow statements show the generation of cash and its usage over a given period.

IMPORTANCE OF FINANCIAL STATEMENTS FOR MANUFACTURING CONCERN: These financial statements are important for manufacturing concern organization as they provide information related to financial affairs of the organization. The profitability and liquidity, the resources available to the company and the generation of cash and its usage over a given period which provides reasonable information to the management to take decisions.

Question No: 53 (Marks: 10)

The comparative financial statement data for XYZ Company is given below:

	December 31	
Assets:	**2007**	**2006**
	Rs.	**Rs.**
Cash	4,000	7,000
Accounts receivable	36,000	29,000
Inventory	75,000	61,000
Plant and equipment	210,000	180,000
Accumulated depreciation	(40,000)	(30,000)
Total Assets	**285,000**	**247,000**
Liabilities & Stockholder's equity:		
Accounts payable	45,000	39,000
Common stock	90,000	70,000
Retain earnings	150,000	138,000
Total liabilities & Stockholder's equity	**285,000**	**247,000**

For 2007, the company reported net income as follows:

XYZ Company
Income Statement
For the year ended 31st December, 2007

	Rs.
Sales	500,000
Less: Cost of goods sold	300,000
Gross margin	200,000
Less Operating expenses	180,000
Net Income	20,000

Required:

Prepare a Statement of Cash Flows if dividend of Rs. 8,000 was declared and paid during the year 2007. There were no sales of plant and equipment during the year.

ANSWER:

Starting balance:	
Net income	**20,000**
Add: adjustment for non cash items	
Depreciation	38,000
Operating profit before working capital changes**:**	**58,000**
Working capital changes:	
Add: cash	3,000
Less: accounts receivable	(7,000)
Add: accounts payable	7,000
Cash generated from operations	
Cash flow from investing activities	
Cash flow from financing activities:	
Common Stock	20,000
Net decrease in cash	3,000
Net cash flow	**78,000**

Question No: 54 (Marks: 10)

Write a note on legal documents required for the formation of company.

ANSWER:
LEGAL DOCUMENTS REQUIRED FOR FORMATION OF COMPANY:

MEMORENDUM OF ASSOCIATION: It contains the following information

1. Name of company.
2. Place of registered office
3. Objective
4. Amount of share capital with which company registers.

ARTICLES OF ASSOCIATION: It contains the following information

A document that contains all the policies and other matters necessary to run the business of the company. It is signed by all the members of the company.

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MGT101 FinalTerm 2010 s4 by Raza Tahir (R) (Solved)

Published on Sunday, 22 August 2010 08:41
Written by Fuad Hasan

FINALTERM EXAMINATION

Spring 2010

MGT101- Financial Accounting (Session - 4)

Shared by Raza Tahir

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Time: 90 min

M a r k s: 69

Question No: 1 (M a r k s: 1)

A summarized record of transactions related to individuals or things is called a/an _____.

- ► Account
- ► Voucher
- ► Journal
- ► Trial balance

Question No: 2 (M a r k s: 1)

An informal accounting statement that lists the ledger account balances at a point in time and compares the total of debit balances with the total of credit balances is known as:

- ► Income Statement
- ► Balance Sheet
- ► Trial Balance
- ► Cash Book

Question No: 3 (M a r k s: 1)

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 15,000
Sale price after 5 years	Rs.50,000
Written down value of asset at the end of 5th year	Rs.25,000
Profit or loss on disposal of fixed assets	**?**

► Rs.25, 000 profit

► Rs. 75,000 loss

► Rs. 15,000 profit

► Rs. 1, 00,000 profit

Question No: 4 (M a r k s: 1)

A debit balance in the Bank Statement indicates:

► Cash at bank

► Bank overdraft

► Overpayment to creditors

► Cash in hand

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Question No: 5 (M a r k s: 1)

It is supposed that on 31-12-2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. It is also suppose that during the year 2008 actual bad debts were Rs. 1,600. What entry will pass to create provision for doubtful debts?

► Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)

► Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)

► Provision for doubtful debts a/c Rs. 1,600 (Dr) & Profit & Loss a/c Rs. 1,600 (Cr)

► Profit & Loss a/c Rs. 1,600 (Dr) & Provision for doubtful debts a/c Rs. 1,600 (Cr)

Question No: 6 (M a r k s: 1)

Which of the following account(s) will be affected, while rectifying the error of an amount Rs.200 received from Mr."P" wrongly credited to Mr."Q's" account?

► Only Cash Account

► Only P's account

► Only Q's account

► Both of Mr. P's & Mr.Q's Account

Question No: 7 (M a r k s: 1)

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000

Current year's provision (new)	1,000

► Rs. 600

► Rs. 1,000

► Rs. 2,000

► Rs. 2,600

Question No: 8 (M a r k s: 1)

General office expenses are charged to which of the following head:

► Administrative expenses

► Marketing expenses

► Selling expenses

► Financial expenses

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Question No: 9 (M a r k s: 1)

Which of the following account is affected from the Drawings of cash in sole-proprietorship business?

► Capital account

► Shareholder account

► Liability account

► Expense account

Question No: 10 (M a r k s: 1)

Which of the following can offer its share to general public at large?

- ► A private limited company
- ► A listed company
- ► A partnership firm
- ► A trust

Question No: 11 (M a r k s: 1)

Merchandise on hand at either the beginning or end of the reporting period is called_____.

- ► Raw material
- ► Cost of good sold
- ► Work in process
- ► Inventory

Question No: 12 (M a r k s: 1)

How dividend declared is treated in the Balance Sheet of the company?

- ► Provision
- ► Current liability
- ► Reserves and surplus
- ► Current assets

Question No: 13 (M a r k s: 1)

Which of the following is **NOT** a cash inflow?

- ► Sale of fixed asset
- ► Issue of debentures
- ► Cash from business operation
- ► Purchase of fixed asset

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Question No: 14 (M a r k s: 1)

An example of financing activities in the context of cash flow statement is:

- ► Capital expenditures on purchase of fixed assets
- ► Long-term deposit
- ► Financial charges paid
- ► Dividend paid

Question No: 15 (M a r k s: 1)

	Rs.
Gross profit	50,000
Operating profit	42,000
Sales	250, 000

What is the amount of operating expenses	**?**

► Rs. 8,000

► Rs. 92,000

► Rs. 62,500

► Rs. 300,000

Question No: 16 (M a r k s: 1)

Receipts from debtors appear on the _____ side of the Debtors control account.

► Left side or credit

► Left side or debit

► Right side or debit

► Right side or credit

Question No: 17 (M a r k s: 1)

We usually allow the customer to deduct a certain amount from the invoice value for prompt payment. In doing so we are granting a:

► Commission

► Allowance

► Discount

► Rebate

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Question No: 18 (M a r k s: 1)

Which of the following is known as an asset account?

► Gains

► Prepaid insurance

► Unearned revenue

► Accounts payable

Question No: 19 (M a r k s: 1)

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,500 and of Mr. B is Rs.2,800. The net income for the year is Rs.95,000. What will be the amount of distributable profit?

► Rs.89,700

► Rs.92,500

► Rs.95,000

► Rs.100,300

Question No: 20 (M a r k s: 1)

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,000 and markup on drawings of Mr. B is Rs.3,000. The net income for the year is Rs.50,000. What will be the profit share of Mr. A?

► Rs.22,500

► Rs.25,500

► Rs.27,500

► Rs.55,000

Question No: 21 (M a r k s: 1)

Which of the following is quoted company?

► Private Limited Company

► Public Limited Company

► Listed company

► Non Listed Company

Question No: 22 (M a r k s: 1)

Which of the following items of balance sheet are useful in evaluating a company's liquidity?

► Current assets and other assets

► Current liabilities and current assets

► Current liabilities and plant and equipment

► Non current liabilities and other assets

Question No: 23 (M a r k s: 1)

Which of the following is an example of liability in a business enterprise?

► Accounts payable

► Accounts receivable

► Commission received

► Commission paid

Question No: 24 (M a r k s: 1)

Which of the following is/are **TRUE** with respect to the rules of Debit & Credit?

► Increase in capital is Credit

► Decrease in capital is Debit

► Increase in expense is Debit

► All of the given options

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Question No: 25 (M a r k s: 1)

Which of the following is/are **NOT** the example of intangible assets?

► Copyright

► Goodwill

► Patent

► Land

Question No: 26 (M a r k s: 1)

Which of the following account would be credited, when goods are returned to suppliers?

► Voucher payable account

► Stock account

► Sales account

► Work In Process account

Question No: 27 (M a r k s: 1)

What would be the value of total manufacturing cost, if the cost of material consumed during the month is Rs. 5,000, labor cost incurred is Rs. 2,000 and the factory over head cost is Rs. 1,000?

► Rs. 3,000

► Rs. 5,000

► Rs. 7,000

► Rs. 8,000

Question No: 28 (M a r k s: 1)

If:

- Direct Material Cost is Rs. 15,000
- Factory overhead is Rs. 5,000
- Manufacturing Cost is Rs. 30,000

Then:

What is the amount of Prime Cost?

► Rs. 25,000

► Rs. 20,000

► Rs. 35,000

► Rs. 45,000

Question No: 29 (M a r k s: 1)

Which of the following do **NOT** represent the Cost of goods sold?

► Sales – Gross Profit

► Opening Stock + Purchases – Return Outwards – Closing Stock

► Cost of goods Manufactured + Opening Finished Goods Inventory – Closing Finished Goods Inventory

► Opening Stock + Purchases – Return Inwards – Closing Stock

Question No: 30 (M a r k s: 1)

Which of the following represents a possession that has a value in an exchange?

► Asset

► Liability

► Expense

► Revenue

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Question No: 31 (M a r k s: 1)

Written down value of an asset = ----------.

► Original cost – Accumulated depreciation

► Original cost – Appreciation

- ► Book value – Accumulated depreciation
- ► Original cost – Salvage value

Question No: 32 (M a r k s: 1)

Distinction between capital and revenue items is important for the preparation of:

- ► Income statement only
- ► Balance sheet only
- ► Final accounts
- ► Bank statement

Question No: 33 (M a r k s: 1)

When Bank Statement shows a debit balance it means:

- ► Favourable balance as per cash book
- ► Debit balance as per cash book
- ► Favourable balance as per bank statement
- ► Overdraft as per bank statement

Question No: 34 (M a r k s: 1)

Which of the following statement is correct, if a company fails to record estimated bad debts expense?

- ► Net realizable value is understated
- ► Expenses are understated

► Revenues are understated

► Receivables are understated

Question No: 35 (M a r k s: 1)

Which of the following is **INCORRECT** about subsidiary account?

► It is not a summary account

► It reduces the burden of control account

► It provides detailed information about individual accounts

► It summarizes the total of related items from other accounts

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Question No: 36 (M a r k s: 1)

If cash sale is the missing figure, it can be ascertained by the construction of:

► Creditors Control Accounts

► Debtors Control Accounts

► Cash Account

► None of the given options

Question No: 37 (M a r k s: 1)

Which of the following would be the example of Administrative Expenses?

► Financial charges

► Rent expenses

► Advertising expenses

► Selling expenses

Question No: 38 (M a r k s: 1)

Which of the following would **NOT** be included in the heads of Current Assets?

► Stock

► General Stores

► Spare parts

► Bank over draft

Question No: 39 (M a r k s: 1)

If:

Ø Capital at the start Rs. 100,000

Ø Profit during the year Rs. 50,000

Ø Withdrawal during the year Rs. 25,000

What would be the closing balance of capital?

► Rs. 175,000

► Rs. 150,000

► Rs. 125,000

► Rs. 75,000

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Question No: 40 (M a r k s: 1)

Rent receivable (given in trial balance) is an item of_____.

► Balance Sheet

► Profit & Loss Account

► Trading Account

► Both Balance Sheet and Profit & Loss Account

Question No: 41 (M a r k s: 1)

Which one of the following refers to the allotment of shares to the existing shareholders by capitalizing the reserves into additional capital?

► Reserve funds

► Accumulated profit

► Right issue

► Bonus issue

Question No: 42 (M a r k s: 1)

XYZ Company has paid up capital of 20,000 shares of Rs. 100 each. The company offers to existing shareholders the right to buy 3 shares of Rs. 100 each at Rs. 125 for every 5 shares held. What would be the number of right shares?

► 120 right shares

► 12,000 right shares

► 15,000 right shares

► 25,000 right shares

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Question No: 43 (M a r k s: 1)

Which of the following is (are) type(s) of Public Limited Companies?

► Listed company

► Non listed company

► Private limited company

► Both listed company and non listed company

Question No: 44 (M a r k s: 1)

Which of the following can be utilized to issue bonus shares?

► Share premium

► Term finance certificates

► Bonds

► Debentures

Question No: 45 (M a r k s: 1)

The statement of cash flows consists of _____ main sections (activities).

► One

► Two

► Three

► Four

Question No: 46 (M a r k s: 1)

If issuance of debentures against cash is Rs. 3,000 and repurchase of shares of Rs. 4,000 then which of the following is correct?

► Inflow of cash Rs. 7,000

► Outflow of cash Rs. 7,000

► Inflow of cash Rs. 1,000

► Outflow of cash Rs. 1,000

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Question No: 47 (M a r k s: 1)

Which of the following is adjusted as working capital change in operating activities section of a cash flow statement?

► Decrease in trade receivable

► Repayment of dividend

► Payment of goodwill

► Investment in associated companies

Question No: 48 (M a r k s: 1)

If there is a portion of long term loan of Rs. 30,000 payable in the current accounting period. Where it will be shown in financial statement?

► Current liability

► Long term liability

► Current asset

► Owner's equity

Question No: 49 (M a r k s: 3)

Mr. A, B & C entered into a partnership. At the beginning of the year their capital balances were Rs. 180,000, Rs. 140,000 and Rs. 80,000 respectively. Profit or loss is to be divided as:

Ø Mr. A: one-half

Ø Mr. B: one-third

Ø Mr. C: one-sixth

Required:

If profit is Rs. 390,000, calculate the share of profit for all the partners.

ANS:

Total profit 390,000
Share of A = 390,000 * 1/2 = 195,000
Share of b = 390,000 * 1/3 = 130,000
Share of C = 390,000 * 1/6 = 65000

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Question No: 50 (M a r k s: 3)

Write down the components of Cash Flow Statement.

ANS:

Cash Flow statement has three components.
1. Cash related to operating activities of the business
2. Cash related to Investment made by the business
3. Cash related to the financial activities of the business

Question No: 51 (M a r k s: 5)

What is bank overdraft? Mention an example for this. Why companies have to pay mark up on it. Under which head mark up paid on overdraft is shown in financial statement.

ANS:

Bank overdraft is the amount drawn over the balance exists in the account of business in the bank. This amount is the liability of the business and a kind of short term loan. As the bank has provided loan, so the bank charge interest (markup) on this amount as they have provided the short term loan to the business for markup incentive.
As we know that the markup on overdraft relates to the finance of the business. So, it is placed under the head of financial charges in the financial statements.

Question No: 52 (M a r k s: 5)

Write note on following terms.

- Net capital employed
- Share holder's equity
- Gain on sale of Fixed Assets
- Return on Investment

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Question No: 53 (M a r k s: 5)

Indicate in which section of the Balance Sheet each of the following accounts is classified. Use the symbols **CA** for current assets, **NCA** for non current assets, **CL** for current liabilities, **LTL** for long term liabilities, and **SHE** for stockholders' equity.

ANS:

Accounts	Section
Prepaid rent	CA
Dividends payable	CL
Salaries payable	CL
Prepaid insurance	CA
Retained earnings	CA
Mortgage payable (due in 15 years)	LTL
Unearned service revenue	CA
Accounts receivable	CA
Land	NCA
Office supplies	NCA

Question No: 1 (M a r k s: 1)
Prepaid interest given in the Trial Balance will be treated as a (an):

► Asset
► Liability
► Revenue
► Deferred expense

Question No: 2 (M a r k s: 1)
The net income calculated in the income statement for the accounting period is reported on:

► Bank Statement
► Statement of retained earnings

► Statement of cash flows
► None of the given options

Question No: 3 (M a r k s: 1)
If the Capitals of partners are fixed then, at the end of financial year a partner's drawings are transferred to the:

► Credit side of the partner's capital account
► Credit side of the partner's current account
► Debit side of partnership bank account
► Debit side of the partner's current account

Question No: 4 (M a r k s: 1)
If one partner receives a salary which is credited to him at the end of the year, the share of profit available for distribution will be:

► Increased
► Decreased
► Unchanged
► Changed and become negative

Question No: 5 (M a r k s: 1)
In which situation(s) Partnership is dissolved?

► In case of death of partner
► At the admission of new partner
► If any partner resigned from partnership
► All of the given options

Question No: 6 (M a r k s: 1)

	Rs.
Gross profit	50,000
Operating profit	42,000
Sales	250, 000
What is the amount of operating expenses	?

► **Rs. 8,000**
► Rs. 92,000
► Rs. 62,500
► Rs. 300,000

Question No: 7 (M a r k s: 1)
Current ratio may be increased by:

► **Overstating current Assets**
► Overstating current Liabilities
► Understating current Assets
► Understating current assets and overstating current liabilities

Question No: 8 (M a r k s: 1)
In which of the following interim dividend is treated?

► In profit and Loss account
► **In profit and Loss appropriation account**
► On the asset side of the Balance Sheet
► In trading account

Question No: 9 (M a r k s: 1)
The statement of changes in equity basically shows the movement of:

► **share capital during the year**
► Capital reserves during the year
► Revenue Reserves during the year
► All of the given options

Question No: 10 (M a r k s: 1)
Which of the following can offer its share to general public at large?

► A private limited company
► **A listed company**
► A partnership firm
► A trust

Question No: 11 (M a r k s: 1)
The Joint Stock Company is formed under the Companies Ordinance:
► **1984**
► I884
► 1948
► 1965

Question No: 12 (M a r k s: 1)
In case of fixed capital accounts, other transactions such as Drawings and Profit etc. are recorded in a separate account that is called _____.

► Fixed Capital Account
► **Current Account**
► Fluctuating Capital Account
► Floating Capital Account

Question No: 13 (M a r k s: 1)
Which of the following account will be debited when the interest on drawings is charged?

► Partner's capital account
► Interest account
► **Partner's current account**
► Profit & Loss account

Question No: 14 (M a r k s: 1)
Which of the following account will be credited when interest on capital is charged against the distribution of profit?
► Interest account
► **Partner's capital account**
► Profit and Loss account
► Profit and loss appropriation account

Question No: 15 (M a r k s: 1)
Which of the following statement is **TRUE** about the partnership form of business?
Partners must ► have to share their profits in equal proportion
Partners are ► personally liable for the liabilities of the business
Partnerships ► must make their accounts available to the general public
Partnership agreement in writing is called ► Partnership deed

Question No: 16 (M a r k s: 1)
Which of the following statements is **NOT TRUE** about the partnership form of business?
► A partnership is a business run by two or more persons
► A partnership business is easy to set up
► **Each partner is liable under the law for the actions of other partners**
► In the absence of agreement, partners will be paid salaries

Question No: 17 (M a r k s: 1)
Which of the following is **TRUE** about the treatment of insurance paid in advance Rs. 13,000?

► It will be treated as an other income in Profit & Loss Account
► **It will be treated as a current asset in Balance Sheet**
► It will be treated as a current liability in Balance Sheet
► It will be treated as an accrued expense in Balance Sheet

Question No: 18 (M a r k s: 1)
Which of the following is/are **NOT** shown in balance sheet of sole proprietor?
► Fixed assets
► Current liabilities
► **Profit sharing ratio**
► Long term assets

Question No: 19 (M a r k s: 1)
Which of the following appears in both the Income Statement debit column and the Balance Sheet credit?

► Net income
► **Net loss**
► Dividends
► Retained earnings

Question No: 20 (M a r k s: 1)
Which of the following is a selling expense?

► Any tax/freight is paid on purchases
► General salaries paid to laborers
► **Tax & freight paid on sale**
► Interest on deposits

Question No: 21 (M a r k s: 1)
Which of the following is **NOT** an operating expense?

► Salaries and wages expense
► Rent expense
► **Interest expense**
► Depreciation expense

Question No: 22 (M a r k s: 1)
Consider the following table:

	Financial statement item	Classification
A.	Inventory	Current asset
B.	Tangible assets	Non-current asset
C.	Accrued expenses	Current asset
D.	Bonds payable	Long-term liabilities

Identify the row above, showing an **INCORRECT** financial-statement classification?

- ► Row A
- ► Row B
- ► **Row C**
- ► Row D

Question No: 23 (M a r k s: 1)
Which of the following is the first phase of the typical operating cycle?

- ► Receive cash from customers
- ► Pay cash to suppliers
- ► Sell goods and services to customers
- ► **Purchase goods and services**

Question No: 24 (M a r k s: 1)
Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 10%	

Identify the Total amount deducted from Sundry debtors.

- ► Rs. 460
- ► **Rs. 2,400**
- ► Rs. 3,080
- ► Rs. 5,480

Question No: 25 (M a r k s: 1)
It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account

- ► Rs. 3,600
- ► Rs. 4,000
- ► Rs. 1,600
- ► **Rs. 2, 400**

Question No: 26 (M a r k s: 1)
Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.

Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

► Rs. 600
► Rs. 1,000
► **Rs. 2,000**
► Rs. 2,600

Question No: 27 (M a r k s: 1)
Which of the following account(s) will be affected, while rectifying the error of a purchase return of Rs.200 to Mr. "A" entered in sales book instead of purchase return book?

► A's account only
► Sales account only
► **Purchase returns account and sales account**
► Purchases account only

Question No: 28 (M a r k s: 1)
"Goods sold to Mr. Salman for Rs. 6,000 have been forgotten to enter in books of accounts", is an example of:

► Error of principle
► **Error of omission**
► Error of commission
► Error of original entry

Question No: 29 (M a r k s: 1)
_____ are committed in those cases where proper distinction between revenue and capital items is not made.

► **Error of principle**
► Error of omission
► Error of commission
► Error of original entry

Question No: 30 (M a r k s: 1)
Which of the following account(s) will be affected, while rectifying the error of carriage charges, paid for a new plant purchased mistakenly debited to carriage account?

► Plant account
► Carriage account
► **Both plant account and carriage account**
► Trading account

Question No: 31 (M a r k s: 1)
Which of the following entry will be passed to record discount received in control account?

► Discount Received (Dr) and Creditors Control A/c (Cr)
► Discount Received (Dr) and Creditors A/c (Cr)
► **Creditors Control A/c (Dr) and Discount Received (Cr)**
► Creditors A/c (Dr) and Discount Received (Cr)

Question No: 32 (M a r k s: 1)
Which of the following is shown on credit side of creditors control account?

- ► Bills Receivable
- ► Return inwards
- ► **Credit purchases**
- ► Discount allowed

Question No: 33 (M a r k s: 1)
It is supposed that on 31-12-2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. What entry will pass to transfer the bad debts to provision for doubtful debts?

- ► Profit & Loss a/c Rs. 1,600 (Dr) & Provision for doubtful debts a/c Rs. 1,600 (Cr)
- ► **Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)**
- ► Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)
- ► Provision for doubtful debts a/c Rs. 1,600 (Dr) & Bad Debts a/c Rs. 1,600 (Cr)

Question No: 34 (M a r k s: 1)
Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	800
Sundry Debtors (Given in trial balance)	44,500
Provision for doubtful debts @ 5%	
What will be the amount of new provision	?

- ► **Rs. 2,225**
- ► Rs. 2,525
- ► Rs. 1,925
- ► Rs. 3,025

Question No: 35 (M a r k s: 1)
An overdraft will appear as:

- ► a debit balance in the both the bank statement and the cash book.
- ► a credit balance in the bank statement but as a debit balance in the cash book.
- ► **a credit balance in the cash book but as a debit balance in the bank statement.**
- ► a credit balance in both the bank statement and the cash book.

Question No: 36 (M a r k s: 1)
Which one of the following is **NOT** true for Profit & Loss Account?

- ► It shows whether a business has made a profit or loss over a financial year
- ► It shows the financial performance of a business for the period
- ► It shows revenues and expenses for the period
- ► **It is used to calculate surplus/deficit for a particular period**

Question No: 37 (M a r k s: 1)
Which of the following is **CORRECT** regarding depreciation?

► **It is a systematic allocation of depreciable amount of an asset over its estimated useful life**
► It refers to the end life of an asset
► It refers to the increase in value of asset
► It is another name of Impairment

Question No: 38 (M a r k s: 1)
The total of all costs incurred to convert raw material into finished goods is known as:

► Prime cost
► **Conversion cost**
► Sunk cost
► Opportunity cost

Question No: 39 (M a r k s: 1)
If the cost of sales is Rs. 60,000, sales are Rs. 90,000 and operating expenses are Rs. 25,000 during the year. What would be the Net Profit?

► **Rs. 5,000**
► Rs. 25,000
► Rs. 55,000
► Rs. 60,000

Question No: 40 (M a r k s: 1)
"Electricity bill for the month is paid by Mr. Imran Rs. 325". What is the journal entry to record this transaction?

► Cash a/c Rs. 325 (Dr.) , Utilities Expense a/c Rs. 325 (Cr.)
► **Utilities Expense a/c Rs. 325 (Dr.), Cash a/c Rs. 325 (Cr.)**
► Accounts Receivable a/c Rs. 325 (Dr.), Utilities Expense a/c Rs. 325 (Cr.)
► Utilities Expense a/c Rs. 325 (Dr.), Accounts Receivable a/c Rs. 325 (Cr.)

Question No: 41 (M a r k s: 1)
Which of the following journal entry will be recorded, if the cash is deposited in the bank?

► **Bank account (Dr) and Cash account (Cr)**
► Cash account (Dr) and Bank account (Cr)
► Bank account (Dr) and Profit & Loss account (Cr)
► Cost of goods Sold account (Dr) and Bank account (Cr)

Question No: 42 (M a r k s: 1)
Which one of the following statement is **CORRECT** about Long term liabilities?

► These are due within one year
► **These are consist of all debts, payable after 12 months**
► In working capital, these are deducted from current assets
► All of the given options

Question No: 43 (M a r k s: 1)
A summarized record of transactions related to individuals or things is called a/an _____.

► **Account**
► Voucher
► Journal
► Trial balance

Question No: 44 (M a r k s: 1)
When a Liability is reduced or decreased, it is recorded on the:

► **Right or debit side of the account**
► Left or debit side of the account
► Left or credit side of the account
► Right or credit side of the account

Question No: 45 (M a r k s: 1)
Obligations to pay cash or un-earned incomes by the business are the:

► Assets
► **Liabilities**
► Equities
► Expenses

Question No: 46 (M a r k s: 1)
Economic resources owned by a business and expected to benefit for the future operations are called:
► Expenses
► Assets
► **Capital**
► Liabilities

Question No: 47 (M a r k s: 1)
According to the double entry system of book keeping, the investment of Rs.10, 000 in the business made by the owner will effect:

► **Cash & Capital Account**
► Cash & Expense Account
► Capital & Revenue Account
► Capital & Expense Account

Question No: 48 (M a r k s: 1)
Income of the business includes:

► **Cash sales only**
► Credit sales only
► Credit purchases only
► Both cash sales and credit sales

Question No: 49 (M a r k s: 1)

If a business purchases machinery for Rs. 30,000 on 31st January 2008 having life of 10 years, this expense will be realized _____ under the concept of accrual accounting.

- ► For the year 2008 only
- ► For the last day of 10th year only
- ► **Over 10 years**
- ► Nothing can be said about it

Question No: 50 (M a r k s: 1)

Double entry accounting system includes:

- ► Accrual accounting only
- ► Cash accounting only
- ► **Both cash and accrual accounting**
- ► None of the given options

Question No: 51 (M a r k s: 5)

Following information is extracted from the books of Abrar Ltd as on December 31st, 2007.

Particulars	Rs
Carriage inwards	8,000
Legal charges	6,500
Financial charges	223,500
Tax payable	30,000
Advances from customer	10,000
General reserve	40,000
Accumulated profit brought forward(credit balance)	95,000
Long term loans	1,00,000

Additional information

The authorized capital is Rs. 50, 00,000 divided into 500,000 shares of Rs. 10 each. Issued and paid up capital 2, 500,000.

You are required to prepare calculate Share holders equity

Share holder equity will have Authorized capital, Paid up capital, General Reserves & Accumulated profit brought forward

Authorized capital = Rs. 50,00,000 divided into 500,000 shares of Rs. 10 each
Issued and paid up capital 2,500,000
General Reserve 40,000
Accumulated profit brought forward (Credit balance) 95,000

2500000 + 40000 + 95000 = 2635000

Question No: 52 (M a r k s: 10)

Write down the at least ten distinguishing features of a limited company which differentiate it from sole proprietor business

The basic difference between a partnership and a limited company is the concept of limited liability.

1. If a partnership business runs into losses and is unable to pay it's liabilities, its partners will have to pay the liabilities from their own wealth.
2. In case of limited company the shareholders don't lose anything more than the amount of capital they have contributed in the company. It points that personal wealth is not at stake and their liability is limited to the amount of share capital they have contributed.
3. The concept of limited company is to mobilize the resources of a large number of people for a project, which they would not be able to afford independently and then get it managed by experts.
4. Listed Company have more than twenty partners, so problem of extra capital is reduced to minimum.
5. The liabilities of the members of a company is limited to the extent of capital invested by them in the company
6. There are certain tax benefits to the company, which a partnership firm can not enjoy
7. In Pakistan, affairs of limited companies are controlled by "Companies Ordinance" issued in 1984
8. The formation of a company and other matters related to companies are governed by "Securities and Exchange Commission of Pakistan (SECP)

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Question No: 53 (M a r k s: 10)

The following Trail balance is taken out from the books of Rahman & Sons as on 31st December, 2008.

	Dr.	Cr.
	Rs.	Rs.
Sales		204,000
Capital		120,000
Bank overdraft		103,560
Sundry Creditors		120,000
Opening Stock	60,400	
Purchases	231,600	
Sundry Debtors	109,660	
Returns Inwards	3,640	
General Expenses	6,980	
Plant	22,620	
Wages & Salaries	16,740	
Building	50,000	
Cash in Hand	680	
Cash at bank	8,720	
Drawings	16,960	
Motive Power	2,300	
Dock &clearing Charges	1,300	
Coal, Gas, Water	1,700	
Salaries	9,820	
Interest on O/D	4,440	
Rent rates Taxes	1,400	
Discount Allowed	2,000	
Interest received		3,400
	550,960	550,960

Requirement:
Prepare The Trading and Profit & Loss account of the business for the year ended. Closing Stock is valued at Rs.40, 000.

Trading & Profit & Loss Account
For the year ending 31st December 2008

Particulars	Debit Balance/Rs	Particulars	Credit Balance/Rs
Opening Stock	60400	Sales 204000	200360
Purchases	231600	Less returns: 3640	
Dock &clearing Charges	1300	Closing Stock	40000
Wages	16740		
Motive Power	2300		
Coal gas Water	1700	Gross Loss	73680
	314040		314040
Gross Loss	73680	Interest received	3400
Salaries	9820		
Rent, Rate, Taxes	1400		
General Expenses	6980		
Interest on O/D	4440		
Discount Allowed	2000		
		Net Loss	94920
	98320		98320

Question No: 54 (M a r k s: 10)
Pass the rectifying entries to correct the following errors:

- Mr. “Ali” purchased goods of Rs. 1,500 on cash, but omitted to enter in the books of accounts.
- An amount of Rs. 5,000 received from Mr. Amir, was credited to the account of Mr. Ameer.
- Goods returned worth Rs. 500 to Mr. “B” wrongly debited to sales Account.
- A purchase of goods from Mr. “B” of Rs. 400 has been wrongly debited to Furniture Account.
- Furniture purchased on cash Rs. 8,000 posted as purchases.

Rectification of Errors

Error 1.
A purchase of goods of Rs. 1,500 on cash was omitted by mistake

Rectification Entry on the date of discovery:

Debit:	**Purchase Account**	**1,500**	
Credit:	**Cash Account**		**1,500**

Error 2

Debit:	**Mr. Ameer**	**5,000**	
Credit:	**Mr. Amir**		**5,000**

- **Error 3** Goods returned worth Rs. 500 to Mr. “B” wrongly debited to sales Account.

Debit: **Goods Return** **Rs. 500**
Credit: **Sales Account** **Rs. 500**

Error 4 A purchase of goods from Mr. “B” of Rs. 400 has been wrongly debited to Furniture Account.

Debit: Purchases Rs. 400
Credit Furniture Account Rs. 400

Error 5 Furniture purchased on cash Rs. 8,000 posted as purchases.

Debit **Furniture Account** **Rs. 8,000**

Credit **Purchase Post Account** **Rs. 8,000**

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FINALTERM EXAMINATION
Fall 2008
MGT101- Financial Accounting (Session - 3)

Question No: 1 (M a r k s: 1)
Debenture is also named as:

► Share
► Bond
► Equity
► Reserve

Question No: 2 (M a r k s: 1)
In which situation(s) Partnership is dissolved?

► In case of death of partner
► At the admission of new partner
► If any partner resigned from partnership
► All of the given options

Question No: 3 (M a r k s: 1)

Particulars	Rs.
Debentures	1, 50, 000
Equity Capital	2, 00,000
General Reserve	90, 000

Accumulated profit	60,000
What is debt equity ratio	?

► 15: 20 (or 3:4)
► 15:24 (or 5: 8)
► 15:29
► 15:35 (or 3: 7)

Question No: 4 (M a r k s: 1)

Particulars	Rs.
Share capital of Rs. 10 each	1,000,000
Profit before tax	150,000
Taxes	10,000
Earning per share	= ?

► Rs. 1.50 per share
► Rs. 1.40 per share
► Rs. 1.15 per share
► Rs. 1.25 per share

Question No: 5 (M a r k s: 1)
In calculating earning per share (EPS), the net profit is divided by which of the following?

► Number of ordinary shares
► Number of preference shares
► Paid up capital
► Authorized capital

Question No: 6 (M a r k s: 1)
Which of the following statement in **NOT TRUE** about the limited company form of business?

► The limited company form of business allows ownership of the business to be spread amongst many people
► Shareholders can appoint professionals
► Shareholders are personally liable for all the liabilities incurred by the business
► Regular filing of information about the affairs of the company is a legal requirement

Question No: 7 (M a r k s: 1)
Which of the following is the most important document of the company?

► Memorandum of Association
► Articles of Association
► Prospectus
► Annual Report

Question No: 8 (M a r k s: 1)
In which of the following interim dividend is treated?

► In profit and Loss account
► In profit and Loss appropriation account
► On the asset side of the Balance Sheet

► In trading account

Question No: 9 (M a r k s: 1)
The income statement of the Limited company is also known as:

► Manufacturing account
► Profit and Loss account
► Profit and Loss Appropriation account
► Current Account

Question No: 10 (M a r k s: 1)
In which of the following auditor's remuneration payable is shown?

► In balance sheet under the head of current liabilities only
► In balance sheet under the head of current assets only
► In income statement under the administrative expense only
► In both balance sheet under the head of current liabilities and income statement under the administrative expense

Question No: 11 (M a r k s: 1)
Preliminary Expenses of the company may write off against:
► Share premium account
► Share holder account
► Debtors control account
► Creditor control account

Question No: 12 (M a r k s: 1)
The amount received; in excess of the face value of the shares is transferred to which of the following?

► Share premium account
► Share holder account
► Share capital account
► Right share

Question No: 13 (M a r k s: 1)
The maximum amount with which the company is registered is called:
► Authorized Share Capital
► Issued Share Capital
► Paid up capital
► Called up capital

Question No: 14 (M a r k s: 1)
When the capitals are fixed, which of the following account will be debited for drawings made by a partner?

► Individual Partner's Current Account
► Partner's Cash Account
► Partner's Bank Account
► Partners Capital Account

Question No: 15 (M a r k s: 1)
Which of the following is(are) type(s) of capital account in partnership?

- ► Fixed Capital
- ► Current Capital
- ► Fluctuating Capital
- ► Both Fixed Capital and Fluctuating Capital

Question No: 16 (M a r k s: 1)

Current accounts of the partners should be opened when the capitals are:

- ► Normal
- ► Floating
- ► Fixed
- ► Fluctuating

Question No: 17 (M a r k s: 1)

Identify the selling expenses of manufacturing concern with the help of given data.

Particulars	Rs.
Salesman's salary	70,000
Commission on sales	28,000
Carriage outward	10,000
Carriage inward	5,000

- ► Rs. 80,000
- ► Rs. 60,000
- ► Rs. 38,000
- ► Rs. 1, 08,000

Question No: 18 (M a r k s: 1)

Fixed Assets (WDV) + Working Capital =?

- ► Total assets employed
- ► Total liabilities
- ► Total assets
- ► Current assets

Question No: 19 (M a r k s: 1)

Which of the following is **CORRECT** if depreciation is given in trial balance?

- ► It means depreciation has already been deducted from concerned asset account
- ► It will be shown as an expense in income statement only
- ► It will not be deducted from concerned asset in Balance Sheet
- ► All of the given options are correct

Question No: 20 (M a r k s: 1)

Which of the following journal entry will be recorded, if cash is drawn by a Proprietor?

- ► Proprietor's drawings a/c (Dr.) and Cash a/c (Cr.)
- ► Cash a/c (Dr.) and Proprietor's drawings a/c (Cr.)
- ► Proprietor's Capital (Dr.) and Proprietor's drawings a/c (Cr.)
- ► Proprietor's drawings (Dr.) and Proprietor's Capital a/c (Cr.)

Question No: 21 (M a r k s: 1)

Which financial statement show what a business owes at a particular point in time?

- ► A cash flow statement

► The bank statement for the business
► A balance sheet
► A statement of retained earnings

Question No: 22 (M a r k s: 1)
Which of the following is a selling expense?

► Any tax/freight is paid on purchases
► General salaries paid to laborers
► Tax & freight paid on sale
► Interest on deposits

Question No: 23 (M a r k s: 1)
Which of the following would **NOT** be considered as a component of 'cost' of stock?

► Salaries of selling staff
► Transportation inward costs
► Import duties
► Purchase price

Question No: 24 (M a r k s: 1)
Which of the following accounts would be increased with a debit?

► Contributed Capital
► Retained Earnings
► Revenues
► Expenses

Question No: 25 (M a r k s: 1)
Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

► Rs. 600
► Rs. 1,600
► Rs. 2,000
► Rs. 2,600

Question No: 26 (M a r k s: 1)
Which of the following account will be credited when a typewriter is sold that has been used in the office?

► Cash Account
► Sales Account
► Purchase Account
► Office Equipment Account

Question No: 27 (M a r k s: 1)
A sum of Rs. 200 written off as bad debt now received credited to the account of debtor would:

► Increase the net profit by Rs.200
► Decrease the profit by Rs.200
► Remains constant and no effect on net profit
► There is no relation between debtor and profit

Question No: 28 (M a r k s: 1)
Which of the following account(s) will be affected, while rectifying the error of sales to Rahim of Rs. 500 were omitted to record in books of accounts?

► Sales account
► Rahim's account
► Cash account
► Both sales and Rahim's Account

Question No: 29 (M a r k s: 1)
If the provision for doubtful debts is not created, which of the following entry is passed to record the bad debts in control account?
► Bade debts (Dr) and Debtors Control A/c (Cr)
► Allowance for doubtful debts (Dr) and Debtors Control A/c (Cr)
► Allowance for doubtful debts (Dr) and Debtors A/c (Cr)
► Debtors Control A/c (Dr) and Allowance for doubtful debts (Cr)

Question No: 30 (M a r k s: 1)
If Bad Debts written off are given in adjustment, then which of the following entry for bad debts written off is **CORRECT**?

► Bad debts a/c (Dr) and Trading a/c (Cr)
► Provision for Bad and Doubtful debts a/c (Dr) and Bad debts a/c(Cr)
► Bad debts a/c (Dr) and debtors a/c (Cr)
► Trading a/c (Dr) and Bad debts a/c (Cr)

Question No: 31 (M a r k s: 1)
Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	800
Sundry Debtors (Given in trial balance)	44,500
Provision for doubtful debts @ 5%	
What will be the amount of new provision	?

► Rs. 2,225
► Rs. 2,525
► Rs. 1,925
► Rs. 3,025

Question No: 32 (M a r k s: 1)
Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 5%	

Requirement: Identify the Total amount which will deduct from Sundry debtors.

- ► Rs. 460
- ► Rs. 2,400
- ► Rs. 1,540
- ► Rs. 3,940

Question No: 33 (M a r k s: 1)

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account.

- ► Rs. 3,600
- ► Rs. 2,000
- ► Rs. 1,600
- ► Rs. 400

Question No: 34 (M a r k s: 1)

Which of the following option is **TRUE** about the characteristic(s) of Bad Debt?

- ► It is a definite loss to the business
- ► It is not shown in Balance Sheet
- ► No provision is necessary for it
- ► All of the given options

Question No: 35 (M a r k s: 1)

A debit balance in the Bank Statement indicates:

- ► Cash at bank
- ► Bank overdraft
- ► Overpayment to creditors
- ► Cash in hand

Question No: 36 (M a r k s: 1)

Particulars	Rs.
Opening written down value of machine	1,00,000
Cost of new machine purchased during the year	50,000
Depreciation during the year	21,000
Closing written down value (WDV)	?

- ► Rs. 1, 29,000
- ► Rs. 1, 50,000
- ► Rs. 1, 21,000
- ► Rs. 71,000

Question No: 37 (M a r k s: 1)
Depreciable value of an asset is equal to:

- ► Cost + scrap value
- ► Cost + market price
- ► Cost – scrap value
- ► None of the given options

Question No: 38 (M a r k s: 1)
If a business pays rent in advance for 12 months, it will be treated as:

- ► Prepaid expenses of business
- ► Long term liability of business
- ► Fixed assets of business
- ► Current liability of business

Question No: 39 (M a r k s: 1)
Which of the following asset is **NOT** depreciated?

- ► Factory Buildings
- ► Office Equipment
- ► Plant & Machinery
- ► Land

Question No: 40 (M a r k s: 1)
Which one of the following is **NOT** true about revenue expenditure?

- ► These are the running expenses of the business
- ► They improve the financial position of the business
- ► They reduce the profit of the concern
- ► They do not appear in the balance sheet

Question No: 41 (M a r k s: 1)
Which one of the following is **NOT** true about Capital Expenditure?

- ► Creates future benefits
- ► Incurred to acquire fixed assets
- ► Incurred to increase the economic life of existing fixed assets
- ► Reduce the profit of the concern

Question No: 42 (M a r k s: 1)
Expenditures incurred anually on renewal of patent are known as:

- ► Revenue Expenditures
- ► Capital Expenditures
- ► Financial Expenditures
- ► Operating Expenditures

Question No: 43 (M a r k s: 1)
Which of the following is **NOT** a type of voucher?

- ► Journal Voucher

► Receipt Voucher
► Payment Voucher
► Drawings Voucher

Question No: 44 (M a r k s: 1)
If cost of sales is Rs. 95,000, sales are Rs. 200,000 and operating expenses are Rs. 100,000. What will be the net result?

► Rs. 5,000 Loss
► Rs. 5, 000 Profit
► Rs.1, 95,000 Profit
► Rs.1, 95,000 Loss

Question No: 45 (M a r k s: 1)
If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs.20,000 during the year. What would be the Net Profit?

► Rs.15,000
► Rs. 35,000
► Rs. 55,000
► Rs. 60,000

Question No: 46 (M a r k s: 1)
Which of the following account balance will be shown on debit side of Trial Balance? (It is assumed that all account balances are shown on normal balance).

► Capital account
► Sundry creditors account
► Accounts payable account
► Cash account

Question No: 47 (M a r k s: 1)
Accounts Receivable & Inventory are the examples of:

► Liquid assets
► Current assets
► Fixed assets
► Capital assets

Question No: 48 (M a r k s: 1)
A summarized record of transactions related to individuals or things is called a/an _____.

► Account
► Voucher
► Journal
► Trial balance

Question No: 49 (M a r k s: 1)
When Capital is increased by an amount, it is recorded on the:

► Left or credit side of the account

- ► Right or debit side of the account
- ► Left or debit side of the account
- ► Right or credit side of the account

Question No: 50 (M a r k s: 1)

What would be the affect on the components of the accounting equation, if goods are purchased on cash?

- ► Increase in cash and decrease in equity
- ► Increase in cash and increase in goods
- ► Increase in goods and decrease in cash
- ► Increase in equipment and increase in equity

Question No: 51 (M a r k s: 5)

Calculate net income with the help of given date for the year end of 2007 and show complete working of Cost of Goods sold.

Raw material Stocks on 1-1-2007	Rs. 30,000
Work in process on 1-1-2007	35,600
Finished Goods on 1-1-2007	35,400

Raw material Stocks 31-12-2007	Rs. 31,000
Work in process 31-12-2007	25,000
Finished Goods 31-12-2007	53,900
Total factory Cost	543,339

Additional data

- v Other expenses for the year is Rs. 5,000.
- v Operating expenses for the year Rs. 15,000
- v Sale for the year Rs. 1,500,000

Solution:
Name of the Company
Income Statement
For the period of 2007

Particulars	Amount Rs	Amount Rs
Sales		1500000
Less Cost of Good Sold		(534439)
Gross Profit		965561
Less: Expenses:		
Other Expenses	5000	
Operating expenses	15000	(20000)
Net Income		945561

Working:
Calculate Cost of Good Sold:
Raw Material:
Opening Raw Material: 30000

- Closing Raw Material: 31000
Cost of Material Consumed: -1000
Conversion Cost:
Direct Labor: 0
FOH: 0
Total Factory Cost: 542339
Work in Process:
+Opening WIP: 35600
-Closing WIP: 25000
Cost of Goods Manufactured: 552939
Finish Goods:
+Opening FG: 35400
-Closing FG: 53900
Cost of Good Sold: 534439

Question No: 52 (M a r k s: 10)
Write down the at least ten distinguishing features of a limited company which differentiate it from sole proprietor business

Question No: 53 (M a r k s: 10)
On 01-01-2007, the provision for doubtful debts a/c stood at Rs. 12,000 (credit balance). In 2007, the bad debts amounted to Rs. 10,000. The debtors on 31-12-2007 are amounted to Rs. 3, 20,000 and a provision for doubtful debt to be maintained @ 10%.

Required:
Show Journal entries and necessary accounts. Also show how the items will appear in Profit and Loss account and Balance sheet

Solution:
Entry#1
Provision for Doubtful Debts 32000
Debtors Control Account 32000

Make Ledgers of each account

Debtors Account							
Debit Side				Credit Side			
Date	No.	Particulars	Dr. Rs.	Date	No.	Particulars	Cr. Rs.
		Balance	32000			Provision for doubtful debts	32000
			32000				32000

Provision of Doubtful debts							
Debit Side				Credit Side			
Date	No.	Particulars	Dr. Rs.	Date	No.	Particulars	Cr. Rs.
		Debtors Account	32000			Balance	32000
			32000				32000

And you people already know to show these accounts in P n L and Balance Sheet.

IN PL Account = 32000+10000-12000=30000 on Debit Side
In Balance Sheet
Debtors = 320000-32000-12000-276000

Question No: 54 (M a r k s: 10)
Following information is extracted from the books of Arfan Ltd as on December 31st, 2007.

Particulars	Cost	Depreciation rate	Accumulated Depreciation On 01-01-2007
Vehicles 01-01-2007	1,90,000	10%	10,000
Building 01-01-2007	4,00,000	20%	12,500
Furniture & Fixture 01-01-2007	4,15,000	15%	34,500
Land 01-01-2007	1,58,000	--	---

You are required to calculate Written down value of each asset and show working of complete depreciation for the year ending on December 2007.

Particulars	Cost			Rate	Accumulated Depreciation			WDV
	As At 1-1-2007	Addition/ deletion	As At 31st-12-2007		As At 1-1-2007	For The Year	As At 31st-12-2007	
Vehicles	190000	0	190000	10%	10000	19000	29000	161000
Building	400000	0	400000	20%	12500	80000	92500	307500
Furniture	415000	0	415000	15%	34500	62250	96750	318250
Land	158000	0	158000	0	0	0	0	158000
Total	1163000	0	1163000		57000	161250	218250	944750

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Fall 2008_FinalTerm_MGT101_s1_Solved

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Written by Marina Khan

FINALTERM EXAMINATION
Fall 2008
MGT101- Financial Accounting (Session - 1)

Question No: 1 (M a r k s: 1)
Debenture is also named as:
- ► Share
- ► Bond
- ► Equity
- ► Reserve

Question No: 2 (M a r k s: 1)
A company declares a cash dividend to be paid to its stockholders next month. The effect of the transaction is to:

- ► Decrease assets and liabilities.
- ► Increase assets and stockholders' equity.
- ► Decrease assets and stockholders' equity.
- ► Increase liabilities and decrease stockholders' equity.

Question No: 3 (M a r k s: 1)
The beginning balance of retained earnings was Rs. 7,500. The dividends paid to stockholders' were Rs.1, 500. The ending balance of retained earnings is Rs. 5,000. What was the net income or net loss for the accounting period?

- ► Net loss of Rs.1, 000
- ► Net income of Rs. 1,000
- ► Net loss of Rs. 2,000
- ► Net income of Rs. 2,500

Question No: 4 (M a r k s: 1)
The net income calculated in the income statement for the accounting period is reported on:

- ► Bank Statement
- ► Statement of retained earnings
- ► Statement of cash flows
- ► None of the given options

Question No: 5 (M a r k s: 1)
If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. B in distributable profit.

- ► Rs. 98,000
- ► Rs. 1, 47,000
- ► Rs. 2, 45,000
- ► Rs. 3, 43,000

Question No: 6 (M a r k s: 1)
In which situation(s) Partnership is dissolved?

- ► In case of death of partner
- ► At the admission of new partner
- ► If any partner resigned from partnership
- ► All of the given options

Question No: 7 (M a r k s: 1)
A private limited company can commence its business:

- ► Immediately on receiving a certificate of incorporation

► Without receiving a certificate of incorporation
► Only when it receives certificate of commencement of business
► Only when it receives both, the certificate of incorporation as well as certificate of commencement of business

Question No: 8 (M a r k s: 1)
The balance sheet reported a beginning balance of Rs. 20,000 in Accounts Receivable and an ending balance of Rs. 15,000. Credit Sales of Rs. 200,000 were made during the year. Using this information, compute cash collected from customers.

► Rs. 215,000
► Rs. 195,000
► Rs. 200,000
► Rs. 205,000

Question No: 9 (M a r k s: 1)
Which of the following is the most important document of the company?

► Memorandum of Association
► Articles of Association
► Prospectus
► Annual Report

Question No: 10 (M a r k s: 1)
If dividend is proposed by directors of the company @ 30% for the year, it will be calculated on:

► Capital Reserve
► Authorized share capital
► Paid up share capital
► Share premium

Question No: 11 (M a r k s: 1)
Share premium account is used for what?
► Write off Preliminary Expenses of the company.
► Write off the balance amount, in issuing shares on discount.
► Issue fully paid Bonus Shares.
► All of the given options

Question No: 12 (M a r k s: 1)
Authorized share capital is also known as:
► Registered capital
► Issued capital
► Paid up capital
► Called up capital

Question No: 13 (M a r k s: 1)
In case of fixed capital accounts, other transactions such as Drawings and Profit etc. are recorded in a separate account that is called _____.

► Fixed Capital Account
► Current Account
► Fluctuating Capital Account
► Floating Capital Account

Question No: 14 (M a r k s: 1)
A, B, C are partners. Their profit sharing ratio is equal. Capital balance on July 1st of Partner A --- Rs. 40,000 Partner B --- Rs. 30,000 and Partner C--- Rs. 20,000.Their private property of Partner A is Rs.15,000, Partner B is Rs. 7,000 and Partner C is Rs. 1,500. What is the level of their liabilities under the partnership firm?

- ► Partner A—Rs. 40,000, Partner B---- Rs. 30,000, Partner C – 20,000
- ► Partner A—Rs. 40,000, Partner B---- Rs. 30,000, Partner C – 21,500
- ► Partner A—Rs. 40,000, Partner B---- Rs. 37,000, Partner C – 20,000
- ► Partner A—Rs. 55,000, Partner B---- Rs. 37,000, Partner C – 21,500

Question No: 15 (M a r k s: 1)
Which of the following item will be shown on debit side of capital account of sole proprietor?

- ► Cash
- ► Drawings
- ► Debtors
- ► Profit

Question No: 16 (M a r k s: 1)
Which of the following journal entry will be recorded, if cash is drawn by a Proprietor?

- ► Proprietor's drawings a/c (Dr.) and Cash a/c (Cr.)
- ► Cash a/c (Dr.) and Proprietor's drawings a/c (Cr.)
- ► Proprietor's Capital (Dr.) and Proprietor's drawings a/c (Cr.)
- ► Proprietor's drawings (Dr.) and Proprietor's Capital a/c (Cr.)

Question No: 17 (M a r k s: 1)
An asset is considered to be a current asset if:

- ► It has been bought recently and was bought new and not used
- ► It can be realized in cash or sold or consumed in the business within one year
- ► It is a piece of new machinery that is expected to last for at least ten years
- ► All of the given options

Question No: 18 (M a r k s: 1)
Which of the following appears in both the Income Statement debit column and the Balance Sheet credit?

- ► Net income
- ► Net loss
- ► Dividends
- ► Retained earnings

Question No: 19 (M a r k s: 1)
General office expenses are charged to which of the following head:

- ► Administrative expenses
- ► Marketing expenses
- ► Selling expenses
- ► Financial expenses

Question No: 20 (M a r k s: 1)
Consider the following table:

	Financial statement item	Classification
A.	Inventory	Current asset
B.	Tangible assets	Non-current asset
C.	Accrued expenses	Current asset
D.	Bonds payable	Long-term liabilities

Identify the row above, showing an INCORRECT financial-statement classification?

- ► Row A
- ► Row B
- ► Row C
- ► Row D

Question No: 21 (M a r k s: 1)
Short-term investments include all of the following EXCEPT:

- ► A bond receivable intended to be sold within one year
- ► Frequently traded securities
- ► A stock investment in the General Electric Company intended to be sold within one year
- ► A shares investment in the Coca-Cola Company intended to be held for several years

Question No: 22 (M a r k s: 1)
The figure of cash received from debtors can be located either from cash book or:

- ► Debtor's Control Account
- ► Balance Sheet
- ► Profit & Loss Account
- ► Bills Payable Account

Question No: 23 (M a r k s: 1)
It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account

- ► Rs. 3,600
- ► Rs. 4,000
- ► Rs. 1,600
- ► Rs. 2, 400

Question No: 24 (M a r k s: 1)
When one or both aspects of a transaction are recorded in the wrong class or category of account, this is called:

- ► Error of principle
- ► Error of omission
- ► Error of commission
- ► Error of original entry

Question No: 25 (M a r k s: 1)
Which of the following account will be credited when a typewriter is sold that has been used in the office?

- ► Cash Account
- ► Sales Account

► Purchase Account
► Office Equipment Account

Question No: 26 (M a r k s: 1)
Which of the following rectifying entry will be recorded, if sales to Mr. “A” of Rs.336 have been debited to Mr. “B” account?

► A’s account (Dr.) and B’s account (Cr.)
► B’s account (Dr.) and A’s account (Cr.)
► Sales account (Dr.) and B’s account (cr.)
► B’s account (Dr.) and Sales account (Cr.)

Question No: 27 (M a r k s: 1)
Goods purchased from “Mr. A” for Rs. 2,000 passed through the sales book. The rectification of error will result in:

► Increase of gross profit
► Decrease of gross profit
► Remains constant and no effect on net profit
► There is no relation between goods purchased and gross profit

Question No: 28 (M a r k s: 1)
Which of the following account(s) will be affected, while rectifying the error of sales to Rahim Rs. 336 posted to his account as Rs. 363?

► Sales account
► Rahim’s account
► Cash account
► Both sales and Rahim’s Account

Question No: 29 (M a r k s: 1)
Control account tells about:

► Picture collectively instead of individually
► Details of loyal clients
► Customer attitude of payments
► Complete history of transactions of business clients

Question No: 30 (M a r k s: 1)
Which of the following subsidiary book(s) is (are) maintained for debtors control account?

► Sales Day Book
► Sales Return
► Debtors Ledger
► All of the given options

Question No: 31 (M a r k s: 1)
Which of the following entry will be recorded when the Bad Debts are recovered?

► Cash account (Dr.) & Bad Debts recovered account (Cr.)
► Accounts Receivable account (Dr.) & Bad Debts recovered account (Cr.)

- ► Bad debts recovered account (Dr.) and Profit & Loss account (Cr.)
- ► Provision for doubtful debts account (Dr.) & Cash account (Cr.)

Question No: 32 (M a r k s: 1)
If the (New provision + Bad debts) > Amount of old provision then resulting figure will be shown at:

- ► Debit side of Profit & Loss Account
- ► Credit side of Profit & Loss Account
- ► Asset side of Balance Sheet
- ► Liability side of Balance Sheet

Question No: 33 (M a r k s: 1)
Which of the following would be deducted from Sundry Debtors in Balance Sheet?

- ► Bad debts (Trial balance item)
- ► Old provision for doubtful debts
- ► New provision for doubtful debts
- ► Both Bad debts (given in adjustment) and new provision for doubtful debts

Question No: 34 (M a r k s: 1)
Which of the following option is TRUE about the characteristic(s) of Bad Debt?

- ► It is a definite loss to the business
- ► It is not shown in Balance Sheet
- ► No provision is necessary for it
- ► All of the given options

Question No: 35 (M a r k s: 1)
Which one of the following transactions will cause the balance in Mr. Terry's Cash Book to be greater than his Bank Statement balance?

- ► A cheque is drawn but not yet presented at the bank for payment
- ► The bank has not yet notified to Mr. Terry about a dishonored cheque
- ► A credit transfer into Terry's Bank Account
- ► A cheque payment of Rs.101 is recorded in the Cash Book as Rs.110

Question No: 36 (M a r k s: 1)
Consider the following data:

Particulars	Rs.
Assets	?
Owner's equity	1,50,000
Liabilities	1,00,000

- ► Rs. 49,000
- ► Rs. 55,000
- ► Rs. 50,000
- ► Rs. 2, 50,000

Question No: 37 (M a r k s: 1)

Accounting is the language of:

- ► Business
- ► School
- ► Proprietor
- ► Management

Question No: 38 (M a r k s: 1)
Which of the following account balance is shown on credit side of Trial Balance? (It is assumed that all account balances are shown on normal balance)

- ► Cash account
- ► Furniture account
- ► Vehicle account
- ► Capital account

Question No: 39 (M a r k s: 1)
Under the reducing balance method of depreciation:

- ► Amount of depreciation increases every year
- ► Amount of depreciation remains constant for every year
- ► Amount of depreciation decreases every year
- ► None of the given options

Question No: 40 (M a r k s: 1)
Consider the following inventory record:

Date	Item	Quantity	Cost/Unit Rs.	Total Rs.
Jan. 2	Beginning inventory	10	10	100
Mar. 4	Purchase	35	11	385
May 8	Purchase	40	12	480
Nov. 3	Purchase	20	13	260
De31	Merchandise available	105		1,225

85 units were sold, Use the FIFO method of inventory costing and determine the cost of goods sold.

- ► Rs. 1,225
- ► Rs. 1,015
- ► Rs. 965
- ► Rs. 992

Question No: 41 (M a r k s: 1)
WhicWhich of the following is an example of direct materials cost?

- ► Polish and finishing material for chair
- ► A piece of wood for the production of chair
- ► Production worker's wages
- ► Depreciation expenses

Question No: 42 (M a r k s: 1)
Which of the following account will be credited, if the goods are sold on credit to Mr. Mahmood?

- ► Cash account
- ► Mr. Mahood account
- ► Sales account
- ► Purchases account

Question No: 43 (M a r k s: 1)
Which of the following account will be credited, if business sold goods for Rs.10,000 on credit?

- ► Cash account
- ► Sales account
- ► Accounts receivable account
- ► Purchases account

Question No: 44 (M a r k s: 1)
Which of the following is an example of a Current liability?

- ► Closing inventory
- ► Opening inventory
- ► Petty cash
- ► Bank overdraft

Question No: 45 (M a r k s: 1)
Which of the following is CORRECT for trading account?

- ► It inculdes cost of goods sold and all the direct expenses related to sales
- ► It inculdes cost of goods sold and all the indirect expenses related to sales
- ► It inculdes cost of goods sold and all the direct and indirect expenses
- ► It inculdes cost of goods sold and all the direct and selling, administrative expenses

Question No: 46 (M a r k s: 1)
Which of the following are the components of General Ledger?

1) Title of account
2) Amount of transaction
3) Date of transaction

- ► (1) & (2) only
- ► (2) & (3) only
- ► (1) & (3) only
- ► (1), (2) & (3)

Question No: 47 (M a r k s: 1)
The original book of entry, in which all vouchers are first recorded, is called:

- ► General Journal
- ► General Ledger
- ► Trial Balance
- ► Balance Sheet

Question No: 48 (M a r k s: 1)
When a Liability is reduced or decreased, it is recorded on the:

- ► Right or debit side of the account
- ► Left or debit side of the account
- ► Left or credit side of the account
- ► Right or credit side of the account

Question No: 49 (M a r k s: 1)
According to the double entry system of book keeping, the investment of Rs.10, 000 in the business made by the owner will effect:

- ► Cash & Capital Account
- ► Cash & Expense Account
- ► Capital & Revenue Account
- ► Capital & Expense Account

Question No: 50 (M a r k s: 1)
Which of the following is non- profit organization?

- ► Sole proprietorship
- ► Partnership
- ► Limited company
- ► Trust

Question No: 51 (M a r k s: 5)
What is bank overdraft? Mention an example for this. Why companies have to pay mark up on it. Under which head mark up paid on overdraft is shown in financial statement.

Answer:
An **overdraft** occurs when withdrawals from a bank account exceed the available balance. In this situation a person is said to be "**overdrawn".**

Question No: 52 (M a r k s: 10)
Income Statement of XYZ Ltd for the year ended on 30th June, 2007:

Particulars	Rs.	Rs.
Sales		500,000
Less: Cost of Goods Sold		250,000
Gross Profit		250,000
Less: Operating expenses		
Administrative expenses	110,000	
Interest expenses	20,000	130,000
Net profit before Tax		120,000
Less: Taxes		36,000
Net profit after tax		84,000

Opening Stock for the year was Rs. 60,000.

Balance Sheet of XYZ Ltd on 30th June, 2007:

Assets	Rs.
Fixed Assets	400,000

Stock	60,000
Debtors	230,000
Bills Receivable	40,000
Cash at bank	150,000
Prepaid expenses	20,000
Total	900,000
Liabilities	
Share capital	200,000
Reserves and surplus	250,000
10% Debentures	200,000
Creditors	180,000
Bills payable	70,000
Total	900,000

Calculate following ratios from the financial statement of XYZ Ltd.

1. Current Ratio
2. Acid Test Ratio
3. Stock turn over Ratio
4. Debt equity Ratio
5. Gross profit Ratio

Solution:

1: Current Ratio:

Total Assets/Total Liabilities

= 900000/900000

= 1

2: Acid Test Ratio

Total Assets-Stock/Total Liabilities

= 900000-60000/900000

= 840000/900000

= 0.933333

3: Stock turn over Ratio

(Average Stock / Cost of goods sold) x 365

Average Stock = opening stock + Closing Stock/2

= 60000+60000/2

= 60000

= (Average Stock / Cost of goods sold) x 365

= (60000/250000) x 365

= 0.24 x 365

= 87.4

4: Debt equity Ratio

Long term Liabilities / Equity

= 200000/200000

= 1

5: Gross profit Ratio

(Gross Profit / Sales) x 100

= 250000/500000 x 100

= 0.5 x 100

= 50

Question No: 53 (M a r k s: 10)
Pass the rectifying entries to correct the following errors:

Question No: 54 (M a r k s: 10)
The following discrepancies were noted on comparing Cash Book with Pass Book.

(1) The following cheques were deposited into bank on 28th March but were not collected by the bank by 31stMarch, (i) Rs. 500, (ii) Rs. 300, (iii) Rs. 200.
(2) The following cheques were issued but were not presented for the payment by 31st March. (i) Rs. 200, (ii) Rs. 450 (iii) Rs. 525 (iv) Rs. 375.
(3) The bank credited a dividend of Rs. 2,000 on 31st march but intimation was received by the trader on 5th April, 2008.
(4) The bank credited interest of Rs. 50 on 31st March but not debited in Cash Book.
(5) The Bank charged (debited) a commission of Rs. 100 on 31st March.
(6) A cheque of Rs. 500 was received from customer and was entered in the bank column of Cash Book on 25thMarch, but was paid into the bank on 1st April.

Required: Prepare a Bank Reconciliation Statement, if the Bank balance as per Cash Book (Dr.) was Rs. 15,000 on 31stMarch, 2008.

Answer:

Balance as per Cash book.	Dr	15000	
Less not collected Cheques. (500+300+200)	Cr	1000	
	Dr	14000	
Add UN Presented Cheques (200+450+525+375)	Dr	1550	
	Dr	15550	
Add dividend Credit by bank	Dr	2000	
	Dr	17550	
Add interest credit by bank	Dr	50	
	Dr	17600	
Less bank charges	Cr	100	
	Dr	17500	
Less Cheque received	Cr	500	
Balance as per Bank Book	Cr	17000	

Question No: 1 (M a r k s: 1)
Wages outstanding given in the trial balance will be treated as a (an):

- ► Asset
- ► Liability
- ► Revenue
- ► Deferred expense

Question No: 2 (M a r k s: 1)
What does a credit balance in a partner's current account represent to a business?

- ► Current Assets
- ► Current Liability
- ► Long-term liability
- ► Share of profit

Question No: 3 (M a r k s: 1)

Particulars	Rs.
Debentures	1, 50, 000
Equity Capital	2, 00,000
General Reserve	90, 000
Accumulated profit	60,000
What is debt equity ratio	?

- ► 15: 20 (or 3:4)
- ► 15:24 (or 5: 8)
- ► 15:29
- ► 15:35 (or 3: 7)

Question No: 4 (M a r k s: 1)

Particulars	Rs.
Share capital of Rs. 10 each	1,000,000
Profit before tax	150,000
Taxes	10,000
Earning per share	= ?

- ► Rs. 1.50 per share
- ► Rs. 1.40 per share
- ► Rs. 1.15 per share
- ► Rs. 1.25 per share

Question No: 5 (M a r k s: 1)

Mark up cover ratio = operating profit before financial charges ÷ **?**

- ► Selling expenses
- ► Administrative expenses
- ► Financial charges
- ► Direct expenses

Question No: 6 (M a r k s: 1)

In calculating earning per share (EPS), the net profit is divided by which of the following?

- ► Number of ordinary shares
- ► Number of preference shares
- ► Paid up capital
- ► Authorized capital

Question No: 7 (M a r k s: 1)

Which of the following business publishes the Financial Statements?

- ► Sole-Proprietorship
- ► Partnership
- ► Trust
- ► Public Limited Company

Question No: 8 (M a r k s: 1)

The primary purpose of preparing a cash flow statement for an entity is to provide information about:

► Its financial position at the end of an accounting period
► Its cash receipts and cash payments during an accounting period
► Its financial position at the start of an accounting period
► None of the given options

Question No: 9 (M a r k s: 1)
How dividend declared is treated in the Balance Sheet of the company?

► Provision
► Current liability
► Reserves and surplus
► Current assets

Question No: 10 (M a r k s: 1)
Which of the following option(s) is **TRUE** about the Sales returns?

► Sales returns reduce the Gross sales of the firm
► Sales returns affect the Net income of the firm
► Sales returns affect the flow of cash
► All of the given options

Question No: 11 (M a r k s: 1)
Fixed Assets (WDV) + Working Capital =?

► Total assets employed
► Total liabilities
► Total assets
► Current assets

Question No: 12 (M a r k s: 1)
Which of the following is **TRUE** about a merchandising company?
► A merchandising company's business is to buy and sell products
► A merchandising company must use the perpetual system to account for merchandising inventory
► A merchandising company's business is to provide services
► A Sugar Mill is an example of a merchandising company

Question No: 13 (M a r k s: 1)
Capital account of sole proprietors is affected by which of the following items?
a. Profit & Loss account
b. Drawings account
c. Balances of capital account

► a,b
► b,c
► a,c
► a,b,c

Question No: 14 (M a r k s: 1)
Which of the following is/are **TRUE** about the sole trader form of business?
► A sole trader is liable to pay income tax on his/her earnings

► Sole traders do not need to consult accountants
► Sole traders must register the name of their business with the Registrar of Companies
► All of the given options

Question No: 15 (M a r k s: 1)
Which of the following is (are) characteristic(s) of Reserve?

► Its amount is generally determined by the management on the basis of the amount of profit earned.
► It is shown on liabilities side of balance sheet
► It does not affect profit or loss, since it is created after ascertaining net profit
► All of the given options

Question No: 16 (M a r k s: 1)
Which account is increased with a debit and decreased with a credit?

► Cash
► Accounts Payable
► Contributed Capital
► Retained Earnings

Question No: 17 (M a r k s: 1)
Which financial statement show what a business owes at a particular point in time?

► A cash flow statement
► The bank statement for the business
► A balance sheet
► A statement of retained earnings

Question No: 18 (M a r k s: 1)
Which of the following appears in both the Income Statement debit column and the Balance Sheet credit?

► Net income
► Net loss
► Dividends
► Retained earnings

Question No: 19 (M a r k s: 1)
The Balance Sheet item that represents the resources invested by the owner is known as:
► Accounts Receivable
► Cash
► Note Payable
► Owner's Equity

Question No: 20 (M a r k s: 1)
Which of the following is an example of operating expense?

► Purchasing operating equipment
► Purchasing cleaning services
► Purchasing an investment in another company
► Purchasing a computer for the accounting office

Question No: 21 (M a r k s: 1)
The main objective of financial reporting is to provide:

► Essential information to internal users of financial reports.
► Useful economic information about the business to the external parties for sound financial decisions.
► Information to internal users about the cash position of the business.
► Information to the Securities Exchange Commission (SEC).

Question No: 22 (M a r k s: 1)
The figure of cash received from debtors can be located either from cash book or:

► Debtor's Control Account
► Balance Sheet
► Profit & Loss Account
► Bills Payable Account

Question No: 23 (M a r k s: 1)
Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	3,500
Provision for doubtful debts (old)	6,000
Current year's provision (new)	1,500

► Rs. (1,000)
► Rs. 1,000
► Rs. (5,000)
► Rs. 5,000

Question No: 24 (M a r k s: 1)
Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

► Rs. 600
► Rs. 1,600
► Rs. 2,000
► Rs. 2,600

Question No: 25 (M a r k s: 1)
Which of the following rectifying entry will be recorded, if sales to Mr. "A" of Rs.336 have been debited to Mr. "B" account?

► A's account (Dr.) and B's account (Cr.)
► B's account (Dr.) and A's account (Cr.)
► Sales account (Dr.) and B's account (cr.)
► B's account (Dr.) and Sales account (Cr.)

Question No: 26 (M a r k s: 1)
Which of the following account(s) will be affected, while rectifying the error of a purchase return of Rs.200 to Mr. “A” entered in sales book instead of purchase return book?

- ► A’s account only
- ► Sales account only
- ► Purchase returns account and sales account
- ► Purchases account only

Question No: 27 (M a r k s: 1)
A receipt of cash Rs. 10,000 from Mr. Bilal is recorded as Rs. 1,000. What amount will be adjusted in rectifying entry?

- ► Rs. 1,000
- ► Rs. 9,000
- ► Rs. 10,000
- ► Rs. 11,000

Question No: 28 (M a r k s: 1)
If provision is created for doubtful debts, which of the following entry will be passed to record bad debts in control account?

- ► Bade debts (Dr) and Debtors Control A/c (Cr)
- ► Provision for doubtful debts (Dr) and Debtors Control A/c (Cr)
- ► Provision for doubtful debts (Dr) and Debtors A/c (Cr)
- ► Debtors Control A/c (Dr) and Provision for doubtful debts (Cr)

Question No: 29 (M a r k s: 1)
Which of the following is a detailed record of an individual account in case of large business?

- ► Control Account
- ► Subsidiary Ledger
- ► Balance Sheet
- ► Trial Balance

Question No: 30 (M a r k s: 1)
Which of the following is shown on credit side of creditors control account?

- ► Bills Receivable
- ► Return inwards
- ► Credit purchases
- ► Discount allowed

Question No: 31 (M a r k s: 1)
Which of the following is an item of a creditors control account?

- ► Cash sales
- ► Credit sales
- ► Credit purchase
- ► Cash purchases

Question No: 32 (M a r k s: 1)
In which of the following condition(s) **DEBT** is regarded as **BAD**.

- ► Bankruptcy of the debtor

► Disappearance of debtor's business
► Failure of repeated attempt to collect the debt
► All of the given options

Question No: 33 (M a r k s: 1)
Which of the following best describes unpresented cheques?

► Cheques received on behalf of the business by the bank
► Cheques drawn but yet to be recorded in the bank records
► Cheques issued by the bank not recorded in business records
► Cheques received but yet to be recorded in the bank records

Question No: 34 (M a r k s: 1)
The following balance and discrepancies were found on 31 March 2008:

Particulars	Rs.
Cash book balance (Dr)	5 000
Unpresented cheques	1 000
Uncredited cheques	500

The Bank Statement balance on 31 March 2008 should be:
► Rs. 5 500 (Dr)
► Rs. 5 500 (Cr)
► Rs. 4 500 (Dr)
► Rs. 4 500 (Cr)

Question No: 35 (M a r k s: 1)
Consider the following data:

Particulars	Rs.
Assets	?
Owner's equity	1,50,000
Liabilities	1,00,000

► Rs. 49,000
► Rs. 55,000
► Rs. 50,000
► Rs. 2, 50,000

Question No: 36 (M a r k s: 1)
Find out the missing value of an Accounting Equation with the help of given data:

Furniture	Rs. 90,000
Cash	Rs.1, 00, 000
Debtors	Rs.10, 000
Other Assets	Rs. 1,000
Owner's equity	Rs. 90, 000

► Rs. 2, 01,000 liabilities
► Rs. 1, 11, 000 liabilities
► Rs. 2, 90, 000 liabilities
► Rs. 2, 91, 000 liabilities

Question No: 37 (M a r k s: 1)
Accountancy covers which of the following area(s):

► Book-keeping
► Accounting
► Auditing
► All of the given options

Question No: 38 (M a r k s: 1)
_____ is the detail of transaction in one's account provided by the bank.

► Bank statement
► Bank reconciliation statement
► Income statement
► Financial statement

Question No: 39 (M a r k s: 1)
Consider the following inventory record:

Date	Item	Quantity	Cost/Unit	Total
2007Jan. 2	Opening inventory	100	Rs.18.00	Rs.1,800
Mar. 4	Purchase	400	19.00	7,600
May 8	Purchase	800	20.00	16,000
Nov. 3	Purchase	500	21.00	10,500

Four hundred units are unsold, Use the FIFO method of inventory costing and determine the value assigned to the 400 units on hand at the end of the period.

► Rs.7, 500
► Rs.7, 978
► Rs.8, 000
► Rs.8, 400

Question No: 40 (M a r k s: 1)
Consider the following inventory record:

Date	Item	Quantity	Cost/Unit Rs.	Total Rs.
Jan. 2	Beginning inventory	10	10	100
Mar. 4	Purchase	35	11	385
May 8	Purchase	40	12	480
Nov. 3	Purchase	20	13	260
De31	Merchandise available	105		1,225

85 units were sold, Use the FIFO method of inventory costing and determine the cost of goods sold.

► Rs. 1,225
► Rs. 1,015
► Rs. 965
► Rs. 992

Question No: 41 (M a r k s: 1)
All the costs incurred on the incomplete assets up to the balance sheet date must be transferred to:

► Capital account
► Capital work in progress account
► Relevant asset account
► Owner's equity account

Question No: 42 (M a r k s: 1)

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 15,000
Sale price after 5 years	Rs.50,000
Book value of Asset after 5 years	?

► Rs.25, 000
► Rs. 75,000
► Rs. 15,000
► Rs. 1, 00,000

Question No: 43 (M a r k s: 1)

Direct materials costs	Rs.70,000
Direct labor costs	30,000
Manufacturing overhead costs	60,000
conversion cost	?

► Rs. 20,000
► Rs.40, 000
► Rs.90, 000
► Rs.160, 000

Question No: 44 (M a r k s: 1)
Which of the following shows summary of a company's financial position at a specific date?

► Profit & Loss Account
► Cash Flow Statement
► Balance Sheet
► Income & Expenditure Account

Question No: 45 (M a r k s: 1)
Bank book is part of:

► Voucher
► General Journal
► General Ledger

► Trial Balance

Question No: 46 (M a r k s: 1)
Which of the following are the components of General Ledger?

1) Title of account
2) Amount of transaction
3) Date of transaction

► (1) & (2) only
► (2) & (3) only
► (1) & (3) only
► (1), (2) & (3)

Question No: 47 (M a r k s: 1)
Which of the following is **CORRECT** about the flow of recording a transaction?

► Occurrence of event – voucher—Journal—Ledger—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Journal – voucher —Ledger—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Ledger – voucher—Journal—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Trial Balance – voucher—Journal—Ledger—profit and loss account—Balance Sheet

Question No: 48 (M a r k s: 1)
Vehicles which are used to supply finished products are called business _____.

► Tangible assets
► Intangible assets
► Capital
► Liabilities

Question No: 49 (M a r k s: 1)
The basic accounting principle/concept according to which Business is independent from its owner(s) is known as:

► Separate Entity Concept
► Matching Concept
► Going Concern Concept
► Materiality Concept

Question No: 50 (M a r k s: 1)
Shares for which amount is paid by public are called _____ shares.

► Paid up
► Authorized
► Bonus shares

► All are correct options

Question No: 51 (M a r k s: 5)

10 % Debentures of Rs. 80,000 are shown in trial balance. How it will be shown in financial statements? Also mention why a company issues debentures.

Answer:
10% Debentures of Rs. 80000 is shown the Owners Equity pr liability Side of Balance sheet. Debentures are issued under the common seal of the company and debentures are an instrument for obtaining the loan from the general public. Company also paid mark up on debentures which generally equal to the market rate.

Question No: 52 (M a r k s: 10)

Following information is extracted from the books of Arfan Ltd as on December 31st, 2007.

Particulars	Cost	Depreciation rate	Accumulated Depreciation On 01-01-2007
Vehicles 01-01-2007	1,90,000	10%	10,000
Building 01-01-2007	4,00,000	20%	12,500
Furniture & Fixture 01-01-2007	4,15,000	15%	34,500
Land 01-01-2007	1,58,000	--	---

You are required to calculate Written down value of each asset and show working of complete depreciation for the year ending on December 2007.

Particulars	Cost			Rate	Accumulated Depreciation			WDV
	As At 1-1-2007	Addition/ deletion	As At 31st-12-2007		As At 1-1-2007	For The Year	As At 31st-12-2007	
Vehicles	190000	0	190000	10%	10000	19000	29000	161000
Building	400000	0	400000	20%	12500	80000	92500	307500
Furniture	415000	0	415000	15%	34500	62250	96750	318250
Land	158000	0	158000	0	0	0	0	158000
Total	1163000	0	1163000		57000	161250	218250	944750

Question No: 53 (M a r k s: 10)

Prepare Profit and Loss Account for the year ending 31st December 2007 from the Trial Balance and adjustments of MS Company given below:

Particulars	Debit	Credit
	Rs.	Rs.
Drawings	14,000	
Capital Account		80,000
Opening Stock	55,000	

Purchases	485,000	
Sales		610,000
Sundry Debtors	80,000	
Sundry Creditors		60,500
Sales Returns	5,000	
Carriage Inwards	6,000	
Salaries	28,000	
Rent, Rates, Taxes	15,000	
Insurance	4,000	
Machinery	50,000	
Furniture	5,000	
Cash in hand	3,500	
Total	750,500	750,500

Adjustments:

4) Depreciate machinery and furniture @20%p.a.
5) Outstanding Salaries Rs. 2,000
6) Insurance paid in advance Rs. 500
7) Maintain @5% reserve for doubtful debts on debtors.
8) Closing Stock was valued at Rs. 60,000

Trading & Profit & Loss Account
For the year ending 31st December 2007

Particulars	Debit Balance/Rs	Particulars	Credit Balance/Rs
Opening Stock Purchases Carriage in Gross Profit	55000 485000 6000 119000	Sales 610000 Less returns: 5000 Closing Stock	605000 60000
	665000		665000
Salaries 28000 +outstanding: 2000 Rent, Rate, Taxes Insurance 4000 Less advance: 500 Depreciation: Machinery: 10000 Furniture: 1000 Provision of bed debts Net Profit:	 30000 15000 3500 11000 4000 55500	Gross Profit	119000
	119000		119000

Question No: 54 (M a r k s: 10)

What is the effect of given adjustments on Trading & Profit & Loss account and Balance Sheet?

a. Accrued Expenses or Outstanding Expenses
b. Prepaid Expenses or Unexpired Expenses
c. Accrued Revenue or Revenue Receivable
d. Unearned Revenue or Revenue Received in Advance
e. Depreciation of Asset

1. **Accrued Expenses or Outstanding Expenses**

Trading and profit and loss account effect

These expenses will be shown in profit and loss account under administrative expenses and will and be deducted from gross profit. They will be used to calculate net profit

Balance sheet effect

These expenses will be shown as expense payable or accrued expenses in balance sheet as current liabilities and will be shown under current liabilities section of liabilities as they have to be paid by business..

2. Prepaid Expenses or Unexpired Expenses

Trading and profit and loss account effect

These will be deducted from relevant expense account to get the actual expenses for the period and that actual amount of expense will be deducted from gross profit to arrive at net profit. This amount of prepaid expenses will not be included in profit and loss account as an expense itself but its effect will be on current expenses for the period for which profit and loss is being calculated.

Balance sheet effect

These prepaid expenses will be show and current assets in balance sheet and will be shown under the section of current assets in balance sheet.

3. Accrued Revenue or Revenue Receivable

Trading and profit and loss account effect

These will be added to sales in trading account in profit and loss statement and will be treated as a revenue in the calculation of gross profit by subtracting cost of goods sold from net sales. This will affect gross profit in trading account.

Balance sheet effect

In balance sheet this revenue will be shown under current assets as receivables from debtors and will be shown under the section of current assets of the business.

4. Unearned Revenue or Revenue Received in Advance

Trading and profit and loss account effect

This will not be added to the sales as sales is recognized when the actual services have been provided or when goods have been shipped irrespective of whether payment has been received or not. So this will not affect profit and loss account as it is still not recognized as sales/revenue.

Balance sheet effect

This is a liability for the company because the company has to give goods or services to the buyer for the advance payment done by the buyer and will be shown as a liability in the balance sheet under the current liability section of balance sheet. Also the same amount will be shown in the bank or cash as current asset to offset the liability because the cash or cheque has been received for goods not given or services not rendered yet.

5. Depreciation of Asset

Trading and profit and loss account effect

The depreciation of asset is an operating expense for the business and will affect profit and loss account. It will be added to the administrative expense and will be appear in the administrative expense section of profit and loss account and will be deducted from gross profits to arrive at net profits along with other expenses.

Balance sheet effect

In balance sheet it will appear as deduction from the fixed asset as the fixed assets in balance sheet will be shown at written down value. So this will be added to previous balance of accumulated depreciation and will be deducted from the total cost of the fixed assets and will appear in the assets section under the heading of fixed asset. It might appear in notes as sometimes in balance sheet summarized figure of fixed asset at WDV will be shown. In any case it is deducted from fixed asset in balance sheet and affects the total assets side

Question No: 1 (M a r k s: 1)
Debenture is also named as:

- ► **Share**
- ► Bond
- ► **Equity**
- ► Reserve

Question No: 2 (M a r k s: 1)
What types of changes (is) are made at the admission of partner in partnership?

- ► **Assets of old business will be revalued**
- ► Liabilities of old business will be revalued
- ► Good will of business will be revalued
- ► **All of the given options**

Question No: 3 (M a r k s: 1)
The balance sheet reported a beginning balance of Rs. 20,000 in Accounts Receivable and an ending balance of Rs. 15,000. Credit Sales of Rs. 200,000 were made during the year. Using this information, compute cash collected from customers.

- ► Rs. 215,000
- ► **Rs. 195,000**
- ► Rs. 200,000
- ► Rs. 205,000

Question No: 4 (M a r k s: 1)
In cash flow statements, which of the following would appear as an inflow of cash?

- ► The repayments of a bank loan
- ► **Dividend issue in the current year**
- ► Money received as result of selling fixed assets

► The difference between the valuations of old and new fixed assets

Question No: 5 (M a r k s: 1)
Which of the following is **NOT** a cash inflow?

► **Purchase of fixed asset**
► Sale of fixed asset
► Issue of debentures
► Cash from business operation

Question No: 6 (M a r k s: 1)
What are the effects on financial statements, if Rs. 6,000 transfer to general reserve is given in adjustment?

► It will be treated in Income Statement only
► It will be treated as current liability in balance sheet only
► It will be treated in profit and loss appropriation account only
► **it will be treated in both profit and loss appropriation account and in the balance sheet**

Question No: 7 (M a r k s: 1)
Which of the following is the most important document of the company?

► Memorandum of Association
► Articles of Association
► Prospectus
► **Annual Report**

Question No: 8 (M a r k s: 1)
Which of the following document(s) define the relation of company with outside world?

► Memorandum of Association
► Articles of Association
► Prospectus
► **Statutory Declaration**

Question No: 9 (M a r k s: 1)
The income statement of the Limited company is also known as:

► Manufacturing account
► **Profit and Loss account**
► Profit and Loss Appropriation account
► Current Account

Question No: 10 (M a r k s: 1)
In which of the following auditor's remuneration payable is shown?

► In balance sheet under the head of current liabilities only
► In balance sheet under the head of current assets only
► In income statement under the administrative expense only
► **In both balance sheet under the head of current liabilities and income statement under the administrative expense**

Question No: 11 (M a r k s: 1)
The charter of a company which defines the limitations and powers of the company is called:

- ► The memorandum of association
- ► **Articles of association**
- ► Statutory report
- ► Certificate of commencement

Question No: 12 (M a r k s: 1)

Which of the following represents the partnership agreement in writing?

- ► Partnership registration
- ► **Partnership-at-will**
- ► **Partnership deed**
- ► Partnership certification

Question No: 13 (M a r k s: 1)

Which of the following represents the relationship between persons who have agreed to share the profit of business carried on by all or any of them acting for all?

- ► Sole-ownership
- ► Private limited company
- ► Public limited company
- ► **Partnership**

Question No: 14 (M a r k s: 1)

Which of the following statement is **TRUE** about the Accounts receivable?

- ► **Accounts receivable arises when a company buys goods or services from another party on credit**
- ► Accounts receivable is a miscellaneous category that may include loans to employees
- ► **Accounts receivable are more formal than notes receivable**
- ► Accounts receivable are often called trade receivables

Question No: 15 (M a r k s: 1)

Which one of the following is **TRUE** about provisions?

- ► It is necessary to prepare for showing true picture of balance sheet
- ► It is a reduction from assets
- ► It is prepared for specific purposes
- ► **All of the given options**

Question No: 16 (M a r k s: 1)

Which financial statement show what a business owes at a particular point in time?

- ► A cash flow statement
- ► The bank statement for the business
- ► **A balance sheet**
- ► **A statement of retained earnings**

Question No: 17 (M a r k s: 1)

Which of the following is an example of operating expense?

- ► **Purchasing operating equipment**
- ► Purchasing cleaning services
- ► Purchasing an investment in another company
- ► Purchasing a computer for the accounting office

Question No: 18 (M a r k s: 1)

Short-term investments include all of the following **EXCEPT**:

- ► A bond receivable intended to be sold within one year
- ► Frequently traded securities
- ► A stock investment in the General Electric Company intended to be sold within one year
- ► **A shares investment in the Coca-Cola Company intended to be held for several years**

Question No: 19 (M a r k s: 1)
The figure of cash received from debtors can be located either from cash book or:

- ► **Debtor's Control Account**
- ► Balance Sheet
- ► Profit & Loss Account
- ► Bills Payable Account

Question No: 20 (M a r k s: 1)
Following information are extracted from books of Mr. XYZ

Particulars	**Rs.**
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 10%	

Identify the Total amount deducted from Sundry debtors.

- ► Rs. 460
- ► **Rs. 2,400**
- ► Rs. 3,080
- ► Rs. 5,480

Question No: 21 (M a r k s: 1)
Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	**Rs.**
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

- ► Rs. 600
- ► Rs. 1,000
- ► Rs. 2,000
- ► **Rs. 2,600**

Question No: 22 (M a r k s: 1)
Which of the following entry will be recorded, if a cheque deposited is dishonored by bank?

- ► Bank Account (Dr.) and Debtor's Account (Cr.)
- ► Debtor's Account (Dr.) and Bank Account (Cr.)
- ► **Dishonored Cheque Account (Dr.) and Bank Account (Cr.)**
- ► Creditor's Account (Dr.) and Bank Account (Cr.)

Question No: 23 (M a r k s: 1)

Which of the following account(s) will be affected, while rectifying the error of an amount Rs.200 received from Mr."P" wrongly credited to Mr."Q's" account?

- ► **Both of Mr. P's & Mr.Q's Account**
- ► Only Cash Account
- ► Only P's account
- ► Only Q's account

Question No: 24 (M a r k s: 1)

Which of the following account(s) will be affected, while rectifying the error of sales Rs.100 to Mr. "A" recorded in the purchases book?

- ► Sales account
- ► Purchase account
- ► **A's account and Sales account**
- ► **Sales account, purchase account and A's account**

Question No: 25 (M a r k s: 1)

"Goods sold to Mr. Salman for Rs. 6,000 have been forgotten to enter in books of accounts", is an example of:

- ► Error of principle
- ► **Error of omission**
- ► Error of commission
- ► Error of original entry

Question No: 26 (M a r k s: 1) - Please choose on

Transaction that has been completely forgotten to enter is called:

- ► Error of principle
- ► **Error of omission**
- ► Error of commission
- ► Error of original entry

Question No: 27 (M a r k s: 1)

Which of the following is (are) included in Creditors Control Account?

- ► Discount received from supplier
- ► Credit purchases
- ► Bills payable
- ► **All of the given options**

Question No: 28 (M a r k s: 1)

Which of the following is **NOT** included in Debtors Control Account?

- ► **Cash sales**
- ► Credit sales
- ► Bills receivable
- ► Discount allowed

Question No: 29 (M a r k s: 1)

Which of the following subsidiary book(s) is (are) maintained for debtors control account?

- ► Sales Day Book
- ► Sales Return
- ► **Debtors Ledger**
- ► All of the given options

Question No: 30 (M a r k s: 1)
Which of the following is **NOT** based on the concept of double entry book keeping system?

- ► Subsidiary Ledgers
- ► Creditors Control Accounts
- ► Debtors Control Accounts
- ► **All of the given options**

Question No: 31 (M a r k s: 1)
Which of the following entry will be recorded when the Bad Debts are recovered?

- ► Cash account (Dr.) & Bad Debts recovered account (Cr.)
- ► **Accounts Receivable account (Dr.) & Bad Debts recovered account (Cr.)**
- ► Bad debts recovered account (Dr.) and Profit & Loss account (Cr.)
- ► Provision for doubtful debts account (Dr.) & Cash account (Cr.)

Question No: 32 (M a r k s: 1)
In which of the following condition(s) **DEBT** is regarded as**BAD**.

- ► Bankruptcy of the debtor
- ► Disappearance of debtor's business
- ► Failure of repeated attempt to collect the debt
- ► **All of the given options**

Question No: 33 (M a r k s: 1)

Which of the following is **CORRECT** for Doubtful Debt?

- ► It is shown in balance sheet
- ► It is a definite loss to the business
- ► It is not shown in balance sheet
- ► **No provision is necessary for it**

Question No: 34 (M a r k s: 1)
The following balance and discrepancies were found on 31 March 2008:

Particulars	**Rs.**
Cash book balance (Dr)	5 000
Unpresented cheques	1 000
Uncredited cheques	500

The Bank Statement balance on 31 March 2008 should be:

- ► Rs. 5 500 (Dr)
- ► Rs. 5 500 (Cr)
- ► **Rs. 4 500 (Dr)**
- ► Rs. 4 500 (Cr)

Question No: 35 (M a r k s: 1)
A Bank Reconciliation Statement is prepared to:

► Ascertain that the difference between the Cash Book balance and the Bank Statement balance has been accounted for
► **Correct errors in the Cash Book or errors in the Bank Statement**
► Amend the balance of the Bank Statement of the firm
► Amend the balance in the Cash Book of the firm

Question No: 36 (M a r k s: 1)
Which of the following is **CORRECT** regarding depreciation?

► **It is a systematic allocation of depreciable amount of an asset over its estimated useful life**
► It refers to the end life of an asset
► It refers to the increase in value of asset
► It is another name of Impairment

Question No: 37 (M a r k s: 1)
Find out the missing value of an Accounting Equation with the help of given data:

Cash	Rs.1, 00, 000
Debtors	Rs.10, 000
Other Assets	Rs. 1,000
Owner's equity	Rs. 1, 000

► Rs. 12,000 liabilities
► Rs. 11,000 liabilities
► **Rs. 1, 10,000 liabilities**
► Rs. 1, 11,000 liabilities

Question No: 38 (M a r k s: 1)
Which of the following essentials will be shown in the format of Cash Book?
(1) Ledger code
(2) Amount of Receipt
(3) Amount of payment

► (1) only
► (1) & (2) only
► (1) & (3) only
► **(1), (2) & (3)**

Question No: 39 (M a r k s: 1)

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit

Third purchase	20 units @ Rs. 13 per unit

Eighty units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

- Rs.260
- Rs.232
- Rs.284
- **Rs.320**

Question No: 40 (M a r k s: 1)
In cost of goods sold statement, the 'cost of material consumed' is equal to:

- **Opening raw material inventory + Purchases – Ending raw material inventory**
- Opening raw material inventory - Purchases + Ending raw material inventory
- Ending raw material inventory + Opening raw material inventory - Purchases
- Ending raw material inventory + Opening raw material inventory + Purchases

Question No: 41 (M a r k s: 1)
Following are the inventories of Manufacturing Concern**EXCEPT**:

- Raw material
- Work in process
- Finished goods
- **Merchandise inventory**

Question No: 42 (M a r k s: 1)
Which of the following is an alternate term which can be used for "Capital"?

- Liability
- **Owner's net worth**
- Working capital
- Asset

Question No: 43 (M a r k s: 1)
In which of the following condition a company will have positive working capital?

- If current assets > current liabilities
- If current Assets < current Liabilities
- **If current assets = current liabilities**
- If current assets ≤ current liabilities

Question No: 44 (M a r k s: 1)
If salaries expense is Rs. 2,500, purchases are Rs. 16,000 and rent (office building) is Rs. 300 during the year, what would be the total of "general & administrative expenses"?

- Rs. 300
- Rs. 2,500
- **Rs. 2,800**
- **Rs.18, 800**

Question No: 45 (M a r k s: 1)
The amount brought by the proprietor in the business should be credited to:

- ► Cash account
- ► Capital account
- ► **Drawings account**
- ► **Proprietor account**

Question No: 46 (M a r k s: 1)
An asset on the balance sheet which is expected to be sold orused within one year is known as:

- ► Tangible asset
- ► **Current asset**
- ► Fixed asset
- ► Long term asset

Question No: 47 (M a r k s: 1)
Which one of the following is a type of General Ledger?

- ► Book of original entry
- ► **'T' Account**
- ► Source document
- ► Day book

Question No: 48 (M a r k s: 1)
According to the double entry system of book keeping, the investment of Rs.10, 000 in the business made by the owner will effect:

- ► **Cash & Capital Account**
- ► Cash & Expense Account
- ► Capital & Revenue Account
- ► Capital & Expense Account

Question No: 49 (M a r k s: 1)
Mr." A" sold goods for Rs. 3, 00,000 to Mr. "B", Rs. 3, 00,000 will be treated as _____ for business.

- ► **Revenue**
- ► Net profit
- ► Gross profit
- ► Operating profit

Question No: 50 (M a r k s: 1)
when income exceeds expenses in a specific time period is known as:

- ► Savings
- ► **Net profit**
- ► Gross profit
- ► Operating profit

Question No: 51 (M a r k s: 5)

Financial year decided by partnership agreement is 1st July to 30th June. Mr. Ali is partner and having a capital of Rs. 1,500,000 on

July 1st 2007 and he introduced more capital on August 1st 2007 Rs. 10,000 on April 1st 2008, Rs.500,000 and on June 1st 2008 , Rs. 5,000. Mark up rate is 10% p.a.

Capital = 1500000 mark up= 1500000
2nd capital= 10000 markup= 1000
3rd capital= 500000 markup= 50000
4th capital= 5000 markup= 500

Total markup= Rs. 201500

Calculate mark up on Mr. Ali's capital for the year ending on 31th June 2008.

Question No: 52 (M a r k s: 10)
Write a note on legal documents required for the formation of company.
In Pakistan when someone wants to form a company. He will contact with SECP, its abbreviation for Securities and Exchange Commission of Pakistan. it came in 1984 in law of Pakistan which is called companies ordinance. It controls all affairs of limited companies. For making of private limited company 2 members can submit their names in memorandum and articles of association along with other requirements of company ordinance 1984. while for public limited company seven members will sent their names. By this way they can apply and make registration of the company.

Question No: 53 (M a r k s: 10)
What is the difference between public and private company?
The main difference between public and private company is that in public limited companies there is no restriction on number of persons to be its members. There is one restriction. That there should be a minimum of three members to form a public limited company. Public limited company can offer its shares to general public.

While in private company two to fifty persons can form a company. Minimum two members are elected to form a board of directors. This board is given the responsibility to run day to day business of the company. Private limited company cannot offer its share to general public.

Question No: 54 (M a r k s: 10)
The following discrepancies were noted on comparing Cash Book with Pass Book.

1. Balance as per Cash Book (Cr) is Rs. 19,000.
2. Cheque for Rs. 5,000 paid into the bank for collection on 20th March, 2008 has not yet been collected.
3. Cheques for Rs. 15,000 Issued on 24th March, 2008, out of which Cheques for Rs. 10,000 presented during March, 2008
4. An amount of Rs. 1,000 for interest on overdraft was debited in the Pass Book but was intimated to Mr. David on 4th April, 2008.
5. Mr. David paid into his bank account an amount of Rs. 3,000 but it was wrongly credited to Mr. Denial's Account.
6. On 20th March, 2008 the bank received dividend of Rs. 10,000 from a company where Mr. David's has invested his money, the same had been recorded in Cash Book on 31st March, 2008.
7. Cheque of Rs. 2,500 was shown in Pass Book as dishonored.

Required: Prepare a Bank Reconciliation Statement as on 31st March, 2008

Balance as per Cash Book Cr 19000
Unpresented cheques Dr 5000
Uncredited cheque Dr 10000

Interest by bank Dr. 1000

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FINALTERM EXAMINATION
Spring 2009
MGT101- Financial Accounting (Session - 4)

Question No: 1 (M a r k s: 1)
The expenses that give benefit for a period of more than twelve months are called _____.

► **Capital expenses**
► Revenue expenses
► Preliminary expenses
► None of the given options

Question No: 2 (M a r k s: 1)
A summarized record of transactions related to individuals or things is called a/an _____.

► Account
► Voucher
► Journal
► **Trial balance**

Question No: 3 (M a r k s: 1)
Documentary evidence, in a specific format used to record the details of a transaction is known as:

► Account
► Voucher
► Journal
► Ledger

Question No: 4 (M a r k s: 1)
Which of the following organizations prepare Income & Expenditure account?

► Public libraries
► NGOs
► Labor unions
► **All of the given options**

Question No: 5 (M a r k s: 1)
Which of the following is an example of business liability?

► Land
► Building
► Cash
► **Capital**

Question No: 6 (M a r k s: 1)
Mr. B provided the following information at the end of the month:

Particulars	Rs.
Cash	100
Accounts Receivable	500
Accounts Payable	200
Bank Loans	1,000

Based on the information provided, what are the total assets of Mr. B?

- ► Rs.200
- ► **Rs. 600**
- ► Rs. 800
- ► Rs. 1700

Question No: 7 (M a r k s: 1)
Which of the following account balance will be shown on debit side of Trial Balance? (It is assumed that all account balances are shown on normal balance)

- ► Cash account
- ► Furniture account
- ► Vehicle account
- ► **All of the given options**

Question No: 8 (M a r k s: 1)
If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs. 20,000 during the year, what would be the value of Gross Profit?

- ► Rs. 15,000
- ► **Rs. 35,000**
- ► Rs. 55,000
- ► Rs. 60,000

Question No: 9 (M a r k s: 1)
Which of the following account will be credited, when the goods are purchased on cash?

- ► Stock account
- ► Cash account
- ► **Supplier account**
- ► Work in process account

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Question No: 10 (M a r k s: 1)
Fixed assets are also called:

- ► **Depreciable assets**
- ► Current assets
- ► Liquid assets
- ► Floating assets

Question No: 11 (M a r k s: 1)

Cost of asset	Rs. 1,00,000
Life of asset	5 years

Depreciation for each year	Rs. 5,000
Sale price after 5 years	Rs.50,000
Written down value of asset on 5th year	Rs.75,000
profit or loss on disposal of fixed assets	**?**

- ► **Rs.25, 000 loss**
- ► Rs. 75,000 loss
- ► Rs. 15,000 profit
- ► Rs. 1, 00,000 profit

Question No: 12 (M a r k s: 1)

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

- ► Rs.260
- ► Rs.232
- ► Rs.284
- ► **Rs.320**

Question No: 13 (M a r k s: 1)

Which of the following asset is **NOT** depreciated?

- ► Factory Buildings
- ► Office Equipment
- ► Plant & Machinery
- ► **Land**

Question No: 14 (M a r k s: 1)

Consider the following data:

Particulars	**Rs.**
Assets	8,20,000
Owner's equity	3,80,000
Liabilities	?

- ► Rs. 1, 98,000
- ► Rs. 49,000
- ► Rs. 55,000
- ► **Rs. 4, 40,000**

Question No: 15 (M a r k s: 1)

Which one of the following is **NOT** true for Profit & Loss Account?

- ► It shows whether a business has made a profit or loss over a financial year
- ► It shows the financial performance of a business for the period
- ► It shows revenues and expenses for the period
- ► **It is used to calculate surplus/deficit for a particular period**

Question No: 16 (M a r k s: 1)

A Bank Reconciliation Statement is prepared to:

- ► **Ascertain that the difference between the Cash Book balance and the Bank**

Statement balance has been accounted for

- ► Correct errors in the Cash Book or errors in the Bank Statement
- ► Amend the balance of the Bank Statement of the firm
- ► Amend the balance in the Cash Book of the firm

Question No: 17 (M a r k s: 1)

Which one of the following transactions will cause the balance in Mr. Terry's Cash Book to be greater than his Bank Statement balance?

- ► A cheque is drawn but not yet presented at the bank for payment
- ► The bank has not yet notified to Mr. Terry about a dishonoured cheque
- ► A credit transfer into Terry's Bank Account
- ► A cheque payment of Rs.101 is recorded in the Cash Book as Rs.110

Question No: 18 (M a r k s: 1)

In which of the following condition(s) **DEBT** is regarded as **BAD**.

- ► Bankruptcy of the debtor
- ► Disappearance of debtor's business
- ► Failure of repeated attempt to collect the debt
- ► **All of the given options**

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Question No: 19 (M a r k s: 1)

Which of the following account will be debited, when the bad debts are recovered?

- ► Bad debt recovered a/c
- ► Cash a/c
- ► Doubtful debts a/c
- ► Bad debts a/c

Question No: 20 (M a r k s: 1)

Which of the following would be deducted from Sundry Debtors in Balance Sheet?

- ► Bad debts (Trial balance item)
- ► Old provision for doubtful debts
- ► **New provision for doubtful debts**
- ► Both Bad debts (given in adjustment) and new provision for doubtful debts

Question No: 21 (M a r k s: 1)

Which of the following entry will be recorded when the Bad Debts are recovered?

- ► Cash account (Dr.) & Bad Debts recovered account (Cr.)
- ► Accounts Receivable account (Dr.) & Bad Debts recovered account (Cr.)
- ► **Bad debts recovered account (Dr.) and Profit & Loss account (Cr.)**
- ► Provision for doubtful debts account (Dr.) & Cash account (Cr.)

Question No: 22 (M a r k s: 1)

It is supposed that on 31-12-2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. What entry will pass to transfer the bad debts to provision for doubtful debts?

- ► Profit & Loss a/c Rs. 1,600 (Dr) & Provision for doubtful debts a/c Rs. 1,600 (Cr)
- ► **Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)**
- ► Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)
- ► Provision for doubtful debts a/c Rs. 1,600 (Dr) & Bad Debts a/c Rs. 1,600 (Cr)

Question No: 23 (M a r k s: 1)
Which of the following is/are the item/s of a Control Account?

- ► Credit sale only
- ► Cash sale only
- ► Credit purchase only
- ► **Both Credit sales and Credit purchase**

Question No: 24 (M a r k s: 1)
Which of the following is an item of a debtors control account?

- ► Cash sale
- ► **Credit sales**
- ► Credit purchase
- ► Cash purchases

Question No: 25 (M a r k s: 1)
Which of the following is (are) benefit/s of subsidiary ledger accounts to business?

- ► It tells about customer attitude of payments
- ► It can be checked against the control account to pick up recording errors
- ► It tells about the complete history of transactions of business client
- ► **All of the given options**

Question No: 26 (M a r k s: 1)
Which of the following is a detailed record of an individual account in case of large business?

- ► Control Account
- ► **Subsidiary Ledger**
- ► Balance Sheet
- ► Trial Balance

Question No: 27 (M a r k s: 1)
Transaction that has been completely forgotten to enter is called:

- ► Error of principle
- ► **Error of omission**
- ► Error of commission
- ► Error of original entry

Question No: 28 (M a r k s: 1)
Which of the following account(s) will be affected, while rectifying the error of Sale to Mr."A" Rs. 336 was not recorded at all?

- ► Only sales account
- ► Only A's account
- ► Only cash account
- ► **Both sales account and A's account**

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Question No: 29 (M a r k s: 1)
If (Amount of new provision + Amount of bad debts) < Amount of old provision then amount will be shown on:

- ► Debit side of P & L account
- ► Credit side of P & L account
- ► **Asset side of Balance Sheet**
- ► Liability side of Balance Sheet

Question No: 30 (M a r k s: 1)
Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	700
Sundry Debtors (Given in trial balance)	44,800

If the Provision for doubtful debts has been increased by 5%, which amount of new provision will be shown in Profit & Loss Account?

- ► **Rs. 2,240**
- ► Rs. 2,425
- ► Rs. 1,925
- ► Rs. 3,025

Question No: 31 (M a r k s: 1)
The main objective of financial reporting is to provide:

- ► **Essential information to internal users of financial reports.**
- ► Useful economic information about the business to the external parties for sound financial decisions.
- ► Information to internal users about the cash position of the business.
- ► Information to the Securities Exchange Commission (SEC).

Question No: 32 (M a r k s: 1)
Which of the following would **NOT** be considered as a component of 'cost' of stock?

- ► **Salaries of selling staff**
- ► Transportation inward costs
- ► Import duties
- ► Purchase price

Question No: 33 (M a r k s: 1)
Inventory is considered a current asset because it:

- ► Often reflects the most current trends and styles
- ► Was purchased during the current year, usually
- ► **Will be converted into cash in the course of the company's operating cycle**
- ► Can be returned to the supplier for a cash refund

Question No: 34 (M a r k s: 1)
Which one of the following is **TRUE** about provisions?

- ► It is necessary to prepare for showing true picture of balance sheet
- ► It is a reduction from assets
- ► It is prepared for specific purposes
- ► **All of the given options**

Question No: 35 (M a r k s: 1)
Which of the following item will be shown on debit side of capital account of sole proprietor?

- ► Cash
- ► **Drawings**
- ► Debtors
- ► Profit

Question No: 36 (M a r k s: 1)
Which of the following is **TRUE** about a merchandising company?
- ► **A merchandising company's business is to buy and sell products**
- ► A merchandising company must use the perpetual system to account for merchandising inventory
- ► A merchandising company's business is to provide services
- ► A Sugar Mill is an example of a merchandising company

Question No: 37 (M a r k s: 1)
Which of the following statement is **TRUE** about the partnership form of business?
- ► Partners must have to share their profits in equal proportion
- ► Partners are personally liable for the liabilities of the business
- ► Partnerships must make their accounts available to the general public
- ► **Partnership agreement in writing is called Partnership deed**

Question No: 38 (M a r k s: 1)
Which of the following are the owners of a company?
- ► **Proprietors**
- ► Partners
- ► Shareholders
- ► Managers

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Question No: 39 (M a r k s: 1)
Authorized share capital is also known as:
- ► **Registered capital**
- ► Issued capital
- ► Paid up capital
- ► Called up capital

Question No: 40 (M a r k s: 1)
The persons who sign articles and memorandum of the company and contribute in the initial share capital of the company are called:

- ► Subscribers
- ► **Shareholders**
- ► Managers
- ► Directors

Question No: 41 (M a r k s: 1)
Which of the following option(s) is **TRUE** about the Sales returns?

- ► Sales returns reduce the Gross sales of the firm
- ► Sales returns affect the Net income of the firm
- ► Sales returns affect the flow of cash
- ► **All of the given options**

Question No: 42 (M a r k s: 1)
In Income Statement, both beginning inventory and ending inventory appear in the section of:

- ► **Cost of good sold**
- ► Indirect cost
- ► Selling cost
- ► Factory over head cost

Question No: 43 (M a r k s: 1)
The income statement of the Limited company is also known as:

- ► Manufacturing account
- ► **Profit and Loss account**
- ► Profit and Loss Appropriation account
- ► Current Account

Question No: 44 (M a r k s: 1)
A company is said to have been registered when:

- ► It gets certificate of incorporation from registrar of Companies
- ► **It gets certificate of commencement of business from registrar of Companies**
- ► It actually starts its business
- ► It filed with the Registrar of Companies articles certain documents, like memorandum and articles of association

Question No: 45 (M a r k s: 1)
In cash flow statements, which of the following would appear as an inflow of cash?

- ► The repayments of a bank loan
- ► Dividend issue in the current year
- ► **Money received as result of selling fixed assets**
- ► The difference between the valuations of old and new fixed assets

Question No: 46 (M a r k s: 1)
Which of the following is **CORRECT**?

- ► **A cash inflow means increase total cash only**
- ► A cash inflow means increase in cash equivalent only
- ► A cash inflow means increase in cash and decrease in cash equivalent
- ► A cash inflow means increase in both cash and cash equivalent

Question No: 47 (M a r k s: 1)
Which of the following business publishes the Financial Statements?

- ► Sole-Proprietorship
- ► Partnership
- ► Trust

► **Public Limited Company**

Question No: 48 (M a r k s: 1)
Which of the following ratio tells about “How a company would repays its loans”

► Mark up cover ratio
► Acid test ratio
► Current ratio
► **Debt Equity ratio**

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Question No: 49 (M a r k s: 1)

Particulars	Rs.
Share capital of Rs. 10 each	1,000,000
Profit before tax	150,000
Taxes	10,000
Earning per share	**= ?**

► Rs. 1.50 per share
► **Rs. 1.40 per share**
► Rs. 1.15 per share
► Rs. 1.25 per share

Question No: 50 (M a r k s: 1)
The beginning balance of retained earnings was Rs. 7,500. The dividends paid to stockholders' were Rs.1, 500. The ending balance of retained earnings is Rs. 5,000. What was the net income or net loss for the accounting period?

► **Net loss of Rs.1, 000**
► Net income of Rs. 1,000
► Net loss of Rs. 2,000
► Net income of Rs. 2,500

1. Issuance of shares at premium

When a company earned profits and its reputation increased in the market then demand of its shares increases. In that case that company is allowed to issue the shares at higher than the face value. These kind of issuance of share is called shares at premium. In the return money which is received as excess to face value is deposited in the “shares Premium Account.” This account is used to write off preliminary expenses of the company and used to write off the amount of issuing shares on discount (if any)

2. Cash Flow Statement

It is fundamental part of the financial statements.
Cash flow statement shows cash resource movement during the financial year. It shows us that how the cash is produced and how its spent during the year. It is very important for any business to make sure that

business have enough funds in hand to meet the obligations.

3. Debentures

It is an acknowledgment of loan that company took from the public for a specific period of time and has markup rate attached to it. Mark up rate or interest rate which is paid on debentures is normally equal to market rate.

4. Notes to the accounts

Notes to the accounts are details of the financial statements of the organization. It includes details calculation of figures during the preparation of financial Statements.

Question No: 52 (M a r k s: 10)

Income Statement of XYZ Ltd for the year ended on 30th June, 2007:

Particulars	Rs.	Rs.
Sales		500,000
Less: Cost of Goods Sold		250,000
Gross Profit		250,000
Less: **Operating expenses**		
Administrative expenses	110,000	
Interest expenses	20,000	130,000
Net profit before Tax		**120,000**
Less: Taxes		36,000
Net profit after tax		84,000

Opening Stock for the year was Rs. 60,000.

Balance Sheet of XYZ Ltd on 30th June, 2007:

Assets	Rs.
Fixed Assets	400,000
Stock	60,000
Debtors	230,000
Bills Receivable	40,000
Cash at bank	150,000
Prepaid expenses	20,000
Total	**900,000**
Liabilities	
Share capital	200,000
Reserves and surplus	250,000
10% Debentures	200,000
Creditors	180,000
Bills payable	70,000
Total	**900,000**

Calculate following ratios from the financial statement of XYZ Ltd.

1. Current Ratio
2. Acid Test Ratio

3. Stock turn over Ratio
4. Debt equity Ratio
5. Gross profit Ratio

1. Current ratio

Current ration = current assets / current liabilities

= 500,000 / 250,000 = 2

2. Acid test ratio

Acid Test = (current Assets – stock) / current liabilities

= (500,000- 60,000) / 250,000 = 1.76

3. Stock turn over Ratio

a.

Stock turn over Ratio = (cost of good sold / Average stock)

= (250,000 / 60,000)

Stock turnover (number of times) = 4.1 times

b.

Stock turnover in days = (Average stock / cost of good sold)*365

= (60,000 / 250,000) * 365

= 87 days

4. Debt equity ratio

Debit equity ratio = long term liabilities / equity

= 650,000 / 200,000

= 3.25

5 Gross profit ratio

Gross profit ratio = (gross profit / sales)* 100

= (250,000 / 500,000) *100

G.P RATE = 50 %

Question No: 53 (M a r k s: 10)

The following Trial balance is taken out from the books of Rahman & Sons as on 31st December, 2008.

	Dr.	Cr.
	Rs.	**Rs.**
Sales		204,000
Capital		120,000
Bank overdraft		103,560
Sundry Creditors		120,000
Opening Stock	60,400	
Purchases	231,600	
Sundry Debtors	109,660	
Returns Inwards	3,640	
General Expenses	6,980	
Plant	22,620	
Wages & Salaries	16,740	
Building	50,000	
Cash in Hand	680	
Cash at bank	8,720	
Drawings	16,960	
Motive Power	2,300	
Dock &clearing Charges	1,300	
Coal, Gas, Water	1,700	
Salaries	9,820	
Interest on O/D	4,440	
Rent rates Taxes	1,400	
Discount Allowed	2,000	
Interest received		3,400
	550,960	**550,960**

Requirement:

Prepare The Trading and Profit & Loss account of the business for the year ended. Closing Stock is valued at Rs.40, 000.

Question No: 54 (M a r k s: 10)

Following information is extracted from the books of Mr. Ali and Mr. Babar for the year 2007.

Particulars	Rs.
Closing Stock	564,000
Carriage inwards	1,780

Wages & Salaries	1,950
Debtors	160,000
Bank	7,000
Creditors	100,000
Expenses payable	18,000
Wages payable	12,750
Accounts payable	4,250
Profit for the year	Ali:80,000 Babar:70,000
Drawings for the year	Ali:10,000 Babar:15,000
Capital	Ali:400,000 Babar: 350,000
Opening balance: Current Account	Ali: 13,000 Babar:10,000
Long term loans	2,27,500
Material 01-01-2007	100,000
Work in process 01-01-2007	78,000
Finished Goods 01-01-2007	108,000
Fixed Asset at WDV on 31-12-2007	529,500

You are required to prepare Balance Sheet as on 31st December 2007. Show complete working.

Question No: 1 (M a r k s: 1)
We can say that the business is in profit, when:

- ► Assets exceed Expenditure
- ► Assets exceed Liabilities
- ► Income exceeds Expenditure
- ► Income exceeds Liabilities

Question No: 2 (M a r k s: 1)
Term "Credit" means_____ by the business.

- ► Receiving of benefits
- ► It has no effect on business
- ► Providing of benefits
- ► It depends upon items

Question No: 3 (M a r k s: 1)
According to the double entry system of accounting, an account that obtains benefit is:

- ► Debit
- ► Credit
- ► Income
- ► No need to show as accounting record

Question No: 4 (M a r k s: 1)
When a Liability is reduced or decreased, it is recorded on the:

- ► Right or debit side of the account
- ► Left or debit side of the account

► Left or credit side of the account
► Right or credit side of the account

Question No: 5 (M a r k s: 1)
When Capital is increased by an amount, it is recorded on the:

► Left or credit side of the account
► Right or debit side of the account
► Left or debit side of the account
► Right or credit side of the account

Question No: 6 (M a r k s: 1)
Bank book is part of:

► Voucher
► General Journal
► General Ledger
► Trial Balance

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Question No: 7 (M a r k s: 1)
What type of expenses are paid out of Gross Profit?

► Selling Expenses
► General Expenses
► Financial Expenses
► All of the given options

Question No: 8 (M a r k s: 1)
Which of the following shows summary of a company's financial position at a specific date?

► Profit & Loss Account
► Cash Flow Statement
► Balance Sheet
► Income & Expenditure Account

Question No: 9 (M a r k s: 1)
Which of the following is **NOT** an example of intangible assets?

► Franchise rights
► Goodwill
► Patents
► Land

Question No: 10 (M a r k s: 1)
Which of the following is an example of business liability?

► Land
► Building
► Cash
► Capital

Question No: 11 (M a r k s: 1)
The unfavorable balance of Profit and Loss account should be:

- ► Added in liabilities
- ► Subtracted from current assets
- ► Subtracted from liabilities
- ► Subtracted from capital

Question No: 12 (M a r k s: 1)
Which of the following account will be credited, if business bought goods on credit from Mr. Ali?

- ► Purchases account
- ► Mr. Ali account
- ► Cash account
- ► Sales account

Question No: 13 (M a r k s: 1)
Interest on loan paid by business is an example of :

- ► Deferred expense
- ► Revenue expense
- ► Capital expense
- ► None of the given options

Question No: 14 (M a r k s: 1)
The allocation of the cost of a tangible plant asset to expense in the periods, in which services are received from the asset, is termed as:

- ► Appreciation
- ► Depreciation
- ► Fluctuation
- ► None of the given options

Question No: 15 (M a r k s: 1)
Which of the following is **NOT** a function of bank reconciliation statement?

- ► To reconcile the difference between the cash book and the bank statement
- ► To check for errors in balance sheet
- ► To update omitted entries into the cash book
- ► To update omitted entries into the bank statement

Question No: 16 (M a r k s: 1)
Which of the following entry will be recorded when the Bad Debts are recovered?

- ► Cash account (Dr.) & Bad Debts recovered account (Cr.)
- ► Accounts Receivable account (Dr.) & Bad Debts recovered account (Cr.)
- ► Bad debts recovered account (Dr.) and Profit & Loss account (Cr.)
- ► Provision for doubtful debts account (Dr.) & Cash account (Cr.)

Question No: 17 (M a r k s: 1)
Which of the following subsidiary book(s) is (are) maintained for debtors control account?

- ► Sales Day Book
- ► Sales Return
- ► Debtors Ledger
- ► All of the given options

Question No: 18 (M a r k s: 1)
Sales are calculated by adding:

- ► Cash sales and cash received from debtors
- ► Credit sales and cash received from debtors
- ► Cash sales and credit sales
- ► Cash ales and credit purchases

Question No: 19 (M a r k s: 1)
Which of the following item will be shown on debit side of debtors account?

- ► Discount received
- ► Return inwards
- ► Discount allowed
- ► Credit sales

Question No: 20 (M a r k s: 1)
Goods purchased from “Mr. A” for Rs. 2,000 passed through the sales book. The rectification of error will result in:

- ► Increase of gross profit
- ► Decrease of gross profit
- ► Remains constant and no effect on net profit
- ► There is no relation between goods purchased and gross profit

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Question No: 21 (M a r k s: 1)
Goods of Rs.1,000 purchased from Mr. “A” were recorded in sales book, the rectification of this error will:

- ► Increase the gross profit
- ► Reduce the gross profit
- ► Have no effect on gross Profit
- ► None of the given options

Question No: 22 (M a r k s: 1)
Which of the following account will be credited when a typewriter is sold that has been used in the office?

- ► Cash Account
- ► Sales Account
- ► Purchase Account
- ► Office Equipment Account

Question No: 23 (M a r k s: 1)
When one or both aspects of a transaction are recorded in the wrong class or category of account, this is called:

- ► Error of principle
- ► Error of omission
- ► Error of commission
- ► Error of original entry

Question No: 24 (M a r k s: 1)

Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

- ► Bank charges
- ► An error on the Bank Statement
- ► An uncredited deposit
- ► An unpresented cheque

Question No: 25 (M a r k s: 1)

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account

- ► Rs. 3,600
- ► Rs. 4,000
- ► Rs. 1,600
- ► Rs. 2, 400

Question No: 26 (M a r k s: 1)

Which of the following is an example of operating expense?

- ► Purchasing operating equipment
- ► Purchasing cleaning services
- ► Purchasing an investment in another company
- ► Purchasing a computer for the accounting office

Question No: 27 (M a r k s: 1)

Which of the following would **NOT** be considered as a component of 'cost' of stock?

- ► Salaries of selling staff
- ► Transportation inward costs
- ► Import duties
- ► Purchase price

Question No: 28 (M a r k s: 1)

Which of the following will be debited, if cash is drawn by Proprietor?

- ► Proprietor's drawings
- ► Proprietor's cash
- ► Proprietor's capital
- ► Proprietor's income

Question No: 29 (M a r k s: 1)

Which of the following is **TRUE** about the treatment of insurance paid in advance Rs. 13,000?

- ► It will be treated as an other income in Profit & Loss Account
- ► It will be treated as a current asset in Balance Sheet
- ► It will be treated as a current liability in Balance Sheet
- ► It will be treated as an accrued expense in Balance Sheet

Question No: 30 (M a r k s: 1)

When closing stock is given in trial balance, then it will effect:

- ► Trading account only
- ► Balance sheet only

- ► Owner's equity only
- ► Both Trading account and Balance sheet

Question No: 31 (M a r k s: 1)
Fixed Assets (WDV) + Working Capital =?

- ► Total assets employed
- ► Total liabilities
- ► Total assets
- ► Current assets

Question No: 32 (M a r k s: 1)
Current accounts of the partners should be opened when the capitals are:

- ► Fixed
- ► Fluctuating
- ► Floating
- ► Normal

Question No: 33 (M a r k s: 1)
Which of the following is (are) type(s) of Public Limited Companies?

- ► Listed company
- ► Non listed company
- ► Private limited company
- ► Both Listed Company and non listed company

Question No: 34 (M a r k s: 1)
The charter of a company which defines the limitations and powers of the company is called:

- ► The memorandum of association
- ► Articles of association
- ► Statutory report
- ► Certificate of commencement

Question No: 35 (M a r k s: 1)
Merchandise on hand at either the beginning or end of the reporting period is called_____.

- ► Raw material
- ► Cost of good sold
- ► Work in process
- ► Inventory

Question No: 36 (M a r k s: 1)
The balance sheet reported a beginning balance of Rs. 20,000 in Accounts Receivable and an ending balance of Rs. 15,000. Credit Sales of Rs. 200,000 were made during the year. Using this information, compute cash collected from customers.

- ► Rs. 205,000
- ► Rs. 215,000
- ► Rs. 195,000
- ► Rs. 200,000

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Question No: 37 (M a r k s: 1)

	Rs.
Gross profit	50,000
Operating profit	42,000

Sales	250, 000
What is the amount of operating expenses	?

► Rs. 8,000
► Rs. 92,000
► Rs. 62,500
► Rs. 300,000

Question No: 38 (M a r k s: 1)

Particulars	Rs.
Debentures	1, 50, 000
Equity Capital	2, 00,000
General Reserve	90, 000
Accumulated profit	60,000
What is debt equity ratio	?

► 15: 20 (or 3:4)
► 15:24 (or 5: 8)
► 15:29
► 15:35 (or 3: 7)

Question No: 39 (M a r k s: 1)
A company declares a cash dividend to be paid to its stockholders next month. The effect of the transaction is to:

► Decrease assets and liabilities.
► Increase assets and stockholders' equity.
► Decrease assets and stockholders' equity.
► Increase liabilities and decrease stockholders' equity.

Question No: 40 (M a r k s: 1)

Particulars	Rs.
Direct materials costs	80,000
Direct labor costs	50,000
Manufacturing overhead costs	60,000
Prime cost	?

► Rs.130, 000
► Rs.110, 000
► Rs.140, 000
► Rs.190, 000

Question No: 41 (M a r k s: 1)
What would be the value of conversion cost, if the cost of material consumed during the month is Rs. 5,000, labor cost incurred is Rs. 2,000 and the factory over head cost is Rs. 1,000?

► Rs. 3,000
► Rs. 5,000

- ► Rs. 7,000
- ► Rs. 8,000

Question No: 42 (M a r k s: 1)
The amount owed by debtors at the end of a month appears on the_____ side of the control account.
- ► Left side or debit
- ► Left side or credit
- ► Right side or debit
- ► Right side or credit

Question No: 43 (M a r k s: 1)
Which of the following is correct for an account has debit balance?
- ► The amount of the debits exceeds the amount of the credits
- ► There are more entries on the debit side than on the credit side
- ► Its normal balance is debit without regard to the amounts on the debit side
- ► The last entry of the accounting period was posted on the debit side

Question No: 44 (M a r k s: 1)
Mr. A & B entered into a partnership with an equal share in profit or loss. The agreement provides that Mr. A will receive Rs.10,000 and Mr. B will receive Rs.8,000 as salary allowance. The net income for the year is Rs.85,000. What will be the total share of Mr. A?
- ► Rs.52,500
- ► Rs.42,500
- ► Rs.43,500
- ► Rs.50,500

Question No: 45 (M a r k s: 1)
Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on drawings of Mr. A is Rs.1,500 and of Mr. B is Rs.1,800. The net income for the year is Rs.85,000. What will be the profit share of Mr. B?
- ► Rs.42,350
- ► Rs.44,150
- ► Rs.41,600
- ► Rs.40,850

Question No: 46 (M a r k s: 1)
Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,500 and markup on drawings of Mr. B is Rs.2,800. The net income for the year is Rs.95,000. What will be the amount of distributable profit?
- ► Rs.89,700
- ► Rs.94,700
- ► Rs.95,300
- ► Rs.100,300

Question No: 47 (M a r k s: 1)
Which of the following can be distributed among the share holders?
- ► Capital reserve
- ► General reserve
- ► Revaluation reserve
- ► All of the given options

Question No: 48 (M a r k s: 1)
Which of the following capital is taken up by the general public?

- ► Issued capital
- ► Subscribed capital
- ► Authorized capital
- ► Reserve capital

Question No: 49 (M a r k s: 1)

All of the following have an effect on 'operating activities' while preparing the statement of cash flows except:

- ► Provision for doubtful debts
- ► Gain or loss on currency exchange rate
- ► Depreciation charged on fixed asset
- ► Amount received for disposal of a fixed asset

Question No: 50 (M a r k s: 1)

Primary purpose of the cash flows statement is to provide the information about:

- ► Errors or discrepancies between cash book and income statement
- ► Receipt and payment of cash in the period
- ► Non cash adjustment that effect the income statement
- ► Cash paid to the customers and creditors of the business

Question No: 51 (M a r k s: 1)

Which of the following financial statement is helpful for the investors and creditors to assess the cash and non cash aspects of operating, investing and financing transactions on an entity's financial position?

- ► Balance Sheet
- ► Income Statement
- ► Statement of cash flows
- ► Statement of changes in equity

Question No: 52 (M a r k s: 1)

According to the statement of cash flows following are the examples of investing activities except:

- ► Sales of machinery
- ► Capital invested by the owners
- ► Purchase of building for the business use
- ► Cash received from the disposal of equipment

Question No: 53 (M a r k s: 1)

Which of the following items of balance sheet are useful in evaluating a company's liquidity?

- ► Current assets and other assets
- ► Current liabilities and current assets
- ► Current liabilities and plant and equipment
- ► Non current liabilities and other assets

Question No: 54 (M a r k s: 1)

Which of the following is measured by debt ratio?

- ► Short-term liquidity
- ► Creditors' long term risk
- ► Short-term risk of the company
- ► All of the given options

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Question No: 55 (M a r k s: 3)

If the capitals of the partners are fixed, Pass Journal Entries for the following:

- v Drawings made by partner
- v Excess drawn amount is returned by partner

v Profit distribution among partner

Partner's Current A/c Dr.
Cash/Bank A/c Cr.

Cash/Bank Dr.
Partner's Current A/c Cr.

Profit & Loss A/c Dr.
Partner's Current A/c Cr.

Question No: 56 (M a r k s: 5)
ABC Company purchased goods of Rs.150,000 on credit from which goods of Rs.20,000 were defected and returned. Company received 2% discount at the time of payment from the supplier.

Required:
- What will be the amount of discount received by the company?
- Also show the journal entries

Purchases A/c 150,000
Creditor A/c 150,000
Goods are being purchased

Creditor A/c 20,000
Purchases A/c 20,000
Goods returned to supplier
Creditor A/c 130,000
Discount Received A/c 2600
Cash/Bank A/c 127400
Payment is being made to creditor and 2% discount is received.

Question No: 57 (M a r k s: 5)
Why are receipts and payment of interest classified as operating activities?

Question No: 58 (M a r k s: 10)
On 01-01-2007, the provision for doubtful debts a/c stood at Rs. 12,000 (credit balance). In 2007, the bad debts are amounted to Rs. 10,000. The debtors on 31-12-2007 are amounted to Rs. 3, 20,000 and a provision for doubtful debt to be maintained @ 5%.

Required:
Show Journal entries and also show how the items will appear in Profit and Loss account and Balance sheet. (Show complete working where it is necessary)

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Question No: 59 (M a r k s: 10)
The accounting staff of ABC, Inc., has assembled the following information for the year ended December 31, 2007:

Cash and cash equivalents, Jan. 1	Rs.35,800
Cash and cash equivalents, Dec. 31	74,800
Cash paid to acquire plant assets	21,000
Proceeds from short-term borrowings	10,000

Loan made to borrowers	5,000
Collection on loans (excluding interest)	4,000
Interest and dividends received	27,000
Cash received from customers	795,000
Proceeds from sale of plant assets	9,000
Dividends paid	55,000
Cash paid to suppliers and employees	635,000
Interest paid	19,000
Income taxes paid	71,000

Using this information, prepare a statement of cash flows. Include a proper heading for the financial statement, and classify the given information into the categories of operating, investing and financing activities.

Question No: 1 (M a r k s: 1)
Which of the following is correct according to the double entry system of book-keeping?

- ► **Debit = Credit**
- ► Debit > Credit
- ► Debit < Credit
- ► All of the given options

Question No: 2 (M a r k s: 1)
What is the nature of an expense account?

- ► **Debit**
- ► Credit
- ► Revenue
- ► None of the given options

Question No: 3 (M a r k s: 1)
Which of the following are the components of General Ledger?

1) Title of account
2) Amount of transaction
3) Date of transaction

- ► (1) & (2) only
- ► (2) & (3) only
- ► (1) & (3) only
- ► **(1), (2) & (3)**

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Question No: 4 (M a r k s: 1)
Which of the following organizations prepare Income & Expenditure account?

- ► Public libraries
- ► NGOs
- ► Labor unions
- ► **All of the given options**

Question No: 5 (M a r k s: 1)
Which of the following item will appear on the Balance Sheet as current assets?

- ► Prepaid expenses

- ► Accrued expenses
- ► Furniture and Equipment
- ► **Unearned revenue**

Question No: 6 (M a r k s: 1)
Accounts Receivable & Inventory are the examples of:

- ► Liquid assets
- ► **Current assets**
- ► Fixed assets
- ► Capital assets

Question No: 7 (M a r k s: 1)
Which of the following statement is **NOT TRUE** about Current liabilities?

- ► These are due within one year
- ► These are short-term loans
- ► **These are consist of all debts, payable after 12 months**
- ► In working capital, these are deducted from current assets

Question No: 8 (M a r k s: 1)
If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs. 20,000 during the year, what would be the value of Gross Profit?

- ► Rs. 15,000
- ► **Rs. 35,000**
- ► Rs. 55,000
- ► Rs. 60,000

Question No: 9 (M a r k s: 1)
Which of the following is an alternate term which can be used for “Capital”?

- ► Liability
- ► **Owner’s net worth**
- ► Working capital
- ► Asset

Question No: 10 (M a r k s: 1)
In the cost of goods sold statement, Cost of direct material consumed + Direct labor=?

- ► **Conversion cost**
- ► Prime cost
- ► Total factory cost
- ► Cost of goods manufactured

Question No: 11 (M a r k s: 1)
The total of all costs incurred to convert raw material into finished goods is known as:

- ► Prime cost
- ► **Conversion cost**
- ► Sunk cost
- ► Opportunity cost

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Question No: 12 (M a r k s: 1)

In cost of goods sold statement the 'total factory cost' is equal to:

- ► Cost of material consumed + Labor cost
- ► Cost of material consumed + Conversion cost
- ► **Cost of material consumed + Total factory cost**
- ► Cost of material consumed + Factory overhead

Question No: 13 (M a r k s: 1)

All the costs incurred on the incomplete assets up to the balance sheet date must be transferred to:

- ► Capital account
- ► Capital work in progress account
- ► **Relevant asset account**
- ► Owner's equity account

Question No: 14 (M a r k s: 1)

Which one of the following is **NOT** true about revenue expenditure?

- ► These are the running expenses of the business
- ► **They improve the financial position of the business**
- ► They reduce the profit of the concern
- ► They do not appear in the balance sheet

Question No: 15 (M a r k s: 1)

Which one of the following is **NOT** true for Profit & Loss Account?

- ► It shows whether a business has made a profit or loss over a financial year
- ► It shows the financial performance of a business for the period
- ► It shows revenues and expenses for the period
- ► **It is used to calculate surplus/deficit for a particular period**

Question No: 16 (M a r k s: 1)

Which of the following best describes unpresented cheques?

- ► Cheques received on behalf of the business by the bank
- ► Cheques drawn but yet to be recorded in the bank records
- ► **Cheques issued by the bank not recorded in business records**
- ► Cheques received but yet to be recorded in the bank records

Question No: 17 (M a r k s: 1)

Which of the following option is **TRUE** about the characteristic(s) of Bad Debt?

- ► **It is a definite loss to the business**
- ► It is not shown in Balance Sheet
- ► No provision is necessary for it
- ► All of the given options

Question No: 18 (M a r k s: 1)

Which of the following is (are) included in Creditors Control Account?

- ► Discount received from supplier
- ► Credit purchases
- ► Bills payable
- ► **All of the given options**

Question No: 19 (M a r k s: 1)
Which of the following is shown on credit side of creditors control account?

- ► Bills Receivable
- ► Return inwards
- ► **Credit purchases**
- ► Discount allowed

Question No: 20 (M a r k s: 1)
Which one of the following is **CORRECT** about subsidiary ledger?

- ► It is a special Ledger
- ► It is a supporting ledger
- ► **It provides detailed information about individual accounts**
- ► All of the given options

Question No: 21 (M a r k s: 1) http://groups.google.com/group/vuZs
Amount by which the purchaser (buyer) receives a reduction in price from the seller is known as:

- ► Expense
- ► Discount Allowed
- ► **Discount Received**
- ► Liability

Question No: 22 (M a r k s: 1)
Which of the following entry will be passed to record discount received in control account?

- ► Discount Received (Dr) and Creditors Control A/c (Cr)
- ► Discount Received (Dr) and Creditors A/c (Cr)
- ► Creditors Control A/c (Dr) and Discount Received (Cr)
- ► **Creditors A/c (Dr) and Discount Received (Cr)**

Question No: 23 (M a r k s: 1)
Which of the following account(s) will be affected, while rectifying the error of sales to Rahim of Rs. 500 were omitted to record in books of accounts?

- ► **Sales account**
- ► Rahim's account
- ► Cash account
- ► Both sales and Rahim's Account

Question No: 24 (M a r k s: 1)
It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account

- ► Rs. 3,600
- ► Rs. 4,000
- ► Rs. 1,600

► **Rs. 2, 400**

Question No: 25 (M a r k s: 1)
The figure of cash received from debtors can be located either from cash book or:

► **Debtor's Control Account**
► Balance Sheet
► Profit & Loss Account
► Bills Payable Account

Question No: 26 (M a r k s: 1)
Which of the following would **NOT** be considered as a component of 'cost' of stock?

► **Salaries of selling staff**
► Transportation inward costs
► Import duties
► Purchase price

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Question No: 27 (M a r k s: 1)
Capital account of sole proprietors is affected by which of the following items?

a. Profit & Loss account
b. Drawings account
c. Balances of capital account

► a,b
► b,c
► a,c
► **a,b,c**

Question No: 28 (M a r k s: 1)
Which of the following statement is **TRUE** about the partnership form of business?
► Partners must have to share their profits in equal proportion
► Partners are personally liable for the liabilities of the business
► Partnerships must make their accounts available to the general public
► **Partnership agreement in writing is called Partnership deed**

Question No: 29 (M a r k s: 1)
Which of the following represents the relationship between persons who have agreed to share the profit of business carried on by all or any of them acting for all?
► Sole-ownership
► Private limited company
► Public limited company
► **Partnership**

Question No: 30 (M a r k s: 1)
The Joint Stock Company is formed under the Companies Ordinance:
► **1984**
► I884
► 1948
► 1965

Question No: 31 (M a r k s: 1)
In which of the following, the Interest paid on debenture will be shown?

- ► Profit and loss account
- ► Profit and loss appropriation account
- ► **Balance sheet asset side under the heading of "current assets"**
- ► Trading Account

Question No: 32 (M a r k s: 1)
The primary purpose of preparing a cash flow statement for an entity is to provide information about:

- ► **Its financial position at the end of an accounting period**
- ► Its cash receipts and cash payments during an accounting period
- ► Its financial position at the start of an accounting period
- ► None of the given options

Question No: 33 (M a r k s: 1)
Which of the following business publishes the Financial Statements?

- ► Sole-Proprietorship
- ► Partnership
- ► Trust
- ► **Public Limited Company**

Question No: 34 (M a r k s: 1)
If the Capitals of partners are fixed then, at the end of financial year a partner's drawings are transferred to the:

- ► Credit side of the partner's capital account
- ► Credit side of the partner's current account
- ► **Debit side of partnership bank account**
- ► Debit side of the partner's current account

Question No: 35 (M a r k s: 1)
Wages outstanding given in the trial balance will be treated as a (an):

- ► Asset
- ► Liability
- ► Revenue
- ► Deferred expense

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Question No: 36 (M a r k s: 1)
In balance sheet fixed assets are shown at:

- ► Residual value
- ► Market value
- ► Fair value
- ► Written down value (WDV)

Question No: 37 (M a r k s: 1)
Suppose a firm has 200 debtors, and each of them owes exactly Rs. 150 at the start of June. What is the total amount owed by all debtors?

- ► Rs. 2,000
- ► Rs. 3,000
- ► **Rs. 30,000**

► Rs. 150,000

Question No: 38 (M a r k s: 1)
What will be obtained from the Purchases Returns Book?
► Discount received
► Returns outward
► Credit purchases
► Discount allowed

Question No: 39 (M a r k s: 1)
In the heading of financial statement, _____ is not required?
► Title of financial statement
► **Name of the person who prepares financial statement**
► Period for which financial statement is prepared
► Name of business entity

Question No: 40 (M a r k s: 1)
Which of the following justifies when profit is earned?
► Assets exceed Expenditure
► **Income exceeds Expenditure**
► Cash Inflow exceeds Cash Outflow
► Income exceeds Liabilities

Question No: 41 (M a r k s: 1)
A and B entered in partnership in capital ratio of 2:3. They earned a profit of Rs.6,600 during the year. What will be the share of profit of Mr. A?
► Rs.1,320
► **Rs.2,640**
► Rs.3,960
► Rs.6,600

Question No: 42 (M a r k s: 1)
In a partnership of Mr. X and Mr. Y, the share of profit of Mr. X is Rs.3,840 and the share of profit of Mr. Y is Rs. 5,760. What will be the ratio of their share?
► 1:2
► **2:3**
► 3:2
► 2:1

Question No: 43 (M a r k s: 1)
Which of the following is decreased when an asset is converted into expense in adjustment?
► **Revenue**
► Net income
► Expense
► Liability

Question No: 44 (M a r k s: 1)
Accumulated depreciation is a _____ account?
► **Fixed asset**
► Current asset
► Contra asset
► Liability

Question No: 45 (M a r k s: 1)
Adjusting entries are recorded in which of the following?

- ► Voucher
- ► General journal
- ► **Ledger**
- ► Trial balance

Question No: 46 (M a r k s: 1)
Expired costs in an accounting period should be reported on _____ statement for that time period.

- ► Cash in flow
- ► Cash out flow
- ► Income
- ► **Expense**

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Question No: 47 (M a r k s: 1)
Interest expenses of Epler Corporation shows a debit balance of Rs.200 in its unadjusted trial balance and Rs.250 in adjusted trial balance. Which of the following account will be debited in adjusting entry?

- ► Interest expense
- ► **Interest payable**
- ► Prepaid interest
- ► Interest paid

Question No: 48 (M a r k s: 1)
Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,500 and markup on drawings of Mr. B is Rs.2,800. The net income for the year is Rs.95,000. What will be the amount of distributable profit?

- ► Rs.89,700
- ► Rs.94,700
- ► Rs.95,300
- ► **Rs.100,300**

Question No: 49 (M a r k s: 1)
Which of the following can be distributed among the share holders?

- ► Capital reserve
- ► **General reserve**
- ► Revaluation reserve
- ► All of the given options

Question No: 50 (M a r k s: 1)
Which of the following capital is offered to the general public?

- ► **Issued capital**
- ► Subscribed capital
- ► Authorized capital
- ► Reserve capital

Question No: 51 (M a r k s: 1)
Which of the following value of the share is authorized by the memorandum of association?

- ► **Par value**
- ► Face value
- ► Nominal value
- ► All of the given options

Question No: 52 (M a r k s: 1)

Which of the following financial statement is helpful for the investors and creditors to assess the cash and non cash aspects of operating, investing and financing transactions on an entity's financial position?

- ► Balance Sheet
- ► **Income Statement**
- ► Statement of cash flows
- ► Statement of changes in equity

Question No: 53 (M a r k s: 1)

The financial statement that captures both the current operating result and the associated changes in the balance sheet is:

- ► Statement of retained earnings
- ► **Statement of financial position**
- ► Statement of cash flows
- ► Statement of changes in equity

Question No: 54 (M a r k s: 1)

In statement of cash flows, interest payment made on loan from bank is related to:

- ► **Investing activity**
- ► Financing activity
- ► Operating activity
- ► Net changes in working capital

Question No: 55 (M a r k s: 3)

Mr. Hassan is a partner in a partnership firm. His capital on July 1, 2001 was Rs. 400,000. He invested further capital of Rs. 150,000 on March 01, 2002. Markup rate is @6%p.a. The financial year of such a business is from 1st July to 30th June.

Required: You are required to calculate his markup on Capital at the end of 30th June 2002.

a) Capital invested on july 1 2001 = 400,000
Markup rate on 400,000 = 6% of 40,000 = 24,000

b) Further capital introduced / invested = 150000 on March 1, 2002
Markup rate = 6% of 150000 = 9000 x 4/12 = 3000

Total mark up rate = a + b = 24000 + 3000 = 27000

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Question No: 56 (M a r k s: 5)

Calculate cost of goods sold with he help of given data.

Particulars	Rs.
Purchases	418,000
Carriage inwards	7,900
Discount Allowed	750
debtors	16,000
Sales man commission	2,000
Office expenses	2,000
Carriage outwards	1,700
Salaries	13,000
Direct labor	3,825
FOH	2,100
Plant & Machinery	53,000
Buildings	35,000
Tools	8,650

Helping data:

d. Plant & Machinery depreciate @ 10% and charged to FOH
e. Buildings depreciate @ 5% and 40% charged to Administrative expenses and balance to FOH
f. 40% of salaries will be charge to office and balance to Selling expenses

Question No: 57 (M a r k s: 5)

X and Y were partners in a business sharing profits in the ratio of 3:1. Their capital were Rs.30,000 and Rs.10,000 respectively. They earned a net profit of Rs. 160,000. Mr. Y was entitled to a salary of Rs.200 p.m. Prepare Profit Distribution Account of X & Y Partnership.

X AND Y ARE SHARED WITH the ratio 3:1
X capital = 30000
Y capital = 10000
Net profit = 160,000
Mr. Y salary is = 200 p.m entitled
Total investment = X + Y capital = 30000 +10000 = 40000

X profit distribution = 30,000/40000 x 160000 = 120,000
Y profit distrubtion = 10,000/40000 x 160000 x 40000 = 40000

Question No: 58 (M a r k s: 10)

Mention the effects of following on financial statements.

g. Markup on debentures

Markupdebture – Dr. while Debenture Cr

h. Creation of reserves
i. Payments of dividend
j. Carriage inwards

k. Current Assets are less than Current Liabilities

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Question No: 59 (M a r k s: 10)

The following is the trial balance of Sikander's Photo Studio, Inc., dated December 31, 2007. The net income for the period is**Rs.36,000**. You are required to prepare Balance Sheet as on December 31, 2007.

Sikander's Photo Studio, Inc.
Trial balance
December 31, 2007

Cash	Rs.171,100	
Accounts receivable	9,400	
Prepaid studio rent	3,000	
Unexpired insurance	7,200	
Supplies	500	
Equipment	18,000	
Accumulated depreciation: equipment		Rs.7,200

Notes payable		10,000
Accounts payable		3,200
Salaries payable		4,000
Income tax payable		6,000
Unearned revenue		8,800
Capital stock		100,000
Retained earnings		34,000
Revenue earned		165,000
Salary expense	85,000	
Supply expense	3,900	
Rent expense	12,000	
Insurance expense	1,900	
Advertising expense	500	
Depreciation expense: equipment	1,800	
Interest expense	900	
Income taxes expense	23,000	
	338,200	338,200

Question No: 1 (M a r k s: 1)
We can say that the business is in profit, when:

► Assets exceed Expenditure
► Assets exceed Liabilities
► **Income exceeds Expenditure**
► Income exceeds Liabilities

Question No: 2 (M a r k s: 1)
Obligations to pay cash or un-earned incomes by the business are the:

► Expenses
► Assets
► **Liabilities**
► Equities

Question No: 3 (M a r k s: 1)
Which one of the following is a type of General Ledger?

► Book of original entry
► **'T' Account**
► Source document
► Day book

Question No: 4 (M a r k s: 1)
A book, in which receipts and payments are recorded, is known as:

► **Pass Book**
► Cash Book
► Purchase Book
► Sales Book

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Question No: 5 (M a r k s: 1)
Which of the following summarizes the cash movements during a specified period?

► Trading account
► Profit & Loss account
► **Receipts & Payments account**
► Balance Sheet

Question No: 6 (M a r k s: 1)
Gross Profit > Operating Expenses=?

► **Net Profit**
► Cost of Goods Sold
► Net Loss
► Gross Loss

Question No: 7 (M a r k s: 1)
What type of expenses are paid out of Gross Profit?

► Selling Expenses
► General Expenses
► Financial Expenses
► **All of the given options**

Question No: 8 (M a r k s: 1)
Which of the following shows summary of a company's financial position at a specific date?

► Profit & Loss Account
► Cash Flow Statement
► **Balance Sheet**
► Income & Expenditure Account

Question No: 9 (M a r k s: 1)
The favorable balance of Profit and Loss account should be:
► Added in liabilities
► Subtracted from current assets
► Subtracted from liabilities
► **Added in capital**

Question No: 10 (M a r k s: 1)
Which of the following account will be credited in the books of XYZ Co. Ltd, if the business purchased a vehicle though cheque?

► Vehicle account
► Cash account
► Business account
► **Bank account**

Question No: 11 (M a r k s: 1)
In cost of goods sold statement the ‘cost of goods manufactured’ is equal to:

► Total factory cost + Opening work in process + Ending work in process
► **Total factory cost + Opening work in process – Ending work in process**
► Total factory cost - Opening work in process + Ending work in process
► Ending work in process +Total factory cost – Opening work in process

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Question No: 12 (M a r k s: 1)

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 15,000
Sale price after 5 years	Rs.50,000
Book value of Asset after 5 years	**?**

► Rs.25, 000
► **Rs. 75,000**
► Rs. 15,000
► Rs. 1, 00,000

Question No: 13 (M a r k s: 1)
Bank Reconciliation Statement is prepared by:

► Bankers
► **Accountant of the business**
► Statutory auditor
► Manger

Question No: 14 (M a r k s: 1)
The assets which have a limited useful life are termed as:

► Limited assets
► **Depreciateable assets**
► Unlimited assets
► None of the given options

Question No: 15 (M a r k s: 1)
Consider the following data:

Particulars	**Rs.**
Assets	?
Owner's equity	1,50,000
Liabilities	1,00,000

► Rs. 49,000
► Rs. 55,000
► **Rs. 50,000**
► Rs. 2, 50,000

Question No: 16 (M a r k s: 1)
When the Bank Statement balance is more than the Cash Book balance, it is because of:

► **Unpresented cheques**
► Unrecorded bank charges
► Uncredited cheques
► None of the given options

Question No: 17 (M a r k s: 1)
A debit balance in the Bank Statement indicates:

► Cash at bank
► **Bank overdraft**
► Overpayment to creditors
► Cash in hand

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Question No: 18 (M a r k s: 1)
Which of the following option is **TRUE** about the characteristic(s) of Bad Debt?

► **It is a definite loss to the business**
► It is not shown in Balance Sheet
► No provision is necessary for it
► All of the given options

Question No: 19 (M a r k s: 1)
Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	**Rs.**
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

► **Rs. 400**
► Rs. 800
► Rs. 2,000
► Rs. 2,400

Question No: 20 (M a r k s: 1)
If the **(New provision + Bad debts) > Amount of old provision** then resulting figure will be shown at:

► Debit side of Profit & Loss Account
► **Credit side of Profit & Loss Account**
► Asset side of Balance Sheet
► Liability side of Balance Sheet

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Question No: 21 (M a r k s: 1)
It is supposed that on 31-12-2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. It is also suppose that during the year 2008 actual bad debts were Rs. 1,600. What entry will pass to create provision for doubtful debts?

► Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)
► Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)
► Provision for doubtful debts a/c Rs. 1,600 (Dr) & Profit & Loss a/c Rs. 1,600 (Cr)

► **Profit & Loss a/c Rs. 1,600 (Dr) & Provision for doubtful debts a/c Rs. 1,600 (Cr)**

Question No: 22 (M a r k s: 1)
Which of the following entry is passed to record discount allowed in control account?

► **Discount Allowed (Dr) and Debtors Control A/c (Cr)**
► Discount Allowed (Dr) and Debtors A/c (Cr)
► Debtors Control A/c (Dr) and Discount Allowed (Cr)
► Debtors A/c (Dr) and Discount Allowed (Cr)

Question No: 23 (M a r k s: 1)
Which of the following account(s) will be affected, while rectifying the error of purchases return of Rs. 200 to "Mr.P" mistakenly entered in sales book?

► P's account
► Purchases return account
► Sales account
► **Purchases returns account and sales account**

Question No: 24 (M a r k s: 1)
Following information are extracted from books of Mr. XYZ

Particulars	**Rs.**
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	700
Sundry Debtors (Given in trial balance)	44,800

If the Provision for doubtful debts has been increased by 5%, which amount of new provision will be shown in Profit & Loss Account?

► **Rs. 2,240**
► Rs. 2,425
► Rs. 1,925
► Rs. 3,025

Question No: 25 (M a r k s: 1)
Which of the following is normally treated as the last expense listed in the income statement of a company?

► Interest expense
► General and administrative expenses
► Salaries and wages expense
► **Income tax expense**

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Question No: 26 (M a r k s: 1)
An asset is considered to be a current asset if:

► It has been bought recently and was bought new and not used
► **It can be realized in cash or sold or consumed in the business within one year**
► It is a piece of new machinery that is expected to last for at least ten years
► All of the given options

Question No: 27 (M a r k s: 1)

Which of the following account will be credited when interest on capital is charged against the distribution of profit?

► **Interest account**
► Partner's capital account
► Profit and Loss account
► Profit and loss appropriation account

Question No: 28 (M a r k s: 1)

A, B, C are partners. Their profit sharing ratio is equal. Capital balance on July 1st of Partner A --- Rs. 40,000 Partner B --- Rs. 30,000 and Partner C--- Rs. 20,000.Their private property of Partner A is Rs.15,000, Partner B is Rs. 7,000 and Partner C is Rs. 1,500. What is the level of their liabilities under the partnership firm?

Partner A—Rs. ► 40,000, Partner B---- Rs. 30,000, Partner C – 20,000
Partner A—Rs. ► 40,000, Partner B---- Rs. 30,000, Partner C – 21,500
Partner A—Rs. ► 40,000, Partner B---- Rs. 37,000, Partner C – 20,000
Partner A—Rs. 55,000, ► Partner B---- Rs. 37,000, Partner C – 21,500

Question No: 29 (M a r k s: 1)

Which of the following represents the relationship between persons who have agreed to share the profit of business carried on by all or any of them acting for all?

► Sole-ownership
► Private limited company
► Public limited company
► **Partnership**

Question No: 30 (M a r k s: 1)

By which if the following Act/ Ordinance, a company is allowed to issue shares at a higher price than their face value.

► **Companies ordinance 1984**
► Contract act 1872
► Sales of Goods act 1930
► None of the given options

Question No: 31 (M a r k s: 1)

When goods are acquired from the supplier the gross cost of such goods is recorded in:

► Debtor Account
► **Purchases Account**
► Factory overhead account
► Sales Account

Question No: 32 (M a r k s: 1)

In which of the following auditor's remuneration payable is shown?

► In balance sheet under the head of current liabilities only
► In balance sheet under the head of current assets only
► In income statement under the administrative expense only
► **In both balance sheet under the head of current liabilities and income statement under the administrative expense**

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Question No: 33 (M a r k s: 1)

Which of the following is a type of business formed under the Companies Ordinance 1984?

► Sole-Proprietorship

► Partnership
► **Joint Stock Company**
► All of the given options

Question No: 34 (M a r k s: 1)
Which of the given Asset is **Not** included in the calculation acid test ratio?

► Stock
► Cash
► Debtors
► **Bills Receivable**

Question No: 35 (M a r k s: 1)

	Rs.
Gross profit	50,000
Operating profit	42,000
Sales	250, 000
What is the amount of operating expenses	**?**

► **Rs. 8,000**
► Rs. 92,000
► Rs. 62,500
► Rs. 300,000

Question No: 36 (M a r k s: 1)
What types of changes (is) are made at the admission of partner in partnership?
► Assets of old business will be revalued
► Liabilities of old business will be revalued
► Good will of business will be revalued
► **All of the given options**

Question No: 37 (M a r k s: 1)
If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. B in distributable profit.

► Rs. 98,000
► Rs. 1, 47,000
► **Rs. 2, 45,000**
► Rs. 3, 43,000

Question No: 38 (M a r k s: 1)
If the Capitals of partners are fixed then, at the end of financial year a partner's drawings are transferred to the:

► Credit side of the partner's capital account
► Credit side of the partner's current account
► **Debit side of partnership bank account**
► Debit side of the partner's current account

Question No: 39 (M a r k s: 1)
The beginning balance of retained earnings was Rs. 7,500. The dividends paid to stockholders' were Rs.1, 500. The ending balance of retained earnings is Rs. 5,000. What was the net income or net loss for the accounting period?

► Net loss of Rs.1, 000
► **Net income of Rs. 1,000**
► Net loss of Rs. 2,000
► Net income of Rs. 2,500

Question No: 40 (M a r k s: 1)
A company declares a cash dividend to be paid to its stockholders next month. The effect of the transaction is to:

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► Decrease assets and liabilities.
► **Increase assets and stockholders' equity.**
► Decrease assets and stockholders' equity.
► Increase liabilities and decrease stockholders' equity.

Question No: 41 (M a r k s: 1)
Debenture is also named as:
► Share
► **Bond**
► Equity
► Reserve

Question No: 42 (M a r k s: 1)
The amount brought by the proprietor in the business should be credited to:

► Cash account
► **Capital account**
► Drawings account
► Assets account

Question No: 43 (M a r k s: 1)
Payment is made of a company's purchases on credit, which of the following is correct:
► **Debit stock account and credit creditors account**
► Debit creditors account and credit cash account
► Debit cash account and credit creditors account
► Debit stock account and credit cash account

Question No: 44 (M a r k s: 1)
In the heading of financial statement, _____ is not required?
► Title of financial statement
► **Name of the person who prepares financial statement**
► Period for which financial statement is prepared
► Name of business entity

Question No: 45 (M a r k s: 1)
On the balance sheet, liabilities are categorized as current or
► Deferred
► Unearned
► Long-term
► **Accrued**

Question No: 46 (M a r k s: 1)
According to the rule of debit and credit for balance sheet accounts:
- **► Increase in asset, liability, and owners' equity accounts are recorded by debits.**
- ► Decrease in asset and liability accounts are recorded by credits
- ► Increase in asset and owners' equity accounts are recorded by debits
- ► Decrease in liability and owners' equity accounts are recorded by debits

Question No: 47 (M a r k s: 1)
A and B entered in partnership in capital ratio of 2:3. They earned a profit of Rs.6,600 during the year. What will be the share of profit of Mr. B?
- ► Rs.1,320
- ► Rs.2,640
- **► Rs.3,960**
- ► Rs.6,600

Question No: 48 (M a r k s: 1)
Stockholder's equity would not be affected by:
- ► Dividends to stockholders
- ► Net loss
- **► Purchase of land from the proceeds of bank loan**
- ► Investments of cash by stockholders

Question No: 49 (M a r k s: 1)
Insurance premiums paid in advance but not yet expired are reported in which of the following account?
- ► Insurance payable
- **► Prepaid insurance**
- ► Advance payment account
- ► Insurance expense

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Question No: 50 (M a r k s: 1)
Mr. A & B entered into a partnership with an equal share in profit or loss. The agreement provides that Mr. A will receive Rs.10,000 and Mr. B will receive Rs.8,000 as salary allowance. The net income for the year is Rs.85,000. What will be the total share of Mr. A?
- ► Rs.52,500
- ► Rs.42,500
- **► Rs.43,500**
- ► Rs.50,500

Question No: 51 (M a r k s: 1)
Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,500 and markup on drawings of Mr. B is Rs.2,800. The net income for the year is Rs.95,000. What will be the amount of distributable profit?
- ► Rs.89,700
- ► Rs.94,700
- **► Rs.95,300**
- ► Rs.100,300

Question No: 52 (M a r k s: 1)
Which of the following can be utilized to meet the expenses of issue of shares?
- **► Reserves**
- ► Debentures
- ► Share premium
- ► Term finance certificate

Question No: 53 (M a r k s: 1)

Which of the following value of the share is authorized by the memorandum of association?

- ► Par value
- ► Face value
- ► Nominal value
- ► **All of the given options**

Question No: 54 (M a r k s: 1)

All of the following have an effect on 'operating activities' while preparing the statement of cash flows except:

- ► Provision for doubtful debts
- ► Gain or loss on currency exchange rate
- ► Depreciation charged on fixed asset
- ► **Amount received for disposal of a fixed asset**

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Question No: 55 (M a r k s: 3)

Following information is extracted from the books of ABC Ltd as on December 31st, 2008.

Particulars	Rs
Advances from customer	10,000
General reserve	40,000
Accumulated profit brought forward(credit balance)	95,000
Long term loans	1,00,000
Sundry debtors	6,500
Stock in trade	50,000
Advances and prepayments	9,500
Short term running finance	45,400

You are required to calculate Working Capital

Question No: 56 (M a r k s: 5)

What is the meaning of investment. Differentiate between long term and short term investments.

Investment:

Whatever money or resources from ones' own pocket are put in a business is referred to as CAPITAL. Capital is the investment of the Owner in the business.

Long term Investment:

Investments made with the intention that they will be held for a period longer than twelve months are classified as long term (over the year).

Short Term Investment:

Investments made for a period equal to or shorter than 12 months are classified as short term, (usually under the year i.e. quick bond or fast moving shares)

Question No: 57 (M a r k s: 5)

ABC Inc.'s cash balance at December 31, 2007, the end of its financial reporting year, was Rs.165,000. During 2007, cash provided by operations was Rs.140,000, cash used in investing activities was Rs.60,000, and cash provided by financing activities was Rs.15,000. Calculate the amount of ABC's beginning cash balance at January 1, 2007.

RS 105000

Question No: 58 (M a r k s: 10)
Pass the rectifying entries to correct the following errors:

1) Mr. "Ali" purchased goods of Rs. 1,500 on cash, but omitted to enter in the books of accounts.

Answer:-

Debit Purchase A/c 1,500
Credit Creditor A/c 1,500

2) An amount of Rs. 5,000 received from Mr. Amir, was credited to the account of Mr. Ameer.

Answer:-

Debit Ameer's A/c 5,000
Credit Amir's A/c 5,000

3) Goods returned worth Rs. 500 to Mr. "B" wrongly debited to sales Account.

Answer:-

Debit Sales A/c 500
Credit Goods Returned A/c 500

4) A purchase of goods from Mr. "B" of Rs. 400 has been wrongly debited to Furniture Account.

Answer:-

Debit Purchase of Goods A/c 400
Credit Furniture A/c 400

5) Furniture purchased on cash Rs. 8,000 posted as purchases.

Answer:-

Debit Cash 8000
Credit Purchases 8000

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Question No: 59 (M a r k s: 10)
Identify which of the following activities are operating, investing or financing in the context of cash flow statement.

6) Payment to owners, such as cash dividends
7) Cash proceeds from collecting principal amounts on loans
8) Payments of interest
9) Payments to acquire investments and plant and intangible assets
10) Payments of income taxes
11) Amounts advanced to borrowers
12) Collections from customers for sales of goods and services
13) Interest and dividends received
14) Proceeds from both short-term and long-term borrowing
15) Cash received from owners

Solution:

S. No.	Particulars	Activities
1	Payment to owners, such as cash dividends	Financing
2	Cash proceeds from collecting principal amounts on	Financing

	loans	
3	Payments of interest	Financing
4	Payments to acquire investments and plant and intangible assets	Investing
5	Payments of income taxes	Operating
6	Amounts advanced to borrowers	Operating
7	Collections from customers for sales of goods and services	Operating
8	Interest and dividends received	Financing
9	Proceeds from both short-term and long-term borrowing	Financing
10	Cash received from owners	Financing

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Fall2009FinalTermMGT101S3

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FINALTERM EXAMINATION

Fall 2009
MGT101- Financial Accounting (Session - 3)

http://groups.google.com/group/vuZs

Time: 120 min

M a r k s: 87

Question No: 1 (M a r k s: 1)

Shares for which amount is paid by public are called _____ shares.

► **Paid up**

► Authorized

► Bonus shares

► All are correct options

Question No: 2 (M a r k s: 1)

Income of the business includes:

► **Cash sales only**

► Credit sales only

► Credit purchases only

► Both cash sales and credit sales

Question No: 3 (M a r k s: 1)

Which of the following is used to record financial transactions in chronological (day-to-day) order?

► Voucher

► **General Journal**

► General Ledger

► Trial balance

Question No: 4 (M a r k s: 1)

The original book of entry, in which all vouchers are first recorded, is called:

► **General Journal**

► General Ledger

► Trial Balance

► Balance Sheet

Question No: 5 (M a r k s: 1)

A book, in which receipts and payments are recorded, is known as:

► **Pass Book**

► Cash Book

► Purchase Book

► Sales Book

Question No: 6 (M a r k s: 1)

Which of the following period is known as a fiscal Year of the Government of Pakistan?

► 1st January to 31st December

► 1st June to 31st May

► 1st July to 30th June

► 1st October to 30th September

Question No: 7 (M a r k s: 1)

Which of the following is/are the **END** product of accounting cycle?

► Financial Statements

► General Journal

► General Ledger

► Voucher

Question No: 8 (M a r k s: 1)

Which of the following is **NOT** considered a part of financial statements?

► General Ledger

► Balance Sheet

► Profit and Loss Account

► Cash Flow Statement

Question No: 9 (M a r k s: 1)

The amount of salary paid to Mr. Sohail should be debited to:

► Mr. Sohail account

► Salaries account

► Cash account

► Drawings account

Question No: 10 (M a r k s: 1)

If the cost of sales is Rs. 60,000, sales are Rs. 90,000 and operating expenses are Rs. 25,000 during the year. What would be the Net Profit?

► **Rs. 5,000**

► Rs. 25,000

► Rs. 55,000

► Rs. 60,000

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Question No: 11 (M a r k s: 1)

If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs. 20,000 during the year, what would be the value of Gross Profit?

► Rs. 15,000

► **Rs. 35,000**

► Rs. 55,000

► Rs. 60,000

Question No: 12 (M a r k s: 1)

If salaries expense is Rs. 2,500, purchases are Rs. 16,000 and rent (office building) is Rs. 300 during the year, what would be the total of "general & administrative expenses"?

► Rs. 300

► Rs. 2,500

► Rs. 2,800

► Rs.18, 800

Question No: 13 (M a r k s: 1)

The Primary objective of providing depreciation is:

► To calculate true profit

► To show the asset on market value

► To reduce tax Burdon

► To provide funds for replacement

Question No: 14 (M a r k s: 1)
Accounting is the language of:

► Business
► School
► Proprietor
► Management

Question No: 15 (M a r k s: 1)
Depreciation arises because of:

► Fall in the market value of an asset
► Fall in the value of money
► Physical wear and tear
► All of the given options

Question No: 16 (M a r k s: 1)
Find out the missing value of an Accounting Equation with the help of given data:

Owner's equity	Rs. 22,500
Total Liabilities	Rs. 80, 385
Cash in hand	Rs. 1,000
Cash at bank	Rs. 2,000
Debtors	Rs. 500

► Rs. 1, 02,885 other assets
► Rs. 1, 02,885 other liabilities
► Rs. 99,885 current liabilities
► Rs. 99,385 other assets

Question No: 17 (M a r k s: 1)
When the Bank Statement balance is more than the Cash Book balance, it is because of:
► Unpresented cheques
► Unrecorded bank charges
► Uncredited cheques
► None of the given options

Question No: 18 (M a r k s: 1)
Upon checking the Bank Statement against the Cash Book by Mr. A, It was discovered that an amount of Rs.120 for dividend from XYZ Co. had not been entered in the Cash Book. Which of the following entry should be recorded to rectify the mistake?
► Bank Account(Dr.) and Dividend Account (Cr.)
► XYZ Co. Account (Dr.) and Bank Account (Cr.)
► Dividend Account (Dr.) and Bank Account (Cr.)
► Bank Account (Dr.) and XYZ Co. Account (Cr.)

Question No: 19 (M a r k s: 1)
Which of the following subsidiary book(s) is (are) maintained for debtors control account?

- ► Sales Day Book
- ► Sales Return
- ► Debtors Ledger
- ► All of the given options

Question No: 20 (M a r k s: 1)
Which of the following is shown on credit side of creditors control account?

- ► Bills Receivable
- ► Return inwards
- ► Credit purchases
- ► Discount allowed

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Question No: 21 (M a r k s: 1)
Which of the following account(s) will be affected, while rectifying the error of carriage charges, paid for a new plant purchased mistakenly debited to carriage account?

- ► Plant account
- ► Carriage account
- ► Both plant account and carriage account
- ► Trading account

Question No: 22 (M a r k s: 1)
Which of the following rectifying entry will be recorded, if sales to Mr. “A” of Rs.336 have been debited to Mr. “B” account?

- ► A’s account (Dr.) and B’s account (Cr.)
- ► B’s account (Dr.) and A’s account (Cr.)
- ► Sales account (Dr.) and B’s account (cr.)
- ► B’s account (Dr.) and Sales account (Cr.)

Question No: 23 (M a r k s: 1)
Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	700
Sundry Debtors (Given in trial balance)	44,800

If the Provision for doubtful debts has been increased by 5%, which amount of new provision will be shown in Profit & Loss Account?

- ► Rs. 2,240
- ► Rs. 2,425
- ► Rs. 1,925
- ► Rs. 3,025

Question No: 24 (M a r k s: 1)
An asset which is **NOT** easily convertible to cash or not expected to become cash within a period of twelve months is called:

- ► Liquid asset
- ► Current asset
- ► Fixed asset
- ► Floating asset

Question No: 25 (M a r k s: 1)
When closing stock is given in trial balance, then it will effect:

- ► Trading account only
- ► Balance sheet only
- ► Owner's equity only
- ► Both Trading account and Balance sheet

Question No: 26 (M a r k s: 1)
Which of the following is **CORRECT** if depreciation is given in trial balance?

- ► All of the given options are correct
- ► It means depreciation has already been deducted from concerned asset account
- ► It will be shown as an expense in income statement only
- ► It will not be deducted from concerned asset in Balance Sheet

Question No: 27 (M a r k s: 1)
Identify the selling expenses of manufacturing concern with the help of given data.

Particulars	Rs.
Salesman's salary	70,000
Commission on sales	28,000
Carriage outward	10,000
Carriage inward	5,000

- ► Rs. 80,000
- ► Rs. 60,000
- ► Rs. 38,000
- ► Rs. 1, 08,000

Question No: 28 (M a r k s: 1)
In case of fixed capital accounts, other transactions such as Drawings and Profit etc. are recorded in a separate account that is called _____.

- ► Fixed Capital Account
- ► Current Account
- ► Fluctuating Capital Account
- ► Floating Capital Account

Question No: 29 (M a r k s: 1)
Which of the following clause/s are discussed in Memorandum of Association of Companies?

- ► Name of company
- ► Place of registered office of company
- ► Objective of the company
- ► All of the given options

Question No: 30 (M a r k s: 1)
In Income Statement, both beginning inventory and ending inventory appear in the section of:

- ► Cost of good sold
- ► Indirect cost
- ► Selling cost
- ► Factory over head cost

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Question No: 31 (M a r k s: 1)
In which of the following auditor's remuneration payable is shown?

- ► In balance sheet under the head of current liabilities only
- ► In balance sheet under the head of current assets only
- ► In income statement under the administrative expense only
- ► In both balance sheet under the head of current liabilities and income statement under the administrative expense

Question No: 32 (M a r k s: 1)
How dividend declared is treated in the Balance Sheet of the company?

- ► Provision
- ► Current liability
- ► Reserves and surplus
- ► Current assets

Question No: 33 (M a r k s: 1)
The balance sheet reported a beginning balance of Rs. 20,000 in Accounts Receivable and an ending balance of Rs. 15,000. Credit Sales of Rs. 200,000 were made during the year. Using this information, compute cash collected from customers.

- ► Rs. 205,000
- ► Rs. 215,000
- ► Rs. 195,000
- ► Rs. 200,000

Question No: 34 (M a r k s: 1)
Which of the following statement in **NOT TRUE** about the limited company form of business?

- ► The limited company form of business allows ownership of the business to be spread amongst many people
- ► Shareholders can appoint professionals
- ► Shareholders are personally liable for all the liabilities incurred by the business
- ► Regular filing of information about the affairs of the company is a legal requirement

Question No: 35 (M a r k s: 1)
In calculating earning per share (EPS), the net profit is divided by which of the following?

- ► Number of ordinary shares
- ► Number of preference shares
- ► Paid up capital
- ► Authorized capital

Question No: 36 (M a r k s: 1)
Which of the given Asset is **Not** included in the calculation acid test ratio?

- ► Stock
- ► Cash
- ► Debtors
- ► Bills Receivable

Question No: 37 (M a r k s: 1)

Particulars	Rs.
Debentures	1, 50, 000
Equity Capital	2, 00,000
General Reserve	90, 000
Accumulated profit	60,000
What is debt equity ratio	?

- ► 15: 20 (or 3:4)
- ► 15:24 (or 5: 8)
- ► 15:29
- ► 15:35 (or 3: 7)

Question No: 38 (M a r k s: 1)
Normally the practice of Book Keeping under Single Entry System is followed by:

- ► Small businesses only
- ► Governments only
- ► Large scale businesses only
- ► Both small businesses and governments

Question No: 39 (M a r k s: 1)
In which of the following case the bank cannot refuse the payment?

- ► Stale cheque
- ► Bearer cheque
- ► Insolvency of the customer
- ► Post dated cheque

Question No: 40 (M a r k s: 1)
Stock account is debited and creditors account is credited, which of the following is reflecting the statement?

- ► Discount received
- ► Goods returned
- ► Purchase of goods on credit
- ► Payment of goods

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Question No: 41 (M a r k s: 1)
Payment is made of a company's purchases on credit, which of the following is correct:
- ► Debit stock account and credit creditors account
- ► Debit creditors account and credit cash account
- ► Debit cash account and credit creditors account
- ► Debit stock account and credit cash account

Question No: 42 (M a r k s: 1)
We usually allow the customer to deduct a certain amount from the invoice value for prompt payment. In doing so we are granting a:
- ► Commission
- ► Allowance
- ► Discount
- ► Rebate

Question No: 43 (M a r k s: 1)
What will be obtained from the Purchases Returns Book?
- ► Discount received
- ► Returns outward
- ► Credit purchases
- ► Discount allowed

Question No: 44 (M a r k s: 1)
Deferred cost is classified as:
- ► Current liability
- ► Current asset
- ► Non-current asset
- ► Non-current liability

Question No: 45 (M a r k s: 1)
Which of the following is increased when an asset is converted into expense in adjustment?
- ► Revenue
- ► Net income
- ► Expense
- ► Liability

Question No: 46 (M a r k s: 1)
Accumulated depreciation is a _____ account?
- ► Fixed asset
- ► Current asset
- ► Contra asset
- ► Liability

Question No: 47 (M a r k s: 1)
Failure to record _____ will result in understates net income.
- ► Accrued expenses
- ► Expenses incurred
- ► Accrued revenues
- ► Accounts payable

Question No: 48 (M a r k s: 1)
Puget Sound Co. sold marketable securities Costing Rs.80,000 for Rs.92,000 cash. In the company's income statement and statement of cash flows, respectively, this will appear as:
- ► A Rs.12,000 gain and a Rs.92,000 cash receipt
- ► A Rs.92,000 gain and a Rs.8,000 cash receipt
- ► A Rs.12,000 gain and a Rs.80,000 cash receipt
- ► A Rs.92,000 sale and a Rs.92,000 cash receipt

Question No: 49 (M a r k s: 1)
Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on drawings of Mr. A is Rs.1,500 and of Mr. B is Rs.1,800. The net income for the year is Rs.85,000. What will be the amount of distributable profit?

- ► Rs.81,700
- ► Rs.88,300
- ► Rs.131,700
- ► Rs.146,700

Question No: 50 (M a r k s: 1)
Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,000 and markup on drawings of Mr. B is Rs.3,000. The net income for the year is Rs.50,000. What will be the profit share of Mr. A?

- ► Rs.22,500
- ► Rs.25,500
- ► Rs.27,500
- ► Rs.55,000

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Question No: 51 (M a r k s: 1)
Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on capital of Mr. A is Rs.2,000 and markup on drawings of Mr. B is Rs.3,000. The net income for the year is Rs.85,000. What will be the profit share of Mr. B?

- ► Rs.40,000
- ► Rs.43,000
- ► Rs.130,000
- ► Rs.133,000

Question No: 52 (M a r k s: 1)
The value of a share as quoted on the stock exchange is known as:

- ► Book value
- ► Par value
- ► Market value
- ► Face value

Question No: 53 (M a r k s: 1)
Which of the following is not a measure of short-term liquidity?

- ► Current ratio
- ► Quick ratio
- ► Acid-test ratio
- ► Debt ratio

Question No: 54 (M a r k s: 1)
Short term investments in marketable securities and treasury bills that will mature within ninety days from the date of acquisition, must be classified as:

- ► Receivables
- ► Receipts from Capital
- ► Current and intangible assets
- ► Cash equivalents

Question No: 55 (M a r k s: 3)
Show how the following items will appear in profit and loss account.

Particulars	Rs.
Bad debts	3,600
Provision for doubtful debts (old)	8,500
Provision for doubtful debts (new)	1,500

Question No: 56 (M a r k s: 5)
What is the Purpose of Control Accounts?

Question No: 57 (M a r k s: 5)
Umer and Usman, both of whom are CPAs, form a partnership, with Umer investing Rs.100,000 and Usman, Rs.80,000. They agree to share net income as follows:

1. Salary allowances of Rs.80,000 to Umer and Rs.50,000 to Usman.
2. Interest allowances at 15 percent of beginning capital account balances.
3. Any partnership earnings in excess of the amount required to cover the interest and salary allowances to be divided 60 percent to Umer and 40 percent to Usman.

The partnership net income for the first year of operations amounted to Rs.247,000 before interest and salary allowances. Show how this amount should be divided between the two partners.

Question No: 58 (M a r k s: 10)
Following information are extracted from the books of XY and Sons for the year 2007.

Particulars	Rs.
Fixed Asset at WDV	529,500
Material 31-12-2007	188,000
Work in process on 31-12-2007	178,000
Finished Goods on 31-12-2007	198,000
Debtors	160,000
Bank	7,000
Creditors	100,000
Expenses payable	15,000
Profit for the year	X:90,000 Y:80,000
Drawings for the year	X:10,000 Y:15,000
Capital	X:400,000 Y: 350,000
Current Account	X: 13,000 Y:10,000
Long term loans	2,27,500

You are required to prepare Balance Sheet as on 31st December 2007. Show complete working.

Question No: 59 (M a r k s: 10)
Prepare Bank Reconciliation Statement as on 31st March 2009 with the help of given data.

	Particulars	Rs.
1	Balance as per Cash Book (Dr.)	180,000
2	Cheques paid into Bank in March 2009 but credited by the bank in April 2009	7,900 4,500 1,300
3	Cheques issued in March 2009 but cashed in April 2009	11,000 5,800
4	Cheques entered in the Cash Book in March 2009 but paid into bank in April 2009	1,000
5	Interest allowed by the bank	2,500
6	Interest charged by the bank	500

Question No: 1 (M a r k s: 1)

Shares for which amount is paid by public are called __ ► **Paid up**

_____ shares.

► **Paid up**

► Authorized

► Bonus shares

► All are correct options

Question No: 2 (M a r k s: 1)

Which of the following is non- profit organization? ► **Trust**

► Sole proprietorship

► Partnership

► Limited company

► **Trust**

Question No: 3 (M a r k s: 1)

Commercial Accounting is based on: **Double entry book keeping**

► Single entry book keeping

► **Double entry book keeping**

► Both single and double entry book keeping

► Cash basis of book keeping

Question No: 4 (M a r k s: 1)

An Asset that is **NOT** physical in nature is called

► **Intangible Asset**

_____.

► **Intangible Asset**

► Liquid Asset

► Current Asset

► Fixed Asset

Question No: 5 (M a r k s: 1)

Which of the following is **CORRECT** about the flow of recording a transaction? **Occurrence of event – voucher—Journal—Ledger—Trial Balance—profit and loss account—Balance Sheet**

► **Occurrence of event – voucher—Journal—Ledger—Trial Balance—profit and loss account—Balance Sheet**

► Occurrence of event—Journal – voucher —Ledger—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Ledger – voucher—Journal—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Trial Balance – voucher—Journal—Ledger—profit and loss account—Balance Sheet

Question No: 6 (M a r k s: 1)

Accounts Receivable & Inventory are the examples of: ► **Current assets**

► Liquid assets

► **Current assets**

► Fixed assets

► Capital assets

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Question No: 7 (M a r k s: 1)

Which of the following account will be credited in the books of XYZ Co. Ltd, if the business purchased a vehicle though cheque? ► **Bank account**

► Vehicle account

► Cash account

► Business account

► **Bank account**

Question No: 8 (M a r k s: 1)

Which of the following account will be credited, if business bought goods on credit from Mr. Ali?

► **Purchases account**

► Mr. Ali account

► Cash account

► Sales account

Question No: 9 (M a r k s: 1)

In which of the following condition a company will have positive working capital? ► **If current assets > current liabilities**

► **If current assets > current liabilities**

► If current Assets < current Liabilities

► If current assets = current liabilities

► If current assets ≤ current liabilities

Question No: 10 (M a r k s: 1)

WhicWhich of the following is an example of direct materials cost? ► **A piece of wood for the production of chair**

► Polish and finishing material for chair

► **A piece of wood for the production of chair**

► Production worker's wages

► Depreciation expenses

Question No: 11 (M a r k s: 1)

In cost of goods sold statement, the 'cost of material consumed' is equal to: ► **Opening raw material inventory + Purchases – Ending raw material inventory**

► **Opening raw material inventory + Purchases – Ending raw material inventory**

► Opening raw material inventory - Purchases + Ending raw material inventory

► Ending raw material inventory + Opening raw material inventory - Purchases

► Ending raw material inventory + Opening raw material inventory + Purchases

Question No: 12 (M a r k s: 1)

What would be the value of total factory cost, if the cost of material consumed during the month is Rs. 6,000, labor cost incurred is Rs. 2,000 and the factory over head cost is Rs. 2,500? ► **Rs. 10,500**

► Rs. 6,000

► Rs. 8,000

► Rs. 4,500

► **Rs. 10,500**

Question No: 13 (M a r k s: 1)

In cost of goods sold statement the 'cost of goods manufactured' is equal to: ► **Total factory cost + Opening work in process – Ending work in process**

► Total factory cost + Opening work in process + Ending work in process

► **Total factory cost + Opening work in process – Ending work in process**

► Total factory cost - Opening work in process + Ending work in process

► Ending work in process +Total factory cost – Opening work in process

Question No: 14 (M a r k s: 1)

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 5,000
Sale price after 5 years	Rs.50,000
Book value of Asset after 5 years	

?

► **Rs.25, 000**

► Rs. 75,000

► Rs. 15,000

► Rs. 1, 00,000

Question No: 15 (M a r k s: 1)

Particulars	Rs.
Opening stock of raw material	100,000
Closing stock of raw material	85,000
Purchases of raw material during the period	200, 000
Cost of Material Consumed	

?

► Rs. 205,000

► **Rs. 215,000**

► Rs. 220,000

► Rs. 225,000

Question No: 16 (M a r k s: 1)

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	

20 units @ Rs. 13 per unit

Eighty units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

► Rs.260

► Rs.232

► Rs.284

► Rs.320

Question No: 17 (M a r k s: 1)

Find out the missing value of an Accounting Equation with the help of given data: ► **Rs. 1, 10,000 liabilities**

Cash	Rs.1, 00, 000
Debtors	Rs.10, 000
Other Assets	Rs. 1,000
Owner’s equity	Rs. 1, 000

► Rs. 12,000 liabilities

► Rs. 11,000 liabilities

► **Rs. 1, 10,000 liabilities**

► Rs. 1, 11,000 liabilities

Question No: 18 (M a r k s: 1)

Bank Statement is a record of transactions between the bank and the holder of: ► **All of the given options**

► A foreign currency account

► A current account

► A saving account

► **All of the given options**

Question No: 19 (M a r k s: 1)

Which of the following option is **TRUE** about the characteristic(s) of Bad Debt? ► **It is a definite loss to the business**

► **It is a definite loss to the business**

► It is not shown in Balance Sheet

► No provision is necessary for it

► All of the given options

Question No: 20 (M a r k s: 1)

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet. ► **Rs. 800**

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

► Rs. 400

► **Rs. 800**

► Rs. 2,000

► Rs. 2,400

Question No: 21 (M a r k s: 1)

Which of the following entry is passed to record discount allowed in control account?

► **Discount Allowed (Dr) and Debtors Control A/c (Cr)**

► Discount Allowed (Dr) and Debtors A/c (Cr)

► Debtors Control A/c (Dr) and Discount Allowed (Cr)

► Debtors A/c (Dr) and Discount Allowed (Cr)

Question No: 22 (M a r k s: 1)

Which of the following entry will be recorded, if a cheque deposited is dishonored by bank? ► **Debtor's Account (Dr.) and Bank Account (Cr.)**

► Bank Account (Dr.) and Debtor's Account (Cr.)

► **Debtor's Account (Dr.) and Bank Account (Cr.)**

► Dishonored Cheque Account (Dr.) and Bank Account (Cr.)

► Creditor's Account (Dr.) and Bank Account (Cr.)

Question No: 23 (M a r k s: 1)

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be deducted from Sundry debtors? **Rs. 2, 400**

► Rs. 3,600

► Rs. 4,000

► Rs. 1,600

► **Rs. 2, 400**

Question No: 24 (M a r k s: 1)

Which of the following is **CORRECT** if depreciation is given in trial balance? ► **It means depreciation has already been deducted from concerned asset account**

► All of the given options are correct

► **It means depreciation has already been deducted from concerned asset account**

► It will be shown as an expense in income statement only

► It will not be deducted from concerned asset in Balance Sheet

Question No: 25 (M a r k s: 1)

The persons who sign articles and memorandum of the company and contribute in the initial share capital of the company are called: ► **Shareholders**

► Subscribers

► **Shareholders**

► Managers

► Directors

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Question No: 26 (M a r k s: 1)

Merchandise on hand at either the beginning or end of the reporting period is called_ ► **Inventory**

_____.

► Raw material

► Cost of good sold

► Work in process

► **Inventory**

Question No: 27 (M a r k s: 1)

In which of the following auditor's remuneration payable is shown? ► **In income statement under the administrative expense**

► In balance sheet under the head of current liabilities only

► In balance sheet under the head of current assets only

► **In income statement under the administrative expense** only

► In both balance sheet under the head of current liabilities and income statement under the administrative expense

Question No: 28 (M a r k s: 1)

In which of the following interim dividend is treated? ► **In profit and Loss account**

► **In profit and Loss account**

► In profit and Loss appropriation account

► On the asset side of the Balance Sheet

► In trading account

Question No: 29 (M a r k s: 1)

Which of the following documents contains rules and regulations for internal management of the company? ► **Articles of Association**

► Memorandum of Association

► **Articles of Association**

► Prospectus

► Statutory Declaration

Question No: 30 (M a r k s: 1)

Which of the following is **NOT** a cash inflow? ► **Purchase of fixed asset**

► Sale of fixed asset

► Issue of debentures

► Cash from business operation

► **Purchase of fixed asset**

Question No: 31 (M a r k s: 1)

In cash flow statements, which of the following would appear as a cash outflow? ► **The payments for purchases made during the year**

► **The payments for purchases made during the year**

► A decrease in trade debtors over the course of an accounting period

► Money received as a result of issuing new shares

► Money received as result of selling fixed assets

Question No: 32 (M a r k s: 1)

Which of the following statement in **NOT TRUE** about the limited company form of business? ► **Shareholders are personally liable for all the liabilities incurred by the business**

► The limited company form of business allows ownership of the business to be spread amongst many people

► Shareholders can appoint professionals

► **Shareholders are personally liable for all the liabilities incurred by the business**

► Regular filing of information about the affairs of the company is a legal requirement

Question No: 33 (M a r k s: 1)

What does a credit balance in a partner’s current account represent to a business?

► **Current Assets**

► **Current Assets**

► Current Liability

► Long-term liability

► Share of profit

Question No: 34 (M a r k s: 1)

A company declares a cash dividend to be paid to its stockholders next month. The effect of the transaction is to: ► **Increase assets and stockholders' equity.**

► Decrease assets and liabilities.

► **Increase assets and stockholders' equity.**

► Decrease assets and stockholders' equity.

► Increase liabilities and decrease stockholders' equity.

Question No: 35 (M a r k s: 1)

An uncollectible account receivable is also termed as: ► **Asset**

► **Asset**

► Uncollectible asset

► Uncollectible accounts expense

► None of the given options

Question No: 36 (M a r k s: 1)

Suppose a firm has 100 debtors, and each of them owes exactly Rs.150 at the start of June. During June each debtor has paid-off exactly Rs.100 on their account, either by cash or by cheque. What should be the revised total debtors figure? ► **Rs. 5,000**

► **Rs. 5,000**

► Rs. 9,850

► Rs. 25,000

► Rs. 14,900

Question No: 37 (M a r k s: 1)

Credit sales appear on the __► **Right side or credit** _____ side of the Debtors control account.

► Left side or credit

► Left side or debit

► Right side or debit

► **Right side or credit**

Question No: 38 (M a r k s: 1)

The financial year of Atif Brothers & Co. is closed on June 30, 2009. Total cash sales are Rs. 150,000, credit sales are Rs. 180,000 and total receipts are Rs. 250,000. Credit receipts will be: ► **Rs. 100,000**

► Rs. 150,000

► **Rs. 100,000**

► Rs. 220,000

► Rs. 280,000

Question No: 39 (M a r k s: 1)

Which of the following is usually not an accrued expense? ► **Interest payable**

► **Interest payable**

► Wages payable

► Taxes payable

► Notes payable

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Question No: 40 (M a r k s: 1)

Which of the following is **NOT** a financial statement? ► **Audit report**

► Balance sheet

► **Audit report**

► Income statement

► Cash flow statement

Question No: 41 (M a r k s: 1)

Sunset tours has Rs.3,500 account receivable from the Del Mar Rotary. On January 20, the Rotary makes a partial payment of Rs.2,100 to Sunset Tours. The journal entry made on January 20 by Sunset Tours to record this transaction includes:

► A debit to the Cash Received account of Rs. 3,500

► **A credit to the Accounts Receivable account of Rs.2,100**

► A debit to the Cash account of Rs.1,400

► A debit to the Accounts Receivables account of Rs.1,400

Question No: 42 (M a r k s: 1)

A and B entered in partnership in capital ratio of 2:3. They earned a profit of Rs.6,600 during the year. What will be the share of profit of Mr. A? ► **Rs.2,640**

► Rs.1,320

► **Rs.2,640**

► Rs.3,960

► Rs.6,600

Question No: 43 (M a r k s: 1)

Income tax expense of Eden Corporation shows a debit balance of Rs.7,000 in its unadjusted trial balance and Rs.7,600 in adjusted trial balance. Which of the following account will be debited in adjusting entry? ► **Income tax expense**

► Income tax payable

► Prepaid income tax

► **Income tax expense**

► Income tax paid

Question No: 44 (M a r k s: 1)

Sanders Construction sold a plant asset that originally cost Rs.80,000 for Rs.52,000 cash. If Sanders correctly reports a Rs.5,000 gain on this sale, the accumulated depreciation on the asset at the date of sale must have been: ► **Rs.33,000**

► Rs.23,000

► Rs.28,000

► **Rs.33,000**

► Some other amount

Question No: 45 (M a r k s: 1)

Mr. A & B entered into a partnership invested Rs.65,000 and Rs.50,000 with an equal share in profit or loss. Markup on drawings of Mr. A is Rs.1,000 and of Mr. B is Rs.1,500. The net income for the year is Rs.55,000. What will be the amount of distributable profit? ► **Rs.57,500**

► Rs.52,500

► Rs.56,000

► Rs.56,500

► **Rs.57,500**

Question No: 46 (M a r k s: 1)

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,000 and markup on drawings of Mr. B is Rs.3,000. The net income for the year is Rs.50,000. What will be the profit share of Mr. A? ► **Rs.22,500**

► **Rs.22,500**

► Rs.25,500

► Rs.27,500

► Rs.55,000

Question No: 47 (M a r k s: 1)

Which of the following is quoted company? ► **Listed company**

► Private Limited Company

► Public Limited Company

► **Listed company**

► Non Listed Company

Question No: 48 (M a r k s: 1)

Which of the following can be utilized to issue bonus shares? ► **Share premium**

► Reserves

► Debentures

► **Share premium**

► Term finance certificate

Question No: 49 (M a r k s: 1)

Which of the following can be utilized to set off any loss on revaluation? ► **Revaluation reserve**

► Capital reserve

► General reserve

► **Revaluation reserve**

► None of the given options

Question No: 50 (M a r k s: 1)

Which of the following capital is required for the registration of the company? ► **Authorized capital**

► Issued capital

► Subscribed capital

► **Authorized capital**

► Reserve capital

Question No: 51 (M a r k s: 1)

Which of the following capital is taken up by the general public? ► **Issued capital**

► **Issued capital**

► Subscribed capital

► Authorized capital

► Reserve capital

Question No: 52 (M a r k s: 1)

According to the statement of cash flows following are the examples of investing activities except: ► **Capital invested by the owners**

► Sales of machinery

► **Capital invested by the owners**

► Purchase of building for the business use

► Cash received from the disposal of equipment

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Question No: 53 (M a r k s: 1)

The financial statement that captures both the current operating result and the associated changes in the balance sheet is:

► Statement of retained earnings

► **Statement of financial position**

► Statement of cash flows

► Statement of changes in equity

Question No: 54 (M a r k s: 1)

In statement of cash flows, all of the following items are considered as financing activity, except: ► **Payment made for short term debts**

► Cash received from issuance of shares

► Cash received from issuance of bonds

► **Payment made for short term debts**

► Collections on loans

Question No: 55 (M a r k s: 3)

Mr. Hassan is a partner in a partnership firm. His capital on July 1, 2001 was Rs. 400,000. He invested further capital of Rs. 150,000 on March 01, 2002. Markup rate is @6%p.a. The financial year of such a business is from 1st July to 30th June.

Required: You are required to calculate his markup on Capital at the end of 30th June 2002.

400000x6/100=2400

400000

Question No: 56 (M a r k s: 5)

What do you mean by “Bad Debts” and “Doubtful Debts”? Distinguish between these.

Ans: **Bad Debts**

when we are going to sell the products on credit so our business take risk that there are some customer in market that they will never pay for stock sold to them.So,such situation in which the amount which is due to the debetor are call bad debts

This is a loss sustained loss for business due to risk. It is recorded in Profit and Loss Account in the period in which it is happen.

Doubtful Debts

A doubtful debt is a debt, which the business considers may not be paid

Question No: 57 (M a r k s: 5)

a. In trial balance at June 30, 2007 10% debentures are shown at Rs.75,000 and mark up on debentures are shown at Rs.3,750. Six months debenture mark up is to be accrued. What will be the amount of total mark up on debentures show in profit and loss account?

b. From the following information calculate cost of goods sold.

Stock opening balance	Rs.56,950
Purchases	175,750
Stock closing balance	65,020
Carriage inward	5,200
Sales	245,500

Opening stock :	Rs.56,950
Add bpurchase:	175,750
Add Carriage inward :	5,200
Less Stock closing balance:	(65020)

Cost of goods sold = Rs 172,880

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Question No: 58 (M a r k s: 10)

Prepare Bank Reconciliation Statement as on 31st March 2009 with the help of given data.

	Particulars	Rs.
1	Balance as per Cash Book (Dr.)	180,000
2	Cheques paid into Bank in March 2009 but credited by the bank in April 2009	7,900 4,500 1,300
3	Cheques issued in March 2009 but cashed in April 2009	11,000 5,800
4	Cheques entered in the Cash Book in March 2009 but paid into bank in April 2009	1,000
5	Interest allowed by the bank	2,500
6	Interest charged by the bank	500

S.No	Narration / Particulars	Withdrawals Amountnt	Deposits Amount			Balance Dr/(Cr)
	Balance as per Cash Book (Dr.)					180,000
						7900
						4500
						1300

Question No: 59 (M a r k s: 10)

Listed below are selected items from the financial statements of ABC Mfg. Co. for the year ended December 31, 2007.

Note payable to Bank Al-Falah	Rs.500,000
Income taxes payable	40,000
Mortgage note payable	750,000
Accrued interest on mortgage note payable	5,000
Trade accounts payable	250,000
Unearned revenue	15,000
Accrued expenses and payroll taxes	60,000
Debenture	500,000

Other information:

1. The note payable owed to Bank Al-Falah is due in 60 days. ABC Mfg. Co. has arranged with this bank to renew the note for an additional 24 months.

2. The mortgage requires payment of Rs.6,000 per month. An amortization table shows that its balance will be paid down to Rs.739,000 by December 31, 2008.

3. Debenture of Rs.150,000 is due in 180 days.

Instructions:

Using the information, prepare the current liabilities and long-term liabilities sections of a classified balance sheet at December 31, 2007.

Question No: 1 (M a r k s: 1)

We can say that the business is in profit, when:

► Assets exceed Expenditure

► Assets exceed Liabilities

► Income exceeds Expenditure

► Income exceeds Liabilities

Question No: 2 (M a r k s: 1)

Term "Credit" means_____ by the business.

- ► Receiving of benefits
- ► It has no effect on business
- ► Providing of benefits
- ► It depends upon items

Question No: 3 (M a r k s: 1)

According to the double entry system of accounting, an account that obtains benefit is:

- ► Debit
- ► Credit
- ► Income
- ► No need to show as accounting record

Question No: 4 (M a r k s: 1)

When a Liability is reduced or decreased, it is recorded on the:

► Right or debit side of the account

► Left or debit side of the account

► Left or credit side of the account

► Right or credit side of the account

Question No: 5 (M a r k s: 1)

When Capital is increased by an amount, it is recorded on the:

► Left or credit side of the account

► Right or debit side of the account

► Left or debit side of the account

► Right or credit side of the account

Question No: 6 (M a r k s: 1)

Bank book is part of:

► Voucher

► General Journal

► General Ledger

► Trial Balance

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Question No: 7 (M a r k s: 1)

What type of expenses are paid out of Gross Profit?

► Selling Expenses

► General Expenses

► Financial Expenses

► All of the given options

Question No: 8 (M a r k s: 1)

Which of the following shows summary of a company's financial position at a specific date?

► Profit & Loss Account

► Cash Flow Statement

► Balance Sheet

► Income & Expenditure Account

Question No: 9 (M a r k s: 1)

Which of the following is **NOT** an example of intangible assets?

- ► Franchise rights
- ► Goodwill
- ► Patents
- ► Land

Question No: 10 (M a r k s: 1)

Which of the following is an example of business liability?

► Land

► Building

► Cash

► Capital

Question No: 11 (M a r k s: 1)

The unfavorable balance of Profit and Loss account should be:

► Added in liabilities

► Subtracted from current assets

► Subtracted from liabilities

► Subtracted from capital

Question No: 12 (M a r k s: 1)

Which of the following account will be credited, if business bought goods on credit from Mr. Ali?

► Purchases account

► Mr. Ali account

► Cash account

► Sales account

Question No: 13 (M a r k s: 1)

Interest on loan paid by business is an example of :

► Deferred expense

► Revenue expense

► Capital expense

► None of the given options

Question No: 14 (M a r k s: 1)

The allocation of the cost of a tangible plant asset to expense in the periods, in which services are received from the asset, is termed as:

► Appreciation

► Depreciation

► Fluctuation

► None of the given options

Question No: 15 (M a r k s: 1)

Which of the following is **NOT** a function of bank reconciliation statement?

► To reconcile the difference between the cash book and the bank statement

► To check for errors in balance sheet

► To update omitted entries into the cash book

► To update omitted entries into the bank statement

Question No: 16 (M a r k s: 1)

Which of the following entry will be recorded when the Bad Debts are recovered?

► Cash account (Dr.) & Bad Debts recovered account (Cr.)

► Accounts Receivable account (Dr.) & Bad Debts recovered account (Cr.)

► Bad debts recovered account (Dr.) and Profit & Loss account (Cr.)

► Provision for doubtful debts account (Dr.) & Cash account (Cr.)

Question No: 17 (M a r k s: 1)

Which of the following subsidiary book(s) is (are) maintained for debtors control account?

► Sales Day Book

► Sales Return

► Debtors Ledger

► All of the given options

Question No: 18 (M a r k s: 1)

Sales are calculated by adding:

► Cash sales and cash received from debtors

► Credit sales and cash received from debtors

► Cash sales and credit sales

► Cash ales and credit purchases

Question No: 19 (M a r k s: 1)

Which of the following item will be shown on debit side of debtors account?

- ► Discount received
- ► Return inwards
- ► Discount allowed
- ► Credit sales

Question No: 20 (M a r k s: 1)

Goods purchased from “Mr. A” for Rs. 2,000 passed through the sales book. The rectification of error will result in:

► Increase of gross profit

► Decrease of gross profit

► Remains constant and no effect on net profit

► There is no relation between goods purchased and gross profit

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Question No: 21 (M a r k s: 1)

Goods of Rs.1,000 purchased from Mr. “A” were recorded in sales book, the rectification of this error will:

► Increase the gross profit

► Reduce the gross profit

► Have no effect on gross Profit

► None of the given options

Question No: 22 (M a r k s: 1)

Which of the following account will be credited when a typewriter is sold that has been used in the office?

► Cash Account

► Sales Account

► Purchase Account

► Office Equipment Account

Question No: 23 (M a r k s: 1)

When one or both aspects of a transaction are recorded in the wrong class or category of account, this is called:

► Error of principle

► Error of omission

► Error of commission

► Error of original entry

Question No: 24 (M a r k s: 1)

Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

► Bank charges

► An error on the Bank Statement

► An uncredited deposit

► An unpresented cheque

Question No: 25 (M a r k s: 1)

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account

► Rs. 3,600

► Rs. 4,000

► Rs. 1,600

► Rs. 2, 400

Question No: 26 (M a r k s: 1)

Which of the following is an example of operating expense?

► Purchasing operating equipment

► Purchasing cleaning services

► Purchasing an investment in another company

► Purchasing a computer for the accounting office

Question No: 27 (M a r k s: 1)

Which of the following would **NOT** be considered as a component of 'cost' of stock?

- ► Salaries of selling staff
- ► Transportation inward costs
- ► Import duties
- ► Purchase price

Question No: 28 (M a r k s: 1)

Which of the following will be debited, if cash is drawn by Proprietor?

- ► Proprietor’s drawings
- ► Proprietor’s cash
- ► Proprietor’s capital
- ► Proprietor’s income

Question No: 29 (M a r k s: 1)

Which of the following is **TRUE** about the treatment of insurance paid in advance Rs. 13,000?

- ► It will be treated as an other income in Profit & Loss Account
- ► It will be treated as a current asset in Balance Sheet
- ► It will be treated as a current liability in Balance Sheet
- ► It will be treated as an accrued expense in Balance Sheet

Question No: 30 (M a r k s: 1)

When closing stock is given in trial balance, then it will effect:

- ► Trading account only
- ► Balance sheet only
- ► Owner's equity only

► Both Trading account and Balance sheet

Question No: 31 (M a r k s: 1)

Fixed Assets (WDV) + Working Capital =?

► Total assets employed

► Total liabilities

► Total assets

► Current assets

Question No: 32 (M a r k s: 1)

Current accounts of the partners should be opened when the capitals are:

► Fixed

► Fluctuating

► Floating

► Normal

Question No: 33 (M a r k s: 1)

Which of the following is (are) type(s) of Public Limited Companies?

► Listed company

► Non listed company

► Private limited company

► Both Listed Company and non listed company

Question No: 34 (M a r k s: 1)

The charter of a company which defines the limitations and powers of the company is called:

► The memorandum of association

► Articles of association

► Statutory report

► Certificate of commencement

Question No: 35 (M a r k s: 1)

Merchandise on hand at either the beginning or end of the reporting period is called_____.

► Raw material

► Cost of good sold

► Work in process

► Inventory

Question No: 36 (M a r k s: 1)

The balance sheet reported a beginning balance of Rs. 20,000 in Accounts Receivable and an ending balance of Rs. 15,000. Credit Sales of Rs. 200,000 were made during the year. Using this information, compute cash collected from customers.

► Rs. 205,000

► Rs. 215,000

► Rs. 195,000

► Rs. 200,000

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Question No: 37 (M a r k s: 1)

	Rs.
Gross profit	50,000
Operating profit	42,000
Sales	250, 000
What is the amount of operating expenses	

?

► Rs. 8,000

► Rs. 92,000

► Rs. 62,500

► Rs. 300,000

Question No: 38 (M a r k s: 1)

Particulars	Rs.
Debentures	1, 50, 000
Equity Capital	2, 00,000
General Reserve	90, 000
Accumulated profit	60,000
What is debt equity ratio	?

► 15: 20 (or 3:4)

► 15:24 (or 5: 8)

► 15:29

► 15:35 (or 3: 7)

Question No: 39 (M a r k s: 1)

A company declares a cash dividend to be paid to its stockholders next month. The effect of the transaction is to:

► Decrease assets and liabilities.

► Increase assets and stockholders' equity.

► Decrease assets and stockholders' equity.

► Increase liabilities and decrease stockholders' equity.

Question No: 40 (M a r k s: 1)

Particulars	Rs.
Direct materials costs	80,000
Direct labor costs	50,000
Manufacturing overhead costs	60,000
Prime cost	

?

► Rs.130, 000

► Rs.110, 000

► Rs.140, 000

► Rs.190, 000

Question No: 41 (M a r k s: 1)

What would be the value of conversion cost, if the cost of material consumed during the month is Rs. 5,000, labor cost incurred is Rs. 2,000 and the factory over head cost is Rs. 1,000?

► Rs. 3,000

► Rs. 5,000

► Rs. 7,000

► Rs. 8,000

Question No: 42 (M a r k s: 1)

The amount owed by debtors at the end of a month appears on the_____ side of the control account.

► Left side or debit

► Left side or credit

► Right side or debit

► Right side or credit

Question No: 43 (M a r k s: 1)

Which of the following is correct for an account has debit balance?

► The amount of the debits exceeds the amount of the credits

► There are more entries on the debit side than on the credit side

► Its normal balance is debit without regard to the amounts on the debit side

► The last entry of the accounting period was posted on the debit side

Question No: 44 (M a r k s: 1)

Mr. A & B entered into a partnership with an equal share in profit or loss. The agreement provides that Mr. A will receive Rs.10,000 and Mr. B will receive Rs.8,000 as salary allowance. The net income for the year is Rs.85,000. What will be the total share of Mr. A?

► Rs.52,500

► Rs.42,500

► Rs.43,500

► Rs.50,500

Question No: 45 (M a r k s: 1)

Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on drawings of Mr. A is Rs.1,500 and of Mr. B is Rs.1,800. The net income for the year is Rs.85,000. What will be the profit share of Mr. B?

► Rs.42,350

► Rs.44,150

► Rs.41,600

► Rs.40,850

Question No: 46 (M a r k s: 1)

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,500 and markup on drawings of Mr. B is Rs.2,800. The net income for the year is Rs.95,000. What will be the amount of distributable profit?

► Rs.89,700

► Rs.94,700

► Rs.95,300

► Rs.100,300

Question No: 47 (M a r k s: 1)

Which of the following can be distributed among the share holders?

► Capital reserve

► General reserve

► Revaluation reserve

► All of the given options

Question No: 48 (M a r k s: 1)

Which of the following capital is taken up by the general public?

► Issued capital

► Subscribed capital

► Authorized capital

► Reserve capital

Question No: 49 (M a r k s: 1)

All of the following have an effect on ‘operating activities’ while preparing the statement of cash flows except:

- ► Provision for doubtful debts
- ► Gain or loss on currency exchange rate
- ► Depreciation charged on fixed asset
- ► Amount received for disposal of a fixed asset

Question No: 50 (M a r k s: 1)

Primary purpose of the cash flows statement is to provide the information about:

- ► Errors or discrepancies between cash book and income statement
- ► Receipt and payment of cash in the period
- ► Non cash adjustment that effect the income statement
- ► Cash paid to the customers and creditors of the business

Question No: 51 (M a r k s: 1)

Which of the following financial statement is helpful for the investors and creditors to assess the cash and non cash aspects of operating, investing and financing transactions on an entity's financial position?

► Balance Sheet

► Income Statement

► Statement of cash flows

► Statement of changes in equity

Question No: 52 (M a r k s: 1)

According to the statement of cash flows following are the examples of investing activities except:

► Sales of machinery

► Capital invested by the owners

► Purchase of building for the business use

► Cash received from the disposal of equipment

Question No: 53 (M a r k s: 1)

Which of the following items of balance sheet are useful in evaluating a company's liquidity?

► Current assets and other assets

► Current liabilities and current assets

► Current liabilities and plant and equipment

► Non current liabilities and other assets

Question No: 54 (M a r k s: 1)

Which of the following is measured by debt ratio?

► Short-term liquidity

► Creditors' long term risk

► Short-term risk of the company

► All of the given options

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Question No: 55 (M a r k s: 3)

If the capitals of the partners are fixed, Pass Journal Entries for the following:

- v Drawings made by partner
- v Excess drawn amount is returned by partner
- v Profit distribution among partner

Partner’s Current A/c Dr.

Cash/Bank A/c Cr.

Cash/Bank Dr.

Partner’s Current A/c Cr.

Profit & Loss A/c Dr.

Partner’s Current A/c Cr.

Question No: 56 (M a r k s: 5)

ABC Company purchased goods of Rs.150,000 on credit from which goods of Rs.20,000 were defected and returned. Company received 2% discount at the time of payment from the supplier.

Required:

- What will be the amount of discount received by the company?
- Also show the journal entries

Purchases A/c 150,000

Creditor A/c 150,000

Goods are being purchased

Creditor A/c 20,000

Purchases A/c 20,000

Goods returned to supplier

Creditor A/c 130,000

Discount Received A/c 2600

Cash/Bank A/c 127400

Payment is being made to creditor and 2% discount is received.

Question No: 57 (M a r k s: 5)

Why are receipts and payment of interest classified as operating activities?

Question No: 58 (M a r k s: 10)

On 01-01-2007, the provision for doubtful debts a/c stood at Rs. 12,000 (credit balance). In 2007, the bad debts are amounted to Rs. 10,000. The debtors on 31-12-2007 are amounted to Rs. 3, 20,000 and a provision for doubtful debt to be maintained @ 5%.

Required:

Show Journal entries and also show how the items will appear in Profit and Loss account and Balance sheet. (Show complete working where it is necessary)

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Question No: 59 (M a r k s: 10)

The accounting staff of ABC, Inc., has assembled the following information for the year ended December 31, 2007:

Cash and cash equivalents, Jan. 1	Rs.35,800
Cash and cash equivalents, Dec. 31	74,800
Cash paid to acquire plant assets	21,000
Proceeds from short-term borrowings	10,000
Loan made to borrowers	5,000
Collection on loans (excluding interest)	4,000
Interest and dividends received	27,000

Cash received from customers	795,000
Proceeds from sale of plant assets	9,000
Dividends paid	55,000
Cash paid to suppliers and employees	635,000
Interest paid	19,000
Income taxes paid	71,000

Using this information, prepare a statement of cash flows. Include a proper heading for the financial statement, and classify the given information into the categories of operating, investing and financing activities.

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FINALTERM EXAMINATION

Fall 2009

MGT101- Financial Accounting (Session - 3)

(Shared by Muhammad Kafayat)

http://groups.google.com/group/vuZs

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Question No: 1 (M a r k s: 1)

Which of the following is correct according to the double entry system of book-keeping?

► **Debit = Credit**

► Debit > Credit

► Debit < Credit

► All of the given options

Question No: 2 (M a r k s: 1)

What is the nature of an expense account?

► **Debit**

► Credit

► Revenue

► None of the given options

Question No: 3 (M a r k s: 1)

Which of the following are the components of General Ledger?

1) Title of account

2) Amount of transaction

3) Date of transaction

► (1) & (2) only

► (2) & (3) only

► (1) & (3) only

► **(1), (2) & (3)**

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Question No: 4 (M a r k s: 1)

Which of the following organizations prepare Income & Expenditure account?

► Public libraries

► NGOs

► Labor unions

► **All of the given options**

Question No: 5 (M a r k s: 1)

Which of the following item will appear on the Balance Sheet as current assets?

► Prepaid expenses

► Accrued expenses

► Furniture and Equipment

► **Unearned revenue**

Question No: 6 (M a r k s: 1)

Accounts Receivable & Inventory are the examples of:

► Liquid assets

► **Current assets**

► Fixed assets

► Capital assets

Question No: 7 (M a r k s: 1)

Which of the following statement is **NOT TRUE** about Current liabilities?

► These are due within one year

► These are short-term loans

► **These are consist of all debts, payable after 12 months**

► In working capital, these are deducted from current assets

Question No: 8 (M a r k s: 1)

If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs. 20,000 during the year, what would be the value of Gross Profit?

► Rs. 15,000

► **Rs. 35,000**

► Rs. 55,000

► Rs. 60,000

Question No: 9 (M a r k s: 1)

Which of the following is an alternate term which can be used for “Capital”?

► Liability

► **Owner’s net worth**

► Working capital

► Asset

Question No: 10 (M a r k s: 1)

In the cost of goods sold statement, Cost of direct material consumed + Direct labor=?

► **Conversion cost**

► Prime cost

► Total factory cost

► Cost of goods manufactured

Question No: 11 (M a r k s: 1)

The total of all costs incurred to convert raw material into finished goods is known as:

► Prime cost

► **Conversion cost**

► Sunk cost

► Opportunity cost

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Question No: 12 (M a r k s: 1)

In cost of goods sold statement the ‘total factory cost’ is equal to:

► Cost of material consumed + Labor cost

► Cost of material consumed + Conversion cost

► **Cost of material consumed + Total factory cost**

► Cost of material consumed + Factory overhead

Question No: 13 (M a r k s: 1)

All the costs incurred on the incomplete assets up to the balance sheet date must be transferred

► Capital account

► Capital work in progress account

► **Relevant asset account**

► Owner's equity account

Question No: 14 (M a r k s: 1)

Which one of the following is **NOT** true about revenue expenditure?

► These are the running expenses of the business

► **They improve the financial position of the business**

► They reduce the profit of the concern

► They do not appear in the balance sheet

Question No: 15 (M a r k s: 1)

Which one of the following is **NOT** true for Profit & Loss Account?

► It shows whether a business has made a profit or loss over a financial year

► It shows the financial performance of a business for the period

► It shows revenues and expenses for the period

► **It is used to calculate surplus/deficit for a particular period**

Question No: 16 (M a r k s: 1)

Which of the following best describes unpresented cheques?

► Cheques received on behalf of the business by the bank

► Cheques drawn but yet to be recorded in the bank records

► **Cheques issued by the bank not recorded in business records**

► Cheques received but yet to be recorded in the bank records

Question No: 17 (M a r k s: 1)

Which of the following option is **TRUE** about the characteristic(s) of Bad Debt?

► **It is a definite loss to the business**

► It is not shown in Balance Sheet

► No provision is necessary for it

► All of the given options

Question No: 18 (M a r k s: 1)

Which of the following is (are) included in Creditors Control Account?

► Discount received from supplier

► Credit purchases

► Bills payable

► **All of the given options**

Question No: 19 (M a r k s: 1)

Which of the following is shown on credit side of creditors control account?

► Bills Receivable

► Return inwards

► **Credit purchases**

► Discount allowed

Question No: 20 (M a r k s: 1)

Which one of the following is **CORRECT** about subsidiary ledger?

► It is a special Ledger

► It is a supporting ledger

► **It provides detailed information about individual accounts**

► All of the given options

Question No: 21 (M a r k s: 1) http://groups.google.com/group/vuZs

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Amount by which the purchaser (buyer) receives a reduction in price from the seller is known as:

► Expense

► Discount Allowed

►**Discount Received**

► Liability

Question No: 22 (M a r k s: 1)

Which of the following entry will be passed to record discount received in control account?

► Discount Received (Dr) and Creditors Control A/c (Cr)

► Discount Received (Dr) and Creditors A/c (Cr)

► Creditors Control A/c (Dr) and Discount Received (Cr)

► **Creditors A/c (Dr) and Discount Received (Cr)**

Question No: 23 (M a r k s: 1)

Which of the following account(s) will be affected, while rectifying the error of sales to Rahim of Rs. 500 were omitted to record in books of accounts?

► **Sales account**

► Rahim's account

► Cash account

► Both sales and Rahim's Account

Question No: 24 (M a r k s: 1)

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account

► Rs. 3,600

► Rs. 4,000

► Rs. 1,600

► **Rs. 2, 400**

Question No: 25 (M a r k s: 1)

The figure of cash received from debtors can be located either from cash book or:

► **Debtor's Control Account**

► Balance Sheet

► Profit & Loss Account

► Bills Payable Account

Question No: 26 (M a r k s: 1)

Which of the following would **NOT** be considered as a component of 'cost' of stock?

► **Salaries of selling staff**

► Transportation inward costs

► Import duties

► Purchase price

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Question No: 27 (M a r k s: 1)

Capital account of sole proprietors is affected by which of the following items?

a. Profit & Loss account

b. Drawings account

c. Balances of capital account

► a,b

► b,c

► a,c

► **a,b,c**

Question No: 28 (M a r k s: 1)

Which of the following statement is **TRUE** about the partnership form of business?

► Partners must have to share their profits in equal proportion

► Partners are personally liable for the liabilities of the business

► Partnerships must make their accounts available to the general public

►Partnership agreement in writing is called Partnership deed

Question No: 29 (M a r k s: 1)

Which of the following represents the relationship between persons who have agreed to share the profit of business carried on by all or any of them acting for all?

► Sole-ownership

► Private limited company

► Public limited company

► Partnership

Question No: 30 (M a r k s: 1)

The Joint Stock Company is formed under the Companies Ordinance:

►1984

► I884

► 1948

► 1965

Question No: 31 (M a r k s: 1)

In which of the following, the Interest paid on debenture will be shown?

► Profit and loss account

► Profit and loss appropriation account

► **Balance sheet asset side under the heading of “current assets”**

► Trading Account

Question No: 32 (M a r k s: 1)

The primary purpose of preparing a cash flow statement for an entity is to provide information about:

►**Its financial position at the end of an accounting period**

► Its cash receipts and cash payments during an accounting period

► Its financial position at the start of an accounting period

► None of the given options

Question No: 33 (M a r k s: 1)

Which of the following business publishes the Financial Statements?

► Sole-Proprietorship

► Partnership

► Trust

►**Public Limited Company**

Question No: 34 (M a r k s: 1)

If the Capitals of partners are fixed then, at the end of financial year a partner’s drawings are transferred to the:

► Credit side of the partner’s capital account

► Credit side of the partner’s current account

►**Debit side of partnership bank account**

► Debit side of the partner’s current account

Question No: 35 (M a r k s: 1)

Wages outstanding given in the trial balance will be treated as a (an):

► Asset

► Liability

► Revenue

► Deferred expense

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Question No: 36 (M a r k s: 1)

In balance sheet fixed assets are shown at:

► Residual value

► Market value

► Fair value

► Written down value (WDV)

Question No: 37 (M a r k s: 1)

Suppose a firm has 200 debtors, and each of them owes exactly Rs. 150 at the start of June. What is the total amount owed by all debtors?

► Rs. 2,000

► Rs. 3,000

► **Rs. 30,000**

► Rs. 150,000

Question No: 38 (M a r k s: 1)

What will be obtained from the Purchases Returns Book?

► Discount received

► Returns outward

► Credit purchases

► Discount allowed

Question No: 39 (M a r k s: 1)

In the heading of financial statement, _____ is not required?

► Title of financial statement

► **Name of the person who prepares financial statement**

► Period for which financial statement is prepared

► Name of business entity

Question No: 40 (M a r k s: 1)

Which of the following justifies when profit is earned?

► Assets exceed Expenditure

► **Income exceeds Expenditure**

► Cash Inflow exceeds Cash Outflow

► Income exceeds Liabilities

Question No: 41 (M a r k s: 1)

A and B entered in partnership in capital ratio of 2:3. They earned a profit of Rs.6,600 during the year. What will be the share of profit of Mr. A?

► Rs.1,320

► **Rs.2,640**

► Rs.3,960

► Rs.6,600

Question No: 42 (M a r k s: 1)

In a partnership of Mr. X and Mr. Y, the share of profit of Mr. X is Rs.3,840 and the share of profit of Mr. Y is Rs. 5,760. What will be the ratio of their share?

► 1:2

►2:3

► 3:2

► 2:1**Question No: 43 (M a r k s: 1)**

Which of the following is decreased when an asset is converted into expense in adjustment?

► Revenue

► Net income

► Expense

► Liability

Question No: 44 (M a r k s: 1)

Accumulated depreciation is a _____ account?

►Fixed asset

► Current asset

► Contra asset

► Liability

Question No: 45 (M a r k s: 1)

Adjusting entries are recorded in which of the following?

► Voucher

► General journal

► **Ledger**

► Trial balance

Question No: 46 (M a r k s: 1)

Expired costs in an accounting period should be reported on _____ statement for that time period.

► Cash in flow

► Cash out flow

► Income

► **Expense**

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Question No: 47 (M a r k s: 1)

Interest expenses of Epler Corporation shows a debit balance of Rs.200 in its unadjusted trial balance and Rs.250 in adjusted trial balance. Which of the following account will be debited in adjusting entry?

► Interest expense

►**Interest payable**

► Prepaid interest

► Interest paid

Question No: 48 (M a r k s: 1)

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,500 and markup on drawings of Mr. B is Rs.2,800. The net income for the year is Rs.95,000. What will be the amount of distributable profit?

► Rs.89,700

► Rs.94,700

► Rs.95,300

► **Rs.100,300**

Question No: 49 (M a r k s: 1)

Which of the following can be distributed among the share holders?

► Capital reserve

►**General reserve**

► Revaluation reserve

► All of the given options

Question No: 50 (M a r k s: 1)

Which of the following capital is offered to the general public?

► **Issued capital**

► Subscribed capital

► Authorized capital

► Reserve capital

Question No: 51 (M a r k s: 1)

Which of the following value of the share is authorized by the memorandum of association?

►**Par value**

► Face value

► Nominal value

► All of the given options

Question No: 52 (M a r k s: 1)

Which of the following financial statement is helpful for the investors and creditors to assess the cash and non cash aspects of operating, investing and financing transactions on an entity's financial position?

► Balance Sheet

► **Income Statement**

► Statement of cash flows

► Statement of changes in equity

Question No: 53 (M a r k s: 1)

The financial statement that captures both the current operating result and the associated changes in the balance sheet is:

► Statement of retained earnings

►**Statement of financial position**

► Statement of cash flows

► Statement of changes in equity

Question No: 54 (M a r k s: 1)

In statement of cash flows, interest payment made on loan from bank is related to:

►**Investing activity**

► Financing activity

► Operating activity

► Net changes in working capital

Question No: 55 (M a r k s: 3)

Mr. Hassan is a partner in a partnership firm. His capital on July 1, 2001 was Rs. 400,000. He invested further capital of Rs. 150,000 on March 01, 2002. Markup rate is @6%p.a. The financial year of such a business is from 1st July to 30th June.

Required: You are required to calculate his markup on Capital at the end of 30th June 2002.

a) Capital invested on july 1 2001 = 400,000

Markup rate on 400,000 = 6% of 40,000 = 24,000

b) Further capital introduced / invested = 150000 on March 1, 2002

Markup rate = 6% of 150000 = 9000 x 4/12 = 3000

Total mark up rate = a + b = 24000 + 3000 = 27000

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Question No: 56 (M a r k s: 5)

Calculate cost of goods sold with he help of given data.

Particulars	Rs.
Purchases	418,000

Carriage inwards	7,900
Discount Allowed	750
debtors	16,000
Sales man commission	2,000
Office expenses	2,000
Carriage outwards	1,700
Salaries	13,000
Direct labor	3,825
FOH	2,100
Plant & Machinery	53,000
Buildings	35,000
Tools	8,650

Helping data:

d. Plant & Machinery depreciate @ 10% and charged to FOH

e. Buildings depreciate @ 5% and 40% charged to Administrative expenses and balance to FOH

f. 40% of salaries will be charge to office and balance to Selling expenses

Question No: 57 (M a r k s: 5)

X and Y were partners in a business sharing profits in the ratio of 3:1. Their capital were Rs.30,000 and Rs.10,000 respectively. They earned a net profit of Rs. 160,000. Mr. Y was entitled to a salary of Rs.200 p.m. Prepare Profit Distribution Account of X & Y Partnership.

X AND Y ARE SHARED WITH the ratio 3:1

X capital = 30000

Y capital = 10000

Net profit = 160,000

Mr. Y salary is = 200 p.m entitled

Total investment = X + Y capital = 30000 +10000 = 40000

X profit distribution = 30,000/40000 x 160000 = 120,000

Y profit distrubtion = 10,000/40000 x 160000 x 40000 = 40000

Question No: 58 (M a r k s: 10)

Mention the effects of following on financial statements.

<!--[if !supportLists]-->g. <!--[endif]-->Markup on debentures

<!--[if !supportLists]-->h. <!--[endif]-->Markupdebture – Dr. while Debenture Cr

h. Creation of reserves

i. Payments of dividend

j. Carriage inwards

k. Current Assets are less than Current Liabilities

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Question No: 59 (M a r k s: 10)

The following is the trial balance of Sikander's Photo Studio, Inc., dated December 31, 2007. The net income for the period is **Rs.36,000**. You are required to prepare Balance Sheet as on December 31, 2007.

Sikander's Photo Studio, Inc.

Trial balance

December 31, 2007

Cash	Rs.171,100	

Accounts receivable	9,400	
Prepaid studio rent	3,000	
Unexpired insurance	7,200	
Supplies	500	
Equipment	18,000	
Accumulated depreciation: equipment		Rs.7,200
Notes payable		10,000
Accounts payable		3,200
Salaries payable		4,000
Income tax payable		6,000
Unearned revenue		8,800
Capital stock		100,000
Retained earnings		34,000
Revenue earned		165,000
Salary expense	85,000	
Supply expense	3,900	
Rent expense	12,000	
Insurance expense	1,900	
Advertising expense	500	
Depreciation expense: equipment	1,800	
Interest expense	900	

Income taxes expense	23,000	
	338,200	338,200

Question No: 1 (M a r k s: 1)

Which of the following is/are the **END** product of accounting cycle?

► **Financial Statements**

► General Journal

► General Ledger

► Voucher

Question No: 2 (M a r k s: 1)

An asset on the balance sheet which is expected to be sold or used within one year is known as:

► Tangible asset

► **Current asset**

► Fixed asset

► Long term asset

Question No: 3 (M a r k s: 1)

Accounts Receivable & Inventory are the examples of:

► Liquid assets

► **Current assets**

► Fixed assets

► Capital assets

Question No: 4 (M a r k s: 1)

Identify the business transaction for given entry below.

Vehicle Account XXX (Dr.)

Bank Account XXX (Cr.)

► Paid for vehicle through cheque

► Paid for vehicle through cash

► Purchased vehicle on credit

► None of the given options

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Question No: 5 (M a r k s: 1)

Which of the following account will be credited, if the goods are sold on credit to Mr. Mahmood?

► Cash account

► Mr. Mahood account

► Sales account

► Purchases account

Question No: 6 (M a r k s: 1)

If salaries expense is Rs. 2,500, purchases are Rs. 16,000 and rent (office building) is Rs. 300 during the year, what would be the total of "general & administrative expenses"?

► Rs. 300

► Rs. 2,500

► Rs. 2,800

► Rs.18, 800

Question No: 7 (M a r k s: 1)

Which of the following statement is **TRUE** about the positive working capital of a company?

► It shows sound position of a company

► It shows that company has sufficient current assets to meet current liabilities

► It shows that current assets are greater than current liabilities

► All of the given options

Question No: 8 (M a r k s: 1)

Cost of Goods Sold = ?

► Beginning inventory + Purchases – Work in Process

► Beginning inventory + Purchases - Sales

► Beginning inventory + Purchases - Ending inventory

► Ending inventory + Purchases - Beginning Inventory

Question No: 9 (M a r k s: 1)

Under the straight line method of depreciation:

► Amount of depreciation increases every year

► Amount of depreciation remains constant for every year

► Amount of depreciation decreases every year

► None of the given options

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Question No: 10 (M a r k s: 1)

Consider the following inventory record:

Date	Item	Quantity	Cost/Unit	Total
2007Jan. 2	Opening inventory	100	Rs.18.00	Rs.1,800
Mar. 4	Purchase	400	19.00	7,600
May 8	Purchase	800	20.00	16,000
Nov. 3	Purchase	500	21.00	10,500

Four hundred units are unsold, Use the FIFO method of inventory costing and determine the value assigned to the 400 units on hand at the end of the period.

► Rs.7, 500

► Rs.7, 978

► Rs.8, 000

► Rs.8, 400

Question No: 11 (M a r k s: 1)

While adjusting the cash balance of cash book, which of the following is **NOT** taken into account.

► Mistakes in the cash book

► Mistakes in the pass book

► Interest credited in the pass book but not entered in cash book

► Interest debited in the pass book but not entered in cash book

Question No: 12 (M a r k s: 1)

Consider the following data:

Particulars	Rs.
Assets	?
Owner's equity	1,50,000
Liabilities	1,00,000

► Rs. 49,000

► Rs. 55,000

► Rs. 50,000

► Rs. 2, 50,000

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Question No: 13 (M a r k s: 1)

In accounting accumulated depreciation is:

► Treated as a reserve

► Treated as a contra asset

► Treated as a surplus

► Treated as an expense

Question No: 14 (M a r k s: 1)

When the Bank Statement balance is more than the Cash Book balance, it is because of:

► Unpresented cheques

► Unrecorded bank charges

► Uncredited cheques

► None of the given options

Question No: 15 (M a r k s: 1)

Which of the following is an item of a debtors control account?

► Cash sale

► Credit sales

► Credit purchase

► Cash purchases

Question No: 16 (M a r k s: 1)

Which of the following is shown on credit side of creditors control account?

► Bills Receivable

► Return inwards

► Credit purchases

► Discount allowed

Question No: 17 (M a r k s: 1)

A sum of Rs. 200 written off as bad debt now received credited to the account of debtor would:

► Increase the net profit by Rs.200

► Decrease the profit by Rs.200

► Remains constant and no effect on net profit

► There is no relation between debtor and profit

Question No: 18 (M a r k s: 1)

Which of the following account(s) will be affected, while rectifying the error of an amount Rs.200 received from Mr."P" wrongly credited to Mr."Q's" account?

► Only Cash Account

► Only P's account

► Only Q's account

► Both of Mr. P's & Mr.Q's Account

Question No: 19 (M a r k s: 1)

When one or both aspects of a transaction are recorded in the wrong class or category of account, this is called:

► Error of principle

► Error of omission

► Error of commission

► Error of original entry

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Question No: 20 (M a r k s: 1)

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

► Rs. 600

► Rs. 1,600

► Rs. 2,000

► Rs. 2,600

Question No: 21 (M a r k s: 1)

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

► Rs. 600

► Rs. 1,000

► Rs. 2,000

► Rs. 2,600

Question No: 22 (M a r k s: 1)

Which of the following is **NOT** an item of cost of goods sold statement?

► Purchase of raw material

► Any tax/freight paid on purchases

► Salaries paid to accountant

► Any expense incurred on carriage/transportation of raw material purchased items

Question No: 23 (M a r k s: 1)

Wages paid to laborers working in the manufacturing department is treated as an expense of:

► Administrative expenses

► Selling expenses

► Marketing expenses

► Cost of goods sold

Question No: 24 (M a r k s: 1)

Which of the following would **NOT** be considered as a component of 'cost' of stock?

► Salaries of selling staff

► Transportation inward costs

► Import duties

► Purchase price

Question No: 25 (M a r k s: 1)

Consider the following table:

	Financial statement item	Classification
A.	Inventory	Current asset
B.	Tangible assets	Non-current asset
C.	Accrued expenses	Current asset
D.	Bonds payable	Long-term liabilities

Identify the row above, showing an **INCORRECT** financial-statement classification?

► Row A

► Row B

► Row C

► Row D

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Question No: 26 (M a r k s: 1)

Which of the following is **NOT** an operating expense?

► Salaries and wages expense

► Rent expense

► Interest expense

► Depreciation expense

Question No: 27 (M a r k s: 1)

The Balance Sheet item that represents the resources invested by the owner is known as:

► Accounts Receivable

► Cash

► Note Payable

► Owner's Equity

Question No: 28 (M a r k s: 1)

Which account is increased with a debit and decreased with a credit?

► Cash

► Accounts Payable

► Contributed Capital

► Retained Earnings

Question No: 29 (M a r k s: 1)

Which of the following is/are **TRUE** about the sole trader form of business?

► Sole traders do not need to consult accountants

► Sole traders must register the name of their business with the Registrar of Companies

► All of the given options

► A sole trader is liable to pay income tax on his/her earnings

Question No: 30 (M a r k s: 1)

Which of the following account is affected from the Drawings of cash in sole-proprietorship business?

► Capital account

► Shareholder account

► Liability account

► Expense account

Question No: 31 (M a r k s: 1)

Which of the following is **CORRECT** if depreciation is given in trial balance?

► All of the given options are correct

► It means depreciation has already been deducted from concerned asset account

► It will be shown as an expense in income statement only

► It will not be deducted from concerned asset in Balance Sheet

Question No: 32 (M a r k s: 1)

Which of the following statement is **TRUE** about the Accounts receivable?

► Accounts receivable arises when a company buys goods or services from another party on credit

► Accounts receivable is a miscellaneous category that may include loans to employees

► Accounts receivable are more formal than notes receivable

► Accounts receivable are often called trade receivables

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Question No: 33 (M a r k s: 1)

The Joint Stock Company is formed under the Companies Ordinance:

► 1984

► I884

► 1948

► 1965

Question No: 34 (M a r k s: 1)

The amount received; in excess of the face value of the shares is transferred to which of the following?

► Share capital account

► Right share

► Share premium account

► Share holder account

Question No: 35 (M a r k s: 1)

Preliminary Expenses of the company may write off against:

► Share premium account

► Share holder account

► Debtors control account

► Creditor control account

Question No: 36 (M a r k s: 1)

The statement of changes in equity basically shows the movement of:

► share capital during the year

► Capital reserves during the year

► Revenue Reserves during the year

► All of the given options

Question No: 37 (M a r k s: 1)

	Rs.
Gross profit	50,000
Operating profit	42,000
Sales	250, 000
What is the amount of operating expenses	?

► Rs. 8,000

► Rs. 92,000

► Rs. 62,500

► Rs. 300,000

Question No: 38 (M a r k s: 1)

If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. C in distributable profit.

► Rs. 98,000

► Rs. 1, 47,000

► Rs. 2, 45,000

► Rs. 3, 43,000

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Question No: 39 (M a r k s: 1)

Mr.” A” sold goods for Rs. 300,000 to Mr. “B”, Rs. 300,000 will be treated as _____ for business of Mr. "A".

► Revenue

► Net profit

► Gross profit

► Operating profit

Question No: 40 (M a r k s: 1)

What would be the value of conversion cost, if the cost of material consumed during the month is Rs. 5,000, labor cost incurred is Rs. 2,000 and the factory over head cost is Rs. 1,000?

► Rs. 3,000

► Rs. 8,000

► Rs. 7,000

► Rs. 5,000

Question No: 41 (M a r k s: 1)

Mr. A provided the following information from his books of accounts at the end of the month.

Particulars	Rs.
Cash	100
Accounts Receivable	500
Accounts Payable	200
Bank Loans	1,000

Based on the information provided, what are Mr. A’s total liabilities?

► Rs.200

► Rs. 900

► Rs. 1,200

► Rs. 1,700

Question No: 42 (M a r k s: 1)

When we close bad debt account, which of the following account is debited?

► Profit and loss account

► Bad debt account

► Debtor account

► Creditor account

Question No: 43 (M a r k s: 1)

Mr. Ali's bank book shows a debit balance of Rs. 36,000. He deposited a cheque of Rs.15,000 but not yet collected by the bank. What will be the balance of bank statement?

► Rs. 21,000

► Rs. 51,000

► Rs. 36,000

► Rs. 15,000

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Question No: 44 (M a r k s: 1)

Suppose a firm has 100 debtors, and each of them owes exactly Rs.150 at the start of June. During June each debtor has paid-off exactly Rs.100 on their account, either by cash or by cheque. What should be the revised total debtors figure?

► Rs. 5,000

► Rs. 9,850

► Rs. 25,000

► Rs. 14,900

Question No: 45 (M a r k s: 1)

We usually allow the customer to deduct a certain amount from the invoice value for prompt payment. In doing so we are granting a:

► Commission

► Allowance

► Discount

► Rebate

Question No: 46 (M a r k s: 1)

The valuation of closing stock is at:

► Cost price

► Market price

► Cost or market price, whichever is lower

► Cost or market price, whichever is higher

Question No: 47 (M a r k s: 1)

Adjusting costs are reported as:

► Revenues

► Expenses

► Assets

► Net Income

Question No: 48 (M a r k s: 1)

Which of the following is also affected when an adjusting entry is passed to accrue an incurred expense?

► Total assets

► Total liabilities

► Current assets

► Total income

Question No: 49 (M a r k s: 1)

Which of the following is known as an asset account?

► Gains

► Prepaid insurance

► Unearned revenue

► Accounts payable

Question No: 50 (M a r k s: 1)

Mr. A & B entered into a partnership with an equal share in profit or loss. The agreement provides that Mr. A will receive Rs.10,000 and Mr. B will receive Rs.8,000 as salary allowance. The net income for the year is Rs.85,000. What will be the total share of Mr. B?

► Rs.52,500

► Rs.42,500

► Rs.41,500

► Rs.50,500

Question No: 51 (M a r k s: 1)

For which of the following share premium can not be utilized?

► To write off preliminary expenses

► To meet the expenses of issue of shares

► To issue bonus shares

► None of the given options

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Question No: 52 (M a r k s: 1)

Which of the following capital is offered to the general public?

► Issued capital

► Subscribed capital

► Authorized capital

► Reserve capital

Question No: 53 (M a r k s: 1)

Which of the following is known as the charter of the company?

► Prospectus

► Articles of association

► Memorandum of association

► None of the given options

Question No: 54 (M a r k s: 1)

Statement of cash flows helps the stakeholders to assess:

► Ability to pay cash dividends in the future

► All of the given options

► The ability to generate future cash flows

► The liquidity of the business

Question No: 55 (M a r k s: 3)

How bad debts & provision for doubtful debts (new and old) are treated in profit and loss account.

Question No: 56 (M a r k s: 5)

You are required to pass rectifying entries of the following errors:

1. Received cash Rs. 500 from Mr. "B" entered as Rs. 300 in the cash book.

2. A cash sale of Rs. 600 has completely omitted to be recorded in the books.

3. Goods worth Rs. 200 were returned to Mr. Kamran but no entry was passed in the books.

Question No: 57 (M a r k s: 5)

The face value of the share of ABC public limited company is Rs.10. the share is sold at Rs.15. total shares traded in the market are 50,000. What will be the amount of share premium received and discuss for what it will be utilized?

Question No: 58 (M a r k s: 10)

On 31st December, 2006, a merchant has to receive Rs. 50,000 from sundry debtors and creates provision of 5 percent on this amount for doubtful debts. Actual bad debts during the year 2007 were Rs.1, 400. The debtors on 31st December, 2007, are Rs. 40,000 on which he again creates provision of 5 % for doubtful debts. During 2008 actual bad debts are Rs. 600 and the debtors at the end of 2008 totalled Rs. 25,000, on which a reserve a reserve of 5 % for doubtful debts is required to be maintained.

Required: Prepare provision for doubtful debts account with the help of given data.

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Question No: 59 (M a r k s: 10)

The following Trial balance is taken out from the books of Rahman & Sons as on 31st December, 2008.

	Dr.	Cr.
	Rs.	Rs.
Sales		204,000
Capital		120,000
Bank overdraft		103,560

Sundry Creditors		120,000
Opening Stock	60,400	
Purchases	231,600	
Sundry Debtors	109,660	
Returns Inwards	3,640	
General Expenses	6,980	
Plant	22,620	
Wages & Salaries	16,740	
Building	50,000	
Cash in Hand	680	
Cash at bank	8,720	
Drawings	16,960	
Motive Power	2,300	
Dock &clearing Charges	1,300	
Coal, Gas, Water	1,700	
Salaries	9,820	
Interest on O/D	4,440	
Rent rates Taxes	1,400	
Discount Allowed	2,000	
Interest received		3,400
	550,960	550,960

Requirement:

Prepare The Trading and Profit & Loss account of the business for the year ended. Closing Stock is valued at Rs.40, 000.

Question No: 1 (M a r k s: 1)

We can say that the business is in profit, when:

► **Assets exceed Expenditure**

► **Assets exceed Liabilities**

► **Income exceeds Expenditure**

► **Income exceeds Liabilities**

Question No: 2 (M a r k s: 1)

Obligations to pay cash or un-earned incomes by the business are the:

► **Expenses**

► **Assets**

► **Liabilities**

► **Equities**

Question No: 3 (M a r k s: 1)

Which one of the following is a type of General Ledger?

► **Book of original entry**

► **'T' Account**

► **Source document**

► **Day book**

Question No: 4 (M a r k s: 1)

A book, in which receipts and payments are recorded, is known as:

► **Pass Book**

► **Cash Book**

► **Purchase Book**

► **Sales Book**

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Question No: 5 (M a r k s: 1)

Which of the following summarizes the cash movements during a specified period?

► Trading account

► Profit & Loss account

► Receipts & Payments account

► Balance Sheet

Question No: 6 (M a r k s: 1)

Gross Profit > Operating Expenses=?

► Net Profit

► Cost of Goods Sold

► Net Loss

► Gross Loss

Question No: 7 (M a r k s: 1)

What type of expenses are paid out of Gross Profit?

- **► Selling Expenses**
- **► General Expenses**
- **► Financial Expenses**
- **► All of the given options**

Question No: 8 (M a r k s: 1)

Which of the following shows summary of a company's financial position at a specific date?

- **► Profit & Loss Account**
- **► Cash Flow Statement**

► **Balance Sheet**

► **Income & Expenditure Account**

Question No: 9 (M a r k s: 1)

The favorable balance of Profit and Loss account should be:

► **Added in liabilities**

► **Subtracted from current assets**

► **Subtracted from liabilities**

► **Added in capital**

Question No: 10 (M a r k s: 1)

Which of the following account will be credited in the books of XYZ Co. Ltd, if the business purchased a vehicle though cheque?

► **Vehicle account**

► **Cash account**

► **Business account**

► **Bank account**

Question No: 11 (M a r k s: 1)

In cost of goods sold statement the 'cost of goods manufactured' is equal to:

► **Total factory cost + Opening work in process + Ending work in process**

► **Total factory cost + Opening work in process – Ending work in process**

► **Total factory cost - Opening work in process + Ending work in process**

► **Ending work in process +Total factory cost – Opening work in process**

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Question No: 12 (M a r k s: 1)

Cost of asset	**Rs. 1,00,000**
Life of asset	**5 years**
Depreciation for each year	**Rs. 15,000**
Sale price after 5 years	**Rs.50,000**
Book value of Asset after 5 years	**?**

► **Rs.25, 000**

► **Rs. 75,000**

► **Rs. 15,000**

► **Rs. 1, 00,000**

Question No: 13 (M a r k s: 1)

Bank Reconciliation Statement is prepared by:

► **Bankers**

► **Accountant of the business**

► **Statutory auditor**

► **Manger**

Question No: 14 (M a r k s: 1)

The assets which have a limited useful life are termed as:

► **Limited assets**

► **Depreciateable assets**

► **Unlimited assets**

► None of the given options

Question No: 15 (M a r k s: 1)

Consider the following data:

Particulars	Rs.
Assets	?
Owner's equity	1,50,000
Liabilities	1,00,000

► Rs. 49,000

► Rs. 55,000

► Rs. 50,000

► Rs. 2, 50,000

Question No: 16 (M a r k s: 1)

When the Bank Statement balance is more than the Cash Book balance, it is because of:

► Unpresented cheques

► Unrecorded bank charges

► Uncredited cheques

► None of the given options

Question No: 17 (M a r k s: 1)

A debit balance in the Bank Statement indicates:

► Cash at bank

► Bank overdraft

► Overpayment to creditors

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► Cash in hand

Question No: 18 (M a r k s: 1)

Which of the following option is TRUE about the characteristic(s) of Bad Debt?

► It is a definite loss to the business

► It is not shown in Balance Sheet

► No provision is necessary for it

► All of the given options

Question No: 19 (M a r k s: 1)

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

► Rs. 400

► Rs. 800

► Rs. 2,000

► Rs. 2,400

Question No: 20 (M a r k s: 1)

If the (New provision + Bad debts) > Amount of old provision then resulting figure will be shown at:

► **Debit side of Profit & Loss Account**

► **Credit side of Profit & Loss Account**

► **Asset side of Balance Sheet**

► **Liability side of Balance Sheet**

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Question No: 21 (M a r k s: 1)

It is supposed that on 31-12-2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. It is also suppose that during the year 2008 actual bad debts were Rs. 1,600. What entry will pass to create provision for doubtful debts?

► **Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)**

► **Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)**

► **Provision for doubtful debts a/c Rs. 1,600 (Dr) & Profit & Loss a/c Rs. 1,600 (Cr)**

► **Profit & Loss a/c Rs. 1,600 (Dr) & Provision for doubtful debts a/c Rs. 1,600 (Cr)**

Question No: 22 (M a r k s: 1)

Which of the following entry is passed to record discount allowed in control account?

► **Discount Allowed (Dr) and Debtors Control A/c (Cr)**

► **Discount Allowed (Dr) and Debtors A/c (Cr)**

► **Debtors Control A/c (Dr) and Discount Allowed (Cr)**

► **Debtors A/c (Dr) and Discount Allowed (Cr)**

Question No: 23 (M a r k s: 1)

Which of the following account(s) will be affected, while rectifying the error of purchases return of Rs. 200 to "Mr.P" mistakenly entered in sales book?

- ► **P's account**
- ► **Purchases return account**
- ► **Sales account**

► **Purchases returns account and sales account**

Question No: 24 (M a r k s: 1)

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	700

Sundry Debtors (Given in trial balance)	**44,800**

If the Provision for doubtful debts has been increased by 5%, which amount of new provision will be shown in Profit & Loss Account?

► **Rs. 2,240**

► **Rs. 2,425**

► **Rs. 1,925**

► **Rs. 3,025**

Question No: 25 (M a r k s: 1)

Which of the following is normally treated as the last expense listed in the income statement of a company?

► **Interest expense**

► **General and administrative expenses**

► **Salaries and wages expense**

► **Income tax expense**

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Question No: 26 (M a r k s: 1)

An asset is considered to be a current asset if:

► **It has been bought recently and was bought new and not used**

► **It can be realized in cash or sold or consumed in the business within one year**

► **It is a piece of new machinery that is expected to last for at least ten years**

► **All of the given options**

Question No: 27 (M a r k s: 1)

Which of the following account will be credited when interest on capital is charged against the distribution of profit?

► **Interest account**

► **Partner's capital account**

► **Profit and Loss account**

► **Profit and loss appropriation account**

Question No: 28 (M a r k s: 1)

A, B, C are partners. Their profit sharing ratio is equal. Capital balance on July 1st of Partner A --- Rs. 40,000 Partner B --- Rs. 30,000 and Partner C--- Rs. 20,000.Their private property of Partner A is Rs.15,000, Partner B is Rs. 7,000 and Partner C is Rs. 1,500. What is the level of their liabilities under the partnership firm?

Partner A—Rs. 40,000, Partner B---- Rs. ► 30,000, Partner C – 20,000

Partner A—Rs. 40,000, Partner B---- Rs. ► 30,000, Partner C – 21,500

Partner A—Rs. 40,000, Partner B---- Rs. ► 37,000, Partner C – 20,000

Partner A—Rs. 55,000, Partner B---- Rs. 37,000, ► Partner C – 21,500

Question No: 29 (M a r k s: 1)

Which of the following represents the relationship between persons who have agreed to share the profit of business carried on by all or any of them acting for all?

► **Sole-ownership**

► **Private limited company**

► **Public limited company**

► **Partnership**

Question No: 30 (M a r k s: 1)

By which if the following Act/ Ordinance, a company is allowed to issue shares at a higher price than their face value.

► **Companies ordinance 1984**

► **Contract act 1872**

► **Sales of Goods act 1930**

► **None of the given options**

Question No: 31 (M a r k s: 1)

When goods are acquired from the supplier the gross cost of such goods is recorded in:

► **Debtor Account**

► **Purchases Account**

► **Factory overhead account**

► **Sales Account**

Question No: 32 (M a r k s: 1)

In which of the following auditor's remuneration payable is shown?

► **In balance sheet under the head of current liabilities only**

► **In balance sheet under the head of current assets only**

► **In income statement under the administrative expense only**

► **In both balance sheet under the head of current liabilities and income statement under the administrative expense**

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Question No: 33 (M a r k s: 1)

Which of the following is a type of business formed under the Companies Ordinance 1984?

► Sole-Proprietorship

► Partnership

► Joint Stock Company

► All of the given options

Question No: 34 (M a r k s: 1)

Which of the given Asset is Not included in the calculation acid test ratio?

► Stock

► Cash

► Debtors

► Bills Receivable

Question No: 35 (M a r k s: 1)

	Rs.
Gross profit	50,000
Operating profit	42,000
Sales	250, 000
What is the amount of operating expenses	?

► **Rs. 8,000**

► **Rs. 92,000**

► **Rs. 62,500**

► **Rs. 300,000**

Question No: 36 (M a r k s: 1)

What types of changes (is) are made at the admission of partner in partnership?

► **Assets of old business will be revalued**

► Liabilities of old business will be revalued

► Good will of business will be revalued

► All of the given options

Question No: 37 (M a r k s: 1)

If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. B in distributable profit.

► Rs. 98,000

► Rs. 1, 47,000

► Rs. 2, 45,000

► Rs. 3, 43,000

Question No: 38 (M a r k s: 1)

If the Capitals of partners are fixed then, at the end of financial year a partner's drawings are transferred to the:

► **Credit side of the partner's capital account**

► **Credit side of the partner's current account**

► **Debit side of partnership bank account**

► **Debit side of the partner's current account**

Question No: 39 (M a r k s: 1)

The beginning balance of retained earnings was Rs. 7,500. The dividends paid to stockholders' were Rs.1, 500. The ending balance of retained earnings is Rs. 5,000. What was the net income or net loss for the accounting period?

► **Net loss of Rs.1, 000**

► **Net income of Rs. 1,000**

► **Net loss of Rs. 2,000**

► **Net income of Rs. 2,500**

Question No: 40 (M a r k s: 1)

A company declares a cash dividend to be paid to its stockholders next month. The effect of the transaction is to:

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► **Decrease assets and liabilities.**

► **Increase assets and stockholders' equity.**

► **Decrease assets and stockholders' equity.**

► **Increase liabilities and decrease stockholders' equity.**

Question No: 41 (M a r k s: 1)

Debenture is also named as:

► **Share**

► **Bond**

► **Equity**

► **Reserve**

Question No: 42 (M a r k s: 1)

The amount brought by the proprietor in the business should be credited to:

► **Cash account**

► **Capital account**

► **Drawings account**

► **Assets account**

Question No: 43 (M a r k s: 1)

Payment is made of a company's purchases on credit, which of the following is correct:

► Debit stock account and credit creditors account

► Debit creditors account and credit cash account

► Debit cash account and credit creditors account

► Debit stock account and credit cash account

Question No: 44 (M a r k s: 1)

In the heading of financial statement, _____ is not required?

► Title of financial statement

► Name of the person who prepares financial statement

► Period for which financial statement is prepared

► Name of business entity

Question No: 45 (M a r k s: 1)

On the balance sheet, liabilities are categorized as current or

► **Deferred**

► **Unearned**

► **Long-term**

► **Accrued**

Question No: 46 (M a r k s: 1)

According to the rule of debit and credit for balance sheet accounts:

► **Increase in asset, liability, and owners' equity accounts are recorded by debits.**

► **Decrease in asset and liability accounts are recorded by credits**

► **Increase in asset and owners' equity accounts are recorded by debits**

► **Decrease in liability and owners' equity accounts are recorded by debits**

Question No: 47 (M a r k s: 1)

A and B entered in partnership in capital ratio of 2:3. They earned a profit of Rs.6,600 during the year. What will be the share of profit of Mr. B?

- ► **Rs.1,320**
- ► **Rs.2,640**
- ► **Rs.3,960**
- ► **Rs.6,600**

Question No: 48 (M a r k s: 1)

Stockholder's equity would not be affected by:

- ► **Dividends to stockholders**
- ► **Net loss**
- ► **Purchase of land from the proceeds of bank loan**
- ► **Investments of cash by stockholders**

Question No: 49 (M a r k s: 1)

Insurance premiums paid in advance but not yet expired are reported in which of the following account?

► **Insurance payable**

► **Prepaid insurance**

► **Advance payment account**

► **Insurance expense**

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Question No: 50 (M a r k s: 1)

Mr. A & B entered into a partnership with an equal share in profit or loss. The agreement provides that Mr. A will receive Rs.10,000 and Mr. B will receive Rs.8,000 as salary allowance. The net income for the year is Rs.85,000. What will be the total share of Mr. A?

► **Rs.52,500**

► **Rs.42,500**

► **Rs.43,500**

► **Rs.50,500**

Question No: 51 (M a r k s: 1)

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,500 and markup on drawings of Mr. B is Rs.2,800. The net income for the year is Rs.95,000. What will be the amount of distributable profit?

- **► Rs.89,700**
- **► Rs.94,700**
- **► Rs.95,300**
- **► Rs.100,300**

Question No: 52 (M a r k s: 1)

Which of the following can be utilized to meet the expenses of issue of shares?

- **► Reserves**
- **► Debentures**
- **► Share premium**
- **► Term finance certificate**

Question No: 53 (M a r k s: 1)

Which of the following value of the share is authorized by the memorandum of association?

- **► Par value**
- **► Face value**
- **► Nominal value**

► All of the given options

Question No: 54 (M a r k s: 1)

All of the following have an effect on 'operating activities' while preparing the statement of cash flows except:

- **► Provision for doubtful debts**
- **► Gain or loss on currency exchange rate**
- **► Depreciation charged on fixed asset**

► Amount received for disposal of a fixed asset

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Question No: 55 (M a r k s: 3)

Following information is extracted from the books of ABC Ltd as on December 31st, 2008.

Particulars	Rs
Advances from customer	10,000
General reserve	40,000
Accumulated profit brought forward(credit balance)	95,000
Long term loans	1,00,000
Sundry debtors	6,500
Stock in trade	50,000
Advances and prepayments	9,500
Short term running finance	45,400

You are required to calculate Working Capital

Question No: 56 (M a r k s: 5)

What is the meaning of investment. Differentiate between long term and short term investments.

Investment:

Whatever money or resources from ones' own pocket are put in a business is referred to as CAPITAL.

Capital is the investment of the Owner in the business.

Long term Investment:

Investments made with the intention that they will be held for a period longer than twelve months are classified as long term (over the year).

Short Term Investment:

Investments made for a period equal to or shorter than 12 months are classified as short term, (usually under the year i.e. quick bond or fast moving shares)

Question No: 57 (M a r k s: 5)

ABC Inc.'s cash balance at December 31, 2007, the end of its financial reporting year, was Rs.165,000. During 2007, cash provided by operations was Rs.140,000, cash used in investing activities was Rs.60,000, and cash provided by financing activities was Rs.15,000. Calculate the amount of ABC's beginning cash balance at January 1, 2007.

RS 105000

Question No: 58 (M a r k s: 10)

Pass the rectifying entries to correct the following errors:

1) Mr. "Ali" purchased goods of Rs. 1,500 on cash, but omitted to enter in the books of accounts.

Answer:-

Debit	**Purchase A/c**	**1,500**	
Credit	**Creditor A/c**		**1,500**

2) An amount of Rs. 5,000 received from Mr. Amir, was credited to the account of Mr. Ameer.

Answer:-

Debit	**Ameer's A/c**	**5,000**	
	Credit	**Amir's A/c**	**5,000**

3) Goods returned worth Rs. 500 to Mr. "B" wrongly debited to sales Account.

Answer:-

Debit	**Sales A/c**	**500**	
	Credit	**Goods Returned A/c**	**500**

4) A purchase of goods from Mr. "B" of Rs. 400 has been wrongly debited to Furniture Account.

Answer:-

Debit	**Purchase of Goods A/c**	**400**	
	Credit	**Furniture A/c**	**400**

5) Furniture purchased on cash Rs. 8,000 posted as purchases.

Answer:-

Debit	**Cash**	**8000**
	Credit Purchases	**8000**

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Question No: 59 (M a r k s: 10)

Identify which of the following activities are operating, investing or financing in the context of cash flow statement.

6) **Payment to owners, such as cash dividends**

7) **Cash proceeds from collecting principal amounts on loans**

8) **Payments of interest**

9) **Payments to acquire investments and plant and intangible assets**

10) **Payments of income taxes**

11) **Amounts advanced to borrowers**

12) **Collections from customers for sales of goods and services**

13) **Interest and dividends received**

14) **Proceeds from both short-term and long-term borrowing**

15) **Cash received from owners**

Solution:

S. No.	Particulars	Activities
1	Payment to owners, such as cash dividends	Financing
2	Cash proceeds from collecting principal amounts on loans	Financing
3	Payments of interest	Financing
4	Payments to acquire investments and plant and intangible assets	Investing
5	Payments of income taxes	Operating
6	Amounts advanced to borrowers	Operating
7	Collections from customers for sales of goods and services	Operating
8	Interest and dividends received	Financing
9	Proceeds from both short-term and long-term borrowing	Financing
10	Cash received from owners	Financing

Question No: 1 (M a r k s: 1)
Net Profit + Expenses= _____

- ► Liabilities
- ► Assets
- ► Capital
- ► ***Income***

Question No: 2 (M a r k s: 1)
The allocation of the cost of a tangible plant asset to expense in the periods, in which services are received from the asset, is termed as:

- ► Appreciation
- ► Depreciation
- ► Fluctuation
- ► None of the given options

Question No: 3 (M a r k s: 1)
The basic purpose of depreciation is to achieve the:

- ► Matching principle
- ► Dual aspect principle
- ► Separate entity concept
- ► ***Money measurement concept***

Question No: 4 (M a r k s: 1)
If a business pays rent in advance for 12 months, it will be treated as:

- ► ***Prepaid expenses of business***
- ► Long term liability of business
- ► Fixed assets of business
- ► Current liability of business

Question No: 5 (M a r k s: 1)
Cash book is a part of:

- ► Voucher
- ► General Journal
- ► ***General Ledger***
- ► Trial Balance

Question No: 6 (M a r k s: 1)
Bank Reconciliation Statement is:

- ► ***A memorandum statement***
- ► A ledger account
- ► A part of cash book
- ► A part of journal

Question No: 7 (M a r k s: 1)

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If you start with cash book balance (Dr.), which of the following item will be deducted in Bank Reconciliation Statement?

- ► Any cheque drawn to creditor but not paid by bank
- ► Interest credited by the bank in pass book
- ► ***Cheque deposited but not credited by the bank***
- ► Dividend collected by bank on behalf of the customer

Question No: 8 (M a r k s: 1)

The main goal of Bank Reconciliation Statement is to determine:

- ► ***If the discrepancy is due to error rather than timing***
- ► If the discrepancy is due to timing rather than error
- ► If the discrepancy is due to error rather than amount
- ► If the discrepancy is due to amount rather than timing

Question No: 9 (M a r k s: 1)

Which one of the following is **NOT** true about revenue expenditure?

- ► ***These are the running expenses of the business***
- ► They improve the financial position of the business
- ► They reduce the profit of the concern
- ► They do not appear in the balance sheet

Question No: 10 (M a r k s: 1)

Under the reducing balance method of depreciation:

- ► Amount of depreciation increases every year
- ► Amount of depreciation remains constant for every year
- ► ***Amount of depreciation decreases every year***
- ► None of the given options

Question No: 11 (M a r k s: 1)

Consider the following inventory record:

Date	Item	Quantity	Cost/Unit	Total
2007Jan. 2	Opening inventory	100	Rs.18.00	Rs.1,800
Mar. 4	Purchase	400	19.00	7,600
May 8	Purchase	800	20.00	16,000
Nov. 3	Purchase	500	21.00	10,500

Four hundred units are unsold, Use the FIFO method of inventory costing and determine the value assigned to the 400 units on hand at the end of the period.

- ► ***Rs.7, 500***
- ► Rs.7, 978
- ► Rs.8, 000
- ► Rs.8, 400

Question No: 12 (M a r k s: 1)

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

► ***Rs.260***
► Rs.232
► Rs.284
► Rs.320

Question No: 13 (M a r k s: 1)

Particulars	**Rs.**
Opening stock of raw material	100,000
Closing stock of raw material	85,000
Purchases of raw material during the period	200, 000
Cost of Material Consumed	**?**

► Rs. 205,000
► ***Rs. 215,000***
► Rs. 220,000
► Rs. 225,000

Question No: 14 (M a r k s: 1)

The amount of depreciation charged on machinery will be debited to:

► Machinery account
► ***Depreciation account***
► Cash account
► Capital account

Question No: 15 (M a r k s: 1)

Under the straight line method of depreciation:

► Amount of depreciation increases every year
► ***Amount of depreciation remains constant for every year***
► Amount of depreciation decreases every year
► None of the given options

Question No: 16 (M a r k s: 1)

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 5,000
Sale price after 5 years	Rs.50,000
Book value of Asset after 5 years	**?**

► Rs.25, 000

► ***Rs. 75,000***
► Rs. 15,000
► Rs. 1, 00,000

Question No: 17 (M a r k s: 1)

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 5,000
Sale price after 5 years	Rs.50,000
Written down value of asset on 5th year	Rs.75,000
profit or loss on disposal of fixed assets	**?**

► ***Rs.25, 000 loss***
► Rs. 75,000 loss
► Rs. 15,000 profit
► Rs. 1, 00,000 profit

Question No: 18 (M a r k s: 1)

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for the each year	Rs. 5,000
Sale price after 5 years	Rs.15,000
Written Down Value of Asset on 5th year	Rs. 75,000
Profit or loss on disposal of fixed asset	**?**

► ***Rs. 60,000 loss***
► Rs. 75,000 profit
► Rs. 25,000 loss
► Rs. 1, 00,000 profit

Question No: 19 (M a r k s: 1)
In cost of goods sold statement the 'total factory cost' is equal to:

► Cost of material consumed + Labor cost
► ***Cost of material consumed + Conversion cost***
► Cost of material consumed + Total factory cost
► Cost of material consumed + Factory overhead

Question No: 20 (M a r k s: 1)
Which of the following organization converts raw material into finished goods?

► Trading concern
► ***Manufacturing concern***
► Merchandising concern
► Service concern

Question No: 21 (M a r k s: 1)
Which of the following item appears in Trading Account of a business?

► Interest expenses

► ***Wages and salaries***
► Depreciation expenses
► Discount Allowed

Question No: 22 (M a r k s: 1)
Which of the following is an alternate term which can be used for “Capital”?

► Liability
► ***Owner’s net worth***
► Working capital
► Asset

Question No: 23 (M a r k s: 1)
If salaries expense is Rs. 2,500, purchases are Rs. 16,000 and rent (office building) is Rs. 300 during the year, what would be the total of "general & administrative expenses"?

► Rs. 300
► Rs. 2,500
► ***Rs. 2,800***
► Rs.18, 800

Question No: 24 (M a r k s: 1)
Which of the following account balance will be shown on debit side of Trial Balance? (It is assumed that all account balances are shown on normal balance).

► Capital account
► Sundry creditors account
► Accounts payable account
► ***Cash account***

Question No: 25 (M a r k s: 1)
The amount brought by the proprietor in the business should be credited to:

► Cash account
► Capital account
► ***Drawings account***
► Proprietor account

Question No: 26 (M a r k s: 1)
Which of the following account will be credited, if business sold goods for Rs.10,000 on credit?

► Cash account
► ***Sales account***
► Accounts receivable account
► Purchases account

Question No: 27 (M a r k s: 1)

Which of the following account will be credited, if business purchased a vehicle on cash?

- ► Vehicle account
- ► ***Cash account***
- ► Business account
- ► Bank account

Question No: 28 (M a r k s: 1)
Which of the following journal entry will be recorded, if the goods are sold on credit to Mr. 'B'?

- ► ***Mr. "B" / Accounts Receivable account (Dr) and Sales account (Cr)***
- ► Cash account (Dr) and sales account (Cr)
- ► Sales account (Dr) and Mr. B / Accounts Receivable account (Cr)
- ► Goods Sold account (Dr) and Mr. B / Accounts Receivable account (Cr)

Question No: 29 (M a r k s: 1)
Accrued expenses are the example of:

- ► ***Current liabilities***
- ► Long term liabilities
- ► Deferred costs
- ► Capital expenses

Question No: 30 (M a r k s: 1)
Which of the following shows summary of a company's financial position at a specific date?

- ► Profit & Loss Account
- ► Cash Flow Statement
- ► ***Balance Sheet***
- ► Income & Expenditure Account

Question No: 31 (M a r k s: 1)
What type of expenses are paid out of Gross Profit?

- ► Selling Expenses
- ► General Expenses
- ► Financial Expenses
- ► ***All of the given options***

Question No: 32 (M a r k s: 1)
An informal accounting statement that lists the ledger account balances at a point in time and compares the total of debit balances with the total of credit balances is known as:

- ► Income Statement
- ► Balance Sheet
- ► ***Trial Balance***
- ► Cash Book

Question No: 33 (M a r k s: 1)
Which of the following essentials are shown in Bank Book?
(1) Date of transaction
(2) Narration of transaction
(3) Cheque number

► (1) & (2) only
► (2) & (3) only
► (1) & (3) only
► (1), (2) & (3)

Question No: 34 (M a r k s: 1)
Which of the following book(s) is(are) a part of General Ledger?

► Cash Book
► Purchase Return Book
► Purchase Book
► All of the given options

Question No: 35 (M a r k s: 1)
A book, in which receipts and payments are recorded, is known as:

► Pass Book
► Cash Book
► Purchase Book
► Sales Book

Question No: 36 (M a r k s: 1)
In an account, if credit side < debit side then the balance is known as:
► Negative Balance
► Debit Balance
► Positive Balance
► Credit Balance

Question No: 37 (M a r k s: 1)
Commercial Accounting is based on:
► Single entry book keeping
► Double entry book keeping
► Both single and double entry book keeping
► Cash basis of book keeping

Question No: 38 (M a r k s: 1)
According to the double entry system of accounting, an account that obtains benefit is:
► Debit
► Credit
► Income
► No need to show as accounting record

Question No: 39 (M a r k s: 1)
Which of the following is non- profit organization?
► Sole proprietorship
► Partnership
► Limited company
► Trust

Question No: 40 (M a r k s: 1)

Mr. “A” sold goods to Mr. “B” for Rs. 3,000 on October 8, 2008 and Mr. “B” paid at the same time. It will be case of _____ sales.

► ***Cash***
► Credit
► Accrual based
► None of the given options

Question No: 41 (M a r k s: 10)

State with reasons whether the following items of expenditure are capital or revenue in nature.

1. Wages paid on the purchase of goods.
2. Carriage paid on goods purchased.
3. Transportation paid on purchase of machinery.
4. Octroi duty paid on machinery.
5. Octori duty paid on goods.
6. A second hand car was purchased for Rs. 7,000 and Rs, 5,000 were spent for its repair and overhauling.
7. Office building was whitewashed at a cost of Rs. 3,000.
8. A new machinery was purchased for Rs. 80,000 and a sum of Rs. 1,000 was spent on its installation and erection
9. Old furniture was repaired at a cost of Rs. 500.
10. Land was purchased for Rs. 1, 00,000 and Rs. 5,000

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MGT101 Question # 1 of 15 (05:38:27 PM)
Which of the following is / are the particular/s of a cash book? (1) Date of transaction (2) Account title (3) Amount
Select correct option:
1 only
1 & 2 only
1 & 3 only
1, 2 & 3

MGT101 Question # 2 of 15 (05:38:51 PM)
The total of all costs incurred to convert raw material into finished goods is known as:
Select correct option:

Prime cost
Conversion cost
Sunk cost
Opportunity cost

MGT101 Question # 3 of 15 (05:39:09 PM)
Amount generated from sales in a business is called:
Select correct option:
Income
Net Income
Gross Profit
Operating profit

MGT101 Question # 4 of 15 (05:39:57 PM)
Cost of goods manufactured - opening work in process + ending work in process =?
Select correct option:
Cost of goods sold
Prime cost
Conversion cost
Total factory cost

MGT101 Question # 5 of 15 (05:41:10 PM)
Which of the following is the example of current liability?
Select correct option:
Notes payable
Notes receivable
Accounts receivable
Prepaid expenses

MGT101 Question # 6 of 15 (05:41:27 PM)
What will be debited, if business sold goods for Rs.10, 000 on credit?
Select correct option:
Cash account
Sales account
Accounts receivable account
Purchases account

MGT101 Question # 7 of 15 (05:42:01 PM)
Which of the following particular is NOT included in journal voucher?
Select correct option:
Name of organization
Bank receipt number
Debit amount
Credit amount

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MGT101 Question # 8 of 15 (05:42:25 PM)
Consider the following data: Particulars Rs. Assets ? Owner's equity 35,000 Liabilities 90,000
Select correct option:
Rs. 35,000
Rs. 55,000
Rs. 1, 25,000
Rs. 1, 05,000

MGT101 Question # 9 of 15 (05:43:03 PM)
What would conversion costs if costs of raw materials, direct labor costs, and manufacturing overhead costs Rs.80,000, Rs.50,000, and Rs.60,000, respectively?
Select correct option:
Rs.130, 000

Rs.110, 000
Rs.140, 000
Rs.190, 000

MGT101 Question # 10 of 15 (05:43:40 PM)
The main purpose of _____ is to ascertain true result of the business operation during particular period of time.
Select correct option:
Cost Accounting
Financial Accounting
Managerial Accounting
Tax Accounting

MGT101 Question # 11 of 15 (05:44:26 PM)
If cost of sales is Rs. 90,000, income from sales Rs. 200,000 and operating expenses Rs. 100,000. What will be net result?
Select correct option:
Rs. 5,000 Losses
Rs.10, 000 Profits
Rs 1, 95,000 Profits
Rs 1, 95,000 Losses

MGT101 Question # 12 of 15 (05:45:12 PM)
What is the next step to Journalizing in Accounting cycle?
Select correct option:
Recording
Posting
Balancing
Analyzing

MGT101 Question # 13 of 15 (05:45:32 PM)
Consider the following data: Particulars Rs. Assets 99,500 Owner's equity 50,500 Liabilities ?
Select correct option:
Rs. 49,000
Rs. 55,000
Rs. 125,000
Rs. 115,700

MGT101 Question # 14 of 15 (05:46:07 PM)
Net Profit = Income - _____
Select correct option:
Liabilities
Assets
Expenses
Capital

MGT101 Question # 15 of 15 (05:46:39 PM)
Depreciation arises because of:
Select correct option:
Fall in the market value of an asset
Fall in the value of money
Physical wear and tear
All of the given options

MGT101 Question # 1 of 15 (05:53:02 PM)
Which of the following account balance/s is/are shown on credit side of Trial Balance? (It is assumed that all account balances are shown on normal balance)
Select correct option:
Capital account
Sundry creditors account
Accounts payable account
All of the given options

MGT101 Question # 2 of 15 (05:53:47 PM)
In case of Income and Expenditure account, Excess of income over expenses in a specified accounting period is called:
Select correct option:
Profit
Loss
Surplus
Deficit

MGT101 Question # 3 of 15 (05:54:58 PM)
Which of the following Organization converts raw material into finished goods?
Select correct option:
Trading concern
Manufacturing concern
Merchandising concern
Service concern

When total liabilities are subtracted from total assets the remaining amount is known as:
Select correct option:
Equity or net assets
Net income or net loss
Total expenses
Total revenue

MGT101 Question # 5 of 15 (05:56:21 PM)
Which one of the following is INCORRECT about closing Stock?
Select correct option:
It is added into current assets
It is deducted from Material available for use
It becomes opening stock of next year
It reduces the resources of business

MGT101 Question # 6 of 15 (05:56:55 PM)
Budget is a plan of income, expenses & other financial operations for:
Select correct option:
Current period
Future period
Past period
None of the given options

MGT101 Question # 7 of 15 (05:57:33 PM)
Find out the missing value of an Accounting Equation with the help of given data: Cash Rs.100, 000 Debtors Rs.10, 000 Other Assets Rs. 1,000 Owner's equity Rs. 1, 000 Liabilities ?
Select correct option:
Rs. 12,000
Rs. 11,000
Rs. 110,000
Rs. 111,000

MGT101 Question # 8 of 15 (05:58:42 PM)
Which of the following account summarizes the profitability of business for a specific accounting period?
Select correct option:
Profit & Loss account
Cash flow statement
Receipt & Payment account
Balance Sheet

MGT101 Question # 9 of 15 (05:59:12 PM)
Which of the following asset is NOT depreciated?
Select correct option:

Factory Buildings
Office Equipment
Plant & Machinery
Land

What will be debited, if Mohsin commenced business with cash?
Select correct option:
Cash account
Capital account
Drawings account
Proprietor account

MGT101 Question # 11 of 15 (06:00:17 PM)
Which of the following is Not a part of General Ledger?
Select correct option:
Activity Book
Purchase Return Book
Purchase Book
Sales Book

MGT101 Question # 12 of 15 (06:00:53 PM)
Debit signifies:
Select correct option:
Increase in Asset account
Decrease in liability account
Decrease in capital account
All of the given options

MGT101 Question # 13 of 15 (06:01:24 PM)
Under the diminishing balance method, depreciation is calculated on:
Select correct option:
The original cost
The scrap value
Book value
Both original cost and Scrap value

MGT101 Question # 14 of 15 (06:01:57 PM)
The amount charged to depreciation goes on declining in:
Select correct option:
Depreciation fixed method
Annuity method
Written-down value method
Straight line depreciation method

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MGT101 Question # 15 of 15 (06:02:54 PM)
Which of the following is NOT correct?
Select correct option:
Decrease in Assets will be debit
Decrease in Liabilities will be debit
Decrease in Expenses will be credit
Decrease in Revenue will be debit

MGT101 Question # 1 of 15 (06:18:38 PM)
What will be the effect on accounting equation if cash is received from a tenant as office rent?
Select correct option:
Increase cash and decrease equity
Increase cash and increase equity
Decrease cash and increase equity
Decrease cash and increase dividends

MGT101 Question # 2 of 15 (06:19:35 PM)
Which one of the following is INCORRECT about closing Stock?
Select correct option:
It is added into current assets
It is deducted from Material available for use
It becomes opening stock of next year
It reduces the resources of business

MGT101 Question # 3 of 15 (06:20:07 PM)
Which of the following is a FIRST product of accounting cycle?
Select correct option:
Voucher
General Journal
General Ledger
Financial Statements

MGT101 Question # 4 of 15 (06:20:37 PM)
If cost of sales is Rs. 95,000, income from sales Rs. 200,000 and operating expenses Rs. 100,000. What will gross profit?
Select correct option:
Rs. 5,000
Rs. 95,000
Rs. 1, 00,000
Rs.1, 05,000

MGT101 Question # 5 of 15 (06:21:21 PM)
Which of the following are recorded in Cash Book?
Select correct option:
Receipts and payments
Profits and losses
Assets and liabilities
Capital and Expenditures

MGT101 Question # 6 of 15 (06:21:52 PM)
Net Profit = Income - _____
Select correct option:
Liabilities
Assets
Expenses
Capital

MGT101 Question # 7 of 15 (06:22:17 PM)
Which of the following particular/s is/are included in payment voucher?
Select correct option:
Name of organization
Cash payment
Date
All of the given options

MGT101 Question # 8 of 15 (06:22:54 PM)
Cost of goods manufactured + opening finished goods – ending finished goods =?
Select correct option:
Total factory cost
Cost of goods sold
Prime cost
Conversion cost

MGT101 Question # 9 of 15 (06:24:08 PM)
Which of the following account is normally NOT exists in the balance sheet of the manufacturing concern?
Select correct option:
Work in Process Inventory
Raw Materials Inventory

Merchandise Inventory
Finished Goods Inventory

MGT101 Question # 10 of 15 (06:24:51 PM)
If cost of sales is Rs. 90,000, income from sales Rs. 200,000 and operating expenses Rs. 100,000. What will be net result?
Select correct option:
Rs. 5,000 Losses
Rs.10, 000 Profits
Rs 1, 95,000 Profits
Rs 1, 95,000 Losses

MGT101 Question # 11 of 15 (06:25:32 PM)
All the statements are correct about Journal voucher EXCEPT:
Select correct option:
Financial data is picked only from journal vouchers to Journal
These are used to record all transaction other than cash & bank
These are used to make corrections or adjustments to previous Receipt
Format of journal voucher is different from other vouchers

MGT101 Question # 12 of 15 (06:26:35 PM)
In case of Income and Expenditure account, Excess of income over expenses in a specified accounting period is called:
Select correct option:
Profit
Loss
Surplus
Deficit

MGT101 Question # 13 of 15 (06:27:08 PM)
The investment of Rs. 10,000 made by the owner in business will have an effect on which of the following accounts?
Select correct option:
Cash Account & Capital Account
Cash Account & Expense Account
Capital Account & Revenue Account
Capital Account & Expense Account

MGT101 Question # 14 of 15 (06:27:41 PM)
Outsider’s claim against the assets of the business is called:
Select correct option:
Capital
Liability
Expense
Income

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MGT101 Question # 15 of 15 (06:28:25 PM)
Consider the following data: Particulars Rs. Assets 75,500 Owner's equity ? Liabilities 40,200
Select correct option:
Rs. 35,300
Rs. 55,000
Rs. 125,000
Rs. 115,700

MGT101 Question # 1 of 15 (06:30:56 PM)
What will be debited, if business bought goods on credit from Mr. Ali?
Select correct option:
Purchases account
Mr. Ali account

Cash account
Sales account

MGT101 Question # 2 of 15 (06:31:56 PM)
In the cost of goods sold statement, the sum of labor cost and the factory over head is known as:
Select correct option:
Conversion cost
Prime cost
Total factory cost
Cost of goods manufactured

MGT101 Question # 3 of 15 (06:32:36 PM)
Consider the following data: Particulars Rs. Assets ? Owner's equity 35,000 Liabilities 90,000
Select correct option:
Rs. 35,000
Rs. 55,000
Rs. 1, 25,000
Rs. 1, 05,000

MGT101 Question # 4 of 15 (06:33:17 PM)
When total liabilities are subtracted from total assets the remaining amount is known as:
Select correct option:
Equity or net assets
Net income or net loss
Total expenses
Total revenue

MGT101 Question # 5 of 15 (06:33:50 PM)
Which of the following is fiscal Year of Government of Pakistan?
Select correct option:
1st January to 31st December
1st June to 31st May
1st July to 30th June
1st October to 30th September

MGT101 Question # 6 of 15 (06:34:32 PM)
Which of the following is/are inventory valuation method(s)?
Select correct option:
FIFO
LIFO
Weighted average
All of the given options

MGT101 Question # 7 of 15 (06:35:04 PM)
The investment of Rs. 10,000 made by the owner in business will have an effect on which of the following accounts?
Select correct option:
Cash Account & Capital Account
Cash Account & Expense Account
Capital Account & Revenue Account
Capital Account & Expense Account

MGT101 Question # 8 of 15 (06:35:37 PM)
What will be debited, if business purchased Furniture on cash?
Select correct option:
Furniture account
Cash account
Business account
Bank account

MGT101 Question # 9 of 15 (06:36:09 PM)
Cost of goods manufactured + opening finished goods – ending finished goods =?
Select correct option:
Total factory cost
Cost of goods sold
Prime cost
Conversion cost

MGT101 Question # 10 of 15 (06:36:51 PM)
Which of the following contents are included in the Cost of goods sold?
Select correct option:
Opening stock
Purchases
Freight in
All of the given options

MGT101 Question # 11 of 15 (06:37:32 PM)
Particulars Rs. Opening written down value of machine 1,00,000 Cost of new machine purchased during the year 50,000 Depreciation during the year 20,000 Closing written down value (WDV) ?
Select correct option:
Rs. 1,30,000
Rs. 1, 50,000
Rs. 1, 20,000
Rs. 70,000

MGT101 Question # 12 of 15 (06:38:28 PM)
What will be debited, If Mr. “A” started business with Rs. 2, 00,000.
Select correct option:
Capital account
Cash account
Mr. A’s account
Business account

MGT101 Question # 13 of 15 (06:39:03 PM)
In cost of goods sold statement the ‘cost of goods manufactured’ is equal to:
Select correct option:
Total factory cost + Opening work in process + Ending work in process
Total factory cost + Opening work in process – Ending work in process
Total factory cost - Opening work in process + Ending work in process
Ending work in process +Total factory cost – Opening work in process

MGT101 Question # 14 of 15 (06:40:04 PM)
What is nature of Capital account?
Select correct option:
Debit
Credit
Expenses
Loss

MGT101 Question # 15 of 15 (06:40:34 PM)
The amount charged to depreciation goes on declining in:
Select correct option:
Depreciation fixed method
Annuity method
Written-down value method
Straight line depreciation method

Question # 1 of 20 (Start time: 12:44:03 AM) Total M a r k s: 1

Which of the following is (are) item (s) of cost of goods sold statement?

Select correct option:

Purchase of raw material
Any tax/freight paid on purchases
Any expense incurred on carriage/transportation of raw material purchased items
All of the given options

Question # 2 of 20 (Start time: 12:44:52 AM) Total M a r k s: 1
Which of the following voucher is used to record transactions that do not affect bank & cash?
Select correct option:
Journal Voucher
Receipt Voucher
Payment Voucher
Nominal Voucher

Question # 3 of 20 (Start time: 12:45:48 AM) Total M a r k s: 1
If salaries are Rs. 2500, purchases Rs. 18,000 and rent Rs. 400; what will be administrative expenses? Select correct option:
Rs. 400
Rs. 2,500
Rs. 2,900
Rs.20, 900

Question # 4 of 20 (Start time: 12:46:54 AM) Total M a r k s: 1
What would conversion costs if costs of raw materials, direct labor costs, and manufacturing overhead costs Rs.80,000, Rs.50,000, and Rs.60,000, respectively? Select correct option:
Rs.130, 000
Rs.110, 000
Rs.140, 000
Rs.190, 000

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Question # 5 of 20 (Start time: 12:47:57 AM) Total M a r k s: 1
A form that allows individuals to compare their personal bank account records to the bank's records of the individual's account balance in order to uncover any possible discrepancies is known as:
Select correct option:
Bank statement
Income statement
Financial statement
Bank Reconciliation statement

Question # 6 of 20 (Start time: 12:49:23 AM) Total M a r k s: 1
Cash and other resources that are expected to turn to cash or to be used up within one year of the balance sheet date are called:
Select correct option:

Current liability
Current assets
Fixed assets
Long-term assets

Question # 7 of 20 (Start time: 12:50:15 AM) Total M a r k s: 1
An accounting system is used by a business to:
Select correct option:
Analyze transactions
Handle routine bookkeeping tasks
Structure information
All of the given options

Question # 8 of 20 (Start time: 12:51:02 AM) Total M a r k s: 1
Particulars Rs. Opening written down value of machine 3,75,000 Cost of machine 50,000 Depreciation during the year 11,500 Closing written down value (WDV) of the Machines ?
Select correct option:
Rs. 4,13,500
Rs. 4, 25,000
Rs. 3, 36,500
Rs. 61,500

Question # 9 of 20 (Start time: 12:52:03 AM) Total M a r k s: 1 What will be debited, if business purchased Furniture on cash?
Select correct option:
Furniture account
Cash account
Business account
Bank account

Question # 10 of 20 (Start time: 12:52:44 AM) Total M a r k s: 1
Expenditure incurred in acquiring the patent right for the business is an example of:
Select correct option:
Revenue expenditure
Capital expenditure
Deferred revenue expenditure
Administrative expenditure

Question # 11 of 20 (Start time: 12:52:44 AM) Total M a r k s: 1
Total assets - Total liabilities =?
Select correct option:
Owner's Equity
Expenses
Retained earnings
Net profit

Question # 12 of 20 (Start time: 12:54:06 AM) Total M a r k s: 1
What will be debited, if business bought goods on credit from Mr. Ali?
Select correct option:
Purchases account

Mr. Ali account
Cash account
Sales account

Question # 13 of 20 (Start time: 01:00:12 AM) Total M a r k s: 1
Prepaid rent given in the Trial Balance will be treated as a (an):
Select correct option:
Asset
Liability
Revenue
Deferred expense

Question # 14 of 20 (Start time: 01:00:51 AM) Total M a r k s: 1
A business event which can be measured in terms of money and must be recorded in books of accounts is called:
Select correct option:
Condition
Transaction
Information
Record

Question # 15 of 20 (Start time: 01:01:19 AM) Total M a r k s: 1
Which one of the following is NOT a feature of sole proprietorship business.
Select correct option:
Easy Formation
Easy Dissolution
Unlimited Liability
Separate Legal Entity

Question # 16 of 20 (Start time: 01:02:31 AM) Total M a r k s: 1
In which of the following statement opening stock is shown?
Select correct option:
Profit and loss account
Balance sheet
Cash flow statement
Owner's equity

Question # 17 of 20 (Start time: 01:03:27 AM) Total M a r k s: 1
The primary purpose of preparing a cash flow statement for an entity is to provide information about: Select correct option:
The profitability of its business operations for a period of time
Its financial position at the end of an accounting period
Its cash receipts and cash payments during an accounting period (Not Sure)
None of the given options

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Question # 18 of 20 (Start time: 01:04:47 AM) Total M a r k s: 1
Which of the following is (are) example(s) of non distributable profit?
Select correct option:

General reserve
Accumulated profit and loss (credit balance)
Revaluation reserves
None of the given options (Not sure)

Question # 19 of 20 (Start time: 01:06:10 AM) Total M a r k s: 1
Which of the following Organization converts raw material into finished goods?
Select correct option:
Trading concern
Manufacturing concern
Merchandising concern
Service concern

Question # 20 of 20 (Start time: 01:06:30 AM) Total M a r k s: 1
In firms cash flow statements, which of the following would appear as a cash outflow?
Select correct option:
The payments for share in a company whose shares are treated on a stock exchange
A decrease in trade debtors over the course of an accounting period
Money received as a result of issuing new shares

Money received as result of selling fixed assets

Which of the following is(are) example(s) of accruals?

Select correct option:
Electricity bills payable
Water supply bills payable
Wages payable
All of the given options

Which of the following shows company's negative working capital?
Select correct option:
Current Asset > Current Liability
Current Asset < Current Liability
Current Asset = Current Liability
None of the given options

_____ is the detail of transaction in one's account provided by the bank.
Select correct option:
Bank statement
Bank reconciliation statement
Income statement
Financial statement

Total Sales are calculated by adding:
Select correct option:
Cash sales and cash received from debtors
Credit sales and cash received from debtors
Cash sales and credit sales
Cash ales and credit purchases

The amount of owner's equity in a business is affected by which of the following?
Select correct option:
The profitability of the business
Investments made in the business by the owner
The amount of dividends paid to stockholders
All of the given options

Expenses incurred for Salaries, heating and lighting are the examples of:

Select correct option:
Preliminary Expense
Deferred Expense
Revenue Expense
Capital Expense

Which of the following account balance/s is/are shown on credit side of Trial Balance? (It is assumed that all account balances are shown on normal balance)
Select correct option:
Capital account
Sundry creditors account
Accounts payable account
All of the given options

While making Profit & Loss account, Excess of expenses over income in a specified accounting period is called:
Select correct option:
Profit
Loss
Surplus
Deficit

_____ is the art of recording, classifying and summarizing the transactions and events of a business and interpreting the results thereof.
Select correct option:
Book-keeping
Accounting
Management
Auditing

In balance sheet fixed assets are shown at:
Select correct option:
Written down value (WDV)
Cost price
Market value
Fair value

Assets are divided in which of the following categories in balance sheet.
Select correct option:
Current assets, Long term assets and capital assets
Current assets, Long term assets and fixed assets
Current assets, Quick assets and business debts
Current assets, Fixed assets and deferred cost

In cost of goods sold statement the 'cost of goods manufactured' is equal to:
Select correct option:
Total factory cost + Opening work in process + Ending work in process
Total factory cost + Opening work in process – Ending work in process
Total factory cost - Opening work in process + Ending work in process
Ending work in process +Total factory cost – Opening work in process

Supervisor's salary and equipment repair cost are examples of:
Select correct option:
Factory overhead cost
Direct material cost
Direct labor cost
Finished goods cost

Bank Reconciliation Statement is:
Select correct option:
A memorandum statement
A ledger account
A part of cash book
A part of journal

Which of the following entry will be recorded for discount received in a control account?
Select correct option:
Discount Received (Dr) and Creditors Control A/c (Cr)
Discount Received (Dr) and Creditors A/c (Cr)
Creditors Control A/c (Dr) and Discount Received (Cr)
Debtors A/c (Dr) and Discount Received (Cr)

A form that allows individuals to compare their personal bank account records to the bank's records of the individual's account balance in order to uncover any possible discrepancies is known as:
Select correct option:
Bank statement
Income statement
Financial statement
Bank Reconciliation statement

Bank Reconciliation Statement is prepared by:
Select correct option:
Bankers
Accountant of the business
Statutory auditor
Manger

Particulars Rs. Opening written down value of machine 3,75,000 Cost of machine 50,000 Depreciation during the year 11,500 Closing written down value (WDV) of the Machines ?
Select correct option:
Rs. 4,13,5000
Rs. 4, 25,000
Rs. 3, 36,500
Rs. 61,500

Sales to Mr. "A" of Rs. 336 have been debited to Mr. "B" account, this will be rectified by:
Select correct option:
Debiting Mr. A's account and crediting Mr. B's account
Debiting Mr. B's account and crediting Mr. A's account
Crediting both accounts
Debiting both accounts

All the statements are correct about Journal voucher EXCEPT:
Select correct option:

Financial data is picked only from journal vouchers to Journal
These are used to record all transaction other than cash & bank
These are used to make corrections or adjustments to previous Receipt
Format of journal voucher is different from other vouchers

Which of the following contents are included in the Cost of goods sold?
Select correct option:

Opening stock
Purchases
Freight in
All of the given options

Which of the following Journal entry will be recorded when the bad debts are recovered?
Select correct option:

Cash account (Dr.) & Bad Debts recovered account (Cr.)
Accounts Receivable (Dr.) & Bad Debts recovered account (Cr.)
Bad debts recovered account (Dr.) and profit & loss account (Cr.)
Provision for doubtful debts account (Dr.) & cash account (Cr.)

Which of the following is NOT correct?
Select correct option:

Decrease in Assets will be credit
Decrease in Liabilities will be credit
Decrease in Expenses will be credit

Decrease in Revenue will be debit

Particulars Rs. Opening written down value of machine 1,00,000 Cost of new machine purchased during the year 50,000 Depreciation during the year 20,000 Closing written down value (WDV) ?
Select correct option:

Rs. 1,30,000
Rs. 1, 50,000
Rs. 1, 20,000
Rs. 70,000

An accounting system is used by a business to:
Select correct option:

Analyze transactions
Handle routine bookkeeping tasks
Structure information
All of the given options

In an account if debit side > credit side, the balance is known as the:
Select correct option:

Negative Balance
Debit balance
Positive Balance
Credit balance

Details of individual accounts are kept in a separate register / ledger called:
Select correct option:

Control Account
Subsidiary Ledger
General Journal
All of the given options

which of the following statement/s closing stock is/are shown?
Select correct option:

Profit and loss account
Balance sheet
Income statement
All of the given options

Which of the following particular/s is/are included in payment voucher?
Select correct option:

Name of organization
Cash payment
Date
All of the given options

Which of the following appears in both the Income Statement debit column and the Balance Sheet credit?
Select correct option:

Net income
Net loss
Dividends
Retained earnings

A book that keeps separate record for each account is known as:
Select correct option:

Trial Balance
Voucher
General Journal
General Ledger

Which of the following Organization converts raw material into finished goods?
Select correct option:

Trading concern
Manufacturing concern
Merchandising concern
Service concern

Franchise rights, goodwill and patents are the examples of:
Select correct option:

Liquid assets
Tangible assets
Intangible assets
Current assets

Cost of goods sold + ending finished goods – opening finished goods=?
Select correct option:

Total factory cost
Cost of goods manufactured
Prime cost
Conversion cost

accounting, which of the following account will be credited if the bad debts are recovered in cash?
Select correct option:

Cash a/c
Bad debt recovered a/c
Doubtful debts a/c
Provision for bad debts a/c

What should be credited, if rent paid in cash?
Select correct option:

Landlord's account
Rent account
Cash account
Accounts receivable account

Sales to Mr. "A" of Rs. 336 have been debited to Mr. "B" account, this will be rectified by:
Select correct option:

Debiting Mr. A's account and crediting Mr. B's account
Debiting Mr. B's account and crediting Mr. A's account
Crediting both accounts
Debiting both accounts

If cost of sales is Rs. 60,000, income from sales Rs. 95,000 and direct expenses Rs. 10,000. Calculate Net profit.
Select correct option:

Rs. 15,000
Rs. 35,000
Rs. 55,000
Rs. 60,000

Particulars Rs. Opening written down value of machine 4,10,000 Cost of machine purchased during the year 50,000 Depreciation during the year 20,000 closing written down value (WDV) of the Machines ?
Select correct option:

Rs. 4, 40,000
Rs. 4, 30,000
Rs. 4, 80,000
Rs. 70,000

Which of the following voucher is used to record receipt of cash?
Select correct option:

Journal Voucher
Receipt Voucher
Payment Voucher
Nominal Voucher

In double entry system discount received is recorded as:
Select correct option:

Creditors a/c (Dr.), Discount received a/c (Cr.)
Discount received a/c (Dr.), Creditors a/c (Cr.)
Debtor a/c (Dr.), Discount received a/c (Cr.)
Discount received a/c (Dr.), Debtor a/c (Cr.)

The expenses which are NOT paid out of Gross Profit is classified as:
Select correct option:

Direct Expenses
General Expenses
Financial Expenses
Selling Expenses

Which of the following account(s) would be decreased with a debit?
Select correct option:

Capital
Retained Earnings
Revenues
All of the given options

Which of the following is fiscal Year of Government of Pakistan?
Select correct option:

1st January to 31st December
1st June to 31st May
1st July to 30th June
1st October to 30th September

Which of the following is/are inventory valuation method(s)?
Select correct option:

FIFO
LIFO
Weighted average
All of the given options

Which of the following particular/s is/are included in receipt voucher?
Select correct option:

Name of organization
Bank receipt
Date
All of the given options

Which of the following assets is most likely to appreciate rather than depreciate?
Select correct option:

Land
Motor vehicles
Plant and machinery
Fixtures and fittings

Which of the following item needs to be entered in the Cash Book in order to bring it in line with the entries on the Bank Statement?
Select correct option:

A bank charges

An error on the Bank Statement
An uncredited deposit
An unpresented cheque

Wages paid to laborers working in the manufacturing department is treated as an expense of:
Select correct option:

Cost of goods sold
Administrative expenses
Selling expenses
Marketing expenses

Bad debts written off (given in adjustment) always affect the:
Select correct option:

Debtors account
Creditors account
Cash account
Capital account

Carriage paid Rs. 50 for the newly purchased machinery if debited to carriage account will effect:
Select correct option:

Only carriage account
Only machinery account
Both carriage and machinery account
None of the given options

Cost of goods manufactured - opening work in process + ending work in process =?
Select correct option:

Cost of goods sold
Prime cost
Conversion cost
Total factory cost

If cost of sales is Rs. 95,000, income from sales Rs. 200,000 and operating expenses Rs. 300,000. What will be net result?
Select correct option:

Rs. 1, 95,000 Losses
Rs. 1, 95,000 Profits
Rs 1, 05,000 Profits
Rs1, 05,000 Losses

What is the proper order of the following steps in the accounting process? I. Prepare and analyze the trial balance II. Record relevant transactions and events in a journal III. Analyze each transaction and event from source documents IV. Post journal information to ledger accounts
Select correct option:

III. IV. I. II.
I. II. III. IV.
III. II. IV. I.
III. II. I. IV.

Sales to Mr. "A" of Rs. 336 have been debited to Mr. "B" account, this will be rectified by:
Select correct option:

Debiting Mr. A's account and crediting Mr. B's account
Debiting Mr. B's account and crediting Mr. A's account
Crediting both accounts
Debiting both accounts

Which of the following expenses are called financial expenses?
Select correct option:

Payment of rent & Salary expense
Markup on loan& Bank Charges

Interest & advertisement expense
Wages and Depreciation expense

Cash and other resources that are expected to turn to cash or to be used up within one year of the balance sheet date are called:
Select correct option:

Current liability
Current assets
Fixed assets
Long-term assets

Money spent to acquire or upgrade physical assets is known as:
Select correct option:

Revenue Expense
Capital Expense
Administrative Expense
Operating Expense

Which of the following might be a reason, when a Bank Statement show greater balance then Cash Book balance at the end of specified period?
Select correct option:

Unpresented cheques
Unrecorded bank charges
Uncredited cheques
None of the given options

Which of the following particular is NOT included in journal voucher?
Select correct option:

Name of organization
Bank receipt number
Debit amount
Credit amount

Consider the following data: Particulars Rs. Assets ? Owner's equity 35,000 Liabilities 90,000
Select correct option:

Rs. 35,000
Rs. 55,000
Rs. 1, 25,000
Rs. 1, 05,000

If, Cost of machine = Rs.400, 000 Useful life = 5 years Residual value = Rs.25, 000 Sale price = Rs.40, 000 Rate of depreciation = 40% What will be depreciation of machine after one years using diminishing balance method?
Select correct option:

Rs. 1, 60,000
Rs. 11,840
Rs. 34,560
Rs. 34,860

If, Cost of machine = Rs.400, 000 Useful life = 5 years Residual value = Rs.25, 000 Sale price = Rs.40, 000 Rate of depreciation = 40% What will be book value of machine after four years using straight line method?
Select correct option:

Rs.35, 000
Rs.40, 000
Rs.55, 000
Rs.75, 000

Amount generated from sales in a business is called:
Select correct option:

Income

Net Income
Gross Profit
Operating profit

_____= Gross profit < Operating Expenses
Select correct option:

Net Profit
Gross Profit
Net Loss
Gross Loss

Which of the following is an example of operating expense?
Select correct option:

Purchasing operating equipment
Purchasing cleaning services
Purchasing an investment in another company
Purchasing a computer for the accounting office

Net profit = Gross profit - _____
Select correct option:

Operating Expenses
Product Cost
Deferred Expenses
Direct Cost

which of the following statement/s closing stock is/are shown?
Select correct option:

Profit and loss account
Balance sheet
Income statement
All of the given options

If Gross profit Rs.16,500 and Cost of goods sold Rs.183,500, what will be the amount of Net Sales?
Select correct option:

Rs. 183, 500
Rs. 167, 000
Rs. 200, 000
Rs. 230, 000

Cost of goods manufactured + opening finished goods – ending finished goods =?
Select correct option:

Total factory cost
Cost of goods sold
Prime cost
Conversion cost

Goods sold to Mr. Salman for RS. 6,000 have been forgotten to enter in books of accounts, this is an example of:
Select correct option:

Error of Omission
Error of Commission
Error of Principle
Error of Original entry

Which of the following account balance is shown on credit side of Trial Balance? (It is assumed that all account balances are shown on normal balance)
Select correct option:

Cash account

Furniture account
Vehicle account
Capital account

A debit balance in the Bank Statement indicates:
Select correct option:

Cash at bank
Bank overdraft
Overpayment to creditors
Cash in hand

Increase in an expense is recorded on the:
Select correct option:

Left or credit side of the account
Right or debit side of the account
Left or debit side of the account
Right or credit side of the account

Expense incurred for operating activities of the business in providing goods and services is known as:
Select correct option:

Revenue expense
Capital expense
Deferred expense
Preliminary expense

Which of the following is NOT considered a part of financial statements?
Select correct option:

General Journal
Balance Sheet
Profit and Loss account
None of the given options

Find out the missing value of an Accounting Equation with the help of given data: Total Assets Rs. 34,500 Accounts payable Rs. 1, 000 Other liabilities Rs. 11,500 Owner's equity ?
Select correct option:

Rs. 22,000
Rs.24, 000
Rs. 45,000
Rs. 46,000

Consider the following data: Particulars Rs. Assets 99,500 Owner's equity 50,500 Liabilities ?
Select correct option:

Rs. 49,000
Rs. 55,000
Rs. 125,000
Rs. 115,700

Consider the following data: Particulars Rs. Assets 1,05,000 Owner's equity 70,000 Liabilities ?
Select correct option:

Rs. 35,000
Rs. 1, 75,000
Rs. 7, 35,000
Rs. 1, 05,000

Which of the following is NOT correct?
Select correct option:

Decrease in Assets will be debit
Decrease in Liabilities will be debit
Decrease in Expenses will be credit
Decrease in Revenue will be debit

Which of the following is NOT considered a part of financial statements?
Select correct option:
General Journal
Balance Sheet
Profit and Loss account
None of the given options

Which one of the following will result in increase in revenues?
Select correct option:
Purchased fixed asset
Received discount
Payment to creditors
Return of goods, sold on credit

The basic accounting principle/concept according to which business record must be kept separate from the personal records of the owner is known as:
Select correct option:
Going-concern concept
Separate entity principle
Realization principle
Objectivity principle

In an account if debit side > credit side, the balance is known as the:
Select correct option:

Negative Balance
Debit balance
Positive Balance
Credit balance

Find out the missing value of an Accounting Equation with the help of given data: Cash Rs.100, 000 Debtors Rs.10, 000 Other Assets Rs. 1,000 Owner's equity Rs. 1, 000 Liabilities ?
Select correct option:

Rs. 12,000
Rs. 11,000
Rs. 110,000
Rs. 111,000

Find out the missing value of an Accounting Equation with the help of given data: Owner's equity Rs. 22,500 Total Liabilities Rs. 80, 385 Cash Rs. 1,000 Bank Rs. 2,000 Debtors Rs. 500
Select correct option:

Rs. 102,885 other assets
Rs. 102,885 current liabilities
Rs. 99,885 current liabilities
Rs. 99,385 other assets

If Gross profit Rs.16,500 and Cost of goods sold Rs.183,500, what will be the amount of Net Sales?
Select correct option:

Rs. 183, 500
Rs. 167, 000
Rs. 200, 000
Rs. 230, 000

Which of the following is NOT correct?
Select correct option:

Decrease in Assets will be credit
Decrease in Liabilities will be credit
Decrease in Expenses will be credit
Decrease in Revenue will be debit

Debit signifies:
Select correct option:

Increase in Asset account
Decrease in liability account
Decrease in capital account
All of the given options

When total liabilities are subtracted from total assets the remaining amount is known as:
Select correct option:

Equity or net assets
Net income or net loss
Total expenses
Total revenue

Find out the missing value of an Accounting Equation with the help of given data: Cash Rs. 22,500 Debtors Rs. 500 Total Assets Rs. 80, 385 Accounts payable Rs. 1,000 Total liabilities Rs. 20,000
Select correct option:

Rs. 60,385 owner's equity
Rs. 61,385 owner's equity
Rs. 99,885 owner's equity
Rs. 99,385 owner's equity

Which one of the following cannot be classified as Revenue Income?
Select correct option:

Goods sold for cash
Goods sold on credit
Income from the sale of services
Income from the sale of fixed assets

What will be debited, If Mr. "A" started business with Rs. 2, 00,000.
Select correct option:
Capital account
Cash account
Mr. A's account
Business account

If Salaries Rs. 12, 000, Rent Rs. 5,000, Gross profit Rs. 58,000 and Discount received Rs. 10, 000. What will be the amount of Net Profit?
Select correct option:
Rs. 41,000
Rs. 51,000
Rs. 61,000
Rs. 65,000

Which of the following is / are the particular/s of a cash book? (1) Date of transaction (2) Account title (3) Amount
Select correct option:
1 only
1 & 2 only
1 & 3 only
1, 2 & 3

Question # 1 of 20
Find out the missing value of an Accounting Equation with the help of given data: Furniture Rs. 90,000 Cash Rs.100, 000 Debtors Rs.10, 000 Other Assets Rs. 1,000 Owner's equity Rs. 90, 000 Liabilities?
Select correct option:
Rs. 201,000
Rs. 111, 000
Rs. 290, 000
Rs. 291, 000

Question # 3 of 20
Which of the following is NOT a characteristic of Joint Stock Company?
Select correct option:
Separate Legal Entity
Limited Liability of shareholders
Easy formation
Common Seal

Question # 4 of 20
Any expense that gives benefit for a period of less than twelve months is called _____.
Select correct option:
Capital Expense
Revenue Expense
Revenue Receipt
Deferred Expense

Question # 5 of 20
The process of transferring journal entry information to the ledger is called:
Select correct option:
Journalizing
Posting
Balancing
Analyzing

Question # 6 of 20
Total assets - Total liabilities =?
Select correct option:
Owner's Equity
Expenses
Retained earnings
Retained earnings

Question # 8 of 20
Debit signifies:
Select correct option:
Increase in Asset account
Decrease in liability account
Decrease in capital account
All of the given options

Question # 9 of 20
The term "Debit" is drived from_____ language.
Select correct option:

Latin
English
French
Chinese
Question # 10 of 20
A book that keeps separate record for each account is known as:
Select correct option:
Trial Balance
Voucher
General Journal
General Ledger

Question # 11 of 20
Which one of the following is called the book of primary Entry?
Select correct option:
General Journal
General Ledger
Trial Balance
Profit and loss account

Question # 12 of 20
In an account if credit side > debit side, the balance is known as:
Select correct option:
Negative Balance
Debit Balance
Credit Balance
Positive Balance
Question # 13 of 20
Normally single entry book keeping is followed by the:
Select correct option:
Small businesses only
Governments only
Large scale businesses only
Both Small businesses and Governments

Question # 14 of 20
What will be debited, if business sold goods for Rs.10, 000 on credit?
Select correct option:
Cash account
Sales account
Accounts receivable account
Purchases account

Question # 15 of 20
An expenditure whose benefit is finished or enjoyed immediately is called:
Select correct option:
Expense
Liability
Cost
Income
Question # 16 of 20
What should be debited, if Sales made to Mahmood for cash?
Select correct option:
Cash account
Mahood account
Sales account
Purchases account

Question # 17 of 20
Which of the following is NOT a characteristic of Journal?
Select correct option:
Transactions are recorded in chronological order
Transaction is first recorded in Journal from Voucher
It is also called “The original book of entry”
None of the given options

Question # 18 of 20
Consider the following data: Particulars Rs. Assets 1,05,000 Owner's equity 70,000 Liabilities ?
Select correct option:

Rs. 35,000
Rs. 1, 75,000
Rs. 7, 35,000
Rs. 1, 05,000

Question # 4 of 20
Which of the following is/are the example/s of Intangible Asset?
Select correct option:
Copy rights
Good will
Patent rights
All of the given options

Question # 7 of 20
Assets are divided in which of the following categories in balance sheet.
Select correct option:
Current assets, Long term assets and capital assets
Current assets, Long term assets and fixed assets
Current assets, Quick assets and business debts
Current assets, Fixed assets and deferred cost

Question # 8 of 20
Find out the missing value of an Accounting Equation with the help of given data: Cash Rs.100, 000 Debtors Rs.10, 000 Other Assets Rs. 1,000 Owner's equity Rs. 1, 000 Liabilities ?
Select correct option:
Rs. 12,000
Rs. 11,000
Rs. 110,000
Rs. 111,000

Question # 9 of 20
What will be debited, if business purchased Vehicle on cash?
Select correct option:
Vehicle account
Cash account
Business account
Bank account

Question # 10 of 20
Franchise rights, goodwill and patents are the examples of:
Select correct option:
Liquid assets
Tangible assets
Intangible assets
Current assets

Question # 19 of 20
The process of transferring journal entry information to the ledger is called:
Select correct option:
Journalizing
Posting
Balancing
Analyzing

Question # 20 of 20
Which of the following is NOT correct?
Select correct option:
Decrease in Assets will be credit
Decrease in Liabilities will be credit
Decrease in Expenses will be credit
Decrease in Revenue will be debit

Question # 1 of 20
While making Profit & Loss account, Excess of expenses over income in a specified accounting period is called:

Select correct option:

Profit

Loss

Surplus

Deficit

Question # 2 of 20
An accounting system is used by a business to:
Select correct option:

Analyze transactions

Handle routine bookkeeping tasks

Structure information

All of the given options

Question # 3 of 20
Which of the following is NOT a characteristic of Joint Stock Company?
Select correct option:

Separate Legal Entity

Limited Liability of shareholders

Easy formation

Common Seal

Question # 4 of 20
What should be debited, if Sales made to Mahmood for cash?
Select correct option:

Cash account

Mahood account

Sales account

Purchases account

Question # 5 of 20
Consider the following data: Particulars Rs. Assets 99,500 Owner's equity 50,500 Liabilities ?
Select correct option:

Rs. 49,000

Rs. 55,000

Rs. 125,000

Rs. 115,700

Question # 6 of 20
When income is reduced or decreased, that amount is recorded on:
Select correct option:

Right or debit side of the account

Left or debit side of the account

Left or credit side of the account

Right or credit side of the ccount

Question # 7 of 20
Which of the following expenses are called financial expenses?
Select correct option:

Payment of rent & Salary expense

Markup on loan& Bank Charges

Interest & advertisement expense

Wages and Depreciation expense

Question # 8 of 20
An expenditure whose benefit is finished or enjoyed immediately is called:
Select correct option:

Expense

Liability

Cost

Income

Question # 9 of 20
In which of the following all vouchers are first recorded_____.
Select correct option:

General Journal

General Ledger

Balance Sheet

Trial Balance

Question # 10 of 20
The main purpose of _____ is to ascertain true result of the business operation during particular period of time.
Select correct option:

Cost Accounting

Financial Accounting

Managerial Accounting

Tax Accounting

Question # 11 of 20
Find out the missing value of an Accounting Equation with the help of given data: Bank Rs. 22,500 Other assets Rs. 1,000 Creditors Rs. 8, 385 Other liabilities Rs. 9,000 Owner's equity ?
Select correct option:

Rs. 6,115

Rs. 31,885

Rs. 17,385

Rs. 14,115

Question # 12 of 20
Office salaries, advertising and sales commissions are the examples of:
Select correct option:

Financial Expenses

Operating Expenses

Marketing Expenses

Direct Expenses

Question # 13 of 20
What will be debited, if business purchased Vehicle on cash?
Select correct option:

Vehicle account

Cash account

Business account

Bank account

Question # 14 of 20
Which of the following is the example of current liability?
Select correct option:

Notes payable

Notes receivable

Accounts receivable

Prepaid expenses

Question # 15 of 20
What should be credited, if rent paid in cash?
Select correct option:

Landlord's account

Rent account

Cash account

Accounts receivable account

Question # 16 of 20
Cash book is a part of _____ .
Select correct option:

Voucher

General Journal

General Ledger

Trial Balance

Question # 17 of 20
A book that keeps separate record for each account is known as:
Select correct option:

Trial Balance

Voucher

General Journal

General Ledger

Question # 18 of 20
Which of the following item is found in a Journal entry? (1) Date of each transaction (2) Rupee amount of each debit and credit (3) Explanation of each transaction
Select correct option:

1 only

1 & 2 only

2 & 3 only

1, 2 & 3

Question # 19 of 20
Find out the missing value of an Accounting Equation with the help of given data: Owner's equity Rs. 22,500 Total Liabilities Rs. 80, 385 Cash Rs. 1,000 Bank Rs. 2,000 Debtors Rs. 500
Select correct option:

Rs. 102,885 other assets

Rs. 102,885 current liabilities

Rs. 99,885 current liabilities

Rs. 99,385 other assets

Question # 20 of 20
If Gross profit Rs.16,500 and Cost of goods sold Rs.183,500, what will be the amount of Net Sales?
Select correct option:

Rs. 183, 500

Rs. 167, 000

Rs. 200, 000

Rs. 230, 000

100% sure Question No: 1 (Marks: 1) - Please choose one(chapter # 30)

_____ Debenture is also named as:

- ► Share
- ► Bond
- ► Equity
- ► **Reserve**

100% sure Question No: 2 (Marks: 1) - Please choose one(chapter#30)

Capital is also termed as_____.

- ► Reserve Capital
- ► Bond Capital
- ► Share Capital
- ► None of the given options

100% sure Question No: 3 (Marks: 1) - Please choose one(chapter#30)

How many types of reservers?

- ► **Two**
- ► Three
- ► Four
- ► Five

100%sure Question No: 4 (Marks: 1) - Please choose one(chapter # 28)

_____ "Goods sold to Mr. Salman for Rs. 6,000 have been forgotten to enter in books of accounts", is an example of:

- ► Error of principle
- ► **Error of omission**
- ► Error of commission
- ► Error of original entry

100%sure Question No: 5 (Marks: 1) - Please choose one(chapter # 28)

_____ Transaction that has been completely forgotten to enter is called:

- ► Error of principle
- ► **Error of omission**
- ► Error of commission
- ► Error of original entry

100%sure Question No: 6 (Marks: 1) - Please choose one(chapter # 30)

_____ _____ are committed in those cases where proper distinction between revenue and capital items is not made.

- ► **Error of principle**

► Error of omission
► Error of commission
► Error of original entry

FINALTERM EXAMINATION
MGT101- Financial Accounting (Session - 2)

Question No: 1 (Marks: 1) - Please choose one

_____ Shares for which amount is paid by public are called _____ shares.

► Paid up
► Authorized
► Bonus shares

► **All are correct options**

Question No: 2 (Marks: 1) - Please choose one

_____ Which of the following account/s will be affected under the rule of accrual accounting, when furniture is purchased on cash?

► Only Cash Account
► Only Furniture Account
► **Cash & Furniture Account**
► Only Purchases Account

Question No: 3 (Marks: 1) - Please choose one

_____ A book, in which receipts and payments are recorded, is known as:

► Pass Book
► **Cash Book**
► Purchase Book
► Sales Book

Question No: 4 (Marks: 1) - Please choose one

_____ Which of the following shows summary of a company's financial position at a specific date?

► Profit & Loss Account
► Cash Flow Statement
► **Balance Sheet**
► Income & Expenditure Account

Question No: 5 (Marks: 1) - Please choose one

Which of the following is **NOT** an example of intangible assets?

- ► Franchise rights
- ► Goodwill
- ► Patents
- ► **Land**

Question No: 6 (Marks: 1) - Please choose one

Which of the following account will be credited in the books of ABC Co. Ltd., if furniture is purchased on cash?

- ► Furniture account
- ► **Cash account**
- ► Business account
- ► Bank account

Question No: 7 (Marks: 1) - Please choose one

If the working capital and the current assets of company XYZ are Rs. 5,000 and Rs.15,000 respectively, calculate the current liabilities.

- ► Rs. 5,000
- ► **Rs. 10,000**
- ► Rs. 15,000
- ► Rs. 20,000

Question No: 8 (Marks: 1) - Please choose one

Cost of Goods Sold = ?

- ► **Beginning inventory + Purchases – Work in Process**
- ► Beginning inventory + Purchases - Sales
- ► Beginning inventory + Purchases - Ending inventory
- ► Ending inventory + Purchases - Beginning Inventory

Question No: 9 (Marks: 1) - Please choose one

The total of all costs incurred to convert raw material into finished goods is known as:

- ► Prime cost
- ► **Conversion cost**
- ► Sunk cost
- ► Opportunity cost

Question No: 10 (Marks: 1) - Please choose one

In cost of goods sold statement the ‘cost of goods manufactured’ is equal to:

- ► Total factory cost + Opening work in process + Ending work in process
- ► **Total factory cost + Opening work in process – Ending work in process**
- ► Total factory cost - Opening work in process + Ending work in process

► Ending work in process +Total factory cost – Opening work in process

Question No: 11 (Marks: 1) - Please choose one

Fixed assets are also called:

► **Depreciable assets**
► Current assets
► Liquid assets
► Floating assets

Question No: 12 (Marks: 1) - Please choose one

Consider the following inventory record:

Date	Item	Quantity	Cost/Unit	Total
2007Jan. 2	Opening inventory	100	Rs.18.00	Rs.1,800
Mar. 4	Purchase	400	19.00	7,600
May 8	Purchase	800	20.00	16,000
Nov. 3	Purchase	500	21.00	10,500

Four hundred units are unsold, Use the FIFO method of inventory costing and determine the value assigned to the 400 units on hand at the end of the period.

► Rs.7, 500
► Rs.7, 978
► Rs.8, 000
► **Rs.8, 400**

Question No: 13 (Marks: 1) - Please choose one

Increase in an asset is recorded on the:

► Left or credit side of the account
► Right or debit side of the account
► **Left or debit side of the account**
► Right or credit side of the account

Question No: 14 (Marks: 1) - Please choose one

The allocation of the cost of a tangible plant asset to expense in the periods, in which services are received from the asset, is termed as:

► Appreciation
► **Depreciation**
► Fluctuation
► None of the given options

Question No: 15 (Marks: 1) - Please choose one

Consider the following data:

Particulars	Rs.
Assets	?
Owner's equity	1,50,000

Liabilities	1,00,000

- ► Rs. 49,000
- ► Rs. 55,000
- ► Rs. 50,000
- ► **Rs. 2, 50,000**

Question No: 16 (Marks: 1) - Please choose one

Consider the following data:

Particulars	Rs.
Assets	8,20,000
Owner's equity	3,80,000
Liabilities	?

- ► Rs. 1, 98,000
- ► Rs. 49,000
- ► Rs. 55,000
- ► **Rs. 4, 40,000**

Question No: 17 (Marks: 1) - Please choose one

A debit balance in the Bank Statement indicates:

- ► Cash at bank
- ► Bank overdraft
- ► **Overpayment to creditors**
- ► Cash in hand

Question No: 18 (Marks: 1) - Please choose one

Bank Statement is a record of transactions between the bank and the holder of:

- ► A foreign currency account
- ► A current account
- ► A saving account
- ► **All of the given options**

Question No: 19 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

► Rs. 400
► Rs. 800
► Rs. 2,000
► **Rs. 2,400**

Question No: 20 (Marks: 1) - Please choose one

It is supposed that on 31-12-2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. It is also suppose that during the year 2008 actual bad debts were Rs. 1,600. What entry will pass to create provision for doubtful debts?

► **Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)**
► Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)
► Provision for doubtful debts a/c Rs. 1,600 (Dr) & Profit & Loss a/c Rs. 1,600 (Cr)
► Profit & Loss a/c Rs. 1,600 (Dr) & Provision for doubtful debts a/c Rs. 1,600 (Cr)

Question No: 21 (Marks: 1) - Please choose one

Which of the following is/are the item/s of a Control Account?

► Credit sale only
► Cash sale only
► Credit purchase only
► **Both Credit sales and Credit purchase**

Question No: 22 (Marks: 1) - Please choose one

Control account tells about:

► Details of loyal clients
► Customer attitude of payments
► **Complete history of transactions of business clients**
► Picture collectively instead of individually

Question No: 23 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of purchases return of Rs. 200 to “Mr.P” mistakenly entered in sales book?

► **P’s account**
► Purchases return account
► Sales account
► Purchases returns account and sales account

Question No: 24 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of a purchase return of Rs.200 to Mr. “A” entered in sales book instead of purchase return book?

► A’s account only
► Sales account only
► **Purchase returns account and sales account**
► Purchases account only

Question No: 25 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of an amount Rs.200 received from Mr."P" wrongly credited to Mr."Q's" account?

- ► Only Cash Account
- ► Only P's account
- ► Only Q's account
- ► **Both of Mr. P's & Mr.Q's Account**

Question No: 26 (Marks: 1) - Please choose one

Which of the following entry will be recorded, if a cheque deposited is dishonored by bank?

- ► Bank Account (Dr.) and Debtor's Account (Cr.)
- ► **Debtor's Account (Dr.) and Bank Account (Cr.)**
- ► Dishonored Cheque Account (Dr.) and Bank Account (Cr.)
- ► Creditor's Account (Dr.) and Bank Account (Cr.)

Question No: 27 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 10%	

Identify the Total amount deducted from Sundry debtors.

- ► Rs. 460
- ► Rs. 2,400
- ► **Rs. 3,080**
- ► Rs. 5,480

Question No: 28 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	700
Sundry Debtors (Given in trial balance)	44,500
Provision for doubtful debts be increases by 5%	
What will be the amount of new provision	**?**

- ► **Rs. 2,225**
- ► Rs. 2,425
- ► Rs. 1,925
- ► Rs. 3,025

Question No: 29 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	700
Sundry Debtors (Given in trial balance)	44,800

If the Provision for doubtful debts has been increased by 5%, which amount of new provision will be shown in Profit & Loss Account?

- **Rs. 2,240**
- Rs. 2,425
- Rs. 1,925
- Rs. 3,025

Question No: 30 (Marks: 1) - Please choose one

Wages paid to laborers working in the manufacturing department is treated as an expense of:

- Administrative expenses
- Selling expenses
- Marketing expenses
- **Cost of goods sold**

Question No: 31 (Marks: 1) - Please choose one

Which of the following represents the relationship between persons who have agreed to share the profit of business carried on by all or any of them acting for all?

- Sole-ownership
- Private limited company
- Public limited company
- **Partnership**

Question No: 32 (Marks: 1) - Please choose one

In Income Statement, both beginning inventory and ending inventory appear in the section of:

- **Cost of good sold**
- Indirect cost
- Selling cost
- Factory over head cost

Question No: 33 (Marks: 1) - Please choose one

If dividend is proposed by directors of the company @ 30% for the year, it will be calculated on:

- Capital Reserve
- **Authorized share capital**
- Paid up share capital
- Share premium

Question No: 34 (Marks: 1) - Please choose one

A company is said to have been registered when:

► It gets certificate of incorporation from registrar of Companies
► **It gets certificate of commencement of business from registrar of Companies**
► It actually starts its business
► It filed with the Registrar of Companies articles certain documents, like memorandum and articles of association

Question No: 35 (Marks: 1) - Please choose one

6% Debentures Account Rs. 3, 00,000. What amount of interest on debentures should be shown in profit and loss account?

► Rs. 6,000
► Rs. 3, 00,000
► **Rs. 18,000**
► Rs. 3, 18,000

Question No: 36 (Marks: 1) - Please choose one

What are the effects on financial statements, if provision for Income Tax to be made Rs. 12,000 is given in adjustment?

► It will be deducted in Income Statement only
► It will be treated as current liability in balance sheet only
► It will be treated as current asset in balance sheet only
► **Both it will be deducted in income statement and it will be treated as current liability in balance sheet**

Question No: 37 (Marks: 1) - Please choose one

When the current Ratio is 2: 5 and the amount of Current Liabilities is Rs. 25,000. What will be the amount of Current Assets?

► Rs. 62,500
► Rs. 12,500
► Rs. 10,000
► **Cannot be calculated with the help of given data**

Question No: 38 (Marks: 1) - Please choose one

Prepaid interest given in the Trial Balance will be treated as a (an):

► **Asset**
► Liability
► Revenue
► Deferred expense

Question No: 39 (Marks: 1) - Please choose one

Which one of the following is another name of carrying cost of an asset?

► **Book Value**
► Residual Value
► Fair Value
► Break up Value

Question No: 40 (Marks: 1) - Please choose one

An overdraft will appear as:

- ► A debit balance in both the bank statement and the cash book
- ► A credit balance in the bank statement but as a debit balance in the cash book
- ► **A credit balance in the cash book but as a debit balance in the bank statement**
- ► A credit balance in both the bank statement and the cash book

Question No: 41 (Marks: 1) - Please choose one

Recovery of bad debts is treated as:

- ► Profit
- ► Revenue
- ► **Expense**
- ► Asset

Question No: 42 (Marks: 1) - Please choose one

The amount owed by debtors at the end of a month appears on the_____ side of the control account.

- ► **Left side or debit**
- ► Left side or credit
- ► Right side or debit
- ► Right side or credit

Question No: 43 (Marks: 1) - Please choose one

The amount owed by debtors at the start of a month appears on the _____ side of the individual debtors account.

- ► Left side or credit
- ► **Left side or debit**
- ► Right side or debit
- ► Right side or credit

Question No: 44 (Marks: 1) - Please choose one

Ahmad Industries want to make payment to its supplier in the form of a pay order. The bank deducted Rs.160 as service charges without its knowledge. The error is known as:

- ► Error of commission
- ► **Error of omission**
- ► Error of original entry
- ► Error of principle

Question No: 45 (Marks: 1) - Please choose one

Which of the given statement is **CORRECT** if both sides of trial balance are equal?

- ► It is proof that no transaction was completely omitted from the ledger during the posting process
- ► **It is proof that the correct debit or credit balance has been computed for each account**
- ► It is proof that the ledger is in balance
- ► It is proof that transactions have been correctly analyzed and recorded in the proper accounts

Question No: 46 (Marks: 1) - Please choose one

Which of the following justifies when profit is earned?

- ► Assets exceed Expenditure
- ► **Income exceeds Expenditure**
- ► Cash Inflow exceeds Cash Outflow
- ► Income exceeds Liabilities

Question No: 47 (Marks: 1) - Please choose one

In a partnership of Mr. A and Mr. B, the share of profit of Mr. A is Rs.75,375 and the share of profit of Mr. B is Rs. 25,125. What will be the ratio of their share?

- ► 1:2
- ► 2:3
- ► 3:2
- ► **3:1**

Question No: 48 (Marks: 1) - Please choose one

Income tax expense of Eden Corporation shows a debit balance of Rs.7,000 in its unadjusted trial balance and Rs.7,600 in adjusted trial balance. Which of the following account will be credited in adjusting entry?

- ► Income tax payable
- ► **Prepaid income tax**
- ► Income tax expense
- ► Income tax paid

Question No: 49 (Marks: 1) - Please choose one

Sanders Construction sold a plant asset that originally cost Rs.80,000 for Rs.52,000 cash. If Sanders correctly reports a Rs.5,000 gain on this sale, the accumulated depreciation on the asset at the date of sale must have been:

- ► Rs.23,000
- ► Rs.28,000
- ► **Rs.33,000**
- ► Some other amount

Question No: 50 (Marks: 1) - Please choose one

Which of the following is responsible to register the companies?

- ► State Bank of Pakistan
- ► **Security and Exchange Commission of Pakistan**
- ► Supreme Court
- ► Stock Exchange

Question No: 51 (Marks: 1) - Please choose one

Which of the following can be utilized to set off any loss on revaluation?

- ► Capital reserve
- ► General reserve
- ► **Revaluation reserve**
- ► None of the given options

Question No: 52 (Marks: 1) - Please choose one

Which of the following is known as the charter of the company?

► Prospectus
► **Articles of association**
► Memorandum of association
► None of the given options

Question No: 53 (Marks: 1) - Please choose one

Statement of cash flows helps the stakeholders to assess:

► Ability to pay cash dividends in the future
► **All of the given options**
► The ability to generate future cash flows
► The liquidity of the business

Question No: 54 (Marks: 1) - Please choose one

Short term investments in marketable securities and treasury bills that will mature within ninety days from the date of acquisition, must be classified as:

► **Receivables**
► Receipts from Capital
► Current and intangible assets
► Cash equivalents

Question No: 55 (Marks: 3)

Give four reasons, why capital might change.

1. The entrance or exit of some (new) partner
2. Withdraw by partner(s)
3. Additional Investment by the partner(s)
4. Profit/Loss

Question No: 56 (Marks: 5)

Write down the five advantages of Limited Company.

1. It is a legal entity created by law and hence has its own recognition, good will and brand equity etc.
2. It is a wide form of business and hence a formal approach for various partners/investors to come and work for the same objectives in an organized form.
3. Liability limited to company assets only. Investors/partners do not personally liable for any loss or in state of bankrupty.
4. Being a legal entity, easy to get loans or gather funds from public (for public limited companies only) or financial institutes.
5. Being a legal entity, it can enjoy more opportunities for mega projects and trade/operations opportunities in international markets on its on behalf.

Question No: 57 (Marks: 5)

ABC Company purchased goods of Rs.150,000 on credit from which goods of Rs.20,000 were defected and returned. Company received 2% discount at the time of payment from the supplier.

Required:
What will be the amount of discount received by the company?
Also show the journal entries

Solution:
(A)
Discount Received= (150,000-20,000) x (2/100) = 2600

(B)

	Particulars	Dr.	Cr.
Entry for Purchase			
	Goods	150,000	
	A/P		150,000
Entry for Return			
	A/P	20,000	
	Goods		20,000
While making Payment (@ 2% discount = 2600)			
	A/P	130,000	
	Discount income		2,600
	Cash		127,400

Question No: 58 (Marks: 10)

State clearly how you will deal with Bad Debts Account, Provision for Bad Debts Account, Profit & Loss account and Balance Sheet in the following case:

The items appearing in the trial balance are bad debts Rs. 300, provision for bad debts Rs. 350 and sundry debtors Rs. 12,000. It is required to increase the provision for bad debts to 5% on sundry debtors.

Question No: 59 (Marks: 10)

The unadjusted and adjusted trial balances for Tinker Corporation on December 31, 2007, are shown below:

Tinker Corporation Trial Balances December 31, 2007				
	Unadjusted		**Adjusted**	
	Debit Rs.	**Credit Rs.**	**Debit Rs.**	**Credit Rs.**
Cash	35,200		35,200	
Accounts receivable	29,120		29,120	
Unexpired insurance	1,200		600	
Prepaid rent	5,400		5,400	
Office supplies	680		380	
Equipment	60,000		60,000	
Accumulated depreciation: equipment		49,000		50,000
Accounts payable		900		900
Notes payable		5,000		5,000
Interest payable		200		200
Salaries payable		-		2,100

Income taxes payable		1,570		1,570
Unearned revenue		6,800		3,800
Capital stock		25,000		25,000
Retained earnings		30,000		30,000
Fees earned		91,530		94,530
Advertising expense	1,500		1,500	
Insurance expense	6,600		7,200	
Rent expense	19,800		19,800	
Office supplies expense	1,200		1,500	
Repairs expense	4,800		4,800	
Depreciation expense: equipment	11,000		12,000	
Salaries expense	26,300		28,400	
Interest expense	200		200	
Income taxes expense	7,000		7,000	
	210,000	**210,000**	**213,100**	**213,100**

Journalize the five adjusting entries that the company made on December 31, 2007.

Solution:

Date	**Particular**	**Dr.**	**Cr.**
Dec 31	Insurance expense	600	
	to Unexpired insurance		600
Dec 31	Office Supplies Expense	300	
	to Office Supplies		300
Dec 31	Depreciation Expense-Equip.	1000	
	to Accumulated depreciation-Equip.		1000
Dec 31	Salaries Expense	2100	
	to Salaries Payable		2100
Dec 31	Unearned revenue	3000	
	to Fee Earned		3000

FINALTERM EXAMINATION
MGT101- Financial Accounting (Session - 2)

Time: 120 min
Marks: 87

Question No: 1 (Marks: 1) - Please choose one

_____ We can say that the business is in profit, when:

► Assets exceed Expenditure
► Assets exceed Liabilities

► **Income exceeds Expenditure**
► Income exceeds Liabilities

Question No: 2 (Marks: 1) - Please choose one

Obligations to pay cash or un-earned incomes by the business are the:

► Expenses
► Assets
► **Liabilities**
► Equities

Question No: 3 (Marks: 1) - Please choose one

Which one of the following is a type of General Ledger?

► Book of original entry
► **'T' Account**
► Source document
► Day book

Question No: 4 (Marks: 1) - Please choose one

A book, in which receipts and payments are recorded, is known as:

► **Pass Book**
► Cash Book
► Purchase Book
► Sales Book

Question No: 5 (Marks: 1) - Please choose one

Which of the following summarizes the cash movements during a specified period?

► Trading account
► Profit & Loss account
► **Receipts & Payments account**
► Balance Sheet

Question No: 6 (Marks: 1) - Please choose one

Gross Profit > Operating Expenses=?

► **Net Profit**
► Cost of Goods Sold
► Net Loss
► Gross Loss

Question No: 7 (Marks: 1) - Please choose one

What type of expenses are paid out of Gross Profit?

- ► Selling Expenses
- ► General Expenses
- ► Financial Expenses
- ► **All of the given options**

Question No: 8 (Marks: 1) - Please choose one

Which of the following shows summary of a company's financial position at a specific date?

- ► Profit & Loss Account
- ► Cash Flow Statement
- ► **Balance Sheet**
- ► Income & Expenditure Account

Question No: 9 (Marks: 1) - Please choose one

The favorable balance of Profit and Loss account should be:

- ► Added in liabilities
- ► Subtracted from current assets
- ► Subtracted from liabilities
- ► **Added in capital**

Question No: 10 (Marks: 1) - Please choose one

Which of the following account will be credited in the books of XYZ Co. Ltd, if the business purchased a vehicle though cheque?

- ► Vehicle account
- ► Cash account
- ► Business account
- ► **Bank account**

Question No: 11 (Marks: 1) - Please choose one

In cost of goods sold statement the ‘cost of goods manufactured’ is equal to:

- ► Total factory cost + Opening work in process + Ending work in process
- ► **Total factory cost + Opening work in process – Ending work in process**
- ► Total factory cost - Opening work in process + Ending work in process
- ► Ending work in process +Total factory cost – Opening work in process

Question No: 12 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 15,000
Sale price after 5 years	Rs.50,000
Book value of Asset after 5 years	**?**

► Rs.25, 000
► **Rs. 75,000**
► Rs. 15,000
► Rs. 1, 00,000

Question No: 13 (Marks: 1) - Please choose one

Bank Reconciliation Statement is prepared by:

► Bankers
► **Accountant of the business**
► Statutory auditor
► Manger

Question No: 14 (Marks: 1) - Please choose one

The assets which have a limited useful life are termed as:

► Limited assets
► **Depreciateable assets**
► Unlimited assets
► None of the given options

Question No: 15 (Marks: 1) - Please choose one

Consider the following data:

Particulars	Rs.
Assets	?
Owner's equity	1,50,000
Liabilities	1,00,000

► Rs. 49,000
► Rs. 55,000
► **Rs. 50,000**
► Rs. 2, 50,000

Question No: 16 (Marks: 1) - Please choose one

When the Bank Statement balance is more than the Cash Book balance, it is because of:

► **Unpresented cheques**
► Unrecorded bank charges
► Uncredited cheques
► None of the given options

Question No: 17 (Marks: 1) - Please choose one

A debit balance in the Bank Statement indicates:

► Cash at bank
► **Bank overdraft**
► Overpayment to creditors
► Cash in hand

Question No: 18 (Marks: 1) - Please choose one

Which of the following option is **TRUE** about the characteristic(s) of Bad Debt?

► **It is a definite loss to the business**
► It is not shown in Balance Sheet
► No provision is necessary for it
► All of the given options

Question No: 19 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

► **Rs. 400**
► Rs. 800
► Rs. 2,000
► Rs. 2,400

Question No: 20 (Marks: 1) - Please choose one

If the **(New provision + Bad debts) > Amount of old provision** then resulting figure will be shown at:

► Debit side of Profit & Loss Account
► **Credit side of Profit & Loss Account**
► Asset side of Balance Sheet
► Liability side of Balance Sheet

Question No: 21 (Marks: 1) - Please choose one

It is supposed that on 31-12-2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. It is also suppose that during the year 2008 actual bad debts were Rs. 1,600. What entry will pass to create provision for doubtful debts?

► Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)
► Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)
► Provision for doubtful debts a/c Rs. 1,600 (Dr) & Profit & Loss a/c Rs. 1,600 (Cr)
► **Profit & Loss a/c Rs. 1,600 (Dr) & Provision for doubtful debts a/c Rs. 1,600 (Cr)**

Question No: 22 (Marks: 1) - Please choose one

Which of the following entry is passed to record discount allowed in control account?

► **Discount Allowed (Dr) and Debtors Control A/c (Cr)**
► Discount Allowed (Dr) and Debtors A/c (Cr)
► Debtors Control A/c (Dr) and Discount Allowed (Cr)
► Debtors A/c (Dr) and Discount Allowed (Cr)

Question No: 23 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of purchases return of Rs. 200 to "Mr.P" mistakenly entered in sales book?

► P's account
► Purchases return account
► Sales account
► **Purchases returns account and sales account**

Question No: 24 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	700
Sundry Debtors (Given in trial balance)	44,800

If the Provision for doubtful debts has been increased by 5%, which amount of new provision will be shown in Profit & Loss Account?

► **Rs. 2,240**
► Rs. 2,425
► Rs. 1,925
► Rs. 3,025

Question No: 25 (Marks: 1) - Please choose one

Which of the following is normally treated as the last expense listed in the income statement of a company?

► Interest expense
► General and administrative expenses
► Salaries and wages expense
► **Income tax expense**

Question No: 26 (Marks: 1) - Please choose one

An asset is considered to be a current asset if:

► It has been bought recently and was bought new and not used
► **It can be realized in cash or sold or consumed in the business within one year**
► It is a piece of new machinery that is expected to last for at least ten years
► All of the given options

Question No: 27 (Marks: 1) - Please choose one

Which of the following account will be credited when interest on capital is charged against the distribution of profit?

► **Interest account**
► Partner's capital account
► Profit and Loss account
► Profit and loss appropriation account

Question No: 28 (Marks: 1) - Please choose one

A, B, C are partners. Their profit sharing ratio is equal. Capital balance on July 1st of Partner A --- Rs. 40,000 Partner B --- Rs. 30,000 and Partner C--- Rs. 20,000.Their private property of Partner A is Rs.15,000, Partner B is Rs. 7,000 and Partner C is Rs. 1,500. What is the level of their liabilities under the partnership firm?

□□□□□□□► □Partner A—Rs. 40,000, Partner B---- Rs. 30,000, Partner C – 20,000
□□□□□□□► □Partner A—Rs. 40,000, Partner B---- Rs. 30,000, Partner C – 21,500
□□□□□□□► □Partner A—Rs. 40,000, Partner B---- Rs. 37,000, Partner C – 20,000
□□□□□□□► □**Partner A—Rs. 55,000, Partner B---- Rs. 37,000, Partner C – 21,500**

Question No: 29 (Marks: 1) - Please choose one

Which of the following represents the relationship between persons who have agreed to share the profit of business carried on by all or any of them acting for all?

► Sole-ownership
► Private limited company
► Public limited company
► **Partnership**

Question No: 30 (Marks: 1) - Please choose one

By which if the following Act/ Ordinance, a company is allowed to issue shares at a higher price than their face value.

► **Companies ordinance 1984**
► Contract act 1872
► Sales of Goods act 1930
► None of the given options

Question No: 31 (Marks: 1) - Please choose one

When goods are acquired from the supplier the gross cost of such goods is recorded in:

► Debtor Account
► **Purchases Account**
► Factory overhead account
► Sales Account

Question No: 32 (Marks: 1) - Please choose one

In which of the following auditor's remuneration payable is shown?

► In balance sheet under the head of current liabilities only
► In balance sheet under the head of current assets only
► In income statement under the administrative expense only
► **In both balance sheet under the head of current liabilities and income statement under the administrative expense**

Question No: 33 (Marks: 1) - Please choose one

Which of the following is a type of business formed under the Companies Ordinance 1984?

► Sole-Proprietorship
► Partnership
► **Joint Stock Company**
► All of the given options

Question No: 34 (Marks: 1) - Please choose one

Which of the given Asset is **Not** included in the calculation acid test ratio?

► Stock
► Cash
► Debtors
► **Bills Receivable**

Question No: 35 (Marks: 1) - Please choose one

	Rs.
Gross profit	50,000
Operating profit	42,000
Sales	250, 000
What is the amount of operating expenses	**?**

► **Rs. 8,000**
► Rs. 92,000
► Rs. 62,500
► Rs. 300,000

Question No: 36 (Marks: 1) - Please choose one

What types of changes (is) are made at the admission of partner in partnership?

► Assets of old business will be revalued
► Liabilities of old business will be revalued
► Good will of business will be revalued
► **All of the given options**

Question No: 37 (Marks: 1) - Please choose one

If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. B in distributable profit.

► Rs. 98,000
► Rs. 1, 47,000
► **Rs. 2, 45,000**
► Rs. 3, 43,000

Question No: 38 (Marks: 1) - Please choose one

If the Capitals of partners are fixed then, at the end of financial year a partner's drawings are transferred to the:

► Credit side of the partner's capital account
► Credit side of the partner's current account
► **Debit side of partnership bank account**
► Debit side of the partner's current account

Question No: 39 (Marks: 1) - Please choose one

The beginning balance of retained earnings was Rs. 7,500. The dividends paid to stockholders' were Rs.1, 500. The ending balance of retained earnings is Rs. 5,000. What was the net income or net loss for the accounting period?

► Net loss of Rs.1, 000
► **Net income of Rs. 1,000**
► Net loss of Rs. 2,000
► Net income of Rs. 2,500

Question No: 40 (Marks: 1) - Please choose one

A company declares a cash dividend to be paid to its stockholders next month. The effect of the transaction is to:

► Decrease assets and liabilities.
► **Increase assets and stockholders' equity.**
► Decrease assets and stockholders' equity.
► Increase liabilities and decrease stockholders' equity.

Question No: 41 (Marks: 1) - Please choose one

Debenture is also named as:

► Share
► **Bond**
► Equity
► Reserve

Question No: 42 (Marks: 1) - Please choose one

The amount brought by the proprietor in the business should be credited to:

► Cash account
► **Capital account**
► Drawings account
► Assets account

Question No: 43 (Marks: 1) - Please choose one

Payment is made of a company's purchases on credit, which of the following is correct:

► **Debit stock account and credit creditors account**
► Debit creditors account and credit cash account
► Debit cash account and credit creditors account
► Debit stock account and credit cash account

Question No: 44 (Marks: 1) - Please choose one

In the heading of financial statement, _____ is not required?

► Title of financial statement
► **Name of the person who prepares financial statement**
► Period for which financial statement is prepared

► Name of business entity

Question No: 45 (Marks: 1) - Please choose one

On the balance sheet, liabilities are categorized as current or

► Deferred
► Unearned
► Long-term
► **Accrued**

Question No: 46 (Marks: 1) - Please choose one

According to the rule of debit and credit for balance sheet accounts:

► **Increase in asset, liability, and owners' equity accounts are recorded by debits.**
► Decrease in asset and liability accounts are recorded by credits
► Increase in asset and owners' equity accounts are recorded by debits
► Decrease in liability and owners' equity accounts are recorded by debits

Question No: 47 (Marks: 1) - Please choose one

A and B entered in partnership in capital ratio of 2:3. They earned a profit of Rs.6,600 during the year. What will be the share of profit of Mr. B?

► Rs.1,320
► Rs.2,640
► **Rs.3,960**
► Rs.6,600

Question No: 48 (Marks: 1) - Please choose one

Stockholder's equity would not be affected by:

► Dividends to stockholders
► Net loss
► **Purchase of land from the proceeds of bank loan**
► Investments of cash by stockholders

Question No: 49 (Marks: 1) - Please choose one

Insurance premiums paid in advance but not yet expired are reported in which of the following account?

► Insurance payable
► **Prepaid insurance**
► Advance payment account
► Insurance expense

Question No: 50 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal share in profit or loss. The agreement provides that Mr. A will receive Rs.10,000 and Mr. B will receive Rs.8,000 as salary allowance. The net income for the year is Rs.85,000. What will be the total share of Mr. A?

► Rs.52,500
► Rs.42,500
► **Rs.43,500**
► Rs.50,500

Question No: 51 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,500 and markup on drawings of Mr. B is Rs.2,800. The net income for the year is Rs.95,000. What will be the amount of distributable profit?

- ► Rs.89,700
- ► Rs.94,700
- ► **Rs.95,300**
- ► Rs.100,300

Question No: 52 (Marks: 1) - Please choose one

Which of the following can be utilized to meet the expenses of issue of shares?

- ► **Reserves**
- ► Debentures
- ► Share premium
- ► Term finance certificate

Question No: 53 (Marks: 1) - Please choose one

Which of the following value of the share is authorized by the memorandum of association?

- ► Par value
- ► Face value
- ► Nominal value
- ► **All of the given options**

Question No: 54 (Marks: 1) - Please choose one

All of the following have an effect on 'operating activities' while preparing the statement of cash flows except:

- ► Provision for doubtful debts
- ► Gain or loss on currency exchange rate
- ► Depreciation charged on fixed asset
- ► **Amount received for disposal of a fixed asset**

Question No: 55 (Marks: 3)

Following information is extracted from the books of ABC Ltd as on December 31st, 2008.

Particulars	Rs
Advances from customer	10,000
General reserve	40,000
Accumulated profit brought forward(credit balance)	95,000
Long term loans	1,00,000
Sundry debtors	6,500
Stock in trade	50,000
Advances and prepayments	9,500
Short term running finance	45,400

You are required to calculate Working Capital

Question No: 56 (Marks: 5)

What is the meaning of investment. Differentiate between long term and short term investments.

Investment:
Whatever money or resources from ones' own pocket are put in a business is referred to as CAPITAL.
Capital is the investment of the Owner in the business.
Long term Investment:
Investments made with the intention that they will be held for a period longer than twelve months are classified as long term (over the year).
Short Term Investment:
Investments made for a period equal to or shorter than 12 months are classified as short term, (usually under the year i.e. quick bond or fast moving shares)

Question No: 57 (Marks: 5)

ABC Inc.'s cash balance at December 31, 2007, the end of its financial reporting year, was Rs.165,000. During 2007, cash provided by operations was Rs.140,000, cash used in investing activities was Rs.60,000, and cash provided by financing activities was Rs.15,000. Calculate the amount of ABC's beginning cash balance at January 1, 2007.

RS 105000

Question No: 58 (Marks: 10)

Pass the rectifying entries to correct the following errors:

1) Mr. "Ali" purchased goods of Rs. 1,500 on cash, but omitted to enter in the books of accounts.

Answer:-

Debit Purchase A/c 1,500
Credit Creditor A/c 1,500

2) An amount of Rs. 5,000 received from Mr. Amir, was credited to the account of Mr. Ameer.

Answer:-

Debit Ameer's A/c 5,000
Credit Amir's A/c 5,000

3) Goods returned worth Rs. 500 to Mr. "B" wrongly debited to sales Account.

Answer:-

Debit Sales A/c 500
Credit Goods Returned A/c 500

4) A purchase of goods from Mr. "B" of Rs. 400 has been wrongly debited to Furniture Account.

Answer:-

Debit Purchase of Goods A/c 400
Credit Furniture A/c 400

5) Furniture purchased on cash Rs. 8,000 posted as purchases.

Answer:-

Debit Cash 8000
Credit Purchases 8000

Question No: 59 (Marks: 10)

Identify which of the following activities are operating, investing or financing in the context of cash flow statement.

6) Payment to owners, such as cash dividends
7) Cash proceeds from collecting principal amounts on loans
8) Payments of interest
9) Payments to acquire investments and plant and intangible assets
10) Payments of income taxes
11) Amounts advanced to borrowers
12) Collections from customers for sales of goods and services
13) Interest and dividends received
14) Proceeds from both short-term and long-term borrowing
15) Cash received from owners

Solution:

S. No.	Particulars	Activities
1	Payment to owners, such as cash dividends	Financing
2	Cash proceeds from collecting principal amounts on loans	Financing
3	Payments of interest	Financing
4	Payments to acquire investments and plant and intangible assets	Investing
5	Payments of income taxes	Operating
6	Amounts advanced to borrowers	Operating
7	Collections from customers for sales of goods and services	Operating
8	Interest and dividends received	Financing
9	Proceeds from both short-term and long-term borrowing	Financing
10	Cash received from owners	Financing

FINALTERM EXAMINATION
MGT101- Financial Accounting (Session - 3)

Ref
Time: 120 min
Marks: 85

Question No: 1 (Marks: 1) - Please choose one

If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. B in distributable profit.

- ► Rs. 98,000
- ► **Rs. 1, 47,000 (Correct)**
- ► Rs. 2, 45,000
- ► Rs. 3, 43,000

490000*3/10= 147000

Question No: 2 (Marks: 1) - Please choose one

What does a credit balance in a partner's current account represent to a business?

► Current Assets
► Current Liability
► Long-term liability
► **Share of profit (Correct)**

Page 204

Question No: 3 (Marks: 1) - Please choose one

Which of the following ratio tells about "How a company would repays its loans"

► **Mark up cover ratio (Correct)**
► Acid test ratio
► Current ratio
► Debt Equity ratio

See page 273

Question No: 4 (Marks: 1) - Please choose one

Which of the following is **CORRECT** about Gross Profit Ratio?

► **(Gross profit / Net Sales) x 100 (correct)**
► (Gross profit / Operating Income) x 100
► **(Gross profit / Sales Return) x 100 (not Correct)**
► (Gross profit / Net Income) x 100

See page 271

Question No: 5 (Marks: 1) - Please choose one

Current ratio may be increased by:

► **Overstating current Assets (correct)**
► Overstating current Liabilities
► **Understating current Assets (not Correct)**
► Understating current assets and overstating current liabilities

Current Ration = current Assets/current Liabilities.
(when current Assets increase the ratio will automatically increase)

Question No: 6 (Marks: 1) - Please choose one

Which of the following is a type of business formed under the Companies Ordinance 1984?

► Sole-Proprietorship
► Partnership
► **Joint Stock Company (Correct)**
► All of the given options

See page 215

Question No: 7 (Marks: 1) - Please choose one

When preparing cash flow statements, the repayments of a loan during the year should be included under which of the following heading?

► Operating activities
► **Financing activities (correct)**
► Investing activities
► None of the given options

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Question No: 8 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as an inflow of cash?

► The repayments of a bank loan
► Dividend issue in the current year
► **Money received as result of selling fixed assets (Correct)**
► The difference between the valuations of old and new fixed assets

Because of Income

Question No: 9 (Marks: 1) - Please choose one

What are the effects on financial statements, if Rs. 6,000 transfer to general reserve is given in adjustment?

► It will be treated in Income Statement only
► It will be treated as current liability in balance sheet only
► It will be treated in profit and loss appropriation account only
► **it will be treated in both profit and loss appropriation account and in the balance sheet (Correct)**

Adjustment always have double effects.

Question No: 10 (Marks: 1) - Please choose one

Which of the following is the most important document of the company?

► **Memorandum of Association (Correct)**
► Articles of Association
► Prospectus
► Annual Report

Memorandum of Association: is necessary to form Joint stock company
Page 215

Question No: 11 (Marks: 1) - Please choose one

Preliminary Expenses of the company may write off against:

► **Share premium account (Correct)**
► Share holder account
► Debtors control account
► Creditor control account

See page 217

Question No: 12 (Marks: 1) - Please choose one

Which of the following clause/s are discussed in Memorandum of Association of Companies?

- ► Name of company
- ► Place of registered office of company
- ► Objective of the company
- ► **All of the given options (Correct)**

Page 215

Question No: 13 (Marks: 1) - Please choose one

The Joint Stock Company is formed under the Companies Ordinance:

- ► **1984 (Correct)**
- ► I884
- ► 1948
- ► 1965

Page 215

Question No: 14 (Marks: 1) - Please choose one

When the capitals are fixed, which of the following account will be debited for drawings made by a partner?

- ► **Individual Partner's Current Account (correct)**
- ► Partner's Cash Account
- ► Partner's Bank Account
- ► **Partners Capital Account (not Correct)**

Example at page 204

Question No: 15 (Marks: 1) - Please choose one

Which of the following account will be debited when the interest on drawings is charged?

- ► Partner's capital account
- ► Interest account
- ► Partner's current account
- ► **Profit & Loss account (Correct)**

Page 211

Question No: 16 (Marks: 1) - Please choose one

Which of the following is **CORRECT** if depreciation is given in trial balance?

- ► It means depreciation has already been deducted from concerned asset account
- ► **It will be shown as an expense in income statement only (Correct)**
- ► It will not be deducted from concerned asset in Balance Sheet
- ► All of the given options are correct

Question No: 17 (Marks: 1) - Please choose one

An asset which is **NOT** easily convertible to cash or not expected to become cash within a period of twelve months is called:

- ► Liquid asset
- ► **Current asset (Correct)**
- ► Fixed asset
- ► Floating asset

Question No: 18 (Marks: 1) - Please choose one

Which one of the following is **TRUE** about provisions?

- ► It is necessary to prepare for showing true picture of balance sheet
- ► It is a reduction from assets
- ► **It is prepared for specific purposes (Correct)**
- ► All of the given options

If an entry which normally exists in Adjustment always has double effect but if the same is in Trial Balance then in one account.
Bcz
Adjustment don't have General Journal entry in books while the trial Balance items have general entry
Drawing Account
To Fixed Asset Account OR accumulated depriciation
Where fixed account already credited in case of trial balance.

Question No: 19 (Marks: 1) - Please choose one

The Balance Sheet item that represents the resources invested by the owner is known as:

- ► Accounts Receivable
- ► Cash
- ► Note Payable
- ► **Owner's Equity (Correct)**

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Question No: 20 (Marks: 1) - Please choose one

Which of the following is **NOT** an operating expense?

- ► Salaries and wages expense
- ► Rent expense
- ► Interest expense
- ► **Depreciation expense (Correct)**

See example at page 240

Question No: 21 (Marks: 1) - Please choose one

A financial statement that indicates the success or failure of a business, over a period of time is called:

- ► A cash flow statement

► A retained earnings statement
► An income statement
► **A balance sheet (Correct)**

Question No: 22 (Marks: 1) - Please choose one

Which of the following is the first phase of the typical operating cycle?

► Receive cash from customers
► Pay cash to suppliers
► Sell goods and services to customers
► **Purchase goods and services (Correct)**

Question No: 23 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 10%	

Identify the Total amount deducted from Sundry debtors.

► Rs. 460
► Rs. 2,400
► Rs. 3,080
► **Rs. 5,480 (Correct)**

PEHLAY WRITE OFF KIYAAA PHIR USS K BAAD PERCENTAGE NIKAALI
(33200-2400)*10/100 + WRITE OFF BAD DEBTS

Question No: 24 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be deducted from Sundry debtors?

► Rs. 3,600
► **Rs. 4,000 (CORRECT)**
► Rs. 1,600
► **Rs. 2, 400 (NOT Correct)**

Question No: 25 (Marks: 1) - Please choose one

When one or both aspects of a transaction are recorded in the wrong class or category of account, this is called:

► **Error of principle (Correct)**
► Error of omission
► Error of commission
► Error of original entry

Question No: 26 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of sales Rs.100 to Mr. "A" recorded in the purchases book?

- ► Sales account
- ► Purchase account
- ► A's account and Sales account
- ► **Sales account, purchase account and A's account (Correct)**

Question No: 27 (Marks: 1) - Please choose one

A receipt of cash Rs. 10,000 from Mr. Bilal is recorded as Rs. 1,000. What amount will be adjusted in rectifying entry?

- ► Rs. 1,000
- ► **Rs. 9,000 (Correct)**
- ► Rs. 10,000
- ► Rs. 11,000

Question No: 28 (Marks: 1) - Please choose one

_____ are committed in those cases where proper distinction between revenue and capital items is not made.

- ► **Error of principle** (correct
- ► Error of omission
- ► **Error of commission (not Correct)**
- ► Error of original entry

(see page 169)

Question No: 29 (Marks: 1) - Please choose one

Which of the following is (are) benefit/s of subsidiary ledger accounts to business?

- ► It tells about customer attitude of payments
- ► It can be checked against the control account to pick up recording errors
- ► It tells about the complete history of transactions of business client
- ► **All of the given options (Correct)**

Question No: 30 (Marks: 1) - Please choose one

Which of the following is **NOT** included in Debtors Control Account?

- ► **Cash sales (Correct)**
- ► Credit sales
- ► Bills receivable
- ► Discount allowed

Debtors control account regards with credit sale only

Question No: 31 (Marks: 1) - Please choose one

Which of the following is/are the item/s of a Control Account?

- ► Credit sale only

► **Cash sale only (not Correct)**
► Credit purchase only
► **\Both Credit sales and Credit purchase (correct)**

Control account relates to debtors & creditors & debtors & creditors relates to credit purchase & sale

Question No: 32 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account.

► Rs. 3,600
► Rs. 2,000
► Rs. 1,600
► **Rs. 400 (Correct)**

Question No: 33 (Marks: 1) - Please choose one

Which of the following is **NOT** a function of bank reconciliation statement?

► To reconcile the difference between the cash book and the bank statement
► **To check for errors in balance sheet (Correct)**
► To update omitted entries into the cash book
► To update omitted entries into the bank statement

Balance sheet not concerned with Reconciliation

Question No: 34 (Marks: 1) - Please choose one

Which one of the following transactions will cause the balance in Mr. Terry's Cash Book to be greater than his Bank Statement balance?

► A cheque is drawn but not yet presented at the bank for payment
► **The bank has not yet notified to Mr. Terry about a dishonoured cheque (correct)**
► **A credit transfer into Terry's Bank Account (not Correct)**
► A cheque payment of Rs.101 is recorded in the Cash Book as Rs.110

We received a cheque added in Cash book & submit in Bank. That chaque dishonored. Bank not add that into your account. Cash book overcastted .this is why.

Question No: 35 (Marks: 1) - Please choose one

The following balance and discrepancies were found on 31 March 2008:

Particulars	Rs.
Cash book balance (Dr)	5 000
Unpresented cheques	1 000
Uncredited cheques	500

The Bank Statement balance on 31 March 2008 should be:

► Rs. 5 500 (Dr)
► **Rs. 5 500 (Cr) correct**
► Rs. 4 500 (Dr)

► **Rs. 4 500 (Cr) (not Correct)**

5000+1000-500 = 5500 Ans

Question No: 36 (Marks: 1) - Please choose one

Which of the following is **NOT** a characteristic of Joint Stock Company?

► Separate Legal Entity
► Limited Liability
► **Easy Formation (Correct)**
► Common Seal

Question No: 37 (Marks: 1) - Please choose one

Consider the following data:

Particulars	Rs.
Assets	1,98,000
Owner's equity	95,000
Liabilities	?

► Rs. 49,000
► Rs. 55,000
► Rs. 1, 25,000
► **Rs. 1, 03,000 (Correct)**

198000-95000= 103000

Question No: 38 (Marks: 1) - Please choose one

The basic purpose of depreciation is to achieve the:

► **Matching principle (Correct)** not confirm
► Dual aspect principle
► Separate entity concept
► Money measurement concept

Question No: 39 (Marks: 1) - Please choose one

Accountancy covers which of the following area(s):

► Book-keeping
► Accounting
► Auditing
► **All of the given options (Correct)**

Question No: 40 (Marks: 1) - Please choose one

Bank Reconciliation Statement is prepared by:

- ► Bankers
- ► **Accountant of the business (Correct)**
- ► Statutory auditor
- ► Manger

Question No: 41 (Marks: 1) - Please choose one

Under the reducing balance method, deprecation is calculated on:

- ► Scrap value of an asset
- ► Original cost of an asset
- ► **Book value of an asset (Correct)**
- ► Fair value of an asset

Question No: 42 (Marks: 1) - Please choose one

The products that are ready for sale are known as:

- ► Raw material
- ► Work in process
- ► **Finished goods (Correct)**
- ► Closing stock

Question No: 43 (Marks: 1) - Please choose one

Which of the following item appears in Trading Account of a business?

- ► Interest expenses
- ► **Wages and salaries (Correct)**
- ► Depreciation expenses
- ► Discount Allowed

Question No: 44 (Marks: 1) - Please choose one

Which of the following financial statement **DO NOT** show the financial health of a business at a specific date?

- ► **Profit and loss account (Correct)**
- ► Balance sheet
- ► Statement of financial position
- ► All of the given options

Question No: 45 (Marks: 1) - Please choose one

Which of the following account will be credited in the books of XYZ Co. Ltd, if the business purchased a vehicle though cheque?

- ► Vehicle account
- ► Cash account
- ► Business account
- ► **Bank account (Correct)**

Question No: 46 (Marks: 1) - Please choose one

Gross Profit > Operating Expenses=?

- **Net Profit (Correct)**
- Cost of Goods Sold
- Net Loss
- Gross Loss

Question No: 47 (Marks: 1) - Please choose one

Bank book is part of:

- Voucher
- General Journal
- **General Ledger (Correct)**
- Trial Balance

Question No: 48 (Marks: 1) - Please choose one

What would be the affect on the components of the accounting equation, if goods are purchased on cash?

- Increase in cash and decrease in equity
- Increase in cash and increase in goods
- **Increase in goods and decrease in cash (Correct)**
- Increase in equipment and increase in equity

Question No: 49 (Marks: 1) - Please choose one

We can say that the business is in profit, when:

- Assets exceed Liabilities
- **Income exceeds Expenditure (Correct)**
- Income exceeds Liabilities
- Assets exceed Expenditure

Question No: 50 (Marks: 1) - Please choose one

A business event which can be measured in terms of money and must be recorded in books of accounts is called:

- Information
- Condition
- **Transaction (Correct)**
- Record

Question No: 51 (Marks: 5)

Calculate Net income with the help of given date for the year 2007 and also show complete working to support your answer.

Raw material Stocks on 1-1-2007	Rs. 30,000
Work in process on 1-1-2007	35,600
Finished Goods on 1-1-2007	35,400

Raw material Stocks 31-12-2007	Rs. 31,000
Work in process 31-12-2007	25,000
Finished Goods 31-12-2007	53,900
Total factory Cost	543,339

Additional data

- Other income for the year is Rs. 5,000.
- Operating expenses for the year Rs. 15,000.
- Sale for the year Rs. 1,000,000.

Question No: 52 (Marks: 10)

The following Trial Balance was extracted from the books of Naeem & Sons on 31st December, 2007. From this you are required to prepare an Income Statement for the year ended on 31st December, 2007,

Particulars	Debit Rs.	Credit Rs.
Cash	5,000	
Accounts Receivable	9,000	
Merchandise Inventory on 1.1.2007	6,000	
Plant and Machinery	24,000	
Land and Building	82,000	
Furniture and Fixtures	2,600	
Capital		136,000
Accounts Payable		3800
Purchases	60,000	
Purchases returns and allowances		2,800
Sales		70,000
Sales returns and allowances	4,600	
Insurance Prepaid	3,400	
Advertisement expenses	4,000	
Salaries expenses	12,000	
Total	**212,600**	**212,600**

ADDITIONAL INFORMATION:

- Prepaid insurance on 31st December, 2007 is Rs. 1,400
- Outstanding salaries Rs. 1,000
- Depreciation on Plant and Machinery @ 10% p.a.
- Merchandise inventory on 31st December, 2007 was valued at Rs. 6,000

Answer:

Trading Account for the year ending 31.12.2007						
Opening stock		**6000**		**Sales**	**70000**	
				Less : Sales Return	**4600**	
Purchase	**60000**					**65400**
Less Return	**2800**					

		57200		Closing Stock		6000
Gross Profit			8200			
			71400			71400
Profit & Loss Account for the year ending 31.12.2007						
Advertisement Exp		4000		Gross Profit		8200
Salaries	12000					
Add: Outstanding	1000					
		13000				
Depreciation						
Plant & Mach		2400				
Insurance	3400					
	1400					
		2000				
				Net Loss		13200
		19400				21400

Balance Sheet as on 31.12.2007

Accouts Receivable		9000	Capital	136000	
			Less :Net Loss	13200	
Cash		5000			122800
Plant & Mach	24000		Accounts Payable		3800
Less: Depr	2400				
			Outstanding salaries		1000
		21600			
Land & Building		82000			
Furniture		2600			
Prepaid Insurance		1400			
Closing Stock		6000			

		127600	**127600**

Question No: 53 (Marks: 10)

Prepare Profit and Loss Account for the year ending 31st December 2007 from the Trial Balance and adjustments of MS Company given below:

Particulars	Debit	Credit
	Rs.	Rs.
Drawings	14,000	
Capital Account		80,000
Opening Stock	55,000	
Purchases	485,000	
Sales		610,000
Sundry Debtors	80,000	
Sundry Creditors		60,500
Sales Returns	5,000	
Carriage Inwards	6,000	
Salaries	28,000	
Rent, Rates, Taxes	15,000	
Insurance	4,000	
Machinery	50,000	
Furniture	5,000	
Cash in hand	3,500	
Total	**750,500**	**750,500**

Adjustments:

- Depreciate machinery and furniture @20%p.a.
- Outstanding Salaries Rs. 2,000
- Insurance paid in advance Rs. 500
- Maintain @5% reserve for doubtful debts on debtors.
- Closing Stock was valued at Rs. 60,000

Answer:

Trading Account for the year ending 31.12.2007						
Opening stock		**55000**		**Sales**	**610000**	
				Less : Sales Return	**5000**	
Purchase		**485000**				**605000**
Caririage Inward		**6000**		**Closing Stock**		**60000**
Gross Profit		**119000**				

		665000				**665000**
Profit & Loss Account for the year ending 31.12.2007						
Salaries	**28000**			**Gross Profit**		**119000**
Add: Outstanding	**2000**					
		30000				
Rent, Rates, Taxes		**15000**				
Insurance	**4000**					
Less :Advance	**500**					
		3500				
Depreciation						
Machinery	**10000**					
Furniture	**1000**					
		11000				
Provision on Doubtful Debts		**4000**				
Net Profit		**55500**				
		119000				**119000**

NOTE: PLEASE CONSIDER ALL ENTRIES ON LEFT SIDE AS ON RIGHT HAND SIDE AND VICE VERSA. JUST SHOWN BY MISTAKE. I HOPE YOU CONSIDER MY REQUEST DUE TO SHORATGE OF TIME.

Question No: 54 (Marks: 10)

What is the difference between public and private company?

Answer:

Private Limited Company

- Number of members in a private limited company varies from 2 to 50.
- Any 2 members can subscribe their names in memorandum and articles of association along with other requirements of the companies' ordinance 1984. They can also apply to security exchange commission for company's registration.
- The shareholders of the private limited company elect two members of the company as Directors. These directors form a board of directors to run the affairs of the company.
- The head of board of directors is called chief executive.
- Private limited company can not offer its shares to general public.
- In case a investor decides to sell his/her/her shares, his/her shares are first offered to existing shareholders. If all existing shareholders decide not to buy these shares, then an outsider investor can buy.
- Words and digression "(Private) Limited" are added at the end of the name of a private limited company.

Public Limited Company

- Least number of members in a public limited company is **7** with no upper limit in number of members.

- Any 7members can subscribe their names in memorandum and articles of association along with other requirements of the companies' ordinance 1984. They can also apply to security exchange commission for company's registration.
- The shareholders of the public limited company elect seven members of the company as Directors and these directors form a board of directors to run the daily affairs.
- The head of board of directors is called Chief Executive.
- Public limited company can offer its shares to general public at large.
- Word "Limited" is added at the end of the name of a public limited company.
- Each subscriber of the memorandum shall write opposite to his name, the number of shares held by him/her.

On top of that there are two types of public limited company:

1. Listed Company
2. Non Listed Company

LISTED COMPANY

Listed company is the one whose shares are quoted and traded on stock exchange. It is also called quoted company.

NON LISTED COMPANY

Non listed company is the one whose shares are not quoted or traded.

=FINALTERM =EXAMINATION=20
Spring 2009
MGT101- Financial Accounting=20

==Time: 120 min=20
Marks: 85

== ==**20**
==**Question No: 1 (=Marks: 1) - Please choose one**
===**=**=ch=20 =What will be the effect on accounting =equation, when payment is made to the creditor of the business?
===20
== ► Increase in an =asset, increase in owner's equity
► Increase in an asset, increase in a liability
► Decrease in an asset, decrease in owner's equity
=**► =Decrease in an asset, decrease in a liability==20**
==**20**
==**Question No: 2 (=Marks: 1) - Please choose one**
===**=**=ch**=20** =Which one of the following is a type of =General Ledger?
===20
== ► Book of original =entry
► 'T' Account
► Source document
=**► =Day book==20**
==**20**
==**Question No: 3 (=Marks: 1) - Please choose one**
===**=**=ch=20 =Which of the following summarizes the cash =movements during a specified period?=**=20**
=20
► Trading account
► Profit & Loss account
=**► =Receipts & Payments account==20**
=► Balance Sheet=20
==**20**
==**Question No: 4 (=Marks: 1) - Please choose one**

===**=**=ch**=20** =Which of the following is/are the =**=END**=20 product of accounting cycle?
===20
== **==► Financial Statements**=**=20**
=► General Journal
► General Ledger
► Voucher
==**20**
==**Question No: 5 (=Marks: 1) - Please choose one**
== **=**=ch=20 =Which of the following shows summary of a =company's financial position at a specific date?
===20
== =► Profit & Loss Account
► Cash Flow Statement
= ==► **=Balance Sheet**=20**=20**
=► Income & Expenditure Account
== ==**20**
==**Question No: 6 (=Marks: 1) - Please choose one**
===**=**=ch**=20** =Accounts Receivable & =Inventory are =the =20examples of:
===20
== ► ==Liquid assets=20
== **=** =20**► =**=**=id5115618 Current assets**=20**=20**
=► =Fixed =assets=20
► =Capital =assets=20
== ==**20**
==**Question No: 7 (=Marks: 1) - Please choose one**
===**=**=ch=20 =Which of the following is an alternate term =which can be used for “Capital”?=**=**=20
===20
===20
= =► =Liability=20
== **==► Owner’s net worth**=**=20**
=► Working capital
► Asset=20
== ==**20**
==**Question No: 8 (=Marks: 1) - Please choose one**
===**=**=ch=20Which of the following particular is =**=NOT** included in =the specimen of a payment voucher?
===20
== ► Name of =organization=20
► Cash payment amount
► Date of transaction
=**► =Bank receipt**=**=20**
==**20**
==**Question No: 9 (=Marks: 1) - Please choose one**
===**=**=ch=20 =The total of all costs incurred to convert raw =material into finished goods is known as:
===20
► Prime cost
=**► =Conversion cost**=**=20**
=► Sunk cost
► Opportunity cost
== ==**20**
==**Question No: 10 (=Marks: 1) - Please choose one**
===**=**=ch**=20** =All the costs incurred on the incomplete =assets up to the balance sheet date must be transferred to:=20
===20
== ► Capital account

=► **=Capital work in progress account**=**=20**
=► Relevant asset account
► Owner's equity account
==**20**
==**Question No: 11 (=Marks: 1) - Please choose one**

==drs===3 ====20==**=20**=ch=20 **Particulars**	**Rs.**
===Opening stock of raw =material	=100,000
==drs==3 ==20====Closing stock of =raw material	===2080, 000
===drs==20=3 ========20Purchases of raw material during the =period	==200, 000
====3=20=======Cost of Material =Consumed	=**?**

===20=20
== ► Rs. 205,000
► Rs. 215,000
=► **Rs. =220,000**=**=20**
=► Rs. 225,000
==**20**
==**Question No: 12 (=Marks: 1) - Please choose one**
==ch=20Which one of the following is =**NOT** =true about Capital Expenditure?
== =► Creates future benefits
► I=ncurred to acquire =fixed assets=20
► Incurred to increase the economic life of =existing fixed assets
=► **=Reduce the profit of the concern**=**=20**
== ==**20**
==**Question No: 13 (=Marks: 1) - Please choose one**
===**=**=ch=20 =Find out the missing value of an Accounting =Equation with the help of given data:
=20

==w10 ==3 ====20==Total =Assets	Rs. 34,500
==Accounts payable	Rs. 1, =000
===20Other liabilities	Rs. 11,500

===20
== **==► Rs. 22,000 owner's equity**=**=20**
=► Rs. 23, 000 owner's equity=20
► Rs. 24,000 owner's equity
► Rs. 46,000 owner's equity
==**20**
==**Question No: 14 (=Marks: 1) - Please choose one**
===**=**=ch**=20** =Depreciation arises because of:
===20
== ► Fall in the =market value of an asset
► Fall in the value of money
=► **=Physical wear and tear**=**=20**
=► All of the given options=20
== ==**20**
==**Question No: 15 (=Marks: 1) - Please choose one**
===**=**=ch=20 =When the Bank Statement balance is more than =the Cash Book balance, it is because of:
=20
=20

===20
== **==► Unpresented cheques**==**20**
=► Unrecorded bank charges
► Uncredited cheques
► None of the given options
==**20**
==**Question No: 16 (=Marks: 1) - Please choose one**
===ch**=20** =Which of the following account would be =credited, when the bad debts are recovered?
===20
== ► Allowance for =bad debts a/c
=**► Bad =debts recovered a/c**==**20**
=► Doubtful debts a/c
► Cash a/c
==**20**
==**Question No: 17 (=Marks: 1) - Please choose one**
===ch=20 =Which of the =following is/are the =item/s=20 of a Control =Account?=20
► =Credit =sale only
► =Cash sale =only
► =Credit =purchase only
=**► =**=**charrsid8349552=20Both Credit sales and Credit purchase**==**20**
==**20**
==**Question No: 18 (=Marks: 1) - Please choose one**
===ch**=20** =Which of the following is**= NOT** ==20included in Debtors Control Account?=20
===20
== **==► Cash sales**==**20**
=► Credit sales=20
► Bills receivable=20
► Discount allowed=20
==**20**
==**Question No: 19 (=Marks: 1) - Please choose one**
===ch=20 =Which of the following is**=** =(are)=20 =included in Creditors Control =Account?=20
===20
== ► Discount =received from supplier=20
► Credit purchases=20
== ► Bills =payable=20
== **==► All of the given options**==**20**
==**20**
==**Question No: 20 (=Marks: 1) - Please choose one**
===ch**=20** =Which of the following account(s) will be =affected, while rectifying the error of Sale to Mr."A" Rs. 336 was =not recorded at all?
== ► Only sales =account
► Only A's account
► Only cash account=20
=**► =Both sales account and A's account**==**20**
==**20**
==**Question No: 21 (=Marks: 1) - Please choose one**
===ch=20 =Which of the following account(s) will be =affected, while rectifying the error of an amount Rs.200 received from =Mr."P" wrongly credited to Mr."Q's" account?
== ► Only Cash =Account
► Only P's account
► Only Q's account
=**► =Both of Mr. P's & Mr.Q's Account**==**20**
==**20**

==**Question No: 22 (=Marks: 1) - Please choose one**
===**=**=ch**=20** =Which of the following item must be recorded =in the adjusted Cash Book in order to bring it in line with the entries =in the Bank Statement?
===20
== **==► Bank charges**=**=20**
=► An error on the Bank Statement
► An uncredited deposit
► An unpresented cheque
==**20**
==**Question No: 23 (=Marks: 1) - Please choose one**
===**=**=ch=20 =Consider the following data and identify the =amount which will be deducted from Sundry Debtors in Balance Sheet. = =20

=trpaddr108===20====**Particulars**	**=Rs.**
==Bad debts (from trial =balance)	=1,600
==Provision for =doubtful debts (old)	==2,000
==Current =year's provision (new)	==1,000

==20
== ► Rs. 600
=► **Rs. =1,000**=**=20**
=► Rs. 2,000
► Rs. 2,600
==**20**
==**Question No: 24 (=Marks: 1) - Please choose one**
===**=**=ch**=20** =It is supposed that on 31=st==20 December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is =estimated that 10% of the sundry debtors are doubtful. Actual bad debts =are Rs. 1600. What amount of new provision for doubtful debts will be =deducted from Sundry debtors?=20 **=20**
===20
== ► Rs. 3,600
=► **Rs. =4,000**=**=20**
=► Rs. 1,600
► Rs. 2, 400
== ==**20**
==**Question No: 25 (=Marks: 1) - Please choose one**
===**=**=ch=20 =Which of the following is an example of =operating expense?=20
===20
== ► Purchasing =operating equipment
=► **=Purchasing cleaning services**=**=20**
=► Purchasing an investment in another company
► Purchasing a computer for the accounting office
==**20**
==**Question No: 26 (=Marks: 1) - Please choose one**
===**=**=ch**=20** =Which of the following is normally treated as =the last expense listed in the income statement of a company?
===20
== ► Interest expense
► General and administrative expenses
► Salaries and wages expense
=► **=Income tax expense**=**=20**

==20
==**Question No: 27 (=Marks: 1) - Please choose one**
===**=**=ch=20 =Which of the following accounts would be =increased with a debit?
===20
== ► Contributed =Capital
► Retained Earnings
► Revenues
=**► =Expenses**=**=20**
==20
==**Question No: 28 (=Marks: 1) - Please choose one**
===**=**=ch**=20** =Which of the following is =**NOT**==20 an operating expense?
===20
== ► Salaries and =wages expense
► Rent expense
=**► =Interest expense**=**=20**
=► Depreciation expense
==20
==**Question No: 29 (=Marks: 1) - Please choose one**
===**=**=ch=20 =An asset is considered to be a current asset =if:
===20
== ► It has been =bought recently and was bought new and not used=20
=**► It =can be realized in cash or sold or consumed in the business within one =year**=20**=20**
=► It is a piece of new machinery that is expected to last for =at least ten years
► All of the given options
==20
==**Question No: 30 (=Marks: 1) - Please choose one**
===**=**=ch**=20** =Which of the following item will be shown on =debit side of capital account of sole proprietor?
===20
== ► Cash=20
=**► =Drawings**=**=20**
=► Debtors=20
► Profit=20
== ==20
==**Question No: 31 (=Marks: 1) - Please choose one**
==ch=20 =Which of the following is/are =**NOT**==20 shown in balance sheet of sole proprietor?=20
== =► Fixed assets
► Current liabilities=20
=**► =Profit sharing ratio**=**=20**
=► Long term assets
== ==20
==**Question No: 32 (=Marks: 1) - Please choose one**
==ch**=20** =When closing stock is given in trial balance, =then it will effect:
== ► Trading account =only
=**► =Balance sheet only**=**=20**
=► Owner's equity only
=► Both Trading =account and Balance sheet=20
==20
==**Question No: 33 (=Marks: 1) - Please choose one**
===**=**=ch=20 =What will the effects on financial statements, =if machinery is depreciated @ 10%?=20
===20
== ► It will be =treated as an expense in income statement only
► It will be subtracted from concerned asset only
► It will be treated as a current asset only

=► **It =will be treated as an expense in income statement and subtracted from =concerned assets in Balance Sheet**=20**=20**

==**20**

==**Question No: 34 (=Marks: 1) - Please choose one**

===**=**=ch**=20** =Which of the following statement is =**TRUE =**about **=**the Accounts =receivable?

► Accounts receivable arises when a company buys =goods or services from another party on credit

► Accounts receivable is a miscellaneous category =that may include loans to employees

► Accounts receivable are more formal than notes =receivable

=► **=Accounts receivable are often called trade receivables**=**=20**

==**20**

==**Question No: 35 (=Marks: 1) - Please choose one**

===**=**=ch=20 =Fixed Asset (WDV) + _____ =3D Total =assets Employed

===20

== **==► Working capital**=**=20**

=► Total liabilities=20

► Total assets

► Current assets

==**20**

==**Question No: 36 (=Marks: 1) - Please choose one**

===**=**=ch**=20** =Identify the selling expenses of manufacturing =concern with the help of given data.=20

==l108===20====**Particulars**	**=Rs.**
==Salesman's salary	===2070,000
==Commission on =sales	==28,000
==Carriage =outward	==10,000
==Carriage =inward	==5,000

==20

== ► Rs. 80,000

► Rs. 60,000

► Rs. 38,000

=► **Rs. =1, 08,000**=**=20**

==**20**

==**Question No: 37 (=Marks: 1) - Please choose one**

===**=**=ch=20 =Which of the following statement is =**=TRUE**=20 about the partnership form of business?

► Partners must have to share their profits in =equal proportion=20

== ► Partners =are personally liable for the liabilities of the business

== ► Partnerships =must make their accounts available to the general public

=► **=Partnership agreement in writing is called Partnership deed**=**=20**

==**20**

==**Question No: 38 (=Marks: 1) - Please choose one**

==ch**=20** = By which if the following Act/ Ordinance, a =company is allowed to issue shares at a higher price than their face =value.=20

== **==► Companies ordinance 1984**=**=20**

=► Contract act 1872

► Sales of Goods act 1930

► None of the given options

==**20**

==**Question No: 39 (=Marks: 1) - Please choose one**

==ch=20 =Preliminary Expenses of the company may write =off against:

== **==► Share premium account**=**=20**

=► Share holder account=20
► Debtors control account=20
► Creditor control account
==20
==**Question No: 40 (=Marks: 1) - Please choose one**
===ch**=20** =Which of the following document(s) define the =relation of company with outside world?
===20
== ► Prospectus=20
► Statutory Declaration
=► Memorandum of =Association=20
==**► =Articles of Association**=20**=20**
==20
==**Question No: 41 (=Marks: 1) - Please choose one**
===ch=20 =What are the effects on financial statements, =if provision for Income Tax to be made Rs. 12,000 is given in =adjustment?
===20
== ► It will be =deducted in Income Statement only
► It will be treated as current liability in =balance sheet only=20
► It will be treated as current asset in balance =sheet only
► =**Both it will =be deducted in income statement and it will be treated as current =liability in balance sheet**=20**=20**
==20
==**Question No: 42 (=Marks: 1) - Please choose one**
===ch**=20** =What are the effects on financial statements, =if Rs. 6,000 transfer to general reserve is given in adjustment?
===20
== =► it will be treated in both profit and loss appropriation account and =in the balance sheet==20
=___==**► It =will be treated in Income Statement only**=20**=20**
=► It will be treated as current liability in balance sheet only =
== ► It will be =treated in profit and loss appropriation account only
== ==20
==**Question No: 43 (=Marks: 1) - Please choose one**
==ch=20 =In cash flow statements, which of the =following would appear as a cash outflow?=20
== **==► The payments for purchases made during the year==20**
== ► A decrease =in trade debtors over the course of an accounting period
== ► Money received =as a result of issuing new shares
► Money received as result of selling fixed assets
==20
==**Question No: 44 (=Marks: 1) - Please choose one**
==ch**=20** =Which of the following is**= CORRECT**=?
► A cash inflow means increase total cash only
== ► A cash inflow =means increase in cash equivalent only
► A cash inflow means increase in cash and decrease =in cash equivalent
=**► A =cash inflow means increase in both cash and cash equivalent**==**20**
==20
==**Question No: 45 (=Marks: 1) - Please choose one**
===ch=20 =When opening stock is Rs. 50,000, closing =stock Rs. 60,000 and cost of goods sold Rs. 220,000. What will be stock =turnover ratio?=20
===20
== ► 2 times
► 3 times
=**► 4 =times**==**20**
=► 5 times

==20

==**Question No: 46 (=Marks: 1) - Please choose one**

==w10 ==3 ====20==**=20**=ch**=20**	**Rs.**
==Gross profit	===2050,000
==Operating profit	= 42,000
==Sales	==20250, 000
==**What is the amount of =operating expenses**	=**?**

===20=20

== **==► Rs. 8,000=20**

=► Rs. 92,000

► Rs. 62,500

► Rs. 300,000

==20

==**Question No: 47 (=Marks: 1) - Please choose one**

==ch=20 =What types of changes (is) are made at the =admission of partner in partnership?

== ► Assets of old =business will be revalued

► Liabilities of old business will be revalued

► Good will of business will be revalued

=**► =All of the given options=20**

==20

==**Question No: 48 (=Marks: 1) - Please choose one**

===**=**=ch**=20** =In which situation(s) Partnership is =dissolved?

===20

== ► In case of death =of partner

► At the admission of new partner

► If any partner resigned from partnership

=**► =All of the given options=20**

==20

==**Question No: 49 (=Marks: 1) - Please choose one**

===**=**=ch=20 =If one partner receives a salary which is =credited to him at the end of the year, the share of profit available =for distribution will be:

===20

== ► Increased

=**► =Decreased=20**

=► Unchanged

► Changed and become negative

==20

==**Question No: 50 (=Marks: 1) - Please choose one**

===**=**=ch**=20** =Which one of the following is equal to the =carrying cost of an asset?

== ► Original =cost minus Accumulated depreciation

► Original cost plus Accumulated depreciation

=**► =Original cost minus Residual value=20**

=► Written down value minus Accumulated depreciation

== ==20

==**Question No: 51 (=Marks: 5)=20**

==ch=20 **What is the Purpose of Control Accounts?=20**

=20

===**=20A business needs to have accounts created for individual creditors and =debtors in its general ledger. Creditors are people/entity to whom =company owes money and debtors are entities/people who owe money to the =business. But when a business grows then the number of creditors and =debtors also grows. We know that trial balance can give us the =mathematical accuracy of accounts and if there is any difference in =trial balance we can know it from the general**

ledger by=20actually checking each and every transaction for the year. But it is a =very time consuming job to check each and every transaction if the =business of the company is huge because it will have many many =transaction to check. So =20for= this control accounts are =maintained in general =**ledger,** =20**one for total creditors and one for total =debtors. Debtor's account is called debtor's control =account and creditor's account is called creditor's =control account.** =20 **These accounts will not get hit by =individual purchase,**= =**=20purchase returns, payments to creditor in case of creditor's =control account and by sales, sales return, receipts in case of ==debtor'=20s control account. Periodically this summarized data will be posted from =individual ledgers which will be created for each type of transaction =e.g a sales subsidiary ledger, pu**=**r**=20**chase subsidiary ledger =etc which will contain actual details of transactions with invoice =number and periodically the amounts will be summarized from these =subsidiary ledgers and posted to the control accounts at a single time. This way the =transactions in general ledger will decrease and will become easy to =manage and can be easily checked against creditor's or =debtor's details in total creditor'=20s ledger and total debtor's ledger for accuracy.** ==20

== ==**20**

==**Question No: 52 (=Marks: 10)=20**

===**=**=ch**=20 What is the effect of given adjustments on =Trading & Profit & Loss account and Balance Sheet?=20**

0. ==1440=20Accrued Expenses or Outstanding Expenses
1. Prepaid Expenses =or Unexpired Expenses
2. Accrued Revenue or =Revenue Receivable=20
3. Unearned Revenue =or Revenue Received in Advance=20
4. Depreciation of =Asset

==4943 =20

=20

=20

. ==13984943 =**Accrued =Expenses or Outstanding Expenses**=20**=20**

==13984943 **=**

=**Trading and profit and =loss account effect**=**=20**

=20

==9047 These =expenses will =20be shown in profit and loss account under administrative expenses and =will and be deducted from gross profit.= ==20They will be used to calculate net profit==20

==13984943 =**=20**

=20

==8154413 =**Balance sheet effect**

==13984943 =20

These =expenses will be shown =as expense payable or accrued expenses ==20in balance sheet as =current liabilities= and will be shown under current =liabilities section=20 of liabilities as they have to be paid by =business.=.==20

=20

=20

. ==13984943 =**Prepaid =Expenses or Unexpired Expenses**=20**=20**

==4943 =**=20**

=20

==8154413 =**Trading and profit and =loss account effect**=20**=20**

=20

==12547604 =These will be deducted from ==20relevant =expense= account==20 to g=et==20 the actual expenses for the period and that actual amount of expense =will be deducted from gross profit to arrive at net profit. This amount =of prepaid expenses will not be included in profit and loss =account=20 as an expense itself but its effect will be =on current expenses for the period for which profit and loss is being =calculated=.

==8154413 =20

=**Balance sheet =effect=20**

=20

==6693418 =These==20 prepaid expenses will be show and current assets in balance sheet and =will be shown under the section of current assets in balance =sheet.==20

==4943 =**=20**

=**=20**

. ==13984943 =**Accrued =Revenue or Revenue Receivable** =20**=20**

==3033315 =**=20**

==8154413 =**Trading and profit and =loss account effect**=20**=20**

=20

==8144341 These =will be added to sales in trading account in profit and loss statement and will be =treated as a revenue in the calculation of gross profit by subtracting =cost of goods sold from net sales. This will affect gross profit in =trading account. =20=20

==8154413 =**=20**

=20

=**Balance sheet =effect=20**

=20

==6693418 In balance sheet this revenue will be shown under current assets as =receivables from debtors and will be shown under the section of current =assets of the business.==20

==13984943 =**=20**

=**=20**

. ==13984943 =**Unearned =Revenue or Revenue Received in Advance =20=20**

==097 =**=20**

==8154413 =**Trading and profit and =loss account effect**=20**=20**

=20

==10173679 =20This will not be added to the sales as sales is recognized when the =actual services have been provided or when goods have been shipped =irrespective of whether payment has been received or not. ==20So this will not affect profit and =loss account as it is still not recognized as =sales/revenue.==20

==8154413 =**=20**

=20

=**Balance sheet =effect=20**

=20

==10173679 This is =a liability for the company because the company has to give goods or services to =the buyer for the advance payment done by the buyer and will be shown as =a liability in the balance sheet under the current liability section of =balance sheet.=20 Also the same amount will be shown =in the bank or cash as current asset to offset the liability because the =cash or cheque has been received for goods not given or services not =rendered yet.=20=20

==4943 =**=20**

=**=20**

. ==13984943 =**Depreciation =of Asset**

==4943 =20

==8154413 **=20**

=**Trading and profit and =loss account effect**=**=20**

=20

==1015403 The =depreciation of asset is an operating expense for the business and will affect =profit and loss account. It will be added to the administrative expense =and will be appear in the administrative expense section of profit and =loss account and will be deducted from gross=20profits to arrive at net profits along with other expenses.==20

==8154413 =**=20**

=20

=**Balance sheet effect**

=20

==15611164 =20In balance sheet it will appear as deduction from the fixed asset as the =fixed assets in balance sheet will be shown a=t= written down value. So this will be =added to previous balance of accumulated depreciation and will be =deducted from the total cost of the fixed assets and will appear in the =assets section under the heading of fixed asset. It might appear in =notes as sometimes in balance sheet summarized figure of fixed asset at WDV will be shown. In any case it is deducted from =fixed asset in balance sheet and affects the total assets =side==20

==4943 =20

===20

== ==**20**

==**Question No: 53 (=Marks: 10)=20**

===ch=20 =Prepare profit & loss Appropriation account =with the help of given data and show capital accounts and current =account in balance sheet for XY Z & Sons=20

==**=20**

=20

=It is assumed =that no capital introduced during the year.=20

=20

=**=ANSWER**=**=20**

==**=20**

=**=20**

==idth8240=dfl3======20=====20==**=XYZ Sons =20**

==rftsWidthA3=3======**Profit and =Loss Appropriation account for the period ending ----** ==20

===idth8240=dfl3======20=====20==**=**

==rftsWidthA3=3=====20=====**=Particulars**	==20**Amount =Rs**	**Amount Rs**
=rftsWidthA3=3==20========20==**=** ==rftsWidthA3=3==20========20===**Net Rrofit for the year**	**=**	==**600,000 =**
==rftsWidthA3=3==20==========20===**Less Salaries for partners** **=**== **=**===20 **=**===20 **==**rftsWidthA3=3==20========20==**=**	**=Partner X** **=Partner Y** **Partner Z**	==**(12,000)** **=20==(20,000)** **==(15,000)**	**=**== **=**==20 **=20(47,000)**
==rftsWidthA3=3==20==========20==**=** **===Less =Interest on Capital(5%)** **===** **===** ==rftsWidthA3=3==20========20==**=**	**=5 % on 400,000 for partner X** **=205 % on 250,000 for partner Y** **=205 % on 300,000 for partner Z**	**=**===20**(20,000)** ==**(12,500)** ==**(15,000)**	== **=**= **=**=20**(47,500)**
==rftsWidthA3=3==20==========20==**=** **===Add : =Markup on drawings(5%)** **===** **===** **=**=rftsWidthA3=3==20========20==**=**	**=Partner X's drawing 100,000** **=20Partner Y's drawing 150,000** **=20Partner Z's drawing 125,000**	===20**5,000** ==**7,500** ==**6,250**	== **=**= **=**=20**18,750**
==rftsWidthA3=3==20==========20**Net Profit avaialble for =distribution** **=**==wWidth8240=addfl3=====20========20_ **=**	=	==20**524,250 =**
==rftsWidthA3=3==20========20===_ **=20** **=**===20**Profit distributed to partners**	**=**=**X's share 30%**	==20**=(157,275)**	==

=== ==rftsWidthA3=3==20==========20====	**Y's =share 25%** **Z's share 45%**	**=20===(131,063)** **==(235,913)**	==20 **=(524,250)**
==rftsWidthA3=3==20=========20====			
==rftsWidthA3=3=====20========**=20Total**	**==**		==**=200**

===20**=20**
=20
=20
=20
=20
ANSWER PART 2
=**CURRENT ACCOUNTS OF =PARTNERS =20**
=20

==idth8980=dfl3==20========20===in0=20**XY Z LTD**	**=Partner's X Current Account**		**Account Code --**			
==idth8980=dfl3==20========in0=20**DEBIT SIDE**			**CREDIT =SIDE**			
=rftsWidthA3=3==20=========20=====20====20======in0=**Date 2002**	**=Vr. #**	**Narration / Particulars**	**Dr. Rs**	**Date 2002**	**Vr .#**	**Narration / Particulars**	**Cr. Rs**
==idth8980=dfl3=====20=====20====20=====20====20===in0=20		**=Drawing**	==in0=20 **100,000**	===in0=20		**=Opening balance**	==in0=20**50,000**
==in0=20		**Markup =on drawing**	==in0=20 **5,000**	===in0=20		**=Salary**	==in0=20**12,000**
==in0=20		**=**				**Interest on capital**	===in0=20=**20,000**
==in0=		**=**				**Profit paid**	==in0=**157,275**
==in0=		**=Balance c/d**	==in0=**134,275**	===in0=		**=**	
==in0=		**=**					
==in0=		**=TOTAL**	==in0=**239,275**	===in0=		**=TOTAL**	==in0=**239,275**

==**=20**
=20
=20

==idth8980=dfl3==20========20===in0=20**XY Z LTD**	**=Partner's Y Current Account**		**Account Code --**			
==idth8980=dfl3==20========in0=20**DEBIT SIDE**			**CREDIT =SIDE**			
=rftsWidthA3=3==20=========20=====20====20======in0=**Date 2002**	**=Vr. #**	**Narration / Particulars**	**Dr. Rs**	**Date 2002**	**Vr .#**	**Narration / Particulars**	**Cr. Rs**
==idth8980=dfl3=====20=====20====20=====20====20===in0=20		**==Drawing**	===in0=**150,000**	===in0=		**=Opening balance**	==in0=**60,000**
==in0=		==20**Markup on drawing**	===in0=20 **7,500**	===in0=20		**=Salary**	==in0=20**20,000**
==in0=20		==		**=**		**Interest on capital**	==in0=**12,500**
==in0=		==20		**=**		**Profit paid**	==in0=20**131,063**
==in0=20		==**Balance**	==in0=**66**	===in		**=**	

		c/d	**,063**	0=			
==in0=		==20		**=**			
==in0=		==20**TOTAL**	===in0=20**223,563**	===in0=20		**=TOTAL**	==in0=20**223,563**

==**=20**
=20
=20
=20
=20
=20
=20

==idth8980=dfl3==20========20===in0=20**XYZ LTD**		**=Partner==20 = Z Current =Account**				**Account Code --**	
==idth8980=dfl3==20========in0=20**DEBIT SIDE**				**CREDIT =SIDE**			
=rftsWidthA3=3==20=========20=====20====20======in0=**Date 2002**	**=Vr. #**	**Narration / Particulars**	**Dr. Rs**	**Date 2002**	**Vr .#**	**Narration / Particulars**	**Cr. Rs**
==idth8980=dfl3=====20=====20====20=====20====20===in0=20		==**Drawing**	===in0=**125,000**	===in0=		**=Opening balance**	==in0=**45,000**
==in0=		==20**Markup on drawing**	===in0=20**6,250**	===in0=20		**=Salary**	==in0=20**15,000**
==in0=20		==		**=**		**Interest on capital**	==in0=**15,000**
==in0=		==20		**=**		**Profit paid**	==in0=20**235,913**
==in0=20		==**Balance c/d**	===in0=**179,663**	===in0=		**=**	
==in0=		==20		**=**			
==in0=		==20**TOTAL**	===in0=20**310,913**	===in0=20		**=TOTAL**	==in0=20**310,913**

==**=20**
=20
===20
== ==**20**
==**Question No: 54 (=Marks: 10)=20**
===ch**=20** =Following is information of Shumile Ltd for =the year ended December 31=st=20, 2006
=20

==l108===20====**Particular**	**Rs.**
==Current Asset	===201600,850
==Current Liability =	==72,500
==Plant & Machinery =	==171,000
==Furniture	==30,000
==Land	==100,000
==Accumulated =profit & Loss c/f (credit balance)	=20=7,2

on 31=st= December,2006	50
==Gross Profit on 31=st==20 December,2006	==125,000
==Issued =capital	==150,000
==General =Reserve	==12,000
==Authorized =Capital Rs. 10/each	==500,000
==Long term =investment	==200,000

==20

=Other information:=20

=Depreciation is charged on all Fixed Assets (except Land) @ 10%.

=Prepare Balance Sheet as on 31=st= December, 2006.

=20

==20

=20

=20

=20

=**Answer =:=20**

===20

==idth5397=dfl3==20====20========20===in0=20**Shumile Lts**	==	
==idth5397=dfl3==20====20===in0=20**Balance sheet as on date =Dec 31st 2006**		
==idth5397=dfl3=========20===in0=20**Particulars**		==**Amount Rs**
==idth5397=dfl3======20=====20======in0=**Assets**	==20	
==in0=**Fixed Assets**	==20	
==in0=Fixed Assets at WDV	==20**Note 1**	==
==idth5397=dfl3=====20=====20====20===in0=20		=
==idth5397=dfl3======20=====20======in0=**Current Assets**	==20	
==in0=Cuurent Assets		=
==in0=		=
==in0=**Current =Liability**	=20	
==in0=Current Liability	=	
==in0=		=
==wWidth5397=addfl3=====20=====20====20===in0=20**Working Captial**	==	
==wWidth5397=addfl3=====20========20===in0=20		=
==in0=**Net Assets =employed**	**=20Note 2**	==
==in0=		=
==wWidth5397=addfl3=====20========20===in0=20**Financed by**	==	
==wWidth5397=addfl3=====20========20===in0=20	==	
==wWidth5397=addfl3======20=====20======in0=**Authorized share capital =(50,000 shares at Rs 10 each)**	=	
==wWidth5397=addfl3=====20========20===in0=20		=
==wWidth5397=addfl3=====20========20===in0=20**Share Holder's =Equity**	=	
==in0=Issued Capital	=	
==in0=General Reserve	=	
==wWidth5397=addfl3=====20=====20====in0=Accumulated profit ansd =loss		
==rftsWidthA3=3==20=========20======in0=		=
==wWidth5397=addfl3=====20========in0=20=**Net Shareholder's =Equity**		=

=rftsWidthA3=3==20=========20======in0=

==wWidth5397=addfl3=====20========20===in0=20**Long Term =Liability**

==wWidth5397=addfl3=====20========20===in0=20Long Term Investment

=rftsWidthA3=3==20=========20======in0=

==dthB3=rpaddfb3=20====20=====20====20===in0=20**Total FINALTERM EXAMINATION**

Fall 2008

MGT101- Financial Accounting (Session - 3)

Time: 120 min

Marks: 85

Question No: 1 (Marks: 1) - Please choose one

Debenture is also named as:

- **Share**
- Bond
- **Equity**
- Reserve

Question No: 2 (Marks: 1) - Please choose one

What types of changes (is) are made at the admission of partner in partnership?

- **Assets of old business will be revalued**
- Liabilities of old business will be revalued
- Good will of business will be revalued
- **All of the given options**

Question No: 3 (Marks: 1) - Please choose one

The balance sheet reported a beginning balance of Rs. 20,000 in Accounts Receivable and an ending balance of Rs. 15,000. Credit Sales of Rs. 200,000 were made during the year. Using this information, compute cash collected from customers.

- Rs. 215,000
- **Rs. 195,000**
- Rs. 200,000
- Rs. 205,000

Question No: 4 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as an inflow of cash?

- The repayments of a bank loan
- **Dividend issue in the current year**
- Money received as result of selling fixed assets
- The difference between the valuations of old and new fixed assets

Question No: 5 (Marks: 1) - Please choose one

Which of the following is **NOT** a cash inflow?

==

► **Purchase of fixed asset**
► Sale of fixed asset
► Issue of debentures
► Cash from business operation

Question No: 6 (Marks: 1) - Please choose one

What are the effects on financial statements, if Rs. 6,000 transfer to general reserve is given in adjustment?

► It will be treated in Income Statement only
► It will be treated as current liability in balance sheet only
► It will be treated in profit and loss appropriation account only
► **it will be treated in both profit and loss appropriation account and in the balance sheet**

Question No: 7 (Marks: 1) - Please choose one

Which of the following is the most important document of the company?

► Memorandum of Association
► Articles of Association
► Prospectus
► **Annual Report**

Question No: 8 (Marks: 1) - Please choose one

Which of the following document(s) define the relation of company with outside world?

► Memorandum of Association
► Articles of Association
► Prospectus
► **Statutory Declaration**

Question No: 9 (Marks: 1) - Please choose one

The income statement of the Limited company is also known as:

► Manufacturing account
► **Profit and Loss account**
► Profit and Loss Appropriation account
► Current Account

Question No: 10 (Marks: 1) - Please choose one

In which of the following auditor's remuneration payable is shown?

► In balance sheet under the head of current liabilities only
► In balance sheet under the head of current assets only
► In income statement under the administrative expense only
► **In both balance sheet under the head of current liabilities and income statement under the administrative expense**

Question No: 11 (Marks: 1) - Please choose one

The charter of a company which defines the limitations and powers of the company is called:

- ► The memorandum of association
- ► **Articles of association**
- ► Statutory report
- ► Certificate of commencement

Question No: 12 (Marks: 1) - Please choose one

Which of the following represents the partnership agreement in writing?

- ► Partnership registration
- ► **Partnership-at-will**
- ► **Partnership deed**
- ► Partnership certification

Question No: 13 (Marks: 1) - Please choose one

Which of the following represents the relationship between persons who have agreed to share the profit of business carried on by all or any of them acting for all?

- ► Sole-ownership
- ► Private limited company
- ► Public limited company
- ► **Partnership**

Question No: 14 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about the Accounts receivable?

- ► **Accounts receivable arises when a company buys goods or services from another party on credit**
- ► Accounts receivable is a miscellaneous category that may include loans to employees
- ► **Accounts receivable are more formal than notes receivable**
- ► Accounts receivable are often called trade receivables

Question No: 15 (Marks: 1) - Please choose one

Which one of the following is **TRUE** about provisions?

- ► It is necessary to prepare for showing true picture of balance sheet
- ► It is a reduction from assets
- ► It is prepared for specific purposes
- ► **All of the given options**

Question No: 16 (Marks: 1) - Please choose one

Which financial statement show what a business owes at a particular point in time?

- ► A cash flow statement
- ► The bank statement for the business
- ► **A balance sheet**
- ► **A statement of retained earnings**

Question No: 17 (Marks: 1) - Please choose one

Which of the following is an example of operating expense?

- ► **Purchasing operating equipment**
- ► Purchasing cleaning services
- ► Purchasing an investment in another company
- ► Purchasing a computer for the accounting office

Question No: 18 (Marks: 1) - Please choose one

Short-term investments include all of the following **EXCEPT**:

- ► A bond receivable intended to be sold within one year
- ► Frequently traded securities
- ► A stock investment in the General Electric Company intended to be sold within one year
- ► **A shares investment in the Coca-Cola Company intended to be held for several years**

Question No: 19 (Marks: 1) - Please choose one

The figure of cash received from debtors can be located either from cash book or:

- ► **Debtor's Control Account**
- ► Balance Sheet
- ► Profit & Loss Account
- ► Bills Payable Account

Question No: 20 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 10%	

Identify the Total amount deducted from Sundry debtors.

- ► Rs. 460
- ► **Rs. 2,400**
- ► Rs. 3,080
- ► Rs. 5,480

Question No: 21 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

- Rs. 600
- Rs. 1,000
- Rs. 2,000
- **Rs. 2,600**

Question No: 22 (Marks: 1) - Please choose one

Which of the following entry will be recorded, if a cheque deposited is dishonored by bank?

- Bank Account (Dr.) and Debtor's Account (Cr.)
- Debtor's Account (Dr.) and Bank Account (Cr.)
- **Dishonored Cheque Account (Dr.) and Bank Account (Cr.)**
- Creditor's Account (Dr.) and Bank Account (Cr.)

Question No: 23 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of an amount Rs.200 received from Mr."P" wrongly credited to Mr."Q's" account?

- **Both of Mr. P's & Mr.Q's Account**
- Only Cash Account
- Only P's account
- Only Q's account

Question No: 24 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of sales Rs.100 to Mr. "A" recorded in the purchases book?

- Sales account
- Purchase account
- **A's account and Sales account**
- **Sales account, purchase account and A's account**

Question No: 25 (Marks: 1) - Please choose one

"Goods sold to Mr. Salman for Rs. 6,000 have been forgotten to enter in books of accounts", is an example of:

- Error of principle
- **Error of omission**
- Error of commission
- Error of original entry

Question No: 26 (Marks: 1) - Please choose one

Transaction that has been completely forgotten to enter is called:

- Error of principle
- **Error of omission**

- ► Error of commission
- ► Error of original entry

Question No: 27 (Marks: 1) - Please choose one

Which of the following is (are) included in Creditors Control Account?

- ► Discount received from supplier
- ► Credit purchases
- ► Bills payable
- ► **All of the given options**

Question No: 28 (Marks: 1) - Please choose one

Which of the following is **NOT** included in Debtors Control Account?

- ► **Cash sales**
- ► Credit sales
- ► Bills receivable
- ► Discount allowed

Question No: 29 (Marks: 1) - Please choose one

Which of the following subsidiary book(s) is (are) maintained for debtors control account?

- ► Sales Day Book
- ► Sales Return
- ► **Debtors Ledger**
- ► All of the given options

Question No: 30 (Marks: 1) - Please choose one

Which of the following is **NOT** based on the concept of double entry book keeping system?

- ► Subsidiary Ledgers
- ► Creditors Control Accounts
- ► Debtors Control Accounts
- ► **All of the given options**

Question No: 31 (Marks: 1) - Please choose one

Which of the following entry will be recorded when the Bad Debts are recovered?

- ► Cash account (Dr.) & Bad Debts recovered account (Cr.)
- ► **Accounts Receivable account (Dr.) & Bad Debts recovered account (Cr.)**
- ► Bad debts recovered account (Dr.) and Profit & Loss account (Cr.)
- ► Provision for doubtful debts account (Dr.) & Cash account (Cr.)

Question No: 32 (Marks: 1) - Please choose one

In which of the following condition(s) **DEBT** is regarded as **BAD**.

► Bankruptcy of the debtor
► Disappearance of debtor's business
► Failure of repeated attempt to collect the debt
► **All of the given options**

Question No: 33 (Marks: 1) - Please choose one

Which of the following is **CORRECT** for Doubtful Debt?

► It is shown in balance sheet
► It is a definite loss to the business
► It is not shown in balance sheet
► **No provision is necessary for it**

Question No: 34 (Marks: 1) - Please choose one

The following balance and discrepancies were found on 31 March 2008:

Particulars	Rs.
Cash book balance (Dr)	5 000
Unpresented cheques	1 000
Uncredited cheques	500

The Bank Statement balance on 31 March 2008 should be:
► Rs. 5 500 (Dr)
► Rs. 5 500 (Cr)
► **Rs. 4 500 (Dr)**
► Rs. 4 500 (Cr)

Question No: 35 (Marks: 1) - Please choose one

A Bank Reconciliation Statement is prepared to:

► Ascertain that the difference between the Cash Book balance and the Bank Statement balance has been accounted for
► **Correct errors in the Cash Book or errors in the Bank Statement**
► Amend the balance of the Bank Statement of the firm
► Amend the balance in the Cash Book of the firm

Question No: 36 (Marks: 1) - Please choose one

Which of the following is **CORRECT** regarding depreciation?

► **It is a systematic allocation of depreciable amount of an asset over its estimated useful life**
► It refers to the end life of an asset
► It refers to the increase in value of asset
► It is another name of Impairment

Question No: 37 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Cash	Rs.1, 00, 000
Debtors	Rs.10, 000
Other Assets	Rs. 1,000
Owner's equity	Rs. 1, 000

- ► Rs. 12,000 liabilities
- ► Rs. 11,000 liabilities
- ► **Rs. 1, 10,000 liabilities**
- ► Rs. 1, 11,000 liabilities

Question No: 38 (Marks: 1) - Please choose one

Which of the following essentials will be shown in the format of Cash Book?
(1) Ledger code
(2) Amount of Receipt
(3) Amount of payment

- ► (1) only
- ► (1) & (2) only
- ► (1) & (3) only
- ► **(1), (2) & (3)**

Question No: 39 (Marks: 1) - Please choose one

sider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

- ► Rs.260
- ► Rs.232
- ► Rs.284
- ► **Rs.320**

Question No: 40 (Marks: 1) - Please choose one

In cost of goods sold statement, the 'cost of material consumed' is equal to:

- ► **Opening raw material inventory + Purchases – Ending raw material inventory**
- ► Opening raw material inventory - Purchases + Ending raw material inventory
- ► Ending raw material inventory + Opening raw material inventory - Purchases
- ► Ending raw material inventory + Opening raw material inventory + Purchases

Question No: 41 (Marks: 1) - Please choose one

Following are the inventories of Manufacturing Concern **EXCEPT**:

- ► Raw material
- ► Work in process
- ► Finished goods
- ► **Merchandise inventory**

Question No: 42 (Marks: 1) - Please choose one

Which of the following is an alternate term which can be used for “Capital”?

- ► Liability
- ► **Owner’s net worth**
- ► Working capital
- ► Asset

Question No: 43 (Marks: 1) - Please choose one

In which of the following condition a company will have positive working capital?

- ► If current assets > current liabilities
- ► If current Assets < current Liabilities
- ► **If current assets = current liabilities**
- ► If current assets ≤ current liabilities

Question No: 44 (Marks: 1) - Please choose one

If salaries expense is Rs. 2,500, purchases are Rs. 16,000 and rent (office building) is Rs. 300 during the year, what would be the total of "general & administrative expenses"?

- ► Rs. 300
- ► Rs. 2,500
- ► **Rs. 2,800**
- ► **Rs.18, 800**

Question No: 45 (Marks: 1) - Please choose one

The amount brought by the proprietor in the business should be credited to:

- ► Cash account
- ► Capital account
- ► **Drawings account**
- ► **Proprietor account**

Question No: 46 (Marks: 1) - Please choose one

An asset on the balance sheet which is expected to be sold or used within one year is known as:

- ► Tangible asset

► **Current asset**
► Fixed asset
► Long term asset

Question No: 47 (Marks: 1) - Please choose one

Which one of the following is a type of General Ledger?

► Book of original entry
► **'T' Account**
► Source document
► Day book

Question No: 48 (Marks: 1) - Please choose one

According to the double entry system of book keeping, the investment of Rs.10, 000 in the business made by the owner will effect:

► **Cash & Capital Account**
► Cash & Expense Account
► Capital & Revenue Account
► Capital & Expense Account

Question No: 49 (Marks: 1) - Please choose one

Mr." A" sold goods for Rs. 3, 00,000 to Mr. "B", Rs. 3, 00,000 will be treated as _____ for business.

► **Revenue**
► Net profit
► Gross profit
► Operating profit

Question No: 50 (Marks: 1) - Please choose one

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when income exceeds expenses in a specific time period is known as:

► Savings
► **Net profit**
► Gross profit
► Operating profit

Question No: 51 (Marks: 5)

Financial year decided by partnership agreement is 1st July to 30th June. Mr. Ali is partner and having a capital of Rs. 1,500,000 on July 1st 2007 and he introduced more capital on August 1st 2007 Rs. 10,000 on April 1st 2008, Rs.500,000 and on June 1st 2008 , Rs. 5,000. Mark up rate is 10% p.a.

Capital = 1500000 mark up= 1500000
2nd capital= 10000 markup= 1000
3rd capital= 500000 markup= 50000
4th capital= 5000 markup= 500

Total markup= Rs. 201500

Calculate mark up on Mr. Ali's capital for the year ending on 31th June 2008.

Question No: 52 (Marks: 10)

Write a note on legal documents required for the formation of company.

In Pakistan when someone wants to form a company. He will contact with SECP, its abbreviation for Securities and Exchange Commission of Pakistan. it came in 1984 in law of Pakistan which is called companies ordinance. It controls all affairs of limited companies. For making of private limited company 2 members can submit their names in memorandum and articles of association along with other requirements of company ordinance 1984. while for public limited company seven members will sent their names. By this way they can apply and make registration of the company.

Question No: 53 (Marks: 10)

What is the difference between public and private company?

The main difference between public and private company is that in public limited companies there is no restriction on number of persons to be its members. There is one restriction. That there should be a minimum of three members to form a public limited company. Public limited company can offer its shares to general public.

While in private company two to fifty persons can form a company. Minimum two members are elected to form a board of directors. This board is given the responsibility to run day to day business of the company. Private limited company cannot offer its share to general public.

Question No: 54 (Marks: 10)

The following discrepancies were noted on comparing Cash Book with Pass Book.

1. Balance as per Cash Book (Cr) is Rs. 19,000.
2. Cheque for Rs. 5,000 paid into the bank for collection on 20th March, 2008 has not yet been collected.
3. Cheques for Rs. 15,000 Issued on 24th March, 2008, out of which Cheques for Rs. 10,000 presented during March, 2008
4. An amount of Rs. 1,000 for interest on overdraft was debited in the Pass Book but was intimated to Mr. David on 4th April, 2008.
5. Mr. David paid into his bank account an amount of Rs. 3,000 but it was wrongly credited to Mr. Denial's Account.
6. On 20th March, 2008 the bank received dividend of Rs. 10,000 from a company where Mr. David's has invested his money, the same had been recorded in Cash Book on 31st March, 2008.
7. Cheque of Rs. 2,500 was shown in Pass Book as dishonored.

Required: Prepare a Bank Reconciliation Statement as on 31st March, 2008

Balance as per Cash Book Cr 19000
Unpresented cheques Dr 5000

Uncredited cheque	Dr 10000	
Interest by bank	Dr. 1000	

Question No: 7 (Marks: 1) - Please choose one

Which of the following bus

publishes the Financial Statements?

- ► Sole-Proprietorship
- ► Partnership
- ► Trust
- ► Public Limited Company

Question No: 17 (Marks: 1) - Please choose one

Which financial statement

what a business owes at a particular point in time?

- ► A cash flow statement
- ► The bank statement for the business
- ► A balance sheet
- ► A statement of retained earnings

Question No: 19 (Marks: 1) - Please choose one

The Balance Sheet item tha

represents the resources invested by the owner is known as:

- ► Accounts Receivable
- ► Cash
- ► Note Payable
- ► Owner's Equity

Question No: 25 (Marks: 1) - Please choose one

Which of the following r

entry will be recorded, if sales to Mr. “A” of Rs.336 have been debited to Mr. “B” account?

- ► A’s account (Dr.) and B’s account (Cr.)
- ► B’s account (Dr.) and A’s account (Cr.)
- ► Sales account (Dr.) and B’s account (cr.)
- ► B’s account (Dr.) and Sales account (Cr.)

Question No: 28 (Marks: 1) - Please choose one

If provision is created for d

debts, which of the following entry will be passed to record bad debts in control account?

- ► Bade debts (Dr) and Debtors Control A/c (Cr)
- ► Provision for doubtful debts (Dr) and Debtors Control A/c (Cr)
- ► Provision for doubtful debts (Dr) and Debtors A/c (Cr)
- ► Debtors Control A/c (Dr) and Provision for doubtful debts (Cr)

Question No: 34 (Marks: 1) - Please choose one

The following balance and

discrepancies were found on 31 March 2008:

Particulars	Rs.
Cash book balance (Dr)	5 000
Unpresented cheques	1 000
Uncredited cheques	500

The Bank Statement balance on 31 March 2008 should be:

► Rs. 5 500 (Dr)
► Rs. 5 500 (Cr)
► Rs. 4 500 (Dr)
► Rs. 4 500 (Cr)

Question No: 42 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 15,000
Sale price after 5 years	Rs.50,000
Book value of Asset after 5 years	**?**

► Rs.25, 000
► Rs. 75,000
► Rs. 15,000
► Rs. 1, 00,000

Question No: 44 (Marks: 1) - Please choose one

Which of the following sho
summary of a company's financial position at a specific date?

► Profit & Loss Account
► Cash Flow Statement
► Balance Sheet
► Income & Expenditure Account

Question No: 1 (Marks: 1) - Please choose one

Debenture is also named as

► Share
► Bond
► Equity
► Reserve

Question No: 2 (Marks: 1) - Please choose one

A company declares a cash
dividend to be paid to its stockholders next month. The effect of the transaction is to:

► Decrease assets and liabilities.
► Increase assets and stockholders' equity.
► Decrease assets and stockholders' equity.
► Increase liabilities and decrease stockholders' equity.

Question No: 4 (Marks: 1) - Please choose one

The net income calculated
income statement for the accounting period is reported on:

► Bank Statement
► Statement of retained earnings
► Statement of cash flows
► None of the given options

Question No: 9 (Marks: 1) - Please choose one

Which of the following is t

important document of the company?

- ► Memorandum of Association
- ► Articles of Association
- ► Prospectus
- ► Annual Report

Question No: 12 (Marks: 1) - Please choose one

Authorized share capital is

known as:

- ► Registered capital
- ► Issued capital
- ► Paid up capital
- ► Called up capital

Question No: 20 (Marks: 1) - Please choose one

Consider the following tab

	Financial statement item	Classification
A.	Inventory	Current asset
B.	Tangible assets	Non-current asset
C.	Accrued expenses	Current asset
D.	Bonds payable	Long-term liabilities

Identify the row above, showing an INCORRECT financial-statement classification?

- ► Row A
- ► Row B
- ► Row C
- ► Row D

Question No: 27 (Marks: 1) - Please choose one

Goods purchased from "M

Rs. 2,000 passed through the sales book. The rectification of error will result in:

- ► Increase of gross profit
- ► Decrease of gross profit
- ► Remains constant and no effect on net profit
- ► There is no relation between goods purchased and gross profit

Question No: 31 (Marks: 1) - Please choose one

Which of the following ent

be recorded when the Bad Debts are recovered?

- ► Cash account (Dr.) & Bad Debts recovered account (Cr.)
- ► Accounts Receivable account (Dr.) & Bad Debts recovered account (Cr.)
- ► Bad debts recovered account (Dr.) and Profit & Loss account (Cr.)
- ► Provision for doubtful debts account (Dr.) & Cash account (Cr.)

Question No: 33 (Marks: 1) - Please choose one

Which of the following wo

deducted from Sundry Debtors in Balance Sheet?

- ► Bad debts (Trial balance item)
- ► Old provision for doubtful debts
- ► New provision for doubtful debts
- ► Both Bad debts (given in adjustment) and new provision for doubtful debts

Question No: 12 (Marks: 1) - Please choose one

The amount received; in ex

the face value of the shares is transferred to which of the following?

- ► Share premium account
- ► Share holder account
- ► Share capital account
- ► Right share

Question No: 13 (Marks: 1) - Please choose one

The maximum amount with

the company is registered is called:

- ► Authorized Share Capital
- ► Issued Share Capital
- ► Paid up capital
- ► Called up capital

Question No: 31 (Marks: 1) - Please choose one

Following informatio

extracted from books of Mr. XYZ

Particulars	Rs.
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	800
Sundry Debtors (Given in trial balance)	44,500
Provision for doubtful debts @ 5%	
What will be the amount of new provision	**?**

- ► Rs. 2,225
- ► Rs. 2,525
- ► Rs. 1,925
- ► Rs. 3,025

Question No: 32 (Marks: 1) - Please choose one

Following informatio

extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 5%	

Requirement: Identify the Total amount which will deduct from Sundry debtors.

- ► Rs. 460
- ► Rs. 2,400
- ► Rs. 1,540
- ► Rs. 3,940

Question No: 37 (Marks: 1) - Please choose one

Depreciable value of an ass

equal to:

- ► Cost + scrap value
- ► Cost + market price

► Cost – scrap value
► None of the given options

Question No: 39 (Marks: 1) - Please choose one

Which of the following ass

NOT depreciated?

► Factory Buildings
► Office Equipment
► Plant & Machinery
► Land

Question No: 40 (Marks: 1) - Please choose one

Which one of the following

NOT true about revenue expenditure?

► These are the running expenses of the business
► They improve the financial position of the business
► They reduce the profit of the concern
► They do not appear in the balance sheet

Question No: 47 (Marks: 1) - Please choose one

Accounts Receivable & Inv

are the examples of:

► Liquid assets
► Current assets
► Fixed assets
► Capital assets

Question No: 11 (Marks: 1) - Please choose one

The Joint Stock Company

formed under the Companies Ordinance:

► **1984**
► I884
► 1948
► 1965

Question No: 42 (Marks: 1) - Please choose one

Which one of the following

statement is **CORRECT** about Long term liabilities?

► These are due within one year
► **These are consist of all debts, payable after 12 months**
► In working capital, these are deducted from current assets
► All of the given options

Question No: 16 (Marks: 1) - Please choose one

Which of the following can

its share to general public at large?

► A private limited company
► **A listed company**
► A partnership firm
► A trust

Question No: 43 (Marks: 1) - Please choose one

What would be the value o

factory cost, if the cost of material consumed during the month is Rs. 6,000, labor cost incurred is Rs. 2,000 and the fac

over head cost is Rs. 2,500?

- ► Rs. 6,000
- ► Rs. 8,000
- ► Rs. 4,500
- ► **Rs. 10,500**

Question No: 44 (Marks: 1) - Please choose one

Which of the following is **CORRECT**?

- ► A cash inflow means increase total cash only
- ► A cash inflow means increase in cash equivalent only
- ► A cash inflow means increase in cash and decrease in cash equivalent
- ► **A cash inflow means increase in both cash and cash equivalent**

Long Questions including my and my Friends…

Question: Marks=3
What the difference between Debtors turnover Ratio and Creditor turnover ratio?

Question: Marks = 5
If A and B are two partners and their profit ratio is 3:1 and their capitals are 30000 and 100 respectively. The ne is 160000 and B get salary Rs. 200 p.m. Prepare Profit distribution account of A and B Partnership.

Question: marks = 5
Pass the Rectify entries.
1: Purchases on credit rs. 10000 to Rizwan have passed through the Sales book.
2: The casting of sales book 151594 but wrongly pass in sales Rs. 115594.

Question No: 54 (Marks: 10)

Write a note on legal doc required for the formation of company.

ANSWER:
LEGAL DOCUMENTS REQUIRED FOR FORMATION OF COMPANY:

MEMORENDUM OF ASSOCIATION: It contains the following information

1. Name of company.
2. Place of registered office
3. Objective
4. Amount of share capital with which company registers.

ARTICLES OF ASSOCIATION: It contains the following information

A document that contains all the policies and other matters necessary to run the business of the company. It is signe the members of the company.

Question No: 52 (Marks: 10)

Briefly explain the financ statements prepared by the organization. Why these are important for manufacturing concern?

ANSWER: The financial statements prepared by any organization are as follows:

1. **Profit and loss account:** It shows the performance of the business in a given period. It shows the profitability o

business which shows the success or failure of the business.

2. **Balance sheet:** Balance sheet shows the position of business at a given point. It shows the resources available b business and the resources invested by the owner and other loans.
3. **Cash flow statements:** Cash flow statements show the generation of cash and its usage over a given period.

IMPORTANCE OF FINANCIAL STATEMENTS FOR MANUFACTURING CONCERN: These financial statements are important for manufacturing concern organization as they provide information related to financial aff the organization. The profitability and liquidity, the resources available to the company and the generation of cash a usage over a given period which provides reasonable information to the management to take decisions.

Question No: 54 (Marks: 10)

Pass the rectifying entries correct the following errors:

- Mr. "Ali" purchased goods of Rs. 1,500 on cash, but omitted to enter in the books of accounts.
- An amount of Rs. 5,000 received from Mr. Amir, was credited to the account of Mr. Ameer.
- Goods returned worth Rs. 500 to Mr. "B" wrongly debited to sales Account.
- A purchase of goods from Mr. "B" of Rs. 400 has been wrongly debited to Furniture Account.
- Furniture purchased on cash Rs. 8,000 posted as purchases.

Rectification of Errors

Error 1.
A purchase of goods of Rs. 1,500 on cash was omitted by mistake

Rectification Entry on the date of discovery:

Debit:	**Purchase Account**	**1,500**	
Credit:	**Cash Account**		**1,500**

Error 2

Debit:	**Mr. Ameer**	**5,000**	
Credit:	**Mr. Amir**		**5,000**

- **Error 3** Goods returned worth Rs. 500 to Mr. "B" wrongly debited to sales Account.

Debit:	**Goods Return**	**Rs. 500**	
Credit:	**Sales Account**		**Rs. 500**

Error 4 A purchase of goods from Mr. "B" of Rs. 400 has been wrongly debited to Furniture Account.

Debit:	Purchases	Rs. 400	
Credit	Furniture Account		Rs. 400

Error 5 Furniture purchased on cash Rs. 8,000 posted as purchases.

Debit	**Furniture Account**	**Rs. 8,000**	
Credit	**Purchase Post Account**		**Rs. 8,000**

Question No: 52 (Marks: 10)

Write down the at least te

distinguishing features of a limited company which differentiate it from Partnership business

The basic difference between a partnership and a limited company is the concept of limited liability.

1. If a partnership business runs into losses and is unable to pay it's liabilities, its partners will have to pay the liab from their own wealth.
2. In case of limited company the shareholders don't lose anything more than the amount of capital they have cont in the company. It points that personal wealth is not at stake and their liability is limited to the amount of share c they have contributed.
3. The concept of limited company is to mobilize the resources of a large number of people for a project, which the would not be able to afford independently and then get it managed by experts.
4. Listed Company have more than twenty partners, so problem of extra capital is reduced to minimum.
5. The liabilities of the members of a company is limited to the extent of capital invested by them in the company
6. There are certain tax benefits to the company, which a partnership firm can not enjoy
7. In Pakistan, affairs of limited companies are controlled by "Companies Ordinance" issued in 1984
8. The formation of a company and other matters related to companies are governed by "Securities and Exchange Commission of Pakistan (SECP)

Question No: 54 (Marks: 10)

The following discrepancie

noted on comparing Cash Book with Pass Book.

16) The following cheques were deposited into bank on 28th March but were not collected by the bank by 31st M Rs. 500, (ii) Rs. 300, (iii) Rs. 200.
17) The following cheques were issued but were not presented for the payment by 31st March. (i) Rs. 200, (ii) (iii) Rs. 525 (iv) Rs. 375.
18) The bank credited a dividend of Rs. 2,000 on 31st march but intimation was received by the trader on 5th Apr
19) The bank credited interest of Rs. 50 on 31st March but not debited in Cash Book.
20) The Bank charged (debited) a commission of Rs. 100 on 31st March.
21) A cheque of Rs. 500 was received from customer and was entered in the bank column of Cash Book on 25t but was paid into the bank on 1st April.

Required: Prepare a Bank Reconciliation Statement, if the Bank balance as per Cash Book (Dr.) was Rs. 15,000 March, 2008.

Answer:

Balance as per Cash book.	Dr	15000
Less not collected Cheques. (500+300+200)	Cr	1000
	Dr	14000
Add UN Presented Cheques (200+450+525+375)	Dr	1550
	Dr	15550
Add dividend Credit by bank	Dr	2000
	Dr	17550
Add interest credit by bank	Dr	50
	Dr	17600
Less bank charges	Cr	100
	Dr	17500
Less Cheque received	Cr	500
Balance as per Bank Book	Cr	17000

Question No: 52 (Marks: 10)

Income Statement of XYZ the year ended on 30th June, 2007:

Particulars	Rs.	Rs.
Sales		500,000
Less: Cost of Goods Sold		250,000
Gross Profit		250,000
Less: Operating expenses		
Administrative expenses	110,000	
Interest expenses	20,000	130,000
Net profit before Tax		120,000
Less: Taxes		36,000
Net profit after tax		84,000

Opening Stock for the year was Rs. 60,000.

Balance Sheet of XYZ Ltd on 30th June, 2007:

Assets	Rs.
Fixed Assets	400,000
Stock	60,000
Debtors	230,000
Bills Receivable	40,000
Cash at bank	150,000
Prepaid expenses	20,000
Total	900,000
Liabilities	
Share capital	200,000
Reserves and surplus	250,000
10% Debentures	200,000
Creditors	180,000
Bills payable	70,000
Total	900,000

Calculate following ratios from the financial statement of XYZ Ltd.

1. Current Ratio
2. Acid Test Ratio
3. Stock turn over Ratio
4. Debt equity Ratio
5. Gross profit Ratio

Solution:

1: Current Ratio:

Total Assets/Total Liabilities

= 900000/900000

= 1

2: Acid Test Ratio

Total Assets-Stock/Total Liabilities

= 900000-60000/900000

= 840000/900000

= 0.933333

3: Stock turn over Ratio

(Average Stock / Cost of goods sold) x 365

Average Stock = opening stock + Closing Stock/2

= 60000+60000/2

= 60000

= (Average Stock / Cost of goods sold) x 365

= (60000/250000) x 365

= 0.24 x 365

= 87.4

4: Debt equity Ratio

Long term Liabilities / Equity

= 200000/200000

= 1

5: Gross profit Ratio

(Gross Profit / Sales) x 100

= 250000/500000 x 100

= 0.5 x 100

= 50

Question No: 51 (Marks: 5)

10 % Debentures of Rs are shown in trial balance. How it will be shown in financial statements? Also mention why a compan debentures.

Answer:

10% Debentures of Rs. 80000 is shown the Owners Equity pr liability Side of Balance sheet.

Debentures are issued under the common seal of the company and debentures are an instrument for obtaining the loan f general public. Company also paid mark up on debentures which generally equal to the market rate.

==in0=Fixed assets	===in0=280,900
==dthB3=rpaddfb3=====20===in0=20Net Assets employed =3D =Working Capital + Fixed assets	==in0=20369,25=0

===20

==rftsWidthA3=3==20=====in0=Working Capital

Mega File MGT101

Question No: 7 (Marks: 1) - Please choose one

Which of the following business publishes the Financial Statements?

► Sole-Proprietorship
► Partnership
► Trust
► Public Limited Company

Question No: 17 (Marks: 1) - Please choose one

Which financial statement show what a business owes at a particular point in time?

► A cash flow statement
► The bank statement for the business
► A balance sheet
► A statement of retained earnings

Question No: 19 (Marks: 1) - Please choose one

The Balance Sheet item that represents the resources invested by the owner is known as:

► Accounts Receivable
► Cash
► Note Payable
► Owner's Equity

Question No: 25 (Marks: 1) - Please choose one

Which of the following rectifying entry will be recorded, if sales to Mr. “A” of Rs.336 have been debited to Mr. “B” account?

► A’s account (Dr.) and B’s account (Cr.)
► B’s account (Dr.) and A’s account (Cr.)
► Sales account (Dr.) and B’s account (cr.)
► B’s account (Dr.) and Sales account (Cr.)

Question No: 28 (Marks: 1) - Please choose one

If provision is created for doubtful debts, which of the following entry will be passed to record bad debts in control account?

► Bade debts (Dr) and Debtors Control A/c (Cr)
► Provision for doubtful debts (Dr) and Debtors Control A/c (Cr)
► Provision for doubtful debts (Dr) and Debtors A/c (Cr)
► Debtors Control A/c (Dr) and Provision for doubtful debts (Cr)

Question No: 34 (Marks: 1) - Please choose one

The following balance and discrepancies were found on 31 March 2008:

Particulars	Rs.
Cash book balance (Dr)	5 000
Unpresented cheques	1 000
Uncredited cheques	500

The Bank Statement balance on 31 March 2008 should be:

► Rs. 5 500 (Dr)
► Rs. 5 500 (Cr)
► Rs. 4 500 (Dr)
► Rs. 4 500 (Cr)

Question No: 42 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000

Life of asset	5 years
Depreciation for each year	Rs. 15,000
Sale price after 5 years	Rs.50,000
Book value of Asset after 5 years	**?**

► Rs.25, 000
► Rs. 75,000
► Rs. 15,000
► Rs. 1, 00,000

Question No: 44 (Marks: 1) - Please choose one

Which of the following shows summary of a company's financial position at a specific date?

► Profit & Loss Account
► Cash Flow Statement
► Balance Sheet
► Income & Expenditure Account

Question No: 1 (Marks: 1) - Please choose one

Debenture is also named as:

► Share
► Bond
► Equity
► Reserve

Question No: 2 (Marks: 1) - Please choose one

A company declares a cash dividend to be paid to its stockholders next month. The effect of the transaction is to:

► Decrease assets and liabilities.
► Increase assets and stockholders' equity.
► Decrease assets and stockholders' equity.
► Increase liabilities and decrease stockholders' equity.

Question No: 4 (Marks: 1) - Please choose one

The net income calculated in the income statement for the accounting period is reported on:

► Bank Statement
► Statement of retained earnings
► Statement of cash flows
► None of the given options

Question No: 9 (Marks: 1) - Please choose one

Which of the following is the most important document of the company?

► Memorandum of Association
► Articles of Association
► Prospectus
► Annual Report

Question No: 12 (Marks: 1) - Please choose one

Authorized share capital is also known as:

- ► Registered capital
- ► Issued capital
- ► Paid up capital
- ► Called up capital

Question No: 20 (Marks: 1) - Please choose one

Consider the following table:

	Financial statement item	Classification
A.	Inventory	Current asset
B.	Tangible assets	Non-current asset
C.	Accrued expenses	Current asset
D.	Bonds payable	Long-term liabilities

Identify the row above, showing an INCORRECT financial-statement classification?

- ► Row A
- ► Row B
- ► Row C
- ► Row D

Question No: 27 (Marks: 1) - Please choose one

Goods purchased from "Mr. A" for Rs. 2,000 passed through the sales book. The rectification of error will result in:

- ► Increase of gross profit
- ► Decrease of gross profit
- ► Remains constant and no effect on net profit
- ► There is no relation between goods purchased and gross profit

Question No: 31 (Marks: 1) - Please choose one

Which of the following entry will be recorded when the Bad Debts are recovered?

- ► Cash account (Dr.) & Bad Debts recovered account (Cr.)
- ► Accounts Receivable account (Dr.) & Bad Debts recovered account (Cr.)
- ► Bad debts recovered account (Dr.) and Profit & Loss account (Cr.)
- ► Provision for doubtful debts account (Dr.) & Cash account (Cr.)

Question No: 33 (Marks: 1) - Please choose one

Which of the following would be deducted from Sundry Debtors in Balance Sheet?

- ► Bad debts (Trial balance item)
- ► Old provision for doubtful debts
- ► New provision for doubtful debts
- ► Both Bad debts (given in adjustment) and new provision for doubtful debts

Question No: 12 (Marks: 1) - Please choose one

The amount received; in excess of the face value of the shares is transferred to which of the following?

- ► Share premium account
- ► Share holder account

- ► Share capital account
- ► Right share

Question No: 13 (Marks: 1) - Please choose one

The maximum amount with which the company is registered is called:

- ► Authorized Share Capital
- ► Issued Share Capital
- ► Paid up capital
- ► Called up capital

Question No: 31 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	800
Sundry Debtors (Given in trial balance)	44,500
Provision for doubtful debts @ 5%	
What will be the amount of new provision	**?**

- ► Rs. 2,225
- ► Rs. 2,525
- ► Rs. 1,925
- ► Rs. 3,025

Question No: 32 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 5%	

Requirement: Identify the Total amount which will deduct from Sundry debtors.

- ► Rs. 460
- ► Rs. 2,400
- ► Rs. 1,540
- ► Rs. 3,940

Question No: 37 (Marks: 1) - Please choose one

Depreciable value of an asset is equal to:

- ► Cost + scrap value
- ► Cost + market price
- ► Cost – scrap value
- ► None of the given options

Question No: 39 (Marks: 1) - Please choose one

Which of the following asset is **NOT** depreciated?

► Factory Buildings
► Office Equipment
► Plant & Machinery
► Land

Question No: 40 (Marks: 1) - Please choose one

Which one of the following is **NOT** true about revenue expenditure?

► These are the running expenses of the business
► They improve the financial position of the business
► They reduce the profit of the concern
► They do not appear in the balance sheet

Question No: 47 (Marks: 1) - Please choose one

Accounts Receivable & Inventory are the examples of:

► Liquid assets
► Current assets
► Fixed assets
► Capital assets

Question No: 11 (Marks: 1) - Please choose one

The Joint Stock Company is formed under the Companies Ordinance:

► **1984**
► I884
► 1948
► 1965

Question No: 42 (Marks: 1) - Please choose one

Which one of the following statement is **CORRECT** about Long term liabilities?

► These are due within one year
► **These are consist of all debts, payable after 12 months**
► In working capital, these are deducted from current assets
► All of the given options

Question No: 16 (Marks: 1) - Please choose one

Which of the following can offer its share to general public at large?

► A private limited company
► **A listed company**
► A partnership firm
► A trust

Question No: 43 (Marks: 1) - Please choose one

What would be the value of total factory cost, if the cost of material consumed during the month is Rs. 6,000, labor cost incurred is Rs. 2,000 and the factory over head cost is Rs. 2,500?

► Rs. 6,000
► Rs. 8,000
► Rs. 4,500

► **Rs. 10,500**

Question No: 44 (Marks: 1) - Please choose one

Which of the following is **CORRECT**?

► A cash inflow means increase total cash only
► A cash inflow means increase in cash equivalent only
► A cash inflow means increase in cash and decrease in cash equivalent
► **A cash inflow means increase in both cash and cash equivalent**

Long Questions including my and my Friends…

Question: Marks=3
What the difference between Debtors turnover Ratio and Creditor turnover ratio?

Question: Marks = 5
If A and B are two partners and their profit ratio is 3:1 and their capitals are 30000 and 100 respectively. The net profit is 160000 and B get salary Rs. 200 p.m. Prepare Profit distribution account of A and B Partnership.

Question: marks = 5
Pass the Rectify entries.
1: Purchases on credit rs. 10000 to Rizwan have passed through the Sales book.
2: The casting of sales book 151594 but wrongly pass in sales Rs. 115594.

Question No: 54 (Marks: 10)

Write a note on legal documents required for the formation of company.

ANSWER:
LEGAL DOCUMENTS REQUIRED FOR FORMATION OF COMPANY:

MEMORENDUM OF ASSOCIATION: It contains the following information

1. Name of company.
2. Place of registered office
3. Objective
4. Amount of share capital with which company registers.

ARTICLES OF ASSOCIATION: It contains the following information

A document that contains all the policies and other matters necessary to run the business of the company. It is signed by all the members of the company.

Question No: 52 (Marks: 10)

Briefly explain the financial statements prepared by the organization. Why these are important for manufacturing concern?

ANSWER: The financial statements prepared by any organization are as follows:

4. **Profit and loss account:** It shows the performance of the business in a given period. It shows the profitability of business which shows the success or failure of the business.
5. **Balance sheet:** Balance sheet shows the position of business at a given point. It shows the resources available by the business and the resources invested by the owner and other loans.
6. **Cash flow statements:** Cash flow statements show the generation of cash and its usage over a given period.

IMPORTANCE OF FINANCIAL STATEMENTS FOR MANUFACTURING CONCERN: These financial statements are important for manufacturing concern organization as they provide information related to

financial affairs of the organization. The profitability and liquidity, the resources available to the company and the generation of cash and its usage over a given period which provides reasonable information to the management to take decisions.

Question No: 54 (Marks: 10)

Pass the rectifying entries to correct the following errors:

- Mr. "Ali" purchased goods of Rs. 1,500 on cash, but omitted to enter in the books of accounts.
- An amount of Rs. 5,000 received from Mr. Amir, was credited to the account of Mr. Ameer.
- Goods returned worth Rs. 500 to Mr. "B" wrongly debited to sales Account.
- A purchase of goods from Mr. "B" of Rs. 400 has been wrongly debited to Furniture Account.
- Furniture purchased on cash Rs. 8,000 posted as purchases.

Rectification of Errors

Error 1.
A purchase of goods of Rs. 1,500 on cash was omitted by mistake

Rectification Entry on the date of discovery:

Debit:	**Purchase Account**	**1,500**	
Credit:	**Cash Account**		**1,500**

Error 2

Debit:	**Mr. Ameer**	**5,000**	
Credit:	**Mr. Amir**		**5,000**

- **Error 3** Goods returned worth Rs. 500 to Mr. "B" wrongly debited to sales Account.

Debit:	**Goods Return**	**Rs. 500**	
Credit:	**Sales Account**		**Rs. 500**

Error 4 A purchase of goods from Mr. "B" of Rs. 400 has been wrongly debited to Furniture Account.

Debit:	Purchases	Rs. 400	
Credit	Furniture Account		Rs. 400

Error 5 Furniture purchased on cash Rs. 8,000 posted as purchases.

Debit	**Furniture Account**	**Rs. 8,000**	
Credit	**Purchase Post Account**		**Rs. 8,000**

Question No: 52 (Marks: 10)

Write down the at least ten distinguishing features of a limited company which differentiate it from Partnership business

The basic difference between a partnership and a limited company is the concept of limited liability.

9. If a partnership business runs into losses and is unable to pay it's liabilities, its partners will have to pay the liabilities from their own wealth.
10. In case of limited company the shareholders don't lose anything more than the amount of capital they have contributed in the company. It points that personal wealth is not at stake and their liability is limited to the amount of share capital they have contributed.
11. The concept of limited company is to mobilize the resources of a large number of people for a project, which they would not be able to afford independently and then get it managed by experts.
12. Listed Company have more than twenty partners, so problem of extra capital is reduced to minimum.
13. The liabilities of the members of a company is limited to the extent of capital invested by them in the company
14. There are certain tax benefits to the company, which a partnership firm can not enjoy
15. In Pakistan, affairs of limited companies are controlled by "Companies Ordinance" issued in 1984
16. The formation of a company and other matters related to companies are governed by "Securities and Exchange Commission of Pakistan (SECP)

Question No: 54 (Marks: 10)

The following discrepancies were noted on comparing Cash Book with Pass Book.

22) The following cheques were deposited into bank on 28th March but were not collected by the bank by 31st March, (i) Rs. 500, (ii) Rs. 300, (iii) Rs. 200.
23) The following cheques were issued but were not presented for the payment by 31st March. (i) Rs. 200, (ii) Rs. 450 (iii) Rs. 525 (iv) Rs. 375.
24) The bank credited a dividend of Rs. 2,000 on 31st march but intimation was received by the trader on 5th April, 2008.
25) The bank credited interest of Rs. 50 on 31st March but not debited in Cash Book.
26) The Bank charged (debited) a commission of Rs. 100 on 31st March.
27) A cheque of Rs. 500 was received from customer and was entered in the bank column of Cash Book on 25th March, but was paid into the bank on 1st April.

Required: Prepare a Bank Reconciliation Statement, if the Bank balance as per Cash Book (Dr.) was Rs. 15,000 on 31st March, 2008.

Answer:

Balance as per Cash book.	Dr	15000
Less not collected Cheques. (500+300+200)	Cr	1000
	Dr	14000
Add UN Presented Cheques (200+450+525+375)	Dr	1550
	Dr	15550
Add dividend Credit by bank	Dr	2000
	Dr	17550
Add interest credit by bank	Dr	50
	Dr	17600
Less bank charges	Cr	100
	Dr	17500
Less Cheque received	Cr	500
Balance as per Bank Book	Cr	17000

Question No: 52 (Marks: 10)

Income Statement of XYZ Ltd for the year ended on 30th June, 2007:

Particulars	Rs.	Rs.
Sales		500,000
Less: Cost of Goods Sold		250,000
Gross Profit		250,000
Less: Operating expenses		
Administrative expenses	110,000	
Interest expenses	20,000	130,000
Net profit before Tax		120,000
Less: Taxes		36,000
Net profit after tax		84,000

Opening Stock for the year was Rs. 60,000.

Balance Sheet of XYZ Ltd on 30th June, 2007:

Assets	Rs.
Fixed Assets	400,000
Stock	60,000
Debtors	230,000
Bills Receivable	40,000
Cash at bank	150,000
Prepaid expenses	20,000
Total	900,000
Liabilities	
Share capital	200,000
Reserves and surplus	250,000
10% Debentures	200,000
Creditors	180,000
Bills payable	70,000
Total	900,000

Calculate following ratios from the financial statement of XYZ Ltd.

6. Current Ratio
7. Acid Test Ratio
8. Stock turn over Ratio
9. Debt equity Ratio
10. Gross profit Ratio

Solution:

1: Current Ratio:

Total Assets/Total Liabilities

= 900000/900000

= 1

2: Acid Test Ratio

Total Assets-Stock/Total Liabilities

= 900000-60000/900000

= 840000/900000

= 0.933333

3: Stock turn over Ratio

(Average Stock / Cost of goods sold) x 365

Average Stock = opening stock + Closing Stock/2
= 60000+60000/2
= 60000
= (Average Stock / Cost of goods sold) x 365
= (60000/250000) x 365
= 0.24 x 365
= 87.4

4: Debt equity Ratio
Long term Liabilities / Equity
= 200000/200000
= 1

5: Gross profit Ratio
(Gross Profit / Sales) x 100
= 250000/500000 x 100
= 0.5 x 100
= 50

Question No: 51 (Marks: 5)

10 % Debentures of Rs. 80,000 are shown in trial balance. How it will be shown in financial statements? Also mention why a company issues debentures.

Answer:
10% Debentures of Rs. 80000 is shown the Owners Equity pr liability Side of Balance sheet.
Debentures are issued under the common seal of the company and debentures are an instrument for obtaining the loan from the general public. Company also paid mark up on debentures which generally equal to the market rate.

FINALTERM EXAMINATION

Question No: 1 (Marks: 1) - Please choose one

Which of the following is correct according to the double entry system of book-keeping?

- ► **Debit = Credit**
- ► Debit > Credit
- ► Debit < Credit
- ► All of the given options

Question No: 2 (Marks: 1) - Please choose one

What is the nature of an expense account?

- ► **Debit**
- ► Credit
- ► Revenue
- ► None of the given options

Question No: 3 (Marks: 1) - Please choose one

Which of the following are the components of General Ledger?

1) Title of account
2) Amount of transaction
3) Date of transaction

► (1) & (2) only
► (2) & (3) only
► (1) & (3) only
► **(1), (2) & (3)**

Question No: 4 (Marks: 1) - Please choose one

Which of the following organizations prepare Income & Expenditure account?

► Public libraries
► NGOs
► Labor unions
► **All of the given options**

Question No: 5 (Marks: 1) - Please choose one

Which of the following item will appear on the Balance Sheet as current assets?

► Prepaid expenses
► Accrued expenses
► Furniture and Equipment
► **Unearned revenue**

Question No: 6 (Marks: 1) - Please choose one

Accounts Receivable & Inventory are the examples of:

► Liquid assets
► **Current assets**
► Fixed assets
► Capital assets

Question No: 7 (Marks: 1) - Please choose one

Which of the following statement is **NOT TRUE** about Current liabilities?

► These are due within one year
► These are short-term loans
► **These are consist of all debts, payable after 12 months**
► In working capital, these are deducted from current assets

Question No: 8 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs. 20,000 during the year, what would be the value of Gross Profit?

► Rs. 15,000

► **Rs. 35,000**
► Rs. 55,000
► Rs. 60,000

Question No: 9 (Marks: 1) - Please choose one

Which of the following is an alternate term which can be used for “Capital”?

► Liability
► **Owner’s net worth**
► Working capital
► Asset

Question No: 10 (Marks: 1) - Please choose one

In the cost of goods sold statement, Cost of direct material consumed + Direct labor=?

► **Conversion cost**
► Prime cost
► Total factory cost
► Cost of goods manufactured

Question No: 11 (Marks: 1) - Please choose one

The total of all costs incurred to convert raw material into finished goods is known as:

► Prime cost
► **Conversion cost**
► Sunk cost
► Opportunity cost

Question No: 12 (Marks: 1) - Please choose one

In cost of goods sold statement the ‘total factory cost’ is equal to:

► Cost of material consumed + Labor cost
► Cost of material consumed + Conversion cost
► **Cost of material consumed + Total factory cost**
► Cost of material consumed + Factory overhead

Question No: 13 (Marks: 1) - Please choose one

All the costs incurred on the incomplete assets up to the balance sheet date must be transferred to:

► Capital account
► Capital work in progress account
► **Relevant asset account**
► Owner's equity account

Question No: 14 (Marks: 1) - Please choose one

Which one of the following is **NOT** true about revenue expenditure?

► These are the running expenses of the business
► **They improve the financial position of the business**
► They reduce the profit of the concern
► They do not appear in the balance sheet

Question No: 15 (Marks: 1) - Please choose one

Which one of the following is **NOT** true for Profit & Loss Account?

► It shows whether a business has made a profit or loss over a financial year
► It shows the financial performance of a business for the period
► It shows revenues and expenses for the period
► **It is used to calculate surplus/deficit for a particular period**

Question No: 16 (Marks: 1) - Please choose one

Which of the following best describes unpresented cheques?

► Cheques received on behalf of the business by the bank
► Cheques drawn but yet to be recorded in the bank records
► **Cheques issued by the bank not recorded in business records**
► Cheques received but yet to be recorded in the bank records

Question No: 17 (Marks: 1) - Please choose one

Which of the following option is **TRUE** about the characteristic(s) of Bad Debt?

► **It is a definite loss to the business**
► It is not shown in Balance Sheet
► No provision is necessary for it
► All of the given options

Question No: 18 (Marks: 1) - Please choose one

Which of the following is (are) included in Creditors Control Account?

► Discount received from supplier
► Credit purchases
► Bills payable
► **All of the given options**

Question No: 19 (Marks: 1) - Please choose one

Which of the following is shown on credit side of creditors control account?

► Bills Receivable
► Return inwards
► **Credit purchases**
► Discount allowed

Question No: 20 (Marks: 1) - Please choose one

Which one of the following is **CORRECT** about subsidiary ledger?

- ► It is a special Ledger
- ► It is a supporting ledger
- ► **It provides detailed information about individual accounts**
- ► All of the given options

Question No: 21 (Marks: 1) - Please choose one

Amount by which the purchaser (buyer) receives a reduction in price from the seller is known as:

- ► Expense
- ► Discount Allowed
- ► **Discount Received**
- ► Liability

Question No: 22 (Marks: 1) - Please choose one

Which of the following entry will be passed to record discount received in control account?

- ► Discount Received (Dr) and Creditors Control A/c (Cr)
- ► Discount Received (Dr) and Creditors A/c (Cr)
- ► Creditors Control A/c (Dr) and Discount Received (Cr)
- ► **Creditors A/c (Dr) and Discount Received (Cr)**

Question No: 23 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of sales to Rahim of Rs. 500 were omitted to record in books of accounts?

- ► **Sales account**
- ► Rahim's account
- ► Cash account
- ► Both sales and Rahim's Account

Question No: 24 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account

- ► Rs. 3,600
- ► Rs. 4,000
- ► Rs. 1,600
- ► **Rs. 2, 400**

Question No: 25 (Marks: 1) - Please choose one

The figure of cash received from debtors can be located either from cash book or:

- ► **Debtor's Control Account**
- ► Balance Sheet
- ► Profit & Loss Account

► Bills Payable Account

Question No: 26 (Marks: 1) - Please choose one

Which of the following would **NOT** be considered as a component of 'cost' of stock?

► **Salaries of selling staff**
► Transportation inward costs
► Import duties
► Purchase price

Question No: 27 (Marks: 1) - Please choose one

Capital account of sole proprietors is affected by which of the following items?

a. Profit & Loss account
b. Drawings account
c. Balances of capital account

► a,b
► b,c
► a,c
► **a,b,c**

Question No: 28 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about the partnership form of business?

► Partners must have to share their profits in equal proportion
► Partners are personally liable for the liabilities of the business
► Partnerships must make their accounts available to the general public
► **Partnership agreement in writing is called Partnership deed**

Question No: 29 (Marks: 1) - Please choose one

Which of the following represents the relationship between persons who have agreed to share the profit of business carried on by all or any of them acting for all?

► Sole-ownership
► Private limited company
► Public limited company
► **Partnership**

Question No: 30 (Marks: 1) - Please choose one

The Joint Stock Company is formed under the Companies Ordinance:

► **1984**
► I884
► 1948
► 1965

Question No: 31 (Marks: 1) - Please choose one

In which of the following, the Interest paid on debenture will be shown?

► Profit and loss account
► Profit and loss appropriation account
► **Balance sheet asset side under the heading of "current assets"**
► Trading Account

Question No: 32 (Marks: 1) - Please choose one

The primary purpose of preparing a cash flow statement for an entity is to provide information about:

► **Its financial position at the end of an accounting period**
► Its cash receipts and cash payments during an accounting period
► Its financial position at the start of an accounting period
► None of the given options

Question No: 33 (Marks: 1) - Please choose one

Which of the following business publishes the Financial Statements?

► Sole-Proprietorship
► Partnership
► Trust
► **Public Limited Company**

Question No: 34 (Marks: 1) - Please choose one

If the Capitals of partners are fixed then, at the end of financial year a partner's drawings are transferred to the:

► Credit side of the partner's capital account
► Credit side of the partner's current account
► **Debit side of partnership bank account**
► Debit side of the partner's current account

Question No: 35 (Marks: 1) - Please choose one

Wages outstanding given in the trial balance will be treated as a (an):

► Asset
► Liability
► Revenue
► Deferred expense

Question No: 36 (Marks: 1) - Please choose one

In balance sheet fixed assets are shown at:

► Residual value
► Market value
► Fair value
► Written down value (WDV)

Question No: 37 (Marks: 1) - Please choose one

Suppose a firm has 200 debtors, and each of them owes exactly Rs. 150 at the start of June. What is the total amount owed by all debtors?

► Rs. 2,000

► Rs. 3,000
► **Rs. 30,000**
► Rs. 150,000

Question No: 38 (Marks: 1) - Please choose one

What will be obtained from the Purchases Returns Book?

► Discount received
► Returns outward
► Credit purchases
► Discount allowed

Question No: 39 (Marks: 1) - Please choose one

In the heading of financial statement, _____ is not required?

► Title of financial statement
► **Name of the person who prepares financial statement**
► Period for which financial statement is prepared
► Name of business entity

Question No: 40 (Marks: 1) - Please choose one

Which of the following justifies when profit is earned?

► Assets exceed Expenditure
► **Income exceeds Expenditure**
► Cash Inflow exceeds Cash Outflow
► Income exceeds Liabilities

Question No: 41 (Marks: 1) - Please choose one

A and B entered in partnership in capital ratio of 2:3. They earned a profit of Rs.6,600 during the year. What will be the share of profit of Mr. A?

► Rs.1,320
► **Rs.2,640**
► Rs.3,960
► Rs.6,600

Question No: 42 (Marks: 1) - Please choose one

In a partnership of Mr. X and Mr. Y, the share of profit of Mr. X is Rs.3,840 and the share of profit of Mr. Y is Rs. 5,760. What will be the ratio of their share?

► 1:2
► **2:3**
► 3:2
► 2:1

Question No: 43 (Marks: 1) - Please choose one

Which of the following is decreased when an asset is converted into expense in adjustment?

► **Revenue**
► Net income
► Expense
► Liability

Question No: 44 (Marks: 1) - Please choose one

Accumulated depreciation is a _____ account?

- **Fixed asset**
- Current asset
- Contra asset
- Liability

Question No: 45 (Marks: 1) - Please choose one

Adjusting entries are recorded in which of the following?

- Voucher
- General journal
- **Ledger**
- Trial balance

Question No: 46 (Marks: 1) - Please choose one

Expired costs in an accounting period should be reported on _____ statement for that time period.

- Cash in flow
- Cash out flow
- Income
- **Expense**

Question No: 47 (Marks: 1) - Please choose one

Interest expenses of Epler Corporation shows a debit balance of Rs.200 in its unadjusted trial balance and Rs.250 in adjusted trial balance. Which of the following account will be debited in adjusting entry?

- Interest expense
- **Interest payable**
- Prepaid interest
- Interest paid

Question No: 48 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,500 and markup on drawings of Mr. B is Rs.2,800. The net income for the year is Rs.95,000. What will be the amount of distributable profit?

- Rs.89,700
- Rs.94,700
- Rs.95,300
- **Rs.100,300**

Question No: 49 (Marks: 1) - Please choose one

Which of the following can be distributed among the share holders?

- Capital reserve
- **General reserve**
- Revaluation reserve
- All of the given options

Question No: 50 (Marks: 1) - Please choose one

Which of the following capital is offered to the general public?

- **Issued capital**
- Subscribed capital
- Authorized capital
- Reserve capital

Question No: 51 (Marks: 1) - Please choose one

Which of the following value of the share is authorized by the memorandum of association?

- **Par value**
- Face value
- Nominal value
- All of the given options

Question No: 52 (Marks: 1) - Please choose one

Which of the following financial statement is helpful for the investors and creditors to assess the cash and non cash aspects of operating, investing and financing transactions on an entity's financial position?

- Balance Sheet
- **Income Statement**
- Statement of cash flows
- Statement of changes in equity

Question No: 53 (Marks: 1) - Please choose one

The financial statement that captures both the current operating result and the associated changes in the balance sheet is:

- Statement of retained earnings
- **Statement of financial position**
- Statement of cash flows
- Statement of changes in equity

Question No: 54 (Marks: 1) - Please choose one

In statement of cash flows, interest payment made on loan from bank is related to:

- **Investing activity**
- Financing activity
- Operating activity
- Net changes in working capital

Question No: 55 (Marks: 3)

Mr. Hassan is a partner in a partnership firm. His capital on July 1, 2001 was Rs. 400,000. He invested further capital of Rs. 150,000 on March 01, 2002. Markup rate is @6%p.a. The financial year of such a business is from 1st July to 30th June.
Required: You are required to calculate his markup on Capital at the end of 30th June 2002.

a) Capital invested on july 1 2001 = 400,000
Markup rate on 400,000 = 6% of 40,000 = 24,000

b) Further capital introduced / invested = 150000 on March 1, 2002
Markup rate = 6% of 150000 = 9000 x 4/12 = 3000

Total mark up rate = a + b = 24000 + 3000 = 27000

Question No: 56 (Marks: 5)

Calculate cost of goods sold with he help of given data.

Particulars	Rs.
Purchases	418,000
Carriage inwards	7,900
Discount Allowed	750
debtors	16,000
Sales man commission	2,000
Office expenses	2,000
Carriage outwards	1,700
Salaries	13,000
Direct labor	3,825
FOH	2,100
Plant & Machinery	53,000
Buildings	35,000
Tools	8,650

Helping data:

d. Plant & Machinery depreciate @ 10% and charged to FOH
e. Buildings depreciate @ 5% and 40% charged to Administrative expenses and balance to FOH
f. 40% of salaries will be charge to office and balance to Selling expenses

Question No: 57 (Marks: 5)

X and Y were partners in a business sharing profits in the ratio of 3:1. Their capital were Rs.30,000 and Rs.10,000 respectively. They earned a net profit of Rs. 160,000. Mr. Y was entitled to a salary of Rs.200 p.m. Prepare Profit Distribution Account of X & Y Partnership.

X AND Y ARE SHARED WITH the ratio 3:1
X capital = 30000
Y capital = 10000
Net profit = 160,000
Mr. Y salary is = 200 p.m entitled
Total investment = X + Y capital = 30000 +10000 = 40000

X profit distribution = 30,000/40000 x 160000 = 120,000
Y profit distrubtion = 10,000/40000 x 160000 x 40000 = 40000

Question No: 58 (Marks: 10)

Mention the effects of following on financial statements.

g. Markup on debentures

Markupdebture – Dr. while Debenture Cr

h. Creation of reserves
i. Payments of dividend
j. Carriage inwards

k. Current Assets are less than Current Liabilities

Question No: 59 (Marks: 10)

The following is the trial balance of Sikander's Photo Studio, Inc., dated December 31, 2007. The net income for the period is **Rs.36,000**. You are required to prepare Balance Sheet as on December 31, 2007.

Sikander's Photo Studio, Inc.
Trial balance
December 31, 2007

Cash	Rs.171,100	
Accounts receivable	9,400	
Prepaid studio rent	3,000	
Unexpired insurance	7,200	
Supplies	500	
Equipment	18,000	
Accumulated depreciation: equipment		Rs.7,200
Notes payable		10,000
Accounts payable		3,200
Salaries payable		4,000
Income tax payable		6,000
Unearned revenue		8,800
Capital stock		100,000
Retained earnings		34,000
Revenue earned		165,000
Salary expense	85,000	
Supply expense	3,900	
Rent expense	12,000	
Insurance expense	1,900	
Advertising expense	500	
Depreciation expense: equipment	1,800	
Interest expense	900	
Income taxes expense	23,000	
	338,200	**338,200**

FINALTERM EXAMINATION

Question No: 1 (Marks: 1) - Please choose one

Shares for which amount is paid by public are called _____ shares.

► Paid up
► Authorized
► Bonus shares

► **All are correct options**

Question No: 2 (Marks: 1) - Please choose one

Which of the following account/s will be affected under the rule of accrual accounting, when furniture is purchased on cash?

► Only Cash Account
► Only Furniture Account
► **Cash & Furniture Account**
► Only Purchases Account

Question No: 3 (Marks: 1) - Please choose one

A book, in which receipts and payments are recorded, is known as:

► Pass Book
► **Cash Book**
► Purchase Book
► Sales Book

Question No: 4 (Marks: 1) - Please choose one

Which of the following shows summary of a company's financial position at a specific date?

► Profit & Loss Account
► Cash Flow Statement
► **Balance Sheet**
► Income & Expenditure Account

Question No: 5 (Marks: 1) - Please choose one

Which of the following is **NOT** an example of intangible assets?

► Franchise rights
► Goodwill
► Patents
► **Land**

Question No: 6 (Marks: 1) - Please choose one

Which of the following account will be credited in the books of ABC Co. Ltd., if furniture is purchased on cash?

► Furniture account
► **Cash account**
► Business account
► Bank account

Question No: 7 (Marks: 1) - Please choose one

If the working capital and the current assets of company XYZ are Rs. 5,000 and Rs.15,000 respectively, calculate the current liabilities.

► Rs. 5,000
► **Rs. 10,000**
► Rs. 15,000
► Rs. 20,000

Question No: 8 (Marks: 1) - Please choose one

Cost of Goods Sold = ?

► **Beginning inventory + Purchases – Work in Process**
► Beginning inventory + Purchases - Sales
► Beginning inventory + Purchases - Ending inventory
► Ending inventory + Purchases - Beginning Inventory

Question No: 9 (Marks: 1) - Please choose one

The total of all costs incurred to convert raw material into finished goods is known as:

► Prime cost
► **Conversion cost**
► Sunk cost
► Opportunity cost

Question No: 10 (Marks: 1) - Please choose one

In cost of goods sold statement the 'cost of goods manufactured' is equal to:

► Total factory cost + Opening work in process + Ending work in process
► **Total factory cost + Opening work in process – Ending work in process**
► Total factory cost - Opening work in process + Ending work in process
► Ending work in process +Total factory cost – Opening work in process

Question No: 11 (Marks: 1) - Please choose one

Fixed assets are also called:

► **Depreciable assets**
► Current assets
► Liquid assets
► Floating assets

Question No: 12 (Marks: 1) - Please choose one

Consider the following inventory record:

Date	Item	Quantity	Cost/Unit	Total
2007Jan. 2	Opening inventory	100	Rs.18.00	Rs.1,800
Mar. 4	Purchase	400	19.00	7,600
May 8	Purchase	800	20.00	16,000
Nov. 3	Purchase	500	21.00	10,500

Four hundred units are unsold, Use the FIFO method of inventory costing and determine the value assigned to the 400 units on hand at the end of the period.

► Rs.7, 500
► Rs.7, 978
► Rs.8, 000
► **Rs.8, 400**

Question No: 13 (Marks: 1) - Please choose one

Increase in an asset is recorded on the:

► Left or credit side of the account
► Right or debit side of the account
► **Left or debit side of the account**
► Right or credit side of the account

Question No: 14 (Marks: 1) - Please choose one

The allocation of the cost of a tangible plant asset to expense in the periods, in which services are received from the asset, is termed as:

► Appreciation
► **Depreciation**
► Fluctuation
► None of the given options

Question No: 15 (Marks: 1) - Please choose one

Consider the following data:

Particulars	Rs.
Assets	?
Owner's equity	1,50,000
Liabilities	1,00,000

► Rs. 49,000
► Rs. 55,000
► Rs. 50,000
► **Rs. 2, 50,000**

Question No: 16 (Marks: 1) - Please choose one

Consider the following data:

Particulars	Rs.
Assets	8,20,000
Owner's equity	3,80,000
Liabilities	?

► Rs. 1, 98,000

► Rs. 49,000
► Rs. 55,000
► **Rs. 4, 40,000**

Question No: 17 (Marks: 1) - Please choose one

A debit balance in the Bank Statement indicates:

► Cash at bank
► Bank overdraft
► **Overpayment to creditors**
► Cash in hand

Question No: 18 (Marks: 1) - Please choose one

Bank Statement is a record of transactions between the bank and the holder of:

► A foreign currency account
► A current account
► A saving account
► **All of the given options**

Question No: 19 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

► Rs. 400
► Rs. 800
► Rs. 2,000
► **Rs. 2,400**

Question No: 20 (Marks: 1) - Please choose one

It is supposed that on 31-12-2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. It is also suppose that during the year 2008 actual bad debts were Rs. 1,600. What entry will pass to create provision for doubtful debts?

► **Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)**
► Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)
► Provision for doubtful debts a/c Rs. 1,600 (Dr) & Profit & Loss a/c Rs. 1,600 (Cr)
► Profit & Loss a/c Rs. 1,600 (Dr) & Provision for doubtful debts a/c Rs. 1,600 (Cr)

Question No: 21 (Marks: 1) - Please choose one

Which of the following is/are the item/s of a Control Account?

► Credit sale only
► Cash sale only
► Credit purchase only
► **Both Credit sales and Credit purchase**

Question No: 22 (Marks: 1) - Please choose one

Control account tells about:

- ► Details of loyal clients
- ► Customer attitude of payments
- ► **Complete history of transactions of business clients**
- ► Picture collectively instead of individually

Question No: 23 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of purchases return of Rs. 200 to "Mr.P" mistakenly entered in sales book?

- ► **P's account**
- ► Purchases return account
- ► Sales account
- ► Purchases returns account and sales account

Question No: 24 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of a purchase return of Rs.200 to Mr. "A" entered in sales book instead of purchase return book?

- ► A's account only
- ► Sales account only
- ► **Purchase returns account and sales account**
- ► Purchases account only

Question No: 25 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of an amount Rs.200 received from Mr."P" wrongly credited to Mr."Q's" account?

- ► Only Cash Account
- ► Only P's account
- ► Only Q's account
- ► **Both of Mr. P's & Mr.Q's Account**

Question No: 26 (Marks: 1) - Please choose one

Which of the following entry will be recorded, if a cheque deposited is dishonored by bank?

- ► Bank Account (Dr.) and Debtor's Account (Cr.)
- ► **Debtor's Account (Dr.) and Bank Account (Cr.)**
- ► Dishonored Cheque Account (Dr.) and Bank Account (Cr.)
- ► Creditor's Account (Dr.) and Bank Account (Cr.)

Question No: 27 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 10%	

Identify the Total amount deducted from Sundry debtors.

- ► Rs. 460
- ► Rs. 2,400
- ► **Rs. 3,080**
- ► Rs. 5,480

Question No: 28 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	700
Sundry Debtors (Given in trial balance)	44,500
Provision for doubtful debts be increases by 5%	
What will be the amount of new provision	**?**

- ► **Rs. 2,225**
- ► Rs. 2,425
- ► Rs. 1,925
- ► Rs. 3,025

Question No: 29 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	700
Sundry Debtors (Given in trial balance)	44,800

If the Provision for doubtful debts has been increased by 5%, which amount of new provision will be shown in Profit & Loss Account?

- ► **Rs. 2,240**
- ► Rs. 2,425
- ► Rs. 1,925
- ► Rs. 3,025

Question No: 30 (Marks: 1) - Please choose one

Wages paid to laborers working in the manufacturing department is treated as an expense of:

- ► Administrative expenses
- ► Selling expenses

► Marketing expenses
► **Cost of goods sold**

Question No: 31 (Marks: 1) - Please choose one

Which of the following represents the relationship between persons who have agreed to share the profit of business carried on by all or any of them acting for all?

► Sole-ownership
► Private limited company
► Public limited company
► **Partnership**

Question No: 32 (Marks: 1) - Please choose one

In Income Statement, both beginning inventory and ending inventory appear in the section of:

► **Cost of good sold**
► Indirect cost
► Selling cost
► Factory over head cost

Question No: 33 (Marks: 1) - Please choose one

If dividend is proposed by directors of the company @ 30% for the year, it will be calculated on:

► Capital Reserve
► **Authorized share capital**
► Paid up share capital
► Share premium

Question No: 34 (Marks: 1) - Please choose one

A company is said to have been registered when:

► It gets certificate of incorporation from registrar of Companies
► **It gets certificate of commencement of business from registrar of Companies**
► It actually starts its business
► It filed with the Registrar of Companies articles certain documents, like memorandum and articles of association

Question No: 35 (Marks: 1) - Please choose one

6% Debentures Account Rs. 3, 00,000. What amount of interest on debentures should be shown in profit and loss account?

► Rs. 6,000
► Rs. 3, 00,000
► **Rs. 18,000**
► Rs. 3, 18,000

Question No: 36 (Marks: 1) - Please choose one

What are the effects on financial statements, if provision for Income Tax to be made Rs. 12,000 is given in adjustment?

► It will be deducted in Income Statement only

► It will be treated as current liability in balance sheet only
► It will be treated as current asset in balance sheet only
► **Both it will be deducted in income statement and it will be treated as current liability in balance sheet**

Question No: 37 (Marks: 1) - Please choose one

When the current Ratio is 2: 5 and the amount of Current Liabilities is Rs. 25,000. What will be the amount of Current Assets?

► Rs. 62,500
► Rs. 12,500
► Rs. 10,000
► **Cannot be calculated with the help of given data**

Question No: 38 (Marks: 1) - Please choose one

Prepaid interest given in the Trial Balance will be treated as a (an):

► **Asset**
► Liability
► Revenue
► Deferred expense

Question No: 39 (Marks: 1) - Please choose one

Which one of the following is another name of carrying cost of an asset?

► **Book Value**
► Residual Value
► Fair Value
► Break up Value

Question No: 40 (Marks: 1) - Please choose one

An overdraft will appear as:

► A debit balance in both the bank statement and the cash book
► A credit balance in the bank statement but as a debit balance in the cash book
► **A credit balance in the cash book but as a debit balance in the bank statement**
► A credit balance in both the bank statement and the cash book

Question No: 41 (Marks: 1) - Please choose one

Recovery of bad debts is treated as:

► Profit
► Revenue
► **Expense**
► Asset

Question No: 42 (Marks: 1) - Please choose one

The amount owed by debtors at the end of a month appears on the_____ side of the control account.

► **Left side or debit**
► Left side or credit

► Right side or debit
► Right side or credit

Question No: 43 (Marks: 1) - Please choose one

The amount owed by debtors at the start of a month appears on the _____ side of the individual debtors account.

► Left side or credit
► **Left side or debit**
► Right side or debit
► Right side or credit

Question No: 44 (Marks: 1) - Please choose one

Ahmad Industries want to make payment to its supplier in the form of a pay order. The bank deducted Rs.160 as service charges without its knowledge. The error is known as:

► Error of commission
► **Error of omission**
► Error of original entry
► Error of principle

Question No: 45 (Marks: 1) - Please choose one

Which of the given statement is **CORRECT** if both sides of trial balance are equal?

► It is proof that no transaction was completely omitted from the ledger during the posting process
► **It is proof that the correct debit or credit balance has been computed for each account**
► It is proof that the ledger is in balance
► It is proof that transactions have been correctly analyzed and recorded in the proper accounts

Question No: 46 (Marks: 1) - Please choose one

Which of the following justifies when profit is earned?

► Assets exceed Expenditure
► **Income exceeds Expenditure**
► Cash Inflow exceeds Cash Outflow
► Income exceeds Liabilities

Question No: 47 (Marks: 1) - Please choose one

In a partnership of Mr. A and Mr. B, the share of profit of Mr. A is Rs.75,375 and the share of profit of Mr. B is Rs. 25,125. What will be the ratio of their share?

► 1:2
► 2:3
► 3:2
► **3:1**

Question No: 48 (Marks: 1) - Please choose one

Income tax expense of Eden Corporation shows a debit balance of Rs.7,000 in its unadjusted trial balance and Rs.7,600 in adjusted trial balance. Which of the following account will be credited in adjusting entry?

► Income tax payable
► **Prepaid income tax**
► Income tax expense

► Income tax paid

Question No: 49 (Marks: 1) - Please choose one

Sanders Construction sold a plant asset that originally cost Rs.80,000 for Rs.52,000 cash. If Sanders correctly reports a Rs.5,000 gain on this sale, the accumulated depreciation on the asset at the date of sale must have been:

► Rs.23,000
► Rs.28,000
► **Rs.33,000**
► Some other amount

Question No: 50 (Marks: 1) - Please choose one

Which of the following is responsible to register the companies?

► State Bank of Pakistan
► **Security and Exchange Commission of Pakistan**
► Supreme Court
► Stock Exchange

Question No: 51 (Marks: 1) - Please choose one

Which of the following can be utilized to set off any loss on revaluation?

► Capital reserve
► General reserve
► **Revaluation reserve**
► None of the given options

Question No: 52 (Marks: 1) - Please choose one

Which of the following is known as the charter of the company?

► Prospectus
► **Articles of association**
► Memorandum of association
► None of the given options

Question No: 53 (Marks: 1) - Please choose one

Statement of cash flows helps the stakeholders to assess:

► Ability to pay cash dividends in the future
► **All of the given options**
► The ability to generate future cash flows
► The liquidity of the business

Question No: 54 (Marks: 1) - Please choose one

Short term investments in marketable securities and treasury bills that will mature within ninety days from the date of acquisition, must be classified as:

► **Receivables**
► Receipts from Capital
► Current and intangible assets
► Cash equivalents

Question No: 55 (Marks: 3)

Give four reasons, why capital might change.

5. The entrance or exit of some (new) partner
6. Withdraw by partner(s)
7. Additional Investment by the partner(s)
8. Profit/Loss

Question No: 56 (Marks: 5)

Write down the five advantages of Limited Company.

6. It is a legal entity created by law and hence has its own recognition, good will and brand equity etc.
7. It is a wide form of business and hence a formal approach for various partners/investors to come and work for the same objectives in an organized form.
8. Liability limited to company assets only. Investors/partners do not personally liable for any loss or in state of bankrupty.
9. Being a legal entity, easy to get loans or gather funds from public (for public limited companies only) or financial institutes.
10. Being a legal entity, it can enjoy more opportunities for mega projects and trade/operations opportunities in international markets on its on behalf.

Question No: 57 (Marks: 5)

ABC Company purchased goods of Rs.150,000 on credit from which goods of Rs.20,000 were defected and returned. Company received 2% discount at the time of payment from the supplier.

Required:
What will be the amount of discount received by the company?
Also show the journal entries

Solution:
(A)
Discount Received= (150,000-20,000) x (2/100) = 2600

(B)

	Particulars	Dr.	Cr.
Entry for Purchase			
	Goods	150,000	
	A/P		150,000
Entry for Return			
	A/P	20,000	
	Goods		20,000
While making Payment (@ 2% discount = 2600)			
	A/P	130,000	
	Discount income		2,600
	Cash		127,400

Question No: 58 (Marks: 10)

State clearly how you will deal with Bad Debts Account, Provision for Bad Debts Account, Profit & Loss account and Balance Sheet in the following case:

The items appearing in the trial balance are bad debts Rs. 300, provision for bad debts Rs. 350 and sundry debtors Rs. 12,000. It is required to increase the provision for bad debts to 5% on sundry debtors.

Question No: 59 (Marks: 10)

The unadjusted and adjusted trial balances for Tinker Corporation on December 31, 2007, are shown below:

Tinker Corporation Trial Balances December 31, 2007				
	Unadjusted		**Adjusted**	
	Debit Rs.	**Credit Rs.**	**Debit Rs.**	**Credit Rs.**
Cash	35,200		35,200	
Accounts receivable	29,120		29,120	
Unexpired insurance	1,200		600	
Prepaid rent	5,400		5,400	
Office supplies	680		380	
Equipment	60,000		60,000	
Accumulated depreciation: equipment		49,000		50,000
Accounts payable		900		900
Notes payable		5,000		5,000
Interest payable		200		200
Salaries payable		-		2,100
Income taxes payable		1,570		1,570
Unearned revenue		6,800		3,800
Capital stock		25,000		25,000
Retained earnings		30,000		30,000
Fees earned		91,530		94,530
Advertising expense	1,500		1,500	
Insurance expense	6,600		7,200	
Rent expense	19,800		19,800	
Office supplies expense	1,200		1,500	
Repairs expense	4,800		4,800	
Depreciation expense: equipment	11,000		12,000	
Salaries expense	26,300		28,400	
Interest expense	200		200	
Income taxes expense	7,000		7,000	
	210,000	**210,000**	**213,100**	**213,100**

Journalize the five adjusting entries that the company made on December 31, 2007.

Solution:

Date	**Particular**	**Dr.**	**Cr.**
Dec 31	Insurance expense	600	

	to Unexpired insurance		600
Dec 31	Office Supplies Expense	300	
	to Office Supplies		300
Dec 31	Depreciation Expense-Equip.	1000	
	to Accumulated depreciation-Equip.		1000
Dec 31	Salaries Expense	2100	
	to Salaries Payable		2100
Dec 31	Unearned revenue	3000	
	to Fee Earned		3000

FINALTERM EXAMINATION

Question No: 1 (Marks: 1) - Please choose one

_____ Shares for which amount is paid by public are called _____ shares.

► **Paid up**
► Authorized
► Bonus shares
► All are correct options

Question No: 2 (Marks: 1) - Please choose one

_____ Income of the business includes:

► **Cash sales only**
► Credit sales only
► Credit purchases only
► Both cash sales and credit sales

Question No: 3 (Marks: 1) - Please choose one

_____ Which of the following is used to record financial transactions in chronological (day-to-day) order?

► Voucher
► **General Journal**
► General Ledger
► Trial balance

Question No: 4 (Marks: 1) - Please choose one

_____ The original book of entry, in which all vouchers are first recorded, is called:

► **General Journal**
► General Ledger
► Trial Balance
► Balance Sheet

Question No: 5 (Marks: 1) - Please choose one

A book, in which receipts and payments are recorded, is known as:

► **Pass Book**
► Cash Book
► Purchase Book
► Sales Book

Question No: 6 (Marks: 1) - Please choose one

Which of the following period is known as a fiscal Year of the Government of Pakistan?

► 1st January to 31st December
► 1st June to 31st May
► **1st July to 30th June**
► 1st October to 30th September

Question No: 7 (Marks: 1) - Please choose one

Which of the following is/are the **END** product of accounting cycle?

► **Financial Statements**
► General Journal
► General Ledger
► Voucher

Question No: 8 (Marks: 1) - Please choose one

Which of the following is **NOT** considered a part of financial statements?

► **General Ledger**
► Balance Sheet
► Profit and Loss Account
► Cash Flow Statement

Question No: 9 (Marks: 1) - Please choose one

The amount of salary paid to Mr. Sohail should be debited to:

► Mr. Sohail account
► **Salaries account**
► Cash account
► Drawings account

Question No: 10 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 90,000 and operating expenses are Rs. 25,000 during the year. What would be the Net Profit?

► **Rs. 5,000**
► Rs. 25,000
► Rs. 55,000
► Rs. 60,000

Question No: 11 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs. 20,000 during the year, what would be the value of Gross Profit?

► Rs. 15,000
► **Rs. 35,000**
► Rs. 55,000
► Rs. 60,000

Question No: 12 (Marks: 1) - Please choose one

If salaries expense is Rs. 2,500, purchases are Rs. 16,000 and rent (office building) is Rs. 300 during the year, what would be the total of "general & administrative expenses"?

► Rs. 300
► Rs. 2,500
► Rs. 2,800
► Rs.18, 800

Question No: 13 (Marks: 1) - Please choose one

The Primary objective of providing depreciation is:

► To calculate true profit
► To show the asset on market value
► To reduce tax Burdon
► To provide funds for replacement

Question No: 14 (Marks: 1) - Please choose one

Accounting is the language of:

► Business
► School
► Proprietor
► Management

Question No: 15 (Marks: 1) - Please choose one

Depreciation arises because of:

- ► Fall in the market value of an asset
- ► Fall in the value of money
- ► Physical wear and tear
- ► All of the given options

Question No: 16 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Owner's equity	Rs. 22,500
Total Liabilities	Rs. 80, 385
Cash in hand	Rs. 1,000
Cash at bank	Rs. 2,000
Debtors	Rs. 500

- ► Rs. 1, 02,885 other assets
- ► Rs. 1, 02,885 other liabilities
- ► Rs. 99,885 current liabilities
- ► Rs. 99,385 other assets

Question No: 17 (Marks: 1) - Please choose one

When the Bank Statement balance is more than the Cash Book balance, it is because of:

- ► Unpresented cheques
- ► Unrecorded bank charges
- ► Uncredited cheques
- ► None of the given options

Question No: 18 (Marks: 1) - Please choose one

Upon checking the Bank Statement against the Cash Book by Mr. A, It was discovered that an amount of Rs.120 for dividend from XYZ Co. had not been entered in the Cash Book. Which of the following entry should be recorded to rectify the mistake?

- ► Bank Account(Dr.) and Dividend Account (Cr.)
- ► XYZ Co. Account (Dr.) and Bank Account (Cr.)
- ► Dividend Account (Dr.) and Bank Account (Cr.)
- ► Bank Account (Dr.) and XYZ Co. Account (Cr.)

Question No: 19 (Marks: 1) - Please choose one

Which of the following subsidiary book(s) is (are) maintained for debtors control account?

- ► Sales Day Book
- ► Sales Return
- ► Debtors Ledger
- ► All of the given options

Question No: 20 (Marks: 1) - Please choose one

Which of the following is shown on credit side of creditors control account?

- ► Bills Receivable
- ► Return inwards
- ► Credit purchases
- ► Discount allowed

Question No: 21 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of carriage charges, paid for a new plant purchased mistakenly debited to carriage account?

- ► Plant account
- ► Carriage account
- ► Both plant account and carriage account
- ► Trading account

Question No: 22 (Marks: 1) - Please choose one

Which of the following rectifying entry will be recorded, if sales to Mr. “A” of Rs.336 have been debited to Mr. “B” account?

- ► A’s account (Dr.) and B’s account (Cr.)
- ► B’s account (Dr.) and A’s account (Cr.)
- ► Sales account (Dr.) and B’s account (cr.)
- ► B’s account (Dr.) and Sales account (Cr.)

Question No: 23 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	700
Sundry Debtors (Given in trial balance)	44,800

If the Provision for doubtful debts has been increased by 5%, which amount of new provision will be shown in Profit & Loss Account?

- ► Rs. 2,240
- ► Rs. 2,425
- ► Rs. 1,925
- ► Rs. 3,025

Question No: 24 (Marks: 1) - Please choose one

An asset which is **NOT** easily convertible to cash or not expected to become cash within a period of twelve months is called:

- ► Liquid asset
- ► Current asset
- ► Fixed asset
- ► Floating asset

Question No: 25 (Marks: 1) - Please choose one

When closing stock is given in trial balance, then it will effect:

- ► Trading account only
- ► Balance sheet only
- ► Owner's equity only
- ► Both Trading account and Balance sheet

Question No: 26 (Marks: 1) - Please choose one

Which of the following is **CORRECT** if depreciation is given in trial balance?

- ► All of the given options are correct
- ► It means depreciation has already been deducted from concerned asset account
- ► It will be shown as an expense in income statement only
- ► It will not be deducted from concerned asset in Balance Sheet

Question No: 27 (Marks: 1) - Please choose one

Identify the selling expenses of manufacturing concern with the help of given data.

Particulars	Rs.
Salesman's salary	70,000
Commission on sales	28,000
Carriage outward	10,000
Carriage inward	5,000

- ► Rs. 80,000
- ► Rs. 60,000
- ► Rs. 38,000
- ► Rs. 1, 08,000

Question No: 28 (Marks: 1) - Please choose one

In case of fixed capital accounts, other transactions such as Drawings and Profit etc. are recorded in a separate account that is called _____.

- ► Fixed Capital Account
- ► Current Account
- ► Fluctuating Capital Account
- ► Floating Capital Account

Question No: 29 (Marks: 1) - Please choose one

Which of the following clause/s are discussed in Memorandum of Association of Companies?

- ► Name of company
- ► Place of registered office of company
- ► Objective of the company
- ► All of the given options

Question No: 30 (Marks: 1) - Please choose one

In Income Statement, both beginning inventory and ending inventory appear in the section of:

- ► Cost of good sold

► Indirect cost
► Selling cost
► Factory over head cost

Question No: 31 (Marks: 1) - Please choose one

In which of the following auditor's remuneration payable is shown?

► In balance sheet under the head of current liabilities only
► In balance sheet under the head of current assets only
► In income statement under the administrative expense only
► In both balance sheet under the head of current liabilities and income statement under the administrative expense

Question No: 32 (Marks: 1) - Please choose one

How dividend declared is treated in the Balance Sheet of the company?

► Provision
► Current liability
► Reserves and surplus
► Current assets

Question No: 33 (Marks: 1) - Please choose one

The balance sheet reported a beginning balance of Rs. 20,000 in Accounts Receivable and an ending balance of Rs. 15,000. Credit Sales of Rs. 200,000 were made during the year. Using this information, compute cash collected from customers.

► Rs. 205,000
► Rs. 215,000
► Rs. 195,000
► Rs. 200,000

Question No: 34 (Marks: 1) - Please choose one

Which of the following statement in **NOT TRUE** about the limited company form of business?

► The limited company form of business allows ownership of the business to be spread amongst many people
► Shareholders can appoint professionals
► Shareholders are personally liable for all the liabilities incurred by the business
► Regular filing of information about the affairs of the company is a legal requirement

Question No: 35 (Marks: 1) - Please choose one

In calculating earning per share (EPS), the net profit is divided by which of the following?

► Number of ordinary shares
► Number of preference shares
► Paid up capital
► Authorized capital

Question No: 36 (Marks: 1) - Please choose one

Which of the given Asset is **Not** included in the calculation acid test ratio?

- ► Stock
- ► Cash
- ► Debtors
- ► Bills Receivable

Question No: 37 (Marks: 1) - Please choose one

Particulars	Rs.
Debentures	1, 50, 000
Equity Capital	2, 00,000
General Reserve	90, 000
Accumulated profit	60,000
What is debt equity ratio	**?**

- ► 15: 20 (or 3:4)
- ► 15:24 (or 5: 8)
- ► 15:29
- ► 15:35 (or 3: 7)

Question No: 38 (Marks: 1) - Please choose one

Normally the practice of Book Keeping under Single Entry System is followed by:

- ► Small businesses only
- ► Governments only
- ► Large scale businesses only
- ► Both small businesses and governments

Question No: 39 (Marks: 1) - Please choose one

In which of the following case the bank cannot refuse the payment?

- ► Stale cheque
- ► Bearer cheque
- ► Insolvency of the customer
- ► Post dated cheque

Question No: 40 (Marks: 1) - Please choose one

Stock account is debited and creditors account is credited, which of the following is reflecting the statement?

- ► Discount received
- ► Goods returned
- ► Purchase of goods on credit
- ► Payment of goods

Question No: 41 (Marks: 1) - Please choose one

Payment is made of a company's purchases on credit, which of the following is correct:

- ► Debit stock account and credit creditors account
- ► Debit creditors account and credit cash account
- ► Debit cash account and credit creditors account
- ► Debit stock account and credit cash account

Question No: 42 (Marks: 1) - Please choose one

We usually allow the customer to deduct a certain amount from the invoice value for prompt payment. In doing so we are granting a:

- ► Commission
- ► Allowance
- ► Discount
- ► Rebate

Question No: 43 (Marks: 1) - Please choose one

What will be obtained from the Purchases Returns Book?

- ► Discount received
- ► Returns outward
- ► Credit purchases
- ► Discount allowed

Question No: 44 (Marks: 1) - Please choose one

Deferred cost is classified as:

- ► Current liability
- ► Current asset
- ► Non-current asset
- ► Non-current liability

Question No: 45 (Marks: 1) - Please choose one

Which of the following is increased when an asset is converted into expense in adjustment?

- ► Revenue
- ► Net income
- ► Expense
- ► Liability

Question No: 46 (Marks: 1) - Please choose one

Accumulated depreciation is a _____ account?

- ► Fixed asset
- ► Current asset
- ► Contra asset
- ► Liability

Question No: 47 (Marks: 1) - Please choose one

Failure to record _____ will result in understates net income.

- ► Accrued expenses
- ► Expenses incurred
- ► Accrued revenues
- ► Accounts payable

Question No: 48 (Marks: 1) - Please choose one

Puget Sound Co. sold marketable securities Costing Rs.80,000 for Rs.92,000 cash. In the company's income statement and statement of cash flows, respectively, this will appear as:

► A Rs.12,000 gain and a Rs.92,000 cash receipt
► A Rs.92,000 gain and a Rs.8,000 cash receipt
► A Rs.12,000 gain and a Rs.80,000 cash receipt
► A Rs.92,000 sale and a Rs.92,000 cash receipt

Question No: 49 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on drawings of Mr. A is Rs.1,500 and of Mr. B is Rs.1,800. The net income for the year is Rs.85,000. What will be the amount of distributable profit?

► Rs.81,700
► Rs.88,300
► Rs.131,700
► Rs.146,700

Question No: 50 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,000 and markup on drawings of Mr. B is Rs.3,000. The net income for the year is Rs.50,000. What will be the profit share of Mr. A?

► Rs.22,500
► Rs.25,500
► Rs.27,500
► Rs.55,000

Question No: 51 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on capital of Mr. A is Rs.2,000 and markup on drawings of Mr. B is Rs.3,000. The net income for the year is Rs.85,000. What will be the profit share of Mr. B?

► Rs.40,000
► Rs.43,000
► Rs.130,000
► Rs.133,000

Question No: 52 (Marks: 1) - Please choose one

The value of a share as quoted on the stock exchange is known as:

► Book value
► Par value
► Market value
► Face value

Question No: 53 (Marks: 1) - Please choose one

Which of the following is not a measure of short-term liquidity?

► Current ratio
► Quick ratio
► Acid-test ratio
► Debt ratio

Question No: 54 (Marks: 1) - Please choose one

Short term investments in marketable securities and treasury bills that will mature within ninety days from the date of acquisition, must be classified as:

- ► Receivables
- ► Receipts from Capital
- ► Current and intangible assets
- ► Cash equivalents

Question No: 55 (Marks: 3)

Show how the following items will appear in profit and loss account.

Particulars	**Rs.**
Bad debts	3,600
Provision for doubtful debts (old)	8,500
Provision for doubtful debts (new)	1,500

Question No: 56 (Marks: 5)

What is the Purpose of Control Accounts?

Question No: 57 (Marks: 5)

Umer and Usman, both of whom are CPAs, form a partnership, with Umer investing Rs.100,000 and Usman, Rs.80,000. They agree to share net income as follows:

1. Salary allowances of Rs.80,000 to Umer and Rs.50,000 to Usman.
2. Interest allowances at 15 percent of beginning capital account balances.
3. Any partnership earnings in excess of the amount required to cover the interest and salary allowances to be divided 60 percent to Umer and 40 percent to Usman.

The partnership net income for the first year of operations amounted to Rs.247,000 before interest and salary allowances. Show how this amount should be divided between the two partners.

Question No: 58 (Marks: 10)

Following information are extracted from the books of XY and Sons for the year 2007.

Particulars	**Rs.**
Fixed Asset at WDV	529,500
Material 31-12-2007	188,000
Work in process on 31-12-2007	178,000
Finished Goods on 31-12-2007	198,000
Debtors	160,000
Bank	7,000
Creditors	100,000
Expenses payable	15,000
Profit for the year	X:90,000 Y:80,000
Drawings for the year	X:10,000 Y:15,000

Capital	X:400,000 Y: 350,000
Current Account	X: 13,000 Y:10,000
Long term loans	2,27,500

You are required to prepare Balance Sheet as on 31st December 2007. Show complete working.

Question No: 59 (Marks: 10)

Prepare Bank Reconciliation Statement as on 31st March 2009 with the help of given data.

	Particulars	Rs.
1	Balance as per Cash Book (Dr.)	180,000
2	Cheques paid into Bank in March 2009 but credited by the bank in April 2009	7,900 4,500 1,300
3	Cheques issued in March 2009 but cashed in April 2009	11,000 5,800
4	Cheques entered in the Cash Book in March 2009 but paid into bank in April 2009	1,000
5	Interest allowed by the bank	2,500
6	Interest charged by the bank	500

FINALTERM EXAMINATION
Fall 2009

Question No: 1 (Marks: 1) - Please choose one

Shares for which amount is paid by public are called _____ shares.

- ► Paid up
- ► Authorized
- ► Bonus shares
- ► All are correct options

Question No: 2 (Marks: 1) - Please choose one

The area of accounting concerned with reporting financial information to the interested parties is called:

- ► Cost Accounting
- ► Financial Accounting
- ► Management Accounting
- ► Tax Accounting

Question No: 3 (Marks: 1) - Please choose one

An organization operating with the objective of making profit from the sale of goods or services is called:

► Transaction
► Business
► Society
► Trust

Question No: 4 (Marks: 1) - Please choose one

Which of the following essentials are shown in Bank Book?
(1) Date of transaction
(2) Narration of transaction
(3) Cheque number

► (1) & (2) only
► (2) & (3) only
► (1) & (3) only
► (1), (2) & (3)

Question No: 5 (Marks: 1) - Please choose one

Which of the following summarizes the cash movements during a specified period?

► Trading account
► Profit & Loss account
► Receipts & Payments account
► Balance Sheet

Question No: 6 (Marks: 1) - Please choose one

What type of expenses are paid out of Gross Profit?

► Selling Expenses
► General Expenses
► Financial Expenses
► All of the given options

Question No: 7 (Marks: 1) - Please choose one

Following are the inventories of Manufacturing Concern **EXCEPT**:

► Raw material
► Work in process
► Finished goods
► Merchandise inventory

Question No: 8 (Marks: 1) - Please choose one

In cost of goods sold statement, the ‘cost of material consumed’ is equal to:

► Opening raw material inventory + Purchases – Ending raw material inventory
► Opening raw material inventory - Purchases + Ending raw material inventory

► Ending raw material inventory + Opening raw material inventory - Purchases
► Ending raw material inventory + Opening raw material inventory + Purchases

Question No: 9 (Marks: 1) - Please choose one

If, Cost of machine = Rs.400, 000
Useful life = 5 years
Residual value = Rs.25, 000
The depreciation of machine per year using straight line method is?

► Rs. 160,000
► Rs. 96,000
► Rs. 75,000
► Rs. 57,600

Question No: 10 (Marks: 1) - Please choose one

The Primary objective of providing depreciation is:

► To calculate true profit
► To show the asset on market value
► To reduce tax Burdon
► To provide funds for replacement

Question No: 11 (Marks: 1) - Please choose one

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty-five units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

► Rs.260
► Rs.232
► Rs.284
► Rs.268

Question No: 12 (Marks: 1) - Please choose one

Accounting is the language of:

► Business
► School
► Proprietor
► Management

Question No: 13 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Owner’s equity	Rs. 22,500
Total Liabilities	Rs. 80, 385
Cash in hand	Rs. 1,000

Cash at bank	Rs. 2,000
Debtors	Rs. 500

- ► Rs. 1, 02,885 other assets
- ► Rs. 1, 02,885 other liabilities
- ► Rs. 99,885 current liabilities
- ► Rs. 99,385 other assets

Question No: 14 (Marks: 1) - Please choose one

A Bank Reconciliation Statement is prepared to:

- ► Ascertain that the difference between the Cash Book balance and the Bank Statement balance has been accounted for
- ► Correct errors in the Cash Book or errors in the Bank Statement
- ► Amend the balance of the Bank Statement of the firm
- ► Amend the balance in the Cash Book of the firm

Question No: 15 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

- ► Rs. 400
- ► Rs. 800
- ► Rs. 2,000
- ► Rs. 2,400

Question No: 16 (Marks: 1) - Please choose one

It is supposed that on 31-12-2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 5 % of the sundry debtors are doubtful. It is also suppose that during the year 2008 actual bad debts were Rs. 1,600. What entry will pass to create provision for doubtful debts?

- ► Profit & Loss a/c Rs. 2,000 (Dr) & Provision for doubtful debts a/c Rs. 2,000 (Cr)
- ► Provision for doubtful debts a/c Rs. 2,000 (Dr) & Profit & Loss a/c Rs. 2,000 (Cr)
- ► Provision for doubtful debts a/c Rs. 1,600 (Dr) & Profit & Loss a/c Rs. 1,600 (Cr)
- ► Profit & Loss a/c Rs. 1,600 (Dr) & Provision for doubtful debts a/c Rs. 1,600 (Cr)

Question No: 17 (Marks: 1) - Please choose one

Which of the following is **NOT** based on the concept of double entry book keeping system?

- ► Subsidiary Ledgers
- ► Creditors Control Accounts
- ► Debtors Control Accounts
- ► All of the given options

Question No: 18 (Marks: 1) - Please choose one

Which of the following is an item of a debtors control account?

- ► Cash sale
- ► Credit sales
- ► Credit purchase
- ► Cash purchases

Question No: 19 (Marks: 1) - Please choose one

Which of the following is an item of a creditors control account?

- ► Cash purchases
- ► Cash sales
- ► Credit sales
- ► Credit purchase

Question No: 20 (Marks: 1) - Please choose one

Which of the following is (are) benefit/s of subsidiary ledger accounts to business?

- ► It tells about customer attitude of payments
- ► It can be checked against the control account to pick up recording errors
- ► It tells about the complete history of transactions of business client
- ► All of the given options

Question No: 21 (Marks: 1) - Please choose one

Which of the following rectifying entry will be recorded, if sales to Mr. “A” of Rs.336 have been debited to Mr. “B” account?

- ► A’s account (Dr.) and B’s account (Cr.)
- ► B’s account (Dr.) and A’s account (Cr.)
- ► Sales account (Dr.) and B’s account (cr.)
- ► B’s account (Dr.) and Sales account (Cr.)

Question No: 22 (Marks: 1) - Please choose one

Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

- ► Bank charges
- ► An error on the Bank Statement
- ► An uncredited deposit
- ► An unpresented cheque

Question No: 23 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account

- ► Rs. 3,600
- ► Rs. 4,000
- ► Rs. 1,600
- ► Rs. 2, 400

Question No: 24 (Marks: 1) - Please choose one

Which of the following is the first phase of the typical operating cycle?

- ► Sell goods and services to customers
- ► Purchase goods and services
- ► Receive cash from customers
- ► Pay cash to suppliers

Question No: 25 (Marks: 1) - Please choose one

Which one of the following is **TRUE** about provisions?

- ► It is necessary to prepare for showing true picture of balance sheet
- ► It is a reduction from assets
- ► It is prepared for specific purposes
- ► All of the given options

Question No: 26 (Marks: 1) - Please choose one

Which of the following is/are **NOT** shown in balance sheet of sole proprietor?

- ► Fixed assets
- ► Current liabilities
- ► Profit sharing ratio
- ► Long term assets

Question No: 27 (Marks: 1) - Please choose one

When closing stock is given in trial balance, then it will effect:

- ► Trading account only
- ► Balance sheet only
- ► Owner's equity only
- ► Both Trading account and Balance sheet

Question No: 28 (Marks: 1) - Please choose one

Which of the following is (are) **NOT** example(s) of distributable profit?

- ► None of the given options
- ► General reserve
- ► Accumulated profit and loss (credit balance)
- ► Revaluation reserves

Question No: 29 (Marks: 1) - Please choose one

Which of the following is **NOT** a cash inflow?

- ► Sale of fixed asset
- ► Issue of debentures
- ► Cash from business operation
- ► Purchase of fixed asset

Question No: 30 (Marks: 1) - Please choose one

Which of the following business publishes the Financial Statements?

- ► Sole-Proprietorship
- ► Partnership
- ► Trust
- ► Public Limited Company

Question No: 31 (Marks: 1) - Please choose one

Particulars	
Nominal value of each share	Rs.10
No of shares issued	10,000 shares
Net profit	Rs. 20,000
Divined paid	10%
What is the EPS	**?**

- ► Rs. 1.00
- ► Rs. 2.00
- ► Rs. 3.00
- ► Rs. 4.00

Question No: 32 (Marks: 1) - Please choose one

When income exceeds expenses in a specific time period is known as:

- ► Savings
- ► Net profit
- ► Gross profit
- ► Operating profit

Question No: 33 (Marks: 1) - Please choose one

Which of the following transaction have **NO** affect on stockholders' equity?

- ► Purchase of building on credit
- ► Dividends to stockholders
- ► Net loss
- ► Investment in cash by stockholders

Question No: 34 (Marks: 1) - Please choose one

In balance sheet fixed assets are shown at:

- ► Residual value
- ► Market value
- ► Fair value
- ► Written down value (WDV)

Question No: 35 (Marks: 1) - Please choose one

Firms charge depreciation each year:

- ► To ensure that there is enough money in the firm to replace the asset
- ► To spread the cost of the asset over its working life

► To reduce the profit and thus reduce the dividends they can pay to share holders
► Because the law states they must be reduced

Question No: 36 (Marks: 1) - Please choose one

Which of the following is(are) **CORRECT** for Doubtful Debt?

► It is shown in balance sheet
► It is a definite loss to the business
► No provision is necessary for it
► All of the given option

Question No: 37 (Marks: 1) - Please choose one

Which of the following is not a cause of difference in balances as per pass book and cash book?

► Error in cash book
► Error in pass book
► Direct deposit
► Un credited cheques

Question No: 38 (Marks: 1) - Please choose one

Stock account is debited and creditors account is credited, which of the following is reflecting the statement?

► Discount received
► Goods returned
► Purchase of goods on credit
► Payment of goods

Question No: 39 (Marks: 1) - Please choose one

A bad debt affects the Balance Sheet because it is a (an):

► Liability
► Asset
► Expense
► Income

Question No: 40 (Marks: 1) - Please choose one

The financial year of Atif Brothers & Co. is closed on June 30, 2009. Total cash sales are Rs. 150,000, credit sales are Rs. 180,000 and total receipts are Rs. 250,000. Credit receipts will be:

► Rs. 150,000
► Rs. 100,000
► Rs. 220,000
► Rs. 280,000

Question No: 41 (Marks: 1) - Please choose one

Which of the following statement is correct? If a company fails to record estimated bad debts expense,

► Net realizable value is understated
► Expenses are understated

► Revenues are understated
► Receivables are understated

Question No: 42 (Marks: 1) - Please choose one

In the heading of financial statement, _____ is not required?

► Title of financial statement
► Name of the person who prepares financial statement
► Period for which financial statement is prepared
► Name of business entity

Question No: 43 (Marks: 1) - Please choose one

Sunset tours has Rs.3,500 account receivable from the Del Mar Rotary. On January 20, the Rotary makes a partial payment of Rs.2,100 to Sunset Tours. The journal entry made on January 20 by Sunset Tours to record this transaction includes:

► A debit to the Cash Received account of Rs. 3,500
► A credit to the Accounts Receivable account of Rs.2,100
► A debit to the Cash account of Rs.1,400
► A debit to the Accounts Receivables account of Rs.1,400

Question No: 44 (Marks: 1) - Please choose one

A and B entered in partnership in capital ratio of 2:3. They earned a profit of Rs.6,600 during the year. What will be the share of profit of Mr. B?

► Rs.1,320
► Rs.2,640
► Rs.3,960
► Rs.6,600

Question No: 45 (Marks: 1) - Please choose one

The amount of prepaid insurance that expired in the current accounting period should be reported as _____.

► Prepaid insurance
► Insurance expense
► Insurance payable
► Insurance paid

Question No: 46 (Marks: 1) - Please choose one

Unexpired costs are reported as:

► Revenues
► Expenses
► Assets
► Income

Question No: 47 (Marks: 1) - Please choose one

Insurance premiums paid in advance but not yet expired are reported in which of the following account?

► Insurance payable
► Prepaid insurance
► Advance payment account
► Insurance expense

Question No: 48 (Marks: 1) - Please choose one

Profits earned by partnerships compensate the owners for which of the following?

- ► Personal services rendered to the business
- ► Capital invested in the business
- ► Assuming the risks of ownership
- ► All of the given options

Question No: 49 (Marks: 1) - Please choose one

Which of the following can be utilized to issue bonus shares?

- ► Reserves
- ► Debentures
- ► Share premium
- ► Term finance certificate

Question No: 50 (Marks: 1) - Please choose one

Which of the following value of the share is authorized by the memorandum of association?

- ► Par value
- ► Face value
- ► Nominal value
- ► All of the given options

Question No: 51 (Marks: 1) - Please choose one

All of the following have an effect on 'operating activities' while preparing the statement of cash flows except:

- ► Provision for doubtful debts
- ► Gain or loss on currency exchange rate
- ► Depreciation charged on fixed asset
- ► Amount received for disposal of a fixed asset

Question No: 52 (Marks: 1) - Please choose one

According to the statement of cash flows following are the examples of investing activities except:

- ► Sales of machinery
- ► Capital invested by the owners
- ► Purchase of building for the business use
- ► Cash received from the disposal of equipment

Question No: 53 (Marks: 1) - Please choose one

The financial statement that captures both the current operating result and the associated changes in the balance sheet is:

- ► Statement of retained earnings
- ► Statement of financial position
- ► Statement of cash flows
- ► Statement of changes in equity

Question No: 54 (Marks: 1) - Please choose one

What is the reason that some short term creditors prefer quick ratio over current ratio as a measure of short-term liquidity?

- ► Short operating cycle of the company
- ► Long operating cycle of the company

► Liquidity is not affected by operating cycle
► It is the creditor's choice

Question No: 55 (Marks: 3)

Differentiate between salaries & wages and wages & salaries? Also mention in which financial statements are treated

Question No: 56 (Marks: 5)

What is bank overdraft? Mention an example for this. Why companies have to pay mark up on it. Under which head mark up paid on overdraft is shown in financial statement.

Question No: 57 (Marks: 5)

Prepare Bank Reconciliation Statement with the help of given data

Particulars	Rs.
Balance as per Bank statement (Cr)	600
Unpresented cheques	1,440
Uncredited cheques	260

Question No: 58 (Marks: 10)

The following is the trial balance of Sikander's Photo Studio, Inc., dated December 31, 2007. You are required to prepare the Profit and Loss account.

Sikander's Photo Studio, Inc.
Trial balance
December 31, 2007

Cash	Rs.171,100	
Accounts receivable	9,400	
Prepaid studio rent	3,000	
Unexpired insurance	7,200	
Supplies	500	
Equipment	18,000	
Accumulated depreciation: equipment		Rs.7,200
Notes payable		10,000
Accounts payable		3,200
Salaries payable		4,000
Income tax payable		6,000
Unearned revenue		8,800
Capital stock		100,000
Retained earnings		34,000
Revenue earned		165,000
Salary expense	85,000	
Supply expense	3,900	

Rent expense	12,000	
Insurance expense	1,900	
Advertising expense	500	
Depreciation expense: equipment	1,800	
Interest expense	900	
Income taxes expense	23,000	
	338,200	**338,200**

Question No: 59 (Marks: 10)

Internet Consulting Service, Inc., adjusts its accounts every month. Following is the company's year end unadjusted trial balance dated December 31, 2007. (Bear in mind that adjusting entries already have been made for the first 11 months of 2007, but not for December.)

Internet Consulting Service, Inc.
Unadjusted Trial balance
December 31, 2007

Cash	Rs. 49,100	Rs.
Consulting fees receivable	23,400	
Prepaid office rent	6,300	
Prepaid dues and subscriptions	300	
Supplies	600	
Equipment	36,000	
Accumulated depreciation: equipment		10,200
Notes payable		5,000
Income tax payable		12,000
Unearned consulting fees		5,950
Capital stock		30,000
Retained earnings		32,700
Dividends	60,000	
Consulting fees earned		257,180
Salary expense	88,820	
Telephone expense	2,550	
Rent expense	22,000	
Income taxes expense	51,000	
Dues and subscriptions expense	560	
Supplies expense	1,600	
Depreciation expense: equipment	6,600	
Miscellaneous expenses	4,200	
	353,030	**353,030**

Other Data:

1. The useful life of the equipment has been estimated at five years (60 months) from date of acquisition.
2. Consulting services valued at Rs.2,850 were rendered during December to clients who had made payment in advance.
3. Salaries earned by employees but not paid as of December 31 amounted Rs.1,700.
4. An estimate of supplies on hand was made at December 31; the estimated cost of the unused supplies was Rs.450.

Instructions:

Determine the amounts to be reported in the company's year end adjusted trial balance for each of the following accounts:

Consulting fees earned
Salaries expense
Depreciation expense: equipment
Supplies expense
Income tax expense

FINALTERM EXAMINATION

Question No: 1 (Marks: 1) - Please choose one

_____ Shares for which amount is paid by public are called _____ shares.

► **Paid up**
► Authorized
► Bonus shares

► All are correct options

Question No: 2 (Marks: 1) - Please choose one

_____ Income of the business includes:

► **Cash sales only**
► Credit sales only
► Credit purchases only
► Both cash sales and credit sales

Question No: 3 (Marks: 1) - Please choose one

_____ Which of the following is used to record financial transactions in chronological (day-to-day) order?

► Voucher
► **General Journal**
► General Ledger
► Trial balance

Question No: 4 (Marks: 1) - Please choose one

_____ The original book of entry, in which all vouchers are first recorded, is called:

► **General Journal**
► General Ledger
► Trial Balance
► Balance Sheet

Question No: 5 (Marks: 1) - Please choose one

A book, in which receipts and payments are recorded, is known as:

► **Pass Book**
► Cash Book
► Purchase Book
► Sales Book

Question No: 6 (Marks: 1) - Please choose one

Which of the following period is known as a fiscal Year of the Government of Pakistan?

► 1st January to 31st December
► 1st June to 31st May
► **1st July to 30th June**
► 1st October to 30th September

Question No: 7 (Marks: 1) - Please choose one

Which of the following is/are the **END** product of accounting cycle?

► **Financial Statements**
► General Journal
► General Ledger
► Voucher

Question No: 8 (Marks: 1) - Please choose one

Which of the following is **NOT** considered a part of financial statements?

► **General Ledger**
► Balance Sheet
► Profit and Loss Account
► Cash Flow Statement

Question No: 9 (Marks: 1) - Please choose one

The amount of salary paid to Mr. Sohail should be debited to:

► Mr. Sohail account
► **Salaries account**
► Cash account
► Drawings account

Question No: 10 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 90,000 and operating expenses are Rs. 25,000 during the year. What would be the Net Profit?

► **Rs. 5,000**
► Rs. 25,000
► Rs. 55,000
► Rs. 60,000

Question No: 11 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 95,000 and operating expenses are Rs. 20,000 during the year, what would be the value of Gross Profit?

► Rs. 15,000
► **Rs. 35,000**
► Rs. 55,000
► Rs. 60,000

Question No: 12 (Marks: 1) - Please choose one

If salaries expense is Rs. 2,500, purchases are Rs. 16,000 and rent (office building) is Rs. 300 during the year, what would be the total of "general & administrative expenses"?

► Rs. 300
► Rs. 2,500
► Rs. 2,800
► Rs.18, 800

Question No: 13 (Marks: 1) - Please choose one

The Primary objective of providing depreciation is:

► To calculate true profit
► To show the asset on market value
► To reduce tax Burdon
► To provide funds for replacement

Question No: 14 (Marks: 1) - Please choose one

Accounting is the language of:

► Business
► School
► Proprietor
► Management

Question No: 15 (Marks: 1) - Please choose one

Depreciation arises because of:

► Fall in the market value of an asset
► Fall in the value of money

► Physical wear and tear
► All of the given options

Question No: 16 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Owner's equity	Rs. 22,500
Total Liabilities	Rs. 80, 385
Cash in hand	Rs. 1,000
Cash at bank	Rs. 2,000
Debtors	Rs. 500

► Rs. 1, 02,885 other assets
► Rs. 1, 02,885 other liabilities
► Rs. 99,885 current liabilities
► Rs. 99,385 other assets

Question No: 17 (Marks: 1) - Please choose one

When the Bank Statement balance is more than the Cash Book balance, it is because of:

► Unpresented cheques
► Unrecorded bank charges
► Uncredited cheques
► None of the given options

Question No: 18 (Marks: 1) - Please choose one

Upon checking the Bank Statement against the Cash Book by Mr. A, It was discovered that an amount of Rs.120 for dividend from XYZ Co. had not been entered in the Cash Book. Which of the following entry should be recorded to rectify the mistake?

► Bank Account(Dr.) and Dividend Account (Cr.)
► XYZ Co. Account (Dr.) and Bank Account (Cr.)
► Dividend Account (Dr.) and Bank Account (Cr.)
► Bank Account (Dr.) and XYZ Co. Account (Cr.)

Question No: 19 (Marks: 1) - Please choose one

Which of the following subsidiary book(s) is (are) maintained for debtors control account?

► Sales Day Book
► Sales Return
► Debtors Ledger
► All of the given options

Question No: 20 (Marks: 1) - Please choose one

Which of the following is shown on credit side of creditors control account?

► Bills Receivable
► Return inwards

► Credit purchases
► Discount allowed

Question No: 21 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of carriage charges, paid for a new plant purchased mistakenly debited to carriage account?

► Plant account
► Carriage account
► Both plant account and carriage account
► Trading account

Question No: 22 (Marks: 1) - Please choose one

Which of the following rectifying entry will be recorded, if sales to Mr. "A" of Rs.336 have been debited to Mr. "B" account?

► A's account (Dr.) and B's account (Cr.)
► B's account (Dr.) and A's account (Cr.)
► Sales account (Dr.) and B's account (cr.)
► B's account (Dr.) and Sales account (Cr.)

Question No: 23 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	700
Sundry Debtors (Given in trial balance)	44,800

If the Provision for doubtful debts has been increased by 5%, which amount of new provision will be shown in Profit & Loss Account?

► Rs. 2,240
► Rs. 2,425
► Rs. 1,925
► Rs. 3,025

Question No: 24 (Marks: 1) - Please choose one

An asset which is **NOT** easily convertible to cash or not expected to become cash within a period of twelve months is called:

► Liquid asset
► Current asset
► Fixed asset
► Floating asset

Question No: 25 (Marks: 1) - Please choose one

When closing stock is given in trial balance, then it will effect:

► Trading account only
► Balance sheet only
► Owner's equity only

► Both Trading account and Balance sheet

Question No: 26 (Marks: 1) - Please choose one

Which of the following is **CORRECT** if depreciation is given in trial balance?

► All of the given options are correct
► It means depreciation has already been deducted from concerned asset account
► It will be shown as an expense in income statement only
► It will not be deducted from concerned asset in Balance Sheet

Question No: 27 (Marks: 1) - Please choose one

Identify the selling expenses of manufacturing concern with the help of given data.

Particulars	Rs.
Salesman's salary	70,000
Commission on sales	28,000
Carriage outward	10,000
Carriage inward	5,000

► Rs. 80,000
► Rs. 60,000
► Rs. 38,000
► Rs. 1, 08,000

Question No: 28 (Marks: 1) - Please choose one

In case of fixed capital accounts, other transactions such as Drawings and Profit etc. are recorded in a separate account that is called _____.

► Fixed Capital Account
► Current Account
► Fluctuating Capital Account
► Floating Capital Account

Question No: 29 (Marks: 1) - Please choose one

Which of the following clause/s are discussed in Memorandum of Association of Companies?

► Name of company
► Place of registered office of company
► Objective of the company
► All of the given options

Question No: 30 (Marks: 1) - Please choose one

In Income Statement, both beginning inventory and ending inventory appear in the section of:

► Cost of good sold
► Indirect cost
► Selling cost
► Factory over head cost

Question No: 31 (Marks: 1) - Please choose one

In which of the following auditor's remuneration payable is shown?

► In balance sheet under the head of current liabilities only
► In balance sheet under the head of current assets only
► In income statement under the administrative expense only
► In both balance sheet under the head of current liabilities and income statement under the administrative expense

Question No: 32 (Marks: 1) - Please choose one

How dividend declared is treated in the Balance Sheet of the company?

► Provision
► Current liability
► Reserves and surplus
► Current assets

Question No: 33 (Marks: 1) - Please choose one

The balance sheet reported a beginning balance of Rs. 20,000 in Accounts Receivable and an ending balance of Rs. 15,000. Credit Sales of Rs. 200,000 were made during the year. Using this information, compute cash collected from customers.

► Rs. 205,000
► Rs. 215,000
► Rs. 195,000
► Rs. 200,000

Question No: 34 (Marks: 1) - Please choose one

Which of the following statement in **NOT TRUE** about the limited company form of business?

► The limited company form of business allows ownership of the business to be spread amongst many people
► Shareholders can appoint professionals
► Shareholders are personally liable for all the liabilities incurred by the business
► Regular filing of information about the affairs of the company is a legal requirement

Question No: 35 (Marks: 1) - Please choose one

In calculating earning per share (EPS), the net profit is divided by which of the following?

► Number of ordinary shares
► Number of preference shares
► Paid up capital
► Authorized capital

Question No: 36 (Marks: 1) - Please choose one

Which of the given Asset is **Not** included in the calculation acid test ratio?

► Stock
► Cash
► Debtors

► Bills Receivable

Question No: 37 (Marks: 1) - Please choose one

Particulars	Rs.
Debentures	1, 50, 000
Equity Capital	2, 00,000
General Reserve	90, 000
Accumulated profit	60,000
What is debt equity ratio	**?**

► 15: 20 (or 3:4)
► 15:24 (or 5: 8)
► 15:29
► 15:35 (or 3: 7)

Question No: 38 (Marks: 1) - Please choose one

Normally the practice of Book Keeping under Single Entry System is followed by:

► Small businesses only
► Governments only
► Large scale businesses only
► Both small businesses and governments

Question No: 39 (Marks: 1) - Please choose one

In which of the following case the bank cannot refuse the payment?

► Stale cheque
► Bearer cheque
► Insolvency of the customer
► Post dated cheque

Question No: 40 (Marks: 1) - Please choose one

Stock account is debited and creditors account is credited, which of the following is reflecting the statement?

► Discount received
► Goods returned
► Purchase of goods on credit
► Payment of goods

Question No: 41 (Marks: 1) - Please choose one

Payment is made of a company's purchases on credit, which of the following is correct:

► Debit stock account and credit creditors account
► Debit creditors account and credit cash account
► Debit cash account and credit creditors account
► Debit stock account and credit cash account

Question No: 42 (Marks: 1) - Please choose one

We usually allow the customer to deduct a certain amount from the invoice value for prompt payment. In doing so we are granting a:

► Commission
► Allowance

► Discount
► Rebate

Question No: 43 (Marks: 1) - Please choose one

What will be obtained from the Purchases Returns Book?

► Discount received
► Returns outward
► Credit purchases
► Discount allowed

Question No: 44 (Marks: 1) - Please choose one

Deferred cost is classified as:

► Current liability
► Current asset
► Non-current asset
► Non-current liability

Question No: 45 (Marks: 1) - Please choose one

Which of the following is increased when an asset is converted into expense in adjustment?

► Revenue
► Net income
► Expense
► Liability

Question No: 46 (Marks: 1) - Please choose one

Accumulated depreciation is a _____ account?

► Fixed asset
► Current asset
► Contra asset
► Liability

Question No: 47 (Marks: 1) - Please choose one

Failure to record _____ will result in understates net income.

► Accrued expenses
► Expenses incurred
► Accrued revenues
► Accounts payable

Question No: 48 (Marks: 1) - Please choose one

Puget Sound Co. sold marketable securities Costing Rs.80,000 for Rs.92,000 cash. In the company's income statement and statement of cash flows, respectively, this will appear as:

► A Rs.12,000 gain and a Rs.92,000 cash receipt
► A Rs.92,000 gain and a Rs.8,000 cash receipt
► A Rs.12,000 gain and a Rs.80,000 cash receipt
► A Rs.92,000 sale and a Rs.92,000 cash receipt

Question No: 49 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on drawings of Mr. A is Rs.1,500 and of Mr. B is Rs.1,800. The net income for the year is Rs.85,000. What will be the amount of distributable profit?

- ► Rs.81,700
- ► Rs.88,300
- ► Rs.131,700
- ► Rs.146,700

Question No: 50 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,000 and markup on drawings of Mr. B is Rs.3,000. The net income for the year is Rs.50,000. What will be the profit share of Mr. A?

- ► Rs.22,500
- ► Rs.25,500
- ► Rs.27,500
- ► Rs.55,000

Question No: 51 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on capital of Mr. A is Rs.2,000 and markup on drawings of Mr. B is Rs.3,000. The net income for the year is Rs.85,000. What will be the profit share of Mr. B?

- ► Rs.40,000
- ► Rs.43,000
- ► Rs.130,000
- ► Rs.133,000

Question No: 52 (Marks: 1) - Please choose one

The value of a share as quoted on the stock exchange is known as:

- ► Book value
- ► Par value
- ► Market value
- ► Face value

Question No: 53 (Marks: 1) - Please choose one

Which of the following is not a measure of short-term liquidity?

- ► Current ratio
- ► Quick ratio
- ► Acid-test ratio
- ► Debt ratio

Question No: 54 (Marks: 1) - Please choose one

Short term investments in marketable securities and treasury bills that will mature within ninety days from the date of acquisition, must be classified as:

- ► Receivables
- ► Receipts from Capital
- ► Current and intangible assets
- ► Cash equivalents

Question No: 55 (Marks: 3)

Show how the following items will appear in profit and loss account.

Particulars	Rs.
Bad debts	3,600
Provision for doubtful debts (old)	8,500
Provision for doubtful debts (new)	1,500

Question No: 56 (Marks: 5)

What is the Purpose of Control Accounts?

Question No: 57 (Marks: 5)

Umer and Usman, both of whom are CPAs, form a partnership, with Umer investing Rs.100,000 and Usman, Rs.80,000. They agree to share net income as follows:

4. Salary allowances of Rs.80,000 to Umer and Rs.50,000 to Usman.
5. Interest allowances at 15 percent of beginning capital account balances.
6. Any partnership earnings in excess of the amount required to cover the interest and salary allowances to be divided 60 percent to Umer and 40 percent to Usman.

The partnership net income for the first year of operations amounted to Rs.247,000 before interest and salary allowances. Show how this amount should be divided between the two partners.

Question No: 58 (Marks: 10)

Following information are extracted from the books of XY and Sons for the year 2007.

Particulars	Rs.
Fixed Asset at WDV	529,500
Material 31-12-2007	188,000
Work in process on 31-12-2007	178,000
Finished Goods on 31-12-2007	198,000
Debtors	160,000
Bank	7,000
Creditors	100,000
Expenses payable	15,000
Profit for the year	X:90,000 Y:80,000
Drawings for the year	X:10,000 Y:15,000
Capital	X:400,000 Y: 350,000
Current Account	X: 13,000 Y:10,000
Long term loans	2,27,500

You are required to prepare Balance Sheet as on 31st December 2007. Show complete working.

Question No: 59 (Marks: 10)

Prepare Bank Reconciliation Statement as on 31st March 2009 with the help of given data.

	Particulars	Rs.
1	Balance as per Cash Book (Dr.)	180,000
2	Cheques paid into Bank in March 2009 but credited by the bank in April 2009	7,900 4,500 1,300
3	Cheques issued in March 2009 but cashed in April 2009	11,000 5,800
4	Cheques entered in the Cash Book in March 2009 but paid into bank in April 2009	1,000
5	Interest allowed by the bank	2,500
6	Interest charged by the bank	500

Question No: 55 (Marks: 3)

Mr. Hassan is a partner in a partnership firm. His capital on July 1, 2001 was Rs. 400,000. He invested further capital of Rs. 150,000 on March 01, 2002. Markup rate is @6%p.a. The financial year of such a business is from 1st July to 30th June.

Required: You are required to calculate his markup on Capital at the end of 30th June 2002.

400000x6/100=2400
400000

Question No: 56 (Marks: 5)

What do you mean by "Bad Debts" and "Doubtful Debts"? Distinguish between these.

Ans: **Bad Debts**

when we are going to sell the products on credit so our business take risk that there are some customer in market that they will never pay for stock sold to them.So,such situation in which the amount which is due to the debetor are call bad debts

This is a loss sustained loss for business due to risk. It is recorded in Profit and Loss Account in the period in which it is happen.

Doubtful Debts

A doubtful debt is a debt, which the business considers may not be paid

Question No: 57 (Marks: 5)

a. In trial balance at June 30, 2007 10% debentures are shown at Rs.75,000 and mark up on debentures are shown at Rs.3,750. Six months debenture mark up is to be accrued. What will be the amount of total mark up on debentures show in profit and loss account?

b. From the following information calculate cost of goods sold.

Stock opening balance	Rs.56,950
Purchases	175,750
Stock closing balance	65,020
Carriage inward	5,200
Sales	245,500

Opening stock : Rs.56,950
Add bpurchase: 175,750
Add Carriage inward : 5,200
Less Stock closing balance: (65020)

Cost of goods sold = Rs 172,880

Question No: 58 (Marks: 10)

Prepare Bank Reconciliation Statement as on 31st March 2009 with the help of given data.

	Particulars	**Rs.**
1	Balance as per Cash Book (Dr.)	180,000
2	Cheques paid into Bank in March 2009 but credited by the bank in April 2009	7,900 4,500 1,300
3	Cheques issued in March 2009 but cashed in April 2009	11,000 5,800
4	Cheques entered in the Cash Book in March 2009 but paid into bank in April 2009	1,000
5	Interest allowed by the bank	2,500
6	Interest charged by the bank	500

Question No: 59 (Marks: 10)

S.No	Narration / Particulars	Withdrawals Amountnt	Deposits Amount			Balance Dr/(Cr)
	Balance as per Cash Book (Dr.)					180,000
						7900
						4500
						1300

Listed below are selected items from the financial statements of ABC Mfg. Co. for the year ended December 31, 2007.

Note payable to Bank Al-Falah	Rs.500,000
Income taxes payable	40,000
Mortgage note payable	750,000
Accrued interest on mortgage note payable	5,000
Trade accounts payable	250,000
Unearned revenue	15,000
Accrued expenses and payroll taxes	60,000
Debenture	500,000

Other information:

1. The note payable owed to Bank Al-Falah is due in 60 days. ABC Mfg. Co. has arranged with this bank to renew the note for an additional 24 months.
2. The mortgage requires payment of Rs.6,000 per month. An amortization table shows that its balance will be paid down to Rs.739,000 by December 31, 2008.
3. Debenture of Rs.150,000 is due in 180 days.

Instructions:

Using the information, prepare the current liabilities and long-term liabilities sections of a classified balance sheet at December 31, 2007.

FINALTERM EXAMINATION

Question No: 1 (Marks: 1) - Please choose one

Liabilities of the members of the _____ is only limited to the capital introduce by member/s.

► Partnership

► **Company**

► Sole proprietorship

► None of the given options

Question No: 2 (Marks: 1) - Please choose one

Term "Credit" means_____ by the business.

► Receiving of benefits
► It has no effect on business
► **Providing of benefits**
► It depends upon items

Question No: 3 (Marks: 1) - Please choose one

What would be the affect on the components of the accounting equation, if goods are purchased on cash?

- ► Increase in cash and decrease in equity
- ► Increase in cash and increase in goods
- ► **Increase in goods and decrease in cash**
- ► Increase in equipment and increase in equity

Question No: 4 (Marks: 1) - Please choose one

When a Liability is reduced or decreased, it is recorded on the:

- ► Right or debit side of the account
- ► **Left or debit side of the account**
- ► Left or credit side of the account
- ► Right or credit side of the account

Question No: 5 (Marks: 1) - Please choose one

Accounts Receivable & Inventory are the examples of:

- ► Liquid assets
- ► **Current assets**
- ► Fixed assets
- ► Capital assets

Question No: 6 (Marks: 1) - Please choose one

Which of the following is **NOT** an example of Current Asset?

- ► **Bank Overdraft**
- ► Accounts Receivable
- ► Notes Receivable
- ► Prepaid Expenses

Question No: 7 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 90,000 and operating expenses are Rs. 25,000 during the year. What would be the Net Profit?

- ► **Rs. 5,000**
- ► Rs. 25,000
- ► Rs. 55,000
- ► Rs. 60,000

Question No: 8 (Marks: 1) - Please choose one

Which of the following statement is **NOT** true about the Journal voucher?

- ► **Financial data is picked only from Journal vouchers to Journal**
- ► These are used to record all transaction other than cash & bank
- ► These are used to make corrections or adjustments to previous Receipts

► Format of Journal voucher is different from other vouchers

Question No: 9 (Marks: 1) - Please choose one

Which one of the following is **CORRECT** about the closing stock?

► It appears in the assets side of a balance sheet
► It decreases the value of cost of goods sold
► It becomes opening stock of next year
► **All of the given option**

Question No: 10 (Marks: 1) - Please choose one

In the cost of goods sold statement, Cost of direct material consumed + Direct labor=?

► Conversion cost
► **Prime cost**
► Total factory cost
► Cost of goods manufactured

Question No: 11 (Marks: 1) - Please choose one

Consider the following inventory record:

Date	Item	Quantity	Cost/Unit Rs.	Total Rs.
Jan. 2	Beginning inventory	10	10	100
Mar. 4	Purchase	35	11	385
May 8	Purchase	40	12	480
Nov. 3	Purchase	20	13	260
De31	Merchandise available	105		1,225

85 units were sold, Use the FIFO method of inventory costing and determine the cost of goods sold.

► Rs. 1,225
► Rs. 1,015
► **Rs. 965**
► Rs. 992

Question No: 12 (Marks: 1) - Please choose one

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty-five units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

► **Rs.260**
► Rs.232
► Rs.284
► Rs.268

Question No: 13 (Marks: 1) - Please choose one

Which one of the following is **NOT** true about revenue expenditure?

► These are the running expenses of the business
► **They improve the financial position of the business**
► They reduce the profit of the concern
► They do not appear in the balance sheet

Question No: 14 (Marks: 1) - Please choose one

Bank Reconciliation Statement is:

► **A memorandum statement**
► A ledger account
► A part of cash book
► A part of journal

Question No: 15 (Marks: 1) - Please choose one

Which of the following assets are shown at written down value in balance sheet?

► Current assets
► Liquid assets
► Floating assets
► **Fixed assets**

Question No: 16 (Marks: 1) - Please choose one

Which of the following account balance is shown on credit side of Trial Balance? (It is assumed that all account balances are shown on normal balance)

► Cash account
► Furniture account
► Vehicle account
► **Capital account**

Question No: 17 (Marks: 1) - Please choose one

In which of the following condition(s) **DEBT** is regarded as **BAD**.

► Bankruptcy of the debtor
► Disappearance of debtor's business
► Failure of repeated attempt to collect the debt
► **All of the given options**

Question No: 18 (Marks: 1) - Please choose one

If Bad Debts written off are given in adjustment, then which of the following entry for bad debts written off is **CORRECT**?

► Bad debts a/c (Dr) and Trading a/c (Cr)
► Provision for Bad and Doubtful debts a/c (Dr) and Bad debts a/c(Cr)
► **Bad debts a/c (Dr) and debtors a/c (Cr)**

► Trading a/c (Dr) and Bad debts a/c (Cr)

Question No: 19 (Marks: 1) - Please choose one

Which of the following is **NOT** based on the concept of double entry book keeping system?

► **Subsidiary Ledgers**
► Creditors Control Accounts
► Debtors Control Accounts
► All of the given options

Question No: 20 (Marks: 1) - Please choose one

Which of the following is (are) benefit/s of subsidiary ledger accounts to business?

► It tells about customer attitude of payments
► It can be checked against the control account to pick up recording errors
► It tells about the complete history of transactions of business client
► **All of the given options**

Question No: 21 (Marks: 1) - Please choose one

When one or both aspects of a transaction are recorded in the wrong class or category of account, this is called:

► Error of principle
► Error of omission
► Error of commission
► **Error of original entry**

Question No: 22 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account

► Rs. 3,600
► Rs. 4,000
► Rs. 1,600
► **Rs. 2, 400**

Question No: 23 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 10%	

Identify the Total amount deducted from Sundry debtors.

► Rs. 460
► Rs. 2,400
► Rs. 3,080
► **Rs. 5,480**

Question No: 24 (Marks: 1) - Please choose one

The figure of cash received from debtors can be located either from cash book or:

- ► **Debtor's Control Account**
- ► Balance Sheet
- ► Profit & Loss Account
- ► Bills Payable Account

Question No: 25 (Marks: 1) - Please choose one

Which of the following is a selling expense?

- ► Interest on deposits
- ► Any tax/freight is paid on purchases
- ► General salaries paid to laborers
- ► **Tax & freight paid on sale**

Question No: 26 (Marks: 1) - Please choose one

Which of the following item will be shown on debit side of capital account of sole proprietor?

- ► Cash
- ► **Drawings**
- ► Debtors
- ► Profit

Question No: 27 (Marks: 1) - Please choose one

Identify the selling expenses of manufacturing concern with the help of given data.

Particulars	Rs.
Salesman's salary	70,000
Commission on sales	28,000
Carriage outward	10,000
Carriage inward	5,000

- ► Rs. 80,000
- ► Rs. 60,000
- ► Rs. 38,000
- ► **Rs. 1, 08,000**

Question No: 28 (Marks: 1) - Please choose one

The income statement of the Limited company is also known as:

- ► Manufacturing account
- ► **Profit and Loss account**
- ► Profit and Loss Appropriation account
- ► Current Account

Question No: 29 (Marks: 1) - Please choose one

Which of the following is the most important document of the company?

► **Memorandum of Association**
► Articles of Association
► Prospectus
► Annual Report

Question No: 30 (Marks: 1) - Please choose one

Which of the following is (are) **NOT** example(s) of distributable profit?

► None of the given options
► General reserve
► **Accumulated profit and loss (credit balance)**
► Revaluation reserves

Question No: 31 (Marks: 1) - Please choose one

Which of the following is a common way to evaluate a company's performance?

► Compare this year's performance of the company to a prior year's performance of the company.
► Compare the company's performance to the industry's performance.
► Compare the company's performance to the performance of a competing company.
► **All of the given options**

Question No: 32 (Marks: 1) - Please choose one

Current ratio may be increased by:

► **Overstating current Assets**
► Overstating current Liabilities
► Understating current Assets
► Understating current assets and overstating current liabilities

Question No: 33 (Marks: 1) - Please choose one

If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. B in distributable profit.

► Rs. 98,000
► **Rs. 1, 47,000**
► Rs. 2, 45,000
► Rs. 3, 43,000

Question No: 34 (Marks: 1) - Please choose one

Mr. B provided the following information at the end of the month:

Particulars	Rs.
Cash	100
Accounts Receivable	500
Accounts Payable	200
Bank Loans	1,000

Based on the information provided, what are the total assets of Mr. B?

- ► Rs.200
- ► **Rs. 600**
- ► Rs. 800
- ► Rs. 1,700

Question No: 35 (Marks: 1) - Please choose one

An overdraft will appear as:

- ► A debit balance in both the bank statement and the cash book
- ► A credit balance in the bank statement but as a debit balance in the cash book
- ► **A credit balance in the cash book but as a debit balance in the bank statement**
- ► A credit balance in both the bank statement and the cash book

Question No: 36 (Marks: 1) - Please choose one

When we close bad debt account, which of the following account is debited?

- ► Profit and loss account
- ► **Bad debt account**
- ► Debtor account
- ► Creditor account

Question No: 37 (Marks: 1) - Please choose one

Payment is made of a company's purchases on credit, which of the following is correct:

- ► Debit stock account and credit creditors account
- ► **Debit creditors account and credit cash account**
- ► Debit cash account and credit creditors account
- ► Debit stock account and credit cash account

Question No: 38 (Marks: 1) - Please choose one

Suppose a firm has 200 debtors, and each of them owes exactly Rs. 150 at the start of June. What is the total amount owed by all debtors?

- ► Rs. 2,000
- ► Rs. 3,000
- ► **Rs. 30,000**
- ► Rs. 150,000

Question No: 39 (Marks: 1) - Please choose one

The amount owed by debtors at the end of a month appears on the_____ side of the control account.

- ► Left side or debit
- ► Left side or credit
- ► Right side or debit
- ► **Right side or credit**

Question No: 40 (Marks: 1) - Please choose one

We usually allow the customer to deduct a certain amount from the invoice value for prompt payment. In doing so we are granting a:

- ► Commission

► Allowance
► **Discount**
► Rebate

Question No: 41 (Marks: 1) - Please choose one

Which of the following is decreased when an asset is converted into expense in adjustment?

► Revenue
► **Net income**
► Expense
► Liability

Question No: 42 (Marks: 1) - Please choose one

Which of the following is increased when an asset is converted into expense in adjustment?

► Revenue
► Net income
► **Expense**
► Liability

Question No: 43 (Marks: 1) - Please choose one

Accumulated depreciation is a _____ account?

► Fixed asset
► Current asset
► **Contra asset**
► Liability

Question No: 44 (Marks: 1) - Please choose one

Prepaid insurance will become an expense as the prepaid amount _____.

► Expires
► **Adjust**
► Paid
► Regulate

Question No: 45 (Marks: 1) - Please choose one

Adjusting costs are reported as:

► Revenues
► **Expenses**
► Assets
► Net Income

Question No: 46 (Marks: 1) - Please choose one

Insurance premiums paid in advance but not yet expired are reported in which of the following account?

► Insurance payable
► **Prepaid insurance**
► Advance payment account
► Insurance expense

Question No: 47 (Marks: 1) - Please choose one

Profit and loss sharing in partnership must be based on which of the following:

- ► Service to the partnership
- ► Capital contribution
- ► **Any profit-and-loss-sharing method partners desire**
- ► A stated fraction

Question No: 48 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on drawings of Mr. A is Rs.1,500 and of Mr. B is Rs.1,800. The net income for the year is Rs.85,000. What will be the profit share of Mr. B?

- ► Rs.42,350
- ► Rs.44,150
- ► Rs.41,600
- ► **Rs.40,850**

Question No: 49 (Marks: 1) - Please choose one

Which of the following is quoted company?

- ► Private Limited Company
- ► Public Limited Company
- ► **Listed company**
- ► Non Listed Company

Question No: 50 (Marks: 1) - Please choose one

For which of the following share premium can be utilized?

- ► To write off preliminary expenses
- ► To meet the expenses of issue of shares
- ► To issue bonus shares
- ► **All of the given options**

Question No: 51 (Marks: 1) - Please choose one

Which of the following can be utilized to meet the expenses of issue of shares?

- ► Reserves
- ► Debentures
- ► **Share premium**
- ► Term finance certificate

Question No: 52 (Marks: 1) - Please choose one

Which of the following capital is required for the registration of the company?

- ► Issued capital
- ► Subscribed capital
- ► **Authorized capital**
- ► Reserve capital

Question No: 53 (Marks: 1) - Please choose one

The financial statement that captures both the current operating result and the associated changes in the balance sheet is:

- ► Statement of retained earnings
- ► Statement of financial position

► **Statement of cash flows**
► Statement of changes in equity

Question No: 54 (Marks: 1) - Please choose one

Which of the following is measured by debt ratio?

► Short-term liquidity
► **Creditors' long term risk**
► Short-term risk of the company
► All of the given options

Question No: 55 (Marks: 3)

What do you know about the Profit and loss appropriation account in case of partnership?

Profit and loss appropriation account contains the information regarding the amount of profit distributed to the partner's current account.

Question No: 56 (Marks: 5)

Show the following assets at Written Down Value in Balance Sheet with complete working.

Particulars	Rs.
Plant & Machinery	53,000
Buildings	35,000
Tools & Equipment	8,650

Depreciation Rate:

- Plant & Machinery @ 10%
- Buildings @ 5%
- Tools& Equipment @ 15%

	Plant & Machinery	Buildings	Tools & Equipment	Total in Rs.
Cost	53,000	35,000	8,650	96,650
Depreciation	(5,300)	(1,750)	(1,297.5)	8,347.5
W.D.V	47,700	33,250	7,352.5	88,302.5

Question No: 57 (Marks: 5)

Briefly discuss the followings:

1. Issuance of shares at premium

Issuance of shares for an amount more than its face value is known issuance of shares at premium.

2. Cash flow statement

Cash flow statement is a part of financial statements; it contains the information regarding the cash generated by (used in) operating, investing and financing activities.

3. Debentures

Debentures are issued by the companies to raise finance. Normally, the carry a fixed rate of return.

4. Notes to the accounts

Notes to the accounts are a part of financial statements, which contains the detail about the Company, accounting policies used, critical judgment areas and detail of certain account heads of balance sheet and profit and loss account along with the detail of contingencies and commitments, if any.

Question No: 58 (Marks: 10)

What is the effect of given adjustments on Trading & Profit & Loss account and Balance Sheet?

a. Accrued Expenses or Outstanding Expenses

Accrued expenses or outstanding expenses are shown as a current liability in the Balance Sheet second effect goes to the expenses in the Trading & Profit and Loss account .

Double entry:

Expenses a/c
Accrued Expenses a/c

b. Prepaid Expenses or Unexpired Expenses

Prepaid expenses are shown as a current asset in the balance sheet and second effect goes to cash and bank account in the Balance Sheet.

Double entry:

Prepaid expenses a/c
Cash and Bank a/c

c. Accrued Revenue or Revenue Receivable

Accrued revenue is shown as a current asset in the balance sheet and second effect goes to revenue account in the Trading & Profit and Loss account.

Double entry:

Accrued revenue a/c
Revenue a/c

d. Unearned Revenue or Revenue Received in Advance

Unearned revenue is shown as a current liability in the Balance Sheet corresponding effect goes to cash and bank account in the balance Sheet.

Double entry:

Cash and Bank a/c
Unearned revenue a/c

e. Depreciation of Asset

Depreciation is shown as an expense in the Trading & Profit and Loss account and the corresponding effect goes to provision of depreciation in the balance sheet.

Double entry:

Depreciation expense a/c
Provision for depreciation a/c

Question No: 59 (Marks: 10)

Mr. A, Mr. B and Mr. C entered into partnership on 1st January 2007 contributing Rs.15, 000, Rs.10, 000 and Rs.18, 000. Mr. A invested Rs.6, 000 as additional capital on 1st May, Mr. B brought additional capital of Rs.4, 000 on 1st October and Mr. C brought additional capital of Rs.8, 000 on 1st October. They earned a profit of Rs.10, 500 during the year. Profits are to be shared in their capital ratio. Calculate partners share of profit and pass the necessary journal entry. Financial year ends on 31st December.

Contributed on	**Mr. A**	**Mr. B**	**Mr. C**	**Total in Rs.**
January 01, 07	15,000	10,000	18,000	43,000
May 01, 07	6,000	--	--	6,000
October 01, 07	--	4,000	--	4,000
October 01, 07	--	--	8,000	8,000
	21,000	**14,000**	**26,000**	**61,000**

Sharing percentage	**34.43%**	**22.95%**	**42.62%**	**100%**
Share of profit	**3,615**	**2,410**	**4,475**	**10,500**

	Dr (Rs.)	**Cr. (Rs.)**
Profit for the year	10,500	
Partner's account Mr. A Mr. B Mr. C		 3,615 2,410 4,475
	10,500	**10,500**

FINALTERM EXAMINATION

Question No: 1 (Marks: 1) - Please choose one

Double entry accounting system includes:

► Accrual accounting only
► Cash accounting only
► Both cash and accrual accounting
► None of the given options

Question No: 2 (Marks: 1) - Please choose one

What will be the effect on accounting equation, when payment is made to the creditor of the business?

► Increase in an asset, increase in owner's equity
► Increase in an asset, increase in a liability
► Decrease in an asset, decrease in owner's equity
► Decrease in an asset, decrease in a liability

Question No: 3 (Marks: 1) - Please choose one

Which of the following is **CORRECT** about the flow of recording a transaction?

► Occurrence of event – voucher—Journal—Ledger—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Journal – voucher —Ledger—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Ledger – voucher—Journal—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Trial Balance – voucher—Journal—Ledger—profit and loss account—Balance Sheet

Question No: 4 (Marks: 1) - Please choose one

An informal accounting statement that lists the ledger account balances at a point in time and compares the total of debit balances with the total of credit balances is known as:

► Income Statement
► Balance Sheet
► Trial Balance
► Cash Book

Question No: 5 (Marks: 1) - Please choose one

The unfavorable balance of Profit and Loss account should be:

► Added in liabilities
► Subtracted from current assets
► Subtracted from liabilities
► Subtracted from capital

Question No: 6 (Marks: 1) - Please choose one

Which of the following account will be credited, if business purchased a vehicle on cash?

► Vehicle account
► Cash account
► Business account

► Bank account

Question No: 7 (Marks: 1) - Please choose one

The total of all costs incurred to convert raw material into finished goods is known as:

► Prime cost
► Conversion cost
► Sunk cost
► Opportunity cost

Question No: 8 (Marks: 1) - Please choose one

A decrease in value of a fixed asset due to age, wear and tear is known as:

► Depreciation
► Accumulated Depreciation
► Appreciation
► Written Down Value

Question No: 9 (Marks: 1) - Please choose one

The cost of moving plant and machinery to a new site will be treated as:

► Revenue expense
► Capital expense
► Administrative expense
► Operating expense

Question No: 10 (Marks: 1) - Please choose one

Depreciation arises because of:

► Fall in the market value of an asset
► Fall in the value of money
► Physical wear and tear
► All of the given options

Question No: 11 (Marks: 1) - Please choose one

Which one of the following is **NOT** true about revaluation of fixed assets?

► Revaluation should be made after regular intervals
► Change in value should be permanent
► Only relevant asset should be revalued in the whole class of asset
► The profit or loss will be transferred to revaluation account

Question No: 12 (Marks: 1) - Please choose one

A Bank Reconciliation Statement is prepared to:

► Ascertain that the difference between the Cash Book balance and the Bank Statement balance has been accounted for

► Correct errors in the Cash Book or errors in the Bank Statement
► Amend the balance of the Bank Statement of the firm
► Amend the balance in the Cash Book of the firm

Question No: 13 (Marks: 1) - Please choose one

Bank Statement is a record of transactions between the bank and the holder of:

► A foreign currency account
► A current account
► A saving account
► All of the given options

Question No: 14 (Marks: 1) - Please choose one

Which one of the following transactions will cause the balance in Mr. Terry's Cash Book to be greater than his Bank Statement balance?

► A cheque is drawn but not yet presented at the bank for payment
► The bank has not yet notified to Mr. Terry about a dishonoured cheque
► A credit transfer into Terry's Bank Account
► A cheque payment of Rs.101 is recorded in the Cash Book as Rs.110

Question No: 15 (Marks: 1) - Please choose one

Which of the following option is **TRUE** about the characteristic(s) of Bad Debt?

► It is a definite loss to the business
► It is not shown in Balance Sheet
► No provision is necessary for it
► All of the given options

Question No: 16 (Marks: 1) - Please choose one

Which of the following account will be debited, when the bad debts are recovered?

► Bad debt recovered a/c
► Cash a/c
► Doubtful debts a/c
► Bad debts a/c

Question No: 17 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	3,600
Provision for doubtful debts (old)	6,000
Current year's provision (new)	1,500

► Rs. (5,100)
► Rs. 5,100
► Rs. (900)
► Rs. 900

Question No: 18 (Marks: 1) - Please choose one

Which of the following rectifying entry will be recorded, if sales to Mr. "A" of Rs.336 have been debited to Mr. "B" account?

- ► A's account (Dr.) and B's account (Cr.)
- ► B's account (Dr.) and A's account (Cr.)
- ► Sales account (Dr.) and B's account (cr.)
- ► B's account (Dr.) and Sales account (Cr.)

Question No: 19 (Marks: 1) - Please choose one

Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

- ► Bank charges
- ► An error on the Bank Statement
- ► An uncredited deposit
- ► An unpresented cheque

Question No: 20 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

- ► Rs. 600
- ► Rs. 1,600
- ► Rs. 2,000
- ► Rs. 2,600

Question No: 21 (Marks: 1) - Please choose one

Which one of the following is **TRUE** about provisions?

- ► It is necessary to prepare for showing true picture of balance sheet
- ► It is a reduction from assets
- ► It is prepared for specific purposes
- ► All of the given options

Question No: 22 (Marks: 1) - Please choose one

Which of the following is/are **TRUE** about the sole trader form of business?

- ► Sole traders do not need to consult accountants
- ► Sole traders must register the name of their business with the Registrar of Companies
- ► All of the given options
- ► A sole trader is liable to pay income tax on his/her earnings

Question No: 23 (Marks: 1) - Please choose one

Which of the following is **TRUE** about the treatment of insurance paid in advance Rs. 13,000?

► It will be treated as an other income in Profit & Loss Account
► It will be treated as a current asset in Balance Sheet
► It will be treated as a current liability in Balance Sheet
► It will be treated as an accrued expense in Balance Sheet

Question No: 24 (Marks: 1) - Please choose one

Rent receivable (given in trial balance) is an item of_____.

► Balance Sheet
► Profit & Loss Account
► Trading Account
► Both Balance Sheet and Profit & Loss Account

Question No: 25 (Marks: 1) - Please choose one

What will the effects on financial statements, if machinery is depreciated @ 10%?

► It will be treated as an expense in income statement only
► It will be subtracted from concerned asset only
► It will be treated as a current asset only
► It will be treated as an expense in income statement and subtracted from concerned assets in Balance Sheet

Question No: 26 (Marks: 1) - Please choose one

Which of the following is **TRUE** about a merchandising company?

► A merchandising company's business is to buy and sell products
► A merchandising company must use the perpetual system to account for merchandising inventory
► A merchandising company's business is to provide services
► A Sugar Mill is an example of a merchandising company

Question No: 27 (Marks: 1) - Please choose one

Identify the selling expenses of manufacturing concern with the help of given data.

Particulars	Rs.
Salesman’s salary	70,000
Commission on sales	28,000
Carriage outward	10,000
Carriage inward	5,000

► Rs. 80,000
► Rs. 60,000
► Rs. 38,000
► Rs. 1, 08,000

Question No: 28 (Marks: 1) - Please choose one

Which of the following statements is **NOT TRUE** about the partnership form of business?

► A partnership is a business run by two or more persons
► A partnership business is easy to set up
► Each partner is liable under the law for the actions of other partners
► In the absence of agreement, partners will be paid salaries

Question No: 29 (Marks: 1) - Please choose one

Which of the following account will be credited when interest on capital is charged against the distribution of profit?

- ► Interest account
- ► Partner's capital account
- ► Profit and Loss account
- ► Profit and loss appropriation account

Question No: 30 (Marks: 1) - Please choose one

When preparing a cash flow statement, which of the following would be classified as a financing activity?

- A new long-term loan taken out to finance the purchase of fixed assets
- Salaries paid
- Interest paid on a long-term bank loan
- The cost of purchasing a patent

Question No: 31 (Marks: 1) - Please choose one

When preparing cash flow statements, the repayments of a loan during the year should be included under which of the following heading?

- ► Operating activities
- ► Financing activities
- ► Investing activities
- ► None of the given options

Question No: 32 (Marks: 1) - Please choose one

An example of financing activities in the context of cash flow statement is:

- ► Capital expenditures on purchase of fixed assets
- ► Long-term deposit
- ► Financial charges paid
- ► Dividend paid

Question No: 33 (Marks: 1) - Please choose one

Which of the following business publishes the Financial Statements?

- ► Sole-Proprietorship
- ► Partnership
- ► Trust
- ► Public Limited Company

Question No: 34 (Marks: 1) - Please choose one

Which of the given Asset is **Not** included in the calculation acid test ratio?

- ► Stock
- ► Cash
- ► Debtors
- ► Bills Receivable

Question No: 35 (Marks: 1) - Please choose one

Which of the following ratio tells about “How a company would repays its loans”

- ► Mark up cover ratio
- ► Acid test ratio
- ► Current ratio
- ► Debt Equity ratio

Question No: 36 (Marks: 1) - Please choose one

	Rs.
Gross profit	50,000
Operating profit	42,000
Sales	250, 000
What is the amount of operating expenses	**?**

- ► Rs. 8,000
- ► Rs. 92,000
- ► Rs. 62,500
- ► Rs. 300,000

Question No: 37 (Marks: 1) - Please choose one

Debenture is also named as:

- ► Share
- ► Bond
- ► Equity
- ► Reserve

Question No: 38 (Marks: 1) - Please choose one

What is the treatment of Accumulated Depreciation in Balance Sheet?

- ► It may treated as a deficit
- ► It may treated as a surplus
- ► It may treated as a revenue
- ► None of the given options

Question No: 39 (Marks: 1) - Please choose one

An accounting system is used by a business to:

- ► Analyze transactions
- ► Handle routine book-keeping tasks
- ► Classify and summarize financial information
- ► All of the given options

Question No: 40 (Marks: 1) - Please choose one

Which one of the following vouchers is used to record the non-cash transactions?

- ► Journal Vouchers
- ► Receipt Vouchers
- ► Payment Vouchers

► Nominal Vouchers

Question No: 41 (Marks: 1) - Please choose one

What would be the value of 'cost of goods manufactured' if the total factory cost of the month is Rs. 6,000, opening work in process is Rs. 2,000 and the closing work in process is Rs. 2,500?

► Rs. 5,500
► Rs. 8,000
► Rs. 4,500
► Rs. 8,500

Question No: 42 (Marks: 1) - Please choose one

Particulars	Rs.
Direct materials costs	80,000
Direct labor costs	50,000
Manufacturing overhead costs	60,000
Prime cost	?

► Rs.130, 000
► Rs.110, 000
► Rs.140, 000
► Rs.190, 000

Question No: 43 (Marks: 1) - Please choose one

When we close bad debts account, which of the following account is credited?

► Profit and loss account
► Bad debt account
► Debtor account
► Provision for bad debt account

Question No: 44 (Marks: 1) - Please choose one

Which of the following statement is correct? If a company fails to record estimated bad debts expense,

► Net realizable value is understated
► Expenses are understated
► Revenues are understated
► Receivables are understated

Question No: 45 (Marks: 1) - Please choose one

In a partnership of Mr. A and Mr. B, the share of profit of Mr. A is Rs.75,375 and the share of profit of Mr. B is Rs. 25,125. What will be the ratio of their share?

► 1:2
► 2:3
► 3:2
► 3:1

Question No: 46 (Marks: 1) - Please choose one

Which of the following is the major benefit of a partnership over a sole proprietorship?

► Unlimited liability

► Single tax filing
► Difficult ownership resale
► Raising capital

Question No: 47 (Marks: 1) - Please choose one

Which of the following is used to convert accounting information from the cash basis of accounting to the accrual basis of accounting?

► Ledger
► Journal entries
► Adjusted entries
► Trial balance

Question No: 48 (Marks: 1) - Please choose one

Unexpired costs are reported as:

► Revenues
► Expenses
► Assets
► Income

Question No: 49 (Marks: 1) - Please choose one

The weekly or biweekly compensation received by hourly-paid employees is called:

► Salary
► Wages
► Income
► Profit

Question No: 50 (Marks: 1) - Please choose one

Income tax expense of Eden Corporation shows a debit balance of Rs.7,000 in its unadjusted trial balance and Rs.7,600 in adjusted trial balance. Which of the following account will be debited in adjusting entry?

► Income tax payable
► Prepaid income tax
► Income tax expense
► Income tax paid

Question No: 51 (Marks: 1) - Please choose one

Which of the following capital is offered to the general public?

► Issued capital
► Subscribed capital
► Authorized capital
► Reserve capital

Question No: 52 (Marks: 1) - Please choose one

Which of the following capital is taken up by the general public?

► Issued capital
► Subscribed capital
► Authorized capital
► Reserve capital

Question No: 53 (Marks: 1) - Please choose one

With reference to the statement of cash flows the transactions involving production and delivering goods or providing services must be classified as:

- ► Business activities
- ► Operating activities
- ► Financing activities
- ► Investing activities

Question No: 54 (Marks: 1) - Please choose one

According to the statement of cash flows following are the examples of investing activities except:

- ► Sales of machinery
- ► Capital invested by the owners
- ► Purchase of building for the business use
- ► Cash received from the disposal of equipment

Question No: 55 (Marks: 3)

How bad debts & provision for doubtful debts (new and old) are treated in profit and loss account.

Question No: 56 (Marks: 5)

Differentiate the following terms and also mention how these are treated in financial Statements.

- v Carriage inwards and carriage outwards
- v Returns inwards and returns outwards

Question No: 57 (Marks: 5)

Following information is extracted from the books of Abrar Ltd as on December 31st, 2007.

Particulars	Rs
Carriage inwards	8,000
Legal charges	6,500
Financial charges	223,500
Tax payable	30,000
Advances from customer	10,000
General reserve	40,000
Accumulated profit brought forward(credit balance)	95,000
Long term loans	100,000

Additional information

The authorized capital is Rs. 5,000,000 divided into 500,000 shares of Rs. 10 each. Issued and paid up capital 2500,000.

You are required to calculate Share holders equity

Question No: 58 (Marks: 10)

Write down the at least ten distinguishing features of a limited company which differentiate it from sole proprietor business

Question No: 59 (Marks: 10)

The following is the trial balance of Sikander's Photo Studio, Inc., dated December 31, 2007. The net income for the period is **Rs.36,000**. You are required to prepare Balance Sheet as on December 31, 2007.

Sikander's Photo Studio, Inc.
Trial balance
December 31, 2007

Cash	Rs.171,100	
Accounts receivable	9,400	
Prepaid studio rent	3,000	
Unexpired insurance	7,200	
Supplies	500	
Equipment	18,000	
Accumulated depreciation: equipment		Rs.7,200
Notes payable		10,000
Accounts payable		3,200
Salaries payable		4,000
Income tax payable		6,000
Unearned revenue		8,800
Capital stock		100,000
Retained earnings		34,000
Revenue earned		165,000
Salary expense	85,000	
Supply expense	3,900	
Rent expense	12,000	
Insurance expense	1,900	
Advertising expense	500	
Depreciation expense: equipment	1,800	
Interest expense	900	
Income taxes expense	23,000	
	338,200	**338,200**

FINALTERM EXAMINATION

Question No: 1 (Marks: 1) - Please choose one

Word "Credit" is derived from _____ language.

► Latin
► English
► French
► Chinese

Question No: 2 (Marks: 1) - Please choose one

What is the nature of an expense account?

► Debit
► Credit
► Revenue
► None of the given options

Question No: 3 (Marks: 1) - Please choose one

A summarized record of transactions related to individuals or things is called a/an _____.

► Account
► Voucher
► Journal
► Trial balance

Question No: 4 (Marks: 1) - Please choose one

In an account, if credit side < debit side then the balance is known as:

► Negative Balance
► Debit Balance
► Positive Balance
► Credit Balance

Question No: 5 (Marks: 1) - Please choose one

Which of the following organizations do **NOT** prepare Income & Expenditure account?

► Public limited companies
► Private limited companies
► Partnership firms
► All of the given options

Question No: 6 (Marks: 1) - Please choose one

Which of the following account will be credited in the books of XYZ Co. Ltd, if the business purchased a vehicle though cheque?

► Vehicle account
► Cash account
► Business account
► Bank account

Question No: 7 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 90,000 and operating expenses are Rs. 25,000 during the year. What would be the Net Profit?

► Rs. 5,000
► Rs. 25,000
► Rs. 55,000
► Rs. 60,000

Question No: 8 (Marks: 1) - Please choose one

Which of the following financial statement **DO NOT** show the financial health of a business at a specific date?

- ► Profit and loss account
- ► Balance sheet
- ► Statement of financial position
- ► All of the given options

Question No: 9 (Marks: 1) - Please choose one

The total of all costs incurred to convert raw material into finished goods is known as:

- ► Prime cost
- ► Conversion cost
- ► Sunk cost
- ► Opportunity cost

Question No: 10 (Marks: 1) - Please choose one

Which of the following particular is **NOT** included in the specimen of a Journal Voucher?

- ► Name of organization
- ► Bank receipt
- ► Debit amount
- ► Credit amount

Question No: 11 (Marks: 1) - Please choose one

Accountancy covers which of the following area(s):

- ► Book-keeping
- ► Accounting
- ► Auditing
- ► All of the given options

Question No: 12 (Marks: 1) - Please choose one

Depreciation arises because of:

- ► Fall in the market value of an asset
- ► Fall in the value of money
- ► Physical wear and tear
- ► All of the given options

Question No: 13 (Marks: 1) - Please choose one

Which of the following account will be debited, when the bad debts are recovered?

- ► Bad debt recovered a/c

► Cash a/c
► Doubtful debts a/c
► Bad debts a/c

Question No: 14 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

► Rs. 400
► Rs. 800
► Rs. 2,000
► Rs. 2,400

Question No: 15 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	3,600
Provision for doubtful debts (old)	6,000
Current year's provision (new)	1,500

► Rs. (5,100)
► Rs. 5,100
► Rs. (900)
► Rs. 900

Question No: 16 (Marks: 1) - Please choose one

On which of the following system control accounts are based?

► Double entry book keeping system
► Single entry book keeping system
► Cash accounting system
► All of the given options

Question No: 17 (Marks: 1) - Please choose one

Which of the following entry will be passed to record discount received in control account?

► Discount Received (Dr) and Creditors Control A/c (Cr)
► Discount Received (Dr) and Creditors A/c (Cr)
► Creditors Control A/c (Dr) and Discount Received (Cr)
► Creditors A/c (Dr) and Discount Received (Cr)

Question No: 18 (Marks: 1) - Please choose one

A receipt of cash Rs. 10,000 from Mr. Bilal is recorded as Rs. 1,000. What amount will be adjusted in rectifying entry?

► Rs. 1,000

► Rs. 9,000
► Rs. 10,000
► Rs. 11,000

Question No: 19 (Marks: 1) - Please choose one

Which of the following rectifying entry will be recorded, if sales to Mr. "A" of Rs.336 have been debited to Mr. "B" account?

► A's account (Dr.) and B's account (Cr.)
► B's account (Dr.) and A's account (Cr.)
► Sales account (Dr.) and B's account (cr.)
► B's account (Dr.) and Sales account (Cr.)

Question No: 20 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of Sale to Mr."A" Rs. 336 was not recorded at all?

► Only sales account
► Only A's account
► Only cash account
► Both sales account and A's account

Question No: 21 (Marks: 1) - Please choose one

Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

► Bank charges
► An error on the Bank Statement
► An uncredited deposit
► An unpresented cheque

Question No: 22 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

► Rs. 600
► Rs. 1,000
► Rs. 2,000
► Rs. 2,600

Question No: 23 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	700
Sundry Debtors (Given in trial balance)	44,800

If the Provision for doubtful debts has been increased by 5%, which amount of new provision will be shown in Profit & Loss Account?

► Rs. 2,240
► Rs. 2,425
► Rs. 1,925
► Rs. 3,025

Question No: 24 (Marks: 1) - Please choose one

The main objective of financial reporting is to provide:

► Essential information to internal users of financial reports.
► Useful economic information about the business to the external parties for sound financial decisions.
► Information to internal users about the cash position of the business.
► Information to the Securities Exchange Commission (SEC).

Question No: 25 (Marks: 1) - Please choose one

A financial statement that indicates the success or failure of a business, over a period of time is called:

► A cash flow statement
► A retained earnings statement
► An income statement
► A balance sheet

Question No: 26 (Marks: 1) - Please choose one

Which of the following is/are **NOT** shown in balance sheet of sole proprietor?

► Fixed assets
► Current liabilities
► Profit sharing ratio
► Long term assets

Question No: 27 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about the Accounts receivable?

► Accounts receivable arises when a company buys goods or services from another party on credit
► Accounts receivable is a miscellaneous category that may include loans to employees
► Accounts receivable are more formal than notes receivable
► Accounts receivable are often called trade receivables

Question No: 28 (Marks: 1) - Please choose one

Which of the following account will be debited when the interest on drawings is charged?

► Partner’s capital account
► Interest account
► Partner’s current account
► Profit & Loss account

Question No: 29 (Marks: 1) - Please choose one

In case of fixed capital accounts, other transactions such as Drawings and Profit etc. are recorded in a separate account that is called _____.

- ► Fixed Capital Account
- ► Current Account
- ► Fluctuating Capital Account
- ► Floating Capital Account

Question No: 30 (Marks: 1) - Please choose one

Which of the following clause/s are discussed in Memorandum of Association of Companies?

- ► Name of company
- ► Place of registered office of company
- ► Objective of the company
- ► All of the given options

Question No: 31 (Marks: 1) - Please choose one

Preliminary Expenses of the company may write off against:

- ► Share premium account
- ► Share holder account
- ► Debtors control account
- ► Creditor control account

Question No: 32 (Marks: 1) - Please choose one

What are the effects on financial statements, if provision for Income Tax to be made Rs. 12,000 is given in adjustment?

- ► It will be deducted in Income Statement only
- ► It will be treated as current liability in balance sheet only
- ► It will be treated as current asset in balance sheet only
- ► Both it will be deducted in income statement and it will be treated as current liability in balance sheet

Question No: 33 (Marks: 1) - Please choose one

Which of the following is **NOT** a cash inflow?

- ► Sale of fixed asset
- ► Issue of debentures
- ► Cash from business operation
- ► Purchase of fixed asset

Question No: 34 (Marks: 1) - Please choose one

Which of the following statement in **NOT TRUE** about the limited company form of business?

- ► The limited company form of business allows ownership of the business to be spread amongst many people
- ► Shareholders can appoint professionals
- ► Shareholders are personally liable for all the liabilities incurred by the business
- ► Regular filing of information about the affairs of the company is a legal requirement

Question No: 35 (Marks: 1) - Please choose one

If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. C in distributable profit.

- ► Rs. 98,000
- ► Rs. 1, 47,000
- ► Rs. 2, 45,000
- ► Rs. 3, 43,000

Question No: 36 (Marks: 1) - Please choose one

What is the treatment of Accumulated Depreciation in Balance Sheet?

- ► It may treated as a deficit
- ► It may treated as a surplus
- ► It may treated as a revenue
- ► None of the given options

Question No: 37 (Marks: 1) - Please choose one

According to the double entry system of book keeping, the investment of Rs.10, 000 in the business made by the owner will effect:

- ► Cash Account & Capital Account
- ► Cash Account & Expense Account
- ► Capital Account & Revenue Account
- ► Capital Account & Expense Account

Question No: 38 (Marks: 1) - Please choose one

The return of goods by a customer should be debited to:

- ► Customer’s account
- ► Sales return account
- ► Goods account
- ► Accounts receivable account

Question No: 39 (Marks: 1) - Please choose one

Expenditures incurred annually on renewal of patent are known as:

- ► Revenue Expenditures
- ► Capital Expenditures
- ► Deferred Expenditures
- ► None of the given options

Question No: 40 (Marks: 1) - Please choose one

Debts that are not collectible and worthless to the creditor are known as:

► Doubtful debts
► Bad debts
► Provision for doubtful debts
► Loss

Question No: 41 (Marks: 1) - Please choose one

ABC Company received discount on its credit purchases, which of the following will be debited while entering in journal?

► Cash
► Discount received
► Creditors
► Bank

Question No: 42 (Marks: 1) - Please choose one

The amount owed by debtors at the start of a month appears on the _____ side of the individual debtors account.

► Left side or credit
► Left side or debit
► Right side or debit
► Right side or credit

Question No: 43 (Marks: 1) - Please choose one

Ahmad Industries want to make payment to its supplier in the form of a pay order. The bank deducted Rs.160 as service charges without its knowledge. The error is known as:

► Error of commission
► Error of omission
► Error of original entry
► Error of principle

Question No: 44 (Marks: 1) - Please choose one

Which of the following accounts would never be reported in the income statement as an expense?

► Depreciation expense
► Income tax expense
► Interest expense
► Dividends expense

Question No: 45 (Marks: 1) - Please choose one

In the heading of financial statement, _____ is not required?

► Title of financial statement
► Name of the person who prepares financial statement
► Period for which financial statement is prepared
► Name of business entity

Question No: 46 (Marks: 1) - Please choose one

In a partnership of Mr. A and Mr. B, the share of profit of Mr. A is Rs.75,375 and the share of profit of Mr. B is Rs. 25,125. What will be the ratio of their share?

► 1:2
► 2:3
► 3:2

► 3:1

Question No: 47 (Marks: 1) - Please choose one

Which of the following is decreased when an asset is converted into expense in adjustment?

► Revenue
► Net income
► Expense
► Liability

Question No: 48 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,500 and markup on drawings of Mr. B is Rs.2,800. The net income for the year is Rs.95,000. What will be the amount of distributable profit?

► Rs.89,700
► Rs.94,700
► Rs.95,300
► Rs.100,300

Question No: 49 (Marks: 1) - Please choose one

How many members can subscribe their names in memorandum of association for registration of public limited company?

► 2
► 3
► 5
► 7

Question No: 50 (Marks: 1) - Please choose one

Which of the following is responsible to register the companies?

► State Bank of Pakistan
► Security and Exchange Commission of Pakistan
► Supreme Court
► Stock Exchange

Question No: 51 (Marks: 1) - Please choose one

The amount of share premium can be utilized except:

► To write off preliminary expenses
► To meet the expenses of issue of shares
► To distribute among the share holders
► To issue bonus shares

Question No: 52 (Marks: 1) - Please choose one

Which of the following capital is required for the registration of the company?

► Issued capital
► Subscribed capital
► Authorized capital
► Reserve capital

Question No: 53 (Marks: 1) - Please choose one

Which of the following items of balance sheet are useful in evaluating a company's liquidity?

- ► Current assets and other assets
- ► Current liabilities and current assets
- ► Current liabilities and plant and equipment
- ► Non current liabilities and other assets

Question No: 54 (Marks: 1) - Please choose one

The company ABC purchased an asset for Rs. 40,000, paying 30,000 in cash and issuing a long term note payable for remaining balance. The amount will be recorded in statement of cash flows as:

- ► Rs. 40,000 cash outflow as investing activity
- ► Rs. 30,000 cash outflow as investing activity
- ► Rs. 10,000 cash inflow as investing activity
- ► Rs. 70,000 cash inflow as investing activity

Question No: 55 (Marks: 3)

Why an organization is needed to prepare a cash flow statement.

Question No: 56 (Marks: 5)

Show the following assets at Written Down Value in Balance Sheet with complete working.

Particulars	Rs.
Plant & Machinery	53,000
Buildings	35,000
Tools & Equipment	8,650

Depreciation Rate:

- v Plant & Machinery @ 10%
- v Buildings @ 5%
- v Tools& Equipment @ 15%

Question No: 57 (Marks: 5)

Financial year decided by partnership agreement is 1st July to 30th June. Mr. Ali is partner and having a capital of Rs. 1,500,000 on July 1st 2007 and he introduced more capital on August 1st 2007 Rs. 10,000 on April 1st 2008, Rs.500,000 and on June 1st 2008 , Rs. 5,000. Mark up rate is 10% p.a.

Calculate mark up on Mr. Ali's capital for the year ending on 30th June 2008.

Question No: 58 (Marks: 10)

The following errors have been discovered in the book of a Business Concern:

1. Wage of Rs. 500 paid for the installation of plant debited to Wages Account.
2. Purchases of Office Equipment Rs. 2,000 were recorded as regular purchases of business.
3. Credit sale of Rs. 600 to Kareem was wrongly debited to Kamran.
4. Rs. 200 drawn by the proprietor was treated as Trade Expenses.
5. Rs. 300 received as a Commission was wrongly credited to Sales Account.

Required:

Pass the rectifying entries only.

Question No: 59 (Marks: 10)

Prepare Balance Sheet for the manufacturing concern as on 31st December, 2007 with the help of given data.

Particulars	Rs.
Capital	120,000
Trade Creditors	17,500
Bills payable	1,000
Sales	626,100
Raw material Stocks on 1-1-2007	30,000
Work in process on 1-1-2007	35,600
Finished Goods on 1-1-2007	35,400
Purchases	518,000
Carriage inwards	8,900
Discount Allowed	750
Debtors	16,000
Sales man commission	2,000
Office expenses	2,000
Carriage outwards	1,700
Bad debts	1,400
Salaries	13,000
Direct labor	1,800
FOH	1,100
Plant & Machinery	53,000
Buildings	35,000
Tools	8,650
Long term liability	4,902
Drawings	5,000

Stock as on 31st December, 2007

- Ø Raw material Stocks Rs. 31,000
- Ø Work in process Rs. 25,000
- Ø Finished Goods Rs. 53,900

Depreciation Rate:

- v Plant & Machinery is depreciated @ 10%
- v Buildings is depreciated @ 5%
- v Tools is depreciated @ 15%

Additional data

- v Reserve and bad debts is to be created at 5% on debtors.
- v Net Income for the year Rs. 75,000

FINALTERM EXAMINATION

Question No: 1 (Marks: 1) - Please choose one

Shares for which amount is paid by public are called __ ► **Paid up**

_____ shares.

► **Paid up**

► Authorized

► Bonus shares

► All are correct options

Question No: 2 (Marks: 1) - Please choose one

Which of the following is non- profit organization? ► **Trust**

► Sole proprietorship
► Partnership
► Limited company
► **Trust**

Question No: 3 (Marks: 1) - Please choose one

Commercial Accounting is based on: **Double entry book keeping**

► Single entry book keeping
► **Double entry book keeping**
► Both single and double entry book keeping
► Cash basis of book keeping

Question No: 4 (Marks: 1) - Please choose one

An Asset that is **NOT** physical in nature is called _____.

► **Intangible Asset**

► **Intangible Asset**
► Liquid Asset
► Current Asset
► Fixed Asset

Question No: 5 (Marks: 1) - Please choose one

Which of the following is **CORRECT** about the flow of recording a transaction? **Occurrence of event – voucher—Journal—Ledger—Trial Balance—profit and loss account—Balance Sheet**

► **Occurrence of event – voucher—Journal—Ledger—Trial Balance—profit and loss account—Balance Sheet**

► Occurrence of event—Journal – voucher —Ledger—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Ledger – voucher—Journal—Trial Balance—profit and loss account—Balance Sheet

► Occurrence of event—Trial Balance – voucher—Journal—Ledger—profit and loss account—Balance Sheet

Question No: 6 (Marks: 1) - Please choose one

Accounts Receivable & Inventory are the examples of: ► **Current assets**

► Liquid assets
► **Current assets**
► Fixed assets
► Capital assets

Question No: 7 (Marks: 1) - Please choose one

Which of the following account will be credited in the books of XYZ Co. Ltd, if the business purchased a vehicle though cheque? ► **Bank account**

► Vehicle account
► Cash account
► Business account
► **Bank account**

Question No: 8 (Marks: 1) - Please choose one

Which of the following account will be credited, if business bought goods on credit from Mr. Ali?

► **Purchases account**

► **Purchases account**
► Mr. Ali account
► Cash account
► Sales account

Question No: 9 (Marks: 1) - Please choose one

In which of the following condition a company will have positive working capital? ► **If current assets > current liabilities**

► **If current assets > current liabilities**
► If current Assets < current Liabilities
► If current assets = current liabilities
► If current assets ≤ current liabilities

Question No: 10 (Marks: 1) - Please choose one

WhicWhich of the following is an example of direct materials cost? ► **A piece of wood for the production of chair**

► Polish and finishing material for chair
► **A piece of wood for the production of chair**
► Production worker's wages
► Depreciation expenses

Question No: 11 (Marks: 1) - Please choose one

In cost of goods sold statement, the 'cost of material consumed' is equal to: ► **Opening raw material inventory + Purchases – Ending raw material inventory**

► **Opening raw material inventory + Purchases – Ending raw material inventory**
► Opening raw material inventory - Purchases + Ending raw material inventory
► Ending raw material inventory + Opening raw material inventory - Purchases
► Ending raw material inventory + Opening raw material inventory + Purchases

Question No: 12 (Marks: 1) - Please choose one

What would be the value of total factory cost, if the cost of material consumed during the month is Rs. 6,000, labor cost incurred is Rs. 2,000 and the factory over head cost is Rs. 2,500? ► **Rs. 10,500**

► Rs. 6,000
► Rs. 8,000
► Rs. 4,500
► **Rs. 10,500**

Question No: 13 (Marks: 1) - Please choose one

In cost of goods sold statement the 'cost of goods manufactured' is equal to: ► **Total factory cost + Opening work in process – Ending work in process**

► Total factory cost + Opening work in process + Ending work in process
► **Total factory cost + Opening work in process – Ending work in process**
► Total factory cost - Opening work in process + Ending work in process
► Ending work in process +Total factory cost – Opening work in process

Question No: 14 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 5,000
Sale price after 5 years	Rs.50,000
Book value of Asset after 5 years	**?**

► **Rs.25, 000**
► Rs. 75,000
► Rs. 15,000
► Rs. 1, 00,000

Question No: 15 (Marks: 1) - Please choose one

Particulars	**Rs.**
Opening stock of raw material	100,000
Closing stock of raw material	85,000
Purchases of raw material during the period	200, 000

Cost of Material Consumed	**?**

► Rs. 205,000
► **Rs. 215,000**
► Rs. 220,000
► Rs. 225,000

Question No: 16 (Marks: 1) - Please choose one

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

► Rs.260
► Rs.232
► Rs.284
► Rs.320

Question No: 17 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data: ► **Rs. 1, 10,000 liabilities**

Cash	Rs.1, 00, 000
Debtors	Rs.10, 000
Other Assets	Rs. 1,000
Owner's equity	Rs. 1, 000

► Rs. 12,000 liabilities
► Rs. 11,000 liabilities
► **Rs. 1, 10,000 liabilities**
► Rs. 1, 11,000 liabilities

Question No: 18 (Marks: 1) - Please choose one

Bank Statement is a record of transactions between the bank and the holder of: ► **All of the given options**

► A foreign currency account
► A current account
► A saving account
► **All of the given options**

Question No: 19 (Marks: 1) - Please choose one

Which of the following option is **TRUE** about the characteristic(s) of Bad Debt? ► **It is a definite loss to the business**

► **It is a definite loss to the business**
► It is not shown in Balance Sheet
► No provision is necessary for it
► All of the given options

Question No: 20 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet. ► **Rs. 800**

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

► Rs. 400
► **Rs. 800**
► Rs. 2,000
► Rs. 2,400

Question No: 21 (Marks: 1) - Please choose one

Which of the following entry is passed to record discount allowed in control account?

► **Discount Allowed (Dr) and Debtors Control A/c (Cr)**
► Discount Allowed (Dr) and Debtors A/c (Cr)
► Debtors Control A/c (Dr) and Discount Allowed (Cr)
► Debtors A/c (Dr) and Discount Allowed (Cr)

Question No: 22 (Marks: 1) - Please choose one

Which of the following entry will be recorded, if a cheque deposited is dishonored by bank? ► **Debtor's Account (Dr.) and Bank Account (Cr.)**

► Bank Account (Dr.) and Debtor's Account (Cr.)
► **Debtor's Account (Dr.) and Bank Account (Cr.)**
► Dishonored Cheque Account (Dr.) and Bank Account (Cr.)
► Creditor's Account (Dr.) and Bank Account (Cr.)

Question No: 23 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be deducted from Sundry debtors? **Rs. 2, 400**

► Rs. 3,600
► Rs. 4,000
► Rs. 1,600
► **Rs. 2, 400**

Question No: 24 (Marks: 1) - Please choose one

Which of the following is **CORRECT** if depreciation is given in trial balance? ► **It means depreciation has already been deducted from concerned asset account**

► All of the given options are correct

► **It means depreciation has already been deducted from concerned asset account**

► It will be shown as an expense in income statement only

► It will not be deducted from concerned asset in Balance Sheet

Question No: 25 (Marks: 1) - Please choose one

The persons who sign articles and memorandum of the company and contribute in the initial share capital of the company are called: ► **Shareholders**

► Subscribers

► **Shareholders**

► Managers

► Directors

Question No: 26 (Marks: 1) - Please choose one

Merchandise on hand at either the beginning or end of the reporting period is called_ ► **Inventory**

_____.

► Raw material

► Cost of good sold

► Work in process

► **Inventory**

Question No: 27 (Marks: 1) - Please choose one

In which of the following auditor's remuneration payable is shown? ► **In income statement under the administrative expense**

► In balance sheet under the head of current liabilities only

► In balance sheet under the head of current assets only

► **In income statement under the administrative expense** only

► In both balance sheet under the head of current liabilities and income statement under the administrative expense

Question No: 28 (Marks: 1) - Please choose one

In which of the following interim dividend is treated? ► **In profit and Loss account**

► **In profit and Loss account**

► In profit and Loss appropriation account

► On the asset side of the Balance Sheet

► In trading account

Question No: 29 (Marks: 1) - Please choose one

Which of the following documents contains rules and regulations for internal management of the company? ► **Articles of Association**

► Memorandum of Association
► **Articles of Association**
► Prospectus
► Statutory Declaration

Question No: 30 (Marks: 1) - Please choose one

Which of the following is **NOT** a cash inflow? ► **Purchase of fixed asset**

► Sale of fixed asset
► Issue of debentures
► Cash from business operation
► **Purchase of fixed asset**

Question No: 31 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as a cash outflow? ► **The payments for purchases made during the year**

► **The payments for purchases made during the year**
► A decrease in trade debtors over the course of an accounting period
► Money received as a result of issuing new shares
► Money received as result of selling fixed assets

Question No: 32 (Marks: 1) - Please choose one

Which of the following statement in **NOT TRUE** about the limited company form of business? ► **Shareholders are personally liable for all the liabilities incurred by the business**

► The limited company form of business allows ownership of the business to be spread amongst many people
► Shareholders can appoint professionals
► **Shareholders are personally liable for all the liabilities incurred by the business**
► Regular filing of information about the affairs of the company is a legal requirement

Question No: 33 (Marks: 1) - Please choose one

What does a credit balance in a partner's current account represent to a business?

► **Current Assets**

► **Current Assets**
► Current Liability
► Long-term liability
► Share of profit

Question No: 34 (Marks: 1) - Please choose one

A company declares a cash dividend to be paid to its stockholders next month. The effect of the transaction is to: ► **Increase assets and stockholders' equity.**

► Decrease assets and liabilities.

► Increase assets and stockholders' equity.

► Decrease assets and stockholders' equity.

► Increase liabilities and decrease stockholders' equity.

Question No: 35 (Marks: 1) - Please choose one

An uncollectible account receivable is also termed as: **► Asset**

► Asset

► Uncollectible asset

► Uncollectible accounts expense

► None of the given options

Question No: 36 (Marks: 1) - Please choose one

Suppose a firm has 100 debtors, and each of them owes exactly Rs.150 at the start of June. During June each debtor has paid-off exactly Rs.100 on their account, either by cash or by cheque. What should be the revised total debtors figure? **► Rs. 5,000**

► Rs. 5,000

► Rs. 9,850

► Rs. 25,000

► Rs. 14,900

Question No: 37 (Marks: 1) - Please choose one

Credit sales appear on the **_► Right side or credit _____** side of the Debtors control account.

► Left side or credit

► Left side or debit

► Right side or debit

► Right side or credit

Question No: 38 (Marks: 1) - Please choose one

The financial year of Atif Brothers & Co. is closed on June 30, 2009. Total cash sales are Rs. 150,000, credit sales are Rs. 180,000 and total receipts are Rs. 250,000. Credit receipts will be: **► Rs. 100,000**

► Rs. 150,000

► Rs. 100,000

► Rs. 220,000

► Rs. 280,000

Question No: 39 (Marks: 1) - Please choose one

Which of the following is usually not an accrued expense? **► Interest payable**

► Interest payable

► Wages payable

► Taxes payable

► Notes payable

Question No: 40 (Marks: 1) - Please choose one

Which of the following is **NOT** a financial statement? ► **Audit report**

► Balance sheet

► **Audit report**

► Income statement

► Cash flow statement

Question No: 41 (Marks: 1) - Please choose one

Sunset tours has Rs.3,500 account receivable from the Del Mar Rotary. On January 20, the Rotary makes a partial payment of Rs.2,100 to Sunset Tours. The journal entry made on January 20 by Sunset Tours to record this transaction includes:

► A debit to the Cash Received account of Rs. 3,500

► **A credit to the Accounts Receivable account of Rs.2,100**

► A debit to the Cash account of Rs.1,400

► A debit to the Accounts Receivables account of Rs.1,400

Question No: 42 (Marks: 1) - Please choose one

A and B entered in partnership in capital ratio of 2:3. They earned a profit of Rs.6,600 during the year. What will be the share of profit of Mr. A? ► **Rs.2,640**

► Rs.1,320

► **Rs.2,640**

► Rs.3,960

► Rs.6,600

Question No: 43 (Marks: 1) - Please choose one

Income tax expense of Eden Corporation shows a debit balance of Rs.7,000 in its unadjusted trial balance and Rs.7,600 in adjusted trial balance. Which of the following account will be debited in adjusting entry? ► **Income tax expense**

► Income tax payable

► Prepaid income tax

► **Income tax expense**

► Income tax paid

Question No: 44 (Marks: 1) - Please choose one

Sanders Construction sold a plant asset that originally cost Rs.80,000 for Rs.52,000 cash. If Sanders correctly reports a Rs.5,000 gain on this sale, the accumulated depreciation on the asset at the date of sale must have been: ► **Rs.33,000**

► Rs.23,000

► Rs.28,000

► **Rs.33,000**

► Some other amount

Question No: 45 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership invested Rs.65,000 and Rs.50,000 with an equal share in profit or loss. Markup on drawings of Mr. A is

Rs.1,000 and of Mr. B is Rs.1,500. The net income for the year is Rs.55,000. What will be the amount of distributable profit? ► **Rs.57,500**

► Rs.52,500
► Rs.56,000
► Rs.56,500
► **Rs.57,500**

Question No: 46 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,000 and markup on drawings of Mr. B is Rs.3,000. The net income for the year is Rs.50,000. What will be the profit share of Mr. A? ► **Rs.22,500**

► **Rs.22,500**
► Rs.25,500
► Rs.27,500
► Rs.55,000

Question No: 47 (Marks: 1) - Please choose one

Which of the following is quoted company? ► **Listed company**

► Private Limited Company
► Public Limited Company
► **Listed company**
► Non Listed Company

Question No: 48 (Marks: 1) - Please choose one

Which of the following can be utilized to issue bonus shares? ► **Share premium**

► Reserves
► Debentures
► **Share premium**
► Term finance certificate

Question No: 49 (Marks: 1) - Please choose one

Which of the following can be utilized to set off any loss on revaluation? ► **Revaluation reserve**

► Capital reserve
► General reserve
► **Revaluation reserve**
► None of the given options

Question No: 50 (Marks: 1) - Please choose one

Which of the following capital is required for the registration of the company? ► **Authorized capital**

► Issued capital
► Subscribed capital
► **Authorized capital**
► Reserve capital

Question No: 51 (Marks: 1) - Please choose one

Which of the following capital is taken up by the general public? ► **Issued capital**

► **Issued capital**
► Subscribed capital
► Authorized capital
► Reserve capital

Question No: 52 (Marks: 1) - Please choose one

According to the statement of cash flows following are the examples of investing activities except: ► **Capital invested by the owners**

► Sales of machinery
► **Capital invested by the owners**
► Purchase of building for the business use
► Cash received from the disposal of equipment

Question No: 53 (Marks: 1) - Please choose one

The financial statement that captures both the current operating result and the associated changes in the balance sheet is:

► Statement of retained earnings
► **Statement of financial position**
► Statement of cash flows
► Statement of changes in equity

Question No: 54 (Marks: 1) - Please choose one

In statement of cash flows, all of the following items are considered as financing activity, except: ► **Payment made for short term debts**

► Cash received from issuance of shares
► Cash received from issuance of bonds
► **Payment made for short term debts**
► Collections on loans

Question No: 55 (Marks: 3)

Mr. Hassan is a partner in a partnership firm. His capital on July 1, 2001 was Rs. 400,000. He invested further capital of Rs. 150,000 on March 01, 2002. Markup rate is @6%p.a. The financial year of such a business is from 1st July to 30th June.
Required: You are required to calculate his markup on Capital at the end of 30th June 2002.

400000x6/100=2400
400000

Question No: 56 (Marks: 5)

What do you mean by "Bad Debts" and "Doubtful Debts"? Distinguish between these.
Ans: **Bad Debts**

when we are going to sell the products on credit so our business take risk that there are some customer in market that they will never pay for stock sold to them.So,such situation in which the amount which is due to the debetor are call bad debts
This is a loss sustained loss for business due to risk. It is recorded in Profit and Loss Account in the period in which it is happen.

Doubtful Debts
A doubtful debt is a debt, which the business considers may not be paid

Question No: 57 (Marks: 5)

c. In trial balance at June 30, 2007 10% debentures are shown at Rs.75,000 and mark up on debentures are shown at Rs.3,750. Six months debenture mark up is to be accrued. What will be the amount of total mark up on debentures show in profit and loss account?

d. From the following information calculate cost of goods sold.

Stock opening balance	Rs.56,950
Purchases	175,750
Stock closing balance	65,020
Carriage inward	5,200
Sales	245,500

Opening stock : Rs.56,950
Add bpurchase: 175,750
Add Carriage inward : 5,200
Less Stock closing balance: (65020)

Cost of goods sold = Rs 172,880

Question No: 58 (Marks: 10)

Prepare Bank Reconciliation Statement as on 31st March 2009 with the help of given data.

	Particulars	**Rs.**
1	Balance as per Cash Book (Dr.)	180,000
2	Cheques paid into Bank in March 2009 but credited by the bank in April 2009	7,900 4,500 1,300
3	Cheques issued in March 2009 but cashed in April 2009	11,000 5,800
4	Cheques entered in the Cash Book in March 2009 but paid into bank in April 2009	1,000

5	Interest allowed by the bank	2,500
6	Interest charged by the bank	500

S.No	Narration / Particulars	Withdrawals Amountnt	Deposits Amount			Balance Dr/(Cr)
	Balance as per Cash Book (Dr.)					180,000
						7900
						4500
						1300

Question No: 59 (Marks: 10)

Listed below are selected items from the financial statements of ABC Mfg. Co. for the year ended December 31, 2007.

Note payable to Bank Al-Falah	Rs.500,000
Income taxes payable	40,000
Mortgage note payable	750,000
Accrued interest on mortgage note payable	5,000
Trade accounts payable	250,000
Unearned revenue	15,000
Accrued expenses and payroll taxes	60,000
Debenture	500,000

Other information:

4. The note payable owed to Bank Al-Falah is due in 60 days. ABC Mfg. Co. has arranged with this bank to renew the note for an additional 24 months.
5. The mortgage requires payment of Rs.6,000 per month. An amortization table shows that its balance will be paid down to Rs.739,000 by December 31, 2008.
6. Debenture of Rs.150,000 is due in 180 days.

Instructions:

Using the information, prepare the current liabilities and long-term liabilities sections of a classified balance sheet at December 31, 2007.

FINALTERM EXAMINATION

Question No: 1 (Marks: 1) - Please choose one

We can say that the business is in profit, when:

- ► Assets exceed Expenditure
- ► Assets exceed Liabilities
- ► Income exceeds Expenditure
- ► Income exceeds Liabilities

Question No: 2 (Marks: 1) - Please choose one

Term "Credit" means_____ by the business.

- ► Receiving of benefits
- ► It has no effect on business
- ► Providing of benefits
- ► It depends upon items

Question No: 3 (Marks: 1) - Please choose one

According to the double entry system of accounting, an account that obtains benefit is:

- ► Debit
- ► Credit
- ► Income
- ► No need to show as accounting record

Question No: 4 (Marks: 1) - Please choose one

When a Liability is reduced or decreased, it is recorded on the:

- ► Right or debit side of the account
- ► Left or debit side of the account
- ► Left or credit side of the account
- ► Right or credit side of the account

Question No: 5 (Marks: 1) - Please choose one

When Capital is increased by an amount, it is recorded on the:

- ► Left or credit side of the account
- ► Right or debit side of the account
- ► Left or debit side of the account
- ► Right or credit side of the account

Question No: 6 (Marks: 1) - Please choose one

Bank book is part of:

- ► Voucher
- ► General Journal
- ► General Ledger

► Trial Balance

Question No: 7 (Marks: 1) - Please choose one

What type of expenses are paid out of Gross Profit?

► Selling Expenses
► General Expenses
► Financial Expenses
► All of the given options

Question No: 8 (Marks: 1) - Please choose one

Which of the following shows summary of a company's financial position at a specific date?

► Profit & Loss Account
► Cash Flow Statement
► Balance Sheet
► Income & Expenditure Account

Question No: 9 (Marks: 1) - Please choose one

Which of the following is **NOT** an example of intangible assets?

► Franchise rights
► Goodwill
► Patents
► Land

Question No: 10 (Marks: 1) - Please choose one

Which of the following is an example of business liability?

► Land
► Building
► Cash
► Capital

Question No: 11 (Marks: 1) - Please choose one

The unfavorable balance of Profit and Loss account should be:

► Added in liabilities
► Subtracted from current assets
► Subtracted from liabilities
► Subtracted from capital

Question No: 12 (Marks: 1) - Please choose one

Which of the following account will be credited, if business bought goods on credit from Mr. Ali?

► Purchases account
► Mr. Ali account

► Cash account
► Sales account

Question No: 13 (Marks: 1) - Please choose one

Interest on loan paid by business is an example of :

► Deferred expense
► Revenue expense
► Capital expense
► None of the given options

Question No: 14 (Marks: 1) - Please choose one

The allocation of the cost of a tangible plant asset to expense in the periods, in which services are received from the asset, is termed as:

► Appreciation
► Depreciation
► Fluctuation
► None of the given options

Question No: 15 (Marks: 1) - Please choose one

Which of the following is **NOT** a function of bank reconciliation statement?

► To reconcile the difference between the cash book and the bank statement
► To check for errors in balance sheet
► To update omitted entries into the cash book
► To update omitted entries into the bank statement

Question No: 16 (Marks: 1) - Please choose one

Which of the following entry will be recorded when the Bad Debts are recovered?

► Cash account (Dr.) & Bad Debts recovered account (Cr.)
► Accounts Receivable account (Dr.) & Bad Debts recovered account (Cr.)
► Bad debts recovered account (Dr.) and Profit & Loss account (Cr.)
► Provision for doubtful debts account (Dr.) & Cash account (Cr.)

Question No: 17 (Marks: 1) - Please choose one

Which of the following subsidiary book(s) is (are) maintained for debtors control account?

► Sales Day Book
► Sales Return
► Debtors Ledger
► All of the given options

Question No: 18 (Marks: 1) - Please choose one

Sales are calculated by adding:

► Cash sales and cash received from debtors
► Credit sales and cash received from debtors

► Cash sales and credit sales
► Cash ales and credit purchases

Question No: 19 (Marks: 1) - Please choose one

Which of the following item will be shown on debit side of debtors account?

► Discount received
► Return inwards
► Discount allowed
► Credit sales

Question No: 20 (Marks: 1) - Please choose one

Goods purchased from "Mr. A" for Rs. 2,000 passed through the sales book. The rectification of error will result in:

► Increase of gross profit
► Decrease of gross profit
► Remains constant and no effect on net profit
► There is no relation between goods purchased and gross profit

Question No: 21 (Marks: 1) - Please choose one

Goods of Rs.1,000 purchased from Mr. "A" were recorded in sales book, the rectification of this error will:

► Increase the gross profit
► Reduce the gross profit
► Have no effect on gross Profit
► None of the given options

Question No: 22 (Marks: 1) - Please choose one

Which of the following account will be credited when a typewriter is sold that has been used in the office?

► Cash Account
► Sales Account
► Purchase Account
► Office Equipment Account

Question No: 23 (Marks: 1) - Please choose one

When one or both aspects of a transaction are recorded in the wrong class or category of account, this is called:

► Error of principle
► Error of omission
► Error of commission
► Error of original entry

Question No: 24 (Marks: 1) - Please choose one

Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

► Bank charges

► An error on the Bank Statement
► An uncredited deposit
► An unpresented cheque

Question No: 25 (Marks: 1) - Please choose one

It is supposed that on 31st December, 2007, the sundry debtors are amounted to Rs. 40,000. On the basis of past experience, it is estimated that 10% of the sundry debtors are doubtful. Actual bad debts are Rs. 1600. What amount of new provision for doubtful debts will be credited in profit & loss account

► Rs. 3,600
► Rs. 4,000
► Rs. 1,600
► Rs. 2, 400

Question No: 26 (Marks: 1) - Please choose one

Which of the following is an example of operating expense?

► Purchasing operating equipment
► Purchasing cleaning services
► Purchasing an investment in another company
► Purchasing a computer for the accounting office

Question No: 27 (Marks: 1) - Please choose one

Which of the following would **NOT** be considered as a component of 'cost' of stock?

► Salaries of selling staff
► Transportation inward costs
► Import duties
► Purchase price

Question No: 28 (Marks: 1) - Please choose one

Which of the following will be debited, if cash is drawn by Proprietor?

► Proprietor’s drawings
► Proprietor’s cash
► Proprietor’s capital
► Proprietor’s income

Question No: 29 (Marks: 1) - Please choose one

Which of the following is **TRUE** about the treatment of insurance paid in advance Rs. 13,000?

► It will be treated as an other income in Profit & Loss Account
► It will be treated as a current asset in Balance Sheet
► It will be treated as a current liability in Balance Sheet
► It will be treated as an accrued expense in Balance Sheet

Question No: 30 (Marks: 1) - Please choose one

When closing stock is given in trial balance, then it will effect:

► Trading account only
► Balance sheet only
► Owner's equity only
► Both Trading account and Balance sheet

Question No: 31 (Marks: 1) - Please choose one

Fixed Assets (WDV) + Working Capital =?

► Total assets employed
► Total liabilities
► Total assets
► Current assets

Question No: 32 (Marks: 1) - Please choose one

Current accounts of the partners should be opened when the capitals are:

► Fixed
► Fluctuating
► Floating
► Normal

Question No: 33 (Marks: 1) - Please choose one

Which of the following is (are) type(s) of Public Limited Companies?

► Listed company
► Non listed company
► Private limited company
► Both Listed Company and non listed company

Question No: 34 (Marks: 1) - Please choose one

The charter of a company which defines the limitations and powers of the company is called:

► The memorandum of association
► Articles of association
► Statutory report
► Certificate of commencement

Question No: 35 (Marks: 1) - Please choose one

Merchandise on hand at either the beginning or end of the reporting period is called_____.

► Raw material
► Cost of good sold
► Work in process
► Inventory

Question No: 36 (Marks: 1) - Please choose one

The balance sheet reported a beginning balance of Rs. 20,000 in Accounts Receivable and an ending balance of Rs. 15,000. Credit Sales of Rs. 200,000 were made during the year. Using this information, compute cash collected from customers.

► Rs. 205,000
► Rs. 215,000

► Rs. 195,000
► Rs. 200,000

Question No: 37 (Marks: 1) - Please choose one

	Rs.
Gross profit	50,000
Operating profit	42,000
Sales	250, 000
What is the amount of operating expenses	**?**

► Rs. 8,000
► Rs. 92,000
► Rs. 62,500
► Rs. 300,000

Question No: 38 (Marks: 1) - Please choose one

Particulars	**Rs.**
Debentures	1, 50, 000
Equity Capital	2, 00,000
General Reserve	90, 000
Accumulated profit	60,000
What is debt equity ratio	**?**

► 15: 20 (or 3:4)
► 15:24 (or 5: 8)
► 15:29
► 15:35 (or 3: 7)

Question No: 39 (Marks: 1) - Please choose one

A company declares a cash dividend to be paid to its stockholders next month. The effect of the transaction is to:

► Decrease assets and liabilities.
► Increase assets and stockholders' equity.
► Decrease assets and stockholders' equity.
► Increase liabilities and decrease stockholders' equity.

Question No: 40 (Marks: 1) - Please choose one

Particulars	**Rs.**
Direct materials costs	80,000
Direct labor costs	50,000
Manufacturing overhead costs	60,000
Prime cost	**?**

► Rs.130, 000
► Rs.110, 000
► Rs.140, 000
► Rs.190, 000

Question No: 41 (Marks: 1) - Please choose one

What would be the value of conversion cost, if the cost of material consumed during the month is Rs. 5,000, labor cost incurred is Rs. 2,000 and the factory over head cost is Rs. 1,000?

- ► Rs. 3,000
- ► Rs. 5,000
- ► Rs. 7,000
- ► Rs. 8,000

Question No: 42 (Marks: 1) - Please choose one

The amount owed by debtors at the end of a month appears on the_____ side of the control account.

- ► Left side or debit
- ► Left side or credit
- ► Right side or debit
- ► Right side or credit

Question No: 43 (Marks: 1) - Please choose one

Which of the following is correct for an account has debit balance?

- ► The amount of the debits exceeds the amount of the credits
- ► There are more entries on the debit side than on the credit side
- ► Its normal balance is debit without regard to the amounts on the debit side
- ► The last entry of the accounting period was posted on the debit side

Question No: 44 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal share in profit or loss. The agreement provides that Mr. A will receive Rs.10,000 and Mr. B will receive Rs.8,000 as salary allowance. The net income for the year is Rs.85,000. What will be the total share of Mr. A?

- ► Rs.52,500
- ► Rs.42,500
- ► Rs.43,500
- ► Rs.50,500

Question No: 45 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership invested Rs.50,000 and Rs.65,000 with an equal share in profit or loss. Markup on drawings of Mr. A is Rs.1,500 and of Mr. B is Rs.1,800. The net income for the year is Rs.85,000. What will be the profit share of Mr. B?

- ► Rs.42,350
- ► Rs.44,150
- ► Rs.41,600
- ► Rs.40,850

Question No: 46 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,500 and markup on drawings of Mr. B is Rs.2,800. The net income for the year is Rs.95,000. What will be the amount of distributable profit?

- ► Rs.89,700
- ► Rs.94,700
- ► Rs.95,300
- ► Rs.100,300

Question No: 47 (Marks: 1) - Please choose one

Which of the following can be distributed among the share holders?

- ► Capital reserve
- ► General reserve
- ► Revaluation reserve
- ► All of the given options

Question No: 48 (Marks: 1) - Please choose one

Which of the following capital is taken up by the general public?

- ► Issued capital
- ► Subscribed capital
- ► Authorized capital
- ► Reserve capital

Question No: 49 (Marks: 1) - Please choose one

All of the following have an effect on 'operating activities' while preparing the statement of cash flows except:

- ► Provision for doubtful debts
- ► Gain or loss on currency exchange rate
- ► Depreciation charged on fixed asset
- ► Amount received for disposal of a fixed asset

Question No: 50 (Marks: 1) - Please choose one

Primary purpose of the cash flows statement is to provide the information about:

- ► Errors or discrepancies between cash book and income statement
- ► Receipt and payment of cash in the period
- ► Non cash adjustment that effect the income statement
- ► Cash paid to the customers and creditors of the business

Question No: 51 (Marks: 1) - Please choose one

Which of the following financial statement is helpful for the investors and creditors to assess the cash and non cash aspects of operating, investing and financing transactions on an entity's financial position?

- ► Balance Sheet
- ► Income Statement
- ► Statement of cash flows
- ► Statement of changes in equity

Question No: 52 (Marks: 1) - Please choose one

According to the statement of cash flows following are the examples of investing activities except:

- ► Sales of machinery
- ► Capital invested by the owners
- ► Purchase of building for the business use
- ► Cash received from the disposal of equipment

Question No: 53 (Marks: 1) - Please choose one

Which of the following items of balance sheet are useful in evaluating a company's liquidity?

► Current assets and other assets
► Current liabilities and current assets
► Current liabilities and plant and equipment
► Non current liabilities and other assets

Question No: 54 (Marks: 1) - Please choose one

Which of the following is measured by debt ratio?

► Short-term liquidity
► Creditors' long term risk
► Short-term risk of the company
► All of the given options

Question No: 55 (Marks: 3)

If the capitals of the partners are fixed, Pass Journal Entries for the following:

- Drawings made by partner
- Excess drawn amount is returned by partner
- Profit distribution among partner

Partner's Current A/c Dr.
Cash/Bank A/c Cr.

Cash/Bank Dr.
Partner's Current A/c Cr.

Profit & Loss A/c Dr.
Partner's Current A/c Cr.

Question No: 56 (Marks: 5)

ABC Company purchased goods of Rs.150,000 on credit from which goods of Rs.20,000 were defected and returned. Company received 2% discount at the time of payment from the supplier.

Required:

- What will be the amount of discount received by the company?
- Also show the journal entries

Purchases A/c 150,000
Creditor A/c 150,000
Goods are being purchased

Creditor A/c 20,000
Purchases A/c 20,000
Goods returned to supplier
Creditor A/c 130,000
Discount Received A/c 2600
Cash/Bank A/c 127400
Payment is being made to creditor and 2% discount is received.

Question No: 57 (Marks: 5)

Why are receipts and payment of interest classified as operating activities?

Question No: 58 (Marks: 10)

On 01-01-2007, the provision for doubtful debts a/c stood at Rs. 12,000 (credit balance). In 2007, the bad debts are amounted to Rs. 10,000. The debtors on 31-12-2007 are amounted to Rs. 3, 20,000 and a provision for doubtful debt to be maintained @ 5%.

Required:

Show Journal entries and also show how the items will appear in Profit and Loss account and Balance sheet. (Show complete working where it is necessary)

Question No: 59 (Marks: 10)

The accounting staff of ABC, Inc., has assembled the following information for the year ended December 31, 2007:

Cash and cash equivalents, Jan. 1	Rs.35,800
Cash and cash equivalents, Dec. 31	74,800
Cash paid to acquire plant assets	21,000
Proceeds from short-term borrowings	10,000
Loan made to borrowers	5,000
Collection on loans (excluding interest)	4,000
Interest and dividends received	27,000
Cash received from customers	795,000
Proceeds from sale of plant assets	9,000
Dividends paid	55,000
Cash paid to suppliers and employees	635,000
Interest paid	19,000
Income taxes paid	71,000

Using this information, prepare a statement of cash flows. Include a proper heading for the financial statement, and classify the given information into the categories of operating, investing and financing activities.

FINALTERM EXAMINATION

Question No: 1 (Marks: 1) - Please choose one

Shares for which amount is paid by public are called _____ shares.

- ► Paid up
- ► Authorized
- ► Bonus shares
- ► All are correct options

Question No: 2 (Marks: 1) - Please choose one

If a business purchases machinery for Rs. 30,000 on 31st January 2008 having life of 10 years, this expense will be realized _____ under the concept of accrual accounting.

► For the year 2008 only
► For the last day of 10th year only
► Over 10 years
► Nothing can be said about it

Question No: 3 (Marks: 1) - Please choose one

What is the nature of an expense account?

► Debit
► Credit
► Revenue
► None of the given options

Question No: 4 (Marks: 1) - Please choose one

A summarized record of transactions related to individuals or things is called a/an _____.

► Account
► Voucher
► Journal
► Trial balance

Question No: 5 (Marks: 1) - Please choose one

Which one of the following is **NOT** prepared by Non profit organizations?

► Profit & Loss account
► Income & Expenditure account
► Receipts & Payments account
► Balance Sheet

Question No: 6 (Marks: 1) - Please choose one

Which of the following organizations prepare Income & Expenditure account?

► Public libraries
► NGOs
► Labor unions
► All of the given options

Question No: 7 (Marks: 1) - Please choose one

The favorable balance of Profit and Loss account should be:

► Added in liabilities
► Subtracted from current assets
► Subtracted from liabilities
► Added in capital

Question No: 8 (Marks: 1) - Please choose one

Which of the following entry will be recorded in the books of accounts for the goods returned to Mr. 'A'?

► Purchases return account (Dr) and Trading account (Cr)
► Mr.” A”/ creditor account (Dr) and purchases return account (Cr)
► Purchases return account (Dr) and Mr.” A” / creditor account (Cr)
► Mr.” A”/ creditor account (Dr) and Profit & Loss account (Cr)

Question No: 9 (Marks: 1) - Please choose one

Which of the following account will be credited, if business bought goods on credit from Mr. Ali?

► Purchases account
► Mr. Ali account
► Cash account
► Sales account

Question No: 10 (Marks: 1) - Please choose one

If the cost of sales is Rs.1,00,000, sales are Rs. 300,000 and operating expenses Rs. 200,000 during the year. What would be the Gross Profit?

► Rs. 5,000
► Rs. 1, 00,000
► Rs.1, 05,000
► Rs. 2, 00,000

Question No: 11 (Marks: 1) - Please choose one

Partially completed products that are not yet ready for sale are known as:

► Raw material
► Work in process
► Finished goods
► Closing stock

Question No: 12 (Marks: 1) - Please choose one

In the cost of goods sold statement, Cost of direct material consumed + Direct labor=?

► Conversion cost
► Prime cost
► Total factory cost
► Cost of goods manufactured

Question No: 13 (Marks: 1) - Please choose one

The Primary objective of providing depreciation is:

► To calculate true profit
► To show the asset on market value
► To reduce tax Burdon

► To provide funds for replacement

Question No: 14 (Marks: 1) - Please choose one

Under the reducing balance method of depreciation:

► Amount of depreciation increases every year
► Amount of depreciation remains constant for every year
► Amount of depreciation decreases every year
► None of the given options

Question No: 15 (Marks: 1) - Please choose one

Particulars	Rs.
Opening written down value of machine	1,00,000
Cost of new machine purchased during the year	50,000
Depreciation during the year	21,000
Closing written down value (WDV)	?

► Rs. 1, 29,000
► Rs. 1, 50,000
► Rs. 1, 21,000
► Rs. 71,000

Question No: 16 (Marks: 1) - Please choose one

In which of the following condition(s) **DEBT** is regarded as **BAD**.

► Bankruptcy of the debtor
► Disappearance of debtor's business
► Failure of repeated attempt to collect the debt
► All of the given options

Question No: 17 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	3,600
Provision for doubtful debts (old)	6,000
Current year's provision (new)	1,500

► Rs. (5,100)
► Rs. 5,100
► Rs. (900)
► Rs. 900

Question No: 18 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200

Provision is created on Debtors at 5%

Requirement: Identify the Total amount which will deduct from Sundry debtors.

- ► Rs. 460
- ► Rs. 2,400
- ► Rs. 1,540
- ► Rs. 3,940

Question No: 19 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of carriage charges, paid for a new plant purchased mistakenly debited to carriage account?

- ► Plant account
- ► Carriage account
- ► Both plant account and carriage account
- ► Trading account

Question No: 20 (Marks: 1) - Please choose one

_____ are committed in those cases where proper distinction between revenue and capital items is not made.

- ► Error of principle
- ► Error of omission
- ► Error of commission
- ► Error of original entry

Question No: 21 (Marks: 1) - Please choose one

A receipt of cash Rs. 10,000 from Mr. Bilal is recorded as Rs. 1,000. What amount will be adjusted in rectifying entry?

- ► Rs. 1,000
- ► Rs. 9,000
- ► Rs. 10,000
- ► Rs. 11,000

Question No: 22 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

- ► Rs. 600
- ► Rs. 1,600
- ► Rs. 2,000
- ► Rs. 2,600

Question No: 23 (Marks: 1) - Please choose one

The main objective of financial reporting is to provide:

► Essential information to internal users of financial reports.
► Useful economic information about the business to the external parties for sound financial decisions.
► Information to internal users about the cash position of the business.
► Information to the Securities Exchange Commission (SEC).

Question No: 24 (Marks: 1) - Please choose one

Which of the following journal entry will be recorded, if cash is drawn by a Proprietor?

► Proprietor's drawings a/c (Dr.) and Cash a/c (Cr.)
► Cash a/c (Dr.) and Proprietor's drawings a/c (Cr.)
► Proprietor's Capital (Dr.) and Proprietor's drawings a/c (Cr.)
► Proprietor's drawings (Dr.) and Proprietor's Capital a/c (Cr.)

Question No: 25 (Marks: 1) - Please choose one

Which of the following item will be shown on debit side of capital account of sole proprietor?

► Cash
► Drawings
► Debtors
► Profit

Question No: 26 (Marks: 1) - Please choose one

When closing stock is given in trial balance, then it will effect:

► Trading account only
► Balance sheet only
► Owner's equity only
► Both Trading account and Balance sheet

Question No: 27 (Marks: 1) - Please choose one

Fixed Assets (WDV) + Working Capital =?

► Total assets employed
► Total liabilities
► Total assets
► Current assets

Question No: 28 (Marks: 1) - Please choose one

Which of the following account will be credited when interest on capital is charged against the distribution of profit?

► Interest account
► Partner's capital account
► Profit and Loss account
► Profit and loss appropriation account

Question No: 29 (Marks: 1) - Please choose one

Which of the following is(are) type(s) of capital account in partnership?

Fixed Capital

- Current Capital
- Fluctuating Capital
- Both Fixed Capital and Fluctuating Capital

Question No: 30 (Marks: 1) - Please choose one

In case of fixed capital accounts, other transactions such as Drawings and Profit etc. are recorded in a separate account that is called _____.

- Fixed Capital Account
- Current Account
- Fluctuating Capital Account
- Floating Capital Account

Question No: 31 (Marks: 1) - Please choose one

Which of the following is (are) type(s) of Public Limited Companies?

- Listed company
- Non listed company
- Private limited company
- Both Listed Company and non listed company

Question No: 32 (Marks: 1) - Please choose one

Which of the following clause/s are discussed in Memorandum of Association of Companies?

- Name of company
- Place of registered office of company
- Objective of the company
- All of the given options

Question No: 33 (Marks: 1) - Please choose one

The amount received; in excess of the face value of the shares is transferred to which of the following?

- Share capital account
- Right share
- Share premium account
- Share holder account

Question No: 34 (Marks: 1) - Please choose one

Preliminary Expenses of the company may write off against:

- Share premium account
- Share holder account
- Debtors control account
- Creditor control account

Question No: 35 (Marks: 1) - Please choose one

Which of the following account will be debited if shares issued against cash?

- Share premium account

- ► Cash account
- ► Share capital account
- ► Profit and loss account

Question No: 36 (Marks: 1) - Please choose one

Which of the following is the most important document of the company?

- ► Memorandum of Association
- ► Articles of Association
- ► Prospectus
- ► Annual Report

Question No: 37 (Marks: 1) - Please choose one

Which of the following documents contains rules and regulations for internal management of the company?

- ► Memorandum of Association
- ► Articles of Association
- ► Prospectus
- ► Statutory Declaration

Question No: 38 (Marks: 1) - Please choose one

How dividend declared is treated in the Balance Sheet of the company?

- ► Provision
- ► Current liability
- ► Reserves and surplus
- ► Current assets

Question No: 39 (Marks: 1) - Please choose one

The primary purpose of preparing a cash flow statement for an entity is to provide information about:

- ► Its financial position at the end of an accounting period
- ► Its cash receipts and cash payments during an accounting period
- ► Its financial position at the start of an accounting period
- ► None of the given options

Question No: 40 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as an inflow of cash?

- ► The repayments of a bank loan
- ► Dividend issue in the current year
- ► Money received as result of selling fixed assets
- ► The difference between the valuations of old and new fixed assets

Question No: 41 (Marks: 1) - Please choose one

Debenture is also named as:

- ► Share
- ► Bond
- ► Equity

► Reserve

Question No: 42 (Marks: 1) - Please choose one

Prepaid interest given in the Trial Balance will be treated as a (an):

► Asset
► Liability
► Revenue
► Deferred expense

Question No: 43 (Marks: 1) - Please choose one

Wages outstanding given in the trial balance will be treated as a (an):

► Asset
► Liability
► Revenue
► Deferred expense

Question No: 44 (Marks: 1) - Please choose one

Which of the following fixed asset is normally appreciated with the passage of time?

► Land
► Vehicles
► Furniture
► Machinery

Question No: 45 (Marks: 1) - Please choose one

Expenditures incurred annually on renewal of patent are known as:

► Revenue Expenditures
► Capital Expenditures
► Deferred Expenditures
► None of the given options

Question No: 46 (Marks: 1) - Please choose one

Accounts receivables are shown in balance sheet at:

► Net realizable value
► Total collectible amount
► Current value
► Collected amount

Question No: 47 (Marks: 1) - Please choose one

Stock account is credited and creditors account is debited, which of the following is reflecting the statement?

► Discount received

► Goods returned
► Purchase of goods on credit
► Payment of goods

Question No: 48 (Marks: 1) - Please choose one

Mr. Ali's bank book shows a debit balance of Rs. 36,000. He deposited a cheque of Rs.15,000 but not yet collected by the bank. What will be the balance of bank statement?

► Rs. 21,000
► Rs. 51,000
► Rs. 36,000
► Rs. 15,000

Question No: 49 (Marks: 1) - Please choose one

We usually allow the customer to deduct a certain amount from the invoice value for prompt payment. In doing so we are granting a:

► Commission
► Allowance
► Discount
► Rebate

Question No: 50 (Marks: 1) - Please choose one

Which of the following is **NOT** a financial statement?

► Balance sheet
► Audit report
► Income statement
► Cash flow statement

Question No: 51 (Marks: 1) - Please choose one

In a partnership of Mr. X and Mr. Y, the share of profit of Mr. X is Rs.3,840 and the share of profit of Mr. Y is Rs. 5,760. What will be the ratio of their share?

► 1:2
► 2:3
► 3:2
► 2:1

Question No: 52 (Marks: 1) - Please choose one

Interest expenses of Epler Corporation shows a debit balance of Rs.200 in its unadjusted trial balance and Rs.250 in adjusted trial balance. Which of the following account will be debited in adjusting entry?

► Interest expense
► Interest payable
► Prepaid interest
► Interest paid

Question No: 53 (Marks: 1) - Please choose one

The amount of share premium can be utilized except:

► To write off preliminary expenses
► To meet the expenses of issue of shares

► To distribute among the share holders
► To issue bonus shares

Question No: 54 (Marks: 1) - Please choose one

Which of the following ratio cannot be computed for a period in which the company incurs a net loss?

► Acid-test ratio
► Return on investment
► Price-earning ratio
► None of the given options

Question No: 55 (Marks: 3)

What are the benefits of subsidiary ledgers?

Answer:

When business expands the number of accounts and entries are also increased so to control the accounts in a better way subsidiary ledgers are used which give a good picture and vision of the account study and accountablility. Following are the subsidiary ledgers used:

1. Sales Journals
2. Sales Returns
3. Debtors Ledgers

Question No: 56 (Marks: 5)

What is bank overdraft? Mention an example for this. Why companies have to pay mark up on it. Under which head mark up paid on overdraft is shown in financial statement.

Answer:

Bank Overdraft is the form of loan taken from the bank when the amount is exceeding from specific limit, and bank deduct this overdraft amount when company's account debited, As this is the type of Loan and so company have to pay mark up as interest on the overdraft amount and depend upon the terms of agreement. In the financial statement the mark up is shown in Financial Expenses.

Question No: 57 (Marks: 5)

What will be the effects of given adjustments on the income statement and balance sheet?

	Income statement			**Balance sheet**		
Adjustment	Revenue	Expense	Net income	Assets	Liabilities	Owner's equity
Converting assets to expenses	**No effect**	**Increase**	**Decrease**	**Decrease**	**No effect**	**Decrease**
Converting liabilities to revenue	Increase	No Effect	NO Effect	No effect	Decrease	No effect
Accruing unpaid expenses	No effect	Decrease	No effect	No effect	Decrease	
Accruing uncollected revenue	Increase	No effect	increase	No effect	No effect	

Note: For better understanding an example is given above. Follow the format given in example.

Question No: 58 (Marks: 10)

Prepare Debtors and Creditors control account from the following data. Also work out their closing balances on June 30, 2009

June 1:		**Rs.**
Opening balance of Debtors	58,500	
Opening balance of Creditors	70,000	
Details of June:		
Total credit sales		44,700
Cheques and cash received	55,000	
Purchase return		6,600
Total credit purchases	48,000	
Discount received		2,200
Discount allowed		2,800
Cheques and cash paid		36,330

Creditors Control Account							
Debit Side				**Credit Side**			
Date	No.	Narration	Dr. Rs	Date	No.	Narration	Cr. Rs
		Purchase Return	6,600			B/F	70,000
		Discount Received	2,200			Purchase	48,000
		Cash/cheques Paid	36,330				
		C/f	72,870				
		Total	**1,18000**			**Total**	**118000**
Debtors Control Account							
Debit Side				**Credit Side**			
Date	No.	Narration	Dr. Rs	Date	No.	Narration	Cr. Rs
		B/f	58,500			Cash/Checque Rec	55,000
		Total Sale	44,700			Discount	28,00
						C/f	45,400
		Total	**10,3200**			**Total**	**10,3200**

Question No: 59 (Marks: 10)

From the given information as at June 30, 2007, calculate fixed assets at WDV and cost of goods sold as on June 30,2008.

Building at Cost	239,500
Equipment at Cost	22,000
Vehicles at Cost	45,000
Accumulated Dep. – Building	12,250
Equipment	7,000
Vehicles	13,900

Stock Opening Balance	58,725
Sales	247,500
Purchases	136,775
Carriage Inward	6,050
Vehicle Running Expenses	22,300

Additional Information:

- Closing stock Rs. 70,050.
- Depreciation during the year
  - Building 6,000
  - Vehicles Rs 8,500
  - Equipment 4,000

Solution:

Cost of Goods Sold:

Opening Stock Balance		58,725
Add: Purchase	136,775	
Add: Carriage Inward	6,050	
Less: Closing Stock		(70,050)
Cost of Goods sold	**131,500 Rs.**	

Fixed Assets:

Building (12,250)	227,250
Vehicle (13,900)	31,100
Equipment (7,000)	15,000
Total	**273,350 Rs.**

Question No: 1 (Marks: 1) - Please choose one

If a business purchases machinery for Rs. 30,000 on 31st January 2008 having life of 10 years, this expense will be realized _____ under the concept of accrual accounting.

- ► For the year 2008 only
- ► For the last day of 10th year only
- ► Over 10 years
- ► Nothing can be said about it

Question No: 2 (Marks: 1) - Please choose one

Assets total Rs.50, 000 and Liabilities total Rs.10, 000. What is the equity of the business?

- ► Rs. 40, 000
- ► Rs. 60, 000
- ► Rs. 10,000
- ► Rs. 50,000

Question No: 3 (Marks: 1) - Please choose one

What will be the effect on accounting equation, when payment is made to the creditor of the business?

- ► Increase in an asset, increase in owner's equity
- ► Increase in an asset, increase in a liability

► Decrease in an asset, decrease in owner's equity
► Decrease in an asset, decrease in a liability

Question No: 4 (Marks: 1) - Please choose one

What would be the affect on the components of the accounting equation, if goods are purchased on cash?

► Increase in cash and decrease in equity
► Increase in cash and increase in goods
► Increase in goods and decrease in cash
► Increase in equipment and increase in equity

Question No: 5 (Marks: 1) - Please choose one

Which of the following is used to record financial transactions in chronological (day-to-day) order?

► Voucher
► General Journal
► General Ledger
► Trial balance

Question No: 6 (Marks: 1) - Please choose one

A book, in which receipts and payments are recorded, is known as:

► Pass Book
► Cash Book
► Purchase Book
► Sales Book

Question No: 7 (Marks: 1) - Please choose one

Which of the following is **CORRECT** for Trading account?

► It inculdes cost of goods sold and all the direct expenses related to sales
► It inculdes cost of goods sold and all the indirect expenses related to sales
► It inculdes cost of goods sold and all the direct and indirect expenses
► It inculdes cost of goods sold and all the direct and selling, administrative expenses

Question No: 8 (Marks: 1) - Please choose one

Which of the following journal entry will be recorded, if the payment of furniture purchased is made through cheque?

► Furniture account (Dr) and Bank account (Cr)
► Furniture account (Dr) and Profit & Loss account (Cr)
► Furniture account (Dr) and Cash account (Cr)
► Cash account (Dr) and Furniture account (Cr)

Question No: 9 (Marks: 1) - Please choose one

Which of the following account balance will be shown on debit side of Trial Balance? (It is assumed that all account balances are shown on normal balance).

- ► Capital account
- ► Sundry creditors account
- ► Accounts payable account
- ► Cash account

Question No: 10 (Marks: 1) - Please choose one

Which of the following financial statement **DO NOT** show the financial health of a business at a specific date?

- ► Profit and loss account
- ► Balance sheet
- ► Statement of financial position
- ► All of the given options

Question No: 11 (Marks: 1) - Please choose one

What would be the value of total factory cost, if the cost of material consumed during the month is Rs. 6,000, labor cost incurred is Rs. 2,000 and the factory over head cost is Rs. 2,500?

5500

- ► Rs. 6,000
- ► Rs. 8,000
- ► Rs. 4,500
- ► Rs. 10,500

Question No: 12 (Marks: 1) - Please choose one

In cost of goods sold statement the 'cost of goods manufactured' is equal to:

- ► Total factory cost + Opening work in process + Ending work in process
- ► Total factory cost + Opening work in process – Ending work in process
- ► Total factory cost - Opening work in process + Ending work in process
- ► Ending work in process +Total factory cost – Opening work in process

Question No: 13 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 15,000
Sale price after 5 years	Rs.50,000
Written down value of asset at the end of 5th year	Rs.25,000
Profit or loss on disposal of fixed assets	**?**

- ► Rs.25, 000 profit
- ► Rs. 75,000 loss
- ► Rs. 15,000 profit
- ► Rs. 1, 00,000 profit

Question No: 14 (Marks: 1) - Please choose one

If, Cost of machine = Rs.400, 000
Useful life = 5 years
Rate of depreciation= 40%
The book value of machine after one years using diminishing balance method is ?

- ► Rs.86, 400
- ► Rs. 1, 44,000
- ► Rs. 2, 40,000
- ► Rs. 51,840

Question No: 15 (Marks: 1) - Please choose one

The cost of moving plant and machinery to a new site will be treated as:

- ► Revenue expense
- ► Capital expense
- ► Administrative expense
- ► Operating expense

Question No: 16 (Marks: 1) - Please choose one

Consider the following data:

Particulars	Rs.
Assets	8,20,000
Owner's equity	3,80,000
Liabilities	?

- ► Rs. 1, 98,000
- ► Rs. 49,000
- ► Rs. 55,000
- ► Rs. 4, 40,000

Question No: 17 (Marks: 1) - Please choose one

Which one of the following transactions will cause the balance in Mr. Terry's Cash Book to be greater than his Bank Statement balance?

- ► A cheque is drawn but not yet presented at the bank for payment
- ► The bank has not yet notified to Mr. Terry about a dishonoured cheque
- ► A credit transfer into Terry's Bank Account
- ► A cheque payment of Rs.101 is recorded in the Cash Book as Rs.110

Question No: 18 (Marks: 1) - Please choose one

Which of the following account will be debited, when the bad debts are recovered?

► Bad debt recovered a/c
► Cash a/c
► Doubtful debts a/c
► Bad debts a/c

Question No: 19 (Marks: 1) - Please choose one

Which of the following subsidiary book(s) is (are) maintained for debtors control account?

► Sales Day Book
► Sales Return
► Debtors Ledger
► All of the given options

Question No: 20 (Marks: 1) - Please choose one

Which of the following is (are) benefit/s of subsidiary ledger accounts to business?

► It tells about customer attitude of payments
► It can be checked against the control account to pick up recording errors
► It tells about the complete history of transactions of business client
► All of the given options

Question No: 21 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of sales to Rahim Rs. 336 posted to his account as Rs. 363?

► Sales account
► Rahim’s account
► Cash account
► Both sales and Rahim’s Account

Question No: 22 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of sales to Rahim of Rs. 500 were omitted to record in books of accounts?

► Sales account
► Rahim’s account
► Cash account
► Both sales and Rahim’s Account

Question No: 23 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of carriage charges, paid for a new plant purchased mistakenly debited to carriage account?

► Plant account
► Carriage account
► Both plant account and carriage account

► Trading account

Question No: 24 (Marks: 1) - Please choose one

Goods purchased from "Mr. A" for Rs. 2,000 passed through the sales book. The rectification of error will result in:

► Increase of gross profit
► Decrease of gross profit
► Remains constant and no effect on net profit
► There is no relation between goods purchased and gross profit

Question No: 25 (Marks: 1) - Please choose one

Which of the following entry will be recorded, if a cheque deposited is dishonored by bank?

► Bank Account (Dr.) and Debtor's Account (Cr.)
► Debtor's Account (Dr.) and Bank Account (Cr.)
► Dishonored Cheque Account (Dr.) and Bank Account (Cr.)
► Creditor's Account (Dr.) and Bank Account (Cr.)

Question No: 26 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	3,500
Provision for doubtful debts (old)	6,000
Current year's provision (new)	1,500

► Rs. (1,000)
► Rs. 1,000
► Rs. (5,000)
► Rs. 5,000

Question No: 27 (Marks: 1) - Please choose one

The main objective of financial reporting is to provide:

► Essential information to internal users of financial reports.
► Useful economic information about the business to the external parties for sound financial decisions.
► Information to internal users about the cash position of the business.
► Information to the Securities Exchange Commission (SEC).

Question No: 28 (Marks: 1) - Please choose one

Wages paid to laborers working in the manufacturing department is treated as an expense of:

► Administrative expenses
► Selling expenses
► Marketing expenses
► Cost of goods sold

Question No: 29 (Marks: 1) - Please choose one

Which of the following would **NOT** be considered as a component of 'cost' of stock?

- ► Salaries of selling staff
- ► Transportation inward costs
- ► Import duties
- ► Purchase price

Question No: 30 (Marks: 1) - Please choose one

General office expenses are charged to which of the following head:

- ► Administrative expenses
- ► Marketing expenses
- ► Selling expenses
- ► Financial expenses

Question No: 31 (Marks: 1) - Please choose one

Which of the following is (are) characteristic(s) of Reserve?

- ► Its amount is generally determined by the management on the basis of the amount of profit earned.
- ► It is shown on liabilities side of balance sheet
- ► It does not affect profit or loss, since it is created after ascertaining net profit
- ► All of the given options

Question No: 32 (Marks: 1) - Please choose one

Which of the following is **TRUE** about the treatment of insurance paid in advance Rs. 13,000?

- ► It will be treated as an other income in Profit & Loss Account
- ► It will be treated as a current asset in Balance Sheet
- ► It will be treated as a current liability in Balance Sheet
- ► It will be treated as an accrued expense in Balance Sheet

Question No: 33 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about the Accounts receivable?

- ► Accounts receivable arises when a company buys goods or services from another party on credit
- ► Accounts receivable is a miscellaneous category that may include loans to employees
- ► Accounts receivable are more formal than notes receivable
- ► Accounts receivable are often called trade receivables

Question No: 34 (Marks: 1) - Please choose one

Which of the following is(are) type(s) of capital account in partnership?

- ► Fixed Capital
- ► Current Capital
- ► Fluctuating Capital
- ► Both Fixed Capital and Fluctuating Capital

Question No: 35 (Marks: 1) - Please choose one

Preliminary Expenses of the company may write off against:

- ► Share premium account
- ► Share holder account
- ► Debtors control account
- ► Creditor control account

Question No: 36 (Marks: 1) - Please choose one

Which of the following is (are) shown as notes to the accounts.

- ► Nature of the business of the company
- ► Accounting polices of the business
- ► Details and explanations of items given in Balance Sheet
- ► All of the given options

Question No: 37 (Marks: 1) - Please choose one

An example of financing activities in the context of cash flow statement is:

- ► Capital expenditures on purchase of fixed assets
- ► Long-term deposit
- ► Financial charges paid
- ► Dividend paid

Question No: 38 (Marks: 1) - Please choose one

What does a credit balance in a partner's current account represent to a business?

- ► Current Assets
- ► Current Liability
- ► Long-term liability
- ► Share of profit

Question No: 39 (Marks: 1) - Please choose one

If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. B in distributable profit.

- ► Rs. 98,000
- ► Rs. 1, 47,000
- ► Rs. 2, 45,000
- ► Rs. 3, 43,000

Question No: 40 (Marks: 1) - Please choose one

If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. C in distributable profit.

- ► Rs. 98,000
- ► Rs. 1, 47,000
- ► Rs. 2, 45,000
- ► Rs. 3, 43,000

Question No: 41 (Marks: 1) - Please choose one

ABC Company received discount on its credit purchases, which of the following will be credited while entering in journal?

- ► Cash
- ► Discount received
- ► Creditors
- ► Bank

Question No: 42 (Marks: 1) - Please choose one

Suppose a firm has 200 debtors, and each of them owes exactly Rs. 150 at the start of June. What is the total amount owed by all debtors?

- ► Rs. 2,000
- ► Rs. 3,000
- ► Rs. 30,000
- ► Rs. 150,000

Question No: 43 (Marks: 1) - Please choose one

Suppose a firm has 100 debtors, and each of them owes exactly Rs.150 at the start of June. During June each debtor has paid-off exactly Rs.100 on their account, either by cash or by cheque. What should be the revised total debtors figure?

- ► Rs. 5,000
- ► Rs. 9,850
- ► Rs. 25,000
- ► Rs. 14,900

Question No: 44 (Marks: 1) - Please choose one

The total credit sales for the period will be obtained from:

- ► Sales returns day book
- ► Cash book
- ► Journal
- ► Sales day book

Question No: 45 (Marks: 1) - Please choose one

Stockholder's equity would not be affected by:

- ► Dividends to stockholders
- ► Net loss
- ► Purchase of land from the proceeds of bank loan
- ► Investments of cash by stockholders

Question No: 46 (Marks: 1) - Please choose one

Which of the following is known as an asset account?

- ► Gains
- ► Prepaid insurance
- ► Unearned revenue
- ► Accounts payable

Question No: 47 (Marks: 1) - Please choose one

Dillon Company sold marketable securities Costing Rs.60,000 for Rs.72,000 cash. In the company's income statement and statement of cash flows, respectively, this will appear as:

- ► A Rs.72,000 gain and a Rs.6,000 cash receipt
- ► A Rs.12,000 gain and a Rs.72,000 cash receipt
- ► A Rs.12,000 gain and a Rs.60,000 cash receipt
- ► A Rs.72,000 sale and a Rs.72,000 cash receipt

Question No: 48 (Marks: 1) - Please choose one

Profits earned by partnerships compensate the owners for which of the following?

- ► Personal services rendered to the business
- ► Capital invested in the business
- ► Assuming the risks of ownership
- ► All of the given options

Question No: 49 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal share in profit or loss. The agreement provides that Mr. A will receive Rs.10,000 and Mr. B will receive Rs.8,000 as salary allowance. The net income for the year is Rs.85,000. What will be the total share of Mr. A?

- ► Rs.52,500
- ► Rs.42,500
- ► Rs.43,500
- ► Rs.50,500

Question No: 50 (Marks: 1) - Please choose one

How many members can subscribe their names in memorandum of association for registration of public limited company?

- ► 2
- ► 3
- ► 5
- ► 7

Question No: 51 (Marks: 1) - Please choose one

Which of the following can be utilized to issue bonus shares?

- ► Reserves
- ► Debentures
- ► Share premium
- ► Term finance certificate

Question No: 52 (Marks: 1) - Please choose one

Which of the following financial statement is helpful for the investors and creditors to assess the cash and non cash aspects of operating, investing and financing transactions on an entity's financial position?

- ► Balance Sheet
- ► Income Statement
- ► Statement of cash flows
- ► Statement of changes in equity

Question No: 53 (Marks: 1) - Please choose one

Which of the following is measured by debt ratio?

- ► Short-term liquidity
- ► Creditors' long term risk
- ► Short-term risk of the company
- ► All of the given options

Question No: 54 (Marks: 1) - Please choose one

In statement of cash flows, a payment of cash dividends is related to:

- ► Investing activity
- ► Financing activity
- ► Operating activity
- ► Cash flows from operations

Question No: 55 (Marks: 3)

Differentiate between partnership business and limited company.

Question No: 56 (Marks: 5)

What is the meaning of investment. Differentiate between long term and short term investments.

Question No: 57 (Marks: 5)

ABC, Inc had the following positive and negative cash flows during the year.

Positive cash flows:	
Received from customers	Rs.250,000
Interest and dividends	50,000
Sale of plant asset	350,000
Issued stock	500,000
Negative cash flows:	
Paid to suppliers and employees	130,000
Purchase of investments	40,000
Purchase of treasury stock	35,000
Payment of interest	20,000
Paid cash dividends	50,000

Determine the amount of cash provided by or used for operating activities.

Question No: 58 (Marks: 10)

Identify which of the following activities are operating, investing or financing in the context of cash flow statement.

1. Payment to owners, such as cash dividends
2. Cash proceeds from collecting principal amounts on loans
3. Payments of interest
4. Payments to acquire investments and plant and intangible assets
5. Payments of income taxes
6. Amounts advanced to borrowers

7. Collections from customers for sales of goods and services
8. Interest and dividends received
9. Proceeds from both short-term and long-term borrowing
10. Cash received from owners

Question No: 59 (Marks: 10)

Selected items from successive annual reports of ABC, Inc. appear as follows:

	2007	**2006**
Total assets (40% of which are current)	Rs.400,000	Rs.325,000
Current liabilities	Rs.80,000	Rs.100,000
Bonds payable, 12%	100,000	50,000
Capital stock, Rs.5 par value	100,000	100,000
Retained earnings	120,000	75,000
Total liabilities & stockholders' equity	Rs.400,000	Rs.325,000

Dividends of Rs.16,000 were declared and paid in 2007.

Compute the following:

a. Current ratio for 2007 and 2006
b. Debt to equity ratio for 2007 and 2006
c. Earning per share for 2007

FINALTERM EXAMINATION

Question No: 1 (Marks: 1) - Please choose one

Word "Credit" is derived from _____ language.

► Latin
► English
► French
► Chinese

Question No: 2 (Marks: 1) - Please choose one

What is the nature of an expense account?

► Debit
► Credit
► Revenue
► None of the given options

Question No: 3 (Marks: 1) - Please choose one

A summarized record of transactions related to individuals or things is called a/an _____.

► Account
► Voucher
► Journal
► Trial balance

Question No: 4 (Marks: 1) - Please choose one

In an account, if credit side < debit side then the balance is known as:

- ► Negative Balance
- ► Debit Balance
- ► Positive Balance
- ► Credit Balance

Question No: 5 (Marks: 1) - Please choose one

Which of the following organizations do **NOT** prepare Income & Expenditure account?

- ► Public limited companies
- ► Private limited companies
- ► Partnership firms
- ► All of the given options

Question No: 6 (Marks: 1) - Please choose one

Which of the following account will be credited in the books of XYZ Co. Ltd, if the business purchased a vehicle though cheque?

- ► Vehicle account
- ► Cash account
- ► Business account
- ► Bank account

Question No: 7 (Marks: 1) - Please choose one

If the cost of sales is Rs. 60,000, sales are Rs. 90,000 and operating expenses are Rs. 25,000 during the year. What would be the Net Profit?

- ► Rs. 5,000
- ► Rs. 25,000
- ► Rs. 55,000
- ► Rs. 60,000

Question No: 8 (Marks: 1) - Please choose one

Which of the following financial statement **DO NOT** show the financial health of a business at a specific date?

- ► Profit and loss account
- ► Balance sheet
- ► Statement of financial position
- ► All of the given options

Question No: 9 (Marks: 1) - Please choose one

The total of all costs incurred to convert raw material into finished goods is known as:

- ► Prime cost
- ► Conversion cost
- ► Sunk cost
- ► Opportunity cost

Question No: 10 (Marks: 1) - Please choose one

Which of the following particular is **NOT** included in the specimen of a Journal Voucher?

- ► Name of organization
- ► Bank receipt
- ► Debit amount
- ► Credit amount

Question No: 11 (Marks: 1) - Please choose one

Accountancy covers which of the following area(s):

- ► Book-keeping
- ► Accounting
- ► Auditing
- ► All of the given options

Question No: 12 (Marks: 1) - Please choose one

Depreciation arises because of:

- ► Fall in the market value of an asset
- ► Fall in the value of money
- ► Physical wear and tear
- ► All of the given options

Question No: 13 (Marks: 1) - Please choose one

Which of the following account will be debited, when the bad debts are recovered?

- ► Bad debt recovered a/c
- ► Cash a/c
- ► Doubtful debts a/c
- ► Bad debts a/c

Question No: 14 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	800

- ► Rs. 400
- ► Rs. 800

► Rs. 2,000
► Rs. 2,400

Question No: 15 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be shown in profit & loss account.

Particulars	Rs.
Bad debts	3,600
Provision for doubtful debts (old)	6,000
Current year's provision (new)	1,500

► Rs. (5,100)
► Rs. 5,100
► Rs. (900)
► Rs. 900

Question No: 16 (Marks: 1) - Please choose one

On which of the following system control accounts are based?

► Double entry book keeping system
► Single entry book keeping system
► Cash accounting system
► All of the given options

Question No: 17 (Marks: 1) - Please choose one

Which of the following entry will be passed to record discount received in control account?

► Discount Received (Dr) and Creditors Control A/c (Cr)
► Discount Received (Dr) and Creditors A/c (Cr)
► Creditors Control A/c (Dr) and Discount Received (Cr)
► Creditors A/c (Dr) and Discount Received (Cr)

Question No: 18 (Marks: 1) - Please choose one

A receipt of cash Rs. 10,000 from Mr. Bilal is recorded as Rs. 1,000. What amount will be adjusted in rectifying entry?

► Rs. 1,000
► Rs. 9,000
► Rs. 10,000
► Rs. 11,000

Question No: 19 (Marks: 1) - Please choose one

Which of the following rectifying entry will be recorded, if sales to Mr. "A" of Rs.336 have been debited to Mr. "B" account?

► A's account (Dr.) and B's account (Cr.)
► B's account (Dr.) and A's account (Cr.)
► Sales account (Dr.) and B's account (cr.)
► B's account (Dr.) and Sales account (Cr.)

Question No: 20 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of Sale to Mr."A" Rs. 336 was not recorded at all?

- ► Only sales account
- ► Only A's account
- ► Only cash account
- ► Both sales account and A's account

Question No: 21 (Marks: 1) - Please choose one

Which of the following item must be recorded in the adjusted Cash Book in order to bring it in line with the entries in the Bank Statement?

- ► Bank charges
- ► An error on the Bank Statement
- ► An uncredited deposit
- ► An unpresented cheque

Question No: 22 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

- ► Rs. 600
- ► Rs. 1,000
- ► Rs. 2,000
- ► Rs. 2,600

Question No: 23 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Bad Debts (Given in trial balance)	500
Old provisions (Given in trial balance)	700
Sundry Debtors (Given in trial balance)	44,800

If the Provision for doubtful debts has been increased by 5%, which amount of new provision will be shown in Profit & Loss Account?

- ► Rs. 2,240
- ► Rs. 2,425
- ► Rs. 1,925
- ► Rs. 3,025

Question No: 24 (Marks: 1) - Please choose one

The main objective of financial reporting is to provide:

- ► Essential information to internal users of financial reports.
- ► Useful economic information about the business to the external parties for sound financial decisions.
- ► Information to internal users about the cash position of the business.
- ► Information to the Securities Exchange Commission (SEC).

Question No: 25 (Marks: 1) - Please choose one

A financial statement that indicates the success or failure of a business, over a period of time is called:

- ► A cash flow statement
- ► A retained earnings statement
- ► An income statement
- ► A balance sheet

Question No: 26 (Marks: 1) - Please choose one

Which of the following is/are **NOT** shown in balance sheet of sole proprietor?

- ► Fixed assets
- ► Current liabilities
- ► Profit sharing ratio
- ► Long term assets

Question No: 27 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about the Accounts receivable?

- ► Accounts receivable arises when a company buys goods or services from another party on credit
- ► Accounts receivable is a miscellaneous category that may include loans to employees
- ► Accounts receivable are more formal than notes receivable
- ► Accounts receivable are often called trade receivables

Question No: 28 (Marks: 1) - Please choose one

Which of the following account will be debited when the interest on drawings is charged?

- ► Partner's capital account
- ► Interest account
- ► Partner's current account
- ► Profit & Loss account

Question No: 29 (Marks: 1) - Please choose one

In case of fixed capital accounts, other transactions such as Drawings and Profit etc. are recorded in a separate account that is called _____.

- ► Fixed Capital Account
- ► Current Account
- ► Fluctuating Capital Account
- ► Floating Capital Account

Question No: 30 (Marks: 1) - Please choose one

Which of the following clause/s are discussed in Memorandum of Association of Companies?

- ► Name of company
- ► Place of registered office of company
- ► Objective of the company
- ► All of the given options

Question No: 31 (Marks: 1) - Please choose one

Preliminary Expenses of the company may write off against:

- ► Share premium account
- ► Share holder account
- ► Debtors control account
- ► Creditor control account

Question No: 32 (Marks: 1) - Please choose one

What are the effects on financial statements, if provision for Income Tax to be made Rs. 12,000 is given in adjustment?

- ► It will be deducted in Income Statement only
- ► It will be treated as current liability in balance sheet only
- ► It will be treated as current asset in balance sheet only
- ► Both it will be deducted in income statement and it will be treated as current liability in balance sheet

Question No: 33 (Marks: 1) - Please choose one

Which of the following is **NOT** a cash inflow?

- ► Sale of fixed asset
- ► Issue of debentures
- ► Cash from business operation
- ► Purchase of fixed asset

Question No: 34 (Marks: 1) - Please choose one

Which of the following statement in **NOT TRUE** about the limited company form of business?

- ► The limited company form of business allows ownership of the business to be spread amongst many people
- ► Shareholders can appoint professionals
- ► Shareholders are personally liable for all the liabilities incurred by the business
- ► Regular filing of information about the affairs of the company is a legal requirement

Question No: 35 (Marks: 1) - Please choose one

If company has distributable profit is Rs. 4, 90,000. Profit sharing share ratio of Mr. A, Mr. B and Mr. C is 2:3:5 respectively what will be the Profit share for Mr. C in distributable profit.

- ► Rs. 98,000
- ► Rs. 1, 47,000
- ► Rs. 2, 45,000
- ► Rs. 3, 43,000

Question No: 36 (Marks: 1) - Please choose one

What is the treatment of Accumulated Depreciation in Balance Sheet?

- ► It may treated as a deficit
- ► It may treated as a surplus
- ► It may treated as a revenue

► None of the given options

Question No: 37 (Marks: 1) - Please choose one

According to the double entry system of book keeping, the investment of Rs.10, 000 in the business made by the owner will effect:

► Cash Account & Capital Account
► Cash Account & Expense Account
► Capital Account & Revenue Account
► Capital Account & Expense Account

Question No: 38 (Marks: 1) - Please choose one

The return of goods by a customer should be debited to:

► Customer's account
► Sales return account
► Goods account
► Accounts receivable account

Question No: 39 (Marks: 1) - Please choose one

Expenditures incurred annually on renewal of patent are known as:

► Revenue Expenditures
► Capital Expenditures
► Deferred Expenditures
► None of the given options

Question No: 40 (Marks: 1) - Please choose one

Debts that are not collectible and worthless to the creditor are known as:

► Doubtful debts
► Bad debts
► Provision for doubtful debts
► Loss

Question No: 41 (Marks: 1) - Please choose one

ABC Company received discount on its credit purchases, which of the following will be debited while entering in journal?

► Cash
► Discount received
► Creditors
► Bank

Question No: 42 (Marks: 1) - Please choose one

The amount owed by debtors at the start of a month appears on the _____ side of the individual debtors account.

► Left side or credit

► Left side or debit
► Right side or debit
► Right side or credit

Question No: 43 (Marks: 1) - Please choose one

Ahmad Industries want to make payment to its supplier in the form of a pay order. The bank deducted Rs.160 as service charges without its knowledge. The error is known as:

► Error of commission
► Error of omission
► Error of original entry
► Error of principle

Question No: 44 (Marks: 1) - Please choose one

Which of the following accounts would never be reported in the income statement as an expense?

► Depreciation expense
► Income tax expense
► Interest expense
► Dividends expense

Question No: 45 (Marks: 1) - Please choose one

In the heading of financial statement, _____ is not required?

► Title of financial statement
► Name of the person who prepares financial statement
► Period for which financial statement is prepared
► Name of business entity

Question No: 46 (Marks: 1) - Please choose one

In a partnership of Mr. A and Mr. B, the share of profit of Mr. A is Rs.75,375 and the share of profit of Mr. B is Rs. 25,125. What will be the ratio of their share?

► 1:2
► 2:3
► 3:2
► 3:1

Question No: 47 (Marks: 1) - Please choose one

Which of the following is decreased when an asset is converted into expense in adjustment?

► Revenue
► Net income
► Expense
► Liability

Question No: 48 (Marks: 1) - Please choose one

Mr. A & B entered into a partnership with an equal investment and equal share in profit or loss. Markup on capital of Mr. A is Rs.2,500 and markup on drawings of Mr. B is Rs.2,800. The net income for the year is Rs.95,000. What will be the amount of distributable profit?

► Rs.89,700
► Rs.94,700

► Rs.95,300
► Rs.100,300

Question No: 49 (Marks: 1) - Please choose one

How many members can subscribe their names in memorandum of association for registration of public limited company?

► 2
► 3
► 5
► 7

Question No: 50 (Marks: 1) - Please choose one

Which of the following is responsible to register the companies?

► State Bank of Pakistan
► Security and Exchange Commission of Pakistan
► Supreme Court
► Stock Exchange

Question No: 51 (Marks: 1) - Please choose one

The amount of share premium can be utilized except:

► To write off preliminary expenses
► To meet the expenses of issue of shares
► To distribute among the share holders
► To issue bonus shares

Question No: 52 (Marks: 1) - Please choose one

Which of the following capital is required for the registration of the company?

► Issued capital
► Subscribed capital
► Authorized capital
► Reserve capital

Question No: 53 (Marks: 1) - Please choose one

Which of the following items of balance sheet are useful in evaluating a company's liquidity?

► Current assets and other assets
► Current liabilities and current assets
► Current liabilities and plant and equipment
► Non current liabilities and other assets

Question No: 54 (Marks: 1) - Please choose one

The company ABC purchased an asset for Rs. 40,000, paying 30,000 in cash and issuing a long term note payable for remaining balance. The amount will be recorded in statement of cash flows as:

► Rs. 40,000 cash outflow as investing activity
► Rs. 30,000 cash outflow as investing activity
► Rs. 10,000 cash inflow as investing activity
► Rs. 70,000 cash inflow as investing activity

Question No: 55 (Marks: 3)

Why an organization is needed to prepare a cash flow statement.

Question No: 56 (Marks: 5)

Show the following assets at Written Down Value in Balance Sheet with complete working.

Particulars	Rs.
Plant & Machinery	53,000
Buildings	35,000
Tools & Equipment	8,650

Depreciation Rate:

- Plant & Machinery @ 10%
- Buildings @ 5%
- Tools& Equipment @ 15%

Question No: 57 (Marks: 5)

Financial year decided by partnership agreement is 1st July to 30th June. Mr. Ali is partner and having a capital of Rs. 1,500,000 on July 1st 2007 and he introduced more capital on August 1st 2007 Rs. 10,000 on April 1st 2008, Rs.500,000 and on June 1st 2008 , Rs. 5,000. Mark up rate is 10% p.a.

Calculate mark up on Mr. Ali's capital for the year ending on 30th June 2008.

Question No: 58 (Marks: 10)

The following errors have been discovered in the book of a Business Concern:

6. Wage of Rs. 500 paid for the installation of plant debited to Wages Account.
7. Purchases of Office Equipment Rs. 2,000 were recorded as regular purchases of business.
8. Credit sale of Rs. 600 to Kareem was wrongly debited to Kamran.
9. Rs. 200 drawn by the proprietor was treated as Trade Expenses.
10. Rs. 300 received as a Commission was wrongly credited to Sales Account.

Required:

Pass the rectifying entries only.

Question No: 59 (Marks: 10)

Prepare Balance Sheet for the manufacturing concern as on 31st December, 2007 with the help of given data.

Particulars	Rs.
Capital	120,000
Trade Creditors	17,500
Bills payable	1,000
Sales	626,100
Raw material Stocks on 1-1-2007	30,000
Work in process on 1-1-2007	35,600
Finished Goods on 1-1-2007	35,400
Purchases	518,000
Carriage inwards	8,900
Discount Allowed	750

Debtors	16,000
Sales man commission	2,000
Office expenses	2,000
Carriage outwards	1,700
Bad debts	1,400
Salaries	13,000
Direct labor	1,800
FOH	1,100
Plant & Machinery	53,000
Buildings	35,000
Tools	8,650
Long term liability	4,902
Drawings	5,000

Stock as on 31st December, 2007

- Raw material Stocks Rs. 31,000
- Work in process Rs. 25,000
- Finished Goods Rs. 53,900

Depreciation Rate:

- Plant & Machinery is depreciated @ 10%
- Buildings is depreciated @ 5%
- Tools is depreciated @ 15%

Additional data

- Reserve and bad debts is to be created at 5% on debtors.
- Net Income for the year Rs. 75,000

Question No: 56 (Marks: 5)

Write down the five advantages of Limited Company.

Answer

11. It is a legal entity created by law and hence has its own recognition, good will and brand equity etc.
12. It is a wide form of business and hence a formal approach for various partners/investors to come and work for the same objectives in an organized form.
13. Liability limited to company assets only. Investors/partners do not personally liable for any loss or in state of bankrupty.
14. Being a legal entity, easy to get loans or gather funds from public (for public limited companies only) or financial institutes.
15. Being a legal entity, it can enjoy more opportunities for mega projects and trade/operations opportunities in international markets on its on behalf.

Question No: 57 (Marks: 5)

ABC Company purchased goods of Rs.150,000 on credit from which goods of Rs.20,000 were defected and returned. Company received 2% discount at the time of payment from the supplier.

Required:

What will be the amount of discount received by the company?
Also show the journal entries

Solution:

(A)

Discount Received= (150,000-20,000) x (2/100) = 2600

(B)

	Particulars	Dr.	Cr.
Entry for Purchase			
	Goods	150,000	
	A/P		150,000
Entry for Return			
	A/P	20,000	
	Goods		20,000
While making Payment (@ 2% discount = 2600)			
	A/P	130,000	
	Discount income		2,600
	Cash		127,400

Question No: 58 (Marks: 10)

State clearly how you will deal with Bad Debts Account, Provision for Bad Debts Account, Profit & Loss account and Balance Sheet in the following case:

The items appearing in the trial balance are bad debts Rs. 300, provision for bad debts Rs. 350 and sundry debtors Rs. 12,000. It is required to increase the provision for bad debts to 5% on sundry debtors.

Question No: 59 (Marks: 10)

The unadjusted and adjusted trial balances for Tinker Corporation on December 31, 2007, are shown below:

Tinker Corporation Trial Balances December 31, 2007				
	Unadjusted		**Adjusted**	
	Debit Rs.	**Credit Rs.**	**Debit Rs.**	**Credit Rs.**
Cash	35,200		35,200	
Accounts receivable	29,120		29,120	
Unexpired insurance	1,200		600	
Prepaid rent	5,400		5,400	
Office supplies	680		380	
Equipment	60,000		60,000	
Accumulated depreciation: equipment		49,000		50,000
Accounts payable		900		900
Notes payable		5,000		5,000
Interest payable		200		200
Salaries payable		-		2,100
Income taxes payable		1,570		1,570
Unearned revenue		6,800		3,800
Capital stock		25,000		25,000
Retained earnings		30,000		30,000
Fees earned		91,530		94,530
Advertising expense	1,500		1,500	
Insurance expense	6,600		7,200	
Rent expense	19,800		19,800	
Office supplies expense	1,200		1,500	
Repairs expense	4,800		4,800	
Depreciation expense: equipment	11,000		12,000	
Salaries expense	26,300		28,400	
Interest expense	200		200	
Income taxes expense	7,000		7,000	
	210,000	**210,000**	**213,100**	**213,100**

Journalize the five adjusting entries that the company made on December 31, 2007.

Solution:

Date	**Particular**	**Dr.**	**Cr.**
Dec 31	Insurance expense	600	
	to Unexpired insurance		600
Dec 31	Office Supplies Expense	300	
	to Office Supplies		300
Dec 31	Depreciation Expense-Equip.	1000	
	to Accumulated depreciation-Equip.		1000
Dec 31	Salaries Expense	2100	
	to Salaries Payable		2100
Dec 31	Unearned revenue	3000	
	to Fee Earned		3000

Question No: 55 (Marks: 3)

If the capitals of the partners are fixed, Pass Journal Entries for the following:

- Drawings made by partner
- Excess drawn amount is returned by partner
- Profit distribution among partner

Partner's Current A/c Dr.
    Cash/Bank A/c Cr.

Cash/Bank Dr.
    Partner's Current A/c Cr.

Profit & Loss A/c Dr.
    Partner's Current A/c Cr.

Question No: 56 (Marks: 5)

ABC Company purchased goods of Rs.150,000 on credit from which goods of Rs.20,000 were defected and returned. Company received 2% discount at the time of payment from the supplier.

Required:

. What will be the amount of discount received by the company?

. Also show the journal entries

Purchases A/c 150,000
Creditor A/c 150,000
Goods are being purchased

Creditor A/c 20,000
Purchases A/c 20,000
Goods returned to supplier
Creditor A/c 130,000
Discount Received A/c 2600
Cash/Bank A/c 127400
Payment is being made to creditor and 2% discount is received.

Question No: 58 (Marks: 10)

On 01-01-2007, the provision for doubtful debts a/c stood at Rs. 12,000 (credit balance). In 2007, the bad debts are amounted to Rs. 10,000. The debtors on 31-12-2007 are amounted to Rs. 3, 20,000 and a provision for doubtful debt to be maintained @ 5%.

Required:

Show Journal entries and also show how the items will appear in Profit and Loss account and Balance sheet. (Show complete working where it is necessary)

Question No: 59 (Marks: 10)

The accounting staff of ABC, Inc., has assembled the following information for the year ended December 31, 2007:

Cash and cash equivalents, Jan. 1	Rs.35,800
Cash and cash equivalents, Dec. 31	74,800
Cash paid to acquire plant assets	21,000
Proceeds from short-term borrowings	10,000
Loan made to borrowers	5,000
Collection on loans (excluding interest)	4,000
Interest and dividends received	27,000
Cash received from customers	795,000
Proceeds from sale of plant assets	9,000
Dividends paid	55,000
Cash paid to suppliers and employees	635,000
Interest paid	19,000
Income taxes paid	71,000

Using this information, prepare a statement of cash flows. Include a proper heading for the financial statement, and classify the given information into the categories of operating, investing and financing activities.

Question No: 55 (Marks: 3)

Mr. Hassan is a partner in a partnership firm. His capital on July 1, 2001 was Rs. 400,000. He invested further capital of Rs. 150,000 on March 01, 2002. Markup rate is @6%p.a. The financial year of such a business is from 1st July to 30th June.

Required: You are required to calculate his markup on Capital at the end of 30th June 2002.

a) Capital invested on july 1 2001 = 400,000
Markup rate on 400,000 = 6% of 40,000 = 24,000

b) Further capital introduced / invested = 150000 on March 1, 2002
Markup rate = 6% of 150000 = 9000 x 4/12 = 3000

Total mark up rate = a + b = 24000 + 3000 = 27000

Question No: 57 (Marks: 5)

X and Y were partners in a business sharing profits in the ratio of 3:1. Their capital were Rs.30,000 and Rs.10,000 respectively. They earned a net profit of Rs. 160,000. Mr. Y was entitled to a salary of Rs.200 p.m. Prepare Profit Distribution Account of X & Y Partnership.

X AND Y ARE SHARED WITH the ratio 3:1
X capital = 30000
Y capital = 10000
Net profit = 160,000
Mr. Y salary is = 200 p.m entitled
Total investment = X + Y capital = 30000 +10000 = 40000

X profit distribution = 30,000/40000 x 160000 = 120,000
Y profit distrubtion = 10,000/40000 x 160000 x 40000 = 40000

Question No: 56 (Marks: 5)

Calculate cost of goods sold with he help of given data.

Particulars	Rs.
Purchases	418,000
Carriage inwards	7,900
Discount Allowed	750
debtors	16,000
Sales man commission	2,000
Office expenses	2,000
Carriage outwards	1,700
Salaries	13,000
Direct labor	3,825
FOH	2,100
Plant & Machinery	53,000
Buildings	35,000
Tools	8,650

Helping data:

l. Plant & Machinery depreciate @ 10% and charged to FOH
m. Buildings depreciate @ 5% and 40% charged to Administrative expenses and balance to FOH
n. 40% of salaries will be charge to office and balance to Selling expenses

Question No: 59 (Marks: 10)

The following is the trial balance of Sikander's Photo Studio, Inc., dated December 31, 2007. The net income for the period is **Rs.36,000**. You are required to prepare Balance Sheet as on December 31, 2007.

Sikander's Photo Studio, Inc.
Trial balance
December 31, 2007

Cash	Rs.171,100	
Accounts receivable	9,400	
Prepaid studio rent	3,000	
Unexpired insurance	7,200	
Supplies	500	
Equipment	18,000	
Accumulated depreciation: equipment		Rs.7,200
Notes payable		10,000
Accounts payable		3,200
Salaries payable		4,000
Income tax payable		6,000
Unearned revenue		8,800
Capital stock		100,000
Retained earnings		34,000
Revenue earned		165,000
Salary expense	85,000	
Supply expense	3,900	
Rent expense	12,000	
Insurance expense	1,900	
Advertising expense	500	
Depreciation expense: equipment	1,800	
Interest expense	900	
Income taxes expense	23,000	
	338,200	**338,200**

Question No: 54 (Marks: 10)

What is the difference between public and private company?

Answer:

Private Limited Company

- Number of members in a private limited company varies from 2 to 50.
- Any 2 members can subscribe their names in memorandum and articles of association along with other requirements of the companies' ordinance 1984. They can also apply to security exchange commission for company's registration.
- The shareholders of the private limited company elect two members of the company as Directors. These directors form a board of directors to run the affairs of the company.
- The head of board of directors is called chief executive.
- Private limited company can not offer its shares to general public.
- In case a investor decides to sell his/her/her shares, his/her shares are first offered to existing shareholders. If all existing shareholders decide not to buy these shares, then an outsider investor can buy.
- Words and digression "(Private) Limited" are added at the end of the name of a private limited company.

Public Limited Company

- Least number of members in a public limited company is **7** with no upper limit in number of members.
- Any 7members can subscribe their names in memorandum and articles of association along with other requirements of the companies' ordinance 1984. They can also apply to security exchange commission for company's registration.
- The shareholders of the public limited company elect seven members of the company as Directors and these directors form a board of directors to run the daily affairs.

- The head of board of directors is called Chief Executive.
- Public limited company can offer its shares to general public at large.
- Word “Limited” is added at the end of the name of a public limited company.
- Each subscriber of the memorandum shall write opposite to his name, the number of shares held by him/her.

On top of that there are two types of public limited company:

3. Listed Company
4. Non Listed Company

LISTED COMPANY
Listed company is the one whose shares are quoted and traded on stock exchange. It is also called quoted company.

NON LISTED COMPANY
Non listed company is the one whose shares are not quoted or traded.

Question No: 52 (Marks: 10)

The following Trial Balance was extracted from the books of Naeem & Sons on 31st December, 2007. From this you are required to prepare an Income Statement for the year ended on 31st December, 2007,

Particulars	Debit Rs.	Credit Rs.
Cash	5,000	
Accounts Receivable	9,000	
Merchandise Inventory on 1.1.2007	6,000	
Plant and Machinery	24,000	
Land and Building	82,000	
Furniture and Fixtures	2,600	
Capital		136,000
Accounts Payable		3800
Purchases	60,000	
Purchases returns and allowances		2,800
Sales		70,000
Sales returns and allowances	4,600	
Insurance Prepaid	3,400	
Advertisement expenses	4,000	
Salaries expenses	12,000	
Total	**212,600**	**212,600**

ADDITIONAL INFORMATION:

- Prepaid insurance on 31st December, 2007 is Rs. 1,400
- Outstanding salaries Rs. 1,000
- Depreciation on Plant and Machinery @ 10% p.a.
- Merchandise inventory on 31st December, 2007 was valued at Rs. 6,000

Answer:

Trading Account for the year ending 31.12.2007						
Opening stock		**6000**		**Sales**	**70000**	
				Less : Sales Return	**4600**	
Purchase	**60000**					**65400**
Less Return	**2800**					
		57200				
				Closing Stock		**6000**
Gross Profit			**8200**			
			71400			**71400**
Profit & Loss Account for the year ending 31.12.2007						
Advertisement Exp		**4000**		**Gross Profit**		**8200**
Salaries	**12000**					
Add: Outstanding	**1000**					
		13000				
Depreciation						
Plant & Mach		**2400**				
Insurance	**3400**					
	1400					
		2000				
				Net Loss		**13200**
		19400				**21400**

Balance Sheet as on 31.12.2007

Accouts Receivable		**9000**	**Capital**	**136000**	
			Less :Net Loss	**13200**	
Cash		**5000**			**122800**
Plant & Mach	**24000**		**Accounts Payable**		**3800**
Less: Depr	**2400**				
		21600	**Outstanding salaries**		**1000**

Land & Building	**82000**	
Furniture	**2600**	
Prepaid Insurance	**1400**	
Closing Stock	**6000**	
	127600	**127600**

Question No: 53 (Marks: 10)

Prepare Profit and Loss Account for the year ending 31st December 2007 from the Trial Balance and adjustments of MS Company given below:

Particulars	Debit Rs.	Credit Rs.
Drawings	14,000	
Capital Account		80,000
Opening Stock	55,000	
Purchases	485,000	
Sales		610,000
Sundry Debtors	80,000	
Sundry Creditors		60,500
Sales Returns	5,000	
Carriage Inwards	6,000	
Salaries	28,000	
Rent, Rates, Taxes	15,000	
Insurance	4,000	
Machinery	50,000	
Furniture	5,000	
Cash in hand	3,500	
Total	**750,500**	**750,500**

Adjustments:

- Depreciate machinery and furniture @20%p.a.
- Outstanding Salaries Rs. 2,000
- Insurance paid in advance Rs. 500
- Maintain @5% reserve for doubtful debts on debtors.
- Closing Stock was valued at Rs. 60,000

Answer:

Trading Account for the year ending 31.12.2007						
Opening stock		**55000**		**Sales**	**610000**	
				Less : Sales Return	**5000**	
Purchase		**485000**				**605000**
Carriage Inward		**6000**		**Closing Stock**		**60000**
Gross Profit		**119000**				
		665000				**665000**
Profit & Loss Account for the year ending 31.12.2007						
Salaries	**28000**			**Gross Profit**		**119000**
Add: Outstanding	**2000**					
		30000				
Rent, Rates, Taxes		**15000**				
Insurance	**4000**					
Less :Advance	**500**					
		3500				
Depreciation						
Machinery	**10000**					
Furniture	**1000**					
		11000				
Provision on Doubtful Debts		**4000**				
Net Profit		**55500**				
		119000				**119000**

NOTE: PLEASE CONSIDER ALL ENTRIES ON LEFT SIDE AS ON RIGHT HAND SIDE AND VICE VERSA. JUST SHOWN BY MISTAKE. I HOPE YOU CONSIDER MY REQUEST DUE TO SHORATGE OF TIME.

Question No: 51 (Marks: 5)

With the help of given data prepare Capital account of a sole trader and calculate closing balance of capital.

	Rs.
Balance b/f	550,000
Drawings	50,000

Profit & Loss (debit balance)	45,000

CAPITAL ACCOUNT			
DEBIT SIDE		CREDIT SIDE	
PARTICULARS	AMOUNT	PARTICULARS	AMOUNT
Profit and loss	45000	Balance b/f	550,000
Drawings	50,000		
Balance c/f	**455,000**		
TOTAL	550,000	TOTAL	550,000

Question No: 52 (Marks: 10)

Briefly explain the financial statements prepared by the organization. Why these are important for manufacturing concern?

ANSWER: The financial statements prepared by any organization are as follows:

7. **Profit and loss account:** It shows the performance of the business in a given period. It shows the profitability of business which shows the success or failure of the business.
8. **Balance sheet:** Balance sheet shows the position of business at a given point. It shows the resources available by the business and the resources invested by the owner and other loans.
9. **Cash flow statements:** Cash flow statements show the generation of cash and its usage over a given period.

IMPORTANCE OF FINANCIAL STATEMENTS FOR MANUFACTURING CONCERN: These financial statements are important for manufacturing concern organization as they provide information related to financial affairs of the organization. The profitability and liquidity, the resources available to the company and the generation of cash and its usage over a given period which provides reasonable information to the management to take decisions.

Question No: 53 (Marks: 10)

The comparative financial statement data for XYZ Company is given below:

	December 31	
Assets:	**2007**	**2006**
	Rs.	**Rs.**
Cash	4,000	7,000
Accounts receivable	36,000	29,000
Inventory	75,000	61,000
Plant and equipment	210,000	180,000
Accumulated depreciation	(40,000)	(30,000)
Total Assets	**285,000**	**247,000**
Liabilities & Stockholder's equity:		
Accounts payable	45,000	39,000
Common stock	90,000	70,000
Retain earnings	150,000	138,000
Total liabilities & Stockholder's equity	**285,000**	**247,000**

For 2007, the company reported net income as follows:

XYZ Company
Income Statement
For the year ended 31st December, 2007

		Rs.
Sales		500,000
Less: Cost of goods sold	300,000	
Gross margin		200,000
Less Operating expenses	180,000	
Net Income		20,000

Required:
Prepare a Statement of Cash Flows if dividend of Rs. 8,000 was declared and paid during the year 2007. There were no sales of plant and equipment during the year.

ANSWER:

Starting balance:	
Net income	**20,000**
Add: adjustment for non cash items	
Depreciation	38,000
Operating profit before working capital changes**:**	**58,000**
Working capital changes:	
Add: cash	3,000
Less: accounts receivable	(7,000)
Add: accounts payable	7,000
Cash generated from operations	**61,000**
Cash flow from investing activities	
Cash flow from financing activities:	
Common Stock	20,000
Net decrease in cash	3,000
Net cash flow	**78,000**

Question No: 41 (Marks: 10)

Calculate depreciation of the asset for five years by using written down value method. Also show accumulated depreciation.

Cost of the asset	Rs. 1,20,000
Depreciation Rate	10%

Expected Life	5 years

ANSWER

YR	Written down value method	RS	Accumulated depreciation
1	cost	120,000	
	Depreciation @ 10%... 10%*120,000	12,000	12,000
	WDV… 120,000-12,000	108,000	
2	Dep @ 10%... 10%*108000	10,800	22800
	WDV= 108,000-10,800	97,200	
3	Dep @ 10%... 10%*97,200	9,720	32520
	WDV= 97,200-9,720	87,480	
4	Dep @ 10%...10%*87,480	8,748	41,268
	WDV=87,480-8,748	78,732	
5	Dep @ 10%...10%*78,732	7873.2	49,141.2
	WDV=78,732-7873.2	70858.8	

Question No: 51 (Marks: 5)

Following information is extracted from the books of Abrar Ltd as on December 31st, 2007.

Particulars	Rs
Carriage inwards	8,000
Legal charges	6,500
Financial charges	223,500
Tax payable	30,000
Advances from customer	10,000
General reserve	40,000
Accumulated profit brought forward(credit balance)	95,000
Long term loans	1,00,000

Additional information
The authorized capital is Rs. 50, 00,000 divided into 500,000 shares of Rs. 10 each. Issued and paid up capital 2, 500,000.
You are required to prepare calculate Share holders equity

Share holder equity will have Authorized capital, Paid up capital, General Reserves & Accumulated profit brought forward

Authorized capital = Rs. 50,00,000 divided into 500,000 shares of Rs. 10 each
Issued and paid up capital 2,500,000
General Reserve 40,000
Accumulated profit brought forward (Credit balance) 95,000

Question No: 52 (Marks: 10)

Write down the at least ten distinguishing features of a limited company which differentiate it from sole proprietor business

The basic difference between a partnership and a limited company is the concept of limited liability.

17. If a partnership business runs into losses and is unable to pay it's liabilities, its partners will have to pay the liabilities from their own wealth.
18. In case of limited company the shareholders don't lose anything more than the amount of capital they have contributed in the company. It points that personal wealth is not at stake and their liability is limited to the amount of share capital they have contributed.
19. The concept of limited company is to mobilize the resources of a large number of people for a project, which they would not be able to afford independently and then get it managed by experts.
20. Listed Company have more than twenty partners, so problem of extra capital is reduced to minimum.
21. The liabilities of the members of a company is limited to the extent of capital invested by them in the company
22. There are certain tax benefits to the company, which a partnership firm can not enjoy
23. In Pakistan, affairs of limited companies are controlled by "Companies Ordinance" issued in 1984
24. The formation of a company and other matters related to companies are governed by "Securities and Exchange Commission of Pakistan (SECP)

Question No: 53 (Marks: 10)

The following Trail balance is taken out from the books of Rahman & Sons as on 31st December, 2008.

	Dr.	Cr.
	Rs.	Rs.
Sales		204,000
Capital		120,000
Bank overdraft		103,560
Sundry Creditors		120,000
Opening Stock	60,400	
Purchases	231,600	
Sundry Debtors	109,660	
Returns Inwards	3,640	
General Expenses	6,980	

Plant	22,620	
Wages & Salaries	16,740	
Building	50,000	
Cash in Hand	680	
Cash at bank	8,720	
Drawings	16,960	
Motive Power	2,300	
Dock &clearing Charges	1,300	
Coal, Gas, Water	1,700	
Salaries	9,820	
Interest on O/D	4,440	
Rent rates Taxes	1,400	
Discount Allowed	2,000	
Interest received		3,400
	550,960	**550,960**

Requirement:
Prepare The Trading and Profit & Loss account of the business for the year ended. Closing Stock is valued at Rs.40, 000.

Question No: 52 (Marks: 10)

Write a note on legal documents required for the formation of company.

In Pakistan when someone wants to form a company. He will contact with SECP, its abbreviation for Securities and Exchange Commission of Pakistan. it came in 1984 in law of Pakistan which is called companies ordinance. It controls all affairs of limited companies. For making of private limited company 2 members can submit their names in memorandum and articles of association along with other requirements of company ordinance 1984. while for public limited company seven members will sent their names. By this way they can apply and make registration of the company.

Question No: 54 (Marks: 10)

Pass the rectifying entries to correct the following errors:

- Mr. "Ali" purchased goods of Rs. 1,500 on cash, but omitted to enter in the books of accounts.
- An amount of Rs. 5,000 received from Mr. Amir, was credited to the account of Mr. Ameer.
- Goods returned worth Rs. 500 to Mr. "B" wrongly debited to sales Account.
- A purchase of goods from Mr. "B" of Rs. 400 has been wrongly debited to Furniture Account.
- Furniture purchased on cash Rs. 8,000 posted as purchases.

Rectification of Errors

Error 1.
A purchase of goods of Rs. 1,500 on cash was omitted by mistake

Rectification Entry on the date of discovery:

Debit:	**Purchase Account**	**1,500**	
Credit:	**Cash Account**		**1,500**

Error 2

Debit:	**Mr. Amir**	**5,000**	
Credit:	**Mr. Ameer**		**5,000**
Debit:	**Mr. Amir**	**5,000**	
Credit:	**Mr. Ameer**		**5,000**

- **Error 3** Goods returned worth Rs. 500 to Mr. "B" wrongly debited to sales Account.

Debit:	**Mr. B Account**	**Rs. 500**	
Credit:	**Sales Account**		**Rs. 500**

Error 4 A purchase of goods from Mr. "B" of Rs. 400 has been wrongly debited to Furniture Account.

Debit:	Mr. B Account	Rs. 400	
Credit	Furniture Account		Rs. 400

Error 5 Furniture purchased on cash Rs. 8,000 posted as purchases.

Debit	**Furniture Account**	**Rs. 8,000**
Credit	**Purchase Post Account**	

Question No: 51 (Marks: 5)

Financial year decided by partnership agreement is 1st July to 30th June. Mr. Ali is partner and having a capital of Rs. 1,500,000 on July 1st 2007 and he introduced more capital on August 1st 2007 Rs. 10,000 on April 1st 2008, Rs.500,000 and on June 1st 2008 , Rs. 5,000. Mark up rate is 10% p.a.

Capital = 1500000 mark up= 1500000
2nd capital= 10000 markup= 1000
3rd capital= 500000 markup= 50000
4th capital= 5000 markup= 500

Total markup= Rs. 201500

Calculate mark up on Mr. Ali's capital for the year ending on 31th June 2008.

Question No: 53 (Marks: 10)

What is the difference between public and private company?

The main difference between public and private company is that in public limited companies there is no restriction on number of persons to be its members. There is one restriction. That there should be a minimum of three members to form a public limited company. Public limited company can offer its shares to general public.

While in private company two to fifty persons can form a company. Minimum two members are elected to form a board of directors. This board is given the responsibility to run day to day business of the company. Private limited company cannot offer its share to general public.

Question No: 54 (Marks: 10)

The following discrepancies were noted on comparing Cash Book with Pass Book.

8. Balance as per Cash Book (Cr) is Rs. 19,000.
9. Cheque for Rs. 5,000 paid into the bank for collection on 20th March, 2008 has not yet been collected.
10. Cheques for Rs. 15,000 Issued on 24th March, 2008, out of which Cheques for Rs. 10,000 presented during March, 2008

11. An amount of Rs. 1,000 for interest on overdraft was debited in the Pass Book but was intimated to Mr. David on 4th April, 2008.
12. Mr. David paid into his bank account an amount of Rs. 3,000 but it was wrongly credited to Mr. Denial's Account.
13. On 20th March, 2008 the bank received dividend of Rs. 10,000 from a company where Mr. David's has invested his money, the same had been recorded in Cash Book on 31st March, 2008.
14. Cheque of Rs. 2,500 was shown in Pass Book as dishonored.

Required: Prepare a Bank Reconciliation Statement as on 31st March, 2008

Balance as per Cash Book	Cr	19000
Unpresented cheques	Dr	5000
Uncredited cheque	Dr	10000
Interest by bank	Dr.	1000

Question No: 41 (Marks: 10)

Record the following transactions in the General Journal.

Date:	Transactions
Jan 1, 2007	Mr. Asghar started business with cash Rs. 1, 00,000.
Jan 2, 2007	Opened bank account with amount Rs. 50,000.
Jan 4, 2007	Purchased goods for cash Rs. 15,000.
Jan 9, 2007	Payment made to Karachi store (Creditor) Rs. 15,000 by cheque.
Jan14, 2007	Goods returned to Karachi store worth Rs. 1,500.
Jan22, 2007	Goods sold for cash Rs. 2,000.

DR
Bank account 50,000
Purchased goods for cash Rs. 15,000
Payment made to Karachi store (Creditor) Rs. 15,000 by cheque
Goods returned to Karachi store worth Rs. 1,500
Credit balance 20500

Cr
Mr. Asghar started business with cash Rs. 1, 00,000
Goods sold for cash Rs. 2,000.

Question No: 41 (Marks: 10)

Prepare Cash and Capital Accounts with the help of given Journal entries.

journal			
Date	**Particulars**	**(Dr.)**	**(Cr.)**
		Rs.	Rs.
2008 jan1	Cash account	50,000	
	Capital account		50,000
	(owner invested cash)		
jan.2	Furniture account	10,000	
	Cash account		10,000
	(purchased furniture for cash)		
Jan.3	Purchases account	30,000	
	Cash account		30,000
	(goods purchased for cash)		
Jan.5	Cash account	40,000	
	Sales account		40,000
	(sold goods for cash)		
Jan. 6	Salaries account	5,000	
	Cash account		5,000
	(Salaried paid)		

CASH A/C (IN STATEMENT FORM)

Date	V. No	Detail	Ref	Debit	Credit	Balance
01/01/08		CAPITAL A/C		50000	0	50000 DR
02/01/08		FURNITURE A/C		0	10000	40000 DR
03/01/08		PURCHASES A/C		0	30000	10000 DR
05/01/08		SALES A/C		40000	0	50000 DR
06/01/08		SALARIES A/C		0	5000	45000 DR
		TOTAL		90000	45000	45000 DR

Question No: 51 (Marks: 5)

What is the Purpose of Control Accounts?

A business needs to have accounts created for individual creditors and debtors in its general ledger. Creditors are people/entity to whom company owes money and debtors are entities/people who owe money to the business. But when a business grows then the number of creditors and debtors also grows. We know that trial balance can give us the mathematical accuracy of accounts and if there is any difference in trial balance we can know it from the general ledger by actually checking each and every transaction for the year. But it is a very time consuming job to check each and every transaction if the business of the company is huge because it will have many many transaction to check. So in this control accounts are maintained in general one for total creditors and one for total debtors. Debtor's account is called debtor's control account and creditor's account is called creditor's control account. These accounts will not get hit by individual purchase, purchase returns, payments to creditor in case of creditor's control account and by sales, sales return, receipts in case of debtor's control account. Periodically this summarized data will be posted from individual ledgers which will be created for each type of transaction e.g a sales subsidiary ledger, purchase subsidiary ledger etc which will contain actual details of transactions with invoice number and periodically the amounts will be summarized from these subsidiary ledgers and posted to the control accounts at a single time. This way the transactions in general ledger will decrease and will become easy to manage and can be easily checked against creditor's or debtor's details in total creditor's ledger and total debtor's ledger for accuracy.

Question No: 52 (Marks: 10)

What is the effect of given adjustments on Trading & Profit & Loss account and Balance Sheet?

5. Accrued Expenses or Outstanding Expenses
6. Prepaid Expenses or Unexpired Expenses
7. Accrued Revenue or Revenue Receivable
8. Unearned Revenue or Revenue Received in Advance
9. Depreciation of Asset

. **Accrued Expenses or Outstanding Expenses**

Trading and profit and loss account effect

These expenses will be shown in profit and loss account under administrative expenses and will and be deducted from gross profit. They will be used to calculate net profit

Balance sheet effect

These expenses will be shown as expense payable or accrued expenses in balance sheet as current liabilities and will be shown under current liabilities section of liabilities as they have to be paid by business..

. **Prepaid Expenses or Unexpired Expenses**

Trading and profit and loss account effect

These will be deducted from relevant expense account to get the actual expenses for the period and that actual amount of expense will be deducted from gross profit to arrive at net profit. This amount of prepaid expenses will not be included in profit and loss account as an expense itself but its effect will be on current expenses for the period for which profit and loss is being calculated.

Balance sheet effect

These prepaid expenses will be show and current assets in balance sheet and will be shown under the section of current assets in balance sheet.

. **Accrued Revenue or Revenue Receivable**

Trading and profit and loss account effect

These will be added to sales in trading account in profit and loss statement and will be treated as a revenue in the calculation of gross profit by subtracting cost of goods sold from net sales. This will affect gross profit in trading account.

Balance sheet effect

In balance sheet this revenue will be shown under current assets as receivables from debtors and will be shown under the section of current assets of the business.

. **Unearned Revenue or Revenue Received in Advance**

Trading and profit and loss account effect

This will not be added to the sales as sales is recognized when the actual services have been provided or when goods have been shipped irrespective of whether payment has been received or not. So this will not affect profit and loss account as it is still not recognized as sales/revenue.

Balance sheet effect

This is a liability for the company because the company has to give goods or services to the buyer for the advance payment done by the buyer and will be shown as a liability in the balance sheet under the current liability section of balance sheet. Also the same amount will be shown in the bank or cash as current asset to offset the liability because the cash or cheque has been received for goods not given or services not rendered yet.

. **Depreciation of Asset**

Trading and profit and loss account effect

The depreciation of asset is an operating expense for the business and will affect profit and loss account. It will be added to the administrative expense and will be appear in the administrative expense section of profit and loss account and will be deducted from gross profits to arrive at net profits along with other expenses.

Balance sheet effect

In balance sheet it will appear as deduction from the fixed asset as the fixed assets in balance sheet will be shown at written down value. So this will be added to previous balance of accumulated depreciation and will be deducted from the total cost of the fixed assets and will appear in the assets section under the heading of fixed asset. It

might appear in notes as sometimes in balance sheet summarized figure of fixed asset at WDV will be shown. In any case it is deducted from fixed asset in balance sheet and affects the total assets side

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Question No: 1 (Marks: 1) - Please choose one

Particulars	Rs.
Opening written down value of machine	3,00,000
Cost of machine purchased during the year	50,000
Depreciation during the year	9,000
closing written down value (WDV) of the Machine	?

Opening + cost of machine during year – depreciation during year
3, 00,000 + 50,000 – 9,000

- **Rs. 3, 41,000**
- Rs. 3, 50,000
- Rs. 3, 59,000
- Rs. 59,000

Question No: 2 (Marks: 1) - Please choose one

Particulars	Rs.
Opening written down value of machine	Rs. 2,00,000
Cost of new machine purchased during the year	Rs. 50,000
Depreciation during the year	Rs. 25,000
Closing written down value (WDV) of machines	?

Opening + cost of machine during year – depreciation during year
2, 00,000 + 50,000 – 25,000

- **Rs. 2, 25,000**
- Rs. 2, 50,000
- Rs. 2, 75,000
- Rs. 75,000

Question No: 3 (Marks: 1) - Please choose one

Consider the following data:

Particulars	Rs.
Assets	1,98,000
Owner's equity	95,000
Liabilities	?

- Rs. 49,000

- ► Rs. 55,000
- ► Rs. 1, 25,000
- ► **Rs. 1, 03,000**

Question No: 4 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Cash	Rs. 22,500
Debtors	Rs. 500
Total Assets	Rs. 80, 385
Accounts payable	Rs. 1,000
Total liabilities	Rs. 20,000

- ► **Rs. 60,385 owner's equity**
- ► Rs. 61,385 owner's equity
- ► Rs. 99,885 owner's equity
- ► Rs. 99,385 owner's equity

Question No: 5 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Furniture	Rs. 90,000
Cash	Rs.1, 00, 000
Debtors	Rs.10, 000
Other Assets	Rs. 1,000
Owner's equity	Rs. 90, 000

- ► Rs. 2, 01,000 liabilities
- ► **Rs. 1, 11, 000 liabilities**
- ► Rs. 2, 90, 000 liabilities
- ► Rs. 2, 91, 000 liabilities

Question No: 6 (Marks: 1) - Please choose one

When the process of production is completed, all the costs must be charged to:

- ► Raw material account
- ► Work in process account
- ► **Finished goods account**
- ► Merchandise account

Question No: 7 (Marks: 1) - Please choose one

Which of the following assets are shown at written down value in balance sheet?

- ► Current assets
- ► Liquid assets
- ► Floating assets
- ► **Fixed assets**

Question No: 8 (Marks: 1) - Please choose one

Which of the following asset is **NOT** depreciated?

- ► Factory Buildings
- ► Office Equipment
- ► Plant & Machinery
- ► **Land**

Question No: 9 (Marks: 1) - Please choose one

The main goal of Bank Reconciliation Statement is to determine:

- ► **If the discrepancy is due to error rather than timing**
- ► If the discrepancy is due to timing rather than error
- ► If the discrepancy is due to error rather than amount
- ► If the discrepancy is due to amount rather than timing

Question No: 10 (Marks: 1) - Please choose one

Sale proceeds of goods are an example of:

- ► Revenue expense
- ► Capital expense
- ► Capital receipt
- ► **Revenue receipt**

Question No: 11 (Marks: 1) - Please choose one

Which one of the following is **NOT** true about revenue expenditure?

- ► These are the running expenses of the business
- ► **They improve the financial position of the business**
- ► They reduce the profit of the concern
- ► They do not appear in the balance sheet

Question No: 12 (Marks: 1) - Please choose one

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

- ► Rs.260
- ► Rs.232
- ► Rs.284
- ► **Rs.320**

Question No: 13 (Marks: 1) - Please choose one

Consider the following inventory record:

Date	Item	Quantity	Cost/Unit	Total

			Rs.	Rs.
Jan. 2	Beginning inventory	10	10	100
Mar. 4	Purchase	35	11	385
May 8	Purchase	40	12	480
Nov. 3	Purchase	20	13	260
De31	Merchandise available	105		1,225

80 units were sold, Use the FIFO method of inventory costing and determine the cost of goods sold.

- ► Rs. 1,225
- ► Rs. 1,015
- ► Rs. 965
- ► **Rs. 905**

Question No: 14 (Marks: 1) - Please choose one

If, Cost of machine = Rs.400, 000
Useful life = 5 years
Rate of depreciation= 40%
The book value of machine after one years using diminishing balance method is?

- ► Rs.86, 400
- ► Rs. 1, 44,000
- ► **Rs. 2, 40,000**
- ► Rs. 51,840

Question No: 15 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 5,000
Sale price after 5 years	Rs.50,000
Book value of Asset after 5 years	**?**

- ► Rs.25, 000
- ► **Rs. 75,000**
- ► Rs. 15,000
- ► Rs. 1, 00,000

Question No: 16 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for each year	Rs. 5,000
Sale price after 5 years	Rs.50,000
Written down value of asset on 5th year	Rs.75,000
profit or loss on disposal of fixed assets	**?**

- ► **Rs.25, 000 loss**
- ► Rs. 75,000 loss
- ► Rs. 15,000 profit
- ► Rs. 1, 00,000 profit

Question No: 17 (Marks: 1) - Please choose one

Cost of asset	Rs. 1,00,000
Life of asset	5 years
Depreciation for the each year	Rs. 5,000
Sale price after 5 years	Rs.15,000
Written Down Value of Asset on 5th year	Rs. 75,000
Profit or loss on disposal of fixed asset	**?**

- **Rs. 60,000 loss**
- Rs. 75,000 profit
- Rs. 25,000 loss
- Rs. 1, 00,000 profit

Question No: 18 (Marks: 1) - Please choose one

The total of all costs incurred to convert raw material into finished goods is known as:

- Prime cost
- **Conversion cost**
- Sunk cost
- Opportunity cost

Question No: 19 (Marks: 1) - Please choose one

Which of the following is an example of direct materials cost?

- Polish and finishing material for chair
- **A piece of wood for the production of chair**
- Production worker's wages
- Depreciation expenses

Question No: 20 (Marks: 1) - Please choose one

If the working capital and the current assets of company XYZ are Rs. 5,000 and Rs.15, 000 respectively, calculate the current liabilities.

- Rs. 5,000
- Rs. 10,000
- Rs. 15,000
- **Rs. 20,000**

Question No: 21 (Marks: 1) - Please choose one

Which of the following item appears in Trading Account of a business?

- Interest expenses
- Wages and salaries
- Depreciation expenses
- **Discount Allowed**

Question No: 22 (Marks: 1) - Please choose one

Which of the following is an alternate term which can be used for “Capital”?

- ► Liability
- ► **Owner’s net worth**
- ► Working capital
- ► Asset

Question No: 23 (Marks: 1) - Please choose one

Which of the following financial statement **DO NOT** show the financial health of a business at a specific date?

- ► **Profit and loss account**
- ► Balance sheet
- ► Statement of financial position
- ► All of the given options

Question No: 24 (Marks: 1) - Please choose one

If cost of sales is Rs. 95,000, sales are Rs. 200,000 and operating expenses are Rs. 100,000. What will be the net result?

- ► Rs. 5,000 Loss
- ► **Rs. 5, 000 Profit**
- ► Rs.1, 95,000 Profit
- ► Rs.1, 95,000 Loss

Question No: 25 (Marks: 1) - Please choose one

Which of the following account balance will be shown on debit side of Trial Balance? (It is assumed that all account balances are shown on normal balance)

- ► Cash account
- ► Furniture account
- ► Vehicle account
- ► **All of the given options**

Question No: 26 (Marks: 1) - Please choose one

Which of the following account balance will be shown on debit side of Trial Balance? (It is assumed that all account balances are shown on normal balance).

- ► Capital account
- ► Sundry creditors account
- ► Accounts payable account
- ► **Cash account**

Question No: 27 (Marks: 1) - Please choose one

Which of the following journal entry will be recorded, if the payment of furniture purchased is made through cheque?

- ► **Furniture account (Dr) and Bank account (Cr)**

► Furniture account (Dr) and Profit & Loss account (Cr)
► Furniture account (Dr) and Cash account (Cr)
► Cash account (Dr) and Furniture account (Cr)

Question No: 28 (Marks: 1) - Please choose one

Which one of the following statement is **CORRECT** about Long term liabilities?

► These are due within one year
► **These are consist of all debts, payable after 12 months**
► In working capital, these are deducted from current assets
► All of the given options

Question No: 29 (Marks: 1) - Please choose one

What type of expenses are paid out of Gross Profit?

► Selling Expenses
► General Expenses
► Financial Expenses
► **All of the given options**

Question No: 30 (Marks: 1) - Please choose one

While making Income & Expenditure account, Excess of income over expenses in a specified accounting period is called:

► Deficit
► **Surplus**
► Profit
► Loss

Question No: 31 (Marks: 1) - Please choose one

Which one of the following is **NOT** prepared by Non profit organizations?

► **Profit & Loss account**
► Income & Expenditure account
► Receipts & Payments account
► Balance Sheet

Question No: 32 (Marks: 1) - Please choose one

Which of the following financial statement summarizes the profitability of an organization for a particular period?

► **Trading and Profit & Loss account**
► Cash Flow Statement
► Statement of Retained Earnings
► Balance Sheet

Question No: 33 (Marks: 1) - Please choose one

Which of the following period is known as a fiscal Year of the Government of Pakistan?

- ▶ 1st January to 31st December
- ▶ 1st June to 31st May
- ▶ **1st July to 30th June**
- ▶ 1st October to 30th September

Question No: 34 (Marks: 1) - Please choose one

What would be the affect on the components of the accounting equation, if goods are purchased on cash?

- ▶ Increase in cash and decrease in equity
- ▶ Increase in cash and increase in goods
- ▶ **Increase in goods and decrease in cash**
- ▶ Increase in equipment and increase in equity

Question No: 35 (Marks: 1) - Please choose one

Obligations to pay cash or un-earned incomes by the business are the:

- ▶ Assets
- ▶ **Liabilities**
- ▶ Equities
- ▶ Expenses

Question No: 36 (Marks: 1) - Please choose one

Commercial Accounting is based on:

- ▶ Single entry book keeping
- ▶ **Double entry book keeping**
- ▶ Both single and double entry book keeping
- ▶ Cash basis of book keeping

Question No: 37 (Marks: 1) - Please choose one

Word “Credit” is derived from _____ language.

- ▶ **Latin**
- ▶ English
- ▶ French
- ▶ Chinese

Question No: 38 (Marks: 1) - Please choose one

The basic accounting principle/concept according to which Business is independent from its owner(s) is known as:

- ▶ **Separate Entity Concept**
- ▶ Matching Concept
- ▶ Going Concern Concept
- ▶ Materiality Concept

Question No: 39 (Marks: 1) - Please choose one

Double entry accounting system includes:

- ► Accrual accounting only
- ► Cash accounting only
- ► **Both cash and accrual accounting**
- ► None of the given options

Question No: 40 (Marks: 1) - Please choose one

An accounting system is used by a business to:

- ► Analyze transactions
- ► Handle routine book-keeping tasks
- ► Structure information
- ► **All of the given options**

Question No: 41 (Marks: 10)

Record the following transactions in the General Journal.

Date:	Transactions
Jan 1, 2007	Mr. Asghar started business with cash Rs. 1, 00,000.
Jan 2, 2007	Opened bank account with amount Rs. 50,000.
Jan 4, 2007	Purchased goods for cash Rs. 15,000.
Jan 9, 2007	Payment made to Karachi store (Creditor) Rs. 15,000 by cheque.
Jan14, 2007	Goods returned to Karachi store worth Rs. 1,500.
Jan22, 2007	Goods sold for cash Rs. 2,000.

DR
Bank account 50,000
Purchased goods for cash Rs. 15,000
Payment made to Karachi store (Creditor) Rs. 15,000 by cheque
Goods returned to Karachi store worth Rs. 1,500
Credit balance 20500
Cr
Mr. Asghar started business with cash Rs. 1, 00,000
Goods sold for cash Rs. 2,000.

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Question No: 1 (Marks: 1) - Please choose one

Debenture is also named as:

- ► Share
- ► **Bond**
- ► Equity
- ► Reserve

Question No: 2 (Marks: 1) - Please choose one

What types of changes (is) are made at the admission of partner in partnership?

- ► **Assets of old business will be revalued**
- ► Liabilities of old business will be revalued
- ► Good will of business will be revalued
- ► All of the given options

Question No: 3 (Marks: 1) - Please choose one

The balance sheet reported a beginning balance of Rs. 20,000 in Accounts Receivable and an ending balance of Rs. 15,000. Credit Sales of Rs. 200,000 were made during the year. Using this information, compute cash collected from customers.

Beginning – ending + credit sales
20,000 – 15,000 + 200,000

- ► Rs. 215,000
- ► Rs. 195,000
- ► Rs. 200,000
- ► **Rs. 205,000**

Question No: 4 (Marks: 1) - Please choose one

In cash flow statements, which of the following would appear as an inflow of cash?

- ► The repayments of a bank loan
- ► Dividend issue in the current year
- ► **Money received as result of selling fixed assets**
- ► The difference between the valuations of old and new fixed assets

Question No: 5 (Marks: 1) - Please choose one

Which of the following is **NOT** a cash inflow?

- ► **Purchase of fixed asset**
- ► Sale of fixed asset
- ► Issue of debentures
- ► Cash from business operation

Question No: 6 (Marks: 1) - Please choose one

What are the effects on financial statements, if Rs. 6,000 transfer to general reserve is given in adjustment?

- ► It will be treated in Income Statement only
- ► It will be treated as current liability in balance sheet only
- ► It will be treated in profit and loss appropriation account only

► **It will be treated in both profit and loss appropriation account and in the balance sheet**

Question No: 7 (Marks: 1) - Please choose one

Which of the following is the most important document of the company?

► Memorandum of Association
► Articles of Association
► Prospectus
► **Annual Report**

Question No: 8 (Marks: 1) - Please choose one

Which of the following document(s) define the relation of company with outside world?

► Memorandum of Association
► Articles of Association
► Prospectus
► **Statutory Declaration**

Question No: 9 (Marks: 1) - Please choose one

The income statement of the Limited company is also known as:

► Manufacturing account
► **Profit and Loss account**
► Profit and Loss Appropriation account
► Current Account

Question No: 10 (Marks: 1) - Please choose one

In which of the following auditor's remuneration payable is shown?

► In balance sheet under the head of current liabilities only
► In balance sheet under the head of current assets only
► In income statement under the administrative expense only
► **In both balance sheet under the head of current liabilities and income statement under the administrative expense**

Question No: 11 (Marks: 1) - Please choose one

The charter of a company which defines the limitations and powers of the company is called:

► The memorandum of association
► **Articles of association**
► Statutory report
► Certificate of commencement

Question No: 12 (Marks: 1) - Please choose one

Which of the following represents the partnership agreement in writing?

► Partnership registration
► Partnership-at-will
► **Partnership deed**

► Partnership certification

Question No: 13 (Marks: 1) - Please choose one

Which of the following represents the relationship between persons who have agreed to share the profit of business carried on by all or any of them acting for all?

► Sole-ownership
► Private limited company
► Public limited company
► **Partnership**

Question No: 14 (Marks: 1) - Please choose one

Which of the following statement is **TRUE** about the Accounts receivable?

► Accounts receivable arises when a company buys goods or services from another party on credit
► Accounts receivable is a miscellaneous category that may include loans to employees
► Accounts receivable are more formal than notes receivable
► **Accounts receivable are often called trade receivables**

Question No: 15 (Marks: 1) - Please choose one

Which one of the following is **TRUE** about provisions?

► It is necessary to prepare for showing true picture of balance sheet
► It is a reduction from assets
► It is prepared for specific purposes
► **All of the given options**

Question No: 16 (Marks: 1) - Please choose one

Which financial statement show what a business owes at a particular point in time?

► A cash flow statement
► The bank statement for the business
► **A balance sheet**
► A statement of retained earnings

Question No: 17 (Marks: 1) - Please choose one

Which of the following is an example of operating expense?

► Purchasing operating equipment
► **Purchasing cleaning services**
► Purchasing an investment in another company
► Purchasing a computer for the accounting office

Question No: 18 (Marks: 1) - Please choose one

Short-term investments include all of the following **EXCEPT**:

► A bond receivable intended to be sold within one year
► Frequently traded securities
► A stock investment in the General Electric Company intended to be sold within one year

► **A shares investment in the Coca-Cola Company intended to be held for several years**

Question No: 19 (Marks: 1) - Please choose one

The figure of cash received from debtors can be located either from cash book or:

► **Debtor's Control Account**
► Balance Sheet
► Profit & Loss Account
► Bills Payable Account

Question No: 20 (Marks: 1) - Please choose one

Following information are extracted from books of Mr. XYZ

Particulars	Rs.
Closing value of stock	40,000
Write off Bad debts (given in adjustments)	2,400
Sundry Debtors (given in trial balance)	33,200
Provision is created on Debtors at 10%	

Identify the Total amount deducted from Sundry debtors.

► Rs. 460
► Rs. 2,400
► Rs. 3,080
► **Rs. 5,480**

Question No: 21 (Marks: 1) - Please choose one

Consider the following data and identify the amount which will be deducted from Sundry Debtors in Balance Sheet.

Particulars	Rs.
Bad debts (from trial balance)	1,600
Provision for doubtful debts (old)	2,000
Current year's provision (new)	1,000

► Rs. 600
► **Rs. 1,000**
► Rs. 2,000
► Rs. 2,600

Question No: 22 (Marks: 1) - Please choose one

Which of the following entry will be recorded, if a cheque deposited is dishonored by bank?

► Bank Account (Dr.) and Debtor's Account (Cr.)
► **Debtor's Account (Dr.) and Bank Account (Cr.)**
► Dishonored Cheque Account (Dr.) and Bank Account (Cr.)
► Creditor's Account (Dr.) and Bank Account (Cr.)

Question No: 23 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of an amount Rs.200 received from Mr."P" wrongly credited to Mr."Q's" account?

► **Both of Mr. P's & Mr.Q's Account**
► Only Cash Account
► Only P’s account
► Only Q’s account

Question No: 24 (Marks: 1) - Please choose one

Which of the following account(s) will be affected, while rectifying the error of sales Rs.100 to Mr. “A” recorded in the purchases book?

► Sales account
► Purchase account
► A’s account and Sales account
► **Sales account, purchase account and A’s account**

Question No: 25 (Marks: 1) - Please choose one

"Goods sold to Mr. Salman for Rs. 6,000 have been forgotten to enter in books of accounts", is an example of:

► Error of principle
► **Error of omission**
► Error of commission
► Error of original entry

Question No: 26 (Marks: 1) - Please choose one

Transaction that has been completely forgotten to enter is called:

► Error of principle
► **Error of omission**
► Error of commission
► Error of original entry

Question No: 27 (Marks: 1) - Please choose one

Which of the following is (are) included in Creditors Control Account?

► Discount received from supplier
► Credit purchases
► Bills payable
► **All of the given options**

Question No: 28 (Marks: 1) - Please choose one

Which of the following is **NOT** included in Debtors Control Account?

► **Cash sales**
► Credit sales
► Bills receivable
► Discount allowed

Question No: 29 (Marks: 1) - Please choose one

Which of the following subsidiary book(s) is (are) maintained for debtors control account?

- ► Sales Day Book
- ► Sales Return
- ► Debtors Ledger
- ► **All of the given options**

Question No: 30 (Marks: 1) - Please choose one

Which of the following is **NOT** based on the concept of double entry book keeping system?

- ► Subsidiary Ledgers
- ► Creditors Control Accounts
- ► Debtors Control Accounts
- ► **All of the given options**

Question No: 31 (Marks: 1) - Please choose one

Which of the following entry will be recorded when the Bad Debts are recovered?

- ► **Cash account (Dr.) & Bad Debts recovered account (Cr.)**
- ► Accounts Receivable account (Dr.) & Bad Debts recovered account (Cr.)
- ► Bad debts recovered account (Dr.) and Profit & Loss account (Cr.)
- ► Provision for doubtful debts account (Dr.) & Cash account (Cr.)

Question No: 32 (Marks: 1) - Please choose one

In which of the following condition(s) **DEBT** is regarded as **BAD**.

- ► Bankruptcy of the debtor
- ► Disappearance of debtor's business
- ► Failure of repeated attempt to collect the debt
- ► **All of the given options**

Question No: 33 (Marks: 1) - Please choose one

Which of the following is **CORRECT** for Doubtful Debt?

- ► **It is shown in balance sheet**
- ► It is a definite loss to the business
- ► It is not shown in balance sheet
- ► No provision is necessary for it

Question No: 34 (Marks: 1) - Please choose one

The following balance and discrepancies were found on 31 March 2008:

Particulars	Rs.
Cash book balance (Dr)	5 000
Unpresented cheques	1 000
Uncredited cheques	500

The Bank Statement balance on 31 March 2008 should be:

- ► **Rs. 5 500 (Dr)**
- ► Rs. 5 500 (Cr)
- ► Rs. 4 500 (Dr)
- ► Rs. 4 500 (Cr)

Question No: 35 (Marks: 1) - Please choose one

A Bank Reconciliation Statement is prepared to:

- ► **Ascertain that the difference between the Cash Book balance and the Bank Statement balance has been accounted for**
- ► Correct errors in the Cash Book or errors in the Bank Statement
- ► Amend the balance of the Bank Statement of the firm
- ► Amend the balance in the Cash Book of the firm

Question No: 36 (Marks: 1) - Please choose one

Which of the following is **CORRECT** regarding depreciation?

- ► **It is a systematic allocation of depreciable amount of an asset over its estimated useful life**
- ► It refers to the end life of an asset
- ► It refers to the increase in value of asset
- ► It is another name of Impairment

Question No: 37 (Marks: 1) - Please choose one

Find out the missing value of an Accounting Equation with the help of given data:

Cash	Rs.1, 00, 000
Debtors	Rs.10, 000
Other Assets	Rs. 1,000
Owner's equity	Rs. 1, 000

- ► Rs. 12,000 liabilities
- ► Rs. 11,000 liabilities
- ► **Rs. 1, 10,000 liabilities**
- ► Rs. 1, 11,000 liabilities

Question No: 38 (Marks: 1) - Please choose one

Which of the following essentials will be shown in the format of Cash Book?
(1) Ledger code
(2) Amount of Receipt
(3) Amount of payment

- ► (1) only

► (1) & (2) only
► (1) & (3) only
► **(1), (2) & (3)**

Question No: 39 (Marks: 1) - Please choose one

Consider the following:

Beginning inventory	10 units @ Rs. 10 per unit
First purchase	35 units @ Rs. 11 per unit
Second purchase	40 units @ Rs. 12 per unit
Third purchase	20 units @ Rs. 13 per unit

Eighty units were sold, what is the value of the ending inventory using the FIFO method of inventory costing?

► Rs.260
► Rs.232
► Rs.284
► **Rs.320**

Question No: 40 (Marks: 1) - Please choose one

In cost of goods sold statement, the 'cost of material consumed' is equal to:

► **Opening raw material inventory + Purchases – Ending raw material inventory**
► Opening raw material inventory - Purchases + Ending raw material inventory
► Ending raw material inventory + Opening raw material inventory - Purchases
► Ending raw material inventory + Opening raw material inventory + Purchases

Question No: 41 (Marks: 1) - Please choose one

Following are the inventories of Manufacturing Concern **EXCEPT**:

► Raw material
► Work in process
► Finished goods
► **Merchandise inventory**

Question No: 42 (Marks: 1) - Please choose one

Which of the following is an alternate term which can be used for "Capital"?

► Liability
► **Owner's net worth**
► Working capital
► Asset

Question No: 43 (Marks: 1) - Please choose one

In which of the following condition a company will have positive working capital?

► **If current assets > current liabilities**
► If current Assets < current Liabilities
► If current assets = current liabilities
► If current assets $\leq$ current liabilities

Question No: 44 (Marks: 1) - Please choose one

If salaries expense is Rs. 2,500, purchases are Rs. 16,000 and rent (office building) is Rs. 300 during the year, what would be the total of "general & administrative expenses"?

- ► Rs. 300
- ► Rs. 2,500
- ► **Rs. 2,800**
- ► Rs.18, 800

Question No: 45 (Marks: 1) - Please choose one

The amount brought by the proprietor in the business should be credited to:

- ► Cash account
- ► **Capital account**
- ► Drawings account
- ► Proprietor account

Question No: 46 (Marks: 1) - Please choose one

An asset on the balance sheet which is expected to be sold or used within one year is known as:

- ► Tangible asset
- ► **Current asset**
- ► Fixed asset
- ► Long term asset

Question No: 47 (Marks: 1) - Please choose one

Which one of the following is a type of General Ledger?

- ► Book of original entry
- ► **'T' Account**
- ► Source document
- ► Day book

Question No: 48 (Marks: 1) - Please choose one

According to the double entry system of book keeping, the investment of Rs.10, 000 in the business made by the owner will effect:

- ► **Cash & Capital Account**
- ► Cash & Expense Account
- ► Capital & Revenue Account
- ► Capital & Expense Account

Question No: 49 (Marks: 1) - Please choose one

Mr." A" sold goods for Rs. 3, 00,000 to Mr. "B", Rs. 3, 00,000 will be treated as _____ for business.

► **Revenue**
► Net profit
► Gross profit
► Operating profit

Question No: 50 (Marks: 1) - Please choose one

When income exceeds expenses in a specific time period is known as:

► Savings
► **Net profit**
► Gross profit
► Operating profit

Question No: 51 (Marks: 5)

Financial year decided by partnership agreement is 1st July to 30th June. Mr. Ali is partner and having a capital of Rs. 1,500,000 on July 1st 2007 and he introduced more capital on August 1st 2007 Rs. 10,000 on April 1st 2008, Rs.500,000 and on June 1st 2008 , Rs. 5,000. Mark up rate is 10% p.a.

Capital = 1500000 mark up= 1500000
2nd capital= 10000 markup= 1000
3rd capital= 500000 markup= 50000
4th capital= 5000 markup= 500

Total markup= Rs. 201500

Calculate mark up on Mr. Ali's capital for the year ending on 31st June 2008.

Question No: 52 (Marks: 10)

Write a note on legal documents required for the formation of company.

In Pakistan when someone wants to form a company. He will contact with SECP, its abbreviation for Securities and Exchange Commission of Pakistan. it came in 1984 in law of Pakistan which is called companies ordinance. It controls all affairs of limited companies. For making of private limited company 2 members can submit their names in memorandum and articles of association along with other requirements of company ordinance 1984. While for public limited company seven members will sent their names. By this way they can apply and make registration of the company.

Question No: 53 (Marks: 10)

What is the difference between public and private company?

The main difference between public and private company is that in public limited companies there is no restriction on number of persons to be its members. There is one restriction. That there should be a minimum of three members to form a public limited company. Public limited company can offer its shares to general public.

While in private company two to fifty persons can form a company. Minimum two members are elected to form a board of directors. This board is given the responsibility to run day to day business of the company. Private limited company cannot offer its share to general public.

Question No: 54 (Marks: 10)

The following discrepancies were noted on comparing Cash Book with Pass Book.

15. Balance as per Cash Book (Cr) is Rs. 19,000.
16. Cheque for Rs. 5,000 paid into the bank for collection on 20th March, 2008 has not yet been collected.
17. Cheques for Rs. 15,000 Issued on 24th March, 2008, out of which Cheques for Rs. 10,000 presented during March, 2008
18. An amount of Rs. 1,000 for interest on overdraft was debited in the Pass Book but was intimated to Mr. David on 4th April, 2008.
19. Mr. David paid into his bank account an amount of Rs. 3,000 but it was wrongly credited to Mr. Denial's Account.
20. On 20th March, 2008 the bank received dividend of Rs. 10,000 from a company where Mr. David's has invested his money, the same had been recorded in Cash Book on 31st March, 2008.
21. Cheque of Rs. 2,500 was shown in Pass Book as dishonored.

Required: Prepare a Bank Reconciliation Statement as on 31st March, 2008

Balance as per Cash Book	Cr	19000
Unpresented cheques	Dr	5000
Uncredited cheque	Dr	10000
Interest by bank	Dr.	1000